

# **Auditing & Ethics**

Concept-First Notes + Exam Q&A + MCQ Bank + Mock Test — CA Intermediate

One complete file: concepts, worked Q&A, revision cheat-sheet, MCQs & a full mock test

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# Auditing & Ethics — Quick-Revision Cheat-Sheet

CA Intermediate | last-mile scan | terse & dense. Section numbers = Companies Act 2013 unless noted.

## 1. Audit Fundamentals (the "why")

- **Audit = independent examination** of financial info of any entity to express an **opinion** (not a guarantee of accuracy; reasonable, not absolute, assurance).
- **Objective (SA 200)**: obtain **reasonable assurance** whether FS as a whole are free from **material misstatement** (fraud/error) → enable opinion on **true & fair** view.
- **Inherent limitations**: nature of financial reporting (judgement/estimates), nature of audit procedures (sampling, evidence persuasive not conclusive), timeliness/cost-benefit, fraud (esp. collusion & mgmt override), related parties, going concern, future events.
- **True & Fair ≠ Exact**. Auditor is a **watchdog, not a bloodhound** (but must probe when suspicion arises).
- **Reasonable assurance = high, not absolute**. Absolute is impossible due to inherent limits.

## 2. SAs Grouped by Purpose (memorise the *bands*)

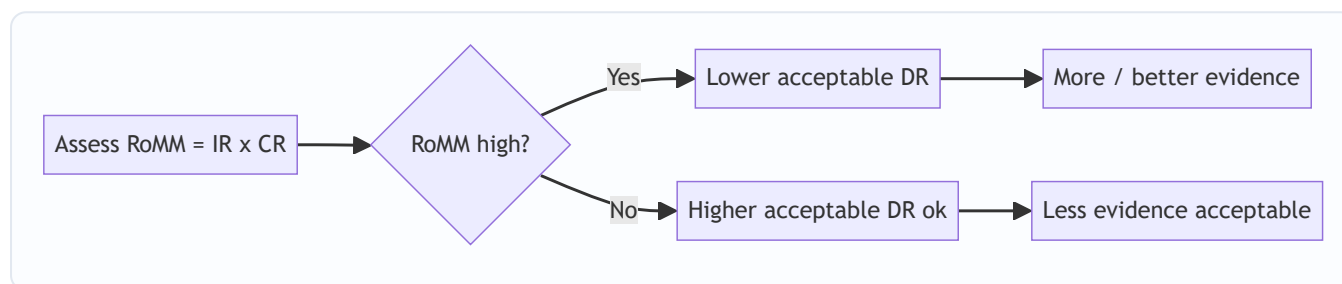
| Band                                             | Range   | Theme                | Must-know SAs                                                                                                                                                                                                                                                                                                                                                                          |
|--------------------------------------------------|---------|----------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Intro                                            | 100–199 | —                    | (reserved)                                                                                                                                                                                                                                                                                                                                                                             |
| <b>General Principles &amp; Responsibilities</b> | 200–299 | The auditor's duties | <b>200</b> overall objectives; <b>210</b> agreeing terms (engagement letter); <b>220</b> quality control at engagement level; <b>230</b> documentation; <b>240</b> fraud; <b>250</b> laws & regs; <b>260</b> comm. with TCWG; <b>265</b> comm. deficiencies in ICFR                                                                                                                    |
| <b>Risk Assessment &amp; Response</b>            | 300–499 | Plan & respond       | <b>300</b> planning; <b>315</b> identify/assess RoMM via understanding entity; <b>320</b> materiality; <b>330</b> responses to assessed risks; <b>402</b> service org; <b>450</b> evaluating misstatements                                                                                                                                                                             |
| <b>Audit Evidence</b>                            | 500–599 | Get the proof        | <b>500</b> evidence; <b>501</b> specific items (inventory/litigation/segments); <b>505</b> external confirmations; <b>510</b> opening balances (initial engagements); <b>520</b> analytical procedures; <b>530</b> sampling; <b>540</b> estimates & fair value; <b>550</b> related parties; <b>560</b> subsequent events; <b>570</b> going concern; <b>580</b> written representations |
| <b>Using Work of Others</b>                      | 600–699 | Rely on others       | <b>600</b> using component auditors (group); <b>610</b> internal auditors; <b>620</b> auditor's expert                                                                                                                                                                                                                                                                                 |
| <b>Conclusions &amp; Reporting</b>               | 700–799 | The output           | <b>700</b> forming opinion & reporting; <b>701</b> KAM; <b>705</b> modifications; <b>706</b> EoM & Other Matter paras; <b>710</b> comparatives; <b>720</b> other information                                                                                                                                                                                                           |
| <b>Specialised Areas</b>                         | 800–899 | Special reports      | <b>800</b> special purpose frameworks; <b>805</b> single FS/element; <b>810</b> summary FS                                                                                                                                                                                                                                                                                             |

**SRE 2400/2410** review; **SAE 3400+** assurance; **SRS 4400** agreed-upon procedures, **4410** compilation.  
(SA=audit, SRE=review, SAE=assurance, SRS=related services.)

### 3. Audit Risk Model

**Audit Risk (AR) = Inherent Risk (IR) × Control Risk (CR) × Detection Risk (DR)**

- **RoMM = IR × CR** (exists in the entity, auditor *assesses* it, cannot change it).
- **DR** = risk auditor's procedures miss a misstatement — auditor **controls** DR via nature/timing/extent of procedures.
- **Inverse relation:** higher assessed RoMM → auditor sets **lower acceptable DR** → **more** evidence (larger samples, at year-end, more experienced staff).



- **Materiality (SA 320):** magnitude that could influence users' economic decisions. **Performance materiality < overall materiality** (buffer for aggregation/undetected). Inverse link: lower materiality → more work.
- **Sampling risk vs non-sampling risk.** Tolerable misstatement = application of performance materiality to a procedure.

### 4. Fraud vs Error (SA 240)

|                | Error                       | Fraud                                                                                               |
|----------------|-----------------------------|-----------------------------------------------------------------------------------------------------|
| Intent         | Unintentional               | <b>Intentional</b>                                                                                  |
| Types          | Math/clerical, wrong policy | (a) <b>Fraudulent financial reporting</b> (mgmt), (b) <b>Misappropriation of assets</b> (employees) |
| Fraud triangle | —                           | <b>Incentive/Pressure + Opportunity + Rationalisation</b>                                           |

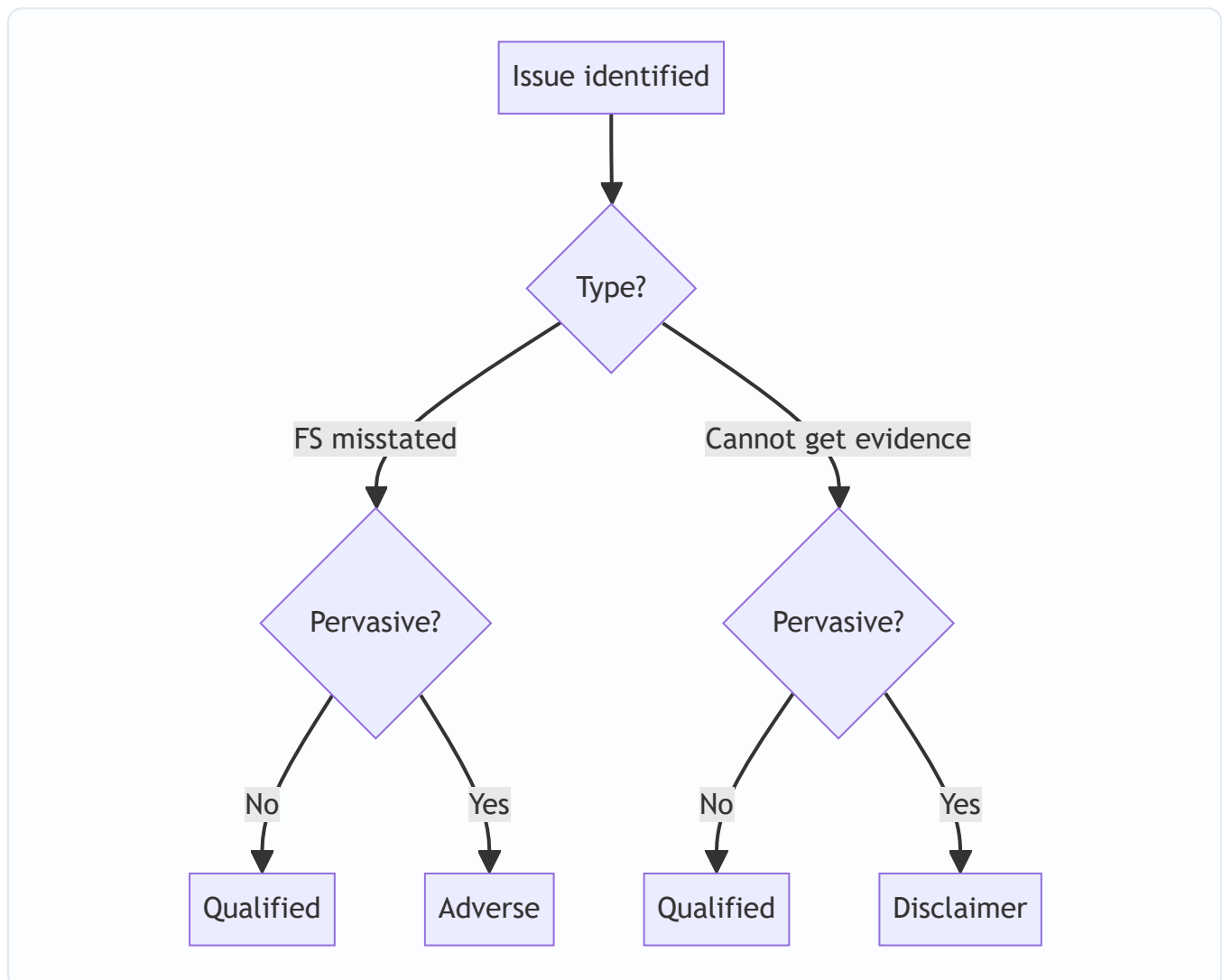
- **Primary responsibility for prevention/detection = TCWG + Management.** Auditor = reasonable assurance only; maintain **professional skepticism** throughout.
- Mgmt override of controls = risk present in **every** audit → test journal entries, estimates for bias, unusual transactions.
- If fraud found: communicate to appropriate level of mgmt / TCWG; consider reporting u/s **143(12)** (see §6).

## 5. Opinion Decision (SA 700 / 705 / 706)

Two questions drive the modification: **(A) Is the matter material? (B) Is it also pervasive?**

| Nature of matter                                               | Material but NOT pervasive      | Material AND pervasive |
|----------------------------------------------------------------|---------------------------------|------------------------|
| <b>FS are misstated</b> (disagreement)                         | <b>Qualified</b> ("except for") | <b>Adverse</b>         |
| <b>Unable to obtain sufficient evidence</b> (scope limitation) | <b>Qualified</b> ("except for") | <b>Disclaimer</b>      |

- **Pervasive** = not confined to specific elements; OR if confined, represents substantial proportion; OR (for disclosures) fundamental to users' understanding.
- **Unmodified/Unqualified = clean.**



- **EoM para (706):** draws attention to a matter **appropriately presented/disclosed** in FS, fundamental to understanding — does **NOT** modify opinion.
- **Other Matter para (706):** relevant to users' understanding of audit/report but **NOT disclosed** in FS.
- **KAM (SA 701):** most significant matters in the audit; mandatory for **listed** entities; reported in a separate section — **not a substitute** for a modified opinion or EoM.
- **Going concern (SA 570):** material uncertainty adequately disclosed → unmodified + separate "Material Uncertainty Related to Going Concern" section; inadequate disclosure → qualified/adverse.

## 6. Companies Act 2013 — Audit Sections 139–148 (high-yield)

| Sec        | Topic                           | Key numbers / points                                                                                                                                                                                                                                                                                                                                                                                                          |
|------------|---------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>139</b> | Appointment of auditor          | Appt within <b>30 days</b> of incorporation by Board (else by members in 90 days EGM); term <b>5 yrs</b> , ratification requirement <b>omitted</b> (2017 amend). <b>Rotation (139(2))</b> — listed + prescribed cos: individual <b>1 term (5 yrs)</b> , firm <b>2 terms (10 yrs)</b> , cooling-off <b>5 yrs</b> .                                                                                                             |
| <b>140</b> | Removal / resignation           | Removal before term = <b>special resolution + Central Govt</b> prior approval; auditor files <b>ADT-3</b> on resignation within <b>30 days</b> ; <b>140(5)</b> Tribunal can order change for fraud.                                                                                                                                                                                                                           |
| <b>141</b> | Eligibility & disqualifications | Only <b>CA/firm</b> (majority partners CA). Disqualified: holds security/interest, indebted > <b>₹5 lakh</b> , guarantee > ₹1 lakh, business relationship, relative as director/KMP, > <b>20 company</b> audit ceiling, convicted of fraud (10 yrs).                                                                                                                                                                          |
| <b>142</b> | Remuneration                    | Fixed in general meeting (or manner therein).                                                                                                                                                                                                                                                                                                                                                                                 |
| <b>143</b> | Powers & duties                 | Access to books at all times; <b>143(1)</b> enquiries; <b>143(2)</b> report to members; <b>143(3)</b> report contents; <b>143(3)(i)</b> report on <b>IFC</b> adequacy; <b>143(9)</b> comply with SAs; <b>143(11)</b> CARO; <b>143(12)</b> report fraud ≥ <b>₹1 crore</b> to <b>Central Govt</b> (Form <b>ADT-4</b> , via Board within timelines), < ₹1 cr to Board/Audit Committee; <b>143(15)</b> penalty for non-reporting. |
| <b>144</b> | Prohibited (non-audit) services | Auditor <b>cannot</b> render: accounting/book-keeping, internal audit, design of financial IS, actuarial, investment advisory/banking, mgmt services, outsourced financial services. (Independence.)                                                                                                                                                                                                                          |
| <b>145</b> | Signing of reports              | Auditor signs audit report / other documents.                                                                                                                                                                                                                                                                                                                                                                                 |
| <b>146</b> | Attend general meeting          | Notice to auditor; right & duty to attend AGM (unless exempted).                                                                                                                                                                                                                                                                                                                                                              |
| <b>147</b> | Punishment for contravention    | Company & auditor penalties; auditor fine <b>₹25k–₹5 lakh</b> (or 4x fee); if wilful/fraud higher + refund remuneration + damages; joint & several for firm.                                                                                                                                                                                                                                                                  |
| <b>148</b> | Cost audit                      | Central Govt may direct <b>cost records/cost audit</b> ; cost auditor = <b>Cost Accountant</b> ; cannot be the statutory (financial) auditor.                                                                                                                                                                                                                                                                                 |

- **Casual vacancy:** by Board within **30 days**; if due to **resignation**, also approved by members within **3 months**.
- **First auditor** (govt co: by **C&AG** within 60 days).

## 7. Professional Ethics — Threats & Safeguards (ICAI Code / CA Act 1949)

**Five threats to independence** (memorise "**SS-AFI**");

| Threat               | Trigger example                                                 |
|----------------------|-----------------------------------------------------------------|
| <b>Self-interest</b> | Financial interest in client; fee dependence; loan/guarantee    |
| <b>Self-review</b>   | Auditing own prior non-audit work (e.g., prepared the accounts) |
| <b>Advocacy</b>      | Promoting client's position (e.g., representing in litigation)  |
| <b>Familiarity</b>   | Long association / close relative in client / ex-employee       |
| <b>Intimidation</b>  | Threat of dismissal, litigation, dominant client pressure       |

- **Fundamental principles (5): Integrity, Objectivity, Professional Competence & Due Care, Confidentiality, Professional Behaviour.**
- Safeguards: created by profession/legislation/regulation; and within the client/firm (rotation, review, policies).

#### CA Act 1949 — Schedules of Professional Misconduct:

| Schedule               | Applies to           | Nature                                                                                                                                   | Disciplinary route                 |
|------------------------|----------------------|------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------|
| <b>First Schedule</b>  | Members (+ students) | Less serious; e.g., <b>fee sharing</b> with non-members, soliciting/advertising, allowing name for unaudited FS, undisclosed fee %-based | <b>Board of Discipline (BoD)</b>   |
| <b>Second Schedule</b> | Members              | Serious; e.g., disclosing confidential info, gross negligence, false report, failure to report material misstatement                     | <b>Disciplinary Committee (DC)</b> |

- Each schedule: **Part I** = professional misconduct, **Part II** = other misconduct.
- **BoD** penalty: reprimand / remove up to **3 months** / fine up to **₹1 lakh**. **DC** penalty: remove name up to permanently / fine up to **₹5 lakh**.
- **"In practice" opinion (Clause) triggers:** advertising, solicitation, contingent fees (generally barred), fee-sharing/commission with non-CAs = misconduct.

## 8. Vouching vs Verification vs Internal Control

|          | Vouching                             | Verification                                  |
|----------|--------------------------------------|-----------------------------------------------|
| Concern  | <b>Transactions</b> (P&L items)      | <b>Assets &amp; liabilities</b> (B/S items)   |
| Checks   | Occurrence, authorisation, recording | Existence, ownership, valuation, presentation |
| Evidence | Vouchers/invoices                    | Physical + title + confirmations              |

- **Internal Control components (COSO / SA 315):** Control Environment, Risk Assessment, Control Activities, Information & Communication, Monitoring.
- **Test of Controls** (are controls operating?) vs **Substantive Procedures** (detect misstatement: *tests of details + substantive analytical*).
- **Internal Check** = division of work so no one person handles a transaction end-to-end (built-in cross-check).

## 9. Audit Evidence — SAAE ("Sufficient & Appropriate")

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- **Sufficiency** = quantity (↑ with higher RoMM, ↓ with higher quality). **Appropriateness** = **relevance + reliability**.
  - **Reliability hierarchy**: external > internal; auditor-obtained (direct) > entity-provided; documentary > oral; originals > copies; effective controls ↑ reliability.
  - **Procedures (7)**: Inspection, Observation, External Confirmation, Recalculation, Reperformance, Analytical Procedures, Inquiry (*inquiry alone insufficient*).
  - **Assertions**: Classes of transactions (OCCA-C: Occurrence, Completeness, Accuracy, Cutoff, Classification); Balances (Existence, Rights & Obligations, Completeness, Valuation); Presentation & disclosure.
  - **Written representations (SA 580)** = audit evidence but **not** a substitute for other evidence.
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## 10. Company Audit — Report & CARO

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- **Auditor's report contents (143(3))**: whether info/explanations obtained; proper books kept; accounts agree with books; FS comply with AS; observations, adverse remarks; director disqualification (164(2)); **IFC** reporting (143(3)(i)); CARO matters.
  - **CARO 2020** applies to most companies **except**: banking, insurance, **Sec 8**, OPC, small company, and certain private companies (paid-up + reserves ≤ ₹1 cr, borrowings ≤ ₹1 cr, turnover ≤ ₹10 cr — all conditions).
  - **Branch audit (143(8)), Joint audit (SA 299)** — joint auditors jointly & severally responsible for common areas; separately for allocated work.
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## 11. Special / Government & Other Audits

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- **Government audit**: by **C&AG**; supplementary audit u/s 143(6); propriety audit (wisdom/faithfulness of spend), performance/efficiency audit.
  - **Bank audit**: LFAR, NPA norms, RBI prudential norms.
  - **Cooperative societies, LLP, NGO, charitable trust** — governing statute drives scope.
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## 12. Digital / Automated Environment (SA 315 context)

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- **Risks in IT**: unauthorised access, data loss, over-reliance on systems, program changes, lack of segregation.
  - **CAATs** (Computer-Assisted Audit Techniques) — test data, GAS; **data analytics** for 100% population testing.
  - **Application controls** (input/process/output) + **General IT controls** (access, change mgmt, ops).
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### **Rates / Limits Caveat (esp. Taxation cross-refs)**

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Monetary thresholds above (₹1 cr fraud reporting, ₹5 lakh indebtedness, penalty ranges, CARO limits) are **Companies Act / ICAI figures — stable but confirm against the CURRENT ICAI Study Material & latest**



**RTP/MTP.** For any **Taxation** rates, slabs, or limits: these are **Assessment-Year specific** — **do NOT rely on memory; verify exact figures in the current ICAI material for the applicable AY** before writing.

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### One-line recall triggers

- **AR = IR × CR × DR**; RoMM↑ → DR↓ → evidence↑.
- **Qualified/Adverse/Disclaimer** = Material×Pervasive matrix.
- **139–148** = the audit spine of Companies Act.
- **SS-AFI** = five independence threats.
- **First Schedule** → **BoD (₹1L)**, **Second Schedule** → **DC (₹5L)**.
- **144** = prohibited services; **143(12)** = fraud reporting; **139(2)** = rotation.

# Chapter 01 — Nature, Objective & Scope of Audit

## 1. The Problem — Why Does Anyone Need an Audit at All?

Start with a company, not with a textbook.

A company is owned by shareholders. But shareholders do not run it. They hire directors and managers to run it *for* them. This split — **owners who supply the capital** versus **managers who control the capital** — is the seed of every audit problem you will ever study.

The owners hand over money. In return the managers periodically hand back a set of financial statements: "Here is what we did with your money — this much profit, these assets, these liabilities." The owner reads it and must decide: *Do I believe this?*

There is a genuine reason **not** to believe it blindly. Consider the incentives:

- The managers' bonuses, job security, and reputation depend on the numbers *they themselves* prepare. A manager who reports high profits looks successful. So there is a temptation to **overstate income and assets, understate liabilities**.
- The managers know a thousand things about the business the owner does not. The owner sees only the summary. This gap in knowledge is real and permanent.
- Even an honest manager makes mistakes. The accounting is complex, estimates are involved, and errors creep in.

Economists give these two frictions precise names, and you must know them because the whole subject is built on them:

| Concept                      | Plain meaning                                                                                   | Why it creates audit demand                                                     |
|------------------------------|-------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------|
| <b>Agency problem</b>        | The agent (manager) may act in his own interest, not the principal's (owner's)                  | Owner cannot trust the agent's self-report of performance                       |
| <b>Information asymmetry</b> | The manager knows more than the owner                                                           | Owner cannot independently verify what he is told                               |
| <b>Stewardship</b>           | The manager holds and manages assets <i>belonging to someone else</i> and must account for them | Society demands the steward <i>prove</i> faithful custody, not merely assert it |

So the problem is a **trust gap**. The people who need the truth (owners, lenders, tax authorities, employees, the public) are exactly the people who *cannot* generate it themselves, and the people who *can* generate it (management) are exactly the people who are **not neutral** about what the truth says.

You cannot solve this by asking the manager to try harder to be honest. Honesty you cannot observe is worthless — the whole point is that the owner **can't see inside**. You need something structural.

That structural solution is **audit**: insert an *independent, competent, third person* whose only job is to examine the financial statements and give the owner an **informed, unbiased opinion** on whether they can be believed. The auditor is not loyal to management and not dependent on the reported numbers looking good. That independence is the entire value proposition.

**First-principles statement of the problem:** *Those who must rely on financial statements are not the ones who prepare them, and those who prepare them are not neutral. Audit exists to make the statements credible to the people who could not otherwise verify them.*

Keep this in your head for the rest of the book. Every Standard on Auditing (SA), every procedure, every disclosure requirement is ultimately an answer to *some specific way the trust gap could produce a wrong number the owner relies on.*

## 1.1 Who exactly relies — and why "users" is a wider net than shareholders

The examiner often asks "*discuss the users of financial statements and how audit serves each.*" Do not answer "shareholders" alone. The trust gap radiates outward to everyone who makes a decision on the strength of the accounts, and audit serves each because none of them can walk into the accounts department and verify the numbers themselves:

| User                         | Decision they make                       | Why they cannot self-verify                     |
|------------------------------|------------------------------------------|-------------------------------------------------|
| Existing shareholders        | Hold / sell / vote on the board          | Outside the day-to-day; see only the report     |
| Prospective investors        | Buy the shares at all                    | No access even to internal reports              |
| Lenders / banks              | Grant, price, and renew credit           | Rely on covenants computed from audited figures |
| Trade creditors / suppliers  | Extend goods on credit                   | Judge solvency from published accounts          |
| Employees & unions           | Wage bargaining, job security            | Cannot audit the employer                       |
| Government & tax authorities | Assess tax, grant licences, frame policy | Rely on audited profit as a starting point      |
| Regulators (SEBI, RBI)       | Protect the market and depositors        | Depend on assured disclosures                   |
| Public / customers           | Deal with, warranty reliance             | Only the report is visible                      |

The lesson: **audit is a public-interest activity.** The auditor is appointed by the members but effectively works for a much larger, unnamed body of users. This is why the auditor's duty of care is not confined to whoever pays the fee — a theme that returns in the ethics and professional-liability chapters.

## 1.2 The paradox at the heart of audit — "the audited pays the auditor"

Note a structural oddity you must be able to articulate: the *company* (controlled day-to-day by the very management being checked) proposes the auditor, pays the fee, and can make life easy or hard. Logically this looks like asking the accused to hire the judge. Why does audit still work?

Because the *law deliberately breaks the link* at every point where management could exploit it:

- **Appointment** is by the *shareholders in general meeting* (Sec 139), not by the board unilaterally.
- **Removal before term** needs a *special resolution plus Central Government approval* (Sec 140) — management cannot quietly sack an inconvenient auditor.
- **Remuneration** is fixed by the members (Sec 142), not negotiated privately with the finance director.
- **Scope** is set by statute and the SAs — *management cannot shrink it.*

So the paradox is resolved not by trusting people but by *engineering the incentives*. Every one of these provisions exists precisely because the payer and the audited are the same party, and independence must be protected by force of law rather than goodwill. Recognising *why* each provision exists — rather than listing sections — is what separates a concept answer from a rote one.

## 2. The Core Idea — What Audit Actually Is

Auditing is defined (per ICAI, drawing on SA 200 and the framework) roughly as:

**An audit is the independent examination of financial information of any entity — whether profit-oriented or not, and irrespective of its size or legal form — when such an examination is conducted with a view to expressing an opinion thereon.**

Unpack that definition against the problem:

- **Independent** — solves the agency problem. The examiner is not management.
- **Examination of financial information** — it is *evidence-based verification*, not a rubber stamp and not re-doing the accounts.
- **Any entity, any size, any form** — the trust gap exists for a charity, a partnership, a bank, or a listed giant. The concept is universal; only the *legal requirement* to audit varies.
- **Expressing an opinion** — the output is an **opinion**, deliberately. Not a certificate. Not a guarantee. This word is doing enormous work, and Section 4 will explain exactly why it must be "opinion" and nothing stronger.

The core mental model is a triangle of three parties, and you should carry it as a diagram:

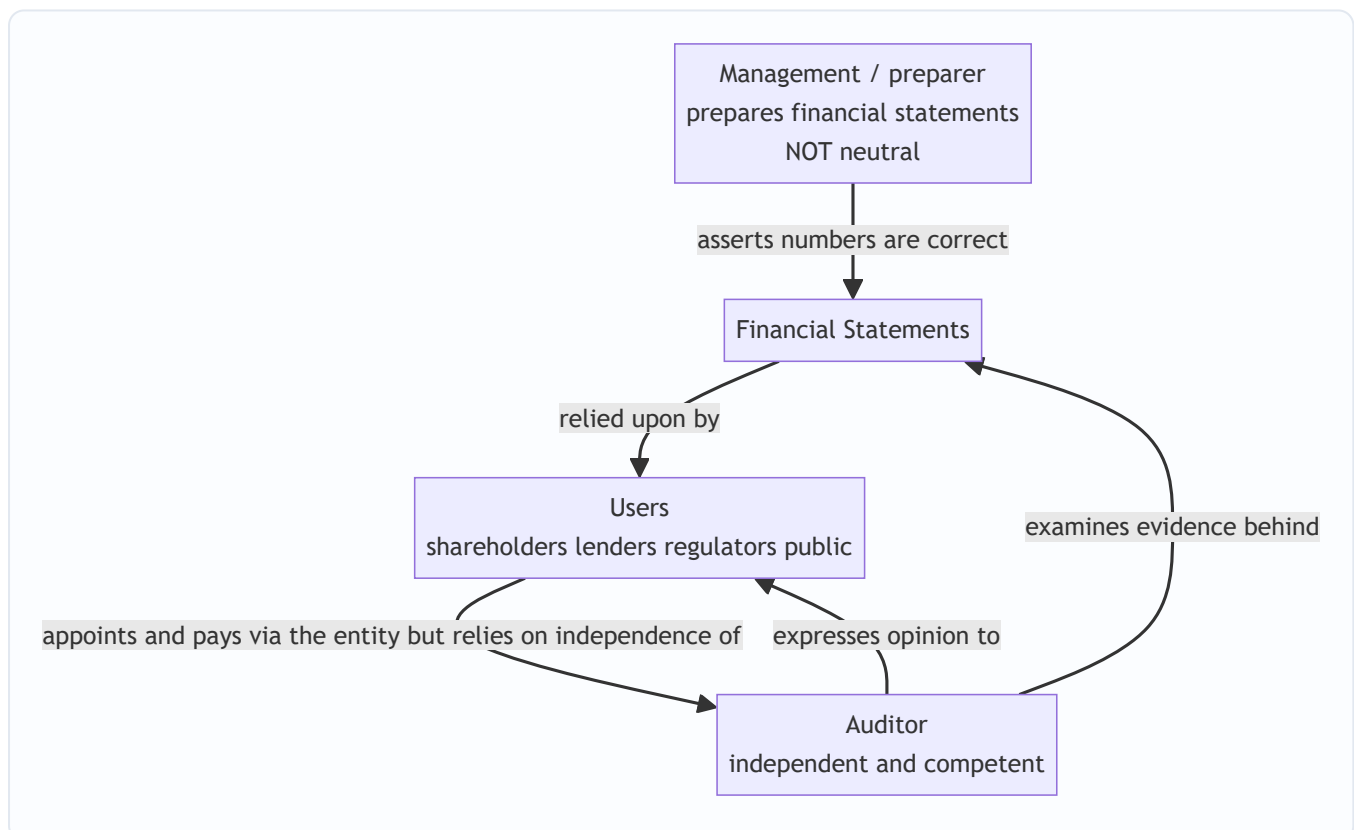


Figure 1 — The audit triangle. The auditor sits between preparer and user, converting an untrustworthy self-report into credible information.

The auditor's opinion adds **credibility**. That is the product being sold. Financial statements *with* a clean audit opinion are believable enough to lend against, invest in, and tax. The same statements *without* one are just management's word.

## 2.1 What audit is NOT — five boundary lines the examiner tests

Concepts are sharpened by their edges. An audit is decisively **not** any of the following, and stating these boundaries earns marks and prevents the classic "certify/guarantee" trap:

1. **Not preparation of accounts.** The *management* prepares the financial statements (the "preparer/auditor divide" is fundamental — an auditor who writes up the books cannot then independently opine on them; that is a **self-review threat**). Audit *verifies* an already-prepared set.
2. **Not a guarantee of accuracy.** It is an *opinion* on *true and fair view*, carrying *reasonable* — never absolute — assurance (Section 3).
3. **Not an assurance of the entity's future or of management's efficiency.** A clean report says nothing about whether the company is well-run or will survive — only whether the *statements* are fairly presented (subject to going-concern reporting under SA 570).
4. **Not investigation.** An **investigation** is a *purposive, deep examination into a specific area* (e.g., suspected fraud, valuation for acquisition) commissioned for a defined objective, often with no materiality filter and 100% checking of the target area. An **audit** is *general-purpose, materiality-bounded, opinion-oriented*. Distinguishing the two is a favourite short-note question (see 2.2).
5. **Not accountancy.** Accountancy *records, classifies and summarises*; audit *examines and reports*. "Accounting ends where auditing begins" — the two are sequential, not the same.

## 2.2 Audit vs Investigation — a frequently examined distinction

| Dimension           | Audit                                   | Investigation                                             |
|---------------------|-----------------------------------------|-----------------------------------------------------------|
| Objective           | Express opinion on true & fair view     | Establish a <i>specific fact</i> for a special purpose    |
| Scope               | General; the whole financial statements | Limited to the area under enquiry; can be wide in depth   |
| Governing framework | SAs; statutory                          | The <i>terms of engagement</i> ; no fixed statute         |
| Materiality         | Applies; immaterial items may pass      | Often <i>ignored</i> — even small items examined          |
| Period              | Usually one accounting year             | May span several years as needed                          |
| Evidence            | Persuasive, sampled                     | Conclusive sought; often 100% checking                    |
| Conducted for       | Owners / statute                        | Whoever commissions it (buyer, lender, court, management) |
| Nature              | Recurring, routine                      | One-off, purposive                                        |

Mnemonic: **audit is broad and shallow with an opinion; investigation is narrow and deep with a conclusion.**

### 3. Why It Is Built This Way — The Logic of "Reasonable Assurance"

Here is the crux question a sharp learner asks: *If the point is trust, why doesn't the auditor simply guarantee the accounts are 100% correct? Wouldn't that be more useful?*

The answer is that a guarantee is **impossible**, and pretending otherwise would be a lie. Understanding *why* it is impossible is the key to understanding the entire nature and scope of audit. This is where SA 200, *Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with Standards on Auditing*, becomes central.

#### The concept of assurance

An **assurance engagement** is one where the practitioner expresses a conclusion designed to enhance the confidence of intended users about an outcome (here, the financial statements) against criteria (here, the applicable financial reporting framework — Accounting Standards / Ind AS + Companies Act).

Every assurance engagement has **five elements** — worth knowing because the examiner asks "what are the elements of an assurance engagement?":

1. **Three-party relationship** — practitioner (auditor), responsible party (management), and intended users.
2. **An appropriate subject matter** — here, the financial position and performance.
3. **Suitable criteria** — the applicable financial reporting framework (AS / Ind AS + Companies Act).
4. **Sufficient appropriate evidence** — the fuel of the opinion.
5. **A written assurance report** in the appropriate form.

If any element is missing, it is *not* an assurance engagement. For instance, agreed-upon procedures and mere compilation of accounts are **non-assurance** services — the practitioner expresses *no* conclusion, only reports factual findings or assembles data.

Assurance comes in two grades:

| Type                        | Level                         | Wording of conclusion                                                              | Example                                                                |
|-----------------------------|-------------------------------|------------------------------------------------------------------------------------|------------------------------------------------------------------------|
| <b>Reasonable assurance</b> | High, but <b>not absolute</b> | <b>Positive</b> — "in our opinion the statements give a true and fair view"        | Statutory audit                                                        |
| <b>Limited assurance</b>    | Moderate, lower               | <b>Negative</b> — "nothing has come to our attention that causes us to believe..." | Review engagement (e.g. review of interim financials, SRE 2400 / 2410) |

A statutory **audit provides reasonable assurance** — the *highest* level a practitioner can offer — but crucially **not absolute assurance**. SA 200 is explicit: absolute assurance is **not attainable** because of the **inherent limitations of an audit**.

**Why positive vs negative wording?** In a *reasonable* assurance engagement the auditor has done enough work to make a *direct affirmative* statement ("the statements *are* true and fair"). In a *limited* assurance engagement the work is deliberately *less* — mainly enquiry and analytical procedures, little or no substantive testing — so the practitioner can only make a *lower*, double-negative claim ("*nothing came to our attention...*"). The wording is not stylistic; it is an honest signal of *how much work stands behind the conclusion*. Confusing the two is an instant mark-loser (Trap 2).

## Why not absolute? The inherent limitations (and their causes)

This is examinable almost every attempt, and it must be understood, not memorized. Absolute assurance is unreachable because of limitations *built into the nature of auditing itself*.

1. **Nature of financial reporting — judgement and estimates.** Financial statements are not pure fact. They contain estimates (provision for doubtful debts, useful life of assets, warranty provisions, fair values). Estimates are inherently uncertain — a *range* of amounts could all be "reasonable". No auditor can prove a single estimate is the one true number, because there *is* no single true number.
2. **Nature of audit evidence — persuasive, not conclusive.** The auditor works mostly with evidence that *persuades* rather than *proves*. He samples; he does not (cannot) test 100% of transactions in a large entity — that would cost more than the company earns and take longer than a year. He relies on inference. Persuasive evidence can be wrong.
3. **Fraud, especially collusion and management override.** Audit procedures are designed to detect *material misstatement*. But a **well-concealed fraud** — forged documents, deliberate misrepresentation by management, **collusion** among several people, or **management override of controls** — is specifically designed to defeat the very procedures an auditor would normally rely on. Detecting a sophisticated fraud is harder than detecting an error, because there is an intelligent adversary hiding it.
4. **Timeliness and cost — the balance principle.** The audit must be finished in a reasonable time and at a reasonable cost, or it is useless (nobody wants a "true and fair" opinion on last decade's accounts). This forces **sampling** and **judgement about materiality**. The relevance of information declines with time; the cost of certainty is prohibitive. So audit is deliberately a *cost-benefit balance*, and that balance means less-than-total checking.
5. **Other areas of inherent limitation** — related party relationships, or the possibility of non-compliance with laws, can be very hard to detect because they too may be deliberately concealed.

**A finer distinction the exam rewards — inherent limitations vs unlimited liability.** Students confuse "the audit has inherent limits" with "so the auditor is never liable." Wrong. The inherent limitations explain why a *properly conducted* audit may still miss something — they are a shield only when the auditor has genuinely exercised skepticism, followed the SAs, and documented it. They are **not** a defence for negligence. If the auditor *failed* to perform a procedure the SAs required, "audit has inherent limitations" will not save him. The limitations bound *what audit can achieve*, not *what the auditor must attempt*.

**Another finer distinction — future events are not an inherent limitation of the same kind.** Subsequent discovery that the financial statements were misstated does not, *by itself*, prove the audit was deficient (SA 200). The question is always whether the auditor's work was adequate *given what was knowable at the time*. This is the intellectual backbone of Scenario 1.

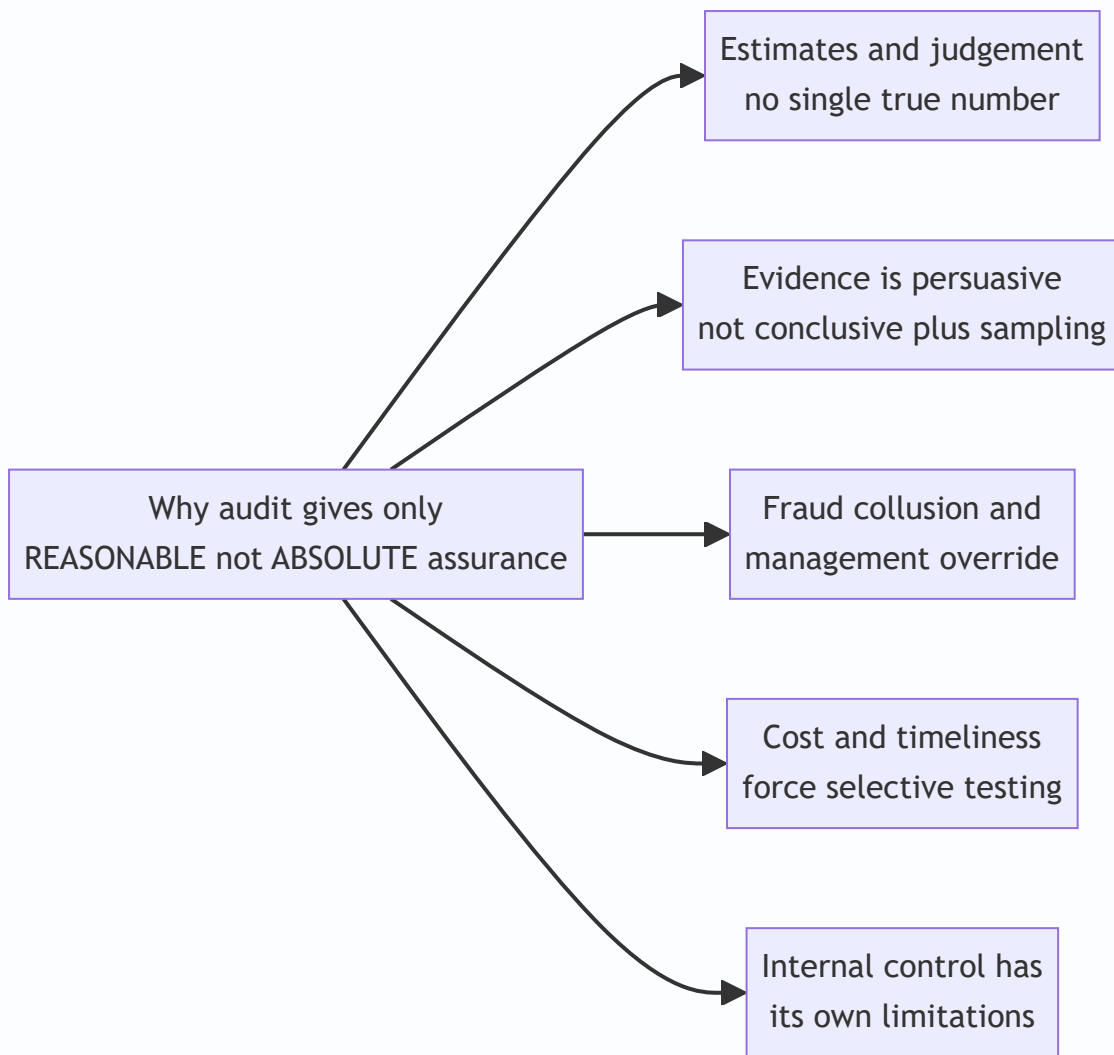


Figure 2 — The five roots of inherent limitation. Because these are inherent, no amount of extra work can ever reach 100 percent — hence "reasonable", not "absolute".

## The payoff of the logic

Because certainty is impossible, an honest profession promises the **highest achievable** confidence and *names it honestly* as "reasonable assurance". That is why the output is an **opinion** on whether the statements show a **true and fair view**, expressed with **professional judgement** and **professional skepticism** — not a certificate of arithmetical correctness and not an insurance policy against fraud.

This single design decision — *promise reasonable assurance, express an opinion, admit inherent limits* — is the DNA of the entire subject. Everything technical that follows is the machinery for delivering exactly this much and no more.

### 3.1 Reasonable assurance stated quantitatively — the audit risk link

"Reasonable assurance" is *high but not 100%*. The other side of the same coin is **audit risk** — the risk that the auditor gives a clean opinion on statements that are in fact materially misstated. If assurance is, loosely, "1 – audit risk", then reasonable assurance means driving *audit risk* down to an **acceptably low level**, not to zero. This is the bridge into the risk chapter, expressed as the **audit risk model**:



$$\text{Audit Risk (AR)} = \text{Inherent Risk (IR)} \times \text{Control Risk (CR)} \times \text{Detection Risk (DR)}$$

- **Inherent Risk** — susceptibility of an assertion to misstatement *before* controls (e.g., cash and estimates are inherently risky).
- **Control Risk** — risk that the entity's internal controls fail to prevent/detect it.
- **Detection Risk** — risk that the auditor's *own* procedures fail to catch it. This is the *only* leg the auditor controls, by adjusting the nature, timing and extent of testing.

The logic: IR and CR are the *entity's* risks — the auditor merely *assesses* them. To hold overall AR at his acceptable low level, the auditor sets **DR inversely** to the combined IR×CR. High assessed IR×CR ⇒ auditor must *lower* DR ⇒ *more* and *better* evidence. This is quantitatively why "reasonable assurance" translates into "more work where risk is higher" — the exact idea Section 4's assertions operationalise.

## 4. Full Technical Content — Objectives, Assertions, Standards, and Scope

### 4.1 The objective of audit per SA 200

SA 200 states the auditor's **overall objectives**:

1. To obtain **reasonable assurance** about whether the financial statements as a whole are **free from material misstatement**, whether due to **fraud or error**, thereby enabling the auditor to express an **opinion** on whether the financial statements are prepared, in all material respects, in accordance with an applicable **financial reporting framework**; and
2. To **report** on the financial statements, and communicate as required by the SAs, in accordance with the auditor's findings.

Where reasonable assurance cannot be obtained and a qualified opinion is insufficient, SA 200 requires the auditor to **disclaim an opinion or withdraw** where withdrawal is legally possible.

Notice the deliberate words:

- **"Free from material misstatement"** — not free from *all* misstatement. **Materiality** (SA 320) is the filter: a misstatement matters only if it could influence the economic decisions of users. Audit chases *material* truth, not trivial perfection. This directly follows from the cost/benefit logic in Section 3.
- **"Whether due to fraud or error"** — the auditor must consider *both*. Fraud is intentional; error is unintentional. SA 240 governs the auditor's responsibilities relating to fraud.
- **"True and fair view"** — the goal is not that every rupee is "correct" but that the statements, *taken as a whole*, present a picture that is not misleading and complies with the framework.

**A distinction the examiner probes — error vs fraud.** Both produce misstatement; the auditor's *primary interest is the misstatement itself, not the label*. But the distinction matters because *intent changes the auditor's response*:

|                    | Error                                                                 | Fraud                                                                |
|--------------------|-----------------------------------------------------------------------|----------------------------------------------------------------------|
| Intent             | Unintentional                                                         | <b>Intentional</b>                                                   |
| Examples           | Arithmetic mistake, wrong estimate in good faith, overlooked standard | Fraudulent financial reporting;<br><b>misappropriation of assets</b> |
| Detectability      | Comparatively easier                                                  | Harder — actively concealed                                          |
| Auditor's response | Ordinary procedures                                                   | Heightened skepticism; SA 240 duties                                 |

Fraud further splits into (a) **fraudulent financial reporting** (cooking the statements — usually by *management*, to mislead users) and (b) **misappropriation of assets** (theft — usually by *employees*, smaller amounts). Management fraud is the graver audit concern because of *management override of controls*.

**The responsibility divide — the single most trap-prone idea in the chapter.** *Prevention and detection of fraud/error is the responsibility of MANAGEMENT and those charged with governance (via internal control).* The auditor's responsibility is to obtain reasonable assurance that the statements are free from *material* misstatement. The auditor is **not** primarily responsible for *preventing* fraud, and cannot be expected to detect *all* fraud (immaterial fraud, or well-concealed fraud, may escape). Writing "the auditor is responsible for detecting fraud" is a classic error — say instead: "*the auditor is responsible for obtaining reasonable assurance about material misstatement whether caused by fraud or error.*"

## 4.2 True and fair — what it means and why it is the standard

"True and fair" is the touchstone of Indian statutory audit (Companies Act 2013, **Section 143(2)** requires the auditor to report whether, in his opinion, the accounts give a **true and fair view**).

- **True** — information is factually accurate and conforms to reality and to the reporting framework; no material misstatement.
- **Fair** — information is presented and disclosed without bias, in a manner that is clear and not misleading; substance over form is respected.

Why "true and fair" rather than "correct and complete"? Because — as established above — accounts contain estimates and judgements, so *absolute* correctness is a myth. "True and fair" is the honest, achievable standard: *fairly presented within an accepted framework*, not *arithmetically perfect*.

**How does the auditor actually judge "true and fair"?** Not by feel. ICAI lists concrete anchors an auditor checks, which convert the abstract phrase into work:

1. The books are kept as required by law and the reporting framework (AS / Ind AS) is followed, or departures are justified and disclosed.
2. **No material misstatement** and no *window dressing* (making the position look better than it is) or *creation of secret reserves* (making it look worse).
3. **Assets and liabilities are correctly valued and classified**; charges and title are disclosed.
4. All **material and unusual items and post-balance-sheet events** are disclosed.
5. Statutory disclosure requirements (Schedule III to the Companies Act, etc.) are complied with.

Notice the symmetry: "true and fair" polices *both* over-statement (*window dressing*) *and* under-statement (*secret reserves*). Students remember the first and forget the second — a common gap. A secret reserve *also* makes the statements *not* true and fair, because it misleads users into thinking the entity is weaker than it is.

**"True and fair" vs "true and correct".** The older phrase "true and correct" implied *arithmetical exactness*; the modern statutory phrase "true and fair" was deliberately chosen because exactness is unattainable where estimates exist. If an exam item quotes "true and correct," flag that the Companies Act standard is **true and fair**.

### 4.3 Management assertions — the hidden claims audit tests

Every figure in the financial statements is, in effect, a set of **implicit claims (assertions)** made by management. The auditor's job is to test each claim. Assertions (per SA 315) are the bridge between "the trust problem" and "specific procedures" — you attack *the assertion that is most at risk*.

#### Assertions about classes of transactions and events (P&L items):

| Assertion             | Management is claiming...                                       | Risk it counters                           |
|-----------------------|-----------------------------------------------------------------|--------------------------------------------|
| <b>Occurrence</b>     | Recorded transactions really happened and pertain to the entity | Fictitious/overstated sales                |
| <b>Completeness</b>   | All transactions that should be recorded <i>are</i> recorded    | Hidden/understated expenses or liabilities |
| <b>Accuracy</b>       | Amounts recorded correctly                                      | Wrong figures, calculation errors          |
| <b>Cut-off</b>        | Transactions recorded in the <i>correct period</i>              | Window-dressing profit across year-end     |
| <b>Classification</b> | Recorded in the proper accounts                                 | Misclassification to flatter results       |

#### Assertions about account balances (Balance Sheet items):

| Assertion                         | Management is claiming...                     | Risk it counters                                |
|-----------------------------------|-----------------------------------------------|-------------------------------------------------|
| <b>Existence</b>                  | Assets/liabilities actually exist             | Fictitious/overstated assets                    |
| <b>Rights &amp; obligations</b>   | Entity owns the assets / owes the liabilities | Assets shown that don't belong to entity        |
| <b>Completeness</b>               | All assets/liabilities are recorded           | Off-balance-sheet liabilities hidden            |
| <b>Valuation &amp; allocation</b> | Included at appropriate amounts               | Overvalued stock, under-provided doubtful debts |

**Assertions about presentation and disclosure** — occurrence & rights/obligations, completeness, classification & understandability, accuracy & valuation of disclosures.

The genius of assertions: instead of vaguely "checking the accounts", the auditor asks, for each item, *which specific claim is most likely to be false, and what evidence would expose it?* Debtors → biggest risk is **existence/valuation** (do they exist? are they recoverable?), so you confirm balances and test recoverability. Creditors → biggest risk is **completeness** (are liabilities hidden?), so you search for unrecorded liabilities.

**The directional-testing insight (why assets ≠ liabilities in risk).** There is a beautiful asymmetry here worth internalising: management's incentive is to *inflate* the picture, so **assets and income tend to be OVERSTATED** while **liabilities and expenses tend to be UNDERSTATED**. Therefore:

- For **assets/income**, the auditor's primary worry is **existence / occurrence** (is this real, or fictitious?). You *vouch* — from the recorded entry *back to* supporting evidence.
- For **liabilities/expenses**, the primary worry is **completeness** (what has been left out?). You *trace* — from the source documents *forward into* the records, and perform a *search for unrecorded liabilities*.

This one principle — "test assets for existence, liabilities for completeness" — decides the direction of most audit procedures. It is why confirming debtors and searching for unrecorded creditors are the textbook illustrations.

#### 4.4 The Standards on Auditing (SA) — organised by the risk each addresses

The SAs are issued by ICAI and are **mandatory** for audits. Do not memorize them as a list; group them by the part of the trust problem they solve.

**First, place the SAs in the ICAI hierarchy of pronouncements.** The auditor is bound by more than the SAs:

- **Standards on Quality Control (SQC 1)** — apply to the *firm* as a whole, governing its system of quality control.
- **Engagement Standards** — the umbrella covering: **SAs** (audits of historical financial information), **SREs** — Standards on Review Engagements (reviews, limited assurance), **SAEs** — Standards on Assurance Engagements (assurance other than audits/reviews, e.g., prospective financial information), and **SRSs** — Standards on Related Services (agreed-upon procedures, compilation — *non-assurance*).
- **Guidance Notes** — recommendatory, not mandatory, but a member should be prepared to explain departure.

Know the difference: **SAs = audit; SRE = review; SAE = other assurance; SRS = related/non-assurance services**. This four-way split is directly examinable.

| Group / Series                                           | Key SAs                                                                                                                                                                                                                                                                                                               | The risk / need it addresses                                                                                          |
|----------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------|
| <b>200–299 General Principles &amp; Responsibilities</b> | SA 200 (overall objectives), SA 210 (agreeing terms), SA 220 (quality control), SA 230 (documentation), SA 240 (fraud), SA 250 (laws & regulations), SA 260/265 (communication with those charged with governance / control deficiencies)                                                                             | Establishes <i>what an audit is</i> , the auditor's duties, independence, skepticism, and how responsibility is fixed |
| <b>300–499 Risk Assessment &amp; Response</b>            | SA 300 (planning), SA 315 (identifying & assessing risk via understanding the entity), SA 320 (materiality), SA 330 (responses to assessed risk), SA 402 (service organisations), SA 450 (evaluating misstatements)                                                                                                   | The engine room: <i>find where misstatement is likely, then aim procedures there</i>                                  |
| <b>500–599 Audit Evidence</b>                            | SA 500 (evidence), SA 501 (specific items — inventory, litigation), SA 505 (external confirmations), SA 510 (opening balances), SA 520 (analytical procedures), SA 530 (sampling), SA 540 (estimates), SA 550 (related parties), SA 560 (subsequent events), SA 570 (going concern), SA 580 (written representations) | <i>How the auditor gets sufficient appropriate evidence</i> to reduce risk to acceptably low                          |
| <b>600–699 Using Work of Others</b>                      | SA 600 (using another auditor), SA 610 (internal auditors), SA 620 (auditor's expert)                                                                                                                                                                                                                                 | Audit cannot do everything alone; addresses the risk of relying on others                                             |
| <b>700–799 Audit Conclusions &amp; Reporting</b>         | SA 700 (forming opinion & reporting), SA 701 (key audit matters), SA 705 (modifications), SA 706 (emphasis of matter / other matter), SA 710 (comparatives), SA 720 (other information)                                                                                                                               | Converts evidence into the <i>communicated opinion</i> the user relies on                                             |
| <b>800–899 Specialised Areas</b>                         | SA 800, 805, 810                                                                                                                                                                                                                                                                                                      | Special-purpose frameworks, single statements, summary financials                                                     |

If unsure of an exact SA number in the exam, state the principle and note "confirm the SA number in ICAI material" — but the numbers above are the standard ICAI set and worth knowing.

**What if the examiner asks "are SAs mandatory, and what if the auditor departs?"** The SAs are *mandatory*. But SA 200 recognises that in *exceptional* circumstances the auditor may judge it necessary to depart from a *relevant requirement* — in which case he must perform *alternative* procedures to achieve the *aim* of that requirement and *document* the reasons. Departure to *avoid work* is misconduct; departure with a justified alternative and documentation is permitted. This nuance ("mandatory but not blindly mechanical") is a favourite discriminator between average and strong answers.

## 4.5 Scope of audit

The **scope** of an audit — how far the auditor's work reaches — is determined by:

1. The **applicable financial reporting framework** (Accounting Standards / Ind AS),
2. The relevant **Standards on Auditing**,

3. The **terms of engagement** and any **statutory/legal requirements** (e.g. Companies Act, and for companies also the reporting under CARO and internal financial controls u/s 143(3)(i)).

Key scope principles:

- The audit should be **organised to cover all aspects** of the entity relevant to the financial statements.
- The auditor should assess the **reliability and sufficiency** of information (accounting records + other sources) and whether it is **properly disclosed**.
- The auditor uses **judgement** to decide what information to test and how much.
- **The scope is NOT restricted by management** — if management imposes a limitation on scope that the auditor cannot overcome, it leads to a **modified opinion** (qualification or disclaimer) under SA 705. The auditor decides the extent of work needed, not the client.
- An audit is **not** a guarantee of the entity's future viability, nor of management's efficiency or effectiveness — it is an opinion on the *financial statements*.

**A distinction inside "scope limitation" that the exam tweaks.** Not every scope limitation is management's fault, and the *source* changes the auditor's options:

| Source of limitation            | Example                                                                                 | Auditor's preferred route                                                                                                                                                                                                               |
|---------------------------------|-----------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Imposed by management</b>    | Refuses to allow debtor confirmations or a stock count                                  | Try alternatives; if still unable and effect could be <i>material and pervasive</i> , <b>withdraw</b> if legally possible, else <b>disclaim</b> . Management-imposed limits are treated most severely because they hint at concealment. |
| <b>Imposed by circumstances</b> | Appointed after year-end, so could not observe closing stock; records destroyed by fire | Try alternative evidence; if unavailable, <b>qualify</b> or <b>disclaim</b> depending on materiality/pervasiveness — but <i>no</i> implication of management bad faith                                                                  |

The examiner's classic tweak: "auditor appointed after the year-end could not attend stock count." That is a *circumstance-imposed* limitation — the auditor performs *alternative procedures* (e.g., roll-back from a later count, review of records), and only if those fail does it become a reporting issue. Do not leap straight to "qualify."

**Materiality and pervasiveness decide the opinion, not materiality alone.** A finer point often missed: whether a scope limitation (or a disagreement) yields a **qualified** vs a **disclaimer/adverse** opinion depends on *two* dimensions — is the effect **material**, and is it also **pervasive** (spread across many elements, or fundamental to the statements as a whole)?

- Material but *not* pervasive → **Qualified** ("except for...").
- Material *and* pervasive → **Disclaimer** (for scope limitation) or **Adverse** (for disagreement).

## 4.6 Types of audit

Auditing is one concept applied in many contexts. Classify along two axes.

**By legal requirement:**

- **Statutory audit** — required by law (e.g. audit of companies under the Companies Act 2013; banks under Banking Regulation Act; tax audit u/s 44AB of the Income-tax Act). Neither scope nor removal of auditor

can be curtailed by agreement — the statute governs.

- **Non-statutory / voluntary audit** — undertaken by choice (e.g. a proprietorship or a small partnership gets audited to satisfy a lender). Scope is set by the engagement contract.

**By approach / subject-matter:**

| Type                                  | What it examines                                                          | Risk it serves                                            |
|---------------------------------------|---------------------------------------------------------------------------|-----------------------------------------------------------|
| <b>Financial audit</b>                | Truth & fairness of financial statements                                  | Core trust gap between owners and managers                |
| <b>Cost audit</b>                     | Cost records and cost statements (Companies (Cost Records & Audit) Rules) | Whether resources are used efficiently; regulated pricing |
| <b>Management / operational audit</b> | Efficiency and effectiveness of operations                                | Value-for-money, not just accuracy                        |
| <b>Internal audit</b>                 | Ongoing appraisal of controls & risk <i>by/for management</i> (see 4.7)   | Continuous control and governance                         |
| <b>Government audit (C&amp;AG)</b>    | Public funds, propriety, regularity                                       | Stewardship of taxpayer money                             |
| <b>Tax audit</b>                      | Compliance with income-tax provisions                                     | Correct assessment of taxable income                      |
| <b>Special / forensic audit</b>       | Specific purpose, often fraud investigation                               | Deep-dive where fraud is suspected                        |

**By coverage/timing:** *continuous audit* (checking throughout the year — suits large volumes but risks altered figures after checking), *periodic/final audit* (after year-end in one continuous session), *interim audit* (up to a mid-point, often for interim results), and *balance-sheet audit* (works back from the balance sheet to underlying records).

**Continuous audit — the double-edged sword (frequently examined).** A *continuous audit* means the auditor's staff attend the client at regular intervals *during* the year, not just at the end. Weigh both sides, because the examiner asks for advantages *and* disadvantages:

*Advantages:* early detection of errors/fraud; moral check on staff (deterrence); the accounts are ready to finalise quickly at year-end; the auditor gains deep familiarity; work is spread evenly.

*Disadvantages/dangers:* **figures already checked may be altered afterwards** (the central risk); the audit trail may be disturbed; *dependence* of client staff on the auditor; risk of a mechanical, routine approach; possibility of collusion developing through frequent contact.

*Safeguards:* use **special ticks / secret markings** whose meaning is not disclosed to staff, so subsequent alteration is detectable; note balances of important accounts in the audit notebook; give clear instructions that checked figures are not to be altered. This "alteration-after-checking" risk and its safeguard is a stock 4-mark point.

## 4.7 Statutory (external) audit vs internal audit — a critical distinction

Examiners love to test whether you can separate these. Both examine, but they serve different masters.



| Dimension     | Statutory (External) Audit                                         | Internal Audit                                                |
|---------------|--------------------------------------------------------------------|---------------------------------------------------------------|
| Objective     | Express opinion on true & fair view to <b>owners/third parties</b> | Improve operations, controls, risk mgmt for <b>management</b> |
| Appointed by  | Shareholders (members)                                             | Management / Board / Audit Committee                          |
| Reports to    | Members (shareholders)                                             | Management / Audit Committee                                  |
| Governing law | Companies Act 2013 (Sec 139–147), SAs                              | Sec 138 (where applicable), internal policies, SIA            |
| Independence  | Independent of management — legally protected                      | Part of the entity; less independent                          |
| Scope         | Determined by statute + SAs — <b>cannot be restricted by mgmt</b>  | Determined by <b>management</b>                               |
| Mandatory?    | Yes, for every company                                             | Only for prescribed classes (Sec 138 + Rules)                 |

The external auditor *may use* the internal auditor's work under **SA 610**, but only after evaluating the internal auditor's **competence, objectivity, and systematic approach** — and the external auditor **retains sole responsibility** for the opinion. The reason is the agency logic again: internal audit reports to the very management whose statements are being audited, so it cannot supply the *independence* the owner needs.

**A subtle limit examiners exploit — SA 610 and "direct assistance"**. Even where the external auditor uses internal audit's *work*, the responsibility for the opinion is *undivided* — there is *no reduction* in the statutory auditor's responsibility. Under Indian requirements, the external auditor makes **all significant judgements** himself; the more judgement or the higher the assessed risk in an area, the *less* he can lean on internal audit. He cannot use internal audit's work at all if their objectivity or competence is inadequate. The mantra: "*use, but never abdicate.*"

#### 4.8 Ethical principles — the foundation that makes the opinion worth anything

An audit opinion is only valuable if the auditor is *trustworthy*. The entire value collapses if the auditor is biased, incompetent, or corrupt. Hence the **ICAI Code of Ethics** (built on the IESBA framework) imposes **fundamental principles**, reinforced by SA 200's requirement of **relevant ethical requirements, including those on independence**:

| Principle                                     | What it demands                                      | The risk it kills                                |
|-----------------------------------------------|------------------------------------------------------|--------------------------------------------------|
| <b>Integrity</b>                              | Be straightforward and honest                        | Auditor lying or misleading destroys credibility |
| <b>Objectivity</b>                            | No bias, conflict of interest, or undue influence    | Biased opinion = worthless opinion               |
| <b>Professional competence &amp; due care</b> | Maintain skill; act diligently per current standards | Incompetent auditor misses misstatements         |
| <b>Confidentiality</b>                        | Don't disclose client information without authority  | Clients won't give full access if secrets leak   |
| <b>Professional behaviour</b>                 | Comply with laws; avoid discrediting the profession  | Protects trust in the profession as a whole      |



Sitting above these is **independence** — the crown jewel. It has two aspects:

- **Independence of mind** — the actual state of mind that permits an unbiased conclusion.
- **Independence in appearance** — avoiding circumstances a reasonable third party would think compromise independence.

Independence is not a bonus feature; it is *the whole reason the audit solves the agency problem*. An auditor financially or personally entangled with management is just another insider. That is why the Companies Act disqualifies certain persons from appointment (Sec 141), restricts non-audit services (Sec 144), mandates auditor **rotation** for prescribed companies (Sec 139), and protects the auditor's tenure and removal (removal needs special resolution + Central Government approval). Every one of these rules is a wall protecting independence.

**The five threats to independence — the framework the Code actually uses.** The Code does not just say "be independent"; it identifies *categories of threat* and requires *safeguards*. Knowing the five threats lets you answer any "is independence compromised?" scenario systematically:

| Threat               | Essence                                     | Illustration                                                        |
|----------------------|---------------------------------------------|---------------------------------------------------------------------|
| <b>Self-interest</b> | Financial or other interest sways judgement | Auditor holds shares in / has a loan from the client; fee overdue   |
| <b>Self-review</b>   | Auditing one's own earlier work             | Auditor who wrote up the books, or did the valuation, now audits it |
| <b>Advocacy</b>      | Promoting the client's position             | Representing the client in litigation or share promotion            |
| <b>Familiarity</b>   | Too close/long a relationship               | Relative in a key finance role; very long association               |
| <b>Intimidation</b>  | Auditor deterred by pressure/threats        | Threat of removal or litigation to force a favourable view          |

The Code's method: *identify* the threat, *evaluate* its significance, then *apply safeguards* to reduce it to an acceptable level — and if no safeguard suffices, *decline or withdraw*. This "threats-and-safeguards" approach is examinable and is the analytical tool behind Scenario 5 below.

## 4.9 Professional skepticism and professional judgement

SA 200 requires the auditor to plan and perform the audit with:

- **Professional skepticism** — a questioning mind, alert to conditions that may indicate misstatement due to fraud or error, and a **critical assessment** of evidence. The auditor does *not* assume management is dishonest, but does *not* assume unquestioned honesty either. He treats records and representations as things to be *tested*, not *believed*. This is the auditor's built-in defence against the agency problem at the level of daily work.
- **Professional judgement** — the application of relevant training, knowledge and experience in making informed decisions (about materiality, risk, procedures, and evidence). Because audit is full of estimates and sampling, mechanical rules cannot decide everything; trained judgement must.

**The neutral-stance nuance.** Skepticism is *neither* trust *nor* suspicion — it is a *neutral* mindset ("neither assume honesty nor dishonesty"). The old English formulation — the auditor is a "**watchdog, not a bloodhound**" (Kingston Cotton Mills) — captured a lower duty; SA 240's active fraud-risk duties have raised the bar. Modern skepticism means the auditor cannot simply accept persuasive-looking evidence at face value: he weighs *reliability* by **source** (external > internal), by **nature** (documentary > oral, original >

photocopy), and by the **circumstances** under which it was obtained, and stays alert to evidence that *contradicts* other evidence. State the phrase, then qualify it — that qualification is the mark of a current answer.

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## 5. Applied Scenarios — Reasoning to the Correct Audit Response

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**Scenario 1 — "You certified our accounts, so how did the fraud happen?"** A company's storekeeper and a supplier colluded for two years to record fictitious purchases; the statutory auditor did not detect it. Shareholders argue the auditor "guaranteed" the accounts. *Reasoning:* The auditor gives **reasonable, not absolute, assurance** (SA 200). **Collusive fraud** with forged documents is a recognised **inherent limitation** — audit procedures assume documents are genuine unless indications suggest otherwise. Provided the auditor exercised **professional skepticism**, complied with **SA 240** (assessed fraud risk, responded, evaluated red flags), and obtained **sufficient appropriate evidence**, he is not automatically liable merely because a well-concealed fraud existed. He is an **opinion-giver, not a guarantor**. *Correct response:* the auditor's defence rests on demonstrating, through **documentation (SA 230)**, that he did what a competent, skeptical auditor would do.

**Scenario 2 — Management refuses to let the auditor circularise debtors.** The auditor wants to send external confirmations to debtors (SA 505). Management says, "Just rely on our ledgers; don't disturb our customers." *Reasoning:* This is a **scope limitation imposed by management**. The auditor decides the extent of procedures, **not** the client — scope **cannot be restricted by management**. Debtors' key assertions are **existence and valuation**; ledgers alone are management-generated (weak evidence). If the auditor cannot obtain alternative sufficient appropriate evidence, this is a limitation on scope leading to a **modified opinion — qualification or disclaimer** under **SA 705**, and possible **withdrawal** if pervasive. *Correct response:* insist on the procedure or perform robust alternatives; if blocked and unable to obtain evidence, modify the opinion.

**Scenario 3 — A profitable-looking company may not survive the year.** During audit, the auditor notes the company has defaulted on loans and lost its major customer, though the accounts are prepared on a going-concern basis. *Reasoning:* Audit is on the *financial statements*, and **SA 570 (Going Concern)** makes the going-concern assumption an audit matter. But note the boundary of scope: the audit is **not a guarantee of future viability**. The auditor evaluates whether the going-concern *basis* is appropriate and whether **material uncertainty** exists requiring disclosure. If disclosure is adequate, an **Emphasis of Matter** paragraph (SA 706) is used; if inadequate, the opinion is **modified**. *Correct response:* assess management's plans, obtain evidence, and report on disclosure — without claiming to predict the future.

**Scenario 4 — Small trader wants an audit though not legally required.** A sole proprietor with turnover below the tax-audit threshold asks a CA to audit his accounts to support a bank loan application. *Reasoning:* The trust gap (here between **borrower and lender**) exists regardless of legal compulsion — this is the universality of audit. This is a **voluntary / non-statutory audit**; its **scope is fixed by the engagement letter (SA 210)**, and the auditor still applies the SAs and ethical principles. *Correct response:* accept only after agreeing terms in writing, and perform to the same professional standard — independence and competence are non-negotiable even when the audit is voluntary.

**Scenario 5 — The client offers the auditor bookkeeping and audit for one fee.** A private company asks its proposed statutory auditor to *also* write up the books, prepare the financial statements, and then audit them — all for an attractive combined fee. *Reasoning:* This creates a **self-review threat** (auditing one's own

work) and, given the fee dependence, a **self-interest threat** to independence. If the auditor writes the accounts and then opines on them, the *independence* that the entire audit rests on is destroyed — he cannot be a neutral checker of his own entries. Under the **threats-and-safeguards** approach, no safeguard can adequately reduce a self-review threat *on the same set of statements the auditor must opine on*; for a company, providing "accounting and book-keeping services" is in any case among the **services prohibited to the statutory auditor (Sec 144)**. *Correct response*: decline the book-keeping engagement (or decline the audit); the audit opinion and the preparation of the same accounts cannot be done by the same person.

**Scenario 6 — Auditor appointed after year-end; closing stock not observed.** A firm is appointed as auditor two months after the year-end. Inventory (material to the accounts) was counted by the client at year-end, but the auditor was not present to observe the physical count. *Reasoning*: This is a **scope limitation imposed by circumstances, not by management** — no bad faith is implied. Physical verification of inventory is the primary evidence for the **existence** assertion (SA 501). The auditor must first attempt **alternative procedures**: observe a *current* count and roll *back* to year-end using intervening records, inspect the year-end count sheets, test cut-off, and review subsequent sales of that stock. Only if these alternatives *cannot* provide sufficient appropriate evidence does it become a reporting problem — and then the opinion is **qualified** (if material) or **disclaimed** (if material *and* pervasive). *Correct response*: do the alternatives first; do not jump to qualification. This is the deliberate "tweak" of Scenario 2 — same tool (scope limitation) but a *different source*, hence a *milder* default treatment.

**Scenario 7 — A ₹40,000 error in a ₹500-crore turnover company.** The auditor finds a genuine misclassification of ₹40,000 that management refuses to correct. *Reasoning*: Introduce **materiality (SA 320)**. A misstatement matters only if it could *influence the economic decisions of users*. Against a ₹500-crore turnover, ₹40,000 is *quantitatively immaterial* — the auditor would *not* modify the opinion for it. **But** watch the examiner's twist: materiality is *not only* about size. If that ₹40,000 (a) turns a *loss into a profit* or breaches a *loan covenant*, (b) relates to a *fraud* or *director's transaction* / related-party dealing, or (c) is legally *required* to be disclosed, it becomes **qualitatively material** despite the tiny amount. *Correct response*: judge materiality by *nature as well as amount*; a small number can still be material by its context.

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## 6. Procedure & Documentation Summary

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Even in this conceptual chapter, anchor the *process* the concept produces. A financial statement audit flows as:

Preconditions and engagement  
SA 210 agree terms in writing



Understand entity and assess  
risk of material misstatement  
SA 315 plus SA 300 planning



Set materiality  
SA 320



Design responses and procedures  
SA 330 aimed at risky assertions



Gather sufficient appropriate  
evidence SA 500 series



Evaluate misstatements  
SA 450 and conclude



Form opinion and report  
SA 700 and if needed 705 or 706



Document throughout  
SA 230

Figure 3 — The audit process as a risk-to-opinion pipeline. Every step narrows the risk of an undetected material misstatement.

**Documentation (SA 230) — the "if it isn't written, it wasn't done" principle.** The auditor must prepare audit documentation sufficient for an *experienced auditor with no previous connection* to understand: the nature, timing and extent of procedures; the results and evidence obtained; and significant matters and conclusions with the professional judgements made. Reason: documentation is the *proof* that reasonable assurance was actually obtained — it protects the auditor (evidence of diligence in disputes like Scenario 1), enforces quality (SA 220), and enables review. Working papers are the auditor's property and are retained (ordinarily a minimum period per SQC 1, generally not less than seven years).

**The reporting decision as a single logic tree.** The whole "what opinion?" question — the payoff of scope (4.5) and materiality (Scenario 7) — collapses into two questions asked in order: (1) *Do I have sufficient appropriate evidence?* and (2) *Are the statements, on that evidence, free from material misstatement?* Map the answers:

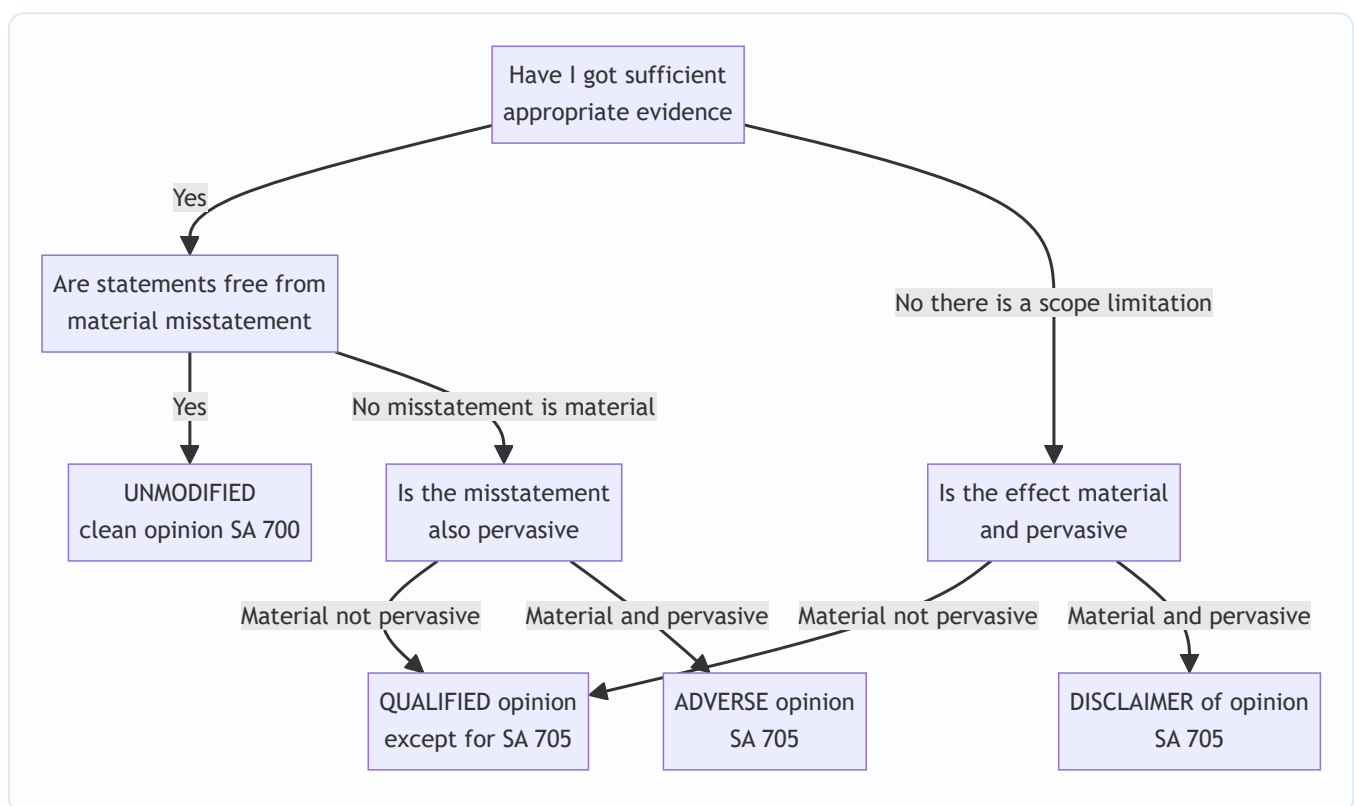


Figure 4 — The opinion logic tree. Scope problems flow down the disclaimer side; disagreements flow down the adverse side; both hinge on material versus pervasive.

Read it aloud once: *evidence problem and pervasive = disclaimer; disagreement and pervasive = adverse; either, if only material = qualified; neither = clean*. Committing this four-way outcome to memory answers a large share of reporting questions across the whole subject.

## 7. Connections — How This Chapter Wires into the Rest of the Subject

- **Audit strategy & risk (SA 300/315/320/330):** "reasonable assurance" and "materiality" introduced here become the operating dials there. The *risk model* (Audit Risk = Inherent Risk × Control Risk × Detection Risk) is the mathematical expression of "how much work to reduce risk to acceptably low."

- → **Evidence (SA 500 series):** "persuasive not conclusive" and "assertions" here decide *what evidence* and *how much* later.
  - → **Fraud (SA 240):** the fraud inherent-limitation here expands into the auditor's active responsibilities there.
  - → **Company audit (Companies Act 2013):** "true and fair" and "independence" here become concrete Sections — appointment (139), eligibility/disqualification (141), non-audit services (144), powers & duties/reporting (143), remuneration (142).
  - → **Audit report (SA 700/705/706):** the "opinion, not certificate" idea here becomes the actual wording, and scope limitations here become qualifications there — exactly the logic tree in Figure 4.
  - → **Ethics chapter:** the fundamental principles and the *five threats to independence* previewed here are the full syllabus of professional ethics.
  - → **Auditing and other disciplines:** auditing draws on **accounting** (you cannot audit what you don't understand), **law** (Companies Act, contracts, tax), **economics & finance** (analytical procedures, going concern), **statistics/mathematics** (sampling — SA 530), **behavioural science** (skepticism, understanding fraud incentives), and increasingly **data analytics/IT** (auditing computerised systems). Auditing is a *user* of all these; accounting *ends* where auditing *begins* — the accountant records and summarizes, the auditor then verifies.
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## 8. Traps & Examiner Tricks

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1. **"Audit certifies / guarantees the accounts."** X Audit *expresses an opinion* and gives *reasonable* assurance. The words *certify, guarantee, absolute, correct in every respect* are traps. The auditor is a **watchdog, not a bloodhound** — and even that old phrase is nuanced now by SA 240's active fraud duties, so state it carefully.
2. **Confusing "reasonable" with "limited" assurance.** Audit = **reasonable (high, positive** wording). Review = **limited (moderate, negative** wording). Mixing these loses marks instantly.
3. **Thinking absolute assurance is merely "expensive but possible."** X It is **inherently unattainable** — because of estimates, persuasive evidence, and concealed fraud — *not* just costly.
4. **"Management can limit the scope of a statutory audit."** X Scope is set by law + SAs; management-imposed limitations trigger **modified opinions**, not a smaller audit.
5. **True and fair = arithmetically accurate.** X It means *fairly presented within the framework*, tolerant of immaterial errors and legitimate estimate ranges. Remember it polices **both** window dressing *and* secret reserves.
6. **Internal audit vs statutory audit confusion.** Watch *who appoints, who they report to, and whether scope is management-controlled*. Internal audit ≠ substitute for statutory audit; using its work under SA 610 does *not* reduce the statutory auditor's responsibility.
7. **"Audit guarantees the company will not fail / is well managed."** X Audit opines on financial statements; **going concern** (SA 570) is about the *basis and disclosure*, not a viability guarantee. Efficiency is the domain of *management/operational* audit.
8. **Forgetting "whether due to fraud OR error."** Objectives always cover *both*; writing only "error" is incomplete.
9. **Independence treated as optional/ethics-only.** It is *structural* — the reason audit works at all, and legally enforced. Analyse it through the **five threats** (self-interest, self-review, advocacy, familiarity,

intimidation), not vaguely.

10. **Listing SAs from memory with wrong numbers.** Safer to state the *principle* and flag "confirm the exact SA number in ICAI material" than to assert a wrong number confidently.
11. **"The auditor is responsible for detecting all fraud."** X *Prevention/detection is management's responsibility*; the auditor is responsible for *reasonable assurance about material misstatement, whether from fraud or error*. Immaterial or well-concealed fraud may legitimately escape.
12. **Materiality is only about size.** X A tiny amount can be *qualitatively material* — if it flips profit/loss, breaches a covenant, or involves fraud, related parties, or a statutory disclosure (Scenario 7).
13. **Jumping to "qualify" for every scope limitation.** X First ask the *source* (management vs circumstances) and *always attempt alternative procedures*; qualification/disclaimer is the *last* resort (Scenario 6).
14. **Mixing up the pronouncements.** SA = audit; **SRE** = review; **SAE** = other assurance; **SRS** = related (non-assurance) services; **SQC 1** = firm-level quality control. Do not call a review a "SA".
15. **Confusing audit with investigation.** Audit = general, materiality-bounded, opinion; investigation = specific purpose, often 100% checking, conclusion. (Section 2.2.)

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## 9. First-Principles Recap

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Reconstruct the whole chapter from one sentence and you will never forget it:

**Owners can't verify managers (agency + information asymmetry), so society inserts an independent expert to examine the financial statements and give the highest-but-not-perfect confidence (reasonable assurance) that they are true and fair — an opinion, not a guarantee, because estimates, persuasive evidence, and concealable fraud make certainty impossible.**

From that sentence, everything unspools:

- *Why an audit?* → the trust/agency gap.
- *Why independent?* → an insider can't close a gap caused by insiders.
- *Why "opinion"?* → certainty is unattainable (inherent limitations).
- *Why "reasonable" not "absolute"?* → estimates + sampling + concealed fraud + cost/timeliness.
- *Why "true and fair" not "correct"?* → accounts contain judgement, not just fact.
- *Why assertions and materiality?* → to aim finite effort at the claims most likely to be materially false.
- *Why SAs and ethics?* → to make the opinion consistent, competent, and credible.
- *Why can't management limit scope?* → that would let the audited control the audit, defeating the purpose.
- *Why the threats-and-safeguards machinery?* → because the payer and the audited are the same party, so independence must be actively defended.
- *Why qualify vs disclaim vs adverse?* → because the answer must honestly signal *whether the problem is evidence or disagreement, and whether it is material or pervasive*.

Learn the reason and the requirement remembers itself.

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## 10. Quick-Revision Sheet

**Core definition:** Independent examination of financial information of any entity, of any size or form, to express an **opinion**.

**Why audit exists:** Agency problem · Information asymmetry · Stewardship → **trust gap** → need independent assurance. Users = shareholders, investors, lenders, creditors, employees, government, regulators, public → *public-interest* activity.

**The payer paradox:** the audited pays the auditor → law protects independence via appointment by members (139), removal needing special resolution + CG approval (140), remuneration by members (142), scope fixed by statute+SAs.

**Objective (SA 200):** Obtain **reasonable assurance** that financial statements as a whole are **free from material misstatement** (fraud or error) and **report** — expressing an opinion on **true & fair view** per the applicable reporting framework.

**Responsibility split:** Prevention/detection of fraud & error = **management**; reasonable assurance re material misstatement = **auditor**.

**Assurance grades:**

|        | Level              | Wording  |
|--------|--------------------|----------|
| Audit  | Reasonable (high)  | Positive |
| Review | Limited (moderate) | Negative |

**5 elements of an assurance engagement:** three-party relationship · subject matter · suitable criteria · sufficient appropriate evidence · written report.

**Inherent limitations (why NOT absolute):** (1) estimates/judgement · (2) persuasive-not-conclusive evidence + sampling · (3) fraud/collusion/management override · (4) cost & timeliness · (5) limitations of internal control. *Not* a defence for negligence.

**Audit risk model:**  $AR = IR \times CR \times DR$ . Auditor controls only **DR**; sets it inversely to assessed  $IR \times CR$ .

**True & fair:** True = accurate & framework-compliant; Fair = unbiased, not misleading. *Not* arithmetical perfection. Polices window dressing **and** secret reserves.

**Assertions:** Transactions — Occurrence, Completeness, Accuracy, Cut-off, Classification. Balances — Existence, Rights & obligations, Completeness, Valuation. Plus Presentation & Disclosure. *Direction:* assets/income → test **existence** (overstatement); liabilities/expenses → test **completeness** (understatement).

**Scope determined by:** reporting framework + SAs + statute/engagement. **Not restrictable by management**; limitation → modified opinion (SA 705). Source matters: management-imposed (severe → disclaim/withdraw) vs circumstance-imposed (alternatives first → qualify/disclaim).

**Opinion outcomes:** clean (no problem) · qualified (material, not pervasive) · disclaimer (scope limit, material + pervasive) · adverse (disagreement, material + pervasive).

**Pronouncements:** SQC 1 (firm quality) · SA (audit) · SRE (review) · SAE (other assurance) · SRS (related/non-assurance) · Guidance Notes (recommendatory).

**Key SAs to name:** 200 (objectives), 210 (terms), 220 (quality), 230 (documentation), 240 (fraud), 300 (planning), 315 (risk), 320 (materiality), 330 (responses), 500 (evidence), 501 (inventory/litigation), 505



(confirmations), 530 (sampling), 570 (going concern), 580 (written reps), 700/705/706 (report), 610 (internal audit), 620 (expert).

**Types of audit:** Statutory vs voluntary; Financial, Cost, Management/Operational, Internal, Government (C&AG), Tax, Forensic; Continuous / Periodic / Interim / Balance-sheet. Continuous audit risk = *figures altered after checking* → safeguard with secret ticks.

**Audit vs Investigation:** broad/materiality/opinion vs narrow/100%-check/conclusion.

**Statutory vs Internal audit:** appointed by members vs management; reports to members vs management; scope by statute vs by management; independent vs part-of-entity.

**Ethical fundamentals (ICAI Code):** Integrity · Objectivity · Professional competence & due care · Confidentiality · Professional behaviour — crowned by **Independence** (of mind + in appearance). **Five threats:** self-interest, self-review, advocacy, familiarity, intimidation → *identify, evaluate, safeguard, else decline*.

**Two mandatory mindsets (SA 200):** Professional **skepticism** (neutral questioning mind) · Professional **judgement**.

**Companies Act anchors:** Sec 139 (appointment/rotation) · 140 (removal/resignation) · 141 (eligibility/disqualification) · 142 (remuneration) · 143 (powers, duties, reporting — including true & fair, u/s 143(2)) · 144 (prohibited services) · 138 (internal audit). *Confirm exact section text in ICAI material.*

**One-line soul of the chapter:** *Audit converts management's un-trustable self-report into credible information by inserting an independent expert who gives reasonable — never absolute — assurance that the statements are true and fair.*

# Q&A — Nature, Objective & Scope of Audit

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CA Intermediate — Auditing & Ethics | Chapter 1 Exam-oriented question bank. Every question is followed by a complete model answer with SA / Companies Act citations. Standards referenced are the Indian Standards on Auditing (SAs) issued by ICAI and provisions of the Companies Act, 2013. No invented standards are used.

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## SECTION A — Concept-Check Questions (with answers)

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### A1. Why does an audit exist? Explain the "agency problem" that gives rise to the need for audit.

**Answer:** In a company, ownership (shareholders) is separated from control (management/directors). Management acts as *steward* of the owners' funds. This separation creates an **agency problem** and **information asymmetry** — management knows more about the true state of affairs than the owners, and its self-interest may not align with the owners'. The financial statements prepared by management are the medium through which they report their stewardship. An **independent audit** adds credibility to those statements, reducing information asymmetry and giving owners reasonable assurance that the accounts are reliable. This is the foundational rationale recognised in **SA 200**.

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### A2. Define "audit" and identify the three vertices of the "audit triangle".

**Answer:** Audit is an **independent examination of financial information** of any entity, whether profit-oriented or not, and irrespective of size or legal form, **when such an examination is conducted with a view to expressing an opinion thereon** (ICAI's definition; consistent with **SA 200**). The audit triangle links three elements: 1. **Subject matter** — the financial statements prepared by management. 2. **Criteria** — the applicable financial reporting framework (e.g., Accounting Standards / Ind AS read with the Companies Act, 2013). 3. **Opinion/Assurance** — the auditor's conclusion on whether the subject matter conforms to the criteria, communicated to intended users.

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### A3. State the overall objectives of the independent auditor as laid down in SA 200.

**Answer:** Per **SA 200 ("Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with SAs")**, the objectives are: (a) to obtain **reasonable assurance** about whether the financial statements as a whole are free from **material misstatement**, whether due to fraud or error, thereby enabling the auditor to express an opinion on whether the financial statements are prepared, in all material respects, in accordance with an applicable financial reporting framework; and (b) to **report** on the financial statements, and communicate as required by the SAs, in accordance with the auditor's findings.

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### A4. Distinguish between "reasonable assurance" and "absolute assurance". Why can an audit never provide absolute assurance?

**Answer:** **Reasonable assurance** is a *high, but not absolute*, level of assurance. **Absolute assurance** is not attainable because of the **inherent limitations of an audit**, which (per SA 200) arise from: - The **nature of financial reporting** — involving management judgement and estimates. - The **nature of audit procedures**

— auditor works on **test/sample** basis, and may be given incomplete information or be subject to management fraud/collusion/forgery. - The **need to conduct the audit within a reasonable time and cost**

— audit is not exhaustive; it balances timeliness against a limitless investigation. Additionally, most audit evidence is **persuasive rather than conclusive**. Hence the auditor reduces audit risk to an acceptably low level but cannot eliminate it.

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**A5. What is meant by "true and fair view"? Which section of the Companies Act, 2013 requires it?**

**Answer:** "True and fair view" means the financial statements are **free from material misstatement** and **faithfully represent** the entity's financial position, performance and cash flows in accordance with the applicable framework. It does not mean arithmetical accuracy alone; it requires proper disclosure and adherence to Accounting Standards. **Section 143(2)** of the Companies Act, 2013 requires the auditor to report whether the accounts give a **true and fair view**, and **Section 129(1)** requires the financial statements to give a true and fair view and comply with the notified Accounting Standards.

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**A6. What are "assertions"? List the categories of assertions used by the auditor.**

**Answer: Assertions** are representations, explicit or otherwise, embodied in the financial statements by management, used by the auditor to consider the different types of potential misstatements (**SA 315**). They fall into: - **Assertions about classes of transactions and events:** Occurrence, Completeness, Accuracy, Cut-off, Classification (and Presentation). - **Assertions about account balances at period end:** Existence, Rights & Obligations, Completeness, Valuation & Allocation (Accuracy, Classification, Presentation). The auditor designs procedures to obtain evidence supporting each relevant assertion.

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**A7. Distinguish between a statutory audit and an internal audit (any four points).**

**Answer:**

| Basis                | Statutory Audit                               | Internal Audit                                                |
|----------------------|-----------------------------------------------|---------------------------------------------------------------|
| <b>Governing law</b> | Mandatory under Companies Act, 2013 (Sec 139) | Sec 138 (for prescribed companies); largely a management tool |
| <b>Appointed by</b>  | Shareholders (members)                        | Management/Board (Audit Committee)                            |
| <b>Objective</b>     | Express opinion on true & fair view           | Evaluate and improve internal control, risk and governance    |
| <b>Scope</b>         | Determined by statute; cannot be restricted   | Determined by management                                      |
| <b>Reporting to</b>  | Members/shareholders                          | Management/Board                                              |
| <b>Independence</b>  | External and independent                      | Employee/outsourced; less independent                         |

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**A8. What is professional skepticism, and how does it differ from professional judgement (SA 200)?**

**Answer: Professional skepticism** is an attitude that includes a **questioning mind**, being **alert to conditions** that may indicate possible misstatement due to fraud or error, and a **critical assessment of**

**audit evidence** (SA 200). **Professional judgement** is the application of relevant **training, knowledge and experience** in making informed decisions about appropriate courses of action throughout the audit. Skepticism is the *mindset* (do not accept representations at face value); judgement is the *reasoned application* of expertise to decisions (materiality, nature/extent of procedures, evaluating evidence).

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## SECTION B — Applied Scenario Questions (Situation → Audit Response with Reasoning)

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**B1. During the audit, the CFO says: "Trust us, our internal team already checked all invoices — no need to test again." How should the auditor respond?**

**Answer:** The auditor must apply **professional skepticism (SA 200)** and **not accept management's representation as a substitute for audit evidence**. Management representations are corroborative, not conclusive (**SA 580** cautions that written representations are not sufficient appropriate evidence on their own). The auditor should design and perform independent substantive and control-testing procedures on a sample basis (**SA 500 — Audit Evidence**). Reliance on internal team's work is permissible only after evaluating internal controls (**SA 315**) and, if relying on internal audit, applying **SA 610 (Using the Work of Internal Auditors)**. Reasoning: an audit provides *independent* assurance; blanket reliance would compromise independence and defeat the audit's purpose.

---

**B2. A client, a small proprietorship, asks the auditor to "check every single transaction" so the accounts are "100% correct and guaranteed error-free." Can the auditor promise this?**

**Answer:** No. The auditor can offer only **reasonable assurance, not absolute assurance (SA 200)**, because of **inherent limitations** — audit is conducted on a **test basis**, evidence is **persuasive not conclusive**, and there are constraints of **time and cost**. Even a 100% check cannot guarantee detection of misstatements arising from **collusion, forgery, or management override of controls**. The auditor should manage expectations, explain the concept of materiality and reasonable assurance, and document the scope in the **engagement letter (SA 210)**. Reasoning: promising a guarantee would create an "expectation gap" and expose the auditor to unwarranted liability.

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**B3. Midway through the audit, management refuses to give the auditor access to certain board minutes and bank confirmations, saying they are "confidential." What is the implication for scope?**

**Answer:** This is a **limitation on the scope of the audit**. Under **Section 143(1)** of the Companies Act, 2013, the auditor has a **right of access at all times to the books, accounts and vouchers** and is entitled to require information and explanations. A management-imposed scope limitation prevents the auditor from obtaining **sufficient appropriate audit evidence (SA 500)**. If the possible effects are **material but not pervasive**, the auditor issues a **qualified opinion**; if **material and pervasive**, a **disclaimer of opinion (SA 705)**. Reasoning: the auditor cannot express an unmodified opinion where scope is restricted and evidence is unavailable.

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**B4. The auditor detects a suspicious round-sum journal entry passed on the last day of the year by a senior manager, bypassing normal approval. What should the auditor do?**

**Answer:** This is a **fraud risk indicator — management override of controls**, an area SA 240 specifically requires the auditor to address. Applying **professional skepticism (SA 200)** and **SA 240 (The Auditor's Responsibilities Relating to Fraud)**, the auditor should: (i) test the **appropriateness of journal entries** and other adjustments; (ii) investigate the business rationale for significant unusual transactions; (iii) obtain corroborating evidence; and (iv) if fraud is suspected, communicate with **Those Charged With Governance (SA 260)** and consider reporting under **Section 143(12)** of the Companies Act, 2013 (fraud reporting to the Central Government / Audit Committee above the prescribed threshold). All work is documented per **SA 230**. Reasoning: the auditor must maintain skepticism precisely where management can override controls.

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## SECTION C — Past-Paper-Style Descriptive Questions (with model answers)

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**C1. "An audit is an independent examination of financial information conducted with a view to expressing an opinion thereon." Explain the key features of an audit implicit in this definition. (5 marks)**

**Answer:** The definition (aligned with **SA 200**) contains the following key features: 1. **Audit is independent** — the examiner must be free from bias and influence to lend credibility. 2. **Examination of financial information** — the subject matter is financial statements/records. 3. **Of any entity** — profit or non-profit, irrespective of size, constitution or objective. 4. **Systematic and scientific** — conducted through planned procedures to gather sufficient appropriate evidence. 5. **Objective is opinion formation** — the end product is an **opinion on true and fair view**, not certification of accuracy. 6. **Based on evidence** — the opinion rests on audit evidence, judgement and skepticism. The audit thus enhances the **degree of confidence** of intended users in the financial statements (SA 200).

---

**C2. Explain the inherent limitations of an audit as recognised in SA 200. (6 marks)**

**Answer:** Per **SA 200**, an auditor cannot obtain absolute assurance because of inherent limitations arising from: 1. **Nature of financial reporting** — Financial statements involve **subjective decisions, judgements and estimates** by management (e.g., provisions, fair values), which are inherently uncertain. 2. **Nature of audit procedures** — The auditor works on a **test (sample) basis**; there is a possibility that management may not provide complete information; and evidence may be concealed through **fraud, collusion, or forgery**. Audit evidence is largely **persuasive rather than conclusive**. 3. **Timeliness and cost-benefit** — The audit must be completed within a **reasonable time and at reasonable cost**; it is not practicable to examine everything exhaustively. 4. **Other limitations** — Areas like **related party relationships, non-compliance with laws**, and **future events / going concern** carry higher inherent limitation because evidence is harder to obtain. Because of these, the audit provides **reasonable, not absolute, assurance** and reduces audit risk to an acceptably low level.

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**C3. Discuss the scope of an audit of financial statements. What matters should the auditor consider in determining scope? (6 marks)**

**Answer:** The **scope** of an audit refers to the audit procedures deemed necessary to achieve the objective of the audit. In determining scope, the auditor considers: 1. **Requirements of relevant legislation** — e.g., the Companies Act, 2013, and any special statute governing the entity. 2. **Pronouncements of ICAI** — the **Standards on Auditing (SAs)**, Guidance Notes and the Code of Ethics. 3. **Terms of the engagement** — but the terms **cannot restrict** the auditor's statutory duties or override the SAs. 4. **Coverage of all aspects** —

the audit should cover all aspects of the entity relevant to the financial statements. 5. **Reliability and sufficiency of evidence** — obtained through study/evaluation of internal controls and substantive procedures. 6. **No restriction** — where the auditor's work is restricted such that sufficient appropriate evidence cannot be obtained, the auditor should consider modifying the report (**SA 705**). The scope should never be constrained by any limitation that would cause the auditor to disclaim responsibility without justification.

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#### **C4. Classify audits on different bases and give examples. (5 marks)**

**Answer:** Audits may be classified as follows:

*On the basis of legal requirement (organisation):* - **Statutory audits** — mandatory by law (e.g., company audit under Companies Act, 2013; bank audit; insurance audit; co-operative societies). - **Non-statutory / voluntary audits** — undertaken by choice (e.g., audit of a sole proprietor or partnership firm not required by law).

*On the basis of specific objective/purpose:* - **Tax audit** (Sec 44AB, Income-tax Act), **cost audit** (Sec 148, Companies Act), **management audit**, **operational audit**, **secretarial audit** (Sec 204).

*On the basis of function/who performs:* - **External/independent audit** and **internal audit** (Sec 138).

*On the basis of degree of independence and appointment* the audit may further be **government audit** (by C&AG). This classification shows that audit, though rooted in a common objective, is applied across varied statutory and voluntary contexts.

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#### **C5. Explain the relationship between "materiality" and "reasonable assurance", and how they shape the auditor's opinion. (4 marks)**

**Answer:** The auditor's objective (SA 200) is reasonable assurance that the statements are free from **material** misstatement — not *any* misstatement. **Materiality (SA 320)** is the threshold above which misstatements, individually or in aggregate, could reasonably be expected to **influence the economic decisions** of users. Because assurance is targeted at material items and is *reasonable* (high but not absolute), the auditor accepts a low level of **audit risk (SA 320/SA 200)** rather than zero risk. If uncorrected misstatements exceed materiality, or scope limitations prevent evidence on material items, the opinion is **modified under SA 705**; otherwise an **unmodified (clean) opinion** is expressed. Thus materiality operationalises reasonable assurance in forming the opinion.

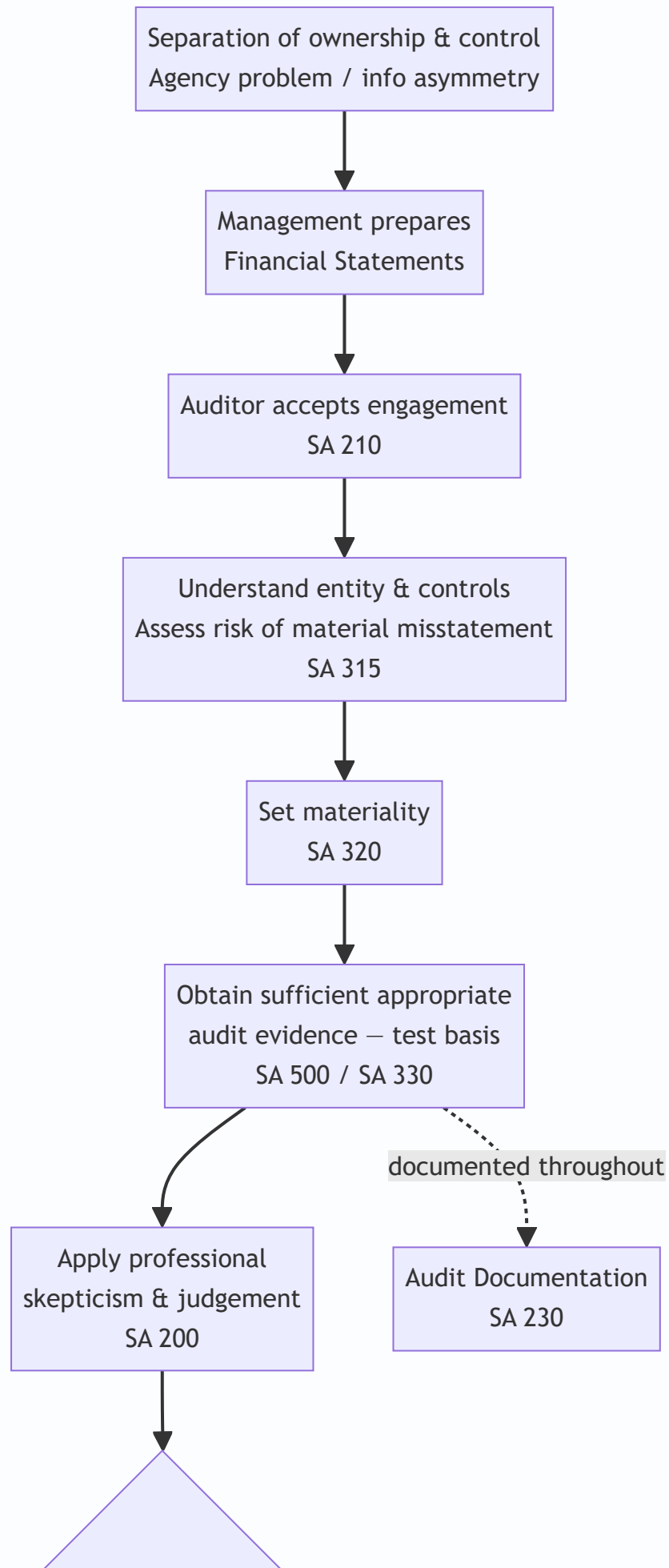
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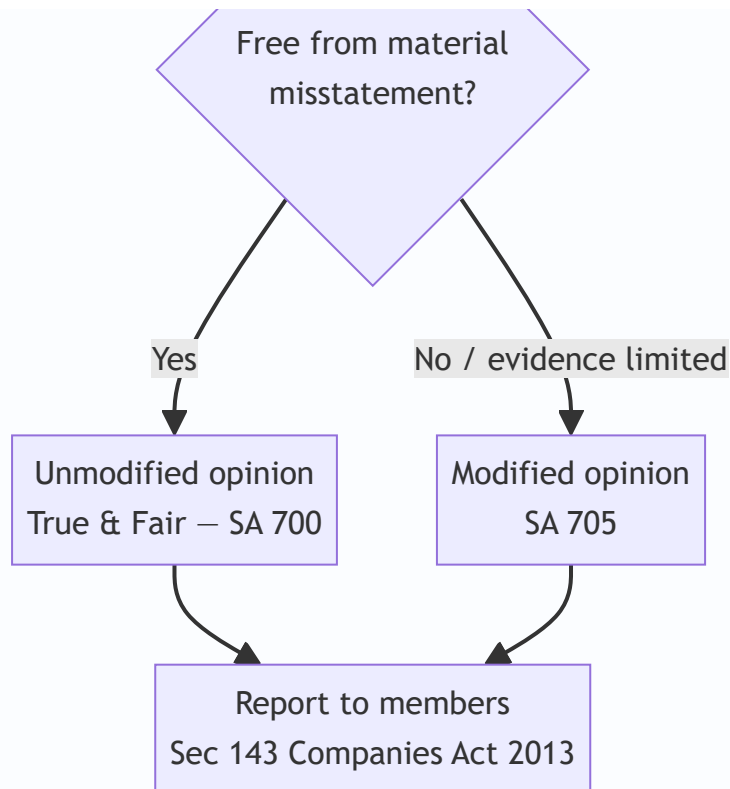
**Process Diagram — Flow of an Audit (Objective to Opinion)**

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## Procedure & Documentation Summary (SA 230)

### C6. State the purpose and essentials of audit documentation under SA 230. (4 marks)

**Answer: SA 230 ("Audit Documentation")** requires the auditor to prepare documentation (working papers) that is **sufficient to enable an experienced auditor, having no previous connection with the audit, to understand**: (a) the **nature, timing and extent** of procedures performed; (b) the **results** and evidence obtained; and (c) **significant matters** and conclusions reached, including significant professional judgements. Key points: - **Purpose**: provides evidence of the auditor's basis for the opinion and evidence that the audit was **planned and performed in accordance with SAs**; assists in planning, supervision, review, quality control and future references; helps discharge accountability. - **Timely preparation**: documentation should be prepared on a timely basis. - **Assembly of final file**: within **60 days** after the date of the auditor's report. - **Retention**: ordinarily **not shorter than 7 years** from the date of the auditor's report. - Identify the **preparer and reviewer**, and record who performed the work and the date.

## SECTION D — MCQs / Case Scenarios (correct option + one-line reasoning)

**D1.** The overall objectives of the auditor are laid down in which Standard on Auditing? (a) SA 210 (b) SA 200 (c) SA 230 (d) SA 700 **Answer: (b) SA 200** — it prescribes the overall objectives and governs the conduct of an audit per SAs.

**D2.** An audit provides: (a) Absolute assurance (b) No assurance (c) Reasonable assurance (d) Limited assurance **Answer: (c) Reasonable assurance** — high but not absolute, owing to inherent limitations (SA 200).

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**D3.** The right of the auditor to access books of account "at all times" flows from: (a) Sec 129 (b) Sec 143(1) (c) Sec 139 (d) Sec 134 **Answer: (b) Section 143(1), Companies Act, 2013** — grants the auditor the statutory right of access.

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**D4.** "Existence", "Rights and obligations", "Completeness" and "Valuation" are assertions relating to: (a) Classes of transactions (b) Account balances at period end (c) Presentation only (d) Audit evidence **Answer: (b) Account balances at period end** — as classified under SA 315.

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**D5.** A questioning mind and critical assessment of audit evidence describes: (a) Professional judgement (b) Professional skepticism (c) Due diligence (d) Materiality **Answer: (b) Professional skepticism** — defined in SA 200.

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**D6.** Audit documentation should ordinarily be retained for a period not shorter than: (a) 3 years (b) 5 years (c) 7 years (d) 10 years **Answer: (c) 7 years** — from the date of the auditor's report (SA 230).

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**D7. Case Scenario:** M/s XYZ Ltd's management asks the auditor to sign the report before evidence on a material litigation is available, promising a representation letter instead. The auditor should: (a) Sign, relying on the representation letter (b) Refuse; obtain sufficient appropriate evidence and modify if unavailable (c) Sign with a note (d) Resign immediately **Answer: (b)** — Written representations are not a substitute for audit evidence (SA 580); if material evidence is unavailable, modify the opinion under SA 705.

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**D8. Case Scenario:** During audit, the auditor selects only a sample of the thousands of sales invoices rather than all of them. This reflects: (a) Negligence (b) A scope limitation imposed by management (c) The test-basis inherent limitation of audit (d) A violation of SA 500 **Answer: (c)** — Auditing on a **test/sample basis** is an inherent limitation recognised in SA 200; it is normal audit practice, not negligence.

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## SECTION — Connections, Traps, First-Principles Recap & Quick Revision

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### Connections

- **SA 200** (objectives, assurance, skepticism) is the umbrella; **SA 210** (engagement terms) → **SA 315/320** (risk & materiality) → **SA 500/330** (evidence & responses) → **SA 700/705** (opinion) → **SA 230** (documentation throughout). The Companies Act, 2013 supplies the statutory duties (**Sec 143**), the true-and-fair mandate (**Sec 129**), and appointment (**Sec 139**).

### Traps & Examiner Tricks

- **Trap:** "Audit guarantees accounts are 100% accurate." → **False**; only *reasonable assurance of true and fair* view.
- **Trap:** Confusing **true and fair** with **arithmetical accuracy** — true & fair requires proper disclosure and AS compliance, not mere accuracy.

- **Trap:** Treating **skepticism** and **judgement** as the same — skepticism is the mindset; judgement is applied expertise.
- **Trap:** Assuming management representation (SA 580) can replace audit evidence — it cannot.
- **Trap:** Citing a wrong SA number — objectives are **SA 200**, documentation is **SA 230**, evidence is **SA 500**, opinion modification is **SA 705**. Never invent standards.
- **Trap:** Believing engagement terms can shrink statutory scope — they cannot override the Companies Act or SAs.

## First-Principles Recap

Ownership is separated from control → information asymmetry → owners need credible accounts → an **independent** examiner tests the financial statements against a **framework** and expresses an **opinion**. Because reporting involves judgement, evidence is sampled and persuasive, and time/cost are finite, the opinion offers **reasonable (not absolute) assurance** that the statements show a **true and fair view**, free from **material** misstatement.

## Quick-Revision Sheet

- **Definition:** Independent examination of financial information → opinion (SA 200).
- **Audit triangle:** Subject matter (FS) — Criteria (framework) — Opinion (assurance).
- **Objective (SA 200):** Reasonable assurance FS free of material misstatement (fraud/error) + report.
- **Assurance:** Reasonable, not absolute — due to inherent limitations (reporting nature, test basis, time/cost, persuasive evidence).
- **True & fair:** Sec 129 (prepare) & Sec 143(2) (report), Companies Act 2013.
- **Assertions (SA 315):** Transactions — OCCAC; Balances — ExRiCoVa; Presentation & disclosure.
- **Skepticism:** questioning mind + alert + critical evaluation (SA 200).
- **Statutory vs internal:** law-mandated opinion vs management control tool (Sec 139 vs Sec 138).
- **Fraud:** SA 240; report under Sec 143(12).
- **Documentation:** SA 230 — experienced-auditor test; file assembly 60 days; retain min 7 years.
- **Opinion:** Unmodified (SA 700) vs Modified (SA 705).

# Chapter 02 — Audit Strategy, Planning & Materiality

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## 1. The Problem — You Cannot Check Everything, And Not Everything Deserves Checking

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Imagine you are handed the books of a company with ₹800 crore of turnover, three lakh sales invoices, a lakh purchase entries, seven factories, two subsidiaries, inventory in nine warehouses, and a ledger with four thousand accounts. You have a team of six people and about eight weeks. Now answer honestly: **can you verify every transaction?**

You cannot. Not in eight weeks, not in eight years. And here is the deeper trap — even if you *could* check everything, it would be **wasteful and pointless**, because most of those transactions are tiny, routine, low-risk, and even if a few were wrong, it would not change the decision of a single investor or banker reading the accounts.

So the auditor faces two problems at once:

1. **The scarcity problem** — finite time, finite people, finite fees, versus an ocean of transactions. If you spread your effort evenly like butter on toast, you will look at everything shallowly and catch nothing.
2. **The relevance problem** — some errors matter and some do not. A ₹2,000 misclassification in a company with ₹50 crore profit changes nobody's mind. A ₹5 crore overstatement of revenue might turn a loss into a profit and mislead every shareholder.

Recall the trust/agency problem from Chapter 1: owners cannot verify managers, so they hire an independent expert to give **reasonable assurance** that the financial statements are free from **material** misstatement. Note the two load-bearing words — *reasonable*, not absolute; and *material*, not perfect. The entire architecture of planning and materiality flows from unpacking those two words.

**Why "reasonable" and not "absolute" assurance — the three permanent limitations.** The audit can never promise perfection because of inherent limitations that no amount of work removes: (a) the **nature of financial reporting** — many figures are *estimates* (provisions, useful lives, fair values, expected credit losses) that are inherently imprecise, so there is no single "correct" number to verify against; (b) the **nature of audit procedures** — the auditor relies on evidence that is *persuasive rather than conclusive*, works with management-supplied information, and cannot detect a collusive, well-concealed fraud with the certainty of an omniscient observer; and (c) the need for the audit to be **completed within a reasonable time and at a reasonable cost** — an audit that took three years and cost more than the company earns would be useless to the very users it serves. Planning and materiality are the disciplined response to limitation (c): they are how the auditor squeezes *reasonable* assurance out of *finite* resources. This is why "reasonable assurance" is a **high but not absolute** level of assurance — high enough that users can rely on the opinion, but honestly bounded by the three limitations above.

**The risk this chapter addresses:** an auditor who does not plan will either (a) run out of time and give an opinion on statements he barely examined, or (b) burn his hours on trivial areas and completely miss the one account where management had both the *motive* and the *opportunity* to lie. Both outcomes mean a **wrong opinion attached to a clean-looking signature** — the exact failure the audit exists to prevent.

Planning and materiality are therefore not administrative housekeeping. They are the auditor's answer to the question: *given that I can't check everything, how do I make sure that what I do check is enough to catch the misstatements that would actually mislead a user?*

**A finer distinction the exam tests — planning is not the same as "the plan."** Students collapse three ideas into one. *Planning* is the ongoing **activity** of thinking about the engagement. The *overall audit strategy* and the *audit plan* are two **documents/outputs** of that activity. And *scheduling* (who works which week) is a resourcing sub-decision inside the strategy. When an examiner asks "distinguish audit planning from audit programme," the crisp answer is: planning is the broad forward-thinking activity that sets scope, timing, direction and resources; the **audit programme** is the detailed *list of procedures* (the operational heart of the audit plan) that the assistants actually execute and sign off. One is the thinking; the other is the checklist that thinking produces.

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## 2. The Core Idea — Aim Effort Where Money Is Both Large and Likely to Be Wrong

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The core idea has two blades that cut together:

**Materiality tells you how big a misstatement must be before it matters. Risk tells you where misstatements are most likely to hide. Planning is the act of pointing your scarce audit effort at the intersection — large amounts that are also risky.**

Everything else is detail. If an amount is trivially small, you do little, because even if it's wrong nobody is misled. If an amount is large but sits in a rock-solid, low-risk area (say, share capital that hasn't changed in years), you do a bit. If an amount is large **and** risky (revenue recognition, provisions, related-party dealings, inventory valuation), you throw the bulk of your effort there.

This is why an auditor's file for a company is never a uniform grid. It is deliberately **lopsided** — thick where money and risk concentrate, thin where they don't. That lopsidedness is not laziness; it is the *whole point*. A file that is evenly thick everywhere is the mark of an auditor who never planned.

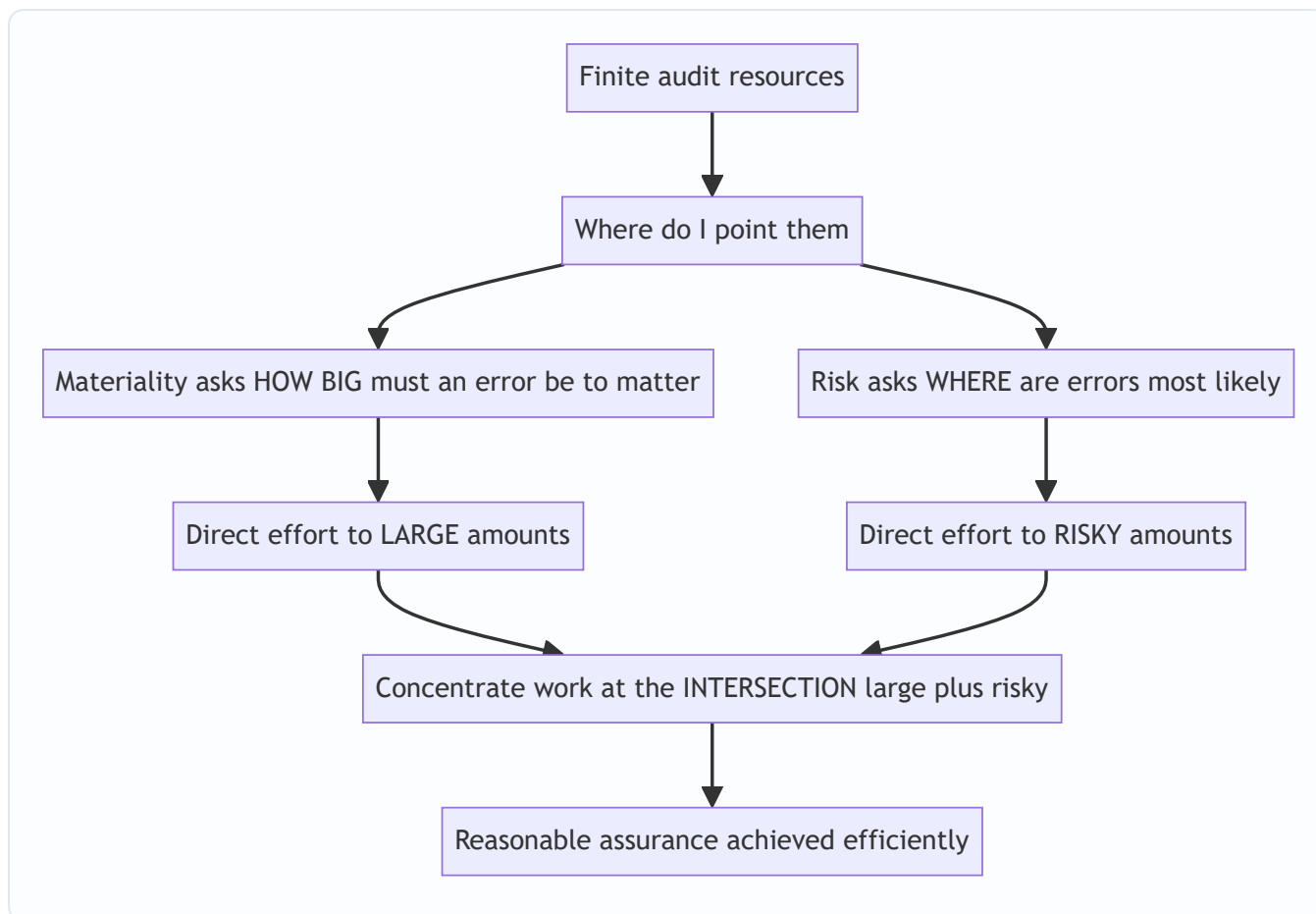
Two standards operationalise this idea:

- **SA 300 — Planning an Audit of Financial Statements:** gives you the *machinery* — build an overall audit strategy, then a detailed audit plan.
- **SA 320 — Materiality in Planning and Performing an Audit:** gives you the *threshold* — how big is big enough to matter, and how to set a safety-margin below it.

They are joined at the hip: you cannot plan effort without knowing what "matters," and knowing what matters is useless unless you translate it into a plan of action.

**The third, silent partner — SA 315.** Planning has a hidden dependency the exam rewards you for naming: you cannot decide *where risk hides* without first **understanding the entity and its environment** (SA 315). So the true chain is **SA 315 (understand → find risks) → SA 320 (size the threshold) → SA 300 (aim effort) → SA 330 (respond)**. Materiality and risk are the two coordinates; SA 315 is the survey that produces the map, and SA 330 is the response you plot on it. Keep this quartet in your head — nearly every planning question is really testing whether you see all four working together.

*Figure 2.1 — The two blades of the core idea: materiality sets the size threshold, risk sets the location, planning aims effort at their intersection.*



### 3. Why It's Built This Way — The Logic Behind Each Requirement

Before the technical content, let's earn each rule from first principles, so nothing has to be memorised.

**Why plan at all, formally and in writing?** Because human effort left unplanned drifts toward the easy and the familiar, not the important. A junior will happily vouch a hundred petty-cash slips because it's comfortable, while the ₹10 crore revenue-cut-off question goes untouched. A documented plan forces the engagement to confront risk *before* fieldwork begins, when there is still time to allocate senior staff and specialist attention to the hard areas. Planning is a **commitment device** against the natural gravity toward trivia.

**Why split strategy from plan?** Because scope-and-direction decisions (which offices, which subsidiaries, what timing, which specialists, how big the team) are a *different kind* of thinking from procedure-level decisions (do I confirm receivables or examine subsequent receipts). Mixing them produces mush. Strategy is the *aerial map*; the plan is the *street-by-street route*. You must draw the map before the route, because the route depends on where you've decided to go.

**Why a materiality threshold instead of chasing every rupee?** Because the user of accounts is a *decision-maker*, not an accountant seeking perfection. Materiality is defined by reference to whether a misstatement, individually or in aggregate, could reasonably be expected to **influence the economic decisions** of users taken on the basis of the financial statements. If it wouldn't change a decision, chasing it wastes the audit's scarce resources and delays the report that users actually need. The threshold is the auditor's formal recognition that *the goal is a reliable decision, not a flawless ledger*.

**Why performance materiality — a number *below* materiality?** This is the most beautiful piece of logic in the chapter, so slow down. Suppose materiality for the financial statements as a whole is ₹1 crore. If you set your working threshold at exactly ₹1 crore, you'd ignore every individual error under ₹1 crore. But **errors aggregate**. Fifty different accounts each understated by ₹5 lakh — every one "below materiality" — sum to ₹2.5 crore, which is *materially* wrong. Also, your sampling only *tests a portion*; undetected errors lurk in the untested remainder. So you deliberately work to a **lower** number (performance materiality) to leave a cushion, so that the sum of (a) uncorrected small errors you did catch and (b) undetected errors you never saw still stays under overall materiality. Performance materiality is a **buffer against aggregation and against the imperfection of sampling**. It is risk management expressed as a number.

**Why benchmarks and percentages?** Because "how big is big" is meaningless in the abstract — ₹1 crore is catastrophic for a small trader and a rounding error for a conglomerate. Materiality must be *relative* to the entity, so we anchor it to a benchmark that reflects what users care about (profit, revenue, or net assets, depending on the business) and apply a judgement-based percentage.

**Why not just pick the largest number on the face of the accounts as the benchmark?** Because size is not the same as *relevance to decisions*. Total assets of an asset-light software firm may be trivial while its earnings are what the market prices; total revenue of a razor-thin-margin trading house may dwarf a profit figure that is nonetheless what its bankers watch. The benchmark is chosen for **decision-relevance and stability**, not for being the biggest figure. Picking a benchmark is really answering "what single number would a reasonable user of *this* entity look at first?"

**Why is materiality set for the financial statements as a whole, not per-user?** Because different users care about different things — a lender watches solvency, an investor watches earnings, a supplier watches liquidity — and the auditor cannot design a bespoke threshold for each. So SA 320 sets materiality at the level of the *common information needs of users as a group*. The auditor does **not** consider the possible effect on one particular user whose needs are extreme or idiosyncratic; that would make the threshold unworkable. This is the same reasoning that lets us make standard **assumptions about users** (below).

**Why document all of this?** Because judgement that isn't written down cannot be reviewed, cannot be defended if the audit is questioned years later, and cannot guide the team. Documentation converts one person's private reasoning into the engagement's shared, reviewable, defensible plan.

**Why does the auditor — not management — set materiality?** Because materiality is an **audit-planning tool**, an input to designing procedures and evaluating findings. It is *not* a figure disclosed in the financial statements, *not* negotiated with the client, and *not* the same as any "materiality" management might use for its own accounting policies. Letting management set it would let the audited party decide how hard it gets audited — an obvious conflict. The auditor exercises this judgement independently and keeps the figure inside the audit file.

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## 4. Full Technical Content — The Standards, By Purpose

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### 4.1 SA 300 — Planning an Audit of Financial Statements

**Purpose (the "why" of the whole standard):** to ensure the audit is conducted in an *effective manner* — meaning attention is devoted to important areas, potential problems are identified and resolved on a timely basis, and the engagement is properly organised, staffed, directed and supervised.

SA 300 spells out the benefits of planning, and each benefit maps to a risk it defeats:



| Benefit of planning (SA 300)                                                                               | The risk it defeats                                                           |
|------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------|
| Helps devote appropriate attention to important areas                                                      | Effort scattered on trivia; big risks missed                                  |
| Helps identify and resolve problems on a timely basis                                                      | Nasty surprises discovered too late to address before the report deadline     |
| Helps organise and manage the engagement efficiently                                                       | Duplicated work, idle staff, blown budgets and fees                           |
| Assists in selecting team members with appropriate capabilities and competence, and assigning work to them | A junior sent to audit a complex derivatives portfolio he cannot understand   |
| Facilitates direction and supervision of the team and review of their work                                 | Team members work in the dark; errors in their work go uncaught               |
| Assists in coordinating work done by component auditors and experts                                        | The valuation expert's work arrives too late or doesn't fit the audit's needs |

**Preliminary engagement activities (do these *before* planning):** SA 300 requires the auditor, at the *beginning* of the current audit, to: - perform procedures regarding the **continuance** of the client relationship and the specific engagement (is this client still one we want, with acceptable integrity?); - evaluate compliance with **ethical requirements**, including **independence** (SA 220 / the Code); and - establish an **understanding of the terms of the engagement** (SA 210 — the engagement letter).

*Why first?* Because there's no sense planning an audit you shouldn't accept, or that you're not independent to perform. These gate-keeping checks come before you invest in strategy. A subtle point examiners probe: performing these *preliminary* activities at the start of the **current** period helps the auditor identify events that may adversely affect the ability to plan and perform — for example, a loss of independence, or discovering management integrity issues that would make continuance inappropriate. They are a *filter*, and the filter runs every year, not only in year one.

### The two-layer output of SA 300:

**(a) The Overall Audit Strategy** — sets the **scope, timing and direction** of the audit and guides the development of the detailed plan. In establishing it, the auditor: - identifies the **characteristics of the engagement that define its scope** (financial reporting framework applicable, industry-specific reporting, locations/components, reliance on internal audit); - ascertains the **reporting objectives to plan the timing** of the audit and the nature of communications required (deadlines for interim and final reporting, key dates for meetings with those charged with governance); - considers the **factors that, in the auditor's professional judgement, are significant** in directing the team's efforts (determination of materiality, preliminary identification of high-risk areas, results of previous audits, evidence of management's commitment to sound internal control); - considers the results of **preliminary engagement activities**; and - ascertains the **nature, timing and extent of resources** necessary to perform the engagement (how many people, how experienced, when deployed, budget).

Think of the strategy as answering four questions: **What are we auditing? When must it be done? Where are the risky areas that should shape our effort? Who and how much do we need?**

*A finer distinction — scope vs direction, which students blur.* **Scope** is about the *boundaries and characteristics* of the engagement (which framework, which components, which locations, whether internal audit's work will be used). **Direction** is about *where within those boundaries effort is steered* (materiality, the preliminary high-

risk areas, prior-year results, management's control attitude). Scope draws the fence; direction decides which paddocks inside the fence get the most attention. If an exam question lists "determination of materiality" under scope, it is wrong — materiality is a **direction** factor.

**(b) The Audit Plan** — more detailed than the strategy; it converts strategy into specific procedures. It must include a description of: - the **nature, timing and extent of planned risk assessment procedures** (as per SA 315); - the **nature, timing and extent of planned further audit procedures** at the assertion level (as per SA 330) — i.e., tests of controls and substantive procedures; and - **other planned procedures** required to comply with the SAs.

*The "nature, timing and extent" (NTE) triad — decode it, because it recurs everywhere. **Nature** = what kind of procedure and its purpose (inspection, observation, external confirmation, recalculation, analytical procedure) and whether it is a test of controls or a substantive test. **Timing** = when it is performed (interim vs at/after year-end) and which period it covers. **Extent** = how much (sample size, number of locations, quantity of items). Higher assessed risk pushes all three toward *more persuasive* evidence: more reliable **nature** (e.g., external confirmation over internal enquiry), timing **closer to** or **at** year-end, and **larger** extent. Any question about "how does the auditor respond to higher risk" is answered through this triad.*

*Relationship between the two:* The strategy sets the broad approach; the plan details the procedures that, if performed, achieve that approach. They are **not linear and once-off** — the standard stresses that planning is **continuous and iterative**. As the audit progresses and you learn things (a control you expected to rely on fails; a new risk emerges), you **update and change** the strategy and plan. Planning is a dial you keep turning, not a switch you flip once.

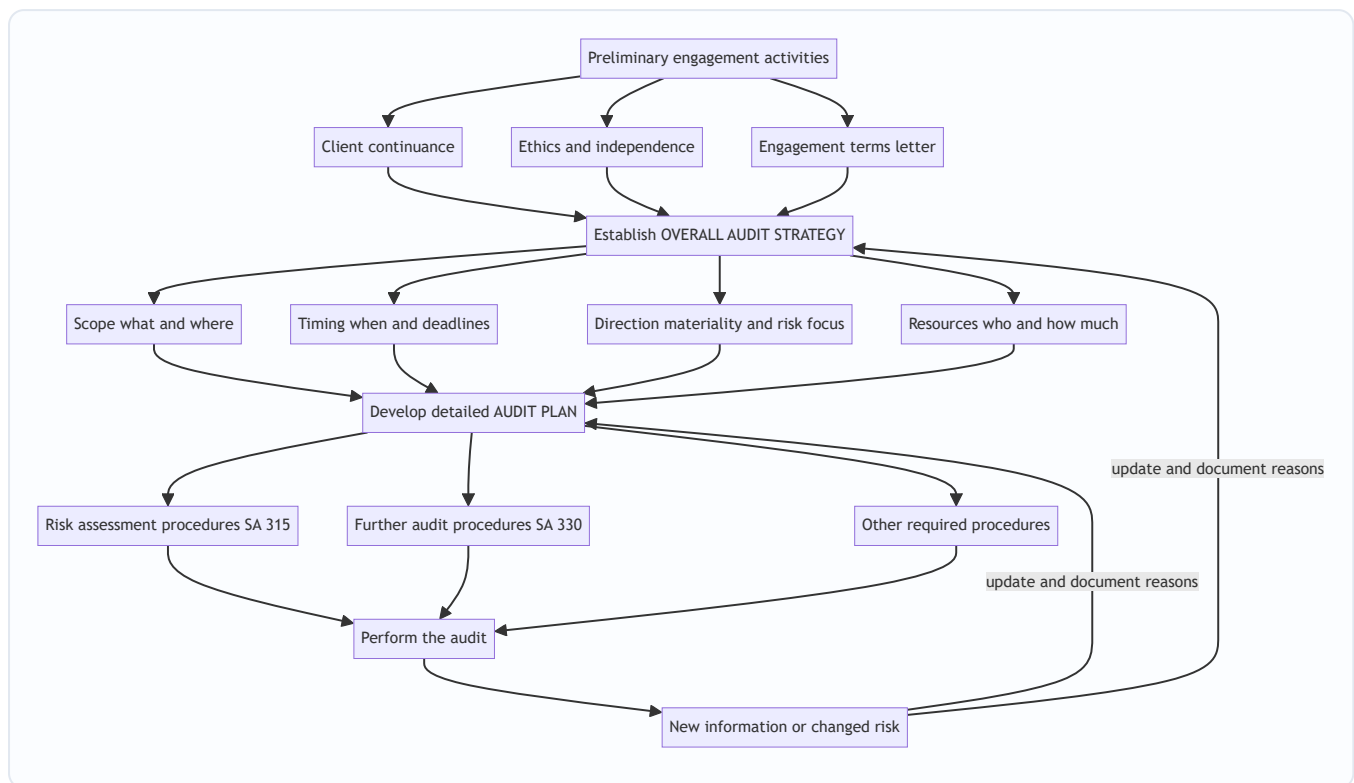
**Direction, supervision and review:** SA 300 requires the auditor to plan the **nature, timing and extent of direction and supervision** of team members and the **review** of their work. The extent scales with risk and staff competence — a risky area worked by a junior needs close supervision; a low-risk area worked by an experienced manager needs less. (This dovetails with SA 220, Quality Control.) A neat way to remember the drivers: direction/supervision/review intensity rises with (i) the **assessed risk** of the area, (ii) the **complexity** of the subject matter, and (iii) falls with the **competence and experience** of the staff assigned. A complex, high-risk area handed to a first-year article requires the most oversight of all.

**Documentation (SA 300 para on documentation):** the auditor shall document: - the **overall audit strategy**; - the **audit plan**; and - any **significant changes** made during the engagement to the strategy or plan, and the **reasons** for such changes.

*Why document changes and reasons?* Because a change of plan mid-audit is exactly where things go wrong and exactly what a later reviewer or regulator will scrutinise. Recording *why* you changed course shows the change was a reasoned response to new information, not drift.

**Additional considerations for initial (first-year) audits:** SA 300 flags that an *initial* audit needs *more* planning, because the auditor has no prior cumulative knowledge of the entity. Extra activities include arrangements with the **predecessor auditor** (e.g., review of prior working papers, subject to SA 210/ethical clearance) and procedures on **opening balances** (SA 510). *Why more?* A continuing auditor carries forward a stock of understanding — known control weaknesses, the entity's estimation habits, past misstatements — that shortcuts risk assessment. A first-year auditor starts cold and must build that understanding from scratch, and must additionally satisfy himself that **opening balances** (which he did not audit) do not contain misstatements that materially affect the current period, and that prior-period **closing balances** were correctly carried forward.

Figure 2.2 — SA 300 flow: gate-keeping first, then strategy, then plan, with a continuous feedback loop back into both.



**The interaction between strategy and plan — one causes revisions in the other.** A point ICAI illustrations stress: the strategy and plan are *interrelated*, so a change in one may cause a consequential change in the other. If, while executing the plan, a substantive procedure reveals a misstatement suggesting a pervasive control breakdown, the *strategy's* resourcing and timing (send more senior staff, extend the timetable) may need revisiting, which in turn respawns detailed *plan* procedures. The feedback loop in Figure 2.2 runs both ways.

## 4.2 SA 320 — Materiality in Planning and Performing an Audit

**Purpose:** to apply the concept of materiality appropriately in *planning and performing* the audit. (A companion standard, **SA 450 — Evaluation of Misstatements Identified During the Audit**, deals with materiality when *evaluating* the effect of misstatements found and uncorrected. SA 320 is about setting the yardstick; SA 450 is about measuring against it at the end.)

**The concept (rooted in the financial reporting framework):** Misstatements, including omissions, are considered **material** if they, individually or in the aggregate, could reasonably be expected to **influence the economic decisions of users** taken on the basis of the financial statements. Three features of this definition carry all the weight:

1. **It's about users' decisions**, not the auditor's convenience — materiality is judged from the standpoint of a reasonable user relying on the accounts.
2. **Individually or in aggregate** — small errors that sum to a large one are material together even if each is immaterial alone. (This is the seed of performance materiality.)
3. Judgements about materiality are made in light of surrounding circumstances and are affected by the **size and/or nature** of a misstatement — quantitative *and* qualitative.

**Materiality is a matter of professional judgement, framework-dependent.** SA 320 deliberately fixes no formula. Where the applicable financial reporting framework (say, Ind AS or AS) itself defines or discusses materiality, that provides a frame of reference; where it does not, the SA 320 concept above supplies it. The consequence for the exam: never write "materiality equals a fixed percentage" — write "materiality is determined by professional judgement, commonly expressed as a percentage of an appropriate benchmark, and framework-informed."

**Assumptions about users (why we can generalise):** SA 320 lets the auditor assume users: - have a **reasonable knowledge** of business and accounting and a **willingness to study** the information with reasonable diligence; - understand that statements are prepared and audited to **levels of materiality** (i.e., not to perfection); - recognise the **uncertainties** inherent in measuring amounts based on estimates and judgement; and - make **reasonable economic decisions** on the basis of the statements.

*Why this matters:* it frees the auditor from designing the audit for a hypothetical user who needs every rupee correct. The audit serves the *reasonable, diligent* user — and that is who the threshold is calibrated for.

**The three materiality figures SA 320 requires you to determine:**

**(i) Materiality for the financial statements as a whole ("overall materiality").** Set when establishing the overall strategy. Usually computed as a **percentage applied to a chosen benchmark**.

Choosing the benchmark — the standard lists factors: - the **elements** of the financial statements (assets, liabilities, equity, revenue, expenses); - whether there are items on which **users tend to focus** for the particular entity; - the **nature of the entity**, where it is in its life cycle, and the industry/economic environment; - the entity's **ownership structure and financing** (e.g., debt-financed entities → users focus on assets and claims rather than earnings); and - the **relative volatility** of the benchmark.

Common benchmarks and their logic (percentages are indicative ranges used in practice / ICAI illustrations — **confirm current ICAI-quoted figures**, as SA 320 itself does not fix numbers):

| Benchmark                     | Typical range | When it's the right choice — the logic                                                                                                        |
|-------------------------------|---------------|-----------------------------------------------------------------------------------------------------------------------------------------------|
| Profit before tax             | ~5%           | Profit-oriented entity; users (investors) focus on earnings                                                                                   |
| Total revenue / turnover      | ~0.5% – 1%    | Profit is small, volatile, or near break-even, making PBT an unstable base; or a growth/loss-making company where revenue is what users watch |
| Total assets                  | ~1% – 2%      | Asset-intensive or balance-sheet-driven entity                                                                                                |
| Net assets / equity           | ~1% – 5%      | Investment entities, funds where net asset value is the headline number                                                                       |
| Gross profit / total expenses | varies        | Not-for-profit or entities where expenditure is the focus                                                                                     |

*Why not always use PBT?* Because if profit is near zero, 5% of it is almost nothing, and you'd set an absurdly tiny materiality that makes the audit un-performable. When the natural benchmark is unstable, switch to a steadier one (often revenue). The benchmark must reflect *what users of this particular entity actually care about* and must be *stable enough to be a reliable yardstick*.

*A refinement examiners like* — "*normalising*" the benchmark. When the chosen benchmark figure is distorted by a **one-off item** (a large asset-sale gain, an exceptional impairment, a pandemic-year collapse), the auditor may use a *normalised* figure — e.g., PBT **before** the exceptional item, or an average of the last few years' PBT

— rather than the raw distorted number. The principle is the same as the volatility factor: the benchmark must represent the entity's *sustainable* performance that users price, not a freak year. Document the normalisation and its reason.

**(ii) Materiality level(s) for particular classes of transactions, account balances or disclosures — where applicable.** Sometimes a misstatement *below* overall materiality would *still* influence users if it hits a **specific sensitive area**. Examples: **related-party transactions; directors' remuneration** (a legally sensitive disclosure); a figure that determines compliance with a **loan covenant** or a **regulatory ratio**; the amount at which a company just crosses from loss to profit; and disclosures where users have a **particular sensitivity** (e.g., segment results in a business known for a specific division). For such items you set a *lower, specific* materiality. *Why*: the sensitivity here is **qualitative** — the *nature* of the item, not just its size, makes even a small error decision-relevant.

*Factors that flag the need for a specific (lower) materiality*, per SA 320: whether **law/regulation or the framework** drives users' expectations about a particular item's measurement or disclosure; **key disclosures** relating to the industry in which the entity operates; and whether **attention is focused on a particular aspect** of the business separately disclosed (e.g., a newly acquired business). If none of these apply, you may not need any specific materiality at all — it is set "where applicable," not always.

**(iii) Performance materiality.** Defined as an amount (or amounts) set at *less than* materiality for the financial statements as a whole (and less than any specific materiality for particular areas) to **reduce to an appropriately low level the probability that the aggregate of uncorrected and undetected misstatements exceeds materiality** for the statements as a whole.

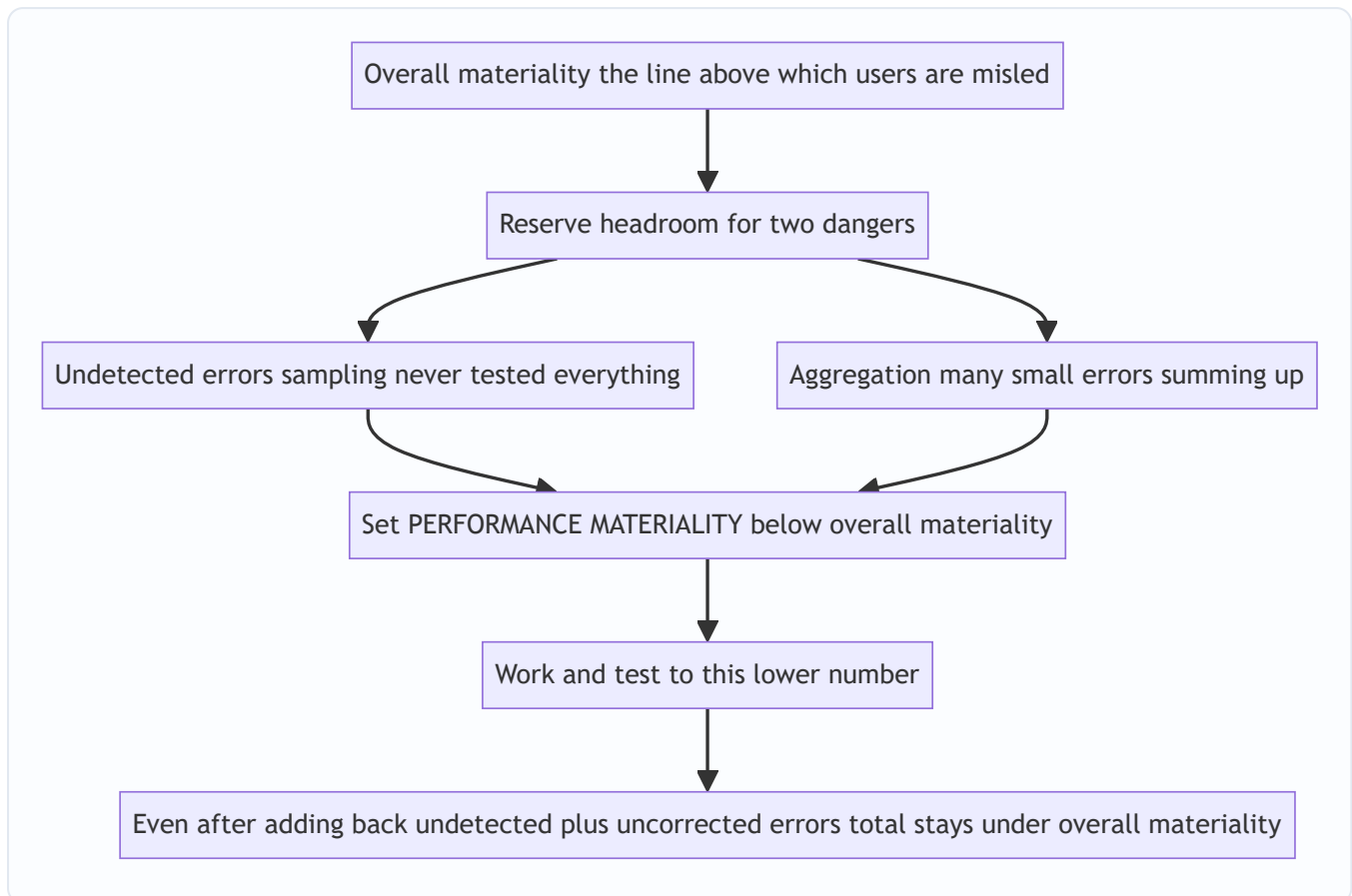
Break that definition into its two jobs: - **Aggregation cushion**: many individually-immaterial misstatements can add up past overall materiality; working to a lower number means you catch and consider more of them. - **Undetected-error cushion**: you sample; the untested population may contain errors you never saw. The gap between performance materiality and overall materiality is the room left for those.

In practice, performance materiality is often set at **50%–75% of overall materiality** (some firms use down to ~50% for higher-risk engagements, up to ~75% for lower-risk). *The higher the risk / the more misstatements you expect, the LOWER you push performance materiality* — a bigger cushion for a riskier audit. **Confirm the specific percentages in current ICAI material**; SA 320 fixes the *principle*, not the number.

*What determines where in the 50–75% band you land?* The auditor's judgement, informed by: (i) his **understanding of the entity**, updated during risk assessment; (ii) the **nature and extent of misstatements identified in prior audits** — a history of many errors argues for a lower percentage; and (iii) his resulting **expectation of misstatements in the current period**. This is why performance materiality is not a mechanical "always 75%" — it is calibrated to how error-prone this specific entity has proven to be.

*A trap-laden subtlety* — *one overall materiality can spawn several performance materialities*. Performance materiality can be set at a **lower level for a particular class or balance** than the general performance materiality, if that area is expected to contain more misstatements. So do not assume a single performance-materiality number for the whole audit; a high-error area (say, manual journal-heavy accruals) can carry its own tighter performance materiality even below the general one.

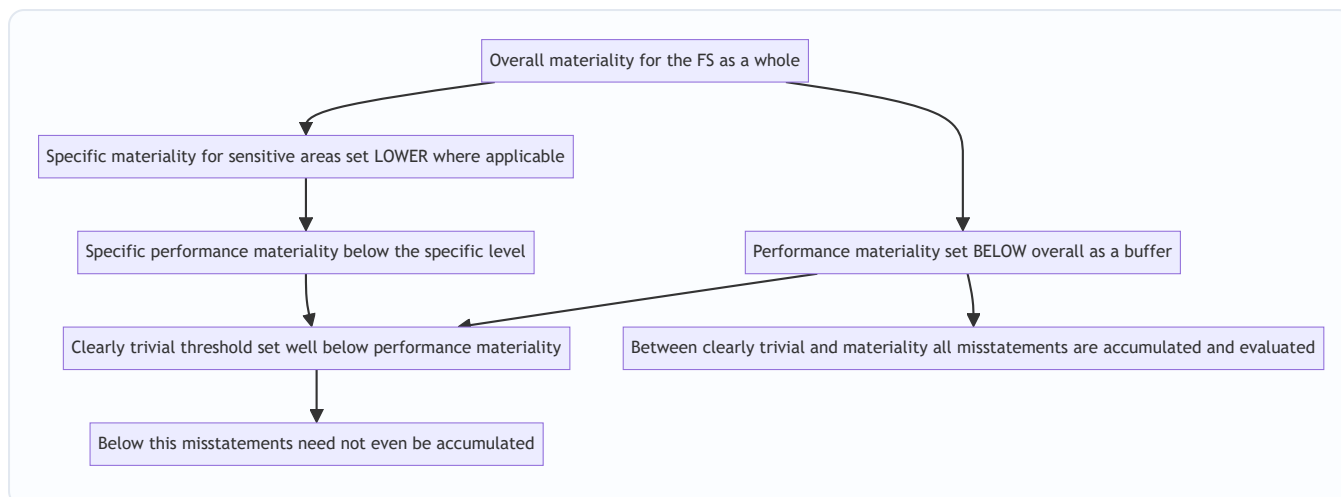
*Figure 2.3 — Why performance materiality sits below overall materiality: it reserves headroom for undetected and aggregated errors.*



**A fourth threshold you must not forget — the "clearly trivial" level.** Below performance materiality sits an even smaller amount: the threshold below which misstatements are **clearly trivial** and need not be accumulated (this belongs to SA 450 but is set during planning and examined alongside SA 320). "Clearly trivial" is *not* a synonym for "not material" — it is a much lower bar, meaning amounts so small that, even summed, they could not conceivably matter, whether taken individually, in aggregate, or judged by size or nature. Misstatements above "clearly trivial" but below materiality **must still be accumulated** and evaluated at completion; only those below "clearly trivial" can be ignored. Confusing "clearly trivial" with "immaterial" is a classic error — there is a whole zone between them that must be tracked.

*The full ladder, from largest to smallest:* **Overall materiality** (users misled above this) > **Performance materiality** (working buffer) > **Clearly-trivial threshold** (below which not even accumulated). Specific materiality, where it exists, is a *parallel, lower* line for a sensitive area, with its own performance materiality beneath it.

*Figure 2.4 — The materiality ladder: four thresholds, from the line that misleads users down to the amount too small to bother tracking.*



**Materiality and audit risk are inversely related — a crucial linkage.** The *lower* you set materiality, the *more* misstatements become "material," so the *more* evidence you must gather to be confident none exceed it — hence *more* work, driving detection risk down. Materiality is therefore not just a reporting threshold; it is a **dial that directly sets how much audit work you do**. Set it too high and you might miss decision-relevant errors; set it too low and you drown in un-performable work. (This connects to the audit risk model — Chapter 3.)

**Revision as the audit progresses (SA 320 requirement):** The auditor shall **revise** materiality (and, if applicable, specific and performance materiality) if he becomes aware of information during the audit that would have caused a *different* initial determination — e.g., actual results diverge sharply from the estimates used to set materiality (you used *projected* profit of ₹20 crore; actuals come in at ₹8 crore), a **decision to dispose of a major part** of the business, or a **change in the auditor's understanding** of the entity and its operations. *Why:* materiality set on stale numbers is a yardstick made of rubber. And if revised *downward*, the auditor must reconsider whether performance materiality is still appropriate and whether the **nature, timing and extent of further procedures** remain adequate — often meaning *more* work. Note the asymmetry: a downward revision is the dangerous one, because procedures already completed to a *higher* threshold may now be insufficient and may have to be **extended or repeated**.

**Documentation (SA 320 requirement):** the auditor shall document the amounts and the *factors considered* in their determination: - materiality for the financial statements as a whole; - materiality level(s) for particular classes/balances/disclosures, if applicable; - performance materiality; and - any **revision** of the above as the audit progressed.

*Why record the factors, not just the numbers?* Because the number is a conclusion; the *factors* are the reasoning. A reviewer must be able to see *why* PBT was chosen over revenue and *why* 5% and not 3% — otherwise the figure is an unaccountable guess.

### 4.3 How Materiality Directs Effort — Tying It Back to Assertions

Materiality doesn't float above the audit; it lands on **specific assertions** in **specific accounts**. Recall the assertions (SA 315) that management implicitly makes about the numbers:



| Category                | Assertion                                                     | Plain meaning                                                                 |
|-------------------------|---------------------------------------------------------------|-------------------------------------------------------------------------------|
| Transactions/events     | Occurrence                                                    | It really happened and pertains to the entity                                 |
|                         | Completeness                                                  | Nothing that should be recorded is left out                                   |
|                         | Accuracy                                                      | Amounts recorded correctly                                                    |
|                         | Cut-off                                                       | Recorded in the correct period                                                |
|                         | Classification                                                | Recorded in the right accounts                                                |
| Account balances        | Existence                                                     | The asset/liability really exists                                             |
|                         | Rights and obligations                                        | The entity owns it / owes it                                                  |
|                         | Completeness                                                  | All balances recorded                                                         |
|                         | Valuation and allocation                                      | Recorded at an appropriate value                                              |
| Presentation/disclosure | Occurrence, completeness, classification, accuracy, valuation | Disclosed events happened, all needed disclosures made, clearly and correctly |

Planning uses materiality **plus** the risk to each assertion to decide *where and how much* to test. For **revenue**, the risky assertions are usually **occurrence** (fictitious sales inflating revenue) and **cut-off** (sales of next year pulled into this year). For **inventory**, it's **existence** and **valuation** (does it exist, and is it worth what's stated after obsolescence?). For **liabilities and provisions**, it's **completeness** (the temptation is to *hide* liabilities, so you hunt for the *unrecorded* ones). Naming the assertion at risk is what turns "audit revenue" into a targeted procedure — you design the test to attack the specific lie management would be tempted to tell.

*The directional-testing principle, made explicit.* For **overstatement-prone** items (assets and income — management's incentive is to inflate the balance sheet and profit), you test **from the recorded figure to supporting evidence** (does this recorded sale/asset really exist and belong here?). For **understatement-prone** items (liabilities and expenses — the incentive is to hide them), you test **from independent sources back to the records** (search for unrecorded liabilities: subsequent payments, unmatched supplier statements, post-year-end invoices). Materiality tells you the size worth chasing; the *direction* of the likely lie tells you which way to point the test. This pairing is the operational essence of "large and risky."

## 5. Applied Scenarios — Reasoning to the Audit Response

**Scenario 1 — The break-even benchmark trap.** *Facts:* GreenGro Ltd, an agri-inputs company, had PBT of ₹18 crore last year but this year, after a bad monsoon, expects PBT of only ₹40 lakh on turnover of ₹520 crore. The junior proposes materiality of 5% of PBT = ₹2 lakh.

*Reasoning:* ₹2 lakh materiality on a ₹520 crore business is absurd — nearly every account would be "material," the audit becomes un-performable, and the tiny threshold reflects a one-off profit dip, not what users care about. PBT here is **volatile and near break-even**, disqualifying it as a stable benchmark. Switch to a steadier base users would focus on for a company in a rough patch — **revenue**. At, say, 0.75% of ₹520 crore, overall materiality ≈ ₹3.9 crore, a sensible yardstick. Document *why* the benchmark was changed.

*Lesson:* the benchmark must be stable and user-relevant; a collapsing PBT triggers a switch, usually to revenue.



**Scenario 2 — The qualitatively material small number.** *Facts:* For MetroBuild Ltd, overall materiality is ₹1.2 crore. The auditor finds directors' remuneration is overstated by ₹9 lakh, and separately a related-party loan of ₹15 lakh to a director's firm is undisclosed. Both are far below ₹1.2 crore. The manager says "immaterial, ignore."

*Reasoning:* Wrong. **Nature can make a small amount material.** Directors' remuneration and related-party transactions are legally and governance-sensitive disclosures (also tied to Companies Act requirements); a misstatement here can influence users' judgement about stewardship and conflicts regardless of size. These call for a **specific (lower) materiality** under SA 320, and the misstatements should be evaluated as **qualitatively material**. The auditor should seek correction/disclosure and, if refused, consider the impact on the opinion. *Lesson:* materiality is size **and/or** nature — sensitive disclosures pierce the quantitative threshold.

**Scenario 3 — Mid-audit surprise forces revision.** *Facts:* At planning, PixelSoft Ltd was budgeted to earn ₹30 crore PBT; materiality was set at 5% = ₹1.5 crore, performance materiality at 75% = ₹1.125 crore (low-risk assessment). During fieldwork, a major customer goes insolvent; actual PBT will be ₹9 crore, and the auditor now suspects aggressive revenue recognition.

*Reasoning:* Two things changed — the **benchmark magnitude** (actual profit far below projection) and the **risk** (fraud risk in revenue is now higher). SA 320 requires **revising overall materiality downward** to reflect real PBT (5% of ₹9 crore = ₹45 lakh). Because materiality dropped and risk rose, **performance materiality must be pushed lower** (toward 50% given higher risk), and the auditor must reconsider whether the planned **nature, timing and extent** of procedures on revenue are still sufficient — almost certainly expanding substantive testing and adding cut-off and occurrence procedures. Every change and its reason goes into the documentation. *Lesson:* materiality is a live figure; divergence of actuals from estimates and emerging risk both force revision, and revision cascades into more work.

**Scenario 4 — The evenly-thick file.** *Facts:* A reviewer opens the audit file of a manufacturing client and finds roughly equal working-paper volume on share capital (unchanged for six years), petty cash, revenue, and inventory valuation.

*Reasoning:* This is a **planning failure**, not thoroughness. Share capital and petty cash are low-risk, low-impact; revenue (occurrence/cut-off) and inventory valuation (obsolescence) are high-risk, high-value. A properly planned audit under SA 300, driven by materiality and risk, would be **lopsided** toward revenue and inventory. Equal effort everywhere means senior attention was *not* directed to where misstatement is both likely and large. *Lesson:* the shape of the file should mirror the map of risk × materiality; uniform effort is a red flag.

**Scenario 5 — The full numerical build, benchmark to clearly-trivial (exam-hard, self-checked).** *Facts:* Nimbus Foods Ltd, a stable, profitable FMCG company. Latest figures: Revenue ₹1,200 crore, PBT ₹96 crore, Total assets ₹640 crore, Equity ₹300 crore. Prior audits found few, small misstatements; risk assessed as low-to-moderate. Directors' remuneration ₹6 crore is a sensitive disclosure. Determine overall materiality, specific materiality for directors' remuneration, performance materiality, and the clearly-trivial threshold, and state the total misstatement the audit is designed to keep the accounts within.

*Reasoning and computation:* - **Benchmark choice:** PBT is stable and the entity is profit-focused → use **PBT at 5%**. Overall materiality = 5% × ₹96 crore = **₹4.8 crore**. - *Cross-check against other benchmarks for sanity:* 0.5% of revenue = ₹6 crore; 1% of total assets = ₹6.4 crore; both are in the same order of magnitude as ₹4.8 crore, confirming PBT-5% is not producing an absurd figure. (Had PBT-5% come to, say, ₹5 lakh while revenue-0.5% was ₹6 crore, that mismatch would itself signal PBT is the wrong, unstable benchmark — the

check is the diagnosis.) - **Specific materiality (directors' remuneration):** a legally sensitive disclosure; set a lower level, say ₹25 lakh, reflecting that users would react to even a modest misstatement here. (Any defensible low figure works; the *reasoning* — nature-driven sensitivity — is what earns marks.) -

**Performance materiality:** low-to-moderate risk and a clean prior history → toward the **higher** end of the band, say **75%**.  $PM = 75\% \times ₹4.8 \text{ crore} = ₹3.6 \text{ crore}$ . - **Clearly-trivial threshold:** commonly a small fraction of overall materiality (practice often uses roughly 5%).  $\sim 5\% \times ₹4.8 \text{ crore} = ₹24 \text{ lakh}$  — below this, misstatements need not even be accumulated. (**Confirm the percentage convention in current ICAI material;** SA fixes no number.)

*Self-verification — does the ladder hold?* Clearly-trivial ₹24 lakh < performance materiality ₹3.6 crore < overall materiality ₹4.8 crore. ✓ Ordering correct. Specific materiality ₹25 lakh sits *below* overall materiality as required for a sensitive area. ✓ The audit is designed so that the **aggregate of uncorrected plus undetected misstatements stays below ₹4.8 crore**; by working to ₹3.6 crore, the ₹1.2 crore gap is the reserved headroom for aggregation and sampling error. *Lesson:* build the ladder top-down (overall → performance → clearly trivial), carve specific materiality sideways for sensitive items, and always sanity-check the chosen benchmark against one or two alternatives.

**Scenario 6 — Revenue vs assets: same profit, opposite benchmark (what-if the examiner tweaks the entity).** *Facts:* Two companies, identical PBT of ₹10 crore. (A) **LendWell Finance Ltd** — an NBFC financed heavily by debentures and public deposits; total assets ₹2,000 crore, thin equity. (B) **BrightApp Ltd** — an asset-light SaaS firm; total assets ₹120 crore, no debt, valued by the market on earnings growth. Which benchmark for each?

*Reasoning:* Same profit, but users differ. For **LendWell**, the dominant users are **lenders and depositors** who care about **solvency and asset cover**, and the entity is **balance-sheet-driven**; the natural benchmark is **total assets** (or net assets), say 1% of ₹2,000 crore = **₹20 crore** — far above 5% of PBT (₹50 lakh). Using PBT here would set an implausibly tight threshold for a ₹2,000 crore balance sheet and ignore what its actual users watch. For **BrightApp**, users are **equity investors pricing earnings**; **PBT at 5% = ₹50 lakh** is right, and total assets would be a poor benchmark because the assets are trivial relative to the value drivers. *Self-check:* the benchmark tracks *ownership structure and financing* and *what users focus on* — exactly the SA 320 factors — and the two answers diverge by 40× despite identical profit. *Lesson:* never reflex to "5% of PBT." First ask *who uses these accounts and what do they watch*; the financing structure often decides the benchmark.

**Scenario 7 — Aggregation of individually-immaterial errors (why performance materiality exists, in numbers).** *Facts:* Overall materiality for Coastal Traders Ltd is ₹1 crore; performance materiality was set at ₹700 lakh. At completion the auditor has accumulated the following *uncorrected* misstatements, each individually below overall materiality: overstated inventory ₹35 lakh, understated warranty provision ₹28 lakh, unrecorded supplier invoice ₹22 lakh, revenue recognised early ₹40 lakh, and misclassified (non-P&L) ₹15 lakh. Management refuses to adjust, arguing "each one is immaterial."

*Reasoning:* Evaluate under SA 450 against SA 320 materiality — but note *classification-only* errors don't affect the profit/net-asset aggregate the same way. Aggregate the ones affecting profit and net position:  $35 + 28 + 22 + 40 = ₹125 \text{ lakh}$ . This **exceeds overall materiality of ₹100 lakh**, so the accounts are **materially misstated in aggregate** even though every component is individually immaterial. Management's argument is precisely the fallacy performance materiality guards against. *Self-check:* had the auditor complacently worked to ₹1 crore instead of ₹700 lakh, he might have stopped accumulating small items and never revealed the ₹125 lakh pile-up; the ₹70 lakh cushion (gap between PM and materiality) is what forced

enough small items into view. The ₹15 lakh misclassification is separately evaluated for *qualitative* impact (does it distort a key ratio or covenant?) but is not simply added to the profit-effect total. *Outcome*: seek correction; if refused, the effect on the audit opinion must be considered (likely a **qualified opinion**). *Lesson*: "each is immaterial" is never a defence — aggregate first, then judge; and mind that classification errors are assessed on their own footing.

## 6. Procedure / Documentation Summary

### The planning workflow, start to finish:

1. **Preliminary engagement activities** — client continuance; ethics and independence evaluation; confirm/agree engagement terms (engagement letter, SA 210).
2. **Obtain/update understanding of the entity and its environment** (SA 315) sufficient to identify risk areas — feeds both strategy and materiality.
3. **Set overall materiality** — choose benchmark, justify the percentage, compute; document benchmark rationale (and any normalisation).
4. **Set specific materiality** for sensitive classes/balances/disclosures where a smaller misstatement would influence users; document.
5. **Set performance materiality** below overall (and below specific) materiality, calibrated to expected risk and prior-year error history; document the percentage logic. Set the **clearly-trivial threshold** for accumulation of misstatements.
6. **Establish the overall audit strategy** — scope, timing, direction, resources.
7. **Develop the detailed audit plan** — planned risk-assessment procedures (SA 315) and planned further procedures at assertion level (SA 330), plus other required procedures.
8. **Plan direction, supervision and review** proportionate to risk and staff competence.
9. **Execute, monitoring continuously**; when new information or changed risk appears, **update strategy/plan and revise materiality**, documenting the change and the reason.
10. **At/near completion**, use SA 450 to evaluate whether uncorrected misstatements, individually or in aggregate, exceed materiality.

### What must be in the file:

| Document                             | Source SA                | Must record                                                                                                    |
|--------------------------------------|--------------------------|----------------------------------------------------------------------------------------------------------------|
| Overall audit strategy               | SA 300                   | Scope, timing, direction, resources                                                                            |
| Audit plan                           | SA 300                   | Nature/timing/extent of risk-assessment and further procedures                                                 |
| Significant changes to strategy/plan | SA 300                   | The change <b>and the reasons</b> for it                                                                       |
| Materiality determinations           | SA 320                   | Overall materiality; specific materiality (if any); performance materiality; <b>and the factors considered</b> |
| Clearly-trivial threshold            | SA 450 (set in planning) | The amount below which misstatements are not accumulated                                                       |
| Revision of materiality              | SA 320                   | Revised amounts and reasons; reconsideration of further procedures                                             |

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## 7. Connections

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- **Chapter 1 (Nature & objective of audit):** planning and materiality are the operational answer to *reasonable* assurance and *material* misstatement — the qualifiers baked into the audit's objective. The three inherent limitations (framework, procedures, time/cost) are *why* reasonable assurance is the ceiling and *why* we plan.
  - **SA 315 (Identifying and assessing risks):** supplies the *risk map* that planning aims at; you cannot direct effort without first understanding the entity and its risks. Planning and risk assessment are inseparable.
  - **SA 330 (Auditor's responses to assessed risks):** the audit plan's "further procedures" are literally SA 330 responses; higher assessed risk → more persuasive, more extensive procedures, decided through the nature-timing-extent triad.
  - **Audit risk model ( $AR = IR \times CR \times DR$ ):** materiality and detection risk are inversely linked; setting materiality is one lever, evidence quantity is the other. Explored fully in Chapter 3.
  - **SA 450 (Evaluating misstatements):** the back-end partner of SA 320 — you set the yardstick (and the clearly-trivial threshold) in planning and measure found misstatements against it at completion; aggregation is judged here.
  - **SA 220 / SQC 1 (Quality control):** direction, supervision and review planned under SA 300 are quality-control mechanisms; competent staffing is both a planning and a quality decision.
  - **SA 210 (Engagement terms) and client acceptance:** the preliminary activities that gate the whole planning process.
  - **SA 510 (Opening balances):** the initial-audit add-on — first-year planning must cover opening balances and predecessor-auditor arrangements.
  - **Companies Act 2013:** materiality interacts with statutory disclosures — e.g., director's remuneration (Sec 197), related-party transactions (Sec 188), and CARO reporting — where *nature* makes small amounts material; also the auditor's Sec 143 duties presuppose a properly planned audit.
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## 8. Traps & Examiner Tricks

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1. **"Materiality is a fixed rule / a single percentage."** *False.* SA 320 fixes no numbers; it's a matter of **professional judgement** using benchmarks. Any answer quoting "materiality = 5% always" loses marks. Say the number is *judgement-based* and *entity-specific*.
2. **Forgetting the qualitative dimension.** Examiners love a *small* amount in a *sensitive* area (director's pay, related parties, an amount that flips loss to profit, a covenant breach). The trap answer says "immaterial — ignore." The right answer invokes **nature-based materiality** and specific materiality.
3. **Confusing overall vs performance vs specific materiality.** Overall = the top-line threshold for the statements; **performance = a lower working figure** to buffer aggregation and undetected error; **specific = a lower figure for particular sensitive areas**. Mixing these up is a classic slip. Performance materiality is always **below** overall.
4. **Getting the risk–materiality direction backwards.** Higher risk → **lower** performance materiality (bigger cushion), and lower materiality → **more** audit work. Some students write the inverse. Reason it: more risk means more room needed for undetected error, so tighten the working threshold.

5. **Treating planning as a one-time event.** SA 300 stresses planning is **continuous and iterative**; the plan is revisited and revised. "Plan once at the start and never touch it" is wrong.
  6. **Strategy vs plan mix-up.** Strategy = scope/timing/direction/resources (the map). Plan = detailed procedures (the route). If a question asks for contents of the *strategy*, do not list audit procedures; if it asks for the *plan*, do not list resource/timing decisions.
  7. **Forgetting to revise materiality when actuals diverge.** If the exam gives you a *projected* profit at planning and *actual* profit later that's very different, the examiner is testing whether you know SA 320 **requires revision** — and that downward revision triggers reconsideration of procedures already performed to a higher threshold.
  8. **Omitting documentation.** Every planning and materiality decision — including **the reasons/factors** and any **changes** — must be documented. Answers that stop at "the auditor decides X" without "and documents it" leave marks on the table.
  9. **Thinking planning means all work is done before fieldwork.** No — planning is *not* a discrete phase that finishes before evidence-gathering; it continues throughout, and *some* substantive procedures may even begin during planning.
  10. **"Planning is only for large/complex audits."** Scale of planning varies with the entity's size and complexity, but *every* audit is planned. A small audit needs less, not zero.
  11. **Confusing "clearly trivial" with "immaterial."** They are different bars. "Clearly trivial" is *far* below materiality — the accumulation cut-off. Misstatements above clearly-trivial but below materiality **must still be accumulated** and evaluated. Writing "below materiality, so ignore" skips the whole middle zone and is wrong.
  12. **Assuming one performance materiality for the whole audit.** A high-error class or balance can carry its *own* lower performance materiality. Blanket single-figure answers miss this refinement.
  13. **Confusing audit plan with audit programme.** The audit **programme** is the detailed list of procedures (part of the plan) that assistants execute and initial. If asked to distinguish them, don't treat them as identical — the plan is broader; the programme is the operational checklist.
  14. **Reflexively using 5% of PBT for every entity.** For debt-financed / asset-heavy / loss-making / investment entities the right benchmark may be total assets, revenue or net assets. Always justify the benchmark from *who the users are and what they watch* (Scenario 6).
  15. **Thinking management sets or is told the exact materiality.** Materiality is the **auditor's** planning judgement, kept in the audit file — not disclosed in the financial statements and not negotiated with the client.
  16. **Ignoring the benchmark sanity-check.** A robust answer cross-checks the chosen benchmark against an alternative; a wildly different result flags that the primary benchmark may be unstable (Scenario 5).
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## 9. First-Principles Recap

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Strip everything away and here is the skeleton:

- You **cannot** check everything (scarcity), and you **shouldn't** (relevance). So you must aim. And because of three permanent limitations (estimates in reporting, persuasive-not-conclusive evidence, finite time/cost) the best you can honestly offer is **reasonable, not absolute, assurance**.
- To aim, you need to know **what size of error matters** (materiality — set by users' decisions, anchored to a stable, entity-relevant benchmark) and **where errors hide** (risk — from understanding the entity and its

assertions).

- Point effort at the **intersection of large and risky**. That is planning.
- Because errors **aggregate** and because you only **sample**, work to a threshold **below** the one that matters — that safety margin is **performance materiality**. Below even that lies the **clearly-trivial** line, under which you don't bother accumulating.
- Because *nature* can make a *small* error decision-relevant, carve out **specific materiality** for sensitive areas.
- Because facts change, treat both the plan and the materiality figures as **living**, revising and documenting as you learn.
- **SA 300** is the machinery (strategy then plan, continuously updated, documented). **SA 320** is the threshold (overall, specific, performance, revised, documented). **SA 315** draws the risk map they aim at; **SA 330** is the response; **SA 450** measures what you found against the yardstick.

Every rule in this chapter is a defence against one failure: **signing a clean opinion on statements that were, in a way that would have changed a user's decision, wrong**.

## 10. Quick-Revision Sheet

### Key Standards

| SA     | Title                                                        | One-line purpose                                                                                               |
|--------|--------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------|
| SA 300 | Planning an Audit of Financial Statements                    | Build overall strategy + detailed plan so effort hits important areas; document both and any changes           |
| SA 320 | Materiality in Planning and Performing an Audit              | Set overall, specific and performance materiality by judgement; revise as needed; document amounts and factors |
| SA 450 | Evaluation of Misstatements Identified During the Audit      | (Back-end) accumulate above clearly-trivial; measure found misstatements against materiality                   |
| SA 315 | Identifying and Assessing the Risks of Material Misstatement | Supplies the risk map planning aims at                                                                         |
| SA 330 | The Auditor's Responses to Assessed Risks                    | The "further procedures" the plan schedules, via nature-timing-extent                                          |
| SA 510 | Initial Audit Engagements — Opening Balances                 | Extra first-year planning: opening balances + predecessor auditor                                              |

### SA 300 — Overall Strategy sets four things

| Element   | Question answered                                             |
|-----------|---------------------------------------------------------------|
| Scope     | What/where are we auditing (framework, components, locations) |
| Timing    | When — deadlines, interim vs final, reporting to TCWG         |
| Direction | Materiality + preliminary risk areas that focus effort        |
| Resources | Who (team size, skill), how much (budget), when deployed      |



**SA 300 — Audit Plan details three things:** planned risk-assessment procedures (SA 315); planned further procedures at assertion level (SA 330 — tests of controls + substantive); other required procedures. *Plan direction/supervision/review too.* The **audit programme** is the detailed procedure-list within the plan.

**NTE triad (used everywhere):** **Nature** = what kind of procedure / test-of-controls vs substantive; **Timing** = interim vs year-end; **Extent** = sample size / coverage. Higher risk → more reliable nature, timing nearer year-end, larger extent.

**Preliminary engagement activities (before planning):** client continuance; ethics + independence; engagement terms (SA 210). Run **every year**, not just year one.

### SA 320 — Three materiality figures (plus a fourth threshold)

| Figure                    | What                                                    | Why                                                     |
|---------------------------|---------------------------------------------------------|---------------------------------------------------------|
| Overall materiality       | % × benchmark for FS as a whole                         | Threshold above which users are misled                  |
| Specific materiality      | Lower figure for sensitive classes/balances/disclosures | <i>Nature</i> makes small errors decision-relevant      |
| Performance materiality   | Below overall (often ~50–75%)                           | Cushion for aggregation + undetected (sampling) error   |
| Clearly-trivial threshold | Well below performance materiality                      | Below this, misstatements not even accumulated (SA 450) |

**The ladder:** Overall > Performance > Clearly-trivial; Specific runs as a lower parallel line for sensitive areas (with its own PM).

**Benchmarks:** PBT ~5% (profit-focused); Revenue ~0.5–1% (volatile/near-break-even/loss-making); Total assets ~1–2% (asset-heavy / lenders' focus); Net assets ~1–5% (funds). *Confirm exact ICAI-quoted percentages; SA 320 fixes no numbers.* **Normalise** a benchmark distorted by a one-off item. Always **sanity-check** against one alternative benchmark.

**Key relationships:** - Materiality ↓ ⇒ audit work ↑ (inverse). - Risk ↑ ⇒ performance materiality ↓ (bigger cushion). - Materiality = **size AND/OR nature** (quantitative + qualitative). - Benchmark follows **who the users are and what they watch** (financing/ownership structure often decides it).

**Revise materiality when** actuals diverge from planning estimates, a major part of the business is disposed, or understanding of the entity changes; **downward** revision ⇒ reconsider nature/timing/extent — procedures already done to a higher threshold may need extending.

**Documentation checklist:** overall strategy; audit plan; significant changes + reasons; overall/specific/performance materiality + **factors**; clearly-trivial threshold; materiality revisions.

**The one sentence:** *Because you can't check everything and not everything matters, plan your scarce effort onto amounts that are both large (materiality) and likely wrong (risk), work to a buffer below what matters (performance materiality), carve lower thresholds for sensitive items, and keep both the plan and the threshold alive and documented.*

## Q&A — Audit Strategy, Planning & Materiality

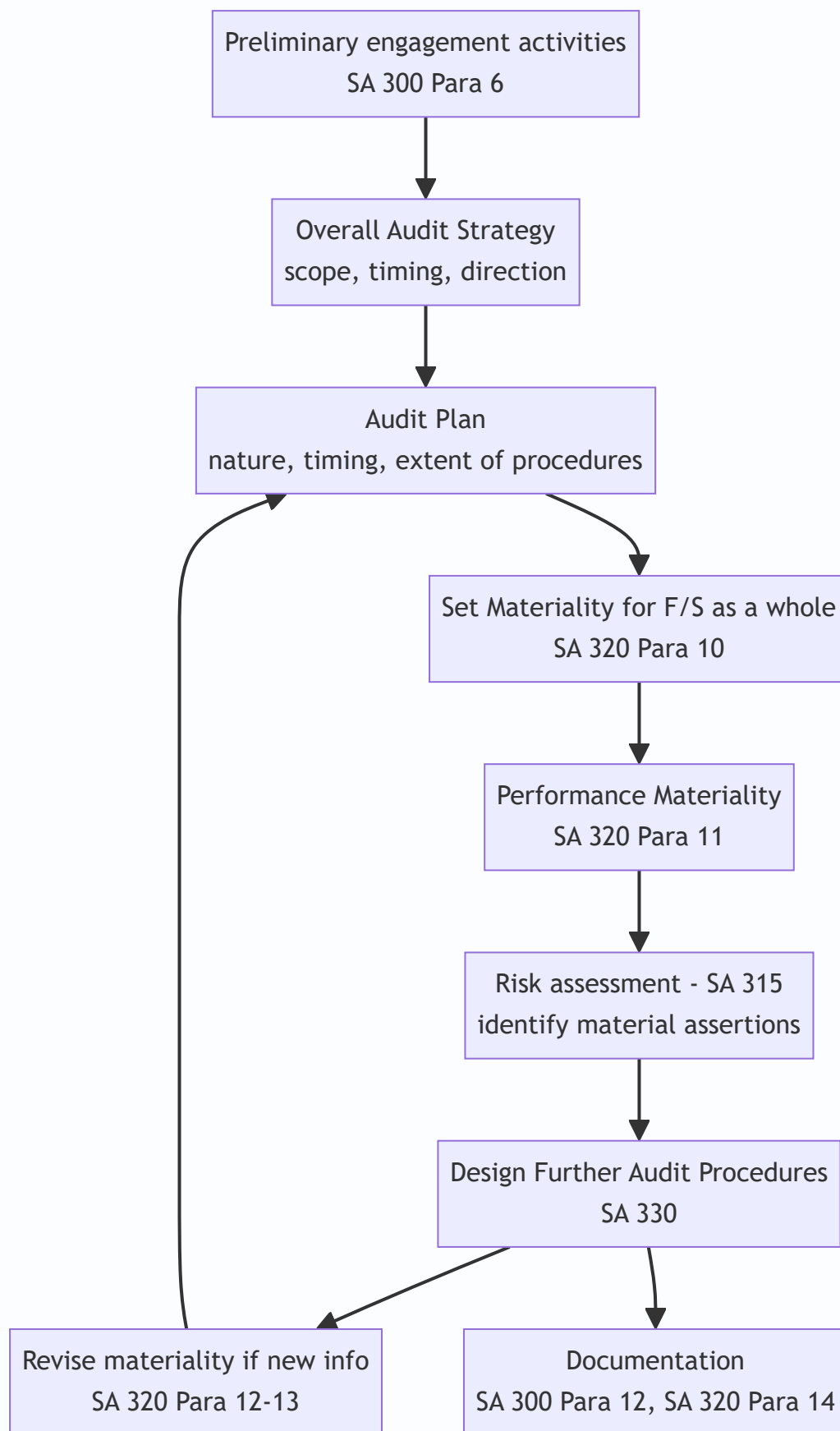
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CA Intermediate — Auditing & Ethics. Coverage: SA 300 (Planning an Audit of Financial Statements) and SA 320 (Materiality in Planning and Performing an Audit). All standards cited are Indian Standards on Auditing issued by ICAI. Companies Act references are to the Companies Act, 2013.

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## How the whole thing fits together (read this first)



The examiner's favourite one-liner: **strategy sets the scope and direction (the "what and how much"), the plan sets the detailed procedures (the "how"), and materiality decides where the effort is worth spending.**

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## Section A — Concept-Check Questions (with answers)

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### A1. Distinguish between the "overall audit strategy" and the "audit plan" under SA 300.

*Answer:* Under **SA 300 (Para 7–9)**, the **overall audit strategy** sets the *scope, timing and direction* of the audit and guides development of the detailed plan — it deals with characteristics of the engagement (reporting framework, industry), reporting objectives (deadlines, key dates of communication) and allocation of resources (where, when and how much effort). The **audit plan** is more detailed and includes the *nature, timing and extent* of (a) planned risk assessment procedures (SA 315) and (b) planned further audit procedures at the assertion level (SA 330), plus other procedures needed to comply with SAs. The strategy is the broad framework; the plan converts it into specific procedures. The two are interrelated — a change in one changes the other.

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### A2. Is planning a discrete phase performed only at the start of the audit? Cite the standard.

*Answer:* No. **SA 300 (Para 2 and A2)** clarifies that planning is a **continual and iterative process** that often begins shortly after (or in connection with) the completion of the previous audit and continues until the completion of the current engagement. The plan is updated and changed as necessary during the course of the audit.

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### A3. Define "materiality for the financial statements as a whole" and "performance materiality" under SA 320.

*Answer:* Per **SA 320**: Misstatements are material if, individually or in aggregate, they could **reasonably be expected to influence the economic decisions of users** taken on the basis of the financial statements (Para 2). **Materiality for the financial statements as a whole (Para 10)** is the amount(s) set by the auditor at the planning stage. **Performance materiality (Para 9, definition)** means the amount(s) set at *less than* materiality for the financial statements as a whole, to reduce to an appropriately low level the probability that the aggregate of *uncorrected and undetected* misstatements exceeds materiality for the financial statements as a whole. It may also refer to amounts set below the materiality level for particular classes of transactions, account balances or disclosures.

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### A4. Why is performance materiality set *lower* than overall materiality? Give the logic.

*Answer:* Because the auditor never audits 100% of items; some misstatements will remain **undetected**, and some detected ones may be **left uncorrected** (below a threshold). If procedures were designed only to catch misstatements at the overall materiality figure, the *aggregate* of undetected + uncorrected errors could easily push total misstatement *above* materiality. **Performance materiality (a buffer)** builds in a cushion so the aggregate stays below materiality with a low probability of failure (SA 320 Para 9 & A12–A14). It is a matter of professional judgement affected by the auditor's understanding of the entity and the nature/extent of misstatements in prior audits.

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**A5. What are the qualitative factors that make an otherwise "small" misstatement material?**

*Answer:* SA 320 (Para 2, A1) recognises materiality has a **qualitative dimension**. A numerically small item may be material because of its *nature or the circumstances*: e.g., it converts a profit into a loss (or vice versa), affects compliance with loan covenants or regulatory requirements, relates to related-party transactions, involves fraud or illegality, changes a trend/EPS, affects management remuneration, or relates to sensitive disclosures (director's remuneration, related parties). The examiner tests that materiality is **not purely a percentage exercise**.

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**A6. What is the relationship between materiality and audit risk?**

*Answer:* They have an **inverse relationship**. The lower the materiality level, the greater the amount of evidence required, hence more work and (unless procedures increase) higher detection risk unless mitigated. Materiality and audit risk are considered together throughout the audit (SA 200 and SA 320): materiality is used both to *plan* the nature, timing and extent of procedures and to *evaluate* the effect of identified misstatements.

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**A7. List benchmarks commonly used to determine materiality and the factors affecting the choice.**

*Answer:* Per **SA 320 (Para A3–A9)**, common benchmarks include **profit before tax, total revenue, gross profit, total expenses, total equity or net asset value**. Factors affecting the choice: (i) elements of the financial statements (assets, liabilities, equity, revenue, expenses); (ii) items on which users tend to focus; (iii) nature of the entity, its life-cycle stage, industry and economic environment; (iv) the entity's ownership and financing structure (e.g., debt-financed entities may focus on assets/claims rather than earnings); and (v) the relative volatility of the benchmark. For a **profit-oriented entity, profit before tax from continuing operations** is often used; where PBT is volatile, an alternative such as gross profit or total revenue may be more appropriate.

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**A8. What must the auditor document regarding planning and materiality?**

*Answer:* **SA 300 (Para 12)** requires documentation of: (a) the overall audit strategy; (b) the audit plan; and (c) any **significant changes** made during the audit to the strategy or plan, and the **reasons** for such changes. **SA 320 (Para 14)** requires documenting the following amounts and the factors considered: (a) materiality for the financial statements as a whole; (b) if applicable, materiality level(s) for particular classes of transactions, account balances or disclosures; (c) performance materiality; and (d) any **revision** of the above as the audit progressed.

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**A9. What are the benefits of planning an audit? (SA 300)**

*Answer:* SA 300 (Para 2) — adequate planning helps to: identify and devote appropriate attention to **important areas**; identify and **resolve problems on a timely basis**; **organise and manage** the engagement so it is performed effectively and efficiently; assist in **selecting engagement team members** with appropriate capabilities and competence and **assigning work** to them; facilitate **direction, supervision and review**; and assist in **coordination** of work done by auditors of components and experts.

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#### A10. What is the "clearly trivial" threshold and how does it differ from materiality?

*Answer:* SA 450 (linked concept) refers to matters that are "**clearly trivial**" — misstatements that are clearly inconsequential, whether individually or in aggregate, judged by size, nature or circumstances, and need not be accumulated. This is **not** a smaller expression of materiality or performance materiality — clearly trivial is an order of magnitude smaller and no accumulation is expected. Anything not clearly trivial must be accumulated for evaluation against materiality.

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## Section B — Applied Scenario Questions (situation → audit response with reasoning)

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**B1. Volatile benchmark.** *Situation:* You are auditing a manufacturing company whose profit before tax has swung from ₹4 crore profit to ₹0.5 crore loss to ₹2 crore profit over the last three years. Management proposes 5% of current-year PBT as the materiality benchmark. Comment and state your response.

*Response:* Using PBT is questionable here because it is **highly volatile**, so a small change would swing materiality wildly and a near-zero PBT would produce an unusably tiny materiality figure. Per **SA 320 Para A7–A9**, when the chosen benchmark is volatile, the auditor should consider a **more stable benchmark** such as **normalised/averaged PBT, gross profit, or total revenue**. Reasoning: materiality should reflect the magnitude that would influence users' decisions on a normal-operations basis, not be distorted by a one-off swing. I would document the benchmark chosen, the percentage applied, and the reason for departing from raw PBT (SA 320 Para 14).

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**B2. A "small" error that flips the result.** *Situation:* During completion, you find an unrecorded expense of ₹6 lakh. Overall materiality was set at ₹15 lakh. But recording it converts the reported profit of ₹4 lakh into a loss. Management says it is below materiality. Your view?

*Response:* Although ₹6 lakh is numerically below the ₹15 lakh materiality, it is **material by nature/circumstance** because it **changes profit into loss** — a qualitative factor explicitly recognised in **SA 320 Para 2 and A1**. Such a misstatement could reasonably influence users' economic decisions. Response: treat it as a material misstatement; request correction (SA 450). If management refuses, consider the effect on the auditor's opinion (SA 705). The purely quantitative comparison is misleading here.

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**B3. New information mid-audit.** *Situation:* Materiality was based on budgeted PBT of ₹10 crore. At year-end, actual PBT is only ₹4 crore due to a large impairment. Fieldwork is substantially complete. What must you do?

*Response:* **SA 320 Para 12–13** requires the auditor to **revise materiality** (and performance materiality) if, during the audit, information comes to light that would have caused a different figure to be set initially. Since actual results differ materially from those used to set materiality, I must **recompute** materiality on the revised base. If the revised (lower) materiality means the extent of further audit procedures already performed is **insufficient**, I must perform **additional procedures**. All revisions and reasons are documented (SA 320 Para 14).

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**B4. Lower materiality for a specific balance.** *Situation:* A listed company must disclose managerial remuneration and related-party transactions. Overall materiality is ₹50 lakh. Would you audit these balances to the same ₹50 lakh threshold?

*Response:* No. **SA 320 Para 10 and A10–A11** allow setting a **separate, lower materiality** for particular classes of transactions, account balances or disclosures where misstatements of *lesser amounts* could reasonably influence users' decisions. Managerial remuneration (governed by **Sections 197/198, Companies Act 2013**) and related-party transactions (Section 188 / relevant disclosure requirements) are sensitive and law-driven; users focus on them regardless of amount. I would set a lower specific materiality and design more sensitive procedures for these items, documenting the rationale.

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**B5. Direction, supervision and review for a first-year audit.** *Situation:* Your firm has been newly appointed for a mid-size company. The team is largely new to the client. How does this affect your overall strategy?

*Response:* Under **SA 300 Para 8–9 and A8–A11**, the strategy must account for **resource allocation and the extent of direction, supervision and review**. A first-year engagement with unfamiliar staff needs **more experienced team members on high-risk areas, more supervision and review**, opening-balance procedures (**SA 510**), and possibly earlier interim work. The lack of cumulative audit knowledge increases risk, so more attention is directed to obtaining understanding of the entity (**SA 315**). This is documented as part of the strategy.

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## Section C — Past-Paper-Style Descriptive Questions (with model answers)

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**C1. "The auditor shall establish an overall audit strategy that sets the scope, timing and direction of the audit." Explain the matters the auditor considers in establishing the overall audit strategy. (SA 300)**

*Model Answer:* Per **SA 300 Para 8**, in establishing the overall audit strategy the auditor shall: 1. **Identify the characteristics of the engagement that define its scope** — the financial reporting framework, industry-specific requirements, expected audit coverage, locations/components, nature of business segments, availability of internal audit work, and use of experts. 2. **Ascertain the reporting objectives to plan the timing and nature of communications** — statutory/other deadlines for interim and final reporting, key dates for expected communications with management and those charged with governance, and timing of team discussions. 3. **Consider the factors that, in the auditor's professional judgement, are significant in directing the team's efforts** — determination of materiality (**SA 320**), preliminary identification of areas with higher risk of material misstatement, results of previous audits, and evidence of management's commitment to sound internal control. 4. **Consider the results of preliminary engagement activities** (**SA 300 Para 6** — continuance, ethics/independence, terms of engagement per **SA 210**) and knowledge from other engagements. 5. **Ascertain the nature, timing and extent of resources** necessary to perform the engagement — team selection, assignment of work (e.g., experienced staff to high-risk areas), engagement budgeting, and the extent of direction, supervision and review. The strategy and plan must be documented (**Para 12**).

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## **C2. Explain the concept of materiality and the use of benchmarks in determining materiality for the financial statements as a whole. (SA 320)**

*Model Answer:* **SA 320 Para 2** describes materiality by reference to the applicable financial reporting framework's perspective: misstatements are material if they, individually or in aggregate, could **reasonably be expected to influence the economic decisions of users** taken on the basis of the financial statements. Materiality involves the auditor's professional judgement and is affected by the auditor's perception of the common information needs of users **as a group** (not particular users).

Under **Para 10**, when establishing the overall strategy, the auditor determines materiality for the financial statements as a whole. **Para A3–A9** explain that this often involves applying a **percentage to a chosen benchmark**. Considerations in selecting a benchmark: - **Elements** of the financial statements (assets, liabilities, equity, income, expenses); - **Items on which users focus** for the particular entity; - **Nature of the entity**, industry, economic environment, and stage in its life-cycle; - **Ownership structure and financing** (a debt-financed entity's users may focus on assets and claims rather than earnings); - **Relative volatility** of the benchmark.

Examples of benchmarks: **profit before tax from continuing operations, total revenue, gross profit, total expenses, total equity, net asset value**. For profit-oriented entities, **PBT from continuing operations** is frequently used; where it is volatile, gross profit or revenue may be more appropriate. The percentage applied is a matter of professional judgement, and the relationship between the percentage and the benchmark chosen is also a matter of judgement. The auditor then determines **performance materiality (Para 11)** at less than this amount.

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## **C3. Explain the auditor's responsibility to revise materiality as the audit progresses. (SA 320)**

*Model Answer:* Per **SA 320 Para 12**, the auditor shall **revise materiality** for the financial statements as a whole (and, where applicable, materiality level(s) for particular classes of transactions, account balances or disclosures) in the event of becoming aware, during the audit, of **information that would have caused the auditor to have determined a different amount initially**. Examples: a decision to dispose of a major part of the business, or actual results differing materially from anticipated results used at planning.

Per **Para 13**, if the auditor concludes that a **lower materiality** than that initially set is appropriate, the auditor shall determine whether it is necessary to **revise performance materiality**, and whether the **nature, timing and extent of further audit procedures remain appropriate** — performing additional procedures if the previously planned extent is now insufficient. All revisions and the reasons are documented (**Para 14**).

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## **C4. What documentation does SA 300 require in respect of planning, and why is such documentation important?**

*Model Answer:* **SA 300 Para 12** requires the auditor to include in the audit documentation: (a) the **overall audit strategy**; (b) the **audit plan**; and (c) any **significant changes** made during the audit to the overall strategy or plan, together with the **reasons** for such changes. Para A16–A19 clarify that the strategy documentation records the key decisions considered necessary to properly plan the audit and to communicate significant matters to the team; the plan documentation records the planned nature, timing and extent of risk assessment and further audit procedures at the assertion level. Recording significant changes and the reasons demonstrates the auditor's **appropriate response to significant events, conditions and results**. Importance: it evidences that the audit was **properly planned** (a quality control

requirement, SA 220 / SQC 1), supports **direction, supervision and review**, and provides an accountability trail for regulators and peer review.

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## Section D — MCQs / Case Scenarios (correct option + one-line reasoning)

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**D1.** The overall audit strategy is documented as required by which standard? (a) SA 315 (b) SA 320 (c) SA 300 (d) SA 230 **Answer: (c) SA 300** — Para 12 requires documentation of the strategy, plan and significant changes.

**D2.** Performance materiality is: (a) equal to overall materiality (b) higher than overall materiality (c) set at less than materiality for the F/S as a whole (d) fixed at 5% of revenue **Answer: (c)** — SA 320 defines it as an amount set below overall materiality to create a buffer for undetected/uncorrected misstatements.

**D3.** A misstatement of ₹2 lakh (materiality ₹10 lakh) that breaches a debt covenant is: (a) immaterial as it is below ₹10 lakh (b) material by nature/circumstance (c) clearly trivial (d) ignored **Answer: (b)** — SA 320 Para 2/A1 recognise qualitative materiality; covenant breach can influence users' decisions.

**D4.** Which is generally the most appropriate benchmark for a profit-oriented entity with stable earnings? (a) Total assets (b) Profit before tax from continuing operations (c) Number of employees (d) Share capital **Answer: (b)** — SA 320 A7 identifies PBT from continuing operations as commonly used for profit-oriented entities.

**D5.** Planning an audit is best described as: (a) a one-time activity at year-end (b) performed only after fieldwork (c) a continual and iterative process (d) the manager's job only **Answer: (c)** — SA 300 Para 2/A2: planning is continual and iterative from prior-year completion to current-year completion.

**D6.** The audit plan is more detailed than the strategy and includes the nature, timing and extent of: (a) only substantive procedures (b) risk assessment procedures and further audit procedures at the assertion level (c) only test of controls (d) the audit fee **Answer: (b)** — SA 300 Para 9 links the plan to SA 315 risk assessment and SA 330 further audit procedures.

**D7. Case Scenario.** XYZ Ltd, a listed company, has PBT of ₹20 crore. The auditor sets overall materiality at ₹1 crore and performance materiality at ₹65 lakh. During the audit, a major litigation loss reduces PBT to ₹8 crore. (i) The auditor's immediate obligation is to: (a) issue the report as planned (b) revise materiality and reassess procedures (c) resign (d) ignore, as fieldwork is done **Answer: (b)** — SA 320 Para 12–13: new information warranting a different figure requires revision and reassessment of procedure sufficiency. (ii) Setting performance materiality at ₹65 lakh (below ₹1 crore) is intended to: (a) increase the audit fee (b) create a buffer against undetected/uncorrected misstatements (c) reduce audit work (d) satisfy management **Answer: (b)** — that is the definitional purpose of performance materiality under SA 320.

**D8.** Which of the following is a preliminary engagement activity relevant to planning? (a) Signing the audit report (b) Performing procedures on client continuance and evaluating compliance with ethical requirements including independence (c) Filing Form ADT-1 (d) Circulating the balance sheet **Answer: (b)** — SA 300 Para 6 requires client continuance, ethics/independence, and understanding the terms (SA 210) before planning.

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## Quick-Revision Trigger List

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- **SA 300** = *Planning*: preliminary activities (Para 6) → strategy (Para 7–8) → plan (Para 9) → update (Para 10) → direction/supervision/review (Para 11) → documentation (Para 12).
- **SA 320** = *Materiality*: define (Para 2) → overall materiality (Para 10) → performance materiality (Para 11) → revise (Para 12–13) → document (Para 14).
- **Buffer logic**: performance materiality < overall materiality because undetected + uncorrected misstatements accumulate.
- **Qualitative override**: small ₹ can still be material (loss/profit flip, covenant, related party, remuneration, fraud).
- **Benchmarks**: PBT (profit entities), revenue/gross profit (if PBT volatile), net assets (asset-heavy/financed entities).
- **Companies Act hooks**: Sec 197/198 (managerial remuneration), Sec 188 (related-party transactions) → often trigger lower specific materiality.
- **Examiner trap**: strategy = scope/timing/direction; plan = nature/timing/extent of procedures. Do not swap.



# Chapter 03 — Risk Assessment & Internal Control

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## 1. The Problem — You Cannot Check Everything, and Some Things Are Designed to Fool You

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Chapter 1 established *why* audit exists: owners cannot verify managers, so an independent expert gives assurance. But now confront the operational nightmare that assurance actually creates.

A mid-size manufacturing company has 40,000 sales invoices, 12,000 purchase entries, 3,000 journal vouchers, a fixed-asset register with 900 line items, inventory in four warehouses, and a bank reconciliation touching 15,000 transactions a year. The financial statements it produces are a *summary* of all this — and the auditor must give an opinion on whether that summary is free from **material misstatement**.

Here is the trap that a naive person walks straight into: "**I'll just check everything.**" You cannot. 100% examination of every transaction would take years, cost more than the company earns, and *still* not guarantee correctness — because some misstatements are not in the transactions at all but in the *estimates*, the *disclosures*, and the *deliberate concealment* by management. Audit is, by economic necessity, a **sampling and judgement exercise**. And the moment you accept that you will examine only *some* of the evidence, you have accepted **risk** — the risk that the bit you didn't look at was exactly where the error hid.

So the real problem of Chapter 3 is this:

**How does an auditor deploy limited time and resources to catch material misstatement, when misstatement is unevenly spread, sometimes deliberately hidden, and impossible to fully examine?**

The answer cannot be "work harder everywhere." Effort spread evenly is effort wasted. The answer must be **targeting** — pour audit effort *where the danger of misstatement is greatest* and go light where danger is low. To target, you must first *measure the danger*. That measurement is called **risk assessment**, and the machinery a company uses to keep its own numbers honest — the thing that raises or lowers the danger — is called **internal control**. This entire chapter is the science of pointing the audit torch at the right corner of a dark room.

**Two orthogonal reasons "check everything" fails.** It helps to separate them, because the exam tests each differently. The *quantitative* reason is volume — even at one minute per voucher, 40,000 invoices is 666 hours on one line item alone, and the fee wouldn't cover it. But the *qualitative* reason is deeper and is what separates a good auditor from a data-entry clerk: **not all misstatement lives in transactions**. A perfectly recorded set of transactions can still yield materially false statements if the *provision for doubtful debts* is deliberately under-stated, if a *contingent liability* is not disclosed, if *revenue is recognised a week early*, or if inventory is valued above net realisable value. You could vouch every invoice to perfection and still miss all of these, because the misstatement lives in *judgement, estimate, classification, disclosure, and concealment* — not in the arithmetic. This is exactly why audit is built around *assertions* (existence, completeness, valuation, rights & obligations, cut-off, classification, presentation & disclosure) rather than around "did the numbers add up." Targeting means targeting the *assertion most at risk* for each balance, not just the balance.

**Why "unevenly spread" is the operative phrase.** If misstatement were spread uniformly, sampling would be trivial and every area would deserve equal effort. It is not. Cash and revenue attract fraud; related-party

loans hide diversion; estimates concentrate subjectivity; a newly acquired subsidiary concentrates integration risk. The unevenness is *precisely* what makes assessment valuable — it is the gradient that tells the torch where to point. An examiner's favourite way to test this is to give you a balance that *looks* large but is low-risk (e.g., a single verified fixed-deposit receipt of Rs. 50 crore) sitting beside a balance that *looks* small but is high-risk (e.g., Rs. 2 crore of related-party advances). The unwary student audits by size; the trained auditor audits by risk.

## 2. The Core Idea — Audit Risk Is a Product You Manage Down to an Acceptable Level

The single most important idea in modern auditing is that the auditor does **not** try to achieve certainty. Certainty is impossible and uneconomic. Instead the auditor accepts a small, defined chance of being wrong — called **audit risk** — and then *engineers* the audit so that this chance stays low.

**Audit risk (AR)** = the risk that the auditor expresses an *inappropriate opinion* (typically: says the statements are fine when they are materially misstated).

The genius of the framework is that audit risk is broken into components that behave like a **multiplication chain**:

$$\mathbf{AR = IR \times CR \times DR}$$

$$\text{Audit Risk} = \text{Inherent Risk} \times \text{Control Risk} \times \text{Detection Risk}$$

- **Inherent Risk (IR):** the susceptibility of a balance or transaction to material misstatement *before* considering any controls — the raw danger. Cash is more tempting than land; estimates are riskier than routine invoices; a complex derivative is riskier than a salary payment.
- **Control Risk (CR):** the risk that the company's own internal controls *fail* to prevent or detect a misstatement. Weak controls → high CR. Strong controls → low CR.
- **Detection Risk (DR):** the risk that the auditor's *own procedures* fail to catch a misstatement that exists. This is the **only** component the auditor controls directly.

The first two — IR and CR — belong to the *entity*. Together they are the **Risk of Material Misstatement (RMM = IR × CR)**. The auditor cannot change them; they exist independently of the audit. The auditor can only *assess* them. Detection risk is the auditor's lever: by doing more/better work, DR falls; by doing less, DR rises.

**The core mental move:** you decide the acceptable AR (kept low, e.g. conceptually ~5%). You *assess* RMM (IR × CR) by understanding the entity. Then you *set* DR = AR ÷ RMM, and design procedures to hit it. High RMM forces low DR forces *more* audit work. Low RMM permits higher DR permits *less* work. That is targeting, expressed as arithmetic.

**Read the algebra as economics, not as a calculator.** ICAI is explicit (and examiners echo it) that the audit risk model is a **conceptual, not a mathematical, tool**. The auditor does *not* literally plug in 5% ÷ 40% = 12.5% and count out a sample from a table. IR and CR cannot be measured to two decimals; they are judged on a spectrum (low / medium / high). The value of the equation is the *relationship* it encodes: AR is fixed low, RMM is given by the entity, so **DR is the residual you engineer**. Treat the numbers below as illustrations of the *direction and proportionality*, never as claims that risk is precisely quantifiable. An answer that says "the

model lets the auditor compute the exact sample size" is wrong; an answer that says "the model dictates that higher assessed RMM must be met by lower planned detection risk" is right.

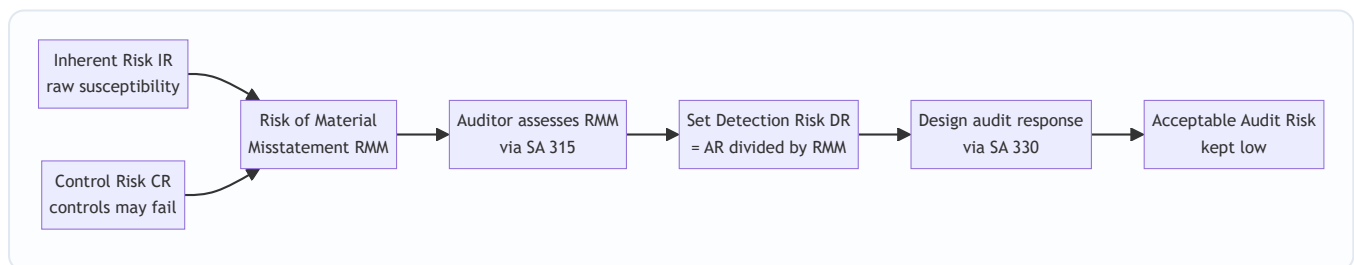
**Worked micro-example (proportionality, illustrative only).** Suppose the firm's target AR is a conceptual 5%. Two clients:

|                            | Client P (strong controls) | Client Q (weak controls) |
|----------------------------|----------------------------|--------------------------|
| Inherent risk IR           | 0.60                       | 0.90                     |
| Control risk CR            | 0.30                       | 0.80                     |
| RMM = IR × CR              | 0.18                       | 0.72                     |
| DR = AR ÷ RMM = 0.05 ÷ RMM | 0.278                      | 0.069                    |

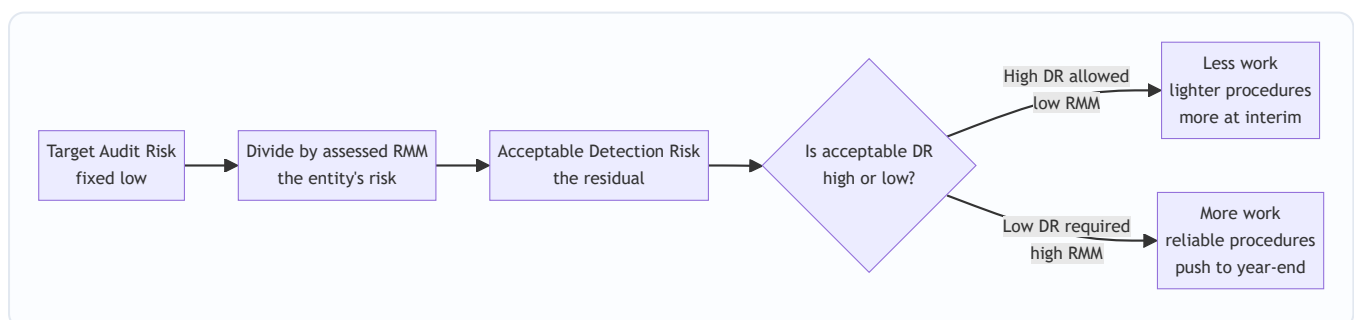
*Reconciliation / self-check:* For P,  $AR = 0.60 \times 0.30 \times 0.278 = 0.050 \checkmark$ . For Q,  $AR = 0.90 \times 0.80 \times 0.069 = 0.050 \checkmark$  (rounding). The lesson the numbers *dramatise*: to hold the same 5% audit risk, Client Q's acceptable detection risk (0.069) is roughly **one-quarter** of Client P's (0.278). Lower acceptable DR means the auditor must catch far more — larger samples, more reliable procedures, work pushed to year-end. Same target outcome, four-times-heavier audit for Q. That is the entire chapter in one row.

**Why DR can be lowered but never to zero.** No matter how much work is done, sampling risk (the sample may not represent the population) and non-sampling risk (wrong procedure, misinterpreted evidence, human error) remain. So DR always has a floor above zero, which is *why* AR can never be driven to zero either — reasonable assurance, never absolute. If a scenario implies the auditor "eliminated all detection risk by testing more," that is conceptually false.

*Figure 1 — The audit risk model as a torch-pointing device: assess the entity's risk, then set your own effort to compensate.*



*Figure 1B — Detection risk is the residual you engineer; RMM is given by the entity and only assessed.*



### 3. Why It's Built This Way — The Logic Behind Every Piece

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Before any Standard, understand *why the profession chose this exact structure*. Every design choice answers a specific failure it was trying to prevent.

**Why split risk into IR, CR, DR at all?** Because lumping them hides the lever. If you only knew "total risk is high," you wouldn't know *what to do about it*. Splitting reveals that some risk is the *entity's* (IR, CR — you can only react) and some is *yours* (DR — you can control). The split converts a vague worry into an action plan: "RMM is high here, so I must drive my DR down here."

**Why is DR inversely related to RMM?** This is the whole point of assessment. If a company has weak controls over revenue (high CR) and revenue is easily manipulated (high IR), then RMM is high — misstatement is *likely to exist and unlikely to be caught by the company*. The auditor cannot rely on the company's safety net, so the auditor's *own* net must be tighter: lower DR, meaning more extensive, more reliable, more year-end-focused procedures. Conversely, strong controls let the auditor lean on them and do less substantive testing. **DR is the compensating variable.** The inverse relationship is not a formula to memorize — it is the logic of a safety system: if one net has holes, the other must be finer.

**Why understand controls rather than just test balances directly?** Because controls are a *force multiplier of evidence*. If you prove a control operated effectively all year (e.g., every dispatch is matched to an approved order before invoicing), you gain assurance over *thousands* of transactions at once, cheaply. Testing balances directly (substantive testing) gives assurance transaction-by-transaction — thorough but expensive. Understanding controls lets the auditor *choose the cheaper route where it's safe*.

**Why understand the entity is mandatory (not optional)?** Because you cannot assess IR without knowing the business. Is inventory perishable? Is the industry in decline (going-concern pressure)? Are there related parties? Is management compensated on profit (incentive to overstate)? Risk lives in *context*. SA 315 makes "understanding the entity" compulsory precisely because a risk you don't understand is a risk you will misprice — you'll over-audit the safe areas and under-audit the dangerous ones, which is exactly the failure the whole model exists to prevent.

**Why does a control deficiency trigger a separate communication duty (SA 265)?** Because the auditor, in doing the audit, becomes the person in the best position to *see* control weaknesses — and those who govern the company (owners, audit committee) have a right to know their safety system has holes, even though fixing controls is *not* the auditor's job. This is the trust/agency problem again: the auditor is the owners' eyes.

**Why is risk assessment iterative, not a one-time gate?** Because the audit is a learning process. You assess risk on day one with incomplete knowledge; then evidence arrives that either confirms or *contradicts* your assessment. SA 315 explicitly requires the auditor to **revise** the risk assessment when evidence obtained from further procedures is inconsistent with it. If you assessed CR as low for receivables, planned a reliance approach, then found the reconciliation control failing three months running, you cannot cling to "low CR" — you must re-assess upward and expand substantive work. The model breathes; a static assessment that ignores contradicting evidence is a documented audit failure.

**Why does the model resist over-reliance on controls specifically?** Because controls are operated by the very people who might want to misstate. A management determined to cook the books can *override* the finest control system. That is why the profession hard-wired two backstops: (a) SA 330's rule that **some substantive work is mandatory for every material item** regardless of control strength, and (b) SA 240's mandatory procedures against **management override** (journal-entry testing, review of estimates for bias,

scrutiny of significant unusual transactions). The architecture assumes controls can be defeated *from the top* and refuses to let control reliance become a blind spot.

**Why "financial-statement level" versus "assertion level" as two distinct tiers?** Because risks differ in *reach*. Some risks poison many accounts at once — a dishonest CEO, a going-concern doubt, an incompetent finance function — and no single procedure on a single balance can address them; they need *overall* responses (skepticism, senior staff, unpredictability). Other risks are pinpoint — "trade receivables may be overstated because cut-off is weak" — and need a *specific* procedure. Collapsing the two tiers would let a pervasive risk hide behind account-level testing that never confronts the systemic problem. The two-tier structure forces the auditor to respond at the right altitude.

## 4. Full Technical Content — The Standards, By the Risk Each One Counters

### 4.1 SA 315 — Identifying and Assessing the Risks of Material Misstatement Through Understanding the Entity and Its Environment

**The risk it counters:** the risk that the auditor *misprices danger* — either misses a high-risk area entirely or wastes effort on low-risk areas — because they never understood the business. You cannot aim a torch in a room you've never entered.

**The core requirement:** the auditor **shall** perform **risk assessment procedures** to obtain an understanding of the entity, its environment, and its internal control, sufficient to identify and assess RMM at two levels:

1. **Financial statement level** — pervasive risks affecting many assertions (e.g., weak overall control environment, going-concern doubt, management with an incentive to misstate). These often demand an *overall response* (e.g., more experienced staff, heightened professional skepticism).
2. **Assertion level** — risks tied to specific classes of transactions, account balances, and disclosures (e.g., "revenue may be overstated through cut-off errors"). These demand *specific* procedures.

**Risk assessment procedures (the three tools):**

| Procedure                         | What it is                                                                  | Risk it addresses                                                                                                            |
|-----------------------------------|-----------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------|
| <b>Inquiry</b>                    | Asking management, internal audit, employees, those charged with governance | Surfaces management's own view of risk and where processes are weak; but inquiry alone is weak evidence (people can mislead) |
| <b>Analytical procedures</b>      | Studying plausible relationships in data (ratios, trends, expectations)     | Flags <i>unusual</i> items — a margin that jumped, a ratio out of line — pointing the torch at anomalies                     |
| <b>Observation and inspection</b> | Watching processes operate; inspecting documents, records, premises         | Corroborates inquiry with what actually happens, not what's claimed                                                          |

**Trap-proofing note:** Risk assessment procedures **by themselves do not provide sufficient appropriate audit evidence** on which to base the opinion. They *scope* the audit; they don't *conclude* it. The evidence for the opinion comes later, from SA 330 responses.

**Beyond the three tools — other information sources SA 315 expects.** The three procedures are the *minimum*, not a ceiling. The auditor also draws on: information from **client acceptance/continuance** decisions; **prior-period audit** experience (with a check that changes since then haven't invalidated it); the results of the **engagement partner's evaluation** of whether errors from prior periods indicate a systemic issue; and **external information** (industry data, regulatory filings, credit reports). Where the auditor uses information obtained in prior periods, SA 315 requires determining whether changes have occurred that affect its relevance in the *current* audit — you cannot simply photocopy last year's understanding.

**The mandatory engagement-team discussion.** SA 315 requires the engagement partner and key team members to **discuss** the susceptibility of the financial statements to material misstatement — including from **fraud** (this overlaps SA 240) — and how/where the statements might be manipulated. This is not a formality: it is where a senior's knowledge of an aggressive CFO meets a junior's observation about a strange journal, and the two combine into a targeted plan. The discussion must be *documented* (see §6).

**Understanding the entity — what must be understood:** - **Industry, regulatory, and external factors** (including the applicable financial reporting framework) - **Nature of the entity** — operations, ownership, governance, investments, structure, financing (this is where *related parties* and complex structures surface) - **Entity's selection and application of accounting policies** - **Objectives, strategies, and related business risks** that may cause RMM - **Measurement and review of financial performance** (internal/external pressure to hit targets = incentive to misstate) - **Internal control** relevant to the audit (see 4.2)

**Design and implementation (D&I) versus operating effectiveness — the distinction SA 315 owns.** For controls *relevant to the audit*, SA 315 requires the auditor to evaluate their **design** (is the control capable, on paper, of preventing/detecting the relevant misstatement?) and confirm their **implementation** (does the control actually *exist and is it in use* — not just documented in a manual?). This is done mainly through **walkthroughs** — tracing one transaction from origin to the financial statements. Crucially, **D&I is not a test of operating effectiveness**. Confirming a control exists and is used tells you nothing about whether it worked *consistently all year* — that is SA 330's job (see 4.3, 4.4). Inquiry *alone* is never enough even for implementation; it must be combined with observation, inspection, or a walkthrough. Examiners love a scenario where the auditor "confirmed the control was in place at the walkthrough" and then wrongly claims reliance — D&I ≠ reliance.

**Inherent risk factors (the 2021-revised SA 315 lens).** The revised SA 315 asks the auditor to assess inherent risk using named **inherent risk factors** — characteristics of events/conditions that make an assertion more susceptible to misstatement: **complexity, subjectivity, change, uncertainty**, and **susceptibility to management bias or fraud**. It also introduces a **spectrum of inherent risk**: rather than a binary high/low, inherent risk sits somewhere on a range determined by the *likelihood* and *magnitude* of possible misstatement. The higher an assertion sits on that spectrum, the closer it moves toward being a **significant risk**. *Confirm current ICAI framing — see the note below.*

**Significant risks (a critical SA 315 concept):** some identified risks are, in the auditor's judgement, **significant risks** requiring *special audit consideration*. Under the revised framing, a significant risk is one *close to the upper end of the spectrum of inherent risk*. In deciding, the auditor considers (among others) whether the risk involves **fraud**, is related to recent **economic/accounting developments**, involves **complexity**, involves **significant related-party transactions**, involves a high degree of **estimation/subjectivity**, or involves **significant non-routine transactions**. For significant risks, the auditor **shall** obtain an understanding of the *controls* relevant to that risk, and substantive procedures **shall** be



specifically responsive to it (see SA 330). *Revenue recognition* is presumed to carry a fraud risk (from SA 240) unless rebutted — and if rebutted, the auditor must **document the reasons** for that conclusion.

**A subtle exam point — significant risk is about inherent risk, not residual risk.** A risk can be *significant* even if the entity has excellent controls over it. Significance is judged on the risk *before* controls (its inherent susceptibility); strong controls do not "downgrade" a significant risk out of that category — they only affect the *response*. So management saying "but we have great controls over derivatives" does not stop derivative valuation from being a significant risk; it just means the auditor may test those controls in addition to mandatory tests of details.

*Confirm in ICAI material: the 2021 revision of SA 315 (effective for periods beginning on/after 1 April 2023 in India) restructured the control components and introduced "inherent risk factors" and a spectrum-of-inherent-risk concept; the ICAI study material may present either the older five-component framing or the revised one — know both framings.*

## 4.2 Components of Internal Control — What You Are Actually Assessing

**The risk it counters:** control risk (CR). To assess whether controls will catch misstatement, you must know *what a control system is made of*. The traditional framework (COSO, adopted in SA 315) has **five components**:

| # | Component                                     | What it is                                                                                                                                                                                           | Why it matters to the auditor                                                                                                                                                                             |
|---|-----------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1 | <b>Control Environment</b>                    | The tone at the top — integrity, ethical values, competence, governance oversight, management philosophy, assignment of authority                                                                    | The <i>foundation</i> . If the environment is rotten (management overrides controls, no ethics), every other control is unreliable. A weak control environment is a <b>financial-statement-level</b> risk |
| 2 | <b>Entity's Risk Assessment Process</b>       | How the entity <i>itself</i> identifies and responds to business risks relevant to reporting                                                                                                         | If the entity assesses its own risks well, misstatements are less likely; if it doesn't, the auditor must                                                                                                 |
| 3 | <b>Information System &amp; Communication</b> | The processes and records that initiate, record, process, and report transactions (including the accounting system) and how roles/responsibilities are communicated                                  | This is the <i>plumbing</i> that produces the numbers. The auditor must understand how a transaction flows from origin to the financial statements                                                        |
| 4 | <b>Control Activities</b>                     | The specific policies/procedures that enforce management directives — <b>authorizations, reconciliations, segregation of duties, physical controls, IT application controls, performance reviews</b> | These are the individual "catches" the auditor may test and rely on                                                                                                                                       |
| 5 | <b>Monitoring of Controls</b>                 | The process of assessing control effectiveness over time (including internal audit)                                                                                                                  | Controls decay; monitoring is the entity's self-repair mechanism                                                                                                                                          |

Mnemonic-free way to hold this: think of it as a **house**. The *control environment* is the foundation (values). *Risk assessment* is the owner deciding where the locks go. The *information system* is the wiring and pipes that carry activity. *Control activities* are the individual locks, gates, and checks. *Monitoring* is the maintenance crew checking the locks still work. A lock (control activity) on a house with no foundation (bad environment) is worthless — which is *why* the auditor weighs the environment first.

**Two control activities the exam over-tests: segregation of duties (SoD) and authorization.** SoD splits three incompatible functions — **custody** of an asset, **recording** the transaction, and **authorization** — so that no single person can both misappropriate an asset and conceal it in the books. When one person holds two or more, the SoD control fails and CR rises sharply; this is the structural weakness in every small-entity and owner-dominated scenario. **Authorization** answers "should this transaction happen at all?" (general authorization = standing policy, e.g., a price list; specific authorization = case-by-case sign-off, e.g., a one-off capital write-off). Examiners test whether you can *name which control is missing* in a fact pattern — "the storekeeper both receives goods and updates the stock ledger" is a **SoD (custody vs recording)** failure, not an authorization failure.

**IT and internal control — application controls versus IT general controls (ITGCs).** The revised SA 315 emphasises the **IT environment** because most controls now run through software. Distinguish two layers, because the exam does: - **Application controls** are automated controls *inside* a specific process — an input validation that rejects a negative quantity, a three-way match (PO–GRN–invoice) that blocks payment on a mismatch, an automated rateable-revenue calculation. - **IT general controls (ITGCs)** are the controls over the *IT environment itself* that keep application controls reliable: **access security** (who can log in and change data), **change management** (who can alter the program), and **IT operations** (backups, job scheduling). ITGCs are *indirect* — they don't touch a transaction directly, but if change management is weak, an application control can be silently altered and every reliance on it collapses. Reliance on an automated application control is only justified if the supporting ITGCs are effective. This is the modern-audit reason ITGCs get tested even though they never "prove" a single number.

**Controls "relevant to the audit."** Not every control the entity operates matters to the financial-statement audit. A control ensuring compliance with a marketing policy, or one improving operational efficiency, is generally *not* relevant unless it bears on the reliability of financial reporting. The auditor scopes in the controls that address risks of *material misstatement in the financial statements* and scopes out the rest. Wasting testing on financially-irrelevant controls is an efficiency trap.

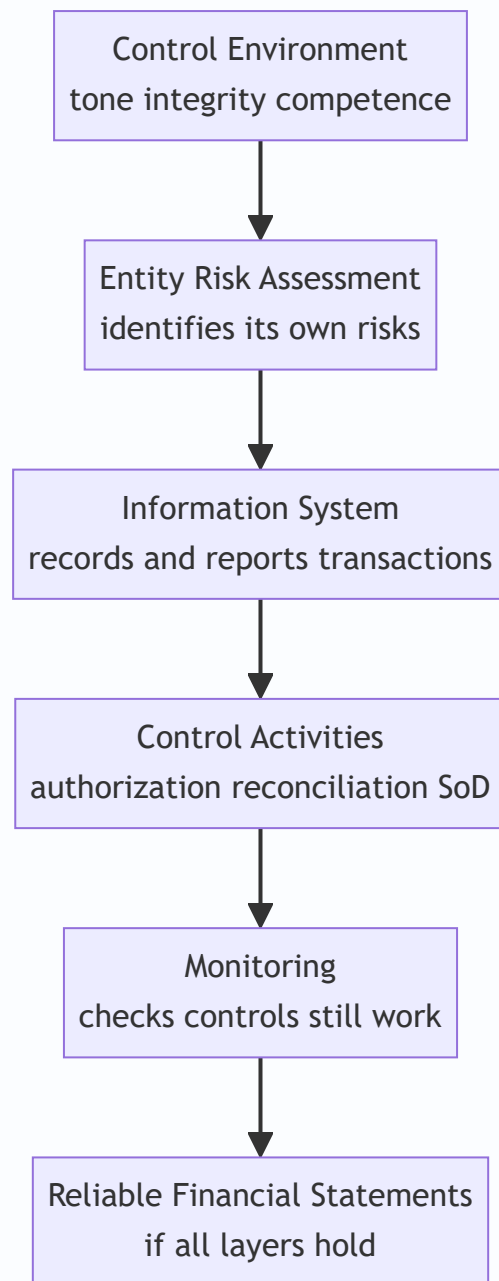
**Limitations of internal control (why CR can never be zero):** Every control system has inherent limits, and the auditor must never assume controls make substantive testing unnecessary: - **Management override** — those who run the controls can bypass them (the classic fraud route) - **Collusion** — two people defeating a segregation-of-duties control - **Human error** — fatigue, misunderstanding, carelessness - **Cost-benefit** — management won't spend more on a control than the risk is worth - **Non-routine transactions** — controls are built for routine, and miss the unusual - **Manual controls** subject to judgement lapses; **IT controls** vulnerable to program changes and unauthorized access

This is precisely why **detection risk can never be reduced to zero** and why *some* substantive procedures are **always** required regardless of how strong controls appear.

**Why "management override" is the deadliest limitation.** Note that override is qualitatively worse than the others. Collusion and human error are *accidents of operation* that better design can reduce. Override is *structural*: the person with authority to run the control also has authority to switch it off, and can do so *selectively*, for exactly the transaction they want to hide. No amount of control design closes this, because the override sits above the controls. That is why the profession does not treat override as a control weakness to be fixed but as a permanent condition to be *audited around* — via SA 240's mandatory override procedures — and why a strong control environment (integrity at the top) is the only real mitigant.

*Figure 2 — Internal control as a layered house; the auditor tests upward from foundation to individual locks.*





### 4.3 SA 330 — The Auditor's Responses to Assessed Risks

**The risk it counters:** the risk that the auditor *assesses* danger correctly (via SA 315) but then *does nothing appropriate about it* — a diagnosis with no treatment. SA 330 is the **treatment**: it converts risk assessments into procedures.

SA 330 mandates responses at **two levels**, mirroring SA 315:

**(A) Overall responses — to financial-statement-level risks.** Examples: - Emphasize **professional skepticism** to the engagement team - Assign **more experienced staff** or those with specialized skills; use experts - Provide **more supervision** - Incorporate **unpredictability** in the selection of procedures (so management can't anticipate and conceal) - Make **general changes** to the nature, timing, or extent of procedures (e.g., shift work to year-end)

A weak control environment pushes the auditor toward *more substantive procedures, more work at period-end rather than interim, and broader-scope evidence.*

**Why "unpredictability" is a genuine control, not decoration.** If management can predict exactly which locations, months, and account areas the auditor will test, a fraudster simply keeps the manipulation out of the predictable zone. Building in unpredictability — visiting a warehouse never tested before, sampling a normally-ignored account, changing the timing — attacks precisely the concealment that a smart fraud relies on. Examiners reward candidates who list unpredictability as an *overall response* and can explain it defeats anticipation.

**(B) Further audit procedures — to assertion-level risks.** These are designed responsive to the assessed RMM for each relevant assertion, and come in **two types**:

1. **Tests of Controls (ToC)** — test whether a control *operated effectively* throughout the reliance period.
2. **Substantive Procedures (SP)** — test the *monetary correctness* of the underlying amounts/disclosures directly.

The auditor chooses the **nature, timing, and extent** (the "NTE") of procedures in response to risk: - **Nature** = *what kind* of procedure and its purpose/reliability (e.g., external confirmation is more reliable than inquiry; inspection of a document more reliable than observation). Higher risk → more reliable nature. - **Timing** = *when* performed (interim vs period-end). Higher risk → push toward **period-end** (less chance for post-interim misstatement to go undetected). - **Extent** = *how much* (sample size, number of items). Higher risk → **larger extent**.

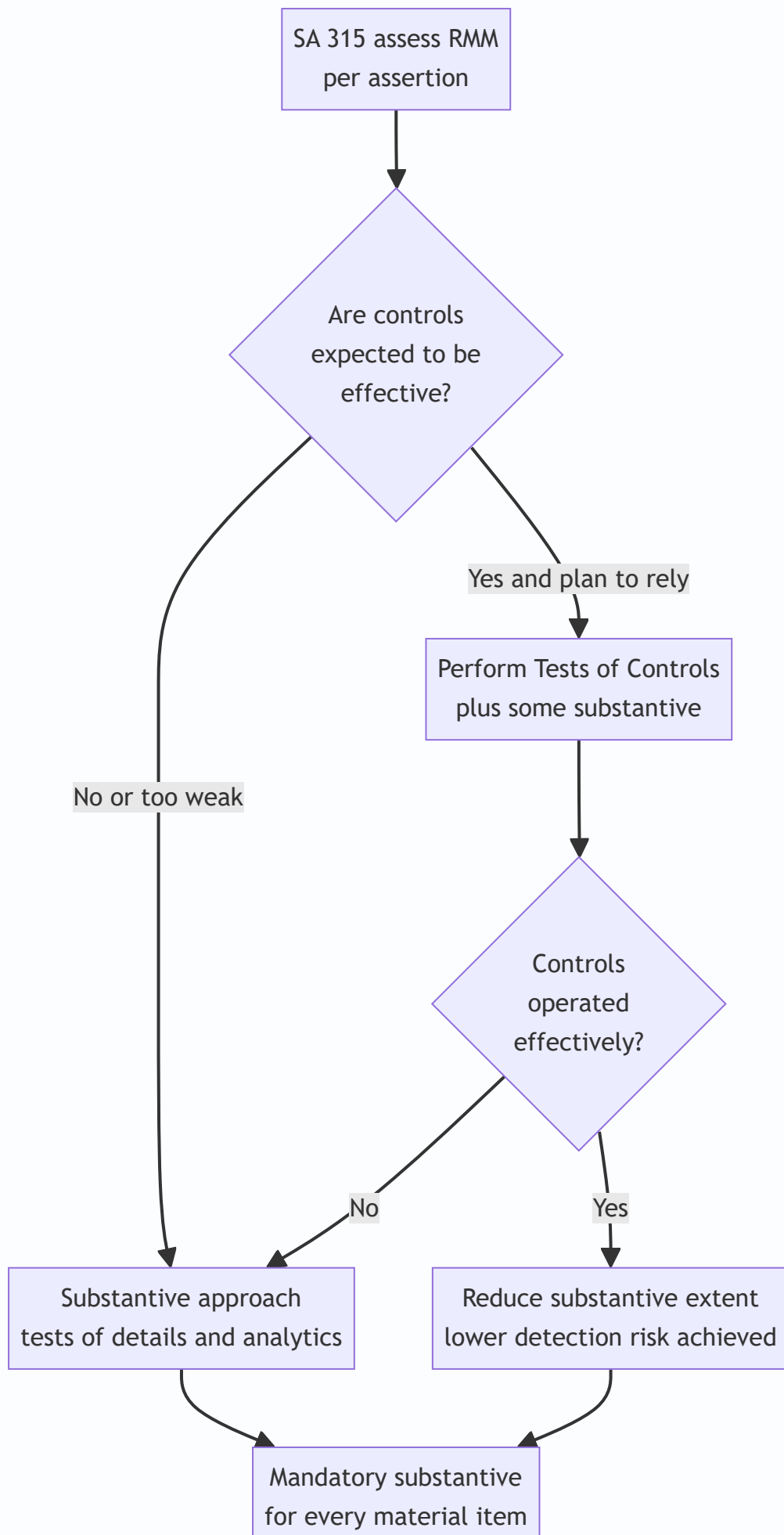
**Nature is the most powerful of the three — and the most under-used by students.** Doubling the sample (extent) on a *weak* procedure is often worse value than switching to a *reliable* procedure on a smaller sample. Confirming receivables directly with 40 customers (external confirmation — high-reliability nature) beats vouching 200 sales invoices to internal delivery notes (internal evidence — lower reliability) for the *existence* assertion. When a scenario says risk is high, the strongest answer changes the *nature* first (more reliable/independent evidence, often external), then timing, then extent — not just "increase the sample size."

**The golden rule — irrespective of assessed risk, SA 330 requires that the auditor perform substantive procedures for each *material* class of transactions, account balance, and disclosure.** You can *never* rely on controls alone for material items. And for **significant risks**, if the auditor's approach is substantive-only, those procedures **shall include tests of details** (not analytics alone).

**Two more SA 330 requirements the exam quietly tests.** (i) **Financial statement close / agreeing the statements to records:** SA 330 requires substantive procedures that include *agreeing or reconciling the financial statements to the underlying accounting records* and *examining material journal entries and other adjustments* made in preparing the statements — because the last-mile assembly of the accounts is itself a manipulation point. (ii) **Evaluating the sufficiency and appropriateness** of evidence at the end: the auditor must conclude whether enough persuasive evidence was obtained, and if not, must perform further procedures — the response phase loops back on itself until the residual detection risk is acceptable.

*Figure 3 — SA 315 to SA 330: from diagnosis to treatment, choosing the audit route.*





Sufficient appropriate  
audit evidence

#### 4.4 Tests of Controls vs Substantive Procedures — When Each, and Why

This is the operational heart of the chapter. Two routes to assurance; the auditor picks based on **risk and economics**.

**Tests of Controls (ToC)** — evidence about whether a control *worked*.

- **Purpose:** to support a *lower* assessment of control risk (i.e., to justify relying on controls and thereby doing less substantive work).
- **When required (mandatory):** (a) when the auditor's assessment of RMM *includes an expectation that controls operate effectively* — i.e., the auditor **intends to rely** on them; **or** (b) when substantive procedures **alone cannot** provide sufficient appropriate evidence at the assertion level. Situation (b) is common in **highly automated, paperless environments** (e.g., high-volume e-commerce) where there is *no substantive audit trail* — you *must* test the automated controls because there are no documents to substantively vouch.
- **What they test:** *operating effectiveness* — did the control operate as designed, consistently, throughout the period, and by whom? (Distinct from *implementation*, which SA 315 checks — "does the control exist and is it in use?")
- **Methods:** inquiry (weakest, never alone) *combined with* inspection, observation, **re-performance**, and inspection of evidence of control operation.
- **Timing & the reliance question:** if tested at an **interim** date, the auditor must obtain evidence about the **remaining period**. Under the "rotational" concept, controls tested and found effective in prior audits may be tested less frequently, but a control **must be tested at least once in every third audit**, and controls mitigating a **significant risk must be tested in the current period** (no reliance on prior-year testing for significant-risk controls).
- **Deviations:** if tests reveal deviations, the auditor must investigate and consider whether reliance is still justified — deviations may force a switch to a substantive approach.

**The four ToC methods, ranked by strength — and the "nature of the control" rule.** The reliability order is roughly: **re-performance** (the auditor independently re-does the control, strongest) > **inspection** of documentary evidence that the control operated (e.g., initialled reconciliations) > **observation** (weakness: only shows the control at the instant observed, and people behave when watched) > **inquiry** (weakest, never alone). A key SA 330 nuance: the *nature of the control* dictates the *nature of the test*. A control that leaves **no documentary trail** (e.g., a supervisor's undocumented review) **cannot be inspected** — it can only be tested by **observation or re-performance/inquiry-plus**, and observation only evidences the moment observed, which is why undocumented controls are hard to rely on for a full period.

**Rotational reliance — the precise mechanics.** If a control was tested and found effective in a prior audit and the auditor plans to rely again *without* testing it every year, SA 330 requires: (i) establishing the control **has not changed** since last tested (via inquiry *plus* observation/inspection of the change) — if it *has*

changed, it **must be tested in the current period**; (ii) testing each such control **at least once in every third audit** (i.e., never more than two audits pass without a test); and (iii) never rotating for **significant-risk** controls, which are tested **every** period. Also, the *more the auditor plans to rely* on a control, the *shorter* the acceptable gap — high reliance can force annual testing regardless of rotation.

**Substantive Procedures (SP)** — evidence about the *monetary accuracy* of the numbers themselves. Two sub-types:

1. **Tests of Details (ToD)**: examining supporting evidence for individual items — vouching, tracing, external confirmation, physical verification, recalculation. Direct, reliable, expensive.
2. **Substantive Analytical Procedures (SAP)**: evaluating financial information by studying plausible relationships (e.g., estimating interest expense from average loan balance  $\times$  rate; expecting a stable gross margin). Efficient, best where relationships are *predictable* and volumes are *large* (e.g., payroll, rent).

**Direction of testing — the reason vouching and tracing are not interchangeable.** Tests of details run in one of two directions, and the direction is chosen by the *assertion at risk*: - **Vouching** = from the *recorded entry back to the source document* (ledger  $\rightarrow$  invoice). It tests **occurrence/existence** — "is this recorded item real?" It catches **overstatement**. - **Tracing** = from the *source document forward to the records* (delivery note  $\rightarrow$  ledger). It tests **completeness** — "did every real transaction get recorded?" It catches **understatement**.

A frequent exam trap: the assertion at risk is *completeness of liabilities* (understatement — the classic worry for payables and provisions), and the candidate proposes *vouching recorded payables* — which can never find the invoice that was *left out*. The correct procedure is a **search for unrecorded liabilities** (trace post-year-end payments and goods-received-not-invoiced back to see if they belonged before year-end). Direction of testing is a favourite one-mark discriminator.

**When substantive analytics are allowed to carry the load.** SAP is only appropriate where (i) the relationship is **plausible and predictable** (rent = area  $\times$  rate; interest = balance  $\times$  rate), (ii) data is **reliable** (ideally from effective controls or independent sources), and (iii) the auditor's **expectation is precise enough** to identify a material misstatement. For a **significant risk**, SAP *alone* is prohibited — tests of details are mandatory — because significant risks are, by nature, where relationships are least predictable (fraud, estimation, non-routine). Proposing "we'll rely on a reasonableness review of revenue" for a revenue significant risk is wrong on two counts.

**The decision — controls route vs substantive route:**

| Situation                                                 | Preferred approach                                                                  | Why                                                                                         |
|-----------------------------------------------------------|-------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------|
| Strong, tested controls; high transaction volume; routine | <b>ToC + reduced SP</b> (reliance approach)                                         | Testing controls once covers thousands of transactions cheaply; efficient                   |
| Weak/absent controls; poor control environment            | <b>Substantive approach (heavy ToD)</b>                                             | Cannot rely on a broken safety net; must verify amounts directly                            |
| Highly automated, no paper trail                          | <b>ToC mandatory</b> (SP alone insufficient)                                        | No documents to substantively test; assurance only obtainable via automated-control testing |
| Significant risk                                          | <b>ToC of relevant controls (current year) + substantive incl. tests of details</b> | Special consideration demanded; analytics alone not enough                                  |
| Material item, any risk                                   | <b>Some SP always</b>                                                               | SA 330 mandate — controls can never fully replace substantive work on material items        |

**Why not always test controls (it's cheaper)?** Because ToC is only worthwhile if (i) controls are actually well-designed and implemented, and (ii) the efficiency gain in reduced substantive work exceeds the cost of the control testing. For a *small* population or *weak* controls, it's cheaper to just substantively test the items. Reliance is an *economic bet*: spend on ToC only when it buys a bigger reduction in SP.

**Worked example — the reliance decision as a cost comparison.** A payroll population has 24,000 monthly payslips a year across 2,000 employees. Two routes to assurance over the *accuracy* assertion: - **Pure substantive (ToD)**: recompute a sample of, say, 60 payslips against contracts, attendance, and tax tables. Reliable but the sample gives assurance over only those 60; extending materially raises hours. - **Reliance**: test the *automated payroll calculation control* and the *ITGCs* around it. If the auditor re-performs the calculation for a handful of employees, confirms the system applies the correct rates, and confirms change-management ITGCs prevented unauthorised program changes all year, effective operation is evidenced over *all 24,000* runs — then a *reduced* substantive sample (e.g., 20 payslips plus an analytical review of total payroll cost = headcount × average pay) suffices.

*Self-check on the logic*: the reliance route is cheaper *only because* payroll is high-volume, routine, and automated — exactly the conditions that make one control test leverage thousands of transactions. Flip any condition (low volume, or a manual, override-prone payroll) and the arithmetic reverses: the control test costs more than it saves, and the pure-substantive route wins. The decision is not "controls are good, so rely" — it is "does reliance *buy* more reduction in substantive work than it *costs* to test the control." That is the examinable insight.

**Edge case — what if ToC reveals deviations?** Suppose the auditor tested 25 instances of the three-way-match control and found 3 deviations (payments released without a matching GRN). Reliance planned at "control operates effectively" is no longer supportable at the planned level. The auditor must: (i) **investigate** each deviation (isolated slip vs systemic breakdown, and whether it caused an actual misstatement); (ii) consider whether **other controls** compensate; and (iii) if reliance is undermined, **increase substantive procedures** for the affected assertion to bring detection risk back down. A deviation is not automatically a misstatement, but it *always* forces a re-evaluation of planned reliance — you cannot "average it out" and proceed as planned.

## 4.5 SA 265 — Communicating Deficiencies in Internal Control to Those Charged With Governance and Management

**The risk it counters:** the risk that the auditor *sees* a hole in the company's control system during the audit but *fails to tell the people who could fix it* — leaving owners exposed to future misstatement and fraud they don't know about. It also counters the confusion between "the auditor found a weakness" and "the auditor is responsible for fixing controls" (they are **not**).

**Key definitions:** - A **deficiency in internal control** exists when (a) a control is *designed, implemented, or operated* such that it is *unable to prevent, or detect and correct*, misstatements on a timely basis; **or** (b) a *necessary* control is *missing*. - A **significant deficiency** is a deficiency (or combination) that, in the auditor's *professional judgement*, is of *sufficient importance to merit the attention of those charged with governance* (TCWG).

**Requirements:** 1. The auditor **shall determine** whether identified deficiencies, individually or in combination, constitute *significant* deficiencies. 2. The auditor **shall communicate in writing** *significant* deficiencies to **TCWG** on a timely basis. 3. The auditor **shall also communicate** (in writing or orally) to **management** at an appropriate level: (a) significant deficiencies communicated/to be communicated to TCWG, and (b) *other* deficiencies not communicated to TCWG that, in the auditor's judgement, are of sufficient importance to merit management's attention.

**Contents of the written communication of significant deficiencies:** - A **description** of the deficiencies and an **explanation of their potential effects**; and - Sufficient **information to enable TCWG and management to understand the context**, specifically that: the purpose of the audit was to express an opinion on the financial statements; the audit **considered internal control relevant to the audit** in order to design appropriate procedures, **not** to express an opinion on the effectiveness of internal control; and the matters reported are limited to deficiencies the auditor identified and considered significant.

**Why the disclaimer language matters:** without it, TCWG might assume the auditor has *comprehensively* evaluated and blessed the control system. The auditor looked at controls *only to plan the audit*. The communication must not create false assurance — the trust problem again: honest scoping of what was and wasn't done.

**Timing and the "significant deficiency" versus "significant risk" trap.** Two clarifications the exam exploits. First, on **timing**: significant deficiencies must be communicated to TCWG *in writing* on a **timely basis** — the standard does not permit sitting on a serious weakness until the audit report; if a deficiency exposes the entity to ongoing loss, earlier communication may be warranted. Second, do **not** confuse a **significant deficiency** (an SA 265 control-weakness concept — a hole important enough to tell governance about) with a **significant risk** (an SA 315 risk-assessment concept — an inherent risk near the top of the spectrum). They use the same adjective and are entirely different animals; an answer that treats them as synonyms loses marks.

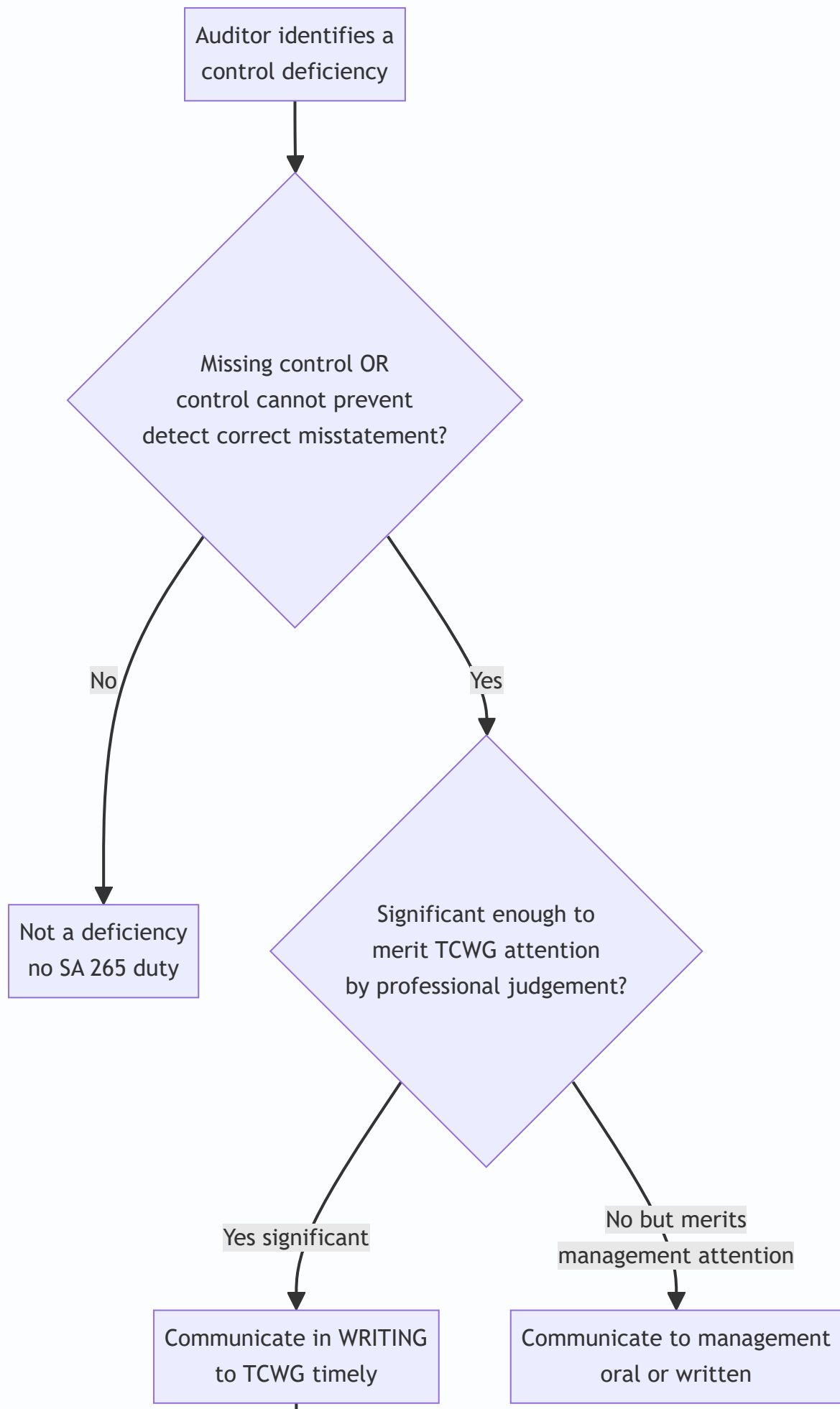
**Deficiency versus misstatement — keep them apart.** A **deficiency** is a fault in the *control* (a hole in the net). A **misstatement** is an error in the *numbers* (a fish that got through). One can exist without the other: a control can be deficient all year yet, by luck, no misstatement occurred; conversely a misstatement can arise where controls were sound (e.g., a novel non-routine transaction outside the control's design). SA 265 is about *deficiencies*; SA 450 handles the *accumulation and evaluation of misstatements*. This is why a deficiency is judged on **potential**, not on whether a misstatement has yet materialised.

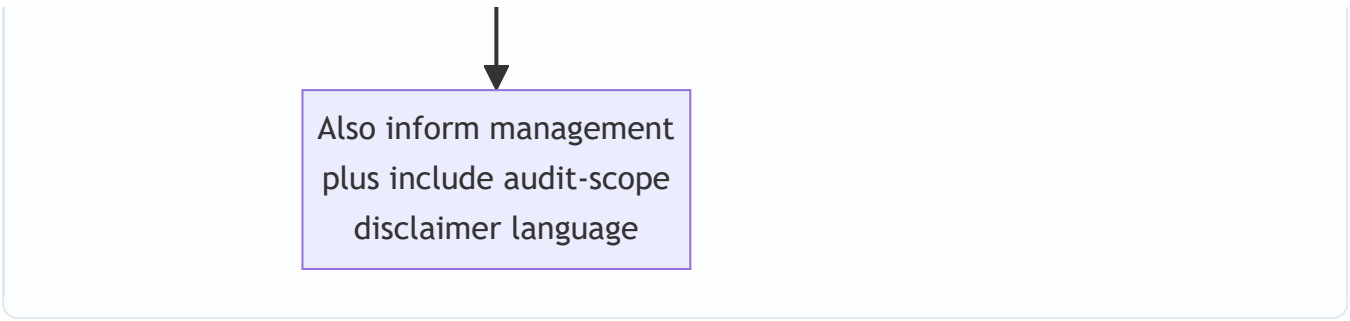


**Judging severity** — factors that make a deficiency *significant* include: susceptibility to loss/fraud; subjectivity of related amounts; volume of activity exposed; interaction with other deficiencies; the *importance* of the control to the reporting process; and whether it has already resulted in a misstatement. A deficiency can be significant *even if no misstatement has yet occurred* — the potential is enough. Indicators expressly listed in SA 265 also include: **evidence of ineffective aspects of the control environment** (e.g., fraud by senior management, however small); **absence of a risk-assessment process** where one would be expected; and **restatement of previously issued financial statements** reflecting a misstatement the entity's controls didn't catch.

*Figure 4 — SA 265 decision tree: from a spotted weakness to the right communication.*







Also inform management  
plus include audit-scope  
disclaimer language

## 5. Applied Scenarios — Reasoning From Risk to Response

### Scenario A — The Fast-Growing Software Company With No Paper Trail

*Facts:* CloudBill Ltd sells SaaS subscriptions entirely online. Customers self-provision, payments flow through an automated gateway, revenue is recognized by software on a rateable basis. There are **no sales invoices in the traditional sense** and no manual approvals — the system does everything. Revenue is Rs. 400 crore and is the largest, most sensitive figure.

*Reasoning:* Revenue carries a **presumed fraud/significant risk** (SA 240/315), and the **inherent risk is high** (rateable recognition involves timing judgement; high volume; automated). Critically, there is **no substantive audit trail** — you cannot vouch 2 million micro-transactions to paper. Under **SA 330**, when substantive procedures *alone* cannot provide sufficient appropriate evidence, **tests of controls become mandatory**. The auditor must test the **automated application controls** (correct rating logic, interface completeness between billing and GL, access controls preventing unauthorized revenue changes) and the **IT general controls** that keep those application controls reliable (change management, access, operations).

*Correct response:* ToC over automated revenue controls **plus** substantive analytical procedures (e.g., building an independent expectation of revenue from subscriber counts × plan prices × active days) **plus** tests of details on a sample around **cut-off**. Because revenue is a significant risk, substantive procedures **must include tests of details**, and the relevant controls must be tested **in the current period**.

### Scenario B — The Family-Run Trader Where the Owner Signs Everything

*Facts:* Bharat Traders is run by its promoter, who personally approves every payment, signs every cheque, and also keeps the books with one clerk. Segregation of duties is effectively **absent**; the promoter can **override** any control.

*Reasoning:* The **control environment** is dominated by one person; **control risk is high** because *management override* is unconstrained and *segregation of duties* is missing (one person initiates, records, and authorizes). Testing controls would be pointless — there is little to rely on, and relying on controls a single person can override is unjustifiable. RMM is high, driven by both IR (small entity, informal) and CR (weak controls).

*Correct response:* Adopt a **predominantly substantive approach** (SA 330 overall response to a weak environment). Increase the **extent** of tests of details, push **timing** to period-end, increase **professional skepticism**, and specifically design procedures for **management override of controls** (per SA 240: test journal entries, review estimates for bias, scrutinize significant unusual transactions). Under **SA 265**, the absence of segregation of duties is very likely a **significant deficiency** — communicate it **in writing to TCWG** (here, effectively the promoter, but the written record and disclaimer language still stand).

## Scenario C — Strong Controls at Interim, But a New ERP Went Live in December

*Facts:* Sterling Manufacturing had well-designed controls tested effectively at the **September interim** visit; the auditor planned a **reliance (ToC) approach** to reduce year-end substantive work. In **December**, the company migrated to a new ERP system. Year-end is March.

*Reasoning:* Reliance on interim ToC requires evidence about the **remaining period** (Oct–Mar). A **system migration is a significant change** to the information system component of internal control — the controls tested in September may **no longer be the controls operating** in Jan–Mar. The auditor cannot blindly extend September's conclusion across a control break. This also raises **data-integrity risk** (did balances migrate completely and accurately?).

*Correct response:* Update the understanding of the **new** control environment; perform **tests of controls on the post-migration system** for the remaining period (or, if that's impractical, extend **substantive procedures** to cover Dec–Mar). Perform **specific substantive procedures over the data migration** (completeness and accuracy of opening balances in the new system — reconcile pre- and post-migration totals). The migration itself may be a **significant risk** (complex, non-routine) requiring special consideration and current-period testing.

## Scenario D — Analytical Anomaly During Risk Assessment

*Facts:* During SA 315 analytical procedures, gross margin jumped from 22% to 31% with no change in product mix or prices, while inventory days doubled.

*Reasoning:* This is a **risk-assessment red flag**, not a conclusion. A margin spike with ballooning inventory is a classic signature of **inventory overstatement** (or purchases/cost understatement) — which would inflate profit. This elevates **inherent risk** for inventory valuation and existence assertions.

*Correct response:* Raise assessed RMM for inventory; design **responsive substantive procedures** (attend the physical count, test valuation and net realizable value, examine slow-moving/obsolete provisions, test purchase cut-off). The analytics **scoped** the risk; the response **resolves** it.

## Scenario E — The Detection-Risk Recalibration (numerical)

*Facts:* An auditor planning the receivables audit for Vega Ltd initially assessed, on a conceptual scale,  $IR = 0.5$  and  $CR = 0.4$ , for a target  $AR$  of 5%. Planned detection risk was therefore  $DR = 0.05 \div (0.5 \times 0.4) = 0.05 \div 0.20 = \mathbf{0.25}$  — a comfortable level permitting a moderate substantive sample and some interim work. Midway, tests of controls over the credit-approval and reconciliation controls reveal repeated deviations; the auditor now judges  $CR = 0.8$ .

*Reasoning:* RMM rises from 0.20 to  $(0.5 \times 0.8) = \mathbf{0.40}$ . To hold  $AR$  at 5%, the *new* acceptable detection risk is  $DR = 0.05 \div 0.40 = \mathbf{0.125}$  — **half** the original. The auditor cannot keep the original plan; a lower acceptable  $DR$  means more/better/later work.

*Self-check:* Old plan:  $0.5 \times 0.4 \times 0.25 = 0.05 \checkmark$ . New requirement:  $0.5 \times 0.8 \times 0.125 = 0.05 \checkmark$ . The audit risk target is unchanged; the *only* thing that moved is the auditor's lever ( $DR$ ), because the entity's control risk moved against the auditor.

*Correct response:* Since reliance failed, drop the reliance approach for the affected assertions and switch to a **substantive** emphasis: change **nature** toward **external confirmation** of receivables (independent, high-reliability), push **timing** to **year-end** rather than interim, and **increase extent** (larger sample). Consider whether the control deviations also constitute a **significant deficiency** under SA 265 requiring written

communication to TCWG. Note the two standards firing together: SA 330 (revise the response) and SA 265 (report the weakness).

*What if the examiner tweaks it — "the deviations were caused by one temporary staff member now replaced"?*

A single, explained, isolated cause that has been remediated *may* let the auditor conclude the control still operated effectively for most of the period, softening the CR revision — **but** the auditor must first *test that the deviation was truly isolated* (not the visible tip of a systemic failure) and obtain evidence the remediation actually took hold. The default posture on discovering deviations is skepticism, not relief.

## Scenario F — Outsourced Payroll and the Service Organization (SA 402 link)

**Facts:** Nimbus Ltd outsources its entire payroll to a third-party processor. The processor computes salaries, deducts taxes, and files statutory returns; Nimbus's own records only show the monthly total charged. Payroll is material.

**Reasoning:** A chunk of Nimbus's **internal control now lives at the service organization**. Under **SA 315**, "understand internal control relevant to the audit" *extends into the service provider* — the auditor cannot assess CR for payroll while ignoring where payroll is actually processed. Under **SA 402**, the auditor must obtain an understanding of how Nimbus uses the service and the controls at both ends. Substantive procedures at Nimbus alone may be insufficient because the *processing* controls sit outside.

**Correct response:** Obtain and evaluate a **service auditor's report** on the processor's controls (commonly a Type 2 report evidencing *operating effectiveness over a period*), or, if unavailable, arrange to **test controls at the service organization** or apply substantive procedures where feasible (e.g., recompute a sample, reconcile the total charged to bank payments and to headcount × average pay). This scenario is the bridge from Chapter 3 into SA 402 — the point being that "internal control relevant to the audit" does not stop at the client's own walls.

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## 6. Procedure & Documentation Summary — What Must Be On File

Audit is a discipline of *evidence*, and evidence that isn't documented didn't happen (SA 230). For this chapter, the working papers must show the *chain from risk to response*:

**Risk assessment documentation (SA 315 requires the auditor to document):** 1. The **discussion among the engagement team** (including how/when it occurred and significant decisions) about the susceptibility of the statements to material misstatement, including from fraud. 2. **Key elements of the understanding** obtained regarding the entity, its environment, and each internal control component; the **sources** of that information; and the **risk assessment procedures** performed. 3. The **identified and assessed RMM** at the financial-statement level and the assertion level. 4. The **risks identified** and related **controls** about which the auditor obtained an understanding, and any **significant risks** and significant-risk-related controls.

**Response documentation (SA 330 requires the auditor to document):** 5. The **overall responses** to FS-level risks, and the **nature, timing, and extent** of further audit procedures. 6. The **linkage** of those procedures with the assessed risks at the assertion level (the audit-quality inspector must be able to trace *this procedure back to that risk*). 7. The **results** of the procedures, and — where relying on controls tested in **prior** audits — the **conclusions** about that continued reliance.

**Deficiency documentation (SA 265):** 8. **Written communication** of significant deficiencies to TCWG; record of communication to management of other deficiencies of sufficient importance.

**Why the "linkage" requirement (item 6) is the one inspectors hunt for.** A file can contain a beautiful risk assessment *and* a pile of procedures, yet fail quality review if nothing *connects* them. The whole logic of the chapter — target effort at danger — is only demonstrable if each procedure is traceable to the specific assessed risk it answers. A working paper that lists "risk: revenue cut-off overstatement" but whose procedures never include a cut-off test has an *unaddressed risk*; a file full of cut-off tests with no documented cut-off risk has *unexplained work*. Linkage is the audit's proof that it was risk-driven rather than checklist-driven. Examiners test this as "why must the auditor document the linkage between risks and procedures?"

**Procedure checklist for the chapter's workflow:** - Perform inquiry + analytical procedures + observation/inspection (risk assessment procedures). - Hold and document the **engagement-team discussion** on susceptibility to misstatement (including fraud). - Understand each of the five control components; evaluate **design** and **implementation** of relevant controls (walkthroughs). - Assess RMM at both levels; flag **significant risks**; place inherent risks on the **spectrum** using inherent risk factors (complexity, subjectivity, change, uncertainty, bias/fraud). - Decide route per assertion: reliance (ToC) vs substantive; ensure **some substantive for every material item**. - If relying: test **operating effectiveness**; consider interim vs period-end and remaining-period coverage; apply rotational rules (retest at least every third year; significant-risk controls every year). - Perform substantive procedures (tests of details and/or substantive analytics); include **agreeing the statements to records** and **examining material journal entries**. - Evaluate results; **revisit risk assessment** if evidence contradicts it (assessment is **iterative**, not one-and-done). - Identify deficiencies; grade severity; communicate per SA 265.

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## 7. Connections — How This Chapter Wires Into the Rest of Auditing

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- ← **SA 200 (Chapter 1/2):** "Reasonable assurance" and "material misstatement" are *defined* there; the audit risk model is the *mechanism* by which reasonable (not absolute) assurance is delivered.  $AR = IR \times CR \times DR$  is SA 200's philosophy made operational.
- ↔ **SA 320 (Materiality):** materiality sets the *threshold* of what "matters"; risk assessment identifies *where* misstatement above that threshold is likely. Materiality and risk together set sample sizes (higher risk or lower materiality → larger samples). They are the two dials of audit **extent**.
- ↔ **SA 240 (Fraud):** significant risks frequently *are* fraud risks; revenue recognition carries a presumed fraud risk; "management override of controls" is a mandatory fraud response that lives inside the SA 330 response set. Chapter 3 supplies the *risk machinery* that Chapter on fraud exploits.
- → **SA 500 (Audit Evidence) & SA 530 (Sampling):** SA 330's "nature, timing, extent" is *executed* through SA 500's reliability hierarchy and SA 530's sampling methods. Extent = sample size = risk-driven.
- → **SA 520 (Analytical Procedures):** appears twice — as a *risk assessment* tool (SA 315) and as a *substantive* tool (SA 330). Same technique, different job.
- → **SA 402 (Service Organizations):** when controls are outsourced (e.g., cloud payroll), understanding "internal control" extends into the service provider — a direct SA 315/330 extension (see Scenario F).
- → **SA 450 (Evaluation of Misstatements):** SA 265 handles control *deficiencies*; SA 450 handles the *misstatements* those deficiencies (or other causes) let through — accumulate, communicate, and evaluate them against materiality. Keep the two apart: hole in the net vs fish that got through.
- → **SA 260 (Communication with TCWG):** SA 265 is the specific channel for control deficiencies; SA 260 is the broader governance-communication framework it sits within.

- ↔ **Companies Act 2013: Section 143(3)(i)** requires the auditor to report on whether the company has **adequate internal financial controls (IFC) with reference to financial statements** and their **operating effectiveness** (for applicable companies) — this is a *statutory* mandate to do exactly the control evaluation SA 315/330 describe. **Section 134(5)(e)** puts the *responsibility for IFC* on the directors. **Section 177** requires an **audit committee** (TCWG) for prescribed companies — the very body SA 265 communicates deficiencies to. **CARO 2020** requires specific comments on internal controls, and **Section 138** mandates **internal audit** for prescribed companies (feeding the "monitoring" component). *Confirm exact applicability thresholds for IFC operating-effectiveness reporting and internal audit in current ICAI/Act material.*

**One caution on the IFC-versus-SA-265 boundary (frequently conflated).** Under **Sec 143(3)(i)** the auditor may give a *positive opinion on the operating effectiveness of IFC* — a separate, higher-level engagement. Under **SA 265** the auditor gives *no opinion on control effectiveness at all* — merely a communication of deficiencies found while planning the FS audit, with an explicit disclaimer. Do not let a scenario blur them: the same audit can carry both a full IFC opinion (statutory, where applicable) and an SA 265 deficiency communication, and they say opposite things about scope. If asked "does communicating a deficiency mean the auditor opined on controls?" the answer is **no** — unless a separate 143(3)(i) IFC report is also required.

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## 8. Traps & Examiner Tricks

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1. **"Risk assessment procedures give the audit evidence for the opinion."** *False.* They **scope**; they never, by themselves, provide sufficient appropriate evidence for the opinion. The opinion rests on SA 330 further procedures.
2. **Confusing "implementation" with "operating effectiveness."** SA 315 checks a control is *designed and implemented* (exists and is used) via walkthroughs. SA 330 **tests of controls** check it *operated effectively throughout the period*. An exam scenario that says "we saw the control exists" has **not** established reliance.
3. **"If controls are strong, we can skip substantive procedures on revenue."** *False.* SA 330 requires **substantive procedures for every material item** regardless of control strength. Controls **reduce** but never **eliminate** substantive work.
4. **Assuming DR moves the same direction as RMM.** DR is **inverse**: high RMM → low DR (more work). Students routinely flip this.
5. **"The auditor's control weakness communication means the auditor opines on internal control."** *False* — SA 265 requires explicit disclaimer language that controls were considered *only to design audit procedures*, **not** to opine on control effectiveness (except where a *separate* IFC report under Sec 143(3)(i) is required — don't conflate the two).
6. **Reliance on prior-year control testing for a significant risk.** *Not allowed.* Controls addressing a **significant risk must be tested in the current period**. And any control relied upon must be tested at least **once every third year**.
7. **For significant risks, substantive analytics alone suffice.** *False* — substantive procedures for a significant risk **must include tests of details**.
8. **Treating a deficiency as significant only if a misstatement already happened.** *Wrong* — a deficiency can be **significant on potential alone**; actual misstatement is just one factor.



9. **"Small company, so internal control isn't relevant."** The *components* still exist (often informally); a weak control environment in a small entity **raises** CR and pushes toward a substantive approach — it doesn't excuse assessment.
10. **Testing controls when you never intended to rely on them.** ToC is only required if you **plan to rely** or substantive evidence alone is impossible. Testing controls you won't rely on is wasted effort — an efficiency trap examiners probe.
11. **Interim testing without covering the remaining period.** Evidence from an interim ToC/SP must be *rolled forward* with evidence for the gap to period-end; forgetting this is a classic error.
12. **Inquiry alone as a test of controls.** Inquiry is *never* sufficient by itself for operating effectiveness — it must be combined with inspection, observation, or re-performance.
13. **Treating the audit risk model as a precise calculator.** It is a **conceptual** aid, not a formula that spits out an exact sample size — IR and CR are judged on a spectrum, not measured to decimals. Answers claiming the model computes the sample "mathematically" are wrong.
14. **Confusing "significant risk" (SA 315) with "significant deficiency" (SA 265).** Same adjective, different concepts: one is a top-of-spectrum *inherent risk*, the other is a control *weakness* worth reporting to governance. Do not treat them as synonyms.
15. **Wrong direction of testing for the assertion.** Vouching (records → source) tests *occurrence/overstatement*; tracing (source → records) tests *completeness/understatement*. Proposing vouching to catch *understated liabilities* is a classic mistake — you need a *search for unrecorded liabilities*.
16. **Ignoring management override because "controls looked strong."** Override sits *above* the controls; strong control design does not neutralise it. SA 240's override procedures (journal-entry testing, estimate-bias review, unusual-transaction scrutiny) are **mandatory regardless** of control strength.
17. **Assuming a control deviation is automatically a misstatement (or automatically ignorable).** A deviation is neither — it forces *investigation* into whether it is isolated or systemic and whether it caused a misstatement, and it always forces re-evaluation of planned reliance.
18. **Relying on automated application controls while ignoring ITGCs.** An application control is only as trustworthy as the change-management and access ITGCs behind it; reliance on the former without evidence over the latter is unsupported.
19. **Deficiency = misstatement confusion.** A deficiency is a fault in the *control*; a misstatement is an error in the *number*. Either can exist without the other; SA 265 addresses deficiencies, SA 450 addresses misstatements.
20. **Answering "increase the sample" to every high-risk scenario.** Extent is only one of three levers; often the stronger response changes the **nature** (more reliable/independent evidence, e.g., external confirmation) or the **timing** (shift to year-end) first.

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## 9. First-Principles Recap

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Strip away every Standard number and this is what remains, rebuildable from scratch:

- You **cannot examine everything**, and some misstatement is **deliberately hidden** — and much of it lives not in transactions but in *estimates, disclosures, and concealment*. So audit must **target** effort at danger, assertion by assertion. (The Problem.)
- To target, **measure the danger**: split it into what the *entity* brings (**inherent** susceptibility × the chance its **controls fail** = risk of material misstatement) and what *you* bring (**detection** risk — the chance your

own work misses it). **AR = IR × CR × DR** — a *conceptual* relationship, not a calculator.

- IR and CR you can only **assess**, not change → so you **understand the entity and its controls** (SA 315) to price them — evaluating control **design and implementation**, not yet effectiveness.
- DR is your **lever**. Set it *inversely* to RMM: where danger is high, drive your detection risk **down** with more, better, later-timed work. Where danger is low, do less. That inverse relationship is targeting.
- Controls come in **five layers** (environment → entity risk assessment → information system → control activities → monitoring), run increasingly through **IT** (application controls resting on ITGCs), and have **inherent limits** (override above all, collusion, error) — which is why **some substantive testing is always required**, DR is **never zero**, and **management override** is audited regardless of control strength.
- Convert assessment into action (SA 330): **overall responses** to pervasive risk (skepticism, senior staff, unpredictability, period-end shift), and **further procedures** — either **test the controls** (cheap leverage where controls are strong, high-volume, or no paper trail exists) or **test the amounts directly** (where controls are weak) — choosing **nature, timing, extent** by risk, with *nature* the most powerful lever, and *some tests of details mandatory for every significant risk*.
- Because the audit *learns*, the assessment is **iterative** — evidence that contradicts your risk assessment forces you to **revise** it and re-plan.
- When you spot **holes in the entity's controls**, tell the **owners/governance** (SA 265) in writing for significant ones, while being honest (via the disclaimer) that you looked at controls only to plan the audit — never opining on control effectiveness (unless a separate IFC report is required).

Everything else — every requirement, every procedure — is a detailed answer to a specific way misstatement could slip past you.

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## 10. Quick-Revision Sheet

### Key Standards at a glance

| SA                    | Title (short)                                                   | The risk it counters                    | Core requirement to remember                                                                                                                                                                                                                                        |
|-----------------------|-----------------------------------------------------------------|-----------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>SA 200</b>         | Overall objectives / reasonable assurance                       | Expecting impossible certainty          | AR = IR × CR × DR (conceptual); reasonable, not absolute, assurance                                                                                                                                                                                                 |
| <b>SA 315</b>         | Identifying & assessing RMM via understanding entity & controls | Mispricing danger; blind torch          | Perform risk assessment procedures; engagement-team discussion; understand entity + 5 control components; evaluate control <b>design &amp; implementation</b> ; place IR on the <b>spectrum</b> ; assess RMM at FS & assertion level; flag <b>significant risks</b> |
| <b>SA 330</b>         | Responses to assessed risks                                     | Diagnosis with no treatment             | Overall responses + further procedures (ToC and/or SP); choose <b>nature/timing/extent</b> by risk; <b>substantive for every material item</b> ; significant risk → tests of details; agree statements to records + examine journal entries                         |
| <b>SA 265</b>         | Communicating control deficiencies                              | Seeing holes but not telling owners     | Grade deficiencies; <b>write to TCWG</b> for significant ones, timely; disclaim control-opinion scope                                                                                                                                                               |
| <b>SA 402</b>         | Service organizations                                           | Outsourced controls out of sight        | Understanding of internal control extends to the service provider; use service-auditor report or test controls there                                                                                                                                                |
| <b>SA 450</b>         | Evaluation of misstatements                                     | Errors that slip through                | Accumulate & evaluate <i>misstatements</i> (distinct from <i>deficiencies</i> )                                                                                                                                                                                     |
| <b>SA 520</b>         | Analytical procedures                                           | Missing anomalies / inefficient testing | Used both to assess risk (315) and substantively (330)                                                                                                                                                                                                              |
| <b>SA 240</b>         | Fraud                                                           | Deliberate concealment / override       | Revenue = presumed fraud risk; test journal entries & management override — mandatory regardless of control strength                                                                                                                                                |
| <b>Sec 143(3) (i)</b> | Companies Act — IFC reporting                                   | Directors' controls unverified          | <i>Positive opinion</i> on adequacy & operating effectiveness of IFC (where applicable) — opposite scope to SA 265                                                                                                                                                  |

### The risk model — one line

**AR = IR × CR × DR** (conceptual, not a calculator); RMM = IR × CR (entity's, only assessed); **DR = AR ÷ RMM** (auditor's lever, **inverse** to RMM).

## Five components of internal control

1. Control **Environment** (tone/integrity)
2. Entity's **Risk Assessment** process
3. **Information System** & communication
4. **Control Activities** (authorization, reconciliation, segregation of duties, physical, IT — application controls on ITGCs)
5. **Monitoring** of controls.

## Design & implementation vs operating effectiveness

- **D&I (SA 315)**: control *exists and is used* — checked by **walkthrough**; inquiry never alone. Not reliance.
- **Operating effectiveness (SA 330 ToC)**: control *worked consistently all period* — the basis for reliance.

## ToC vs SP — when

- **Tests of Controls** when: you **plan to rely** on controls, **or** substantive evidence alone is impossible (no paper trail). Tests **operating effectiveness**; methods ranked re-performance > inspection > observation > inquiry (never alone); significant-risk controls tested **current year**; retest at least every **3rd** year; changed control → test **this** year.
- **Substantive Procedures** always for **material** items; **tests of details + substantive analytics**; **significant risk** → **must include tests of details**; include agreeing statements to records + examining material journal entries.

## Direction of testing

- **Vouching** (records → source) → *occurrence/existence* → catches **overstatement**.
- **Tracing** (source → records) → *completeness* → catches **understatement**; unrecorded liabilities need a **search**, not vouching.

## Nature / Timing / Extent — higher risk means

- **Nature** → more **reliable** procedures (external confirmation, re-performance) — the strongest lever
- **Timing** → shift toward **period-end**
- **Extent** → **larger** samples

## Inherent limitations of control (why CR ≠ 0, DR ≠ 0)

Management **override** (the deadliest — sits above controls), **collusion**, human **error**, **cost-benefit** limits, failure on **non-routine** transactions, IT program-change/access exposure.

## Inherent risk factors & spectrum (revised SA 315)

Complexity · Subjectivity · Change · Uncertainty · Bias/Fraud susceptibility → place each assertion on the **spectrum**; top of spectrum ⇒ **significant risk** (special consideration).

## SA 265 — deficiency ladder

Deficiency (control can't prevent/detect/correct, or is missing) → if **significant** (professional judgement, potential is enough) → **written** communication to **TCWG**, timely → inform management + scope disclaimer.  
Deficiency (fault in control) ≠ misstatement (error in number).

## Overall responses to a weak control environment

More skepticism · more experienced staff · more supervision · **unpredictability** · shift to period-end · heavier substantive · mandatory management-override procedures.

*Confirm the following in current ICAI material: the revised SA 315 (2021) component framing, "inherent risk factors," and "inherent risk spectrum"; exact IFC operating-effectiveness and internal-audit (Sec 138) applicability thresholds; CARO 2020 internal-control clause wording; and the current form (Type 1 vs Type 2) of service-auditor reports under SA 402.*

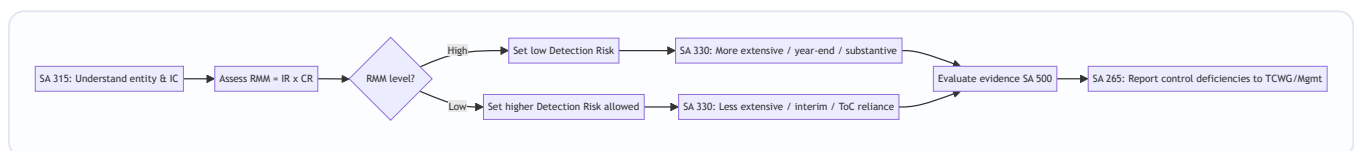
# Q&A — Risk Assessment & Internal Control

CA Intermediate — Auditing & Ethics | Chapter: Risk Assessment & Internal Control Standards in play: SA 315, SA 330, SA 265, with links to SA 200, SA 240, SA 320, SA 402, SA 500, SA 520, SA 530; Companies Act 2013 Sec 143(3)(i), 134, 138, 177; CARO 2020.

## The one equation to anchor everything

Audit Risk (AR) = Inherent Risk (IR) × Control Risk (CR) × Detection Risk (DR).

IR and CR are the **Risk of Material Misstatement (RMM)** — they exist in the client and the auditor only assesses them. DR is the only lever the auditor *controls*, by varying the nature, timing and extent of procedures. For a target AR, DR moves **inversely** to RMM: high RMM → low DR required → more/better evidence.



## Section A — Concept-Check (with answers)

**A1. Define audit risk and its components.** Audit risk is the risk that the auditor expresses an inappropriate opinion when the financial statements are materially misstated (SA 200).  $AR = IR \times CR \times DR$ . IR = susceptibility of an assertion to misstatement before controls; CR = risk that a misstatement will not be prevented/detected by internal control on a timely basis; DR = risk that the auditor's procedures fail to detect an existing misstatement.

**A2. Which components make up the Risk of Material Misstatement?** IR and CR together constitute RMM. These are the entity's risks and are assessed, not created, by the auditor. DR is a function of audit effectiveness and is the only component the auditor manages directly.

**A3. Explain the inverse relationship between RMM and DR.** For a given acceptable audit risk, DR must be set inversely to assessed RMM. When RMM is high, acceptable DR is low, so the auditor performs more persuasive, more extensive, and often year-end substantive procedures. When RMM is low, a higher DR is tolerable and less extensive testing suffices. This is the mechanical basis of the SA 330 "responsive" design.

**A4. List the five components of internal control per SA 315.** (1) Control environment, (2) Entity's risk assessment process, (3) Information system and communication relevant to financial reporting, (4) Control activities, (5) Monitoring of controls.

**A5. Distinguish Test of Controls (ToC) from Substantive Procedures.** ToC test **operating effectiveness** of controls to support a reduced CR assessment (SA 330). Substantive procedures detect misstatements at the assertion level and comprise (a) tests of details and (b) substantive analytical procedures (SA 330 read with SA 520). Substantive procedures are **mandatory** for each material class of transactions, account balance and disclosure regardless of assessed risk; ToC are performed only when the auditor intends to rely on controls or substantive procedures alone cannot provide sufficient evidence.

**A6. When are Tests of Controls mandatory?** When the auditor's risk assessment includes an expectation that controls operate effectively (i.e., intends to rely), OR when substantive procedures alone cannot provide sufficient appropriate audit evidence at the assertion level (SA 330 para 8) — typically in highly automated, low-paper environments.

**A7. What is a "significant risk" and what does it require?** A significant risk is an identified and assessed RMM that, in the auditor's judgement, requires special audit consideration (SA 315). It usually relates to non-routine or judgemental matters and fraud. For a significant risk the auditor must (a) evaluate the design of related controls, and (b) perform substantive procedures **specifically responsive** to it; substantive analytical procedures alone are not sufficient (SA 330).

**A8. Differentiate a "significant deficiency" from a "deficiency" under SA 265.** A deficiency in internal control exists when a control is unable to prevent/detect misstatements, or a needed control is missing. A significant deficiency is one that, in professional judgement, is of sufficient importance to merit the attention of Those Charged With Governance (TCWG). SA 265 requires significant deficiencies to be communicated **in writing** to TCWG, and other deficiencies to management.

**A9. What must the auditor document under SA 315/330?** The understanding of the entity and its IC, the assessed RMM at financial statement and assertion levels, significant risks identified, the overall responses and the linkage of further procedures to assessed risks, and the results of procedures (SA 315 & SA 330 documentation requirements; overarching SA 230).

**A10. Does a strong control environment reduce the need for substantive procedures to nil?** No. Substantive procedures for material items are always required (SA 330). A strong control environment may lower assessed CR and reduce extent, but cannot eliminate substantive testing.

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## Section B — Applied Scenario Questions (situation → audit response with reasoning)

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**B1. SaaS client, no paper trail.** A subscription-software company recognises revenue entirely through an automated billing engine; there are no invoices or delivery notes to vouch. *Response:* Substantive procedures alone cannot yield sufficient evidence, so SA 330 para 8 makes **Tests of Controls mandatory**. The auditor understands the automated revenue system (SA 315), tests automated application controls and relevant IT General Controls (access, change management, data integrity), and combines re-performance/CAATs on the full transaction population with substantive analytical procedures on subscriber counts × price. Reliability of system-generated reports must itself be tested (SA 500).

**B2. Owner-override, family trading business.** The proprietor personally authorises all payments, keeps the master vendor file, and can post journal entries. *Response:* This is a control environment weakness with high **management override** risk — an inherent significant/fraud risk (SA 240). Controls cannot be relied upon, so assessed CR is high, DR must be low, and the auditor shifts to extensive substantive testing: 100%/large-sample vouching, testing journal entries (mandatory under SA 240), related-party scrutiny (SA 550), and unpredictable procedures. Deficiency in segregation of duties is a significant deficiency reportable in writing under SA 265.

**B3. Mid-year ERP migration.** The client moved from a legacy system to a new ERP on 1 October; opening balances were converted. *Response:* Two control environments operate in one period, raising RMM around cut-over. The auditor evaluates data-migration controls (completeness/accuracy of converted balances), tests

controls **separately** for the pre- and post-migration periods since reliance for the whole year cannot rest on one system (SA 330), reconciles converted opening balances to legacy closing balances, and performs cut-over testing around 30 September/1 October. IT change-management controls are assessed.

**B4. Analytical anomaly.** Gross margin jumped from 22% to 34% with no change in business model.

*Response:* Under SA 520 an unexpected fluctuation is a risk indicator. The auditor investigates by inquiry of management and, crucially, **corroborates** the explanation with other evidence rather than accepting it (SA 520 para 7). It may signal a significant risk (overstated inventory/revenue) demanding targeted tests of details (SA 330); substantive analytics alone are insufficient for a significant risk. Consider fraud implications (SA 240).

**B5. Service organisation.** Payroll is fully outsourced to a third-party processor whose reports feed the ledger. *Response:* SA 402 governs. The auditor obtains understanding of services affecting the FS, and either obtains a Type 1/Type 2 assurance report on the service organisation's controls or performs procedures at the service organisation. A Type 2 report supports reliance on operating effectiveness; without it, the auditor must design substantive procedures on payroll.

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## Section C — Past-Paper-Style Descriptive Questions (with model answers)

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**C1. "Detection risk is the only element within the auditor's control." Discuss with reference to how the auditor manages it.** *Model answer:*  $AR = IR \times CR \times DR$  (SA 200). IR and CR are properties of the entity and its environment; the auditor can only assess them via SA 315 risk-assessment procedures. DR alone depends on the effectiveness of the audit and is managed by altering the **nature** (more reliable procedures, e.g., external confirmation over inquiry), **timing** (year-end rather than interim), and **extent** (larger samples, per SA 530) of further audit procedures (SA 330). Because AR is held to an acceptably low level, DR is set **inversely** to assessed RMM: higher RMM compels lower DR and hence more persuasive evidence. DR can never be reduced to zero because of sampling and non-sampling limitations inherent in any audit.

**C2. Explain the auditor's responsibilities under SA 265 for communicating deficiencies in internal control.** *Model answer:* SA 265 requires the auditor, having identified deficiencies during the audit, to determine whether individually or in combination they constitute **significant deficiencies**. Significant deficiencies must be communicated **in writing** to TCWG on a timely basis; the communication states a description of the deficiencies, their potential effects, and sufficient information for TCWG to understand the context (it is not a comprehensive list nor an opinion on effectiveness). Other, less severe deficiencies are communicated to the appropriate level of management. The auditor is not required to search for deficiencies but reports those noted while forming the audit opinion. This does not diminish the auditor's own responsibility for the opinion.

**C3. Describe the five components of internal control under SA 315 and their audit relevance.** *Model answer:* (1) **Control environment** — governance attitude, integrity and ethical values; sets the foundation and influences assessed CR. (2) **Entity's risk assessment process** — how management identifies and responds to business risks relevant to reporting. (3) **Information system and communication** — the procedures and records that initiate, record, process and report transactions and maintain accountability; understanding the flow of transactions is essential to identify where misstatements can arise. (4) **Control activities** — policies/procedures such as authorisation, reconciliation, segregation of duties, and IT application controls; these are the controls the auditor may test. (5) **Monitoring of controls** —



ongoing/separate evaluations, including internal audit. The auditor must understand each component to identify and assess RMM and design responses (SA 330).

**C4. What are the auditor's responses to assessed risks at (a) the overall financial-statement level and (b) the assertion level? (SA 330)** *Model answer:* (a) **Overall responses** address pervasive risks: emphasising professional scepticism, assigning more experienced staff, greater supervision, incorporating unpredictability, and modifying nature/timing/extent generally. (b) **Assertion-level responses** are further audit procedures whose nature, timing and extent are **responsive** to the assessed RMM for each material class/balance/disclosure — comprising tests of controls (only where reliance is intended or substantive testing alone is insufficient) and substantive procedures. Irrespective of assessed risk, the auditor must perform substantive procedures for each material item, and for **significant risks** perform substantive procedures specifically responsive to that risk (analytics alone being inadequate).

**C5. Link internal-control audit work to the Companies Act 2013.** *Model answer:* Under **Sec 143(3)(i)**, the auditor of specified companies must report on whether the company has an adequate **Internal Financial Controls with reference to financial statements (IFCoFR)** and their operating effectiveness — directly building on SA 315/330 control work. **Sec 134(5)(e)** requires the directors' responsibility statement (listed companies) to assert that adequate internal financial controls were laid down and operating effectively. **Sec 177** empowers the **Audit Committee** (a TCWG channel for SA 265 communication) to evaluate internal financial controls. **Sec 138** mandates **internal audit** for prescribed companies — relevant to the monitoring component and to SA 610 reliance. CARO 2020 additionally requires reporting on specified control-related matters (e.g., internal audit system adequacy).

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## Section D — MCQs / Case Scenarios (correct option + one-line reasoning)

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**D1.** In  $AR = IR \times CR \times DR$ , which is the only component the auditor can directly control? (a) IR (b) CR (c) DR (d) RMM **Ans: (c) DR** — managed via nature/timing/extent of procedures; IR and CR are the entity's (SA 200).

**D2.** Tests of controls become **mandatory** when: (a) controls look strong (b) substantive procedures alone cannot give sufficient evidence (c) the client requests it (d) never **Ans: (b)** — SA 330 para 8, typical of highly automated, low-paper environments.

**D3.** A significant deficiency in internal control must be communicated: (a) orally to management (b) in writing to TCWG (c) in the audit report only (d) to shareholders **Ans: (b)** — SA 265 requires timely **written** communication to TCWG.

**D4.** For a **significant risk**, which is NOT sufficient on its own? (a) tests of details (b) substantive analytical procedures alone (c) targeted substantive procedures (d) evaluating design of controls **Ans: (b)** — SA 330 prohibits reliance on analytics alone for significant risks.

**D5.** Which is a substantive procedure? (a) observing segregation of duties (b) re-performing a bank reconciliation as a test of the control (c) external confirmation of receivables (d) inspecting the authorisation matrix **Ans: (c)** — confirmations are tests of details detecting misstatements; the others test control operation.

**D6.** Substantive procedures for material items are: (a) optional if CR is low (b) always required (c) required only for significant risks (d) replaced by ToC **Ans: (b)** — SA 330 mandates substantive procedures for every material class/balance/disclosure.

**D7.** A gross-margin spike investigated by inquiry, where management's explanation is accepted without corroboration, breaches: (a) SA 530 (b) SA 520 (c) SA 402 (d) SA 610 **Ans: (b)** — SA 520 requires corroboration of management explanations for significant fluctuations.

**D8. Case scenario.** An auditor of a fully automated e-commerce firm assesses controls as strong, decides to rely on them, but performs **no** substantive procedures on material revenue, arguing CR is very low. Evaluate. **Ans:** Incorrect. Even with low assessed CR and effective ToC, SA 330 requires substantive procedures for material revenue; controls reliance reduces **extent**, not existence, of substantive work. Revenue also carries a presumed fraud risk (SA 240), a significant risk requiring specifically responsive substantive procedures.

**D9. Case scenario.** During a listed company audit, the CFO can post and approve journals unilaterally. Which combination is correct? (a) Report as significant deficiency (SA 265) + test journals (SA 240) + relevant to Sec 143(3)(i) (b) Ignore since automated (c) Only oral note to CFO (d) Reduce substantive testing **Ans: (a)** — segregation failure is a significant deficiency (written to TCWG/Audit Committee under SA 265), invokes mandatory journal-entry testing (SA 240), and bears on the IFCoFR opinion under Sec 143(3)(i).

**D10.** Reliance on a service organisation's operating effectiveness is best supported by: (a) a Type 1 report (b) a Type 2 report (c) the client's assurance (d) a brochure **Ans: (b)** — under SA 402 a Type 2 report covers operating effectiveness over a period; Type 1 covers design at a point in time only.

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## Traps & Examiner Tricks (rapid list)

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1. Writing  $AR = IR + CR + DR$  — it is **multiplicative**.
  2. Saying the auditor "controls" IR or CR — the auditor only **assesses** them.
  3. Getting the DR direction wrong — DR is **inverse** to RMM.
  4. Claiming ToC can replace substantive procedures — substantive work is always required for material items.
  5. Using analytics alone for a **significant risk** — prohibited (SA 330).
  6. Forgetting ToC are **mandatory** where substantive evidence alone is insufficient (SaaS/automated).
  7. Communicating significant deficiencies orally — must be **in writing** (SA 265).
  8. Confusing "deficiency" (to management) with "significant deficiency" (to TCWG).
  9. Treating a strong control environment as eliminating fraud/override risk (SA 240).
  10. Accepting management's analytical explanation without corroboration (SA 520).
  11. Mixing up SA 315 (assess) with SA 330 (respond) — know which number does what.
  12. Ignoring service-organisation controls (SA 402) and IT general controls in automated setups.
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## First-Principles Recap

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You cannot check everything, and some misstatement is deliberately hidden. So you accept a small, defined chance of being wrong (audit risk), split that risk into what the client brings (IR, CR = RMM) and what you can manage (DR), and then spend audit effort inversely to the client-side risk. SA 315 tells you how to **look and assess**; SA 330 tells you how to **respond**; SA 265 tells you how to **report** the control weaknesses you found along the way. Everything else (SA 240, 320, 500, 520, 530, 402 and the Companies Act sections) hangs off this spine.

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## Quick-Revision Sheet — SA Summary Table

| Standard / Section | One-line role in this chapter                                                                 |
|--------------------|-----------------------------------------------------------------------------------------------|
| SA 200             | Defines audit risk; overall objectives, professional scepticism                               |
| SA 315             | Identify & <b>assess</b> RMM by understanding entity and IC (5 components); significant risks |
| SA 330             | Auditor's <b>responses</b> : overall + assertion-level; ToC & substantive; NTE inverse to RMM |
| SA 265             | Communicate control <b>deficiencies</b> ; significant ones in writing to TCWG                 |
| SA 240             | Fraud; management override; mandatory journal-entry testing; revenue presumption              |
| SA 320             | Materiality — the yardstick for "material" misstatement                                       |
| SA 500             | Sufficient appropriate audit evidence; reliability of information used                        |
| SA 520             | Analytical procedures; corroborate management explanations                                    |
| SA 530             | Audit sampling — governs <b>extent</b> of testing                                             |
| SA 402             | Service organisations; Type 1 vs Type 2 reports                                               |
| Sec 143(3)(i)      | Report on adequacy & operating effectiveness of IFCoFR                                        |
| Sec 134(5)(e)      | Directors' responsibility statement on internal financial controls (listed cos.)              |
| Sec 177            | Audit Committee — evaluates IFC; TCWG channel                                                 |
| Sec 138            | Mandatory internal audit — monitoring component                                               |
| CARO 2020          | Additional control/internal-audit reporting clauses                                           |

**Key points to keep on top:** RMM = IR × CR; DR is the only lever; substantive procedures always for material items; ToC mandatory when substantive alone is insufficient; significant risks need targeted substantive tests; significant deficiencies go to TCWG in writing.

# Chapter 04 — Audit Evidence

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## 1. The Problem — An Opinion Is Only as Good as What It Stands On

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Go back to the founding wound of this whole subject. The owners of a company cannot see inside it. They handed their money to managers, and now managers hand them back a set of financial statements that say, in effect, "trust us, this is what happened." The auditor exists to break that stalemate — to give the owners an *independent* reason to believe the numbers.

But here is the uncomfortable question the examiner is really testing: **on what basis does the auditor believe the numbers?** The auditor did not run the business. He did not pack the inventory, sign the sales invoices, or watch every rupee move. He arrives after the fact, is given a set of books prepared *by the very people whose honesty is in question*, and is asked to bless them. If the auditor simply reads what management wrote and repeats it, he has added nothing — he is just a second signature on management's assertions.

So the auditor faces a **verification gap**. The trust problem is not solved by the auditor's good character; it is solved only if the auditor gathers *something outside management's own say-so* that either corroborates or contradicts the figures. That "something" is **audit evidence**.

Now sharpen the risk. Financial statements can be wrong in two flavours:

- **Error** — an honest mistake (a mis-cast total, a wrong depreciation rate).
- **Fraud** — a deliberate deception (fictitious sales to inflate profit, hidden liabilities to hide insolvency).

Both produce **misstatement**. The auditor's job is to reduce the risk that *material* misstatement survives undetected to an acceptably low level. He can only do that by holding, at the end, a body of evidence strong enough that a reasonable, informed person would reach the same conclusion. If the evidence is thin, the opinion is a bluff — and when the company later collapses, the auditor is the one in the witness box being asked, "What did you actually check?"

That single question — *what did you actually check, and was it enough?* — is the entire content of this chapter.

**Reasonable, not absolute, assurance — and why evidence is "persuasive rather than conclusive."**

Notice the standard does not ask the auditor to *prove* the statements are correct beyond all doubt. It asks for a *reasonable basis*. This is deliberate and heavily examined. An audit cannot give absolute assurance for four structural reasons, each of which you should be able to state: (a) **selective testing** — the auditor samples, he does not re-do every transaction, so some items are never seen; (b) **inherent limitations of internal control** — controls can be overridden by management or defeated by collusion; (c) **the nature of evidence is persuasive, not conclusive** — most audit evidence points *towards* a conclusion rather than nailing it down (a confirmation supports existence but a clever fraud can still forge it); and (d) **judgement** — the auditor must judge what is material, what is risky, and when he has "enough," and judgement is fallible. The examiner loves the phrase "*audit evidence is persuasive rather than conclusive*" — it is the honest admission that the auditor stacks up probabilities until a reasonable person would be convinced, not until certainty is reached. Recognising this reframes every rule in the chapter: the auditor is not chasing proof, he is *reducing doubt to an acceptably low level at reasonable cost*.

**Why "material" and not "every error"?** The auditor tolerates immaterial error because chasing it costs more than it is worth to users, and because an opinion is about whether the statements are *free from*

*material misstatement* — misstatement large enough that a reasonable user's decision would change. Materiality (SA 320) therefore sets the *height of the bar* evidence must clear: the closer a possible misstatement is to material, the more and better evidence the auditor must hold. This links directly to "sufficient" in Section 2 — sufficiency is measured against risk *and* materiality, never in the abstract.

## 2. The Core Idea — Sufficient Appropriate Evidence, Organised by Assertion

The whole discipline of audit evidence rests on one sentence from **SA 500 — Audit Evidence**:

The auditor shall design and perform audit procedures to obtain **sufficient appropriate audit evidence** to be able to draw reasonable conclusions on which to base the audit opinion.

Two words carry the load, and they are deliberately different things:

- **Sufficient** = the *quantity* of evidence. How much?
- **Appropriate** = the *quality* of evidence, which itself splits into **relevance** (does it test the right thing?) and **reliability** (can it be trusted?).

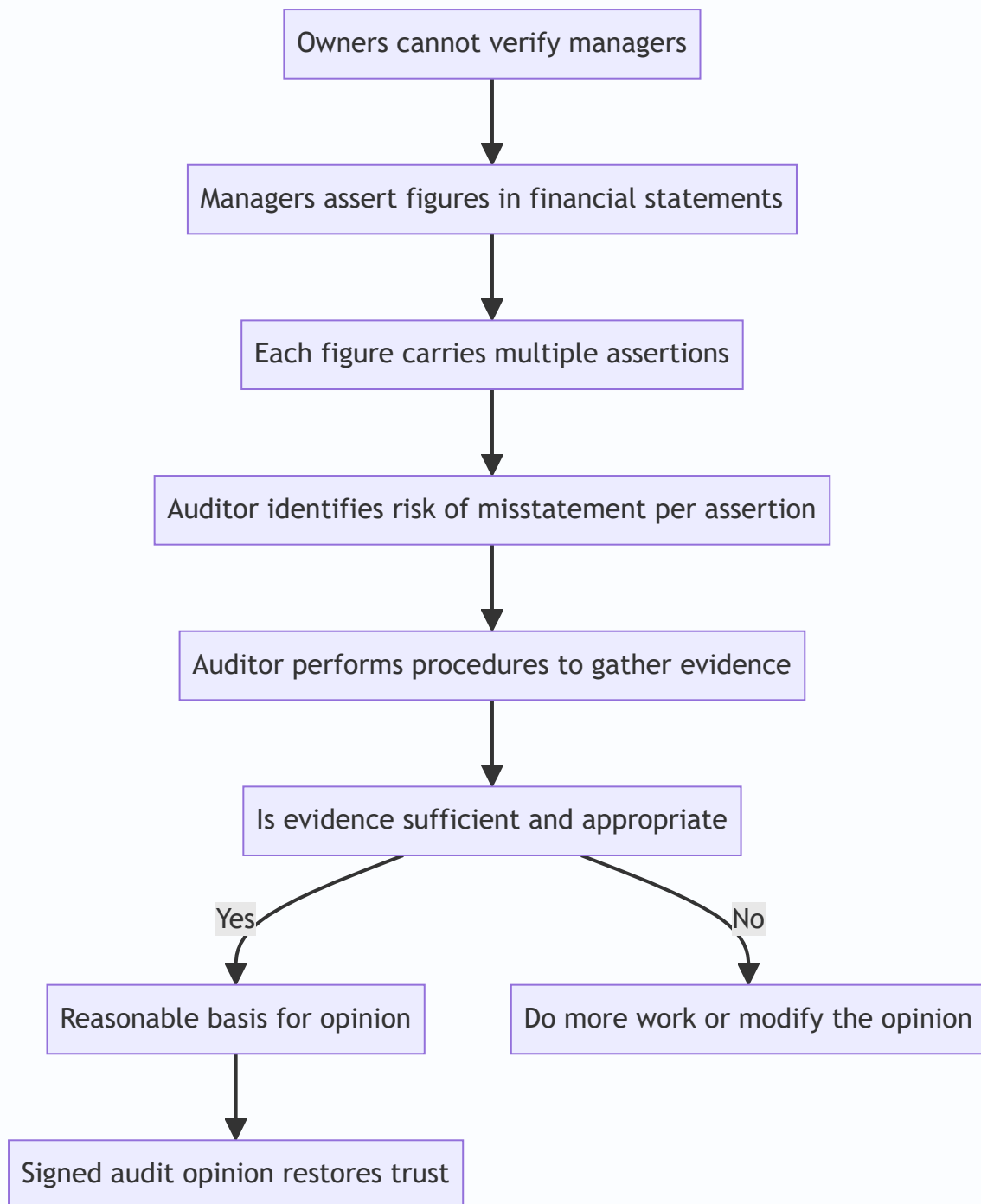
These two are not independent — they trade off. The *more reliable* the evidence, the *less* of it you need. The *riskier* the area, the *more* evidence you need. A single confirmation direct from a bank tells you more than a stack of internally photocopied statements.

**Sharpening "relevance" — direction and purpose.** Relevance has two dimensions the exam separates. First, evidence must relate to the *specific assertion* under test: subsequent cash receipts are highly relevant to *existence and valuation* of a receivable but say almost nothing about its *completeness* (money coming in does not reveal receivables you never recorded). Second, relevance depends on the *direction of the test* — the same document proves different things depending on whether you vouch from it or trace to it (Section 4.2). A procedure can generate impeccably reliable evidence that is *irrelevant* to the assertion you needed, and a tired auditor who confuses the two has gathered nothing. Ask always: *reliable evidence of what, exactly?*

**Sharpening "sufficient" — it is a function, not a number.** Sufficiency is driven by two things: (a) the **assessed risk of material misstatement** — higher risk demands more evidence; and (b) the **quality (appropriateness) of the evidence** — higher quality reduces the quantity needed. So there is no fixed sample size in the standard; "how much is enough" is a judgement that rises with risk and falls with quality. A common exam framing: *more* evidence of *lower* quality does not compensate for the *absence* of higher-quality evidence where the latter is obtainable and the risk is significant.

The second core idea — and the one that separates a professional from a clerk — is that the auditor does not think "let me check the numbers." He thinks in **assertions**. Every figure in the financial statements is management *asserting several distinct claims at once*. "Inventory ₹50 lakh" is really management asserting: *it exists, we own it, we counted it all, it's worth what we say, and we've disclosed it properly*. Each of those is a separate claim that can fail independently, and each needs its own evidence. Assertions are the auditor's coordinate system: they turn a vague "verify inventory" into a precise checklist of *what could be wrong and how I'd catch it*.

*Figure 1 — The chain from trust gap to signed opinion; evidence is the load-bearing middle.*



### 3. Why It's Built This Way — The Logic Behind Each Requirement

Why insist on *both* sufficiency and appropriateness? Because each guards against a different failure. If you demanded only quantity, an auditor could bury the file in thousands of internally-generated vouchers and claim diligence while proving nothing — volume of weak evidence is still weak. If you demanded only quality, an auditor might rely on one immaculate confirmation for a whole population and miss that it was unrepresentative. You need enough of the right kind.

Why *reliability*? Because evidence is only useful in proportion to how hard it would be to fake or distort. Management controls its own records; it does *not* control what an independent bank, customer, or lawyer will say. So evidence that originates *outside* the entity, or that the auditor *generates himself*, is inherently

harder for a dishonest management to corrupt. That single insight generates the entire reliability hierarchy in Section 4.

Why think in **assertions** rather than just "checking numbers"? Because misstatements are *directional and specific*. Management that wants to inflate profit will *overstate* assets and revenue and *understate* liabilities and expenses. So the risk on assets is chiefly **existence and valuation** (is it really there and really worth this?), while the risk on liabilities is chiefly **completeness** (have you hidden some?). If the auditor tests every account for every assertion with equal energy, he wastes effort where risk is low and under-tests where it is high. Assertions let him aim.

Why does SA 500 let the auditor use evidence produced by a **management's expert** (say, a valuer of property) but require him to *evaluate* that expert's competence, objectivity, and methods? Because the auditor cannot personally be a metallurgist, an actuary, and a real-estate valuer. Society accepts specialisation. But an expert *hired and paid by management* is not automatically independent, so the auditor cannot swallow the expert's report whole — he must satisfy himself the expert is competent and unbiased and that the work is appropriate. The requirement mirrors the founding logic: never trust an assertion just because someone with an interest made it.

**Why let corroborating evidence from different sources "reinforce," and why treat consistency as itself informative?** SA 500 tells the auditor that evidence is more persuasive when items from *different sources* or of *different nature* are consistent with one another — and, conversely, that *inconsistency* between sources is a signal that demands investigation, not a nuisance to be smoothed over. The logic is probabilistic: two independent lines of evidence pointing the same way are far less likely to be simultaneously wrong than one line, so consistency multiplies confidence. But the deeper reason the standard *names* inconsistency is that fraud and error announce themselves precisely as contradictions — a debtor's confirmation that disagrees with the ledger, an analytical ratio that will not reconcile, a bank letter revealing a guarantee management never mentioned. The auditor who *chases* contradictions catches misstatement; the auditor who explains them away with management's word has walked past the very thing the audit exists to find.

**Why is the cost–benefit of obtaining evidence a legitimate consideration — but never an excuse?** SA 500 acknowledges the auditor may consider the *relationship between the cost of obtaining evidence and its usefulness*. This is realistic — audits happen in finite time. But the standard immediately fences it: **difficulty, time, or cost is not in itself a valid basis for omitting a procedure for which there is no alternative, or for being satisfied with less-than-persuasive evidence**. The examiner tests exactly this trap: a candidate who writes "the auditor skipped confirmations because they were expensive/time-consuming" has stated a *violation*, not a judgement. Cost may steer *which* of several adequate procedures you choose; it can never justify an inadequate one.

## 4. Full Technical Content — The Standards, By the Risk Each One Solves

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### 4.1 SA 500 — Audit Evidence (the master standard)

**The risk it counters:** an opinion built on evidence that is too little or too weak to support it.

**Key requirements and their reasons:**



| Requirement of SA 500                                                                                                                           | What it means                                                         | Why it exists                                                                                          |
|-------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------|
| Obtain <b>sufficient appropriate</b> evidence                                                                                                   | Enough evidence of the right quality                                  | Directly closes the verification gap; a thin file cannot support an opinion                            |
| Consider <b>relevance and reliability</b>                                                                                                       | Does the evidence test the right assertion, and can it be trusted     | Irrelevant evidence tests nothing; unreliable evidence proves nothing                                  |
| When using <b>information produced by the entity</b> , evaluate whether it is sufficiently reliable — test its <b>accuracy and completeness</b> | E.g. an ageing report used to test receivables must itself be checked | Management-produced data can be manipulated to hide the very problem you're testing                    |
| When using a <b>management's expert</b> , evaluate competence, capability, objectivity; understand the work; assess appropriateness             | Don't rubber-stamp the valuer/actuary                                 | The expert is paid by management and may be biased or wrong                                            |
| If evidence is <b>inconsistent</b> or reliability is doubtful, determine what modifications or additions are needed                             | Chase contradictions; don't ignore them                               | A red flag ignored is how frauds slip through                                                          |
| <b>Selecting items for testing</b> — the auditor may select all items (100%), specific items, or use audit sampling                             | Choose the testing approach that fits the population and risk         | Efficiency: 100% only where few large or risky items; sampling projects a conclusion over a population |

**The audit procedures SA 500 recognises** (the toolkit — every procedure is just one of these):

| Procedure                    | What the auditor does                                            | Primary assertions it addresses                                 |
|------------------------------|------------------------------------------------------------------|-----------------------------------------------------------------|
| <b>Inspection</b>            | Examine records, documents, or physical assets                   | Existence (physical), rights/obligations, valuation (documents) |
| <b>Observation</b>           | Watch a process being performed (e.g. inventory count)           | Existence; whether controls actually operate                    |
| <b>External confirmation</b> | Obtain a direct written response from a third party (see SA 505) | Existence, rights/obligations, completeness of certain items    |
| <b>Recalculation</b>         | Check the arithmetic of documents/records                        | Accuracy / valuation                                            |
| <b>Reperformance</b>         | Independently execute a control or procedure                     | Whether a control operates (accuracy, completeness)             |
| <b>Analytical procedures</b> | Evaluate relationships among data; investigate deviations        | Completeness, occurrence, reasonableness overall                |
| <b>Inquiry</b>               | Seek information from knowledgeable persons                      | Supports all, but <b>weak alone</b> — must be corroborated      |

A crucial exam point: **inquiry on its own is never sufficient**. Asking management "is everything fine?" and being told "yes" is not evidence — it is the very assertion under test, repeated. Inquiry must always be corroborated by other procedures.

**Two distinctions the examiner exploits inside this toolkit:**



- **Inspection of an *asset* vs inspection of a *document*.** Inspecting a physical asset gives reliable evidence of its **existence** — but *not* automatically of the entity's **rights** (it may be held on lease/consignment), nor of its **valuation** (a machine that exists may be obsolete). Inspecting a *document* gives evidence about terms and amounts but its reliability depends on the document's nature and source. Never let "I saw it" collapse existence, ownership, and value into one tick.
- **Observation vs reperformance of a control.** Observation only tells you the control operated *at the moment you watched* — the storekeeper may behave differently on the days the auditor is not there. Repformance is stronger because the auditor *himself* re-executes the control over selected items and sees the outcome directly. This is why observation of an inventory count is coupled with the auditor's *own* test counts.

**Automated tools and the reliability of system-generated data.** Where the entity's records are produced by an IT system, the auditor may use computer-assisted techniques, but the reliability of the output depends on the reliability of the *controls* over the system that produced it (a link to SA 315). A report is only as trustworthy as the general and application controls behind it — do not treat a system printout as independent just because "the computer" made it; the computer did what management's programmers and inputs told it to.

## 4.2 Assertions — the auditor's coordinate system

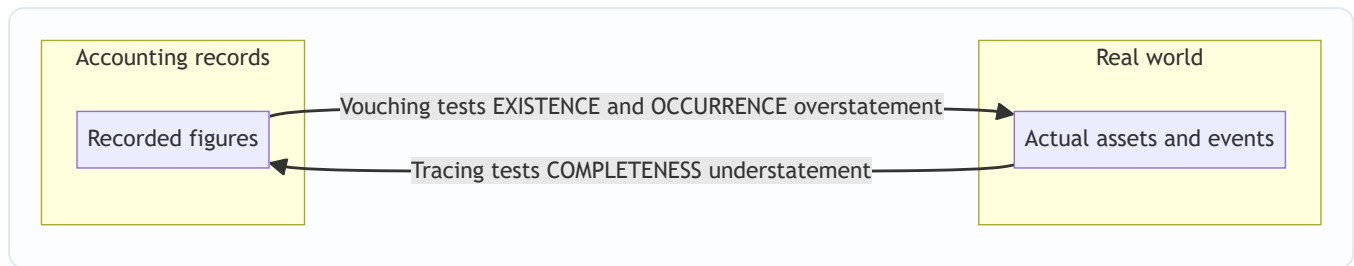
Assertions are grouped by what they attach to. The syllabus recognises assertions about **classes of transactions** (the P&L, during the period), about **account balances** (the balance sheet, at period end), and about **presentation and disclosure**.

| Assertion                                                                                                                                   | The claim management is making                                              | The misstatement risk it guards                                   | Typical evidence/procedure                                                          |
|---------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------|-------------------------------------------------------------------|-------------------------------------------------------------------------------------|
| <b>Existence</b> (balances) / <b>Occurrence</b> (transactions)                                                                              | The asset/liability really exists; the recorded transaction really happened | <i>Overstatement</i> — fictitious assets, fake sales              | Physical inspection, external confirmation, vouch to source                         |
| <b>Completeness</b>                                                                                                                         | <i>Everything</i> that should be recorded is recorded — nothing omitted     | <i>Understatement</i> — hidden liabilities, unrecorded sales      | Trace from source documents <i>into</i> the books; cut-off tests; analytical review |
| <b>Valuation / Accuracy &amp; Allocation</b>                                                                                                | Amounts are recorded at the correct value, correctly measured and allocated | Wrong figures, missing provisions, no impairment                  | Recalculation, valuation review, ageing, expert reports                             |
| <b>Rights &amp; Obligations</b>                                                                                                             | The entity owns the assets and owes the liabilities                         | Assets pledged/leased shown as owned; others' goods shown as ours | Title deeds, loan/charge registers, confirmations                                   |
| <b>Cut-off</b> (transactions)                                                                                                               | Transactions are recorded in the <i>correct accounting period</i>           | Sales/purchases pushed across year-end to shift profit            | Test last/first documents each side of year-end vs recording date                   |
| <b>Classification</b> (transactions)                                                                                                        | Transactions are recorded in the <i>proper accounts</i>                     | Capital expense booked as revenue, or vice versa                  | Trace to correct ledger; review of unusual postings                                 |
| <b>Presentation &amp; Disclosure</b> (incl. Classification, Occurrence and rights, Completeness, Accuracy and valuation, Understandability) | Items are correctly classified, described, and disclosed per the framework  | Misclassification; missing/misleading disclosure                  | Read statements against checklist; verify note support                              |

**Why direction matters (memorise the logic, not the list):** to *test overstatement* you start from the recorded figure and go *out* to reality — "you say this receivable exists; prove it" (vouching, confirmation). To *test understatement/completeness* you start from *reality* and come *into* the books — "here is a supplier invoice / a subsequent payment; is the liability recorded?" (tracing). This directionality is the single most tested idea in the whole topic.

**Cut-off is the assertion that lives *between* existence and completeness.** A sale dated 30 March but dispatched 3 April overstates *this year's* revenue (an occurrence/cut-off failure at the year-end boundary); a purchase received 29 March but invoiced 5 April, if unrecorded, understates liabilities (a completeness/cut-off failure). Cut-off testing looks at the *documents on either side of the closing date* — the last few Goods Dispatch Notes and Goods Received Notes of the year and the first few of the next — and checks that each landed in the period in which the underlying event occurred. Cut-off is a favourite because it simultaneously touches *two* directional tests at the one boundary where profit is easiest to manipulate.

Figure 2 — Vouching versus tracing: the direction of the test decides which assertion you prove.



**A worked micro-example of directionality (so it never slips):** Suppose you want to know whether *all* purchases are recorded (completeness). If you start from the *purchase ledger* and vouch each entry to a supplier invoice, you will confirm that what is *recorded* is genuine — but you will *never* discover a purchase that was simply *left out*, because a missing entry is not in the ledger to be selected. To catch omission you must start *outside* the ledger — from the *Goods Received Notes* or the *suppliers' statements* — and trace *into* the ledger. Same documents, opposite starting point, opposite assertion proved. If an exam scenario says "the auditor selected items from the sales register and traced them to dispatch notes to test completeness of sales," that is the **error** — that direction tests occurrence, not completeness.

### 4.3 Sources and the reliability hierarchy

SA 500 gives generalisations on reliability. Learn them as *principles*, each with a reason:

1. **External is more reliable than internal.** Evidence from an independent outside source (bank, customer, lawyer) is harder for management to fabricate than evidence management itself created. *Reason: management does not control third parties.*
2. **Effective internal controls make internal evidence more reliable.** If the entity's controls work, its own records are more trustworthy. *Reason: controls reduce the chance of error/manipulation.*
3. **Evidence the auditor obtains directly is more reliable than evidence obtained indirectly or by inference.** Watching the count beats being told the count happened. *Reason: fewer hands to distort it.*
4. **Documentary evidence beats oral.** A written confirmation beats a verbal assurance. *Reason: writing is verifiable and harder to deny later.*
5. **Original documents beat photocopies/faxes/scans.** *Reason: copies can be altered undetectably.*

A vital qualifier: reliability is a **generalisation, subject to exceptions**. An external confirmation can be unreliable if the third party is a related party or colludes; an original document can be a forgery. The auditor stays sceptical.

**The two dimensions the hierarchy actually collapses.** Every rule above is really one of two ideas: **source** (how far from management's control the evidence originates) and **form** (documentary/direct vs oral/inferred). When two rules pull in opposite directions, the examiner is testing whether you can weigh them. *Which is more reliable — an original internal document, or an oral statement from an independent outsider?* The internal document usually wins, because form (documentary, original) and the ability to re-examine it outweigh a fleeting, unrecorded outsider's remark; but a *written* confirmation from that outsider would beat the internal document. Reliability is a *combination* of source and form, not a single ladder — and questions that pit one dimension against the other separate the top scripts.

Figure 3 — Reliability increases as evidence moves away from management's exclusive control.

Auditor generated e.g. own recalculation and physical count

External direct to auditor e.g. bank confirmation

External held by entity e.g. supplier invoice on file

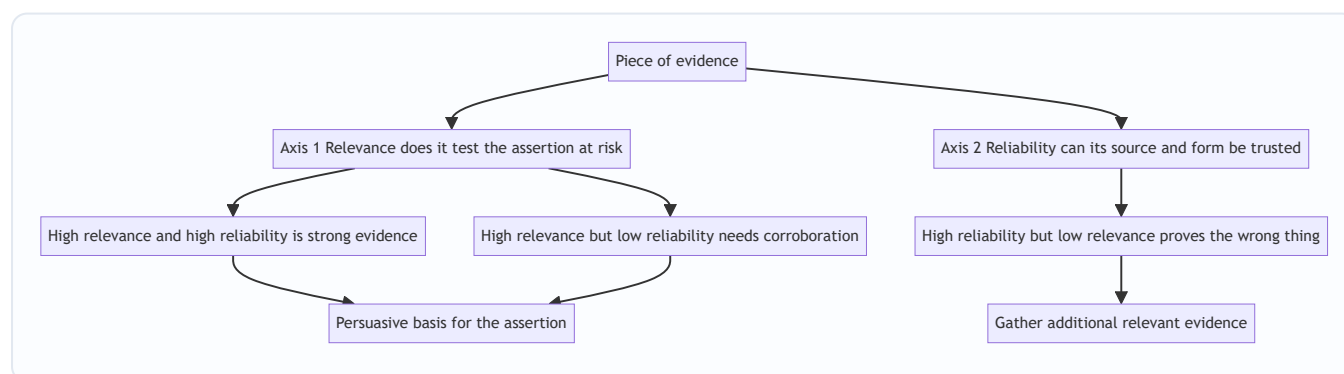
Internal under strong controls

Internal under weak controls

Oral management assertion lowest

**Relevance and reliability are independent axes — plot every piece of evidence on both.** A bank confirmation is highly *reliable* but *irrelevant* to whether inventory is obsolete. A rough internal stock-ageing sheet is highly *relevant* to obsolescence but of modest *reliability*. Strong evidence needs *both* — which is why the auditor often *combines* a reliable-but-narrow source with a relevant-but-weaker one until the pair, taken together, is persuasive. Thinking on two axes is what turns a checklist-follower into an auditor.

Figure 5 — Every piece of evidence must be judged on two independent axes; only the top-right corner is strong.



#### 4.4 SA 505 — External Confirmations

**The risk it counters:** management fabricating or overstating balances that only a third party can independently verify — chiefly receivables (existence) and bank balances/loans.

**Core mechanics:** - The auditor **controls the whole process** — selects who to confirm, designs the request, sends it, and receives the reply *directly* (not via management). *Reason: if management touches the request or the reply, the independence that makes confirmation powerful is destroyed.* - **Positive confirmation** asks the party to reply whether they agree *or not* — used when risk is higher. **Negative confirmation** asks the party to reply *only if they disagree* — weaker (silence is ambiguous), used only when risk is low, controls are strong, and large populations of small homogeneous balances exist. - **If management refuses to allow a confirmation:** the auditor inquires into the reasons, evaluates whether the refusal is reasonable, and performs **alternative procedures**. If the refusal is unreasonable, it is a **scope limitation** — potential qualification/disclaimer, and a signal of possible fraud. - **Non-responses:** perform alternative procedures (e.g. inspect subsequent cash receipts, shipping documents, sales invoices). - **Exceptions** (party disagrees) must be investigated — they may be timing differences or genuine misstatements. - **Doubts over reliability of a response** (e.g. it arrived via management, or looks altered): investigate; a response received electronically or orally may need verification of its source.

**The four conditions for negative confirmations — all must hold together.** The examiner frequently gives a scenario missing one condition and asks whether negatives are appropriate. All four are required: (a) the auditor assesses the **risk of material misstatement as low** and has obtained evidence on the operating effectiveness of **relevant controls**; (b) the population comprises a **large number of small, homogeneous balances**; (c) a **very low exception rate** is expected; and (d) the auditor is **not aware of circumstances** that would cause recipients to disregard the request. Fail any one — say, the receivables are risky or few and large — and negatives are *not* permissible. The deep reason: with a negative, *silence is treated as agreement*, so it only works where non-response genuinely signals "no problem," which is exactly the low-risk, high-volume, well-controlled setting the four conditions describe.

**"A positive confirmation with the balance blanked out" — the exam's favourite refinement.** A positive request can either state the balance and ask the party to agree, or leave the amount **blank** and ask the party to fill it in. The blank form is *more reliable* (the respondent must actually retrieve the figure rather than lazily tick "agree"), but yields *lower response rates* (more effort). Knowing this trade-off — reliability up, response down — is a mark-scoring nuance.

**Why confirmations prove existence brilliantly but completeness poorly.** A confirmation sent to a *recorded* debtor tests whether that recorded balance is real (existence/overstatement). It does *nothing* to reveal a debtor you *failed to record* — you cannot send a request to a customer who is not on your list. For *completeness* of liabilities, this flips into a genuine strength: confirming with *suppliers* (or requesting *supplier statements*) can reveal amounts the entity owes but did not record, because the supplier's records are independent of the entity's omissions. This asymmetry — confirm debtors for existence, confirm/reconcile suppliers for completeness — is precise exam gold.

**Timing.** Confirmations are usually sought *at or near* the year-end date. If obtained at an *interim* date, the auditor performs procedures to cover the *intervening period* (roll-forward), and this is acceptable only when control risk over the period is low enough to rely on the roll-forward.

## 4.5 SA 510 — Initial Audit Engagements: Opening Balances

**The risk it counters:** in a *first-year* audit, the closing balances of last year (which are this year's opening balances) were **never audited by this auditor**. If they are wrong, this year's figures and the profit are wrong too — yet they sit outside the current period's testing.

**Requirements:** - Read the **most recent prior-year financial statements** and the **predecessor auditor's report** for information relevant to opening balances. - Obtain **sufficient appropriate evidence** that opening balances contain no misstatement materially affecting the current statements, by: (a) determining whether prior-period closing balances were correctly brought forward; (b) determining whether **accounting policies are consistently applied**; and (c) obtaining evidence — either from the prior auditor's work, or by performing current-period procedures that *incidentally* give evidence on openings (e.g. collection of opening receivables proves their existence/valuation), or by specific procedures. - If opening balances contain a material misstatement not properly dealt with, or policies are inconsistent, **modify the opinion** (qualified or adverse). - If unable to obtain sufficient evidence on openings, that is a **scope limitation** → qualified opinion or **disclaimer on results of operations**.

**Why "which balance is easy vs hard" matters.** *Current* assets and liabilities (opening receivables, payables, inventory) tend to *turn over* within the new year, so ordinary current-period work throws off incidental evidence about them — opening receivables get collected (proving they existed and were collectible), opening inventory gets sold or consumed. *Non-current* items (opening fixed assets, long-term loans, retained earnings) do *not* turn over, so incidental evidence is scarce and the auditor may need to inspect prior-period *records and documents* directly, or rely on the predecessor's work. Recognising that non-current openings are the *harder* ones is the sophistication the examiner rewards.

**The predecessor-auditor nuance.** The current auditor may obtain evidence about openings by reviewing the *predecessor's working papers* — but this depends on the predecessor's professional competence and independence, and does *not* reduce the current auditor's own responsibility. If the prior report was **modified**, the auditor evaluates the effect of the matter giving rise to that modification on the *current* period's figures. A prior qualification does not automatically carry forward, but its underlying cause must be assessed for continuing effect.

#### 4.6 SA 550 — Related Parties

**The risk it counters:** transactions with parties connected to management (directors, their relatives, group companies) can be used to **siphon value, hide losses, or manufacture profit** on non-arm's-length terms — and because the parties are friendly, ordinary evidence (confirmations, contracts) may itself be tainted. Fraud famously hides in related-party dealings.

**Requirements:** - **Understand** the entity's related-party relationships and transactions; remain **alert** for undisclosed ones while inspecting records (e.g. bank confirmations revealing unknown guarantees, unusual transactions). - Where the framework requires **arm's-length** disclosure, obtain evidence about **management's assertion** that terms were equivalent to arm's length — do not accept the label at face value. - **Identified but previously undisclosed related parties/transactions** must be communicated to the team and treated as a **significant risk** — a red flag for fraud. - Obtain **written representations** from management that they have disclosed all related parties and transactions. - Evaluate the **business rationale** of significant related-party transactions outside the normal course — is it genuine, or a device to misstate/steal?

**Why related parties defeat the ordinary reliability hierarchy.** The whole reliability ladder rests on *independence* — an external confirmation is trusted because the outsider has no reason to lie for management. A related party has *every* reason to lie for management. So a confirmation from a group company or the MD's relative sits *outside* the protection the hierarchy assumes; it is external in *form* but not in *substance*. This is precisely why SA 550 forces the auditor to probe **business rationale** and **arm's-length substance** rather than rest on documentation — the documents themselves may be co-authored by both

sides of a sham. It is the clearest illustration in the syllabus that *substance over form* governs evidence, not the label on the source.

**Where to hunt for the *undisclosed* ones.** Because the danger is the relationship management *hides*, the auditor mines sources management does not curate for this purpose: bank confirmations (unexpected guarantees, co-signatories), the register of contracts/charges, minutes of board meetings, statutory filings of directors' interests, large or unusual year-end journal entries, and transactions with parties on *unusual terms* (interest-free loans, sales at odd prices, round-sum settlements). An undisclosed related party discovered here is a **significant risk** and a fraud indicator by definition.

#### 4.7 SA 570 — Going Concern

**The risk it counters:** financial statements are prepared assuming the entity will **continue in operation** (assets at cost, not fire-sale value; liabilities as normal). If that assumption is false and the company is about to fail, the *entire basis* of the statements is misleading — users lend and invest into a corpse.

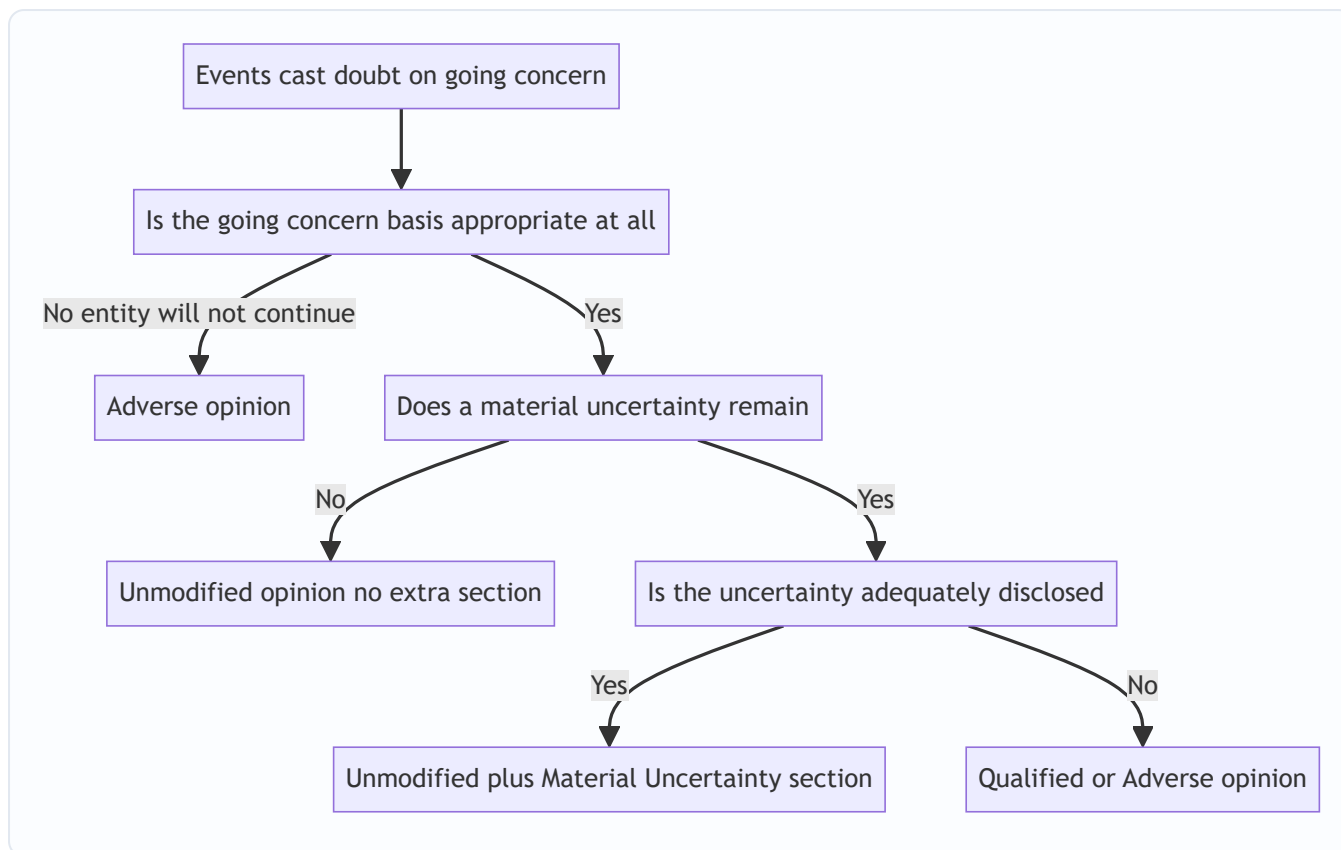
**Requirements:** - Management makes a **going-concern assessment**; the auditor **evaluates** it and remains alert throughout for **events or conditions** casting doubt (e.g. net-worth erosion, recurring losses, defaults on loans, inability to pay creditors, loss of a key market or licence, adverse legal judgments). - Where doubt exists, obtain **sufficient appropriate evidence** on whether a **material uncertainty** exists — evaluate management's plans (financing, asset sales, restructuring), test the **cash-flow forecast** and its assumptions, seek **written representations** on plans and their feasibility. - **Reporting decision tree:** - Use of the going-concern basis is *appropriate* but a **material uncertainty exists** and is **adequately disclosed** → unmodified opinion **with a separate "Material Uncertainty Related to Going Concern" section**. - Material uncertainty exists but **not adequately disclosed** → **qualified or adverse** opinion. - Going-concern basis is used but is **inappropriate** (entity will not continue) → **adverse** opinion. - Management **unwilling to make or extend** its assessment → possible scope limitation → **qualified/disclaimer**.

**Classifying the warning signs — the examiner expects the three buckets.** SA 570 groups events/conditions into: (a) **financial** — net liabilities/negative net worth, recurring operating losses, adverse key ratios, defaults on loan covenants or repayments, inability to pay creditors on due dates, withdrawal of supplier credit, arrears of dividends; (b) **operating** — loss of key management with no replacement, loss of a major market/licence/supplier/customer, labour difficulties, shortage of critical supplies; (c) **other** — non-compliance with capital or statutory requirements, pending legal/regulatory proceedings that may lead to unmet claims, changes in law/policy adverse to the entity. Being able to *sort* a scenario's facts into these buckets, and then note that *the significance of any of these may be mitigated by other factors* (e.g. a default offset by a firm refinancing commitment), is exactly the balanced reasoning the standard demands.

**Why the disclosed material uncertainty is *unmodified*, not qualified — the logic students always trip on.** If a material uncertainty exists but the statements *disclose it adequately*, the statements are *not wrong* — they honestly tell the user "we may not survive; here is why." The auditor's opinion is about whether the statements give a true and fair view, and a truthful disclosure of doubt *is* true and fair. So the opinion is **unmodified**; the auditor merely *draws attention* to the disclosure via a dedicated **Material Uncertainty Related to Going Concern** section. The opinion becomes **qualified/adverse only when the disclosure is inadequate** — i.e. the statements themselves are now *misleading*. The trigger for modification is always *a defect in the statements*, never the mere existence of uncertainty.

*Figure 4 — Going-concern reporting logic driven by the risk to users.*





## 4.8 SA 580 — Written Representations

**The risk it counters:** some matters (management's intentions, completeness of disclosures, knowledge of fraud) live *only inside management's head* — no external evidence exists. The auditor needs management to *put its assertions in writing* and thereby take formal responsibility.

**Key points — and the sharpest trap in the chapter:** - Obtain a written representation that management has **fulfilled its responsibility** for the financial statements and for providing **all relevant information and access**, and that **all transactions are recorded**. - Obtain specific representations required by other SAs (e.g. SA 240 fraud, SA 550 related parties, SA 570 plans). - **Date** near, but not after, the auditor's report; addressed to the auditor. - **Written representations are audit evidence — but they are NOT sufficient appropriate evidence on their own about the matters they concern.** A representation that receivables are collectible does not replace testing collectibility. *Reason: it is still a management assertion — the exact thing whose reliability is in question.* Representations *complement* other evidence; they never substitute for it. - If management **refuses** to provide a required representation, or the auditor **doubts management's integrity** such that representations are unreliable, this casts doubt on *all* representations and evidence — potentially a **disclaimer of opinion**.

**Why the date and addressee are exam facts, not clerical trivia.** The letter is dated *as near as practicable to, but not after*, the date of the auditor's report, and covers *all* financial statements and periods referred to in that report. The reason is that the auditor's report speaks *as at its date*, so the representations must cover events up to that point — a letter dated *after* the report would purport to give evidence the auditor did not have when he signed, and one dated *well before* leaves a gap in which subsequent events could arise unaddressed. The letter is addressed *to the auditor* and signed by those with appropriate responsibility for the financial statements (typically the CEO/CFO or equivalent) — because the representation only carries weight if made by people who actually bear that responsibility and knowledge.



**The "self-swallowing" reliability problem.** SA 580 contains a subtle loop the examiner probes: if the auditor concludes there is *sufficient doubt about management's integrity or competence* that written representations are unreliable, then the representations on *other* matters are also thrown into doubt — because they come from the same untrustworthy source. And if management refuses to provide the *basic* representations about its own responsibility (for the statements, for information/access), the auditor **cannot even rely on other representations**, and this ordinarily forces a **disclaimer of opinion**. The representation letter cannot pull itself up by its own bootstraps: its value depends entirely on the integrity of the hand that signs it.

#### 4.9 Management's expert vs auditor's expert (SA 500 / SA 620 link)

- A **management's expert** (valuer, actuary, engineer engaged *by management*) produces information used *as evidence*; under SA 500 the auditor must evaluate the expert's **competence, capability and objectivity**, understand the expert's work, and assess whether it is **appropriate** for use as audit evidence.
- An **auditor's expert** (engaged *by the auditor*, governed by **SA 620**) helps the auditor *obtain* evidence in a specialised field. Confirm the exact scope in ICAI material, but the guiding logic is identical: expertise the auditor lacks may be borrowed, but responsibility for the opinion is **never** delegated.

**The distinction laid out — who engages, who is tested, whose responsibility.** The two experts differ on *engager, governing standard, and what the auditor evaluates*, but converge on *non-delegation*:

| Dimension             | Management's expert                                                                                         | Auditor's expert                                                                                              |
|-----------------------|-------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------|
| Engaged and paid by   | Management                                                                                                  | The auditor                                                                                                   |
| Governing standard    | SA 500 (using their work as evidence)                                                                       | SA 620                                                                                                        |
| Independence concern  | High — paid by the party being audited; objectivity must be scrutinised                                     | Lower — but auditor still assesses objectivity and competence                                                 |
| What the auditor does | Evaluate competence, capability, objectivity; understand the work; assess appropriateness of it as evidence | Determine need; evaluate competence, capabilities, objectivity; agree scope; evaluate adequacy of work        |
| Effect on the opinion | Auditor remains solely responsible for the opinion                                                          | Auditor remains solely responsible for the opinion; <b>no reference</b> to the expert in an unmodified report |

The last row is the punchline for both: **the audit opinion is the auditor's alone**. An unmodified report does *not* mention the auditor's expert, because doing so might be misread as diluting or splitting the auditor's responsibility.

## 5. Applied Scenarios — Reasoning to the Right Response

**Scenario A — The confirmation that came back through the finance manager.** An auditor sends positive confirmations to 40 debtors. Thirty replies arrive; but the auditor notices *all* replies were collected by the client's finance manager and handed over in a bundle, several on fresh identical letterheads. *Reasoning:* SA 505's power comes from the auditor **controlling the process** and receiving replies **directly**. Here management sat in the pipeline, so the confirmations are compromised — reliability is doubtful (Section 4.4,

4.3). *Response*: treat these as unreliable; re-send under the auditor's own control, verify the third parties' addresses independently, and perform **alternative procedures** (subsequent receipts, dispatch documents). The bundled fresh letterheads are a **fraud red flag** — heighten scepticism across the file.

**Scenario B — First-year audit, healthy-looking books.** A newly appointed auditor for FY 2025-26 finds current-year work clean. But opening inventory of ₹80 lakh and opening receivables were audited by a predecessor whose working papers management "cannot locate." *Reasoning*: SA 510 — opening balances were never audited by *this* auditor, and if wrong they distort current profit. Absence of predecessor evidence means the auditor must get evidence *himself*. *Response*: perform current-period procedures that shed light on openings — e.g. examine sale/consumption of opening inventory and collection of opening receivables (proving existence/valuation), verify consistent accounting policies. If he *cannot* obtain sufficient evidence on openings, that is a **scope limitation** → **qualified opinion or disclaimer on results of operations**, even though the current-year testing looked fine.

**Scenario C — Profitable sales to a company owned by the MD's brother.** Year-end sales spike; 30% of Q4 revenue is to Zeta Ltd, owned by the managing director's brother, at unusually high prices, with payment terms of 270 days. *Reasoning*: SA 550 — a related party, a transaction *outside normal terms*, used potentially to **inflate revenue and profit**. The friendly counterparty means a confirmation from Zeta may itself be unreliable. *Response*: treat as a **significant risk**; evaluate the **business rationale**; test whether goods actually moved (occurrence/existence) and whether they might be returned next year (window-dressing); scrutinise the arm's-length assertion rather than accept the disclosure label; obtain **written representation** (SA 580) that all related parties/transactions are disclosed — while remembering that representation is **not sufficient on its own**. Assess disclosure adequacy for presentation.

**Scenario D — The forecast that saves the company on paper.** A manufacturer has negative net worth and defaulted on a term loan. Management's cash-flow forecast shows recovery based on a "new large export order" and a promoter capital infusion, neither yet documented. *Reasoning*: SA 570 — clear events casting **going-concern doubt**. Management's plans rest on *unsupported* assumptions. *Response*: test the forecast's assumptions; seek **evidence** for the export order (contract) and the infusion (commitment); obtain **written representation** on feasibility of plans. Then apply the decision tree: if a **material uncertainty** remains and is **adequately disclosed**, unmodified opinion **plus a Material Uncertainty section**; if inadequately disclosed, **qualified/adverse**; if the basis itself is untenable, **adverse**.

**Scenario E — The obsolescence hidden behind a valid confirmation (worked, numerical).** Bragadeesh Ltd reports receivables of ₹120 lakh and inventory of ₹90 lakh. The auditor obtains clean positive confirmations for ₹100 lakh of the receivables (the rest are covered by subsequent receipts). Confident, a junior proposes signing off both balances. *Reasoning*: The confirmations are reliable evidence of **existence** of receivables — but they say *nothing* about **valuation** (whether the debtors will actually pay) and *nothing at all* about **inventory**. Existence ≠ valuation, and evidence for one account is not evidence for another (relevance, Section 2). Digging in: ₹22 lakh of the confirmed receivables are aged beyond 180 days from a customer now in default — a **valuation/collectibility** problem the confirmation cannot cure. Separately, ₹15 lakh of inventory is a discontinued product line unsold for 14 months — an **NRV/valuation** problem needing recalculation of cost vs net realisable value. *Self-check on the numbers*: if NRV of the discontinued stock is only ₹4 lakh, inventory is overstated by ₹15 – ₹4 = **₹11 lakh**; if the ₹22 lakh defaulted debt needs a 100% provision, receivables are overstated by **₹22 lakh**. Combined overstatement of profit ≈ **₹33 lakh** — the confirmations, however clean, missed all of it. *Response*: the auditor performs *valuation* procedures (ageing analysis, subsequent-receipt review for the specific debtor, NRV testing for the stock) — a different assertion

demands a different procedure. *Lesson the examiner is testing:* never let reliable evidence of *existence* be smuggled in as evidence of *valuation*, and never let evidence about one balance leak across to another.

#### **Scenario F — Weak evidence stacked high vs strong evidence used sparingly (worked, comparative).**

Two audit seniors verify the same ₹50 lakh trade-payables balance. Senior 1 vouches **300** internally-generated payment vouchers, all matching the ledger, and concludes payables are fairly stated. Senior 2 obtains **12** supplier statements directly and reconciles them, uncovering **₹6 lakh** of goods received before year-end but not recorded. *Reasoning:* Senior 1 tested only *recorded* items in the *overstatement* direction — a huge *quantity* of *internally-sourced* evidence that structurally *cannot* detect the real risk for a liability, which is **completeness/understatement** (Sections 3, 4.2). Senior 2 used *fewer* but *external* items in the *understatement* direction (tracing from the supplier's independent record *into* the books) and found exactly what the risk predicted. *Self-check:* 300 > 12 in quantity, yet Senior 1's evidence is neither *appropriate* (wrong source, wrong direction) nor therefore *sufficient* for the assertion that mattered; Senior 2's 12 external reconciliations are worth more than Senior 1's 300 vouchers. *Lesson:* **sufficiency is measured only after appropriateness** — quantity of the wrong kind of evidence, in the wrong direction, is not a substitute for a little of the right kind. This is the single cleanest illustration of "sufficient ≠ appropriate" and "direction of testing" fused into one fact pattern.

#### **Scenario G — The examiner's tweak: what if management offers to obtain the confirmations for you?**

Same facts as Scenario A, but *before* sending anything, the client's CFO says: "Our staff know the customers — let us print, post, and collect the confirmation replies to save time; you're welcome to review them after." *Reasoning:* This is the *pre-emptive* version of the compromise, and it is a **refusal to allow the auditor to control the process** dressed as a courtesy. Accepting it would surrender the very independence that gives confirmation its reliability (SA 505). *Response:* politely decline; the auditor *must* prepare, dispatch, and receive replies himself. If management *insists* and will not permit auditor-controlled confirmation, treat it as **management refusal** → inquire into reasons, assess reasonableness, perform **alternative procedures**, and if the refusal is unreasonable, escalate to a **scope limitation** (possible qualification/disclaimer) — and note it as a **fraud risk indicator** under SA 240. *Lesson:* the trap is not only a tainted reply that *arrives* through management; it is any arrangement that puts management *in the pipeline at all*, however helpfully framed.

## **6. Procedure & Documentation Summary**

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For each material area the auditor should be able to show a clean chain: **assertion at risk → procedure chosen → evidence obtained → conclusion.**

| Step                        | What is done                                                                                        | What is documented                                         |
|-----------------------------|-----------------------------------------------------------------------------------------------------|------------------------------------------------------------|
| Identify assertions at risk | Map each material balance/class to its high-risk assertions                                         | Risk-assessment working papers (links to SA 315)           |
| Select procedures           | Choose from inspection, observation, confirmation, recalculation, reperformance, analytics, inquiry | Audit programme with rationale                             |
| Confirmations (SA 505)      | Auditor-controlled requests; track responses, exceptions, non-responses, refusals                   | Confirmation control log; alternative-procedure notes      |
| Opening balances (SA 510)   | Prior statements/report read; consistency and B/F checked; evidence obtained                        | Notes on predecessor work and current-period corroboration |
| Related parties (SA 550)    | Understand relationships; test significant/abnormal transactions; rationale                         | List of related parties; significant-risk memos            |
| Going concern (SA 570)      | Evaluate events, plans, forecast; conclude on material uncertainty                                  | Going-concern assessment file; forecast testing            |
| Written reps (SA 580)       | Obtain dated, signed representation letter                                                          | The representation letter on file                          |
| Evaluate sufficiency        | Step back — is evidence sufficient <i>and</i> appropriate; chase inconsistencies                    | Conclusion memo per area and overall                       |

**Documentation reason (link to SA 230):** if it is not documented, it is treated as not done. The file is the auditor's defence when the "what did you check?" question comes.

**Selecting items for testing — the third layer the programme must record.** Beyond *which procedure*, the auditor must record *which items* the procedure was applied to and *why*, choosing among three approaches recognised in SA 500: (a) **select all items (100% examination)** — appropriate where the population is small but each item is large, or a single significant risk warrants it, or automated processing makes it cost-effective; (b) **select specific items** — the large, unusual, risky, or key items chosen by judgement (note: this is *not* sampling and its results **cannot be projected** over the untested remainder); and (c) **audit sampling** — apply the procedure to less than 100% such that every unit has a chance of selection, enabling a conclusion about the *whole* population. Confusing "specific items" with "sampling" — and in particular *projecting* a conclusion from a judgementally-picked handful of big items onto the whole population — is a documented exam error.

## 7. Connections

- **SA 315 / SA 330** (risk assessment and responses): assertions and risks identified there *drive* which evidence you gather here — this chapter is the "response" half.
- **SA 240** (fraud): related parties (550), confirmation refusals (505), and doubts over management integrity (580) are all fraud signals; evidence is how fraud risk is answered.
- **SA 320** (materiality): "sufficient" is measured against materiality — you gather more where a misstatement would matter.
- **SA 230** (documentation): evidence unrecorded is evidence unheld.
- **SA 501** (specific considerations — inventory, litigation, segments): a companion to SA 500 that mandates *attending the physical inventory count*, seeking *legal confirmations* for litigation, and evidence for segment

disclosures — the concrete application of SA 500's toolkit to the trickiest balances.

- **SA 530** (audit sampling): the mechanics behind "select a sample" in SA 500 — how to design the sample and *project* the results and misstatements over the population.
- **SA 560 / SA 580** (subsequent events and representations): events after year-end are themselves evidence about conditions at the balance-sheet date (e.g. a debtor who pays in April evidences valuation at 31 March).
- **SA 700/705/706** (the report): sufficiency failures and scope limitations from 505/510/570/580 convert directly into **modified opinions** and the going-concern section.
- **SA 620** (auditor's expert): the mirror image of the management's-expert rule in SA 500.

## 8. Traps & Examiner Tricks

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- **"Inquiry alone is enough."** Never. Inquiry must be corroborated. Classic wrong answer.
- **Written representations as a substitute.** SA 580 reps are evidence but **never sufficient on their own** about the matters they cover. If a question says the auditor "relied on the management letter" for collectibility/existence, that is the error.
- **Negative vs positive confirmations.** Negatives are *weak* (silence ≠ agreement) and allowed only under low risk + strong controls + many small homogeneous balances + very low expected exception rate. Don't recommend negatives for risky receivables. Missing *any one* of the four conditions kills the negative form.
- **Confirmation received via management** — or *offered to be sent by* management. Both destroy reliability; the auditor must control the *entire* process and receive replies directly.
- **Sufficient ≠ appropriate.** A huge file of weak internal vouchers is not sufficient appropriate evidence. Quantity cannot cure poor quality — sufficiency is judged *only after* appropriateness.
- **Existence ≠ valuation; and evidence for one account ≠ evidence for another.** A clean receivables confirmation proves existence, not collectibility, and says nothing about inventory (Scenario E).
- **First-year audit smugness.** Clean current-year work does **not** cover opening balances (SA 510). Missing opening evidence = scope limitation. Remember *non-current* openings are the hard ones — current openings self-evidence as they turn over.
- **Going-concern reporting mix-up.** Adequately-disclosed material uncertainty → **unmodified opinion with a Material Uncertainty section**, *not* a qualification. Qualification/adverse only when disclosure is inadequate or the basis is wrong. The trigger for modification is a *defect in the statements*, never the mere existence of doubt.
- **Reliability rules are generalisations.** An external confirmation from a colluding related party, or an "original" that is forged, can still be unreliable. Scepticism overrides the hierarchy — related parties are *external in form but not in substance*.
- **Direction of testing.** Overstatement (existence) → vouch outward. Understatement (completeness) → trace inward. Reversing these — e.g. "traced from the sales register to dispatch notes to test *completeness*" — is a favourite trap (that direction tests occurrence).
- **Cut-off is its own assertion.** Sales/purchases shifted across the year-end line manipulate profit; test the documents on *both* sides of the closing date.
- **Cost/time as an excuse.** "Skipped confirmations because they were costly/time-consuming" is a *violation*, not a judgement — difficulty alone never justifies omitting a procedure with no alternative.

- **100% vs specific items vs sampling.** A judgemental pick of large items is *not* a sample and its result *cannot be projected* over the rest of the population.
- **Management's expert ≠ auditor's expert.** Different engager, different standard (SA 500 vs SA 620), same non-delegation of responsibility — and an unmodified report never *mentions* the auditor's expert.
- **Refusal to confirm / refusal to represent.** Both are red flags: evaluate reasonableness, do alternative work, and consider scope limitation — potentially disclaimer if integrity is in doubt. Refusal of the *basic* responsibility representations ordinarily forces a **disclaimer**.
- **Written-representation dating.** As near as practicable to, *but not after*, the date of the auditor's report — a letter dated after the report is wrong.

## 9. First-Principles Recap

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Start again from the wound and rebuild the whole chapter in one breath. Owners cannot verify managers, so an independent auditor must give assurance — but the auditor arrives after the fact and is handed records made by the very people under scrutiny. His only escape from that trap is **evidence**: something beyond management's say-so. That evidence must be **sufficient** (enough) and **appropriate** (relevant + reliable), because too little or too weak cannot support an opinion (SA 500) — and because evidence is *persuasive, not conclusive*, he stacks probabilities until a reasonable person would be convinced, not until certainty is reached. Reliability rises the further evidence sits from management's control — external and auditor-generated beats internal and oral — so the auditor prizes third-party confirmations and things he checks himself, while remembering that source and form are *two* axes that can pull apart, and relevance is a *third*. He organises the whole search by **assertions**, because each figure makes several separable claims and misstatement is directional: assets and revenue tend to be overstated (test existence by vouching *outward*), liabilities understated (test completeness by tracing *inward*), and profit is most easily shifted at the *cut-off* boundary. Where only a third party knows the truth, he confirms directly and controls the process (SA 505) — knowing confirmations prove existence brilliantly but completeness poorly. Where the year is his first, he cannot ignore unaudited opening balances (SA 510), and the non-current ones are the hardest. Where transactions run through friendly related parties, he treats them as a significant fraud risk and probes rationale over documentation, because a related party is external in form but not in substance (SA 550). Where the entity may not survive, he tests the very assumption the statements rest on and reports the uncertainty precisely — unmodified with a Material Uncertainty section when it is honestly disclosed (SA 570). Where truth lives only in management's mind, he takes it in writing — but never lets that writing replace real evidence, and never trusts it if the hand that signs it lacks integrity (SA 580). And where he lacks the expertise, he borrows a specialist but never delegates the opinion. Every rule is the same rule: *trust nothing merely because an interested party asserts it; get evidence proportionate to the risk, and chase every contradiction to its source.*

## 10. Quick-Revision Sheet

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**Master rule (SA 500):** Sufficient (quantity) + Appropriate (relevance + reliability) audit evidence → reasonable basis for opinion. Evidence is **persuasive, not conclusive**; sufficiency is judged *after* appropriateness, against *risk × materiality*.

**Procedures (memory: "I ORREAL"):** Inspection, Observation, Recalculation, Reperformance, External confirmation, Analytical procedures, Inquiry. *Inquiry alone never sufficient.* (Inspection of an asset ≠ proof of rights/value; observation ≠ reperformance.)



**Assertions & direction:** - Existence/Occurrence → overstatement → **vouch outward** (books → reality). - Completeness → understatement → **trace inward** (reality → books). - **Cut-off** → profit shifted at the year-end line → test documents both sides of the date. - Valuation, Rights & Obligations, Classification, Presentation & Disclosure round out the set.

**Reliability hierarchy (high → low):** Auditor-generated → External direct to auditor → External on entity's file → Internal (strong controls) → Internal (weak controls) → Oral. *All are generalisations, subject to exceptions.* Reliability = **source × form**; **relevance** is a separate axis again.

**Selecting items:** 100% examination / specific items (judgemental — *cannot project*) / audit sampling (*can project*, SA 530).

| SA         | Title                                  | Risk it counters                                            | Signature rule                                                                                                                   |
|------------|----------------------------------------|-------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------|
| <b>500</b> | Audit Evidence                         | Opinion on thin/weak evidence                               | Sufficient + appropriate; inquiry alone insufficient; evaluate entity data & management's expert; cost never an excuse           |
| <b>501</b> | Specific Considerations                | Hard balances (inventory, litigation, segments)             | Attend inventory count; legal confirmation for litigation                                                                        |
| <b>505</b> | External Confirmations                 | Fabricated balances only<br>3rd party can verify            | Auditor controls process, receives replies directly; positive vs negative (4 conditions); refusal = scope limit; do alternatives |
| <b>510</b> | Opening Balances (initial engagements) | First-year unaudited openings distort current figures       | Check B/F + policy consistency; get evidence (non-current = hard); else qualify/disclaim on results                              |
| <b>530</b> | Audit Sampling                         | Testing less than 100% credibly                             | Every unit a chance of selection; project sample + misstatements over population                                                 |
| <b>550</b> | Related Parties                        | Value siphoning / manufactured profit via connected parties | Treat undisclosed RP as significant risk; test rationale & arm's-length (substance over form); written rep                       |
| <b>570</b> | Going Concern                          | Statements assume survival that may be false                | Evaluate events/plans/forecast; disclosed material uncertainty → unmodified + MU section; else qualify/adverse                   |
| <b>580</b> | Written Representations                | Matters known only to management                            | Get it in writing; dated not-after the report; <b>never sufficient alone</b> ; refusal/doubt → possible disclaimer               |
| <b>620</b> | Auditor's Expert                       | Auditor lacks specialised expertise                         | Borrow expertise, never delegate the opinion; unmodified report doesn't mention the expert (confirm scope in ICAI material)      |

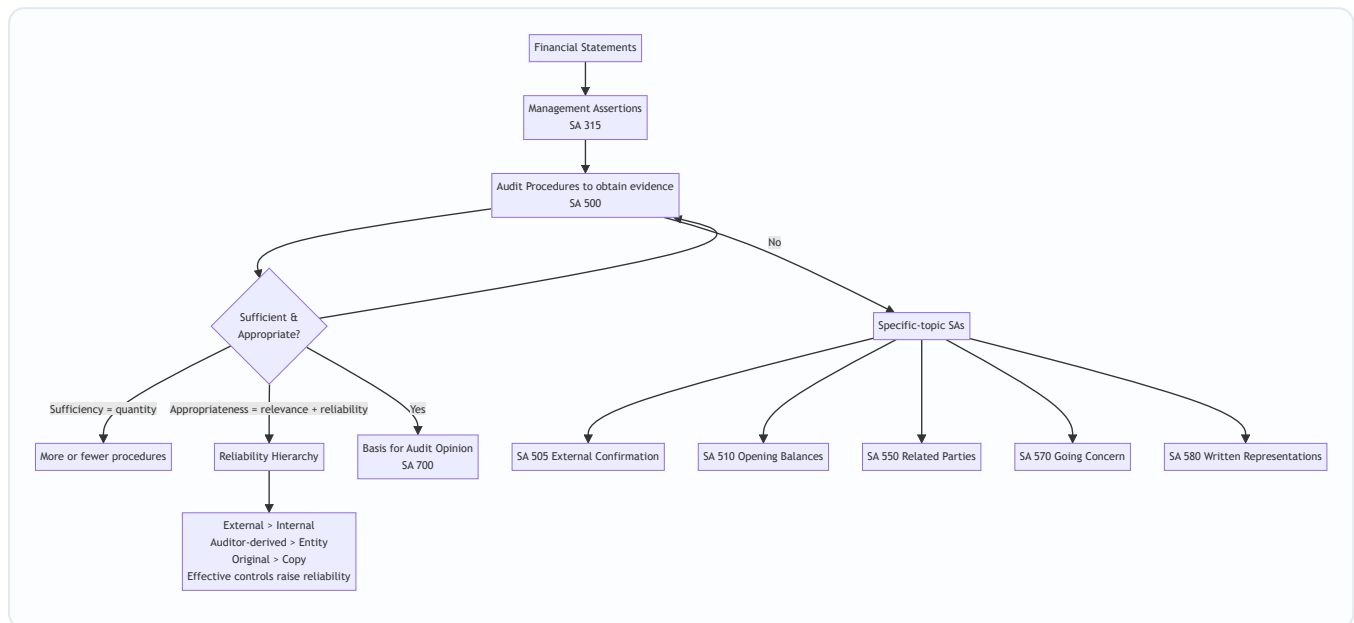
**Reporting quick-links:** confirmation refusal, missing opening evidence, undisclosed going-concern uncertainty, refused representation → all can force **modified opinions** (SA 705) or the **Material Uncertainty** section (SA 570).

*If any SA number or the exact split of presentation/disclosure assertions differs in the latest ICAI module, confirm against current ICAI material — the underlying logic in this chapter holds regardless.*

# Q&A — Audit Evidence

CA Intermediate — Auditing & Ethics | Chapter: Audit Evidence Coverage: SA 500, SA 501, SA 505, SA 510, SA 550, SA 560, SA 570, SA 580 (with links to SA 230, SA 315/330). All standards are Indian Standards on Auditing issued by ICAI. No standard cited here is invented.

## How the pieces fit (process map)



## Section A — Concept Check (with answers)

**A1. Define "audit evidence" and state its two quality dimensions.** Audit evidence is all information used by the auditor in arriving at the conclusions on which the audit opinion is based (**SA 500**). It includes information in the accounting records *and* other information. Its two quality dimensions are **sufficiency** (measure of *quantity*, affected by risk of material misstatement and quality of evidence) and **appropriateness** (measure of *quality* — its **relevance** and **reliability** in supporting the conclusions).

**A2. What are financial statement assertions? Name the three categories under SA 315.** Assertions are representations by management, explicit or otherwise, embodied in the financial statements. The three categories are: (i) assertions about **classes of transactions and events** (occurrence, completeness, accuracy, cut-off, classification); (ii) assertions about **account balances** at period end (existence, rights and obligations, completeness, valuation and allocation); and (iii) assertions about **presentation and disclosure**.

**A3. State the reliability hierarchy of audit evidence (SA 500).** Reliability is influenced by source and nature. Generalisations (subject to exceptions): (a) evidence from **independent external sources** is more reliable than internally generated; (b) internally generated evidence is more reliable when related **controls are effective**; (c) evidence obtained **directly by the auditor** (e.g., observation) is more reliable than obtained indirectly/by inference; (d) evidence in **documentary form** (paper/electronic) is more reliable than oral; (e) **original documents** are more reliable than photocopies or facsimiles.



**A4. List the audit procedures for obtaining evidence.** Under SA 500 and SA 330: **Inspection, Observation, External Confirmation, Recalculation, Reperformance, Analytical Procedures, and Inquiry.** Inquiry alone does not provide sufficient appropriate evidence and must be corroborated.

**A5. Distinguish "relevance" from "reliability".** Relevance deals with the **logical connection** between the procedure and the assertion tested (e.g., inspecting inventory tests *existence*, not necessarily *completeness*). Reliability deals with the **trustworthiness** of the evidence based on its source and nature. A piece of evidence must be both relevant and reliable to be appropriate.

**A6. When may the auditor use information produced by a management's expert (SA 500)?** When such information is used as audit evidence, the auditor shall, to the extent necessary, (a) evaluate the **competence, capabilities and objectivity** of the expert; (b) obtain an understanding of the **work** of that expert; and (c) evaluate the **appropriateness of the expert's work** as audit evidence for the relevant assertion.

**A7. What is a positive vs a negative external confirmation request (SA 505)?** A **positive** request asks the party to respond in **all cases** — agreeing or disagreeing — giving more reliable evidence. A **negative** request asks the party to respond **only if they disagree**; a non-response provides only weak evidence and is used only when risk is low, controls are effective, a large number of small homogeneous balances exist, and a low exception rate is expected.

**A8. What are "written representations" and can they substitute for other evidence (SA 580)?** Written representations are written statements by management to confirm certain matters or support other evidence. They are **necessary** audit evidence but **do not by themselves** provide sufficient appropriate evidence; nor do they affect the nature/extent of other evidence the auditor obtains.

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## **Section B — Applied Scenarios (situation → audit response with reasoning)**

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**B1. Situation:** For trade receivables, the client provides an internally-generated ageing schedule and refuses to allow external confirmations, saying "the ledger is enough." **Response & reasoning:** Per **SA 505**, external confirmation is more reliable (independent external source) than internal records. If management **refuses to allow** a confirmation request, the auditor shall inquire into reasons, evaluate their validity, and evaluate implications on assessed risk and on the nature/timing/extent of other procedures. If reasons are unreasonable, or alternative procedures cannot yield sufficient appropriate evidence, communicate with those charged with governance (SA 260) and consider implications for the opinion (SA 705).

**B2. Situation:** A confirmation reply is received by fax and appears altered near the balance amount. **Response & reasoning:** **SA 505** — the auditor must consider the **reliability** of responses. Factors doubting reliability (indirect route, altered figures) require the auditor to obtain **further evidence** (e.g., contact the confirming party directly, verify address/source). If reliability cannot be established, treat as a non-response and perform alternative procedures.

**B3. Situation:** It is a first-year audit (a new appointment). The auditor must deal with opening balances of inventory and fixed assets. **Response & reasoning:** **SA 510** — obtain sufficient appropriate evidence that (a) opening balances contain no misstatements materially affecting current statements, and (b) appropriate **accounting policies** are consistently applied. Read the **predecessor auditor's report** and financials, review prior-year working papers where permitted, and perform current-year procedures that also give evidence of opening balances (e.g., current collections evidence opening receivables). If opening balances are misstated, or a scope limitation exists, modify the opinion under SA 705.

**B4. Situation:** During audit, you find the entity sold goods to a company owned by the managing director's brother at a price 40% below market. **Response & reasoning: SA 550** (Related Parties) — a **significant related party transaction outside the normal course of business**. Inspect underlying contracts for business rationale, evaluate whether it may indicate fraud, confirm terms, evaluate proper **authorisation and approval** (Section 188, Companies Act 2013), and check **disclosure** adequacy (AS 18 / Ind AS 24). Obtain a written representation (SA 580) that related parties and transactions are fully disclosed.

**B5. Situation:** The company has negative net worth, defaulted on loan repayments, and lost its largest customer. **Response & reasoning: SA 570** (Going Concern) — these are **financial/operating events casting significant doubt**. Evaluate management's assessment covering at least 12 months from the balance sheet date, obtain cash-flow forecasts, review borrowing facilities and management's plans, and obtain **written representations** on feasibility of plans. If a **material uncertainty** exists and is adequately disclosed → unmodified opinion with a **"Material Uncertainty Related to Going Concern"** section. If not disclosed → qualified/adverse. If going concern assumption is inappropriate → **adverse** opinion.

**B6. Situation:** Inventory is material; management values a portion using an actuarial-type valuation model prepared by an in-house engineer. **Response & reasoning:** The engineer is a **management's expert**. Under **SA 500**, evaluate the expert's competence, capabilities and objectivity; understand the model, assumptions and source data; and test the appropriateness of the output as evidence for the **valuation** assertion. Do not rely blindly; corroborate key inputs. For physical inventory count attendance, apply **SA 501**.

**B7. Situation:** Management gives an oral assurance that all liabilities are recorded and declines to put it in writing. **Response & reasoning: SA 580** — the auditor **shall request written representations** for matters material to the statements where other evidence cannot reasonably be expected to exist. If management **refuses to provide** requested written representations, this is a **scope limitation**; the auditor shall discuss with management, re-evaluate integrity, and **disclaim** or otherwise modify the opinion, since reliability of other representations also becomes doubtful.

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## Section C — Past-Paper-Style Descriptive Questions (model answers)

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**C1. "Sufficiency and appropriateness of audit evidence are interrelated." Explain. (SA 500)** Sufficiency is the measure of the **quantity** of audit evidence. The quantity needed is affected by the auditor's **assessment of the risks of material misstatement** (higher risk → more evidence) and by the **quality** of the evidence (higher quality → less may be required). Appropriateness is the measure of the **quality** of evidence — its relevance and reliability. The two are interrelated: merely obtaining more evidence (sufficiency) cannot compensate for poor quality (appropriateness). The auditor must obtain evidence that is **both** sufficient and appropriate to reduce audit risk to an acceptably low level and to draw reasonable conclusions supporting the opinion. Professional judgement and professional scepticism govern the assessment of whether enough appropriate evidence has been obtained.

**C2. Explain the audit procedures used to obtain audit evidence under SA 500 / SA 330.** (i) **Inspection** — examining records/documents (internal or external) or physical examination of an asset; reliability varies with nature and source. (ii) **Observation** — watching a process or procedure performed by others (e.g., inventory count); limited to the point in time observed. (iii) **External Confirmation** — direct written response from a third party (SA 505). (iv) **Recalculation** — checking mathematical accuracy of documents/records. (v) **Reperformance** — the auditor's independent execution of procedures or controls originally performed as part of internal control. (vi) **Analytical Procedures** — evaluation through analysis of plausible relationships

among financial and non-financial data. (vii) **Inquiry** — seeking information from knowledgeable persons; must be **corroborated** as it is not sufficient alone. These may serve as risk assessment procedures, tests of controls, or substantive procedures.

**C3. Write a note on external confirmation, its types and the auditor's duties on management refusal.**

**(SA 505)** External confirmation is audit evidence obtained as a **direct written response** to the auditor from a third party (the confirming party), in paper or electronic form. Because it comes from an independent external source and directly to the auditor, it is highly reliable. **Types:** *positive* (respond in all cases) and *negative* (respond only on disagreement). The auditor **maintains control** over the confirmation process — selecting items, designing requests, sending them, and receiving responses. On **management's refusal** to allow a confirmation: inquire into reasons and evaluate their validity and reliability implications; perform **alternative procedures**; if reasons are unreasonable or alternatives are inadequate, communicate to those charged with governance and consider the impact on the opinion. The auditor must also evaluate whether **results** of confirmations provide relevant and reliable evidence, investigating **exceptions** and treating unreliable responses as non-responses.

**C4. Discuss the auditor's responsibilities regarding opening balances in an initial audit engagement.**

**(SA 510)** An initial audit engagement is one where prior-period statements were **not audited** or were audited by a **predecessor**. The auditor must obtain sufficient appropriate evidence that: (a) opening balances do **not contain misstatements** materially affecting the current period; and (b) appropriate **accounting policies** reflected in opening balances have been **consistently applied**, and changes are properly accounted for and disclosed. Procedures: read the most recent financial statements and predecessor's report; determine whether opening balances reflect proper policies; and either review the predecessor's working papers or perform specific procedures. If evidence cannot be obtained → **qualified opinion or disclaimer**; if opening balances contain a material misstatement affecting the current period and not properly dealt with → **qualified/adverse**; if a change in accounting policy is not properly accounted for/disclosed → modify accordingly.

**C5. Explain going concern responsibilities of the auditor, including reporting outcomes. (SA 570)**

Financial statements are ordinarily prepared on the **going concern basis**. The auditor must (a) remain **alert** throughout the audit for events/conditions casting significant doubt, (b) **evaluate management's assessment** (period of at least twelve months from the date of the financial statements), and (c) conclude on the **appropriateness** of the assumption and on any **material uncertainty**. Where events/conditions are identified, obtain sufficient appropriate evidence via additional procedures — cash flow forecasts, review of plans, subsequent-events review, and **written representations** on plans. **Reporting outcomes:** (1) Going concern appropriate, no material uncertainty → unmodified. (2) Material uncertainty exists and **adequately disclosed** → unmodified opinion with a separate "**Material Uncertainty Related to Going Concern**" paragraph. (3) Material uncertainty **not adequately disclosed** → qualified or adverse opinion. (4) Going concern basis **inappropriate** → **adverse** opinion. (5) Management unwilling to make/extend its assessment → consider implications (possible qualification/disclaimer).

**C6. State the purpose and limits of written representations. (SA 580)** Written representations are information provided by management/those charged with governance in writing to **confirm certain matters or support other audit evidence**. Purposes: obtain representation that management has **fulfilled its responsibility** for preparation of the financial statements and for completeness of information provided, and to support specific assertions where warranted. **Limits:** they are necessary but **not sufficient on their own**; they do not relieve the auditor of obtaining other evidence and do not affect the nature/extent of other procedures. If representations are **inconsistent** with other evidence, the auditor investigates and

reconsiders reliability. If management **does not provide** requested representations or its integrity is in doubt, the auditor may **disclaim** the opinion.

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## Section D — MCQs / Case Scenarios (correct option + one-line reasoning)

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**D1.** Sufficiency of audit evidence is the measure of its — A. Quality B. Relevance C. **Quantity** D. Reliability

**Ans: C** — Sufficiency = quantity; appropriateness = quality (relevance + reliability). (SA 500)

**D2.** Which is generally the MOST reliable audit evidence? A. Photocopy of a supplier invoice held by client B. **Bank confirmation received directly by the auditor** C. Oral statement of the accountant D. Client's internal ageing schedule **Ans: B** — External, direct, documentary source ranks highest in the reliability hierarchy. (SA 500/505)

**D3.** Inquiry alone — A. Is always sufficient B. **Does not provide sufficient appropriate evidence** C. Is more reliable than inspection D. Replaces confirmation **Ans: B** — Inquiry must be corroborated with other procedures. (SA 500)

**D4.** A confirmation request requiring the party to respond only if they disagree is a — A. Positive request B. **Negative request** C. Blank request D. Statutory request **Ans: B** — Negative confirmation; used only in low-risk, homogeneous populations. (SA 505)

**D5.** In an initial audit, the standard governing opening balances is — A. SA 550 B. SA 570 C. **SA 510** D. SA 560 **Ans: C** — SA 510 deals specifically with opening balances.

**D6.** Management's assessment of going concern must cover a period of at least — A. 6 months B. **12 months from the date of the financial statements** C. 24 months D. The next AGM **Ans: B** — Minimum twelve months from the date of the financial statements. (SA 570)

**D7. Case:** A confirmation reply agreeing the balance is received, but the auditor learns the confirming party is controlled by the client's promoter. The auditor should — A. Accept it as reliable B. **Doubt reliability and obtain further evidence / treat with scepticism** C. Ignore the relationship D. Issue an adverse opinion **Ans: B** — Reliability of confirmation is reduced where the party is not truly independent; SA 505 requires evaluating reliability and, potentially, SA 550 related-party scrutiny.

**D8. Case:** Management refuses to sign the written representation letter on completeness of liabilities. The most appropriate action is — A. Issue unmodified opinion B. Ignore, since oral assurance was given C. **Treat as a scope limitation and consider disclaimer of opinion** D. Withdraw the audit report **Ans: C** — Refusal to provide required written representations is a limitation on scope, casting doubt on other representations. (SA 580)

**D9.** Evidence obtained directly by the auditor through observation of a control is more reliable than — A. External confirmation B. **Evidence obtained indirectly or by inference** C. Original documents D. Recalculation **Ans: B** — Directly obtained evidence outranks indirectly obtained evidence. (SA 500)

**D10. Case:** A material related-party sale below market price is properly disclosed but lacks board approval under Section 188. The auditor should — A. Do nothing since it is disclosed B. **Evaluate authorisation, business rationale and possible fraud/non-compliance, and consider reporting implications** C. Confirm only the balance D. Rely on management's oral explanation **Ans: B** — SA 550 requires evaluating authorisation, rationale, and fraud indicators; non-compliance with Section 188 has reporting consequences.

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## One-line examiner traps to remember

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- "More evidence" (sufficiency) **cannot** cure poor quality (appropriateness).
- Inspection of inventory proves **existence**, not **completeness/valuation**.
- Negative confirmations: a **non-response is not evidence** that the balance is correct.
- Written representations **support** but never **substitute** substantive evidence (SA 580).
- Going concern period = **minimum 12 months from the date of the financial statements** (SA 570).
- Management's expert  $\neq$  auditor's expert; SA 500 governs use of a **management's** expert.

# Chapter 05 — Audit Sampling & Analytical Procedures

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## 1. The Problem — Two Trust Gaps the Auditor Cannot Close by Brute Force

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Return, for a moment, to why audit exists at all. The owners of a company hand their money to managers and then cannot watch what the managers do with it. The financial statements are the managers' *own* account of their stewardship — and a self-report from the party being judged is exactly the report you should distrust most. The auditor is the independent expert who stands between the two and says: *I have tested this account and I give you reasonable assurance it is not materially misstated.*

But "I have tested this" runs straight into a wall of arithmetic.

**Trust gap #1 — the volume gap.** A mid-size company posts 400,000 sales invoices, 90,000 purchase entries, 12,000 journal vouchers and a fixed-asset register of 6,000 lines in a single year. To *vouch every one* — trace it to a supporting document, check the amount, check the account, check the period — would take a team decades and cost more than the company is worth. The owners will not pay for that, and even if they did, the audit would be delivered years too late to be of any use. So the auditor **physically cannot examine 100% of most populations**. Yet the opinion must cover the *whole* account balance, not the fraction actually looked at. How does an auditor form a conclusion about 400,000 invoices after examining 60 of them without that being a reckless guess?

**Trust gap #2 — the plausibility gap.** Even the items you *do* look at, you look at one at a time, in isolation. Vouching invoice #227 tells you invoice #227 is genuine. It tells you nothing about whether *total* revenue makes sense given that the factory ran at 70% capacity, power consumption fell 15%, and the sales team shrank. A cleverly constructed set of fictitious invoices can each pass individual vouching and still, in aggregate, produce a revenue figure that is economically impossible. Detailed testing is myopic: it stares at documents and misses the shape of the whole. How does an auditor catch a misstatement that is invisible in any single transaction but glares out of the *relationships between* numbers?

These two gaps are answered by the two techniques of this chapter. **Audit sampling (SA 530)** answers the volume gap: how to examine a subset and rigorously project the conclusion to the whole. **Analytical procedures (SA 520)** answer the plausibility gap: how to test whether the numbers, taken together, tell a coherent story. They are complementary — one drills down, the other steps back — and a competent audit uses both.

**A third gap worth naming — the assurance-is-never-total gap.** Notice that *neither* technique gives certainty, and the Standards never pretend otherwise. An audit gives **reasonable assurance**, not absolute. The reason is structural, not a failing: testing a subset leaves **sampling risk**; even 100% testing leaves **non-sampling risk** (human error, unsuitable procedures, sophisticated collusion). This is why the audit report says "reasonable assurance" and why the auditor's whole craft is about *controlling* residual risk to an acceptably low level rather than eliminating it. Keep this in mind — every rule below is a device for pushing residual risk down, not to zero.

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## 2. The Core Idea

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**Sampling — the core idea.** If a population is reasonably homogeneous, then a *properly selected* subset behaves like the whole. Examine a representative sample, measure the rate or amount of error in it, and *project* that error to the population. The projection is only honest if every item had a chance of selection (so the sample is not rigged) and the sample is large enough that the projection is not swamped by luck. The residual uncertainty — that the sample, by chance, was not representative — is a real and *unavoidable* cost of not testing everything. Auditing does not pretend this cost is zero; it *measures and controls* it, and calls it **sampling risk**.

**Analytical procedures — the core idea.** Meaningful financial and non-financial data move together in predictable ways. Revenue and cost of goods sold rise together; interest expense tracks the loan balance and the rate; payroll tracks headcount; production tracks power and raw-material consumption. These relationships are *expected to persist* unless something has changed. So the auditor builds an **independent expectation** of what a figure should be, compares it to what is recorded, and treats any **unexpected difference** as a red flag that must be chased down. A relationship that *should* hold but doesn't is either a real business event — or a misstatement wearing a disguise.

Both techniques rest on the same deeper move: **the auditor does not accept the client's numbers passively; the auditor generates an independent basis for comparison** — a projected error rate, or an expected value — and holds the recorded figure against it.

**The homogeneity precondition (often assumed, rarely stated).** Sampling's whole logic — "the subset behaves like the whole" — silently assumes the population is *homogeneous* enough that one part resembles another. When it isn't — when a debtors ledger mixes 20 corporate accounts worth ₹5 crore each with 40,000 retail accounts of ₹200 each — a single sample is *not* representative, because the two groups behave completely differently. The fix is **stratification** (Section 4.2.4): carve the population into homogeneous sub-groups and sample each. So homogeneity is not a nicety; it is the load-bearing assumption, and where it fails the auditor must *engineer* it back by stratifying. Whenever the exam gives you a population with wildly mixed values, the intended answer almost always involves stratification.

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## 3. Why It's Built This Way — The Logic Behind the Requirements

Why not just test whatever the auditor feels like and stop when tired? Because that reintroduces exactly the arbitrariness the audit was supposed to remove. If the auditor could pick items at whim, a lazy or captured auditor could quietly avoid the risky items, and no one could tell. The Standards therefore *constrain* how sampling and analytics are done, and each constraint traces to a specific failure it prevents:

- **"Every sampling unit must have a chance of selection" (SA 530).** *Why:* if some items can never be picked, the conclusion cannot honestly cover them. A sample that excludes, say, all year-end entries cannot support an opinion on year-end cut-off. Representativeness is what licenses projection.
- **Sample size must respond to risk, tolerable error and expected error.** *Why:* the sample is the auditor's evidence budget; it must be *bigger* where the stakes (risk of material misstatement) are higher and the room for error (tolerable misstatement) is smaller. A fixed "test 25 items" rule would over-test safe accounts and dangerously under-test risky ones.
- **Projected errors must be evaluated against tolerable misstatement, not just counted.** *Why:* one error found in a sample is not one error in the population — it implies many. Failing to *extrapolate* is the

classic way auditors fool themselves into signing off on a materially wrong balance.

- **Analytical expectations must be independent and precise (SA 520).** *Why:* if the auditor merely notes "revenue went up, seems fine," with no independent estimate of *how much* it should have gone up, the procedure detects nothing. The rigour lives in the precision of the expectation — a vague expectation cannot be violated, and so can never raise an alarm.
- **Every significant deviation must be investigated (SA 520 and SA 530).** *Why:* the entire value of both techniques is destroyed if the auditor spots an anomaly and then accepts management's first soothing explanation without corroboration. The anomaly is the *signal*; waving it away is how frauds survive audits.

The through-line: the Standards convert judgement into *disciplined* judgement. The auditor still decides, but must decide within a structure that leaves an evidence trail and blocks the easy ways of cheating oneself or the reader.

**A deeper "why" — the incentive-compatibility lens.** Look at each rule again and ask *whose cheating does it stop?* The chance-of-selection rule stops the auditor from quietly steering around risky items. The projection rule stops the auditor from under-stating what a found error implies. The high bar for "anomaly" stops the auditor from explaining away every inconvenient error. The corroboration rule stops management's talk from substituting for evidence. Every requirement is, at bottom, a defence against a *specific temptation* — either the auditor's temptation to do less, or management's temptation to mislead. This is the most powerful revision key in the chapter: for any SA 530 or SA 520 requirement, if you can name the temptation it defeats, you understand it. Examiners reward answers phrased as "the requirement exists to prevent X form of self-deception" far more than answers that merely restate the rule.

**Why "reasonable" and not "absolute" assurance is the honest promise.** If the profession promised absolute assurance, either audits would cost more than the companies audited (100% testing of everything, re-performed) or the promise would be a lie the first time a clever fraud slipped through. Reasonable assurance is the only promise that is both *affordable* and *keepable* — and sampling plus analytics are precisely the tools calibrated to deliver it. The residual risk is not negligence; it is the deliberately-priced cost of a workable audit.

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## 4. Full Technical Content — SAs by Purpose, with the "Why" Wrapped In

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### 4.1 SA 500 — Audit Evidence (the parent that makes sampling legitimate)

Before sampling, understand *why testing a subset is even allowed*. **SA 500 (Audit Evidence)** permits the auditor to select items for testing by several means; sampling is one of them. It also introduces the idea that evidence must be **sufficient (quantity)** and **appropriate (quality = relevant + reliable)**. Sampling is a tool for achieving *sufficiency* efficiently. **SA 330** (auditor's responses to assessed risks) is the reason we test at all — it requires further audit procedures whose *nature, timing and extent* respond to risk; "extent" is precisely what sample size governs. So SA 530's sample-size logic is SA 330's "extent" made operational.

SA 500 identifies three ways to select items for testing: 1. **Selecting all items (100% examination)** — appropriate for small populations of large-value items, or when data is electronically processed and inexpensive to test in full (e.g., a computer-assisted re-performance). 2. **Selecting specific items** — the auditor's *judgemental* selection of high-value items, all items over a threshold, unusual or suspicious items, or items to obtain information. **Important trap:** this is targeted testing, **not audit sampling**, because non-selected items had *no* chance of selection — so the result **cannot be projected** to the whole population. 3.



**Audit sampling** — the subject of SA 530: applying procedures to less than 100% of a population *such that all sampling units have a chance of selection*, enabling a conclusion about the *entire* population.

**Finer distinction the exam tests — sufficiency and appropriateness are *interdependent*, not additive.**

More evidence (sufficiency) cannot compensate for *poor-quality* evidence (appropriateness). Testing 500 photocopied invoices is not "better" than testing 60 originals — quantity cannot rescue an unreliable source. Conversely, a single piece of highly reliable evidence (an external bank confirmation) may need little corroboration. Sampling only ever addresses the *quantity* dimension; it presupposes the *procedure applied to each item* is itself appropriate. This is why choosing a bad procedure is a **non-sampling** problem no sample size can fix.

**The reliability hierarchy (SA 500) — worth memorising because it underlies both techniques.** Evidence is *more* reliable when it is: (a) obtained from **independent external sources** rather than internal; (b) generated under **effective internal control**; (c) obtained **directly by the auditor** (e.g., observation) rather than indirectly or by inference; (d) in **documentary** form rather than oral; and (e) provided by **original documents** rather than photocopies/scans. This hierarchy is *exactly why* analytical procedures prize independent, non-financial data (top of the hierarchy) and *why* a lost original that can only be replaced by a photocopy weakens the evidence even if the item is "tested."

**When is 100% examination now the norm rather than the exception?** With CAATs (computer-assisted audit techniques) and audit data analytics, re-performing a calculation across an entire electronic population is often *cheaper* than sampling. Where the whole population can be tested electronically at trivial cost, sampling's rationale (economy) evaporates and 100% testing becomes preferable — it eliminates sampling risk entirely. Modern exams increasingly probe this: sampling is a response to *cost*, and when technology removes the cost, the response changes.

## 4.2 SA 530 — Audit Sampling

**Purpose (the risk it answers):** to provide a reasonable basis for a conclusion about a whole population when testing everything is uneconomic, while *controlling* the risk that the sample misleads.

**Key definitions (know these precisely — the exam tests the wording):**

| Term                               | Meaning                                                                                                                                                                                                        | Why it matters                                                                                  |
|------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------|
| <b>Audit sampling</b>              | Applying procedures to less than 100% of items within a population of audit relevance such that <b>all sampling units have a chance of selection</b> , to draw a conclusion about the <b>entire population</b> | The "chance of selection" is what makes projection valid                                        |
| <b>Population</b>                  | The entire set of data from which a sample is drawn and about which the auditor wishes to conclude                                                                                                             | Must be <b>complete</b> and <b>appropriate</b> to the objective, or the conclusion is worthless |
| <b>Sampling unit</b>               | The individual items constituting the population (an invoice, a debtor balance, a line, a rupee)                                                                                                               | Choice of unit shapes the method (e.g., monetary-unit sampling)                                 |
| <b>Sampling risk</b>               | The risk that the auditor's conclusion <b>based on the sample differs</b> from the conclusion had the whole population been tested                                                                             | The <i>unavoidable</i> cost of sampling; reduced by larger samples                              |
| <b>Non-sampling risk</b>           | The risk of a wrong conclusion for <b>any reason unrelated to sample size</b> — e.g., using an unsuitable procedure, or missing an error in an item actually tested                                            | <i>Not</i> fixed by bigger samples; fixed by planning, supervision, training                    |
| <b>Tolerable misstatement</b>      | A monetary amount set by the auditor to obtain appropriate assurance that the <b>actual</b> misstatement does not exceed it                                                                                    | The benchmark against which projected misstatement is judged; $\leq$ performance materiality    |
| <b>Tolerable rate of deviation</b> | A rate of deviation from a prescribed control the auditor is willing to accept                                                                                                                                 | The benchmark for <b>tests of controls</b>                                                      |
| <b>Anomaly</b>                     | A misstatement or deviation <b>demonstrably not representative</b> of the population                                                                                                                           | Rare; must be <i>proven</i> , not assumed — see 4.2.6                                           |
| <b>Statistical sampling</b>        | Sampling using (a) <b>random selection</b> and (b) <b>probability theory</b> to measure sampling risk                                                                                                          | Lets you <i>quantify</i> sampling risk                                                          |
| <b>Non-statistical sampling</b>    | Any approach lacking either feature                                                                                                                                                                            | Sampling risk judged, not computed — but the <i>rigour</i> is still required                    |

**Two definitions students routinely blur: - Tolerable misstatement vs. materiality.** Tolerable misstatement is set *at or below* **performance materiality** — never above it. Performance materiality is itself set below overall materiality to leave a cushion for *undetected* + *uncorrected* misstatements aggregating up. So the chain is: **overall materiality  $\geq$  performance materiality  $\geq$  tolerable misstatement**. Setting tolerable misstatement too high (near overall materiality) destroys the cushion and is a classic design error. -

**Sampling unit vs. population.** The *population* is what you conclude about; the *sampling unit* is the thing you draw. They differ under **monetary-unit sampling**, where the population is the debtors balance (in rupees) but the sampling unit is an individual **rupee** — a subtlety that changes both selection probability and how errors are projected.

#### 4.2.1 Sampling risk and its two faces

Sampling risk cuts both ways, and the two directions have very different consequences:

For **tests of controls**: - **Risk of over-reliance** (risk the control is *more* effective than it really is) — *Why it's dangerous*: the auditor relies on a control that is actually failing, reduces substantive testing accordingly, and a real misstatement sails through. This affects **audit effectiveness** — it can lead to a **wrong opinion**. - **Risk of under-reliance** (control judged *less* effective than it is) — leads to more work than necessary. Affects **audit efficiency** only.

For **tests of details (substantive)**: - **Risk of incorrect acceptance** (concluding a materially misstated balance is *not* misstated) — the dangerous one; affects **effectiveness**, risks a wrong opinion. - **Risk of incorrect rejection** (concluding a fairly stated balance *is* misstated) — leads to extra work; affects **efficiency**.

**The examiner's favourite point**: the auditor is far more worried about over-reliance and incorrect acceptance, because those threaten the *validity of the opinion*; the efficiency risks merely waste money. But the Standard requires that sampling risk be controlled in **both** directions.

**The memory device that never fails**: pair the four risks by their *consequence*, not their name. The two "false-comfort" risks — **over-reliance** and **incorrect acceptance** — both say "things are fine" when they aren't, so both endanger the **opinion (effectiveness)**. The two "false-alarm" risks — **under-reliance** and **incorrect rejection** — both say "there's a problem" when there isn't, so both merely cost **effort (efficiency)**. Any question asking "which risk is more serious?" is answered by "the false-comfort one," always.

**Why can't the auditor just aim to eliminate sampling risk?** Because the only way to drive sampling risk to zero is to test 100% — which defeats the purpose of sampling. So the auditor instead sets a *desired confidence level* (say 95%), accepting a known, small sampling risk (5%) as the price of economy. Confidence level and sampling risk are complements: **confidence level + sampling risk = 100%**. Raising confidence from 90% to 95% *increases* the required sample size — a direct, examinable trade-off.

#### 4.2.2 Statistical vs. non-statistical sampling — and why the choice is not the point

| Feature                   | Statistical                                             | Non-statistical                     |
|---------------------------|---------------------------------------------------------|-------------------------------------|
| Selection                 | Must be <b>random/probabilistic</b>                     | Any (may be haphazard, judgemental) |
| Sampling risk             | <b>Measured</b> mathematically                          | <b>Assessed judgementally</b>       |
| Sample-size basis         | Formula/tables from statistics                          | Auditor's professional judgement    |
| Objectivity of projection | Quantified, defensible with numbers                     | Reasoned, not numerically precise   |
| Cost/skill                | Higher; needs statistical competence and often software | Lower; simpler to apply             |

**The crucial equaliser (frequently misunderstood)**: SA 530 applies to **both** approaches. Both require a *representative* sample, both require *projection* of errors, both require *evaluation* against tolerable misstatement. The **only** thing statistical sampling adds is the ability to *quantify and control* sampling risk mathematically. A non-statistical approach is **not** a licence to be sloppy — it must be equally disciplined, only with judgement standing in for the formula. **Trap**: students think non-statistical = "just pick some and eyeball it." Wrong. The rigour is identical; the measurement of risk differs.

**A finer distinction — random *selection* does not by itself make sampling "statistical."** Statistical sampling requires **both** random selection **and** the use of probability theory to *evaluate* the results and measure sampling risk. An auditor can select items randomly and then evaluate the results purely by judgement — that is still **non-statistical** sampling. So the dividing line is not merely *how you pick* but *how you measure the risk*. This distinction is a favourite "spot the wrong statement" MCQ.

**When would a competent auditor deliberately choose non-statistical sampling?** When the population is small, when the cost of statistical software/competence outweighs the benefit, or when the auditor's judgement about the population is already strong. Neither approach is "better" in the abstract — the Standard is deliberately neutral. What it forbids is confusing *non-statistical* with *undisciplined*.

#### 4.2.3 What drives sample size (learn the *direction* of each relationship, not a formula)

##### Tests of controls:

| Factor                                       | Effect on sample size                            | Why                                                                    |
|----------------------------------------------|--------------------------------------------------|------------------------------------------------------------------------|
| ↑ auditor's intended reliance on the control | ↑                                                | More reliance demands stronger evidence                                |
| ↑ tolerable rate of deviation                | ↓                                                | More room for error means fewer items needed                           |
| ↑ expected rate of deviation                 | ↑                                                | Must test more to distinguish an acceptable control from a failing one |
| ↑ desired confidence level                   | ↑                                                | Higher assurance needs more evidence                                   |
| Number of items in population                | <b>Negligible effect</b> (for large populations) | Counter-intuitive but true — see note below                            |

##### Tests of details (substantive):

| Factor                                                              | Effect on sample size                        | Why                                                                |
|---------------------------------------------------------------------|----------------------------------------------|--------------------------------------------------------------------|
| ↑ risk of material misstatement (RMM)                               | ↑                                            | Riskier accounts need more evidence                                |
| ↑ use of <i>other</i> substantive procedures for the same assertion | ↓                                            | Evidence from analytics/other tests reduces reliance on the sample |
| ↑ desired assurance that tolerable misstatement is not exceeded     | ↑                                            | More assurance = larger sample                                     |
| ↑ tolerable misstatement                                            | ↓                                            | More tolerance = smaller sample                                    |
| ↑ expected misstatement                                             | ↑                                            | Expecting more error demands more testing to pin it down           |
| Stratification of the population                                    | ↓ (per stratum efficiency)                   | Grouping like items reduces variability, needs fewer items         |
| Number of items in population                                       | <b>Negligible effect</b> (large populations) | Same counter-intuitive point                                       |

**The counter-intuitive point examiners love:** for large populations, the **absolute size** of the population has almost **no effect** on the required sample size. Assurance comes from the *sample size*, not the *ratio* of sample

to population. Testing 60 items gives roughly the same assurance whether the population is 10,000 or 1,000,000. Students who "scale up the sample because the population is huge" have misunderstood the statistics.

**The one relationship students invert — expected error.** Note the *asymmetry*: a **higher tolerable** misstatement/deviation *decreases* sample size (more slack), but a **higher expected** misstatement/deviation *increases* it. They pull in opposite directions even though both are "amounts of error." The intuition: tolerable is the *ceiling you're allowed*; expected is *how close to that ceiling you think you already are*. The nearer your expectation creeps to the ceiling, the more items you need to *prove* you haven't breached it — because a small buffer between expected and tolerable demands high precision, and precision costs sample size. If expected error ever *exceeds* tolerable, sampling is pointless: you already expect to fail, so you test the balance in full or seek correction.

**Why population size barely matters — the intuition beneath the maths.** Imagine tasting a pot of soup: one spoonful tells you whether the whole pot is over-salted, whether the pot holds two litres or two hundred — provided it's stirred (homogeneous). Assurance flows from the *absolute* information in the sample (the spoonful), not its *proportion* to the pot. The only mild exception is small populations, where a finite-population correction slightly *reduces* the needed sample — but for the large populations audit deals with, the effect is negligible. Never write "population is large, so sample must be large."

**Two factors that are easy to state backwards:** - **Intended reliance (controls):** *more* reliance → *larger* sample. (If you lean harder on the chair, you check the chair more.) - **Other substantive procedures for the same assertion (details):** *more* other evidence → *smaller* sample. This is the direct hinge between SA 530 and SA 520 — strong substantive analytics *reduce* the sample the auditor needs, because assurance is additive across procedures.

#### 4.2.4 Methods of selecting the sample

| Method                                               | How it works                                                                                                                   | When suitable / why                                                                                                                                                                                                              |
|------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Random selection</b>                              | Random number generator/tables map numbers to items                                                                            | Pure statistical sampling; every item equal chance                                                                                                                                                                               |
| <b>Systematic selection</b>                          | Fixed sampling interval = population ÷ sample size; pick a random start, then every <i>n</i> th item                           | Efficient and easy. <b>Danger:</b> if the population has a <i>pattern</i> coinciding with the interval, the sample is biased — check first                                                                                       |
| <b>Monetary Unit Sampling (MUS) / value-weighted</b> | The sampling unit is the individual <b>rupee</b> ; probability of selecting an <i>item</i> is proportional to its <b>value</b> | Automatically emphasises large-value items — ideal for testing <b>overstatement</b> of assets/income where big items carry the risk                                                                                              |
| <b>Haphazard selection</b>                           | Auditor selects without conscious bias, but not by a structured random method                                                  | Acceptable for <b>non-statistical</b> sampling only; <b>not</b> valid for statistical sampling because it isn't truly random. Auditor must avoid conscious/unconscious bias (e.g., always skipping hard-to-find or corner items) |
| <b>Block selection</b>                               | Selecting a contiguous <i>block</i> of items (e.g., all of March)                                                              | Generally <b>inappropriate</b> as a primary method — a block is not representative because items near each other tend to share characteristics; a fraud confined to another month is entirely missed                             |

**Stratification** (a companion technique): divide the population into sub-populations (strata) of similar value or risk, then sample each. *Why:* it reduces variability within each stratum, so a smaller total sample achieves the same assurance, and it lets the auditor concentrate effort on the high-value stratum where misstatement hurts most.

**The deeper logic of MUS (value-weighted selection) — worth understanding, not just memorising.**

Under MUS, you conceptually line up every *rupee* of the balance end-to-end and sample rupees; a ₹5,00,000 invoice contains 5,00,000 sampling units and a ₹500 invoice only 500, so the big invoice is 1,000× more likely to be hit. This has three consequences the exam probes: (a) it **automatically stratifies by value** without the auditor doing it manually; (b) it is **built to catch overstatement** — an overstated item is *larger*, hence *more likely* to be selected, so overstatement errors self-select into the sample; and (c) it is **weak for understatement and for zero/negative balances** — an item recorded at ₹0 (perhaps a wholly omitted or understated one) contains *no* rupees, so it can *never* be selected. This is exactly why MUS suits testing overstatement of assets/income but is a poor tool for completeness of liabilities.

**A subtle limit of stratification.** Stratifying by *recorded* value tests overstatement well, but if an item is understated it will sit in a *lower* stratum than it should — so understatement can hide in the low-value stratum that gets thin coverage. When completeness/understatement is the concern, the auditor should not lean on value-stratified sampling of the recorded ledger at all (see directional testing, 4.3.6).

**Why block selection is not just "less good" but structurally wrong for projection.** Projection assumes each sample item is an *independent* draw carrying independent information. Items in a block (all of March) are *correlated* — they share the same staff, the same month-end pressures, the same system state — so a 100-item block carries far less than 100 items' worth of independent information. You cannot validly project

from it. Block selection is occasionally acceptable only as a *supplement* (e.g., to examine a specific period of concern), never as the representative base.

#### 4.2.5 Performing procedures, and the special problem of items you *can't* examine

The auditor performs the planned audit procedure on **each item selected**. Two practical wrinkles the Standard addresses directly:

- **If the procedure cannot be applied to a selected item** (e.g., the voucher is lost): the auditor must perform the procedure on a **replacement item**. *Why not just skip it?* Because dropping an item silently shrinks the population's coverage and — worse — *a missing document could itself be the misstatement*. You cannot let an item escape scrutiny merely because it's inconvenient.
- **If a suitable procedure cannot be applied to the selected item and no alternative exists:** the auditor treats that item as a **deviation** (for controls) or a **misstatement** (for details). *Why:* an untestable item is, for evidentiary purposes, a failure — assurance not obtained is assurance denied.

**The examiner's trap hidden in these two rules — they are not interchangeable.** A **replacement** is permitted only when there is a *legitimate, benign* reason the item can't be tested (e.g., the document happens to be temporarily with a tax authority) **and** the auditor can still get assurance about the *original* item some other way or is satisfied it's benign. But when an item **cannot be tested and there is no satisfactory alternative**, the auditor must **not** quietly replace it — a "can't-test" is treated as an **error/deviation**. Mixing these up (replacing an untestable item so it never counts as an error) is precisely how an auditor understates the error rate and fools the projection. Rule of thumb: you may replace an item you *chose not to test*, never bury an item you *could not test*.

**A worked micro-case on this rule.** Auditor selects invoice #4471; the file is missing and management "can't locate it." Is this a replacement or a deviation? *Answer:* a **missing document is itself a potential misstatement** (the invoice may be fictitious). The auditor should treat it as a **deviation/misstatement**, not silently swap in invoice #4472 — because the whole point of testing was to see whether support *exists*, and its absence is the very failure being tested for. Only if the auditor obtains *equally reliable alternative evidence* that #4471 is genuine (e.g., the customer's confirmation plus the dispatch record plus the bank receipt) can it be cleared.

#### 4.2.6 Evaluating results — the heart of the Standard

This is where audits are won or lost. Four disciplined steps:

1. **Investigate the nature and cause** of every deviation/misstatement found, and consider its effect on the audit. *Why:* an error's *cause* matters more than its existence — is it a one-off keying slip, or the visible tip of a systematic control breakdown or fraud? A pattern (e.g., all errors on one clerk's entries, or all near year-end) signals something the raw count hides.
2. **The "anomaly" is nearly forbidden.** The auditor may treat a misstatement/deviation as an **anomaly** (and exclude it from projection) **only when able to demonstrate, with a high degree of certainty, that it is not representative** of the population — e.g., an error caused by a computer glitch on a single known date, now fixed. *Why the high bar:* labelling an error "anomalous" is the great escape hatch — it lets the auditor ignore what the sample is screaming. So the Standard demands *proof of non-representativeness*, including examining additional items to confirm the error didn't recur elsewhere. **Anomalies are rare; assume an error is representative unless proven otherwise.**



3. **Project misstatements (tests of details).** The auditor must **extrapolate** the misstatement found in the sample to the whole population. *Why:* the sample stands for the population; ₹X of error in the sample implies a much larger figure across the population. (An identified *anomaly*, having been proven unrepresentative, is added separately at its actual amount but **not** projected.) For **tests of controls**, no explicit projection is needed — the *sample deviation rate is itself the projected rate* for the population.
4. **Compare and conclude.** Set **projected misstatement (+ any anomalous misstatement)** against **tolerable misstatement**. Two outcomes: - Projected + anomalous is **comfortably below** tolerable → the population is *probably* acceptable, but consider whether it's *close* — the smaller the buffer, the higher the risk that *actual* (unknown) misstatement exceeds tolerable. - Projected approaches or **exceeds** tolerable → the sample does **not** support the population as fairly stated. The auditor must **re-assess** the sampling approach, **extend** procedures (larger sample), perform **alternative** procedures, and/or ask management to **investigate and correct**. *Why:* the audit cannot conclude on evidence that points the wrong way; more assurance must be obtained before an opinion is possible.

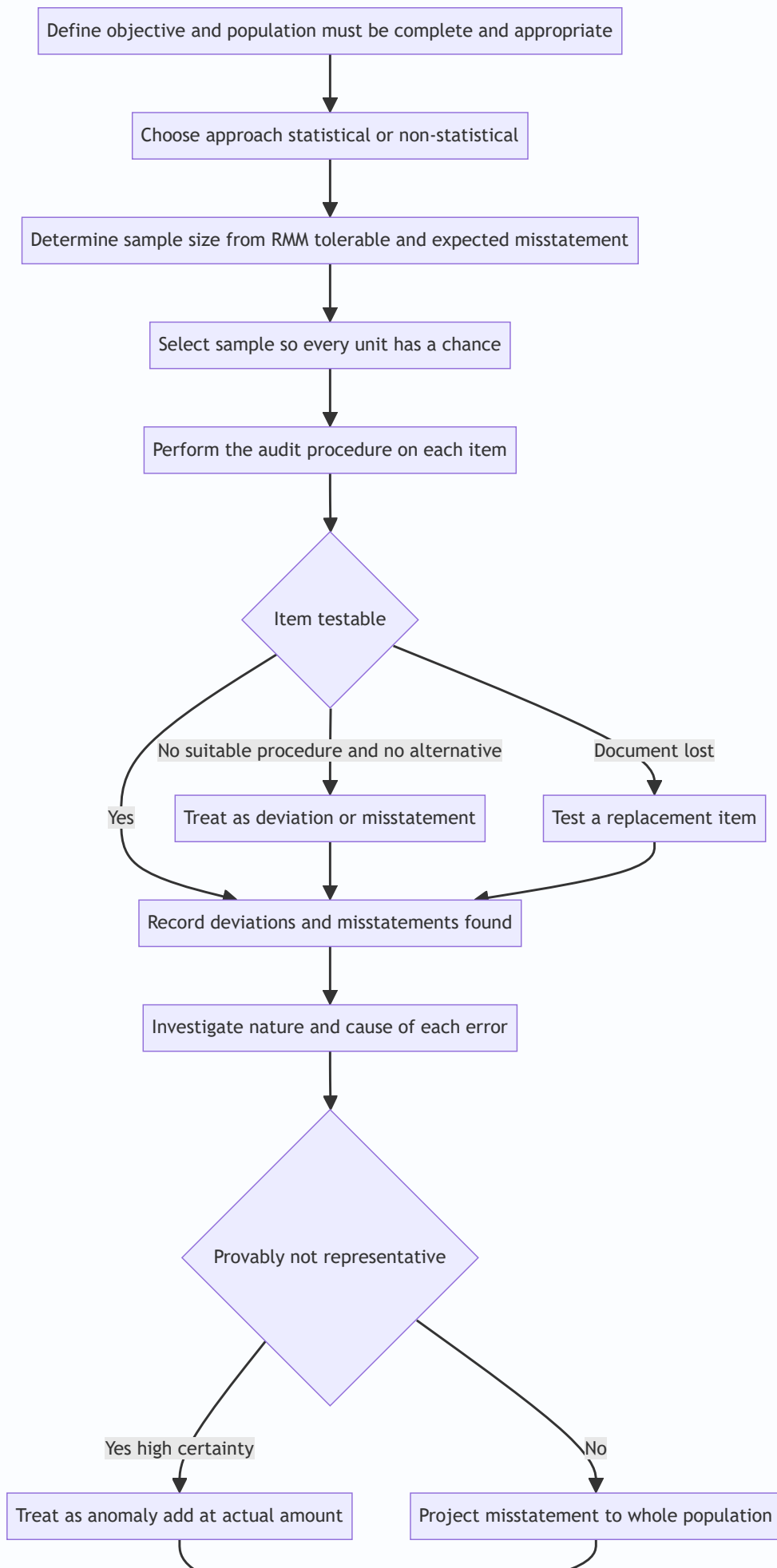
**The mechanics of projection — the two dominant methods (know both).** - **Ratio (or mean-per-unit)**

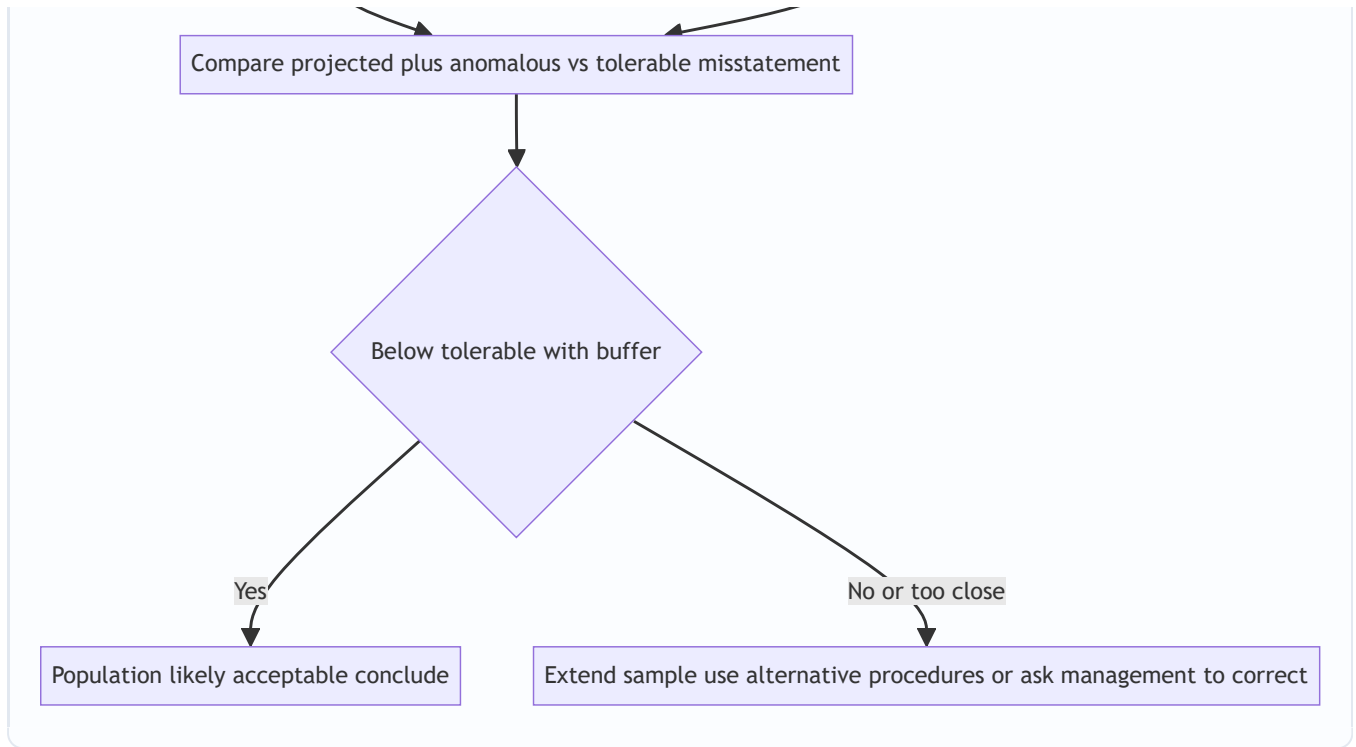
**projection:** projected misstatement = (misstatement found in sample ÷ value of sample examined) × total population value. Use when the *rate* of error is expected to be roughly constant across values. Example: ₹8,000 error in a ₹4,00,000 sample from a ₹1,00,00,000 population →  $(8,000 \div 4,00,000) \times 1,00,00,000 =$  **₹2,00,000** projected. - **Difference projection:** projected misstatement = (misstatement found ÷ number of items in sample) × number of items in population. Use when errors tend to be a roughly *constant amount per item* regardless of value. Example: ₹8,000 over 100 sample items = ₹80 per item; population 50,000 items → **₹40,00,000** projected. Notice how the *same found error* projects to wildly different figures depending on method — which is why the choice of projection basis is itself a judgement the auditor documents. -

**Anomalies are added separately at actual amount, never projected**, because by definition they don't recur.

**The "buffer" judgement examiners love to test.** Even when projected misstatement is *below* tolerable, the auditor is not automatically home. The projection is a *point estimate*; the true misstatement could be higher. So the auditor asks: *is the gap between projected and tolerable comfortable enough to absorb the sampling risk?* If projected is ₹19 lakh against tolerable ₹20 lakh, that 1-lakh buffer is dangerously thin — statistically the actual figure could easily breach ₹20 lakh — and the auditor should extend the sample even though "projected < tolerable" on paper. A wide buffer (projected ₹4 lakh vs tolerable ₹20 lakh) needs no such worry. Passing this line — "below tolerable but too close" — separates a rote answer from a top one.







*Figure 5.1 — The SA 530 sampling process from defining the population to projecting errors and comparing against tolerable misstatement.*

The following diagram isolates the *decision logic around a single found error* — the part of the Standard where most exam marks and most real-world audit failures live.

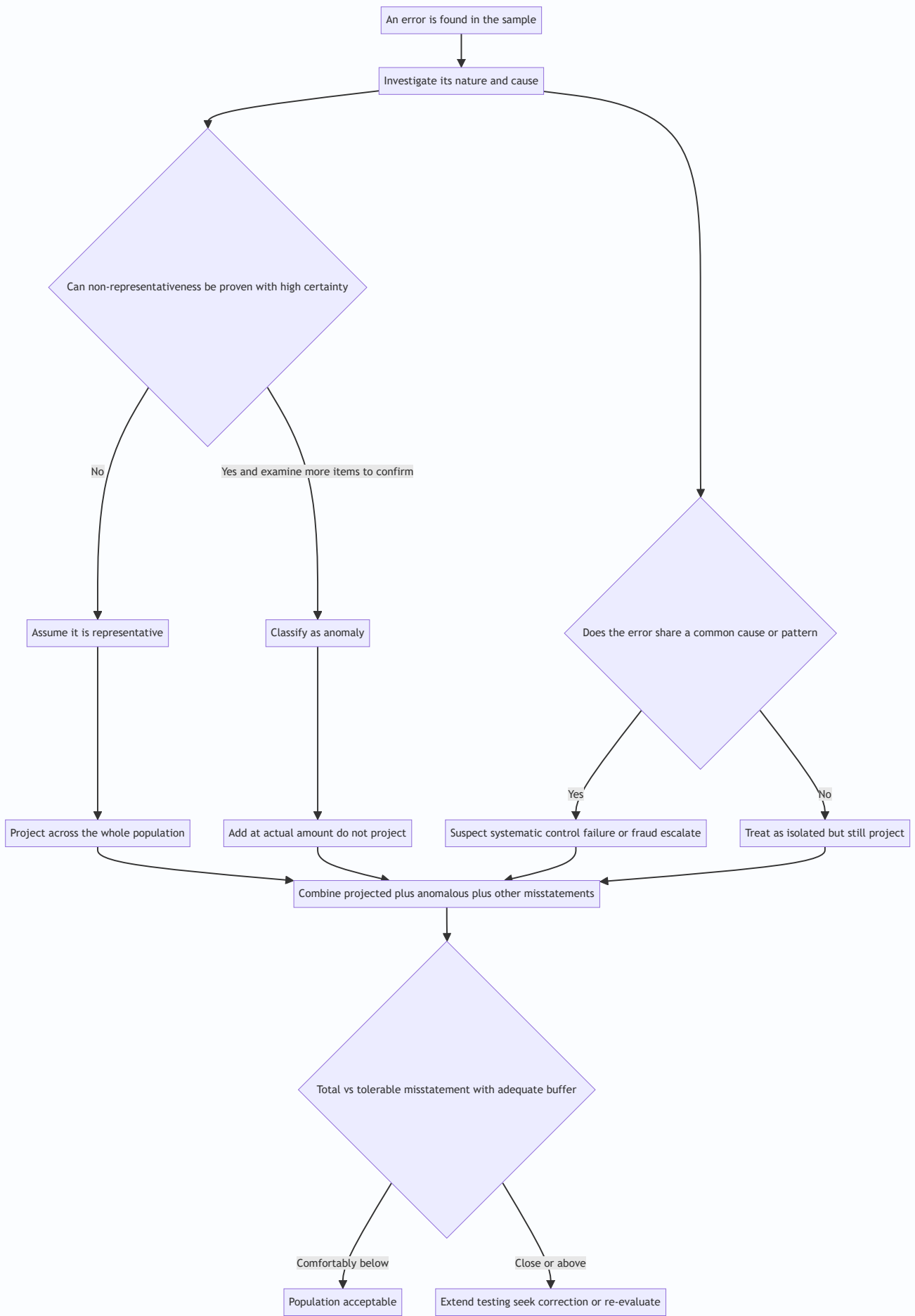


Figure 5.2 — How the auditor reasons from a single found error to a conclusion, showing why the anomaly route is narrow and why patterns escalate.

### 4.3 SA 520 — Analytical Procedures

**Definition:** analytical procedures means **evaluations of financial information through analysis of plausible relationships among both financial and non-financial data**, including the necessary **investigation of identified fluctuations or relationships that are inconsistent with other information or that differ from expected values by a significant amount**.

**Purpose (the risk it answers):** the *plausibility gap* of Section 1. Detailed testing checks items in isolation and misses misstatements visible only in aggregate relationships. Analytics test whether the numbers, as a whole, hang together.

#### 4.3.1 Why analytical procedures work — the engine

The technique rests on one assumption: **plausible relationships among data can reasonably be expected to exist and continue, in the absence of known conditions to the contrary**. Gross margin percentage is stable across years unless pricing, product mix or cost changed. Interest expense = average loan × rate. Payroll ≈ headcount × average wage. Because these relationships are *predictable*, a **deviation from the expectation is informative**: it is either a genuine business change (which the auditor corroborates) or a *misstatement* (which the auditor must correct). The whole power of the method is that a well-built expectation turns an invisible misstatement into a visible fluctuation.

**The crucial refinement — analytics detect misstatement precisely *because* they are built on relationships management does not directly control.** A fraudster editing the sales ledger can make revenue whatever they like. But they cannot as easily edit the electricity meter, the number of employees on the payroll authority's records, the tonnes of raw material purchased, or the square footage of rentable space. So the *tension* between a manipulated financial figure and an un-manipulated physical relationship is what the analytic exposes. This is why the Standard and examiners repeatedly emphasise **non-financial data** — it sits *outside* the manipulable ledger and therefore acts as an independent check.

**A distinction the exam tests — analytics can give *positive* assurance or merely *direct attention*.** At **risk assessment**, analytics need only be *broad and directional* — they point the auditor toward risky areas; precision is secondary. As a **substantive procedure**, the same technique must be *precise enough to substitute for detailed testing* — it now carries evidential weight about a specific rupee figure. The same tool, two very different precision bars depending on where in the audit it sits. Blurring these is a common error.

#### 4.3.2 The three points in the audit where analytics appear

| When                                 | SA reference                   | Mandatory                               | Purpose / why                                                                                                                                                                     |
|--------------------------------------|--------------------------------|-----------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Risk assessment</b><br>(planning) | <b>SA 315</b> (via 520 spirit) | <b>Yes — required</b>                   | Understand the entity and identify areas of higher risk of material misstatement; direct the audit where the numbers already look odd                                             |
| <b>Substantive procedures</b>        | <b>SA 520 (para 5)</b>         | Optional (auditor's choice of response) | Obtain <i>substantive</i> evidence about assertions — a <b>substantive analytical procedure</b>                                                                                   |
| <b>Overall review near the end</b>   | <b>SA 520 (para 6)</b>         | <b>Yes — required</b>                   | Form an overall conclusion on whether the financial statements are consistent with the auditor's understanding — a final "does the whole picture make sense" check before signing |

**Exam-critical:** analytical procedures are **mandatory at two stages — risk assessment and final overall review — and optional as a substantive procedure**. Students frequently get this backwards.

**What the *final overall review* is actually for — and why it is mandatory.** By the end of the audit the auditor has tested dozens of accounts individually; the overall review steps back and asks whether the *whole* set of statements is coherent with everything the auditor now knows about the business. It is a *fresh-eyes* consistency check — the audit's last chance to catch a misstatement that survived detailed testing but makes the aggregate picture implausible (e.g., every account "passed" but the entity now shows margins no competitor achieves). Critically, if this final review throws up a *new* significant fluctuation, the auditor may have to perform *further procedures* — the review can reopen work already thought finished, which is exactly why it is not optional.

#### 4.3.3 Substantive analytical procedures — the four conditions (SA 520.5)

The Standard does not let the auditor "do a ratio and relax." When *relying* on analytics as substantive evidence, the auditor must:

1. **Determine suitability** of the particular substantive analytical procedure for the given **assertions**, considering the assessed RMM and any tests of details for the same assertion. *Why:* analytics suit assertions with **predictable relationships over time** (e.g., completeness of interest expense, reasonableness of payroll). They are **poor** for accounts that are volatile, subject to management discretion, or made up of unrelated items (e.g., litigation provisions) — those need tests of details.
2. **Evaluate the reliability of the data** from which the expectation is built — considering **source, comparability, nature and relevance, and controls over its preparation**. *Why:* an expectation is only as trustworthy as its inputs. **Deadly trap:** if you build your expectation from data produced by the *same* system that produced the figure you're auditing, and that system is unreliable, the procedure is worthless — the error is baked into both sides. Independent or separately-controlled data is what gives the expectation teeth. Non-financial data (units produced, headcount, floor area, kilowatt-hours) is especially valuable precisely because it comes from *outside* the financial ledger.
3. **Develop an expectation** of recorded amounts and assess whether it is **precise enough** to identify a misstatement that, individually or aggregated, could be material. *Why:* precision is everything. "Revenue should be about the same" cannot detect a 4% overstatement. A precise expectation ("revenue should be



₹512 crore  $\pm$  ₹8 crore, built from units shipped  $\times$  contracted price") *can*. The finer the expectation, the smaller the misstatement it catches.

4. **Set the acceptable difference** — the amount of any difference from the expected value that can be accepted **without further investigation** — in advance, having regard to materiality and desired assurance. *Why*: deciding the threshold *before* seeing the number stops the auditor from rationalising whatever difference turns up as "close enough." Higher assurance and lower materiality  $\Rightarrow$  smaller acceptable difference.

**The four drivers of precision (why some expectations are sharper than others) — an examinable sub-list.** An expectation is *more precise* — and hence catches *smaller* misstatements — when: - (a) it is built at a **disaggregated** level (by month, by product, by location) rather than on the annual total — because offsetting errors in different months cancel out in an annual figure and hide; - (b) the underlying **relationship is stable and well-established** (interest = loan  $\times$  rate is tighter than "other income vs last year"); - (c) the **data is reliable and independent**; and - (d) the auditor uses a **predictive/reasonableness model** (an actual computed expected number) rather than a mere trend comparison. The examiner's favourite illustration: an annual revenue expectation may hide a fraud that inflates Q4 and understates Q1; a *monthly* expectation exposes it. Disaggregation is the single most powerful precision lever.

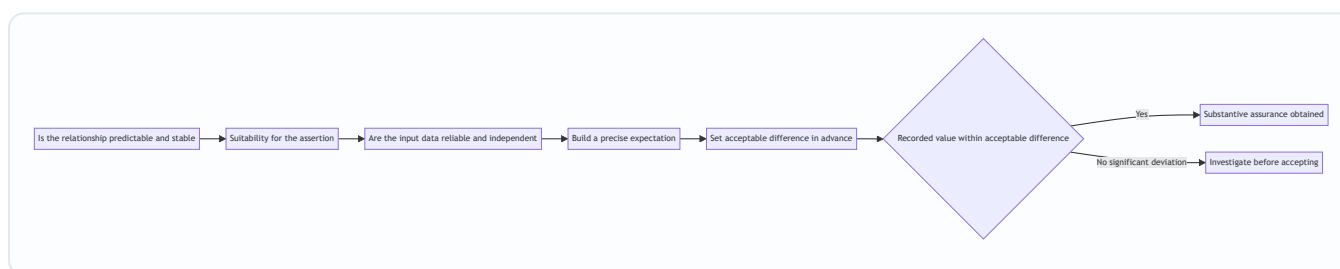


Figure 5.3 — The four SA 520.5 gates a substantive analytical procedure must pass, ending in the investigation of any significant deviation.

#### 4.3.4 Techniques used in analytical procedures (the toolkit)

- **Trend analysis** — comparing a figure with prior periods (e.g., this year's repairs vs. last three years').
- **Ratio analysis** — gross-margin %, current ratio, receivables turnover / debtor days, inventory turnover, debt-equity, interest coverage. *Why powerful*: a ratio normalises for scale and exposes relationships (e.g., a rising debtor-days ratio hints at fictitious sales or uncollectible receivables).
- **Reasonableness tests / predictive testing** — building an *independent estimate* from a relationship: interest expense  $\approx$  average borrowings  $\times$  average rate; depreciation  $\approx$  asset base  $\times$  rate; hostel revenue  $\approx$  rooms  $\times$  occupancy  $\times$  tariff. *Why the strongest form*: it produces a specific expected number, giving maximum precision.
- **Comparison with budgets/forecasts**, with **industry data**, and **relationships among elements** of financial information (e.g., payroll to headcount) and between financial and **non-financial** information (e.g., sales to units shipped).

**Ranking the toolkit by precision (a question that comes up as "which is strongest?").** From *least* to *most* precise, roughly: (1) **trend analysis** on an annual total (weak — many things move year to year); (2) **ratio analysis** (better — normalises for scale and links two figures); (3) **comparison with budget** (only as good as the budget's discipline, and beware management-set budgets being "hit" suspiciously exactly); (4) **reasonableness / predictive tests** (strongest — an independent computed number). The auditor climbs this

ladder as the assurance required rises. A predictive test built from independent, non-financial inputs at a disaggregated level is the gold standard.

**A caution on budget comparisons.** A figure landing *exactly* on budget is not automatically comforting — it can signal *management steering the actuals to the budget* (e.g., booking just enough revenue to hit target). Suspiciously precise budget attainment is itself a fluctuation worth investigating. Precision cuts both ways.

#### 4.3.5 Investigating results (SA 520.7) — the step that gives analytics their bite

When analytical procedures identify fluctuations or relationships **inconsistent with other information or differing significantly from expected values**, the auditor must investigate by:

1. **Inquiring of management** and obtaining explanations, **and**
2. **Corroborating** those explanations with **other audit evidence**, **and**
3. Performing **other audit procedures** if the explanation cannot be corroborated or is inadequate.

**The non-negotiable point:** management's explanation is a *starting hypothesis, not evidence*. "Margins rose because we changed suppliers" must be checked against the actual new supplier contracts, GRNs and prices. *Why:* the whole purpose of raising the flag is defeated if the auditor lowers it on management's say-so — that is precisely the trust gap that created the need for an auditor. **An unexplained or uncorroborated significant fluctuation is a signal of possible material misstatement (including fraud) and cannot simply be accepted.**

**The two failure modes the corroboration rule guards against — name them to score.** Management's explanation can fail in *two* distinct ways: (a) it is *plausible but unverified* — the auditor must go get the corroborating evidence; or (b) it is *implausible or does not reconcile with other known facts* (like Scenario B's "cost control" story that ignores falling inputs) — the auditor must treat it as *inadequate* and perform further procedures regardless of how confidently it is asserted. The sophistication examiners look for is recognising that a *fluent* explanation is not a *corroborated* one; the auditor's job is not to judge whether the story *sounds* right but whether *independent evidence* confirms it.

**A finer point — the auditor must first consider whether the difference is a misstatement before accepting an explanation at all.** SA 520.7 does not merely say "ask and corroborate"; it directs the auditor, when a difference is significant, to *investigate*, which includes evaluating whether the fluctuation reflects a **misstatement**. The default posture toward a significant unexplained fluctuation is suspicion, not neutrality.

#### 4.3.6 Assertions — how both techniques attach to what's being proved

Every substantive procedure exists to test an **assertion** (SA 315) — management's implicit claims embedded in the financial statements. Both sampling and analytics must be *pointed at* the right assertion, or they prove nothing relevant.

| Assertion (class of transactions / balances) | Meaning                                       | Better tested by                                                                                                              |
|----------------------------------------------|-----------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------|
| <b>Occurrence / Existence</b>                | Recorded items really happened / really exist | <b>Sampling</b> → <b>vouching</b> (recorded → document); MUS good for overstatement                                           |
| <b>Completeness</b>                          | Everything that should be recorded <i>is</i>  | <b>Analytics</b> (e.g., interest expense reasonableness) and <b>tracing</b> (document → records); sampling for understatement |
| <b>Accuracy / Valuation</b>                  | Amounts are correct and appropriately valued  | Sampling (re-computation) <b>and</b> analytics (reasonableness tests)                                                         |
| <b>Cut-off</b>                               | Transactions in the correct period            | Targeted/specific selection around year-end (a <i>directional</i> , not random, concern)                                      |
| <b>Classification</b>                        | Recorded in the proper accounts               | Sampling of entries; analytics of account relationships                                                                       |
| <b>Rights &amp; Obligations</b>              | Entity owns assets / owes liabilities         | Tests of details (title deeds, confirmations)                                                                                 |
| <b>Presentation &amp; Disclosure</b>         | Properly described and disclosed              | Review procedures; analytics for overall consistency                                                                          |

**Directional testing insight (why the method must match the assertion):** to test **overstatement** of an asset or income (the usual fraud direction for revenue/assets), sample **from the recorded balance** and vouch outward — value-weighted MUS is ideal because it targets big items. To test **understatement/completeness** (the usual concern for liabilities/expenses), you must start **outside** the ledger — trace source documents *in*, or use analytics — because items wrongly omitted are *not in the recorded population* and can never be caught by sampling the ledger. **Trap:** vouching a sample of recorded purchases can never detect *unrecorded* purchases; only tracing from source documents or an analytical reasonableness test can.

**The one-sentence rule that unlocks every directional-testing question:** *you can only catch what is in the population you sample.* Sample the ledger → you can only find things wrongly *in* the ledger (overstatement, existence, occurrence). Sample the *real world* (dispatch records, supplier statements, GRNs, post-year-end payments) and trace *into* the ledger → you can find things wrongly *left out* (understatement, completeness). Asset/income frauds usually **overstate** (so vouch the ledger outward); liability/expense frauds usually **understate/omit** (so trace source documents inward). Fix this single sentence and the whole family of "which procedure?" questions collapses to one decision.

## 5. Applied Scenarios — Reasoning to the Correct Audit Response

### Scenario A — The "one small error, ignore it" temptation

**Facts:** Auditor CA Meena tests a sample of 100 sales invoices (population 50,000, tolerable misstatement ₹20 lakh) and finds **two** overstatement errors totalling ₹1,600 (₹1,000 + ₹600). She reasons: "₹1,600 is trivial against ₹20 lakh tolerable — the account is fine." Is she right?

*Reasoning:* No — she has committed the classic failure to **project**. The two errors are not ₹1,600 in the population; they represent a *rate* of error. Crude projection: ₹1,600 found in a sample covering (say) ₹2 lakh of value, projected across a ₹1 crore population, could imply **₹80,000+** of misstatement — and more importantly she must first **investigate the cause** (SA 530). If the two errors share a cause (both are the same product mispriced), that points to a *systematic* error affecting *all* such invoices, and projected misstatement could dwarf the raw ₹1,600. Only if she could *demonstrate with high certainty* an error is a non-recurring anomaly may she exclude it — and two similar errors are the opposite of anomalous.

*Correct response:* investigate cause → project the misstatement → compare projected (+ any anomalous) against ₹20 lakh tolerable → if close or exceeding, extend the sample or ask management to investigate and correct. **The number found in the sample is never the number in the population.**

## Scenario B — The reassuring margin that shouldn't reassure

*Facts:* A manufacturer's revenue rose 22% year-on-year, and gross margin *improved* from 28% to 34%. Management explains the margin jump as "better cost control." Power consumption, however, fell 9% and the workforce shrank 12%. Should the auditor accept the explanation?

*Reasoning:* This is SA 520 territory. Build an **independent expectation**: a 22% revenue rise from *genuine* higher volume should be accompanied by *higher* power and material consumption and roughly stable-or-slightly-improving margins — not a simultaneous **fall** in the physical inputs of production. Rising revenue with *falling* power and headcount is economically incoherent for a manufacturer and is a classic footprint of **fictitious/inflated sales** (revenue booked with no corresponding production). The margin *improvement* is a red flag, not comfort — fictitious sales carry no real cost, so they mechanically inflate margin.

*Correct response:* the fluctuation is **inconsistent with non-financial data** and differs significantly from expectation. Under SA 520.7: inquire of management, then **corroborate** — but "better cost control" does *not* explain rising revenue with falling inputs, so it fails corroboration. The auditor must perform **further procedures**: examine underlying sales contracts, dispatch/GRN records, confirm receivables directly, test cut-off, and treat this as a **fraud risk** (link to SA 240). The non-financial data is the auditor's most powerful weapon here precisely because management does not control it as easily as the ledger.

## Scenario C — Systematic selection walks into a trap

*Facts:* CA Rohit tests the completeness/accuracy of a control that the cashier stamps every receipt. Population is 3,650 daily cash sheets for the year; he wants a sample of 50, so interval = 73. He picks a random start and every 73rd sheet. Later it emerges the anomaly: **every** sample item is a *weekday*, and the fraud he was meant to catch — unstamped **Sunday** cash sheets where a relief cashier skips the control — is entirely absent from his sample. What went wrong?

*Reasoning:* **Systematic selection** is efficient but fails when the population contains a **periodic pattern that coincides with the sampling interval**. With a 7-day week and an interval of 73 (= 10 weeks + 3 days... in this constructed case aligning to weekdays), the sample systematically excluded a category. The result is a **non-representative** sample — violating the bedrock requirement that the sample represent the population — so any conclusion drawn cannot honestly cover Sundays.

*Correct response:* before using systematic selection, the auditor must **verify the population has no structure aligned with the interval**; where such a pattern exists, use **random selection** instead, or **stratify** (e.g., weekday vs. weekend) and sample each. This also illustrates **non-sampling risk** cousin: choosing an

unsuitable *method* is a design failure, not something a bigger sample of the same flawed method would cure.

## Scenario D — Wrong direction of testing

*Facts:* To gain assurance that **liabilities are not understated** (completeness of trade payables), a junior auditor selects a sample of 40 recorded payables from the ledger and vouches each to a supplier invoice — all match. He concludes payables are complete. Correct?

*Reasoning:* No — this is a **directional error**. Sampling *from the recorded ledger* can only ever confirm that what is recorded is genuine (occurrence/existence). It is **structurally incapable** of detecting a **missing** liability, because an unrecorded payable is *not in the population being sampled*. Completeness of liabilities must be tested by starting **outside** the ledger — a **search for unrecorded liabilities** (examining post-year-end payments, unmatched GRNs, supplier statements) and **analytical reasonableness** (e.g., expected purchases vs. recorded).

*Correct response:* redirect the procedure. Match the *technique to the assertion*: overstatement/existence → sample the ledger and vouch out; understatement/completeness → trace source documents in and use analytics.

## Scenario E — Projecting the error two ways (a full numerical worked example)

*Facts:* CA Nanda audits trade receivables. Population: 12,000 customer balances totalling **₹6,00,00,000**. She selects a statistical sample of **200 balances** whose recorded value is **₹15,00,000**, and confirms them. She finds overstatement errors: three balances overstated by ₹4,000, ₹6,000 and ₹2,000 respectively (total sample misstatement **₹12,000**). Tolerable misstatement is **₹10,00,000**. Investigation shows the errors arose from unrelated pricing keying mistakes across three different clerks — no proof of non-representativeness, so **none qualifies as an anomaly**. Project the misstatement and conclude.

*Method 1 — Ratio (value-weighted) projection.* Error rate in sampled value =  $\text{₹}12,000 \div \text{₹}15,00,000 = \mathbf{0.8\%}$ . Projected misstatement =  $0.8\% \times \text{₹}6,00,00,000 = \mathbf{\text{₹}4,80,000}$ .

*Method 2 — Difference (per-item) projection.* Average error per sampled item =  $\text{₹}12,000 \div 200 = \mathbf{\text{₹}60 \text{ per balance}}$ . Projected misstatement =  $\text{₹}60 \times 12,000 = \mathbf{\text{₹}7,20,000}$ .

*Reconciliation / self-check.* Both projections are *below* tolerable ₹10,00,000, but they differ (₹4,80,000 vs ₹7,20,000) because they assume different error behaviour — ratio assumes error scales with *value*, difference assumes error is a flat *amount per item*. Since the errors here were fixed keying slips of similar rupee size *unrelated to balance value*, the **difference method is the better fit**, giving ₹7,20,000. Sanity check: ₹7,20,000 is 1.2% of the ₹6 crore population, and the sample error rate by count was  $3/200 = 1.5\%$  of items — consistent order of magnitude, so the projection is internally coherent.

*Conclusion.* Projected ₹7,20,000 vs tolerable ₹10,00,000 leaves a buffer of ₹2,80,000 (28% of tolerable). That buffer is *moderate, not comfortable*. Because the point estimate could understate the true figure, and 3 errors in 200 is not trivial, the prudent response is to **consider extending the sample** or asking management to investigate and correct the identified pricing errors, then re-evaluate. She must **not** simply sign off on "projected < tolerable."

*What if the examiner tweaks it?* Suppose one of the three errors — the ₹6,000 one — is *proven* to arise from a one-day system glitch, now fixed, with additional testing confirming it recurred nowhere else. Then it is an **anomaly**: remove it from projection and add it back at actual ₹6,000. Re-projecting the remaining ₹6,000 (two errors) by the difference method:  $(\text{₹}6,000 \div 200) \times 12,000 = \text{₹}3,60,000$ , **plus** anomalous ₹6,000 =

**₹3,66,000** total. Notice the total *drops sharply* — which is exactly why the "anomaly" label is so powerful and so tightly policed: mislabel one error as anomalous and you can nearly halve the projected figure.

### Scenario F — A substantive analytical reasonableness test that must reconcile

*Facts:* CA Iqbal audits a company that operates a single leased tower let out as serviced offices. Independent facts: **500 rentable seats**; average annual occupancy per the access-card system (a non-financial, separately controlled source) was **86%**; the standard contracted tariff is **₹1,20,000 per seat per year**; a board-approved 5% discount scheme applied to roughly **40% of occupied seats**. Recorded revenue is **₹5,90,00,000**. Acceptable difference (set in advance) is **₹15,00,000**. Is recorded revenue reasonable?

*Build the expectation (predictive test).* Occupied seats =  $500 \times 86\% = 430$  seats. Gross expected revenue at full tariff =  $430 \times ₹1,20,000 = ₹5,16,00,000$ . Discount impact = 40% of 430 seats = 172 seats at 5% off  $₹1,20,000 = 172 \times ₹6,000 = ₹10,32,000$  reduction. Expected revenue =  $₹5,16,00,000 - ₹10,32,000 = ₹5,05,68,000$ .

*Compare.* Recorded ₹5,90,00,000 – expected ₹5,05,68,000 = **₹84,32,000** difference — vastly above the ₹15,00,000 acceptable difference (it is over 16% of expected revenue).

*Reconciliation / self-check.* Recorded revenue implies  $(₹5,90,00,000 \div ₹5,05,68,000) \approx 16.7\%$  more revenue than the physical capacity and occupancy support. Cross-check by capacity ceiling: even at **100% occupancy, full tariff, no discount**, maximum possible revenue =  $500 \times ₹1,20,000 = ₹6,00,00,000$ .

Recorded ₹5,90,00,000 is 98.3% of the *theoretical maximum* — yet occupancy was only 86%. That is close to physically impossible: it would require ~99% occupancy at full tariff with no discounts, contradicting the 86% access-card data and the discount scheme. The expectation and the ceiling check *agree* that revenue looks materially overstated.

*Correct response.* The difference is significant and the recorded figure strains against a *hard physical ceiling* set by independent data. Under SA 520.7: inquire of management; but any explanation must reconcile the gap against the access-card occupancy and the seat count — data management does not easily control. Likely further procedures: confirm a sample of tenant contracts and receipts, test cut-off, check for **fictitious or related-party lettings**, and escalate as a potential **fraud risk (SA 240)**. *Why this scenario is instructive:* the reasonableness test did not merely flag a difference — it produced an **independent number and a physical ceiling**, which is the maximum precision analytics can offer and the hardest kind of evidence for management to argue away.

*What if the examiner tweaks it?* If management produces evidence of a **legitimate new revenue stream** (say, ₹90 lakh of one-off fit-out and facility charges booked in revenue, supported by signed work orders and bank receipts), the gap is explained *and corroborated* — recorded revenue reconciles to  $₹5,05,68,000 + ₹90,00,000 \approx ₹5,95,68,000$ , within a reasonable distance of ₹5,90,00,000. The lesson: a significant difference is a *question*, and a properly **corroborated** answer resolves it — but the burden is on independent evidence, never on the fluency of the explanation.

### Scenario G — Specific-item selection masquerading as a sample

*Facts:* To audit a ₹40 crore expense population of 8,000 vouchers, CA Prakash judgementally selects **all 30 vouchers above ₹25 lakh** (covering ₹28 crore) and vouches them. All are clean. He writes in his file: "Sample tested clean; expenses fairly stated; projected error nil." Evaluate.

*Reasoning:* Two errors. First, selecting all items over a threshold is **specific-item selection under SA 500, not audit sampling** — the 7,970 vouchers below ₹25 lakh had *no chance* of selection, so nothing can be



**projected** from the 30 to the whole. Writing "projected error nil" is meaningless because *no projection is permissible*. Second, the untested ₹12 crore tail (7,970 vouchers) is *unexamined* — clean high-value items say nothing about whether the many small vouchers conceal error or a fraud deliberately kept below the threshold (a classic "structuring" tactic: keep each fraudulent voucher just under the scrutiny line).

*Correct response.* Recognise the ₹28 crore high-value testing as valuable but **targeted, non-projectable** evidence covering only those items. To conclude on the *whole* ₹40 crore, the remaining ₹12 crore population must be addressed by **audit sampling** (every unit having a chance of selection) and/or **substantive analytics**. *The examiner's point:* specific-item selection and sampling are *complements*, not substitutes — the high-value items are examined 100%, and the residual homogeneous tail is *sampled*. Never let 100% testing of the big items be dressed up as a conclusion about the small ones.

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## 6. Procedure & Documentation Summary

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**Sampling — procedure checklist (SA 530):** 1. Define the **objective** and the **assertion** being tested. 2. Define the **population**; confirm it is **complete and appropriate** to the objective. 3. Choose **statistical or non-statistical**; both require representativeness and projection. 4. Determine **sample size** from RMM, tolerable misstatement/deviation, expected misstatement, and assurance from other procedures. 5. **Select** items so every unit has a chance (random / systematic / MUS / haphazard for non-statistical); consider **stratification**. 6. **Perform** the procedure on each item; use **replacements** for missing documents; treat truly untestable items as **deviations/misstatements**. 7. **Investigate** nature and cause of each error; assess for **patterns**. 8. Treat as **anomaly** only if **provably non-representative** (rare; examine more items to confirm). 9. **Project** misstatement to the population (tests of details); for controls, the **sample deviation rate is the projected rate**. 10. **Compare** projected (+ anomalous) against **tolerable**; if too close/exceeding → **extend, use alternatives, or seek correction; re-evaluate** whether the population is acceptable.

**Analytical procedures — procedure checklist (SA 520):** 1. Confirm the **stage**: risk assessment (**mandatory**), substantive (**optional**), overall review (**mandatory**). 2. For substantive use, pass the **four gates**: suitability for assertion → data reliability & independence → precise expectation → acceptable difference set in advance. 3. **Compute** the expectation using trend/ratio/reasonableness techniques and, wherever possible, **non-financial** and **independent** data. 4. Compare recorded vs. expected; where the difference is **significant**: **inquire** → **corroborate** → **perform further procedures** if not corroborated. 5. Conclude on the assertion / overall consistency of the statements.

**What must be documented (SA 230 links):** the population and sampling unit; how the sample size and method were determined; items selected; procedures performed and errors found; cause analysis and anomaly justification; projection and the comparison against tolerable misstatement; for analytics — the expectation, the data source and reliability assessment, the acceptable difference, the differences found, and the investigation and corroboration of significant fluctuations. *Why:* under SA 230, if it isn't documented, it wasn't done — and both techniques rest on judgements a reviewer must be able to retrace.

**The "reperformance test" for your documentation.** A useful self-check drawn from SA 230: an *experienced auditor with no prior connection* to the engagement should be able to read your working paper and re-perform the judgement — reconstruct why you chose that sample size, why you called an error an anomaly, why you set that acceptable difference, and how you reached the conclusion. If a reviewer cannot retrace the chain without asking you questions, the documentation has failed, regardless of whether the underlying

work was sound. This is why SA 530 and SA 520 documentation must capture *the reasoning*, not just the numbers.

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## 7. Connections

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- **SA 500 / SA 501** (Audit Evidence): sampling is one of three ways to select items for testing; analytics is a *type* of substantive procedure. Both must yield **sufficient and appropriate** evidence.
  - **SA 330** (Responses to assessed risks): "extent" of procedures = sample size; sampling and analytics are the operational tools of the auditor's *response*.
  - **SA 315** (Risk assessment): analytical procedures are a **required** risk-assessment procedure; assessed RMM *drives* sample size.
  - **SA 320** (Materiality): **tolerable misstatement** ( $\leq$  performance materiality) is the benchmark against which projected error is judged; **acceptable difference** in analytics derives from materiality.
  - **SA 240** (Fraud): unexplained analytical fluctuations and error *patterns* in samples are fraud signals; directional testing (overstatement of revenue/assets) is fraud-aware.
  - **SA 230** (Documentation): both techniques generate specific documentation obligations.
  - **SA 450** (Evaluation of misstatements): *projected* misstatements from sampling feed into the schedule of **uncorrected misstatements** the auditor accumulates and, near the end, evaluates against materiality for the statements as a whole — the bridge from a single account's projection to the overall opinion.
  - **SA 540** (Auditing accounting estimates): reasonableness/predictive analytics are a core tool for auditing estimates (depreciation, provisions), but volatile estimates often resist analytics and demand tests of details — the "suitability" gate of SA 520.5 in action.
  - **SA 520 ↔ SA 530 relationship**: they are *substitutes and complements* — strong substantive analytics **reduce** required sample size for the same assertion (a factor in 4.2.3), and each covers the other's blind spot (isolation vs. aggregate; existence vs. completeness).
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## 8. Traps & Examiner Tricks

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- **"Non-statistical = casual."** False. SA 530 applies fully to both; the only difference is whether sampling risk is *measured* or *judged*. Representativeness and projection are mandatory in both.
- **Random selection alone = statistical.** False. Statistical sampling needs random selection **and** probability theory to measure risk; random selection with judgement-based evaluation is still non-statistical.
- **Failure to project.** Treating errors found in the sample as the total error in the population. Errors must be **extrapolated**.
- **Confusing the two projection methods.** Ratio projection scales error by *value*; difference projection scales by *number of items*. They can give very different figures from the *same* found error — choose the basis that fits how the error behaves, and document it.
- **Over-using "anomaly."** The anomaly exemption is *rare* and requires **proof of non-representativeness with high certainty**, including testing more items. Do not use it to wave away inconvenient errors.
- **Replacement vs. deviation.** You may test a **replacement** for an item you *chose not to* test for a benign reason; you must treat an item you *could not* test (no alternative) as a **deviation/misstatement** — never quietly replace it.



- **Population size drives sample size.** For large populations it does **not** — assurance comes from sample size, not the sample-to-population ratio.
  - **Tolerable vs. expected error move sample size in opposite directions.** Higher *tolerable* → smaller sample; higher *expected* → larger sample. Easy to invert under exam pressure.
  - **Tolerable misstatement set too high.** It must be  $\leq$  **performance materiality**, which is itself below overall materiality; setting it near overall materiality destroys the cushion.
  - **Sampling risk vs. non-sampling risk.** Sampling risk shrinks with bigger samples; **non-sampling risk does not** — it is countered by planning, supervision, competence and suitable procedures.
  - **Effectiveness vs. efficiency risks.** Over-reliance and incorrect acceptance threaten the **opinion** (effectiveness); under-reliance and incorrect rejection only waste effort (efficiency). Know which is which.
  - **MUS catches overstatement, not understatement.** Value-weighted selection targets big items and self-selects overstatements; a zero/understated item has few or no rupees and can escape entirely — useless for completeness.
  - **When are analytics mandatory?** At **risk assessment** and **final overall review** — **not** as a substantive procedure (that's optional). Frequently reversed by students.
  - **Precision bar differs by stage.** Analytics at risk assessment may be broad; as a substantive procedure they must be *precise enough to substitute for detailed testing*.
  - **Building the expectation from unreliable/dependent data.** If the expectation's inputs come from the same weak system as the audited figure, the procedure proves nothing. Prefer **independent** and **non-financial** data.
  - **Accepting management's explanation uncorroborated.** SA 520.7 requires **corroboration**; an oral explanation is a hypothesis, not evidence. A *fluent* explanation is not a *corroborated* one.
  - **A figure landing exactly on budget is not comfort.** It may signal management steering actuals to the target — itself a fluctuation to investigate.
  - **Precision of expectation.** A vague expectation can never be violated and detects nothing. Disaggregation (monthly, by product) is the strongest precision lever.
  - **Directional testing.** Vouching the recorded ledger cannot detect **omissions** (understatement/completeness). Match the technique to the assertion's *direction*: *you can only catch what is in the population you sample*.
  - **Block and haphazard selection.** Block selection is generally inappropriate (not representative, correlated items); haphazard is fine for **non-statistical** only and must avoid bias — never for statistical sampling.
  - **Systematic selection + periodic pattern = biased sample.** Always check for structure that aligns with the interval.
  - **Specific-item selection is not sampling.** Judgementally picking all items over ₹X is **targeted testing**; its results **cannot be projected** because unselected items had no chance of selection. And it leaves the small-value tail unexamined — where structured fraud hides.
  - **"Projected < tolerable" is not automatically a pass.** If the buffer is thin, the true misstatement could still exceed tolerable — extend testing.
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## 9. First-Principles Recap

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Audit exists because owners cannot verify managers, so an independent expert gives assurance on the managers' self-report. That assurance runs into two hard limits, and this chapter is the disciplined answer to each.

The **volume limit** — you cannot test everything — is met by **sampling (SA 530)**: examine a *representative* subset in which every item had a chance of selection, find and *investigate* errors, **project** them to the whole, and compare the projection against **tolerable misstatement**. The residual uncertainty (that the sample was, by luck, unrepresentative) is **sampling risk**, which the auditor *measures* (statistically) or *judgets* (non-statistically) but never ignores. Errors that resist projection because you can't test them, or that hide in patterns, or that point the wrong direction, are all traps this discipline is built to close.

The **isolation limit** — item-by-item testing misses misstatements visible only in aggregate — is met by **analytical procedures (SA 520)**: because meaningful data move together predictably, the auditor builds an **independent, precise expectation** and treats any **significant, uncorroborated deviation** as a signal of possible misstatement, mandatory at planning and final review and optional as substantive evidence. Its power is exactly proportional to the *precision* of the expectation and the *independence* of its data — which is why non-financial data is gold.

Both techniques enforce the same non-negotiable move: the auditor manufactures an **independent yardstick** — a projected error, an expected value — and refuses to accept the client's number, or the client's explanation, without holding it against that yardstick. That refusal *is* the audit. And both accept the same honest limit — **reasonable, not absolute, assurance** — because the only assurance worth giving is one the profession can afford to deliver and always keep.

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## 10. Quick-Revision Sheet

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### Key Standards

| SA            | Title                       | Core requirement / why                                                                                                                                                                    |
|---------------|-----------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>SA 500</b> | Audit Evidence              | Three ways to select items: all / specific / <b>sampling</b> ; evidence must be sufficient + appropriate; reliability hierarchy (external > internal, direct > indirect, original > copy) |
| <b>SA 530</b> | Audit Sampling              | Test <100% with every unit having a chance; project errors; compare to tolerable misstatement; control sampling risk                                                                      |
| <b>SA 520</b> | Analytical Procedures       | Evaluate plausible relationships; <b>mandatory</b> at risk assessment + overall review, optional substantive; investigate + corroborate significant deviations                            |
| <b>SA 315</b> | Risk assessment             | Analytics <b>required</b> ; RMM drives sample size                                                                                                                                        |
| <b>SA 330</b> | Responses to risk           | "Extent" = sample size                                                                                                                                                                    |
| <b>SA 320</b> | Materiality                 | Tolerable misstatement $\leq$ performance materiality $\leq$ overall materiality                                                                                                          |
| <b>SA 450</b> | Evaluation of misstatements | Projected misstatements accumulate into the uncorrected-misstatement schedule                                                                                                             |
| <b>SA 240</b> | Fraud                       | Fluctuations and error patterns are fraud signals                                                                                                                                         |
| <b>SA 230</b> | Documentation               | Record population, method, size, errors, projection, expectation, investigation; reperformable by an experienced auditor                                                                  |

**Sampling — must-knows** - Sampling risk = risk sample conclusion  $\neq$  whole-population conclusion; **shrinks with sample size**. Non-sampling risk = wrong conclusion for other reasons; **not** fixed by size. - Confidence level + sampling risk = 100%; higher confidence  $\rightarrow$  larger sample. - Dangerous directions: **over-reliance** (controls) and **incorrect acceptance** (details)  $\rightarrow$  affect the **opinion**. Their opposites affect only **efficiency**. False-comfort vs false-alarm. - Statistical = random selection + probability theory (measures risk). Non-statistical = judgement; **same rigour**, risk not quantified. - Sample size  $\uparrow$  with: RMM, expected error, desired assurance/confidence, intended reliance. Sample size  $\downarrow$  with: tolerable misstatement/deviation, other substantive evidence, stratification. **Population size: negligible for large populations**. (Tolerable  $\downarrow$ size, expected  $\uparrow$ size — opposite directions.) - Selection methods: random, systematic (beware periodic patterns), MUS/value-weighted (targets overstatement, blind to understatement/zero balances), haphazard (non-statistical only), block (avoid — correlated items). - Projection: **ratio** (scale by value) or **difference** (scale by item count); anomalies added at actual, never projected. - Evaluate: investigate cause  $\rightarrow$  **anomaly only if provably unrepresentative**  $\rightarrow$  **project**  $\rightarrow$  compare to tolerable **with a buffer**  $\rightarrow$  extend/alternatives/correct if too close. - **Specific-item selection  $\neq$  sampling** (no projection; small tail left unexamined). **Directional testing**: overstatement  $\rightarrow$  sample ledger & vouch out; completeness  $\rightarrow$  trace in / analytics. *You can only catch what is in the population you sample.*

**Analytical procedures — must-knows** - Works because relationships among financial and **non-financial** data are **predictable and persist** — and non-financial data sits *outside* the manipulable ledger. - **Mandatory** at (1) risk assessment and (2) final overall review; **optional** as substantive. Precision bar is *broad* at planning, *high* when substantive. - Four gates for substantive use: **suitability** for the assertion  $\rightarrow$  **reliable, independent data**  $\rightarrow$  **precise expectation**  $\rightarrow$  **acceptable difference set in advance**. - Precision levers:

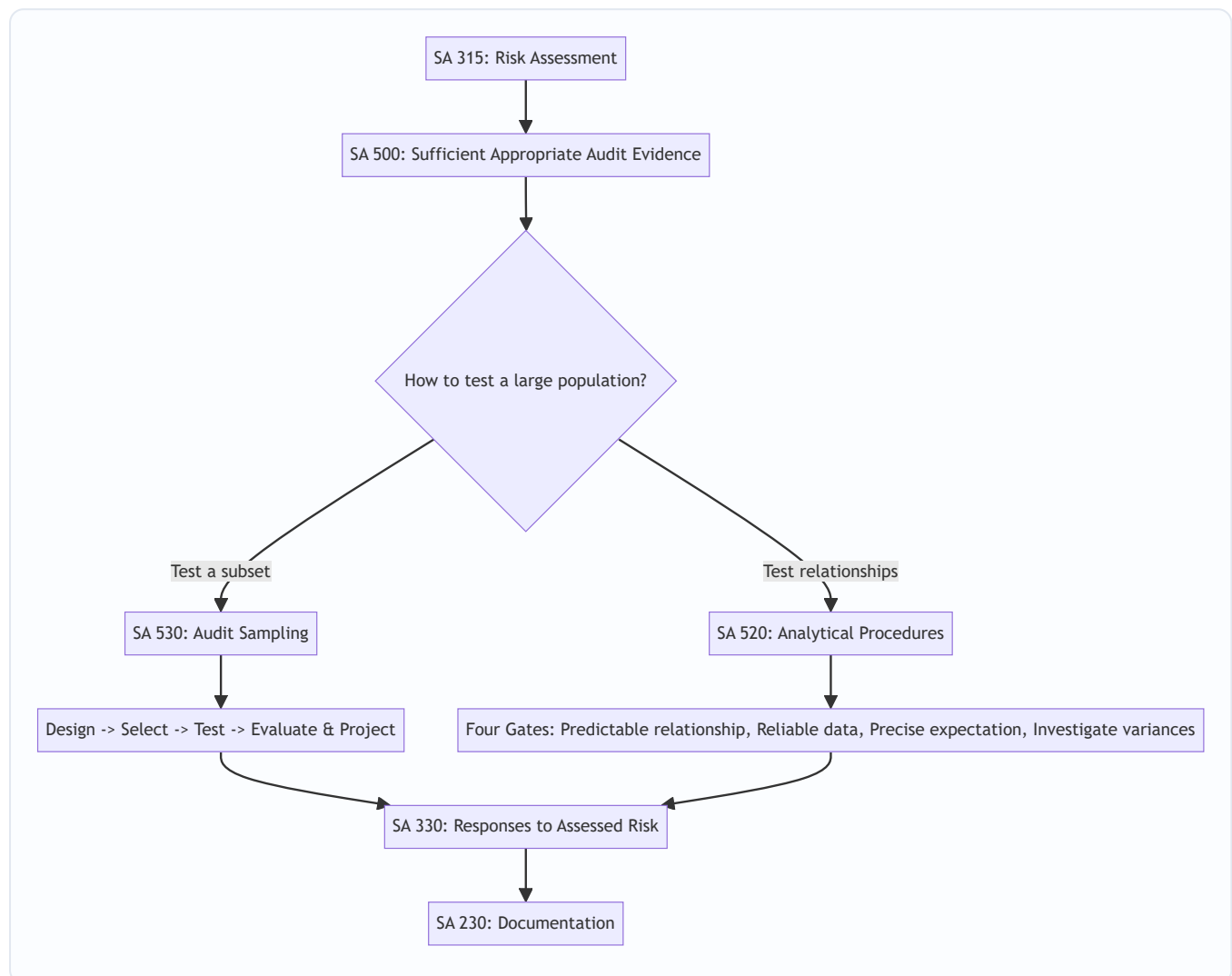
**disaggregation** (monthly/product/location) is strongest; stable relationships; reliable independent data; predictive over trend. - Toolkit by strength: trend < ratio < budget comparison < reasonableness/predictive test. - Investigate significant deviations: **inquire** → **corroborate with evidence** → **further procedures**. Never accept an uncorroborated (or implausible) explanation. Exact-on-budget is a flag, not comfort. - Best assertions: **completeness** and reasonableness of accounts with stable relationships; poor for volatile/discretionary accounts (use tests of details).

**One-line memory hooks** - *Sampling drills down; analytics steps back.* - *The number in the sample is never the number in the population — project it.* - *A vague expectation can never be violated — precision is the whole point.* - *Management's explanation is a hypothesis, not evidence — corroborate it.* - *You cannot sample the ledger to find what was left out of the ledger.* - *You can only catch what is in the population you sample.* - *Tolerable shrinks the sample; expected grows it.* - *Anomaly is a proof, not a label — and it's the escape hatch the Standard bolts shut.* - *Reasonable assurance, never absolute — that is the honest, keepable promise.*

# Q&A — Audit Sampling & Analytical Procedures

CA Intermediate — Auditing & Ethics | Chapter: Audit Sampling & Analytical Procedures Standards in play: **SA 500** (Audit Evidence), **SA 530** (Audit Sampling), **SA 520** (Analytical Procedures), with links to SA 315, SA 320, SA 330, SA 240 and SA 230.

## How the pieces fit (read this first)



## SECTION A — Concept-Check Questions (with answers)

**A1. Define "audit sampling" as per SA 530.** Audit sampling is the application of audit procedures to **less than 100%** of the items within a population of audit relevance such that **all sampling units have a chance of selection**, in order to provide the auditor a reasonable basis to draw conclusions about the **entire population**. (SA 530, para 5)

**A2. What is the "sampling unit"?** The individual items constituting a population — e.g., an invoice, a debtor balance, a voucher. (SA 530, para 5)

**A3. Distinguish sampling risk and non-sampling risk.** - **Sampling risk**: the risk that the auditor's conclusion based on a sample differs from the conclusion had the **entire population** been tested. It has two aspects — risk of *incorrect acceptance / underreliance* and risk of *incorrect rejection / overreliance*. - **Non-sampling risk**: risk that the auditor reaches a wrong conclusion for **any reason unrelated to sample size** — e.g., using inappropriate procedures or misinterpreting evidence. (SA 530, para 5)

**A4. What makes audit evidence "sufficient" and "appropriate" under SA 500?** - **Sufficiency** = the **measure of the quantity** of audit evidence. - **Appropriateness** = the **measure of the quality** — its **relevance** and **reliability** in supporting the conclusions. Higher risk usually needs more evidence; higher quality may permit less. (SA 500, para 5)

**A5. State the reliability hierarchy of audit evidence (SA 500).** Reliability is greater when evidence is: (a) from **independent external sources**; (b) generated under **effective internal control**; (c) obtained **directly by the auditor** (e.g., observation) rather than indirectly; (d) in **documentary** form rather than oral; and (e) **original** documents rather than photocopies/facsimiles. (SA 500, para A31)

**A6. Define analytical procedures (SA 520).** Evaluations of financial information through analysis of **plausible relationships** among both financial and non-financial data, including the investigation of **fluctuations or relationships that are inconsistent** with other information or that deviate significantly from expected values. (SA 520, para 4)

**A7. Name the two broad approaches to sampling. Statistical sampling** (random selection + probability theory to evaluate results, allowing measurement of sampling risk) and **non-statistical sampling** (judgemental — does not have both features). (SA 530, para 5)

**A8. What is "tolerable misstatement"?** A monetary amount set by the auditor for which the auditor seeks to obtain appropriate assurance that the actual misstatement in the population does not exceed it. It is the application of **performance materiality** (SA 320) to a particular sampling procedure. (SA 530, para 5)

**A9. What is "tolerable rate of deviation"?** A rate of deviation from prescribed internal control procedures set by the auditor, for which he seeks appropriate assurance that the actual deviation rate is not exceeded — used in **tests of controls**. (SA 530, para 5)

**A10. When must analytical procedures be used mandatorily?** Analytical procedures are **mandatory at the risk-assessment stage** (SA 315) and **mandatory near the end of the audit** to form an overall conclusion on whether the financial statements are consistent with the auditor's understanding (SA 520, para 6). As **substantive procedures** they are **optional** (auditor's choice under SA 520, para 5).

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## SECTION B — Applied Scenario Questions (Situation → Audit Response with reasoning)

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**B1. Projection failure.** *Situation:* An auditor selects a sample of 60 sales invoices from a population of 6,000 and finds misstatements totalling ₹9,000. He concludes "the misstatement is only ₹9,000, which is below materiality — no issue." *Required:* Comment. *Response:* This is **wrong**. SA 530 (para 14) requires the auditor to **project** misstatements found in the sample to the **entire population**. The ₹9,000 relates only to the 60 items tested; it must be extrapolated (here, roughly  $₹9,000 \times 6,000/60 = ₹9,00,000$  projected). Only the projected misstatement — together with any **anomalous** misstatement — is compared with tolerable misstatement. Failing to project defeats the purpose of sampling and understates the population

misstatement. Reasoning anchor: a sample is representative of the whole; conclusions must be drawn about the whole (SA 530, para 5, 14).

**B2. Treating a deviation as anomalous.** *Situation:* A misstatement in the sample arose from a computer glitch on a single day that has since been corrected and cannot recur. May the auditor exclude it from projection? *Response:* Only if the auditor obtains a **high degree of certainty** that the misstatement/deviation is **not representative** of the population — i.e., it is an **anomaly** (SA 530, para 13). He must perform **additional procedures** to establish the misstatement will not affect the rest of the population. If established as anomalous, it is **excluded from projection** but **still added** to the total misstatement (projected + anomalous) when evaluating results. An anomaly is exceptional; it should not be assumed.

**B3. Incoherent gross margin (substantive analytics).** *Situation:* During analytical review, gross profit margin jumped from 22% to 38% though selling prices and product mix were unchanged, and there was no obvious reason. *Response:* This is a **significant fluctuation inconsistent with expectations**. Under SA 520 (para 7), the auditor must **investigate**: (a) inquire of management and obtain **corroborating audit evidence** for the explanation, and (b) perform **other audit procedures** if the response is inadequate or unsatisfactory. A margin spike may signal **overstated closing inventory, understated purchases/COGS**, cut-off errors or fictitious sales — a possible **fraud risk** (SA 240). The auditor must not accept management's explanation at face value; he corroborates it.

**B4. Systematic selection trap.** *Situation:* An auditor uses **systematic (interval) selection** — every 50th voucher — over a payments journal in which every 50th entry happens to be an automated month-end recurring standing-order payment. *Response:* Systematic selection is invalid where the population has a **structure/pattern that coincides with the sampling interval**, because the sample then over-represents one type of item and is **not representative** (SA 530, para A13). The auditor should verify the population has **no pattern**, or switch to **random selection**. Otherwise the sample gives a biased basis for the population conclusion.

**B5. Directional testing error.** *Situation:* To test **completeness** of purchases (understatement), the auditor picks a sample from the **purchases ledger** and vouches each to a supplier invoice. *Response:* Wrong **direction**. Selecting from the recorded ledger tests **occurrence/existence** (overstatement), not completeness. To test completeness the auditor must start from an **independent, external population** — e.g., goods received notes / supplier statements — and **trace forward** into the ledger to detect **unrecorded** purchases (SA 500 relevance of evidence; SA 315 assertions). The chosen population must match the assertion being tested.

**B6. Population not appropriate.** *Situation:* To confirm existence of trade receivables, an auditor draws his sample from the **sales day book**. *Response:* Inappropriate population. Existence of receivables must be tested from the **closing debtors balances**, not the sales book, because the sample must be drawn from the population **relevant to the objective** and be **complete** (SA 530, para 6, and SA 500 relevance). Sampling from the sales book could include amounts already settled.

**B7. Reliability of data used in analytics.** *Situation:* An auditor builds an expectation of interest expense using a loan schedule prepared by the client's finance team whose controls the auditor has not tested. *Response:* SA 520 (para 5(b)) requires the auditor to evaluate the **reliability of data** from which the expectation is developed, considering source, comparability, nature/relevance and controls over preparation. If controls over the schedule are untested, the auditor should **test the source data** or corroborate it (e.g., independent recomputation from sanction letters and bank statements) before relying on the analytical result.



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## SECTION C — Past-Paper-Style Descriptive Questions (with model answers)

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### C1. "Sample size is not a valid criterion to distinguish statistical from non-statistical sampling."

**Discuss the factors affecting sample size in tests of details.** (SA 530) *Model answer:* Whether statistical or non-statistical, the **sample size must be sufficient** to reduce sampling risk to an acceptably low level (SA 530, para 7). The distinction lies in **random selection + probability-based evaluation**, not in size. Factors increasing/decreasing sample size for **tests of details** (SA 530, Appendix 3): - **Higher assessed risk of material misstatement** → larger sample. - **Greater reliance on other substantive procedures** for the same assertion → smaller sample. - **Higher required confidence** (assurance) → larger sample. - **Higher tolerable misstatement** → smaller sample. - **Higher expected misstatement** in the population → larger sample. - **Stratification** of the population where appropriate → reduces sample size. - **Number of sampling units** in the population → negligible effect for large populations.

**C2. Explain the methods of selecting sample items under SA 530.** *Model answer:* (SA 530, para A13 / Appendix 4) 1. **Random selection** — using random number generators/tables; every unit has a known equal chance. 2. **Systematic selection** — a constant **sampling interval** with a random start; avoid where population has a pattern. 3. **Monetary Unit Sampling (MUS)** — value-weighted selection; probability of selection proportional to monetary amount, biasing toward high-value items. 4. **Haphazard selection** — no structured technique but **no conscious bias**; not appropriate for statistical sampling. 5. **Block selection** — selecting contiguous items (e.g., all vouchers of one month); generally **inappropriate** as most populations are not so structured and blocks are unrepresentative.

**C3. Discuss the auditor's action when a sample is not representative or when deviations/misstatements are found. (Evaluation of results — SA 530)** *Model answer:* Under SA 530 (paras 12–15): - **Investigate nature and cause** of every deviation/misstatement and evaluate its effect on the audit. - Consider whether it is an **anomaly**; if claimed anomalous, obtain **high certainty** through additional procedures. - For **tests of details**, **project** the misstatement to the population; for **tests of controls**, the sample deviation rate is the projected population deviation rate. - Compare projected misstatement (plus anomalous) with **tolerable misstatement**; compare deviation rate with **tolerable rate**. - If results indicate the population **may be materially misstated / control cannot be relied on**, the auditor **re-evaluates**, may **extend the sample**, or perform **alternative/further procedures**. If sampling has not provided a reasonable basis, additional evidence is obtained (SA 500).

**C4. State the purposes and stages of analytical procedures in an audit. (SA 520 read with SA 315)** *Model answer:* Analytical procedures serve three roles across the audit: 1. **Risk assessment procedures** (SA 315) — **mandatory** at planning, to understand the entity and identify areas of risk / unusual relationships. 2. **Substantive analytical procedures** (SA 520, para 5) — **optional**; used to obtain evidence on assertions where relationships are **predictable** and data reliable, often for large volumes of transactions. 3. **Overall review at the end** (SA 520, para 6) — **mandatory**, to conclude whether the financial statements are consistent with the auditor's understanding of the entity. Techniques include **ratio analysis**, **trend analysis**, **reasonableness tests** and comparison with prior periods, budgets, industry data and non-financial information.

**C5. What are the "four gates" (conditions) the auditor must satisfy before relying on substantive analytical procedures? (SA 520, para 5)** *Model answer:* 1. **Suitability** — the substantive analytical procedure is **suitable for the assertion**, considering assessed risk and any tests of details for that assertion (para 5(a)). 2. **Reliable data** — evaluate reliability of the data used to develop the expectation (source,

comparability, relevance, controls over preparation) (para 5(b)). 3. **Precise expectation** — develop an expectation **sufficiently precise** to identify a misstatement that, individually or aggregated, could be material (para 5(c)). 4. **Acceptable difference / investigate** — determine the amount of difference from the expectation that is acceptable **without investigation**, and **investigate** differences exceeding it (para 5(d) → para 7).

**C6. How does the auditor determine that a population is appropriate for sampling? (SA 530, para 6)**

*Model answer:* The population must be: - **Appropriate** to the objective of the audit procedure, including the **direction of testing** (e.g., completeness vs existence); and - **Complete** — the auditor obtains evidence that the population from which the sample is drawn is complete, so the conclusion validly extends to the whole population. The auditor also considers **stratification** (dividing into sub-populations of similar characteristics) and testing **high-value/key items 100%** separately, with sampling applied to the residual.

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## **SECTION D — MCQs and Case Scenarios (correct option + one-line reasoning)**

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**D1.** Audit sampling requires that: (a) only high-value items are selected (b) all sampling units have a chance of selection (c) exactly 10% of items are tested (d) only the auditor's favourite items are tested **Answer: (b)** — SA 530 defines sampling as giving *all* units a chance of selection.

**D2.** The risk that the auditor's conclusion from a sample differs from the conclusion on the whole population is: (a) non-sampling risk (b) detection risk (c) sampling risk (d) business risk **Answer: (c)** — By definition under SA 530.

**D3.** "Appropriateness" of audit evidence refers to its: (a) quantity (b) quality — relevance and reliability (c) cost (d) age **Answer: (b)** — SA 500 para 5; sufficiency is quantity, appropriateness is quality.

**D4.** Analytical procedures are mandatory: (a) only at planning (b) only as substantive tests (c) at risk assessment and at the overall final review (d) never **Answer: (c)** — SA 315 (planning) and SA 520 para 6 (overall conclusion); substantive analytics are optional.

**D5.** Selecting every 40th item where the population has an embedded recurring pattern at that interval violates the requirement that a sample be: (a) large (b) statistical (c) representative (d) documented **Answer: (c)** — Systematic selection fails when population structure coincides with the interval (SA 530, A13).

**D6.** A misstatement demonstrably not representative of the population is called: (a) tolerable (b) projected (c) anomalous (d) expected **Answer: (c)** — An anomaly, requiring high certainty (SA 530, para 13); excluded from projection but added to total.

**D7.** The most reliable of the following audit evidence is: (a) a photocopy of a client-prepared voucher (b) an oral representation by the CFO (c) a bank confirmation received directly by the auditor (d) an internally generated report with weak controls **Answer: (c)** — External, direct, documentary evidence ranks highest (SA 500, A31).

**D8.** Tolerable misstatement is essentially the application of \_\_\_\_ to a sampling procedure: (a) overall materiality (b) performance materiality (c) trivial threshold (d) audit risk **Answer: (b)** — SA 530 links tolerable misstatement to performance materiality (SA 320).

**D9 — Case Scenario.** CA Nidhi is auditing Zephyr Ltd. She develops an expectation of power cost using units produced × average tariff, finds actual power cost 30% above expectation, and accepts the CFO's one-line email

saying "rates went up." Which is correct? (a) Accepting the email alone is adequate (b) She must corroborate the explanation with independent evidence and consider other procedures (c) A 30% variance never needs investigation (d) Analytical procedures cannot use non-financial data **Answer: (b)** — SA 520 para 7 requires investigating inconsistent fluctuations by inquiry **plus corroboration** and, if needed, other procedures. (Non-financial data such as units produced is expressly permitted.)

**D10 — Case Scenario.** During a test of controls over purchase approvals, the tolerable deviation rate was 5%. In a sample of 100, the auditor finds 8 deviations, one of which is a genuine anomaly. Best response? (a) Ignore all deviations as immaterial (b) Treat 7% as the projected deviation rate, note it exceeds tolerable, and reduce reliance / extend testing (c) Exclude all 8 and rely fully on the control (d) Project ₹ value of the deviations **Answer: (b)** — For tests of controls the sample deviation rate is the projected population rate (SA 530, para 14); after removing the anomaly the rate (7%) still exceeds the 5% tolerable rate, so the auditor cannot rely on the control and must respond (SA 330). (Value projection applies to tests of details, not control deviations.)

**D11.** Which selection method is generally considered inappropriate because populations are rarely structured that way? (a) random (b) monetary unit (c) block selection (d) systematic **Answer: (c)** — Block selection yields unrepresentative contiguous items (SA 530, A13).

**D12.** Where does the requirement to document the sampling basis, evaluation and conclusions ultimately flow from? (a) SA 240 (b) SA 230 (c) SA 610 (d) SA 700 **Answer: (b)** — SA 230 governs audit documentation of the nature, timing, extent and conclusions of procedures performed.

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## Quick-Revision One-Liners

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- **SA 500** = evidence must be **sufficient (quantity) + appropriate (quality: relevant + reliable)**.
- **SA 530** = test a **representative subset**; sample size driven by **RMM, tolerable & expected misstatement, required confidence, stratification**.
- Selection: **random, systematic, MUS, haphazard, block** (last two weak; block usually inappropriate).
- Always **project** sample misstatement to the population; add **anomalous** separately; compare with **tolerable misstatement**.
- **SA 520 four gates** = suitable procedure, reliable data, precise expectation, investigate significant differences with corroboration.
- **Direction of testing** = existence/occurrence tests from the **books**; completeness tests from **independent/external population**.
- Analytics mandatory at **risk assessment** and **final overall review**; optional as substantive.
- Fraud-flavoured variances → **SA 240**; responses to results → **SA 330**; materiality inputs → **SA 320**; document everything → **SA 230**.

# Chapter 06 — Audit of Items of Financial Statements

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## 1. The Problem — Why "audit the balance sheet line by line" is a trap unless you understand what is actually at risk

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Return to the founding tension of this whole subject. The owners of a company (shareholders) hand their money to managers (directors) and then go away. The managers prepare a set of financial statements that say, in effect: "*Here is what we own, here is what we owe, and here is how much we earned for you.*" The owners cannot walk into the warehouse and count the boxes, phone every customer to confirm the debt, or re-add every invoice. They are structurally blind. The auditor is the paid, independent expert who does the looking on their behalf and reports whether the statements can be trusted.

So far, so familiar. But here is the specific problem this chapter attacks: **the financial statements are not one claim — they are hundreds of separate claims, and each claim can be false in a *different* way.**

Consider two numbers on the same balance sheet:

- **Revenue ₹500 crore.** How does a dishonest manager distort *this*? Almost always by making it **bigger than reality** — recording sales that did not happen, or pulling next year's sales into this year — because bonuses, share prices and loan covenants all reward high revenue. The risk direction is **overstatement**.
- **Trade payables ₹80 crore.** How does a dishonest manager distort *this*? By making it **smaller than reality** — hiding invoices in a drawer, not recording goods received near year-end — because a smaller liability makes the company look healthier and profit look bigger. The risk direction is **understatement**.

If the auditor used the *same* procedure on both — say, "vouch a sample of recorded entries to supporting documents" — they would catch the revenue fraud (each recorded sale is tested for reality) but **completely miss the payables fraud** (you cannot vouch an invoice that was deliberately never entered). The recorded payables would all be genuine; the problem is the *missing* ones.

That single example is the entire reason this chapter exists. **You cannot audit every line item the same way, because every line item is exposed to a different lie.** The direction of the likely misstatement, the party motivated to commit it, and the evidence that can disprove it all change from one item to the next. A procedure that is powerful against one risk is blind to another.

The risk this chapter counters, then, is the risk of the **wrong-tool auditor** — the auditor who performs lots of activity but aims it in the wrong direction and gives a clean opinion over a materially misstated figure.

**A finer distinction the exam loves: "audit for overstatement" is not the same as "audit *only* recorded items."** When we say assets are audited for overstatement we mean the *primary* thrust; a secondary completeness angle always survives (an unrecorded receivable understates assets and is still a misstatement — just a rarer, less-incentivised one). The examiner rewards the candidate who names the *dominant* direction **and** acknowledges that the reverse direction, while lower risk, is not zero. The professional word for this is that risk is a matter of *degree and direction*, not a binary switch.

**Why "materiality" quietly decides how hard you look.** Two numbers exposed to the same lie do not deserve the same effort if one is ₹500 crore and the other ₹50,000. Under **SA 320 (Materiality)**, the auditor sets a threshold below which a misstatement could not influence a user's decision. Item audit inherits this: inventory at 60% of assets earns count attendance and roll-forwards; stationery stock does not. So the real planning question is a *product* — **"how likely is this item to be misstated (risk) × how much would it**

**matter (materiality)?"** — and effort flows to the high-product items. A candidate who counts petty cash for three hours and never confirms a receivable has misread the product.

## 2. The Core Idea — Assertions are the bridge from "risk" to "procedure"

The tool that saves us is the concept of the **assertion**, drawn from **SA 315 (Identifying and Assessing the Risks of Material Misstatement)**. Every figure and disclosure in the financial statements is management making a bundle of implicit *representations*. When management writes "Inventory ₹40 crore," they are silently asserting:

- **Existence** — this inventory really is physically there.
- **Rights and obligations** — we actually own it (it is not held on consignment for someone else).
- **Completeness** — all inventory we own is included; nothing has been left out.
- **Valuation / Accuracy** — it is measured correctly (at lower of cost and net realisable value).
- **Presentation / Classification** — it is shown and disclosed properly (e.g., raw material vs finished goods, pledged stock flagged).

For transactions and events (like revenue and expenses) the assertion set is phrased slightly differently: **Occurrence, Completeness, Accuracy, Cut-off, Classification** (and Presentation).

**Learn the three families of assertions, because the exam expects you to name which family a figure belongs to before you list procedures:**

| Family                                                                  | Applies to                                          | Assertions                                                                                          | Mnemonic    |
|-------------------------------------------------------------------------|-----------------------------------------------------|-----------------------------------------------------------------------------------------------------|-------------|
| <b>Classes of transactions &amp; events</b> (P&L items over the period) | Revenue, purchases, expenses, payroll               | Occurrence, Completeness, Accuracy, Cut-off, Classification, Presentation                           | "OCCA-CP"   |
| <b>Account balances</b> (B/S items at the period-end)                   | PPE, inventory, receivables, payables, cash         | Existence, Rights & obligations, Completeness, Valuation & allocation, Classification, Presentation | "E-CROV-CP" |
| <b>Presentation &amp; disclosure</b> (the note-level story)             | All notes, related-party disclosures, contingencies | Occurrence & rights, Completeness, Classification & understandability, Accuracy & valuation         | —           |

Why does this matter? Because a candidate who blurs "Occurrence" (a transaction word) with "Existence" (a balance word) signals they don't know which lens to hold up to a figure. **Existence answers "is this asset here at the reporting date?"; Occurrence answers "did this transaction actually happen during the period?"** A fictitious sale fails *Occurrence*; a ghost machine fails *Existence*. They rhyme, but the evidence differs — you inspect for Existence, you vouch to a dispatch record for Occurrence.

**The core idea of the whole chapter is a three-step chain, applied to every single line item:**

**For this item, which assertion is most likely to be false, in which direction, because of whose motive? → That is the risk. → Choose the procedure that specifically can disprove *that* assertion.**

This is the disciplined form of our guiding law "no requirement before its reason." The "reason" for any verification procedure is *the assertion at risk*. Vouching proves Occurrence. Tracing proves Completeness. Physical inspection proves Existence. External confirmation proves Existence and Rights. Recomputation proves Accuracy and Valuation. Once you internalise which procedure attacks which assertion, you never again have to memorise a list of "audit steps for receivables" — you *derive* them.

**The seven procedure verbs and the assertion each attacks (SA 500 para A14–A25).** Memorise this; every "list the procedures" question is you selecting from these seven and *justifying* the pick by the assertion:

| Procedure verb                        | Direction of testing | Assertion it best proves               | Why                                   |
|---------------------------------------|----------------------|----------------------------------------|---------------------------------------|
| <b>Inspection</b> (of records/assets) | —                    | Existence; supports Valuation          | You see the thing or the document     |
| <b>Observation</b>                    | —                    | Existence + effectiveness of a process | You watch it happen (e.g., the count) |
| <b>External confirmation</b>          | —                    | Existence + Rights                     | Independent third party               |
| <b>Recalculation</b>                  | —                    | Accuracy, Valuation                    | You redo the arithmetic               |
| <b>Reperformance</b>                  | —                    | Whether a control worked               | You re-run the client's control       |
| <b>Analytical procedures</b>          | —                    | Completeness, Accuracy (screening)     | Relationships that should hold        |
| <b>Inquiry</b>                        | —                    | Weak alone — <i>always corroborate</i> | People can lie                        |

The single most examined nuance here: **inquiry is never sufficient on its own**. SA 500 says inquiry alone does not provide sufficient appropriate evidence *or* evidence about the operating effectiveness of controls. So an answer that stops at "ask management" is worth few marks; you must pair inquiry with inspection, confirmation, or recomputation.

Figure 1 — The assertion is the hinge between the risk and the procedure; you never jump straight from item to procedure.

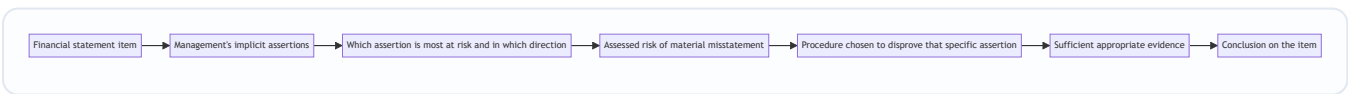
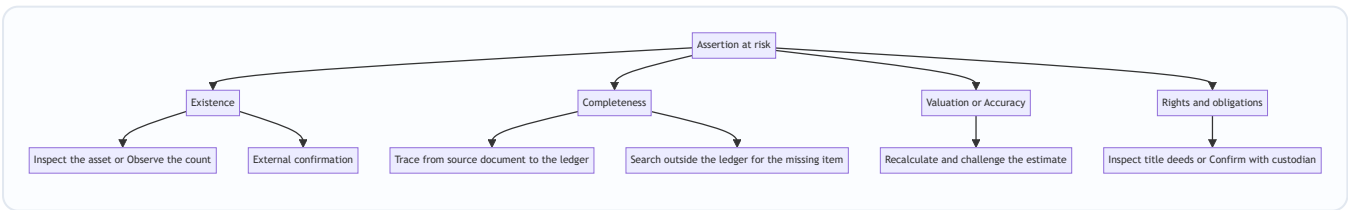


Figure 1B — The seven procedure verbs mapped to the assertion each is strongest against; pick the verb by the assertion at risk, not by habit.





### 3. Why it's built this way — The logic behind "tailored, direction-aware" procedures

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Three structural facts about financial statements force the tailored approach.

**(a) Double-entry means every misstatement has a *motive-driven direction*.** Because assets and income sit on one side and liabilities and expenses on the other, inflating profit can be achieved by *overstating* the income/asset side **or** by *understating* the expense/liability side. Fraudsters pick whichever is easier to hide. So the auditor must ask, for each item, "if someone wanted to flatter the accounts, would they push this number up or down?" and aim the testing against that direction. This is why **assets and income are audited primarily for overstatement** (test what is recorded — is it real, is it owned, is it worth this much?) while **liabilities and expenses are audited primarily for understatement** (search for what is *missing* — unrecorded obligations).

**(b) The best evidence for one assertion is worthless for another.** Existence is a physical fact — so you inspect the physical thing (count the stock, see the machine). Completeness is the absence of something — so inspection is useless; you must *search* using an independent starting point (the goods-received records, the post-year-end payments, the bank statements). Valuation is a measurement judgement — so you recompute and challenge estimates. The evidence has to match the *nature* of the assertion. **SA 500 (Audit Evidence)** governs this: evidence must be *sufficient* (enough) and *appropriate* (relevant to the assertion + reliable in source), and reliability rises when evidence is external, independent, and obtained directly by the auditor.

**The SA 500 reliability hierarchy — memorise the ladder, because "which evidence is better" is a stock question:**

1. **Auditor's own direct knowledge** (e.g., the auditor personally counts the cash) — strongest.
2. **External evidence obtained directly** by the auditor (bank confirmation received in the auditor's office).
3. **External evidence held by the entity** (a supplier's invoice, a title deed in the client's file) — external in origin, but it passed through the client's hands.
4. **Internal evidence with effective controls** around it.
5. **Internal evidence with weak controls** (a photocopy, an oral statement) — weakest.

Two exam-critical riders: (i) **Original documents beat photocopies**; a photocopy can be doctored. (ii) **A document created by an independent outsider is more reliable *only if it reaches the auditor without passing through interested hands* — this is exactly why SA 505 insists the auditor, not the client, controls the confirmation mail.**

**Completeness is genuinely harder to audit than Existence — understand *why* to avoid the classic trap.**

To test Existence you start from the *recorded* population and check each item is real; the population is finite and visible. To test Completeness you must prove that *nothing is missing* — but the missing items, by definition, are not in the records to sample from. You therefore cannot sample the ledger; you must find an *independent, complete population* that exists outside the ledger (the goods-received register, the bank statement, the post-year-end cash payments) and check every item in *it* was recorded. This asymmetry is the deep reason liabilities are harder to audit than assets, and why "search for unrecorded liabilities" is a distinct, named technique rather than "just confirm the balances."

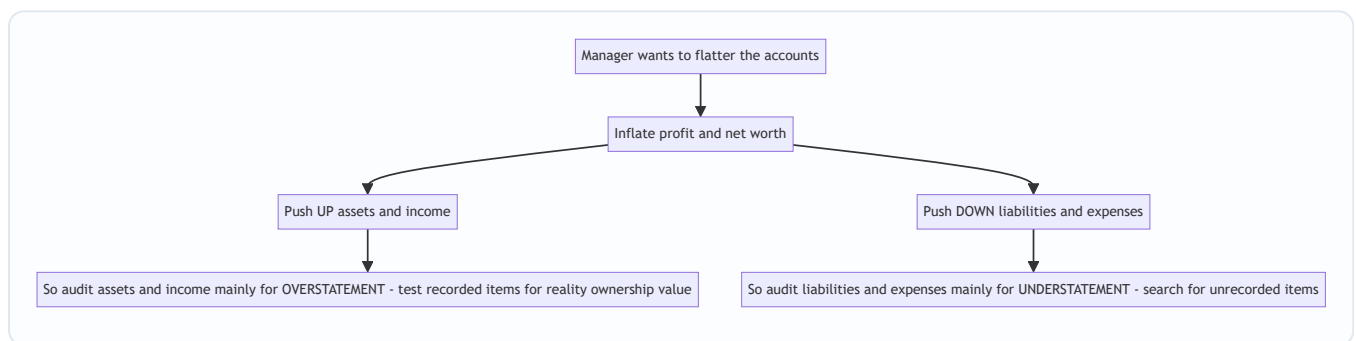
**(c) Some assertions are so high-risk that the profession wrote dedicated Standards.** Where a particular assertion for a particular item is both material and historically abused, ICAI did not leave it to general



principles — it issued a specific SA. Inventory existence and litigation → **SA 501**. Opening balances in a first audit → **SA 510**. Accounting estimates and provisions → **SA 540**. External confirmation of receivables/bank/payables → **SA 505**. Related party transactions → **SA 550**. Each of these is simply "a general risk that recurred so often it earned its own rulebook." We teach each one at the item where its risk bites.

**A deeper "why" — substantive procedures can never be skipped entirely (SA 330 para 18).** Even if controls test beautifully, SA 330 requires the auditor to perform substantive procedures for **each material class of transactions, account balance and disclosure**, because controls only *reduce* — never eliminate — the risk of management override, and management is precisely the party with the motive to misstate. This is why item audit exists at all even in a company with immaculate internal controls: controls can be *overridden by the very people who designed them*, and the balance-sheet items are where that override lands.

Figure 2 — *The direction of testing flips depending on which side of the balance sheet you are on, because the motive flips.*



## 4. Full Technical Content — Every item, its assertion at risk, and the procedure that answers it

Below, each item is treated the same disciplined way: **the risk** → **the assertion** → **the procedure** → **the "why"**. SA references are given; where a number should be double-checked against current ICAI material it is flagged.

## 4.0 The governing Standards you carry into every item

| SA            | What it gives you for item audit                                                               | The risk it addresses                                                            |
|---------------|------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------|
| <b>SA 315</b> | Assertions; risk assessment; understanding entity & controls                                   | You'd test blindly without knowing where misstatement is likely                  |
| <b>SA 320</b> | Materiality — how big a misstatement matters                                                   | Effort must scale to what would sway a user                                      |
| <b>SA 330</b> | The auditor's <i>responses</i> to assessed risk — tests of controls and substantive procedures | Effort must be concentrated where risk is high                                   |
| <b>SA 450</b> | Evaluation of misstatements identified during the audit                                        | Individually small errors can aggregate to material                              |
| <b>SA 500</b> | Audit evidence — sufficient & appropriate; reliability hierarchy                               | Weak or irrelevant evidence gives false comfort                                  |
| <b>SA 501</b> | Specific evidence — inventory count attendance, litigation, segment info                       | Inventory existence & contingent liabilities are chronically misstated           |
| <b>SA 505</b> | External confirmations                                                                         | Internal records can be manipulated; outsiders are independent                   |
| <b>SA 510</b> | Opening balances (initial engagements)                                                         | Closing balances are only right if openings were right                           |
| <b>SA 520</b> | Analytical procedures                                                                          | Numbers that "don't move together" flag misstatement cheaply                     |
| <b>SA 530</b> | Audit sampling                                                                                 | You cannot test 100%; sample must represent the population                       |
| <b>SA 540</b> | Auditing accounting estimates (provisions, fair values, ECL, depreciation)                     | Estimates are the softest area for manipulation                                  |
| <b>SA 550</b> | Related parties                                                                                | Transactions with insiders may be non-genuine or unfairly priced                 |
| <b>SA 560</b> | Subsequent events                                                                              | Conditions after year-end can change reported balances                           |
| <b>SA 570</b> | Going concern                                                                                  | Values assume the entity survives                                                |
| <b>SA 580</b> | Written representations                                                                        | Management's formal confirmations — corroborative, not a substitute for evidence |

Keep this table in your head; every sub-section below is just these Standards *pointed at one figure*.

**One caution on SA 580 that examiners test:** a written representation from management is *evidence of last resort* and **never a substitute for other audit evidence the auditor could reasonably expect to obtain**. If the auditor could confirm a receivable independently, "management said it's good" is not enough. Written reps corroborate; they do not originate.

## 4.1 Revenue (Sales of goods / rendering of services)

**The risk.** Revenue is the single most manipulated line in accounts. The motive is always to make it **bigger** (bonuses, valuations, covenants, listing pressure). Under **SA 240 (Auditor's Responsibilities Relating to Fraud)** there is a **rebuttable presumption that revenue recognition carries a risk of fraud** — the auditor must presume it unless they can justify otherwise. Recognition under **Ind AS 115 / AS 9** turns on transfer of control/risks-and-rewards, so the two favourite tricks are:

- **Fictitious sales** — invoices to fake or colluding customers → attacks **Occurrence**.
- **Cut-off manipulation** — recording next period's sales in this period (or vice versa) → attacks **Cut-off**.

**Assertion at risk:** primarily **Occurrence** and **Cut-off**; also **Accuracy** and **Completeness** (the last mainly in cash businesses where sales are *suppressed* to evade tax — note the direction reverses when the motive is tax evasion, not profit inflation).

### Procedures and their why:

- **Vouch recorded sales to supporting documents** — trace sample invoices to the customer order, dispatch/delivery challan, gate outward register and the customer's acknowledgement. *Why:* proves the sale actually **occurred** and goods really left. A fictitious sale cannot produce an independent dispatch record.
- **Cut-off testing** — for the last few days before and first few days after year-end, match the date of dispatch (transfer of control) to the date the sale was booked. *Why:* directly tests **Cut-off**; catches sales pulled forward or pushed back.
- **Analytical procedures (SA 520)** — compare gross margin %, month-wise sales trend, sales returns *after* year-end. *Why:* a spike in late-year sales reversed by heavy post-year-end returns is the fingerprint of channel-stuffing.
- **Test credit notes / returns after year-end** — large returns just after closing suggest the original sale was not genuine.
- **Confirm unusual or year-end large customers** where doubt exists.
- **Review revenue recognition policy** against Ind AS 115's five-step model (identify contract → performance obligations → transaction price → allocate → recognise on satisfaction).

**The five-step model, as an audit checklist (Ind AS 115).** Examiners increasingly test whether you can *audit each step*, not just recite it:

1. **Identify the contract** — is there an enforceable agreement with commercial substance? *Audit:* inspect the contract; watch for side letters that grant secret return rights (these destroy revenue recognition).
2. **Identify performance obligations** — distinct goods/services. *Audit:* a bundled sale (goods + 2-year service) must be *unbundled*; booking the whole price upfront overstates current revenue.
3. **Determine transaction price** — including variable consideration (discounts, rebates, penalties). *Audit:* has variable consideration been estimated and *constrained*? Ignoring expected rebates overstates revenue.
4. **Allocate price to obligations** — on standalone selling prices. *Audit:* recompute the allocation.
5. **Recognise when (or as) the obligation is satisfied** — at a point in time (control transfers) or over time. *Audit:* the classic error is recognising point-in-time revenue before control passes (goods still in the seller's warehouse under "bill-and-hold").

**Edge case — bill-and-hold sales.** Customer is invoiced but goods stay with the seller. Revenue is recognisable *only if* strict conditions are met (the reason for the arrangement is substantive, goods are identified separately as the customer's, ready for physical transfer, and the seller cannot use or redirect them). *If the examiner tweaks it* so the goods are still commingled with the seller's own stock and could be shipped to anyone, revenue must **not** be recognised — this is a favourite trap.

**Edge case — principal vs agent.** If the entity is only an **agent** (e.g., a marketplace earning commission), it recognises the *net commission*, not the gross sale value. Grossing up agent revenue inflates the top line without touching profit — tests **Accuracy/Presentation**. Watch for it in e-commerce and travel-aggregator questions.

**Direction reversal you must flag — cash businesses.** In a jeweller, restaurant or petrol pump paid largely in cash, the motive flips to *suppressing* sales to evade tax. Here the assertion at risk is **Completeness** (understatement), and the procedure flips too — you now do analytical review of margins, reconcile stock movement to recorded sales, and scrutinise cash denials. The candidate who mechanically writes "revenue is audited for overstatement" without reading the *business context* loses the marks.

**Practical verification points:** ensure sales are recorded net of GST correctly; check that goods sent on **approval or consignment** are *not* recognised as sales (that is a Rights/Occurrence error); verify discounts and incentives are properly netted.

**Worked Example 4.1 — Cut-off manipulation, quantified.** *Vega Ltd's draft revenue is ₹1,200 lakh and profit before tax ₹180 lakh. Testing the last five dispatches of the year against dispatch challans, the auditor finds:*

| Invoice | Booked on | Dispatch challan date | Amount (₹ lakh) | Cost of goods (₹ lakh) |
|---------|-----------|-----------------------|-----------------|------------------------|
| 9987    | 31-Mar    | 02-Apr                | 40              | 30                     |
| 9988    | 31-Mar    | 03-Apr                | 25              | 19                     |

*Control (per Ind AS 115) passes on dispatch. Both were dispatched in April but booked in March.*

**Reason it out.** Two sales worth ₹65 lakh were recorded a period early — a **Cut-off/Occurrence** overstatement. The revenue must be reversed to next year. But *reversing revenue alone is wrong* — the matching cost and the inventory must also move:

- Reverse revenue: ₹65 lakh out of this year's sales → corrected revenue **₹1,135 lakh**.
- The goods, dispatched in April, were **not the company's sales this year**, so cost of goods sold ₹49 lakh (30+19) must be reversed *out of COGS* and the ₹49 lakh of stock **added back to closing inventory**.
- Net profit effect = – revenue ₹65 + reinstated cost ₹49 = – **₹16 lakh** on profit.
- Corrected PBT = 180 – 16 = **₹164 lakh**.

**Self-check:** The ₹16 lakh is exactly the *gross margin* on the two mis-booked sales (65 – 49). That is the whole trick of premature revenue: it pulls forward the *margin*. The overstatement (₹16 lakh) is ~8.9% of draft PBT — clearly material — so if management refuses to correct, the opinion is modified. Reconciles. ✓

## 4.2 Purchases and Expenses

**The risk.** Mirror image of revenue. To inflate profit, expenses are **understated** (omitted or deferred); to evade tax or siphon funds, expenses are **overstated** with fictitious or personal spending. Purchases feed

both cost of sales and inventory, so an error here hits two statements.

**Assertion at risk:** for profit-inflation, **Completeness** (unrecorded expenses) and **Cut-off** (pushing expenses to next year); for fraud/siphoning, **Occurrence** (fictitious purchases, personal costs booked as business).

**Procedures and their why:**

- **Search for unrecorded liabilities / expenses** — examine payments made *after* year-end and un-entered supplier invoices to see if they relate to the year under audit. *Why:* the only way to test **Completeness** is to start from a source *outside* the ledger; you cannot vouch an expense that was never recorded.
- **Vouch recorded purchases/expenses** to purchase order, goods-received note (GRN), supplier invoice and payment. *Why:* tests **Occurrence** — that the expense is genuine, business-related and correctly priced.
- **Purchase cut-off** — match GRN dates to the period the purchase/creditor is booked. *Why:* goods received before year-end must appear in *both* purchases and closing inventory; omitting the invoice but counting the stock inflates profit.
- **Analytical review** of expense ratios and each expense head vs prior year and budget. *Why:* a sudden drop in an expense line can reveal deliberate omission; a spike can reveal fictitious or misclassified spend.
- **Scrutinise capital vs revenue classification** — a revenue expense capitalised inflates profit and assets. *Why:* tests **Classification**.

**The three-way match — the backbone control you are testing.** A genuine purchase leaves three independent documents that must agree: the **purchase order** (we ordered it), the **goods-received note** (we got it), and the **supplier invoice** (we were billed for it). A fictitious purchase almost always lacks one leg — usually the GRN, because no goods actually arrived. So when you vouch, you are really testing that all three legs exist and agree in quantity and price. *If the examiner tweaks it* so the invoice and PO exist but there is no GRN, suspect a **fictitious purchase** or a personal expense dressed as business.

**Edge case — capital vs revenue is bidirectional.** Candidates only remember "revenue expense wrongly capitalised inflates profit." The reverse also happens: a **capital item expensed** (to reduce taxable profit) *understates* both profit and the asset. Read the motive — tax-driven entities under-capitalise; profit-driven entities over-capitalise. Repairs vs improvement is the classic fault line: a routine repair is revenue; an expenditure that *increases future economic benefits beyond original assessed standard* (e.g., a new engine that extends useful life) is capital.

**Worked Example 4.2 — Search for unrecorded liabilities catches a hidden expense.** *Orion Ltd, year-end 31 March. Draft profit ₹250 lakh. Reviewing the April cash book, the auditor sees these post-year-end payments to suppliers:*

| Paid in April | Supplier    | Amount (₹ lakh) | GRN date | Already provided at 31-Mar? |
|---------------|-------------|-----------------|----------|-----------------------------|
| 08-Apr        | Freight Co  | 12              | 28-Mar   | No                          |
| 15-Apr        | Repairs Ltd | 8               | 20-Apr   | No                          |
| 20-Apr        | Power Board | 6               | Mar bill | No (electricity for March)  |

**Reason it out.** Test each against the *period of the underlying event*, not the payment date:

- **Freight ₹12 lakh** — service (goods received) on 28-Mar → relates to the audit year → **must be provided**. Unrecorded liability.

- **Repairs ₹8 lakh** — GRN 20-Apr → the repair happened *after* year-end → correctly *not* a 31-Mar liability. **Leave it out.**
- **Electricity ₹6 lakh** — consumption in March → relates to the audit year → **must be provided.**

Adjustment: understated liabilities = 12 + 6 = **₹18 lakh** (the ₹8 lakh April repair is *not* an error). Corrected profit = 250 – 18 = **₹232 lakh**.

**Self-check:** The trap was the ₹8 lakh April repair — a candidate who provides for *every* April payment over-adjusts and understates profit. The discipline is: the liability belongs to the year in which the *goods/services were received*, not when paid. The ₹18 lakh omission is 7.2% of draft profit — material. Reconciles. ✓

**Practical verification points:** check TDS is deducted where required (an omission signals unrecorded/unauthorised payments); verify related-party purchases (SA 550) are at arm's length; confirm prepaid and outstanding expenses are correctly split across periods.

### 4.3 Property, Plant and Equipment (PPE)

**The risk.** PPE is large and long-lived, so distortions are in *valuation and existence over time*: (i) an asset sold/scrapped but still on the books (**Existence** overstated), (ii) revenue expenses capitalised to boost profit (**Occurrence/Classification**), (iii) wrong depreciation or ignored impairment (**Valuation**), (iv) assets purchased but title unclear or the asset charged as security not disclosed (**Rights & Presentation**).

**Assertion at risk: Existence, Valuation, Rights and obligations, Completeness of additions/disposals.**

**Procedures and their why:**

- **Verify additions** to invoices, board approval, installation/commissioning evidence, and capitalisation of only directly attributable costs (per Ind AS 16 / AS 10). *Why:* tests **Occurrence** of additions and correct **Valuation** of cost — blocks revenue-to-capital manipulation.
- **Inspect physically** a sample of high-value assets / reconcile to the **fixed asset register**. *Why:* tests **Existence**; the register-to-floor and floor-to-register walk catches ghost assets and unrecorded disposals.
- **Recompute depreciation** — method, rate/useful life, consistency, and that it starts when the asset is ready for use. *Why:* tests **Valuation** (SA 540 — depreciation is an estimate).
- **Test disposals** — authorisation, sale proceeds, correct gain/loss, removal from register. *Why:* tests **Completeness** of disposals and prevents a sold asset lingering as an overstated asset.
- **Examine title deeds / RC books / ownership documents**; for immovable property, note the Companies Act (Schedule III) disclosure requiring whether **title deeds are held in the company's name**. *Why:* tests **Rights**.
- **Consider impairment (Ind AS 36 / AS 28)** — any indicators of decline. *Why:* tests **Valuation** for overstatement.
- **Check charges/mortgages** registered against assets and their disclosure. *Why:* **Presentation**.

**Two directions of the register walk — do not conflate them.** *Register-to-floor* (pick an asset from the fixed-asset register, go find it on the shop floor) tests **Existence** — it catches ghost assets still on the books. *Floor-to-register* (pick an asset you physically see, trace it into the register) tests **Completeness** — it catches assets in use but never capitalised (sometimes deliberately, to keep them off-book, or because a purchase was expensed). The exam rewards naming *both* directions and what each catches.

**Directly attributable cost — what goes into the ₹ figure (Ind AS 16).** Capitalise: purchase price (net of trade discount/rebate, incl. non-refundable duties), site preparation, delivery and handling, installation and assembly, professional fees, and the estimated cost of **dismantling/restoration** (a provision). **Exclude:** general administration and overheads, initial operating losses, training costs, and — critically — costs after the asset is *ready for use*. The classic tweak: management capitalises staff training or pre-operative losses to fatten the asset and defer expense; that overstates PPE and profit.

**Component accounting and depreciation start date.** Under Ind AS 16, significant components with different useful lives (e.g., aircraft engine vs airframe) are depreciated **separately**. Depreciation begins when the asset is **available for use** (in the location and condition intended by management) — *not* when it is first actually used. A plant sitting idle but ready still depreciates; deferring depreciation to "when we switch it on" overstates both PPE and profit.

**Worked Example 4.3 — Impairment of a machine (Ind AS 36).** *Titan Ltd carries a CNC machine at cost ₹100 lakh, accumulated depreciation ₹40 lakh, so carrying amount ₹60 lakh. A newer model has made it semi-obsolete (impairment indicator). The auditor gathers: fair value less costs of disposal = ₹42 lakh; value in use (PV of future cash flows the machine will generate) = ₹48 lakh.*

**Reason it out.** An asset is carried at no more than its **recoverable amount = higher of (fair value less costs of disposal, value in use)**.

- Recoverable amount = higher of (42, 48) = **₹48 lakh**.
- Carrying amount ₹60 lakh > recoverable ₹48 lakh → **impairment loss = 60 – 48 = ₹12 lakh**.
- The machine is written down to ₹48 lakh; ₹12 lakh hits the P&L.

**Self-check — the two traps.** (1) Candidates wrongly use the *lower* of FVLCD and VIU — that would give ₹42 lakh and an overstated ₹18 lakh loss. It is the **higher**, because a rational owner would pursue whichever route (sell or use) yields more. (2) If VIU had been, say, ₹65 lakh (above carrying amount), there would be **no impairment** — you never write an asset *up* under the cost model merely because VIU exceeds carrying amount. Here recoverable ₹48 < carrying ₹60, so impair. Reconciles. ✓

*If the examiner tweaks it:* the machine is part of a larger production line that only generates cash *together* — then you cannot compute VIU for the machine alone; you test the whole **cash-generating unit (CGU)** for impairment and allocate any loss across the CGU's assets. Watch for the word "cannot generate cash independently."

**Practical verification points:** capital work-in-progress ageing (long-pending CWIP may signal stalled/impaired projects); leased assets classified correctly (Ind AS 116); revaluations supported by a competent valuer's report; where the **revaluation model** is used, the *whole class* must be revalued (not cherry-picked assets) and a downward revaluation below cost hits P&L unless it reverses a prior surplus.

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## 4.4 Inventory — Existence via SA 501, plus Valuation

**The risk.** Inventory is the classic fraud vehicle because it sits at the intersection of the balance sheet *and* the profit calculation: **closing inventory ↑ ⇒ cost of sales ↓ ⇒ profit ↑**. So the pressure is to **overstate** it — either by claiming stock that isn't there (**Existence**), by ignoring obsolete/damaged stock and carrying it above realisable value (**Valuation**), or by counting third-party goods as your own (**Rights**).

**Understand the profit arithmetic that makes inventory so tempting.** Cost of goods sold = Opening stock + Purchases – **Closing stock**. Closing stock is *subtracted*, so every rupee added to it removes a rupee from



COGS and adds a rupee to profit — with no cash moving and no third party to contradict you. That mechanical leverage, plus the fact that inventory is physically dispersed and hard to verify, is *why* it earned its own Standard.

**Assertion at risk: Existence** (headline), **Valuation, Rights, Completeness, Cut-off**.

**SA 501 — the dedicated Standard.** Because inventory existence is so material and abused, SA 501 requires the auditor, when inventory is material, to obtain sufficient appropriate evidence about its existence and condition by:

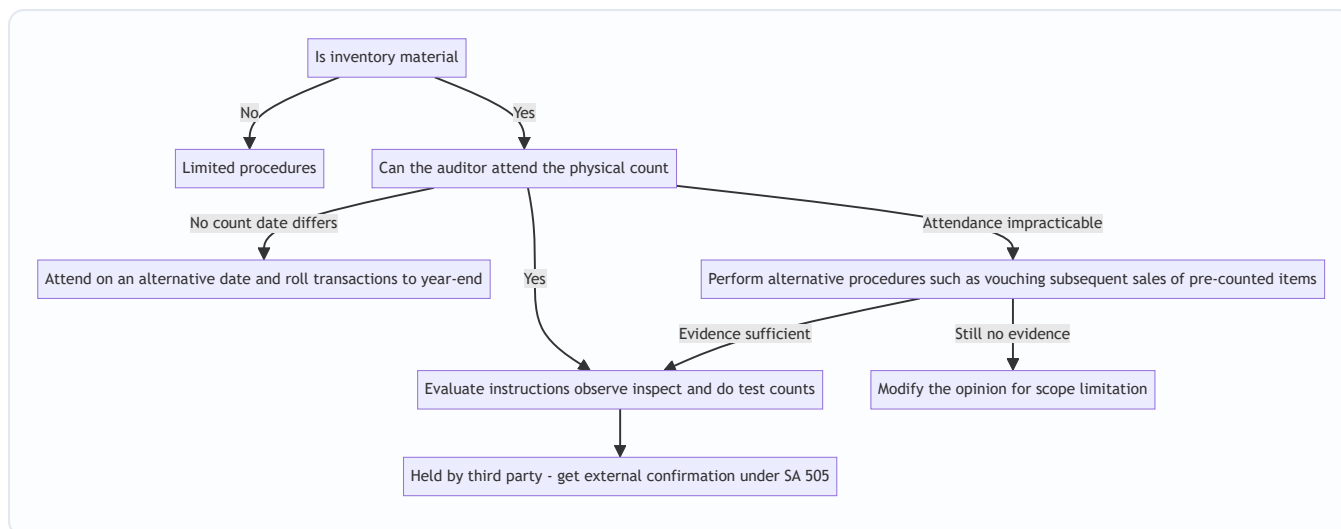
1. **Attending the physical inventory count** (unless impracticable) — to (a) evaluate management's counting *instructions and procedures*, (b) **observe** the count, (c) **inspect** the inventory, and (d) perform **test counts** (from floor to sheets = existence; from sheets to floor = completeness).
2. If the **count date differs** from the balance sheet date, perform procedures on the *intervening transactions* to roll the quantity forward/back.
3. If the auditor **cannot attend** (e.g., appointed after the count), perform or observe counts on an **alternative date** and reconcile.
4. If attendance is **impracticable**, perform **alternative procedures** (e.g., inspect documentation of subsequent sales of specific items counted before year-end); if even that is impossible, **modify the opinion** for a scope limitation.
5. For inventory held by **third parties** (in a warehouse/consignee), obtain **external confirmation (SA 505)** and/or inspect. *Why confirmation:* the goods are not on your premises, so an independent custodian's word is the relevant evidence for **Existence and Rights**.

**The two directions of test counts — the single most confused point in this chapter.**

- **Floor → sheets** (pick a physical item, find it on the count sheet): tests **Existence** — everything on the floor is recorded, but more importantly it lets you verify the recorded quantity matches reality. Really this direction, starting from *what exists*, protects against overstatement of what's on the sheets.
- **Sheets → floor** (pick a line on the count sheet, go find it physically): tests **Existence of recorded items** — that the sheet isn't padded with phantom stock.
- The **Completeness** direction is floor-to-sheet in the sense of ensuring items *physically present and owned* are all captured. The clean way to state it in an exam: "*selecting from the count records and inspecting the items tests existence of recorded inventory; selecting physical items and tracing to the records tests completeness of the records.*" State the *purpose*, and you cannot be marked wrong.

**Perpetual/continuous inventory system — the alternative to a year-end count.** If the entity maintains well-controlled perpetual records with regular cycle counts throughout the year, the auditor may attend one of the periodic counts rather than a single year-end count, and rely on the reconciliations. *If the examiner tweaks it* so cycle-count differences are large and unexplained, the perpetual system is unreliable and a full year-end count becomes necessary.

*Figure 3 — SA 501 decision path for obtaining evidence over inventory existence.*



### Valuation procedures and their why:

- **Recompute cost** using the entity's method (FIFO / weighted average — LIFO is not permitted) and compare cost to **net realisable value (NRV)**; inventory is carried at the **lower** (Ind AS 2 / AS 2). *Why*: tests **Valuation** for overstatement.
- **Test for obsolete, slow-moving, damaged stock** — ageing analysis, physical condition noted during the count. *Why*: prevents dead stock being carried at full cost.
- **Cut-off** — confirm goods received before year-end are *in* inventory and their creditor booked, and goods dispatched (sold) are *out*. *Why*: misaligned cut-off is the easiest way to shift profit.

**What "cost" includes and excludes (Ind AS 2 / AS 2).** Cost = purchase cost (net of trade discounts/rebates) + conversion costs (direct labour + systematic allocation of **fixed and variable production overheads** at *normal* capacity) + other costs to bring inventory to present location and condition. **Exclude**: abnormal waste, storage costs (unless necessary before a further production stage), administrative overheads unrelated to production, and selling costs. The classic tweak: management allocates fixed overhead at *actual* (low) capacity in a downturn, loading more overhead per unit onto stock to inflate closing inventory — Ind AS 2 requires allocation at **normal capacity**, so unabsorbed overhead is expensed, not capitalised into stock.

**Worked Example 4.4 — Lower of cost and NRV, item by item (the aggregation trap).** *Helios Ltd values four inventory lines at year-end:*

| Item         | Cost (₹ lakh) | Estimated selling price | Costs to complete + sell | NRV        | Lower of cost/NRV |
|--------------|---------------|-------------------------|--------------------------|------------|-------------------|
| A            | 50            | 70                      | 8                        | 62         | 50                |
| B            | 40            | 45                      | 9                        | 36         | 36                |
| C            | 30            | 55                      | 5                        | 50         | 30                |
| D            | 20            | 18                      | 4                        | 14         | 14                |
| <b>Total</b> | <b>140</b>    |                         |                          | <b>162</b> | <b>130</b>        |

**Reason it out.** NRV = selling price – costs to complete and sell. Compare cost vs NRV **item by item** (Ind AS 2 requires the lower of cost and NRV to be applied to *each item*, not the total):

- A: cost 50 < NRV 62 → carry at **50**.

- B: NRV 36 < cost 40 → write down to **36** (loss ₹4).
- C: cost 30 < NRV 50 → carry at **30**.
- D: NRV 14 < cost 20 → write down to **14** (loss ₹6).
- Correct inventory value = 50 + 36 + 30 + 14 = **₹130 lakh**. Write-down = 140 – 130 = **₹10 lakh**.

**Self-check — the trap.** If you (wrongly) compared *total* cost ₹140 vs *total* NRV ₹162 and concluded "NRV exceeds cost, no write-down," you would carry inventory at ₹140 and *overstate profit by ₹10 lakh*. The healthy items (A, C) are **not** allowed to subsidise the loss-making items (B, D). Item-by-item is the rule; only for a group of *similar/related* items may they be grouped. The ₹10 lakh write-down reconciles exactly with the two loss items (4 + 6). ✓

**Practical verification points:** reconcile count sheets to the stock ledger and financial statements; verify inventory pledged as security is disclosed; check inclusion of goods in transit and exclusion of goods held on consignment for others; ensure **goods in transit purchased FOB shipping point** are included (title has passed) while goods sold and dispatched on FOB terms are excluded.

## 4.5 Trade Receivables — External confirmation (SA 505)

**The risk.** Receivables are overstated to inflate assets, or their recoverability is overstated by under-providing for bad debts. So two things can be wrong: the debt may **not exist / not be owed (Existence, Rights)**, or it may exist but be **uncollectible and over-valued (Valuation)**.

**Assertion at risk: Existence, Rights, Valuation (recoverability), Cut-off.**

**Procedures and their why:**

- **External confirmation (SA 505)** — the flagship procedure. Write to a sample of customers asking them to confirm the balance owed *directly to the auditor*. *Why:* the customer is **independent** of the client; their confirmation is far more reliable (SA 500 hierarchy) than the client's own ledger, and it directly proves **Existence and Rights**. Use **positive confirmations** (reply whether they agree or not) for material/risky balances; **negative confirmations** (reply only if they disagree) only for many small, low-risk balances with good controls. **The auditor must control the process** — send and receive replies directly, keeping the client's hands off. If management **refuses to allow** a confirmation, evaluate the validity of the reason, perform **alternative procedures**, and if the refusal is unreasonable treat it as a **scope limitation** and consider communicating with those charged with governance.
- **Alternative procedures when no reply** — inspect **subsequent receipts** (cash received after year-end against the specific invoice), or examine sales invoice + dispatch + customer order. *Why:* subsequent collection is powerful evidence the debt was **real and recoverable**.
- **Test the provision for doubtful debts / expected credit loss (SA 540)** — **age the receivables**, review balances long overdue, disputed accounts, and post-year-end recoveries. *Why:* tests **Valuation** for overstatement.
- **Cut-off** — tie the last sales to the receivable balance.

**Positive vs negative confirmation — the decision, deepened.** A **positive** confirmation asks the debtor to reply *in every case* (whether they agree or dispute) — reliable, because silence is not treated as agreement. A **negative** confirmation asks the debtor to reply *only if they disagree* — cheaper, but weak, because you cannot tell whether a non-reply means "I agree" or "I never received the letter." SA 505 permits negative confirmations **only if all four conditions hold:** (i) risk of material misstatement is **low**; (ii) a **large number of**

**small, homogeneous** balances; (iii) a **very low exception rate** is expected; and (iv) no reason to expect recipients will **disregard** the request. Miss any one and you must use positive. *If the examiner asks "can we use negative confirmations for the top 10 debtors?"* — no, those are material, so positive is required.

**The "blank" positive confirmation — a finer variant.** A blank confirmation asks the debtor to *fill in the amount* they owe (rather than confirming a stated figure). It gives stronger evidence (the debtor cannot lazily tick "agree") but yields lower response rates. Examiners test whether you know the trade-off.

**Non-response is not failure — you have a ladder.** For every positive confirmation that comes back unanswered, do **alternative procedures**: (i) inspect **subsequent receipts** matched to the specific invoice (strongest — cash in the bank proves the debt was real and good); (ii) examine the **shipping documents + sales invoice + customer order** (proves the sale occurred); (iii) inspect **subsequent correspondence**. Only if alternatives *also* fail do you treat the balance as potentially misstated.

**Worked Example 4.5 — Expected credit loss / provision adequacy.** *Nimbus Ltd's receivables ageing at 31 March, with management's provision:*

| Ageing bucket | Gross (₹ lakh) | Historical loss rate | Required provision |
|---------------|----------------|----------------------|--------------------|
| 0–90 days     | 400            | 1%                   | 4                  |
| 91–180 days   | 150            | 5%                   | 7.5                |
| 181–365 days  | 80             | 20%                  | 16                 |
| Over 365 days | 40             | 60%                  | 24                 |
| <b>Total</b>  | <b>670</b>     |                      | <b>51.5</b>        |

*Management has provided only ₹20 lakh. Additionally, one debtor in the 0–90 bucket, Comet Traders (₹30 lakh), has become insolvent after year-end (an adjusting subsequent event, SA 560) with expected recovery of ₹5 lakh.*

**Reason it out.** Two layers. First, the **model-based ECL** on the ageing = ₹51.5 lakh. Second, the **specific** impairment: Comet Traders sits in the 0–90 bucket (only ₹0.3 lakh general provision), but its insolvency is a *specific* known loss — expected loss ₹30 – ₹5 = ₹25 lakh. To avoid double counting, remove Comet's ₹30 lakh from the 0–90 general bucket and provide for it specifically:

- Revised 0–90 gross = 400 – 30 = 370 → provision 1% = ₹3.7 lakh.
- Specific provision for Comet = ₹25 lakh.
- Total required = 3.7 + 7.5 + 16 + 24 + 25 = **₹76.2 lakh**.
- Management provided ₹20 lakh → **shortfall = ₹56.2 lakh** understatement of the provision (overstatement of profit and assets).

**Self-check.** The insolvency crystallised *after* year-end but relates to a *condition existing at* year-end (the debtor's deteriorating finances) → it is an **adjusting event** under SA 560, so the balance sheet must reflect it. A candidate who treats it as non-adjusting (mere disclosure) understates the provision by ₹25 lakh. Also note the double-count guard: Comet's amount was pulled out of the general bucket before adding the specific provision, otherwise we'd provide twice. Reconciles. ✓

**Practical verification points:** watch for credit balances in receivables (should be reclassified to payables/advances, not netted); scrutinise related-party receivables (SA 550) which may be non-genuine or evergreen; review the reasonableness of the ECL model assumptions; be alert to **teeming and lading** —

where a later customer's receipt is used to cover an earlier misappropriation, so individual balances confirm but the *ageing* looks odd.

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## 4.6 Investments

**The risk.** Overstatement of value (carrying an investment above its fair/recoverable amount), and existence/ownership (does the security exist and is it in the company's name and unencumbered?).

**Assertion at risk: Existence, Rights, Valuation, Presentation (classification current vs non-current).**

**Procedures and their why:**

- **Physical inspection of securities** in hand, or **confirmation from the depository / custodian (SA 505)** for demat holdings, and inspection of the DP statement. *Why:* independent custodian evidence proves **Existence and Rights**; you cannot rely on the client's own list alone.
- **Verify valuation** per the applicable framework — fair value through P&L / OCI or cost, per Ind AS 109 / AS 13 — using quoted prices, or for unquoted, the valuation basis and any impairment. *Why:* tests **Valuation**; unquoted investments are estimate-heavy (SA 540).
- **Check classification** — held for trading vs long-term; current vs non-current. *Why:* **Presentation**.
- **Verify income** (dividend/interest) is completely and correctly accrued, and that purchases/sales are authorised.
- **Confirm charges/liens** — investments pledged must be disclosed. *Why:* **Rights/Presentation**.

**Fair-value hierarchy — where the manipulation hides (Ind AS 113).** Level 1 = quoted prices in active markets (hardest to fudge — you just look up the price). Level 2 = observable inputs other than quoted prices. **Level 3 = unobservable inputs** (management's own model) — this is where valuation risk concentrates and where SA 540 bites hardest. For a Level 3 unquoted investment, the auditor challenges the model, the discount rate, and the cash-flow assumptions, and may use an **auditor's expert (SA 620)**. The examiner tweak: an unquoted subsidiary carried at cost despite clear evidence of erosion in net worth → impairment ignored → overstatement.

**Classic AS 13 (non-Ind-AS entities) rule worth carrying:** *long-term* investments are carried at cost and written down only for a decline that is **other than temporary**; *current* investments are carried at **lower of cost and fair value**. Misclassifying a temporarily-fallen current investment as long-term to avoid the write-down is a **Presentation + Valuation** manipulation.

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## 4.7 Cash and Bank Balances

**The risk.** Cash is the most *liquid* and therefore most *misappropriable* asset — but its financial-statement balance is usually small, so the audit concern splits: **existence of the reported balance** (especially bank) and **fraud/defalcation** in the flows. Classic tricks are **teeming and lading** (lapping) and **window dressing** (temporary year-end inflation of the bank balance).

**Assertion at risk: Existence, Completeness, Rights, Cut-off.**

**Procedures and their why:**

- **Bank balance confirmation (SA 505)** — obtain the balance, and details of overdrafts, loans, liens, guarantees and unused facilities *directly from the bank*. *Why:* independent, and covers not just the balance but hidden liabilities and charges.

- **Bank reconciliation review** — examine the year-end BRR; investigate **stale/long-outstanding cheques** issued (may indicate a liability that should be reinstated) and **cheques deposited but not cleared** for a suspiciously long time (window dressing). *Why*: tests **Existence and Cut-off**; reconciling items are where manipulation hides.
- **Cash count** at year-end (or surprise), reconciled to the cash book. *Why*: tests **Existence** of physical cash and deters defalcation.
- **Cut-off of receipts and payments** around year-end. *Why*: to catch cheques recorded as paid (reducing creditors) but not actually issued, or receipts held back.

**Teeming and lading vs window dressing — know the mechanism, not just the label.** *Teeming and lading* (lapping) is an **ongoing cash defalcation**: an employee steals customer A's payment, then covers the hole later using customer B's payment, then C's covers B's, and so on — the shortfall is rolled forward indefinitely. It attacks the *completeness of recorded receipts* and is detected by confirming balances, matching pay-in slips to ledger dates, and looking for a lag between receipt and posting. *Window dressing* is a **year-end-only cosmetic** exercise: e.g., record cheques as *issued* to creditors on 31 March but hold them physically until April (understating both cash and payables to improve the current ratio), or deposit a related party's cheque on 31 March that bounces in April. It attacks **Cut-off/Presentation**. One is theft; the other is *lying about the picture* on one day.

**The cut-off manipulation on payments — worked mechanically.** Suppose the current ratio is 1.4 (CA ₹140, CL ₹100). Management writes cheques for ₹40 to creditors on 31 March but does not release them. If recorded, cash falls to ₹100 and creditors to ₹60: current ratio =  $100/60 = 1.67$ . A cosmetic jump with no economic substance. The auditor catches it by examining whether cheques recorded as paid were *actually dispatched* before year-end — an undelivered cheque is not a payment; the liability still exists.

**Practical verification points:** verify large round-sum transfers just before year-end reversed just after (window dressing); confirm fixed deposits and their liens; ensure balances with banks having negative balances are shown as borrowings, not netted; for **cash on hand**, prefer a *surprise* count and obtain a written acknowledgement from the cashier that the cash was returned intact.

## 4.8 Borrowings (Loans and other financial liabilities)

**The risk.** Unlike assets, the primary risk on liabilities is **understatement / omission** — but borrowings are also a *disclosure* minefield (security, terms, defaults, related-party loans) and a **going-concern** signal.

**Assertion at risk: Completeness (headline), Accuracy, Rights & obligations, Presentation/Classification, Cut-off (accrued interest).**

**Procedures and their why:**

- **Confirm balances directly with lenders / banks (SA 505)** and reconcile to the loan account. *Why*: independent proof of the amount owed; also surfaces **undisclosed** facilities → **Completeness**.
- **Examine loan agreements** — principal, interest rate, security/charge, repayment schedule, covenants. *Why*: tests **Accuracy** and enables correct **Presentation**.
- **Verify creation and registration of charges** with the Registrar of Companies (Companies Act requires charges to be registered) and their disclosure. *Why*: **Presentation/Rights**.
- **Recompute interest** and confirm accrued interest is provided at year-end. *Why*: tests **Cut-off/Accuracy**; unrecorded interest understates both liability and expense.



- **Classify current vs non-current** correctly, especially where a **covenant breach** makes a long-term loan repayable on demand (reclassify to current). *Why: Presentation* — and a trigger for **going-concern (SA 570)** evaluation.
- **Check defaults** in repayment of principal/interest for the Schedule III / CARO disclosure.

**The covenant-breach reclassification — a favourite examiner tweak.** If a long-term loan's covenant is breached at the reporting date such that the lender *can demand* immediate repayment, the loan is **current** even though its original tenure is years — *unless* the lender grants a waiver **on or before the reporting date** for at least twelve months. A waiver obtained *after* year-end does **not** save the classification (the right to demand existed at year-end). This cascades: a large reclassification from non-current to current can flip working capital negative and trigger a **going-concern** doubt. *If the examiner tweaks it to "waiver received on 5 April" — still current at 31 March.*

**Worked Example 4.8 — Accrued interest cut-off.** *Pulsar Ltd took a ₹600 lakh term loan on 1 October at 12% p.a., interest payable half-yearly on 1 April and 1 October. At 31 March, management has recorded no interest because "the first payment is due on 1 April."*

**Reason it out.** Interest **accrues with time**, not with payment. From 1 October to 31 March is 6 months. Accrued interest =  $600 \times 12\% \times 6/12 = \text{₹36 lakh}$ . This must be provided at year-end as a liability (interest accrued but not due) and charged to P&L.

**Self-check.** Omitting it understates **liabilities by ₹36 lakh** and **overstates profit by ₹36 lakh** — a two-sided error. The "payment due 1 April" argument confuses *due date* with *accrual*; the accrual assertion (**Cut-off/Completeness**) is what's at risk. Also note the ₹36 lakh appears as *interest accrued but not due* (a current liability), distinct from *interest accrued and due*. Reconciles. ✓

## 4.9 Trade Payables

**The risk.** The signature liability risk: **understatement through omission** — invoices deliberately or accidentally left unrecorded to lower liabilities and raise profit. Because vouching only tests *recorded* items, it is blind here; the audit must *search for the missing*.

**Assertion at risk: Completeness (headline), Existence, Cut-off, Accuracy, Presentation.**

**Procedures and their why:**

- **Search for unrecorded liabilities** — review payments made *after* year-end, unmatched GRNs, supplier statements, and un-entered invoices; ask whether each relates to the audit period. *Why: the only* technique that finds an *omitted* creditor — it starts outside the ledger, so it can catch what the ledger doesn't show. This is the direct answer to the Completeness risk.
- **Reconcile supplier statements** to the payables ledger and investigate differences. *Why: the supplier's statement is external evidence (SA 500) exposing balances the client under-recorded.*
- **Confirm balances (SA 505)** — but note the twist: because the risk is *understatement*, don't just confirm large recorded balances; **confirm accounts with small or nil recorded balances but high purchase activity** (a major supplier suddenly showing near-zero owed is the red flag). *Why: tailoring the sample to the direction of the risk.*
- **Purchase cut-off** — goods received before year-end must have the payable booked. *Why: Cut-off/Completeness.*



- **Disclose Micro & Small Enterprise (MSME) dues** per the MSMED Act / Schedule III. *Why:* **Presentation** requirement with penalties.

**Why we confirm payables differently from receivables — the deep point.** For receivables (overstatement risk) we confirm the *large* balances, because that's where an overstatement would be biggest. For payables (understatement risk) confirming large recorded balances is nearly pointless — a *recorded* large creditor is unlikely to be the problem; the problem is the creditor who *should* be large but is recorded as small or zero. So the sampling logic **inverts with the risk direction**: for payables, weight the sample toward **high-activity suppliers with low or nil recorded balances**, plus a selection of *prior-year* creditors now showing zero. This single idea — *the sample must be chosen for the direction of the lie* — is the chapter's signature exam discriminator.

**MSME disclosure — the specifics.** Under the MSMED Act read with Schedule III, a company must disclose the principal and **interest** due to micro and small enterprises, interest paid, interest accrued and remaining unpaid. Because interest on delayed MSME payments accrues *by law* (and is disallowed for tax if unpaid), omitting it is both a disclosure failure and an **unrecorded liability** — a favourite CARO/Schedule III tweak.

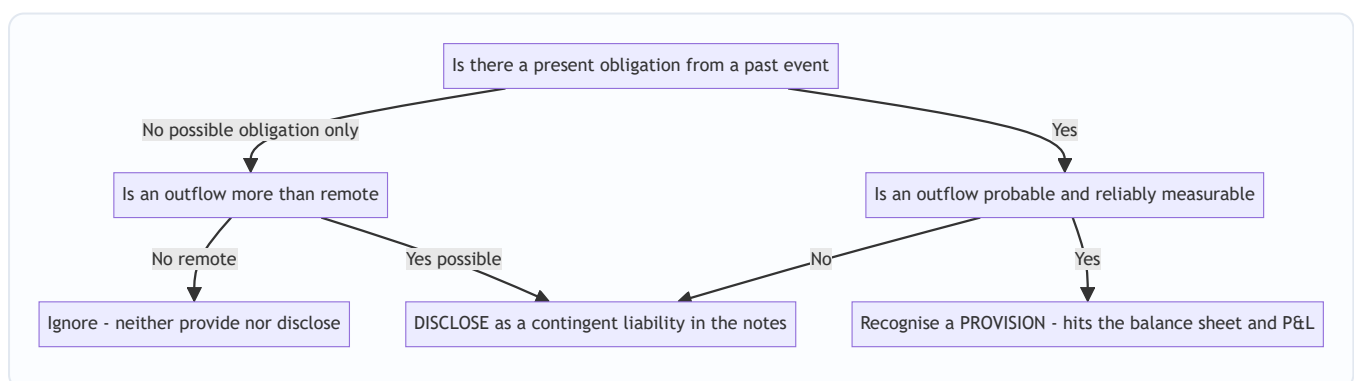
## 4.10 Provisions and Contingent Liabilities — SA 540 and SA 501

**The risk.** Provisions are **estimates**, so they are the softest area for manipulation in either direction: **under-provide** to inflate profit (understate the liability), or **over-provide / create "cookie-jar" reserves** in good years to release in bad years (profit smoothing). Contingent liabilities (litigation, guarantees) are typically **understated / not disclosed** because they are unwelcome.

**Assertion at risk: Completeness, Valuation/Accuracy, Presentation.**

**The Ind AS 37 / AS 29 decision spine — memorise it, because every provision question is a walk down this tree.** A **provision** is recognised only when *all three* hold: (i) a **present obligation** (legal or constructive) from a **past event**; (ii) an **outflow of resources is probable** (more likely than not, i.e., > 50%); and (iii) the amount can be **reliably estimated**. If the outflow is only **possible** (not probable) or cannot be reliably measured, it is a **contingent liability — disclose, do not provide**. If the possibility is **remote**, do **nothing** (neither provide nor disclose).

Figure 5 — The provide / disclose / ignore decision for an obligation, which every contingent-liability question walks down.



**Procedures and their why (SA 540 for estimates):**

- **Understand how management makes the estimate** — the method, assumptions and data — and evaluate whether they are reasonable and consistent (Ind AS 37 / AS 29: recognise a provision when there

is a *present obligation from a past event, probable outflow, reliable estimate*). *Why*: tests **Valuation** at its source.

- **Test the data and recompute**; develop an independent estimate or range to challenge management. *Why*: independent challenge counters management bias.
- **Review subsequent events (SA 560)** — outcomes after year-end (e.g., a court ruling, an actual bad-debt) that confirm or revise the estimate. *Why*: the best evidence of a year-end estimate is often what actually happened just after.
- **For litigation and claims (SA 501)** — inquire of management, **review board minutes and legal expense accounts**, and seek **direct communication with the entity's legal counsel/lawyers** where risk exists. *Why*: the lawyer is the independent expert on the likely outcome; management alone is not reliable on obligations it would rather hide.
- **Evaluate presentation** — provide (probable) vs disclose (possible) vs ignore (remote). *Why*: correct **Presentation** is the whole point of contingent-liability accounting.

**SA 540 — "management bias" is the thing you are hunting.** Estimates have a range of acceptable outcomes; the risk is not a single "wrong number" but a *pattern* of management always landing at the end of the range that flatters profit. The auditor looks for **indicators of bias**: estimates clustered at the favourable extreme, a prior-year estimate that turned out conveniently wrong in the company's favour, changes in method with no change in circumstances. Developing an **independent point estimate or range** and comparing it to management's is the core response.

**Onerous contracts and warranties — two provision types examiners like.** A **warranty provision** is estimated from historical claim rates  $\times$  sales (a measurable, probable obligation  $\rightarrow$  provide). An **onerous contract** (unavoidable costs of meeting the obligations exceed the expected benefits) requires a provision for the *lower* of the cost to fulfil and the penalty to exit. *If the examiner tweaks it*: a mere expectation of *future operating losses* is **not** provided for (there is no present obligation from a past event) — a classic trap where students wrongly provide for anticipated losses.

**Worked Example 4.10 — Warranty provision and the "expected value" method.** *Cepheus Ltd sold 10,000 units this year, each with a one-year warranty. Past experience: 80% of units have no defect, 15% have minor defects costing ₹200 each to fix, 5% have major defects costing ₹1,000 each. Management provided a flat ₹50,000.*

**Reason it out.** For a large population, Ind AS 37 uses the **expected value** (probability-weighted) method:

- Per-unit expected cost =  $(0.80 \times ₹0) + (0.15 \times ₹200) + (0.05 \times ₹1,000) = 0 + 30 + 50 = \text{₹80 per unit}$ .
- Total provision =  $10,000 \times ₹80 = \text{₹8,00,000}$ .
- Management's ₹50,000 **understates the provision by ₹7,50,000**, overstating profit by the same.

**Self-check.** A candidate who uses the *most likely* outcome (80%  $\rightarrow$  no defect  $\rightarrow$  ₹0 provision) is wrong: the most-likely method is for a *single* obligation, whereas a *large population* of warranties uses expected value. The ₹80/unit blends all three outcomes by probability. Reconciles. ✓ *If the examiner tweaks it* to a **single** large lawsuit (not a population), you would instead use the *single most likely outcome*, not a probability-weighted blend.

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## 4.11 Equity / Share Capital and Reserves

**The risk.** Lower fraud risk but high on **compliance, authorisation and disclosure**: was capital properly issued and authorised, are movements (bonus, buy-back, dividends) lawful under the Companies Act, are reserves correctly classified and restricted amounts (e.g., securities premium, CSR) used only for permitted purposes?

**Assertion at risk: Occurrence/Rights (validity of the transaction), Accuracy, Presentation, Completeness of disclosure.**

**Procedures and their why:**

- **Verify share capital movements to board and shareholder resolutions**, the Memorandum/Articles, ROC filings (allotment returns), and reconcile to the **register of members**. *Why*: tests that issues/allotments actually **occurred** and were **authorised**.
- **Check statutory compliance** for buy-back (Sec 68), bonus issue, further issue (Sec 62 rights/preferential), reduction of capital — each has Companies Act conditions. *Why*: an unlawful movement is a reportable non-compliance.
- **Verify utilisation of securities premium** only for purposes permitted by the Act. *Why*: **Presentation/legal restriction**.
- **Verify dividends** — declared per Sec 123 out of profits, transferred to the correct bank account within the statutory time, unpaid dividend moved to the Investor Education and Protection Fund where due. *Why*: compliance + **Completeness** of the unpaid-dividend liability.
- **Reconcile reserves movements** — reserves are the accumulation of profits, so tie the movement to the profit for the year, OCI items, and appropriations. *Why*: **Accuracy/Completeness**.

**Securities premium — the permitted-use list (Sec 52).** The securities premium account may be applied only for: issuing **fully paid bonus shares**, writing off **preliminary expenses**, writing off **share/debenture issue expenses, commission or discount**, providing for the **premium on redemption** of redeemable preference shares or debentures, and **buy-back** under Sec 68. Using premium for anything else (e.g., paying a cash dividend) is unlawful. Examiners tuck a disallowed use into a reserves-movement question.

**Dividend mechanics worth carrying (Sec 123).** Dividend is declared out of current profits (after providing depreciation) or accumulated profits, or both; the amount of declared dividend must be **deposited in a separate bank account within 5 days**; unpaid/unclaimed dividend goes to a **special "Unpaid Dividend Account" within 30 days** of non-payment, and amounts unclaimed for **7 years** transfer to the **IEPF** (along with the underlying shares). The auditor checks each timeline — a failure is both a compliance breach and an **unrecorded liability** to depositors.

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## 5. Applied Scenarios — reasoning from situation to the correct audit response

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### Scenario A — The suspicious late-year sales spike

*During the audit of Zenith Ltd, revenue in March is 40% higher than any other month, gross margin is unusually high, and in the first three weeks of April there is an abnormally large volume of sales returns from the same customers.*

**Reason it out.** The assertion under threat is **Occurrence/Cut-off** — the pattern (late-year spike + immediate post-year-end returns) is textbook **channel-stuffing** to inflate revenue, and SA 240's presumed fraud risk in revenue is squarely engaged. **Response:** perform detailed **cut-off testing** on March dispatches (match transfer of control dates to booking dates); **vouch** the spike-month sales to dispatch and independent customer acknowledgement; **examine the April credit notes** and link them to March invoices; obtain **external confirmations (SA 505)** from the customers who both bought heavily in March and returned in April. If the sales lacked genuine transfer of control, they must be reversed; if management refuses, consider a **modified opinion** and report the fraud risk to those charged with governance under SA 240/SA 260.

### Scenario B — Auditor appointed after the stock count

*Meridian Ltd's inventory is 60% of total assets. The auditor was appointed in May, after the 31 March physical count, which they therefore did not attend.*

**Reason it out.** The at-risk assertion is **Existence** of a highly material inventory, and **SA 501** requires count attendance where inventory is material. Since attendance on the count date is impossible, the auditor moves down the SA 501 ladder: (i) **attend a count on an alternative date** and **roll back** the movements between that date and 31 March to reconstruct the year-end quantity; and/or (ii) perform **alternative procedures** — e.g., inspect records of **subsequent sales** of specific items that were in the 31 March stock, review the count instructions and internal control over the original count, and reconcile count sheets to the ledger. If sufficient appropriate evidence *can* be obtained this way, the opinion is unmodified; if inventory existence **cannot** be verified by any means, this is a **scope limitation** → **qualified or disclaimer of opinion** depending on materiality and pervasiveness.

### Scenario C — The oddly small creditor

*In auditing Apex Ltd's trade payables, the auditor notices that Supplier X — from whom Apex bought ₹30 crore of raw material during the year — shows a closing balance of only ₹15,000, while smaller suppliers show larger balances.*

**Reason it out.** The direction-aware auditor knows payables are audited for **understatement/Completeness**. A near-nil balance on a high-activity supplier screams *unrecorded invoices*. **Response:** send a **positive external confirmation (SA 505) to Supplier X** (precisely the low-recorded/high-activity account the risk direction demands), **reconcile Supplier X's statement** to the ledger, and perform a **search for unrecorded liabilities** — examine April payments to Supplier X and unmatched GRNs to see if March-received goods were left unbooked. If invoices relating to the audit year were omitted, payables and purchases are both understated and profit overstated; the entries must be corrected.

### Scenario D — The under-provided lawsuit

*Nova Ltd faces a ₹20 crore product-liability suit. Management has made no provision and disclosed nothing, saying they "expect to win."*

**Reason it out.** Contingent liabilities are estimate-driven and typically **understated** (assertions: **Completeness of disclosure, Valuation**). Under **SA 540 + SA 501**, management's own optimism is not sufficient evidence. **Response:** review **board minutes and legal-expense ledgers** for the dispute, and obtain **direct written communication from Nova's external legal counsel** on the probable outcome and range of loss. Apply Ind AS 37: if outflow is **probable** and estimable → a **provision** must be recognised; if only **possible** → **disclose** as a contingent liability; only if **remote** may it be ignored. Also review **subsequent**

**events (SA 560)** up to the audit report date. If management refuses to provide/disclose appropriately, it is a misstatement → **modify the opinion**.

### Scenario E — The revaluation that only went one way

*Sirius Ltd owns land (cost ₹200 lakh) and a building (cost ₹150 lakh, in the same class). Management adopts the revaluation model and revalues the land up to ₹320 lakh (surplus ₹120 lakh to OCI) but leaves the building at cost, saying "the building's fair value is uncertain."*

**Reason it out.** The at-risk assertions are **Valuation** and **Presentation**. Under Ind AS 16, if the revaluation model is adopted, **the entire class of PPE must be revalued** — you cannot cherry-pick the asset that has appreciated and leave the depreciated one at cost, because that produces a mixture of dated costs and current values in the same class (selective revaluation is prohibited to prevent exactly this cosmetic uplift).

**Response:** require the building to be revalued too (obtaining a competent independent valuer's report, SA 620), verify the surplus is routed through OCI to a **revaluation reserve** (not P&L), and check that future depreciation is charged on the *revalued* amount. If management refuses to revalue the whole class, the revaluation is non-compliant → misstatement → consider modifying the opinion.

### Scenario F — Window dressing the current ratio

*Comet Ltd has a loan covenant requiring a current ratio of at least 1.5. At 31 March the draft current ratio is 1.45. On 30 March, management (a) recorded cheques of ₹50 lakh as issued to creditors but did not dispatch them until 10 April, and (b) obtained a ₹40 lakh short-term deposit from a director, banked on 31 March and repaid 4 April.*

**Reason it out.** Both moves are **window dressing** — cosmetic Cut-off/Presentation manipulation to clear the covenant on one day. **(a)** An undischarged cheque is **not** a payment; the creditor still exists at year-end, so reversing it restores both cash and payables. **(b)** A deposit taken on 31 March and repaid days later has no commercial substance and, being from a **related party (SA 550)**, needs scrutiny and disclosure; it should not be allowed to inflate the year-end cash. **Response:** examine whether recorded cheque payments were actually dispatched before year-end; trace the director's deposit and its immediate repayment; recompute the current ratio *after* reversing both. If the true ratio is below 1.5, the covenant is breached → the loan may be **repayable on demand** → **reclassify to current** → **potential going-concern (SA 570) issue**. If management resists correcting the accounts, modify the opinion.

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## 6. Procedure / Documentation Summary

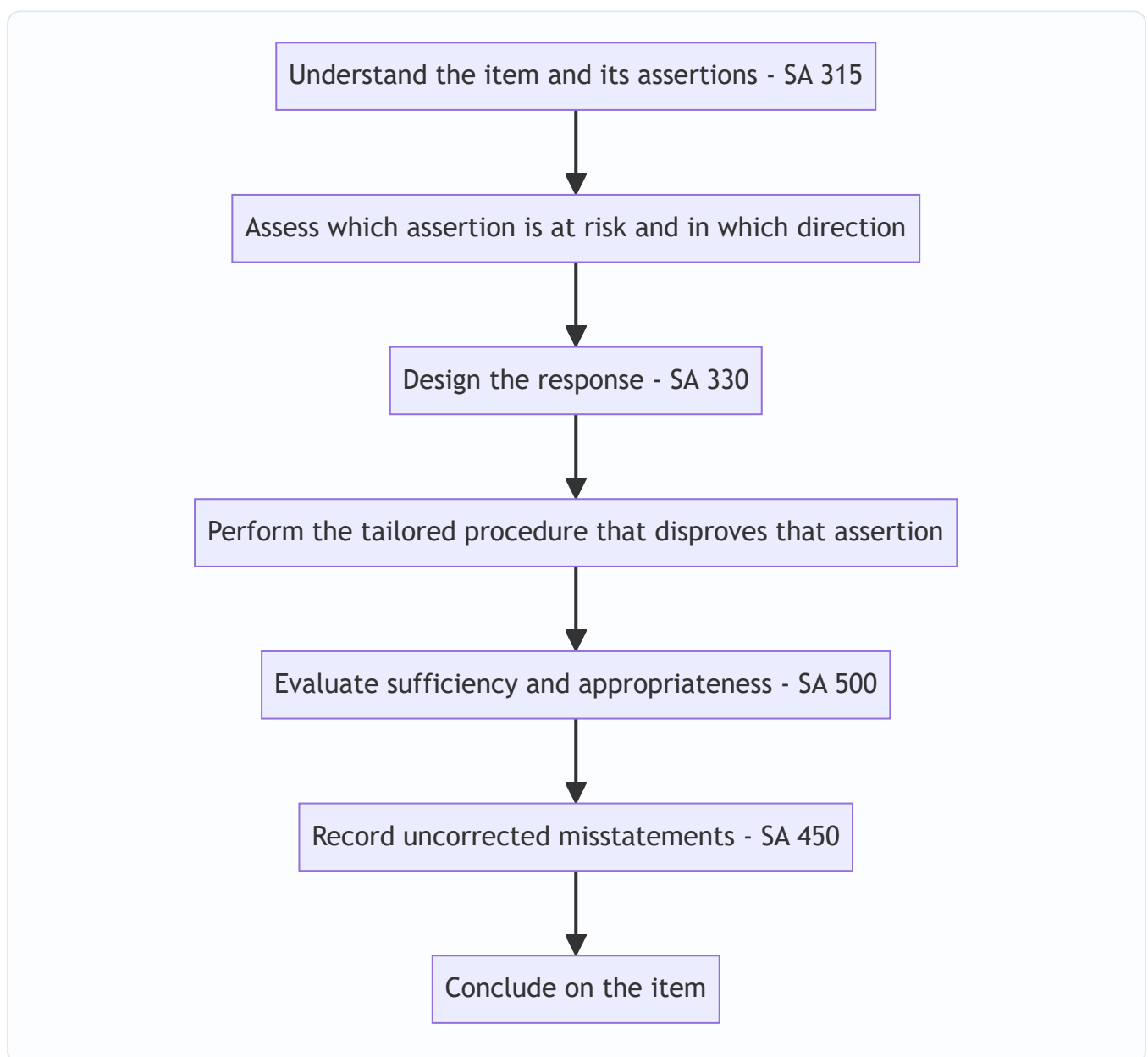
For every item, the working papers must evidence the assertion-to-procedure logic (SA 230 Documentation):

- **Lead schedule** per item, agreeing to the trial balance and prior year, with analytical comparison.
- **Risk & assertion note** — which assertion is at risk, direction, and the planned response (links SA 315 → SA 330).
- **Evidence of the tailored procedure** — confirmation control logs and replies (SA 505); inventory count attendance memo, test-count sheets and roll-forward (SA 501); recomputation of depreciation/interest/valuations; cut-off test sheets; search-for-unrecorded-liabilities schedule; estimate-challenge and independent range (SA 540); legal-counsel replies.
- **Sampling basis** (SA 530) — population, method, sample size, results, and treatment of exceptions.

- **Conclusion memo** per item — assertion by assertion — and any uncorrected misstatements carried to the SA 450 evaluation.

**How individually-immaterial errors become material — the SA 450 aggregation you must show.** Item audit throws up many small misstatements; SA 450 requires the auditor to **accumulate** all misstatements above a trivial threshold and evaluate them *in aggregate* against materiality — both individually and combined. A worked illustration: if cut-off overstated profit ₹16 lakh (Ex 4.1), unrecorded expenses ₹18 lakh (Ex 4.2), inventory over-valuation ₹10 lakh (Ex 4.4) and an under-provision ₹56 lakh (Ex 4.5), the *aggregate* overstatement of profit is **₹100 lakh** even though the auditor must also consider each on its own. The auditor communicates all accumulated misstatements to management, requests correction, and — for those uncorrected — assesses whether the aggregate is material to the opinion. A candidate who fixes each error in isolation but never *sums* them misses the SA 450 point.

Figure 4 — The generic item-audit workflow that repeats for every line, only the tailored procedure box changes.





## 7. Connections

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- **To the risk model (SA 315/330):** item audit is just risk assessment and response applied figure by figure. The assertion is the shared vocabulary.
  - **To fraud (SA 240):** the direction-of-risk thinking *is* fraud awareness — revenue overstated, payables understated, cash misappropriated.
  - **To evidence & confirmations (SA 500/505):** the reliability hierarchy explains *why* external confirmation beats the client's ledger for existence.
  - **To estimates (SA 540) and subsequent events (SA 560):** valuation of receivables, inventory NRV, provisions, and impairments all rest on estimates confirmed or revised by later events.
  - **To materiality and misstatements (SA 320/450):** effort scales to materiality, and small item-level errors are aggregated before judging the opinion.
  - **To going concern (SA 570):** borrowings, defaults and negative net worth surfaced during item audit feed the going-concern judgement — and all valuations assume survival.
  - **To the Companies Act 2013:** Schedule III drives *classification and disclosure* (current/non-current, title deeds, MSME dues, defaults); **CARO 2020** requires specific reporting on many of these very items (fixed assets & title deeds, inventory, loans, statutory dues, defaults). Item audit is where CARO evidence is gathered.
  - **To the audit report (SA 700/705):** unresolved item misstatements or scope limitations become qualifications, and material uncertain items become **Key Audit Matters (SA 701)**.
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## 8. Traps & Examiner Tricks

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- **Using the wrong-direction test.** Vouching payables (a Completeness risk) earns no marks — examiners want **search for unrecorded liabilities**. Conversely, "confirm the largest receivables" is right; "confirm the largest payables" is *incomplete* — for payables, chase the *small/nil balances with high activity*.
- **Confusing vouching and tracing.** *Vouching* (record → document) proves **Occurrence/Existence**; *tracing* (document → record) proves **Completeness**. State which and why.
- **Existence vs Occurrence.** *Existence* is a balance-sheet-date fact about an asset/liability; *Occurrence* is about whether a transaction happened in the period. A fictitious sale fails Occurrence; a ghost machine fails Existence. Use the right word for the right figure.
- **Inquiry alone is never enough (SA 500).** "Ask management / obtain a written representation" cannot stand as the sole procedure; always pair with inspection, confirmation or recomputation. Written reps (SA 580) corroborate, never originate.
- **Forgetting the SA 240 revenue presumption.** Any revenue question expects you to invoke the **rebuttable presumption of fraud in revenue recognition** — and, in a *cash* business, to flip the direction to **understatement** (tax evasion).
- **SA 501 escape hatch.** If the auditor can't attend the count, the answer is *not* "qualify immediately" — first go to **alternative date** and **alternative procedures**; qualify only if evidence still can't be obtained.
- **External confirmation control.** Marks are lost if you let the *client* send/receive confirmations. The **auditor must control** the process; a management **refusal** is not the end — evaluate the reason, do alternative procedures, and consider it a scope limitation if unreasonable.



- **Negative confirmations need all four conditions.** Low risk + many small homogeneous balances + very low expected exceptions + no reason recipients will ignore. Miss one → use positive.
- **Item-by-item lower of cost/NRV.** Never compare *total* cost with *total* NRV; healthy items cannot subsidise loss-makers. Apply item by item (or by similar group only).
- **Impairment uses the higher of FVLCD and VIU.** Recoverable amount is the higher of the two; a rational owner takes the better of "sell" or "use." Using the lower over-impairs.
- **Netting.** Debit balances in payables and credit balances in receivables must be **reclassified**, not netted; bank overdrafts are borrowings, not negative cash.
- **Cut-off is bidirectional.** Examiners test *both* sales cut-off (overstatement) and purchase/expense cut-off (understatement) — and remember goods received before year-end must hit *both* inventory and creditors.
- **Accrual ≠ payment due date.** Interest and expenses accrue with time; "the payment isn't due until April" does not excuse omitting the year-end accrual.
- **Adjusting vs non-adjusting subsequent events (SA 560).** An event that reveals a *condition existing at* year-end (a debtor's post-year-end insolvency, a court ruling on a pre-existing suit) is **adjusting** — change the numbers, not just the notes.
- **Physical inspection ≠ ownership.** Seeing an asset proves **Existence**, not **Rights**; you still need title deeds. And counting inventory proves existence, not that it's *yours* (consignment trap) or *worth cost* (NRV trap).
- **Selective revaluation is prohibited.** Revalue the *whole class* of PPE, not just the asset that went up.
- **Window dressing vs teeming and lading.** Window dressing is temporary balance-sheet flattering at year-end (undispatched cheques, related-party bridging deposits, covenant cosmetics); teeming/lading is ongoing concealment of cash defalcation by lapping receipts.
- **Anticipated future operating losses are not provided for.** No past event, no present obligation → no provision (Ind AS 37). But an *onerous contract* is provided for.
- **Covenant waiver timing.** A waiver obtained *after* the reporting date does not prevent current classification of a loan breached *at* the reporting date.

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## 9. First-Principles Recap

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Start from the trust gap: owners can't verify managers, so the auditor verifies *for* them. But the accounts are not one claim — they are a mosaic of **assertions**, and each can fail differently. Because double-entry lets you flatter profit by either inflating the asset/income side or deflating the liability/expense side, **motive gives every misstatement a direction**: assets and income are pushed **up** (audit for **overstatement** — test what's recorded for reality, ownership and value), liabilities and expenses are pushed **down** (audit for **understatement** — *search for what's missing*). The right procedure is simply the one whose evidence *matches the nature of the assertion at risk*: inspect for existence, confirm for existence-and-rights from an independent outsider, trace for completeness, recompute for valuation, challenge estimates for judgemental items. Because completeness is the *absence* of something, it can only be tested from a population *outside* the ledger — which is why liabilities are structurally harder to audit than assets, and why "search for unrecorded liabilities" is a named technique. The sample itself must be chosen for the *direction of the lie*: large balances for overstatement risks, small/nil high-activity balances for understatement risks. Where a particular assertion is chronically abused, the profession hard-coded a Standard — SA 501 for inventory existence and litigation,

SA 505 for confirmations, SA 540 for estimates and provisions, SA 510 for opening balances. And because no single error tells the whole story, SA 450 makes the auditor *aggregate* them before judging the opinion. Learn the *direction and the assertion*, and every "procedure list" writes itself. That is auditing items of the financial statements from first principles: **not a checklist, but a targeted hunt for the specific lie each number is tempted to tell.**

## 10. Quick-Revision Sheet

### Key Standards

| SA     | One-line trigger                                                          |
|--------|---------------------------------------------------------------------------|
| SA 315 | Assertions + risk assessment                                              |
| SA 320 | Materiality — how big a misstatement matters                              |
| SA 330 | Responses: controls tests + substantive                                   |
| SA 450 | Aggregate and evaluate misstatements                                      |
| SA 500 | Sufficient appropriate evidence; external > internal; inquiry never alone |
| SA 501 | Inventory count attendance; litigation; segments                          |
| SA 505 | External confirmations; auditor controls the process                      |
| SA 510 | Opening balances (first audit)                                            |
| SA 520 | Analytical procedures                                                     |
| SA 530 | Sampling                                                                  |
| SA 540 | Estimates / provisions / valuations                                       |
| SA 550 | Related parties                                                           |
| SA 560 | Subsequent events (adjusting vs non-adjusting)                            |
| SA 570 | Going concern                                                             |
| SA 580 | Written representations (corroborative only)                              |
| SA 240 | Fraud; revenue-recognition presumption                                    |

**Item → Assertion at risk → Direction → Signature procedure**

| Item                     | Key assertion(s)                      | Risk direction                   | Signature procedure                                                                              |
|--------------------------|---------------------------------------|----------------------------------|--------------------------------------------------------------------------------------------------|
| Revenue                  | Occurrence, Cut-off                   | Overstate (cash biz: understate) | Vouch to dispatch; cut-off; analytics; SA 240 presumption                                        |
| Purchases/Expenses       | Completeness, Occurrence, Cut-off     | Both                             | Search for unrecorded liabilities; three-way match; cut-off                                      |
| PPE                      | Existence, Valuation, Rights          | Overstate                        | Register-to-floor inspection; recompute depreciation; impairment; title deeds                    |
| Inventory                | Existence, Valuation, Rights          | Overstate                        | SA 501 count attendance + test counts; lower of cost/NRV item-wise; obsolescence                 |
| Receivables              | Existence, Rights, Valuation          | Overstate                        | SA 505 positive confirmation; subsequent receipts; age + ECL                                     |
| Investments              | Existence, Valuation, Rights          | Overstate                        | Inspect/custodian confirmation; fair-value hierarchy; classification                             |
| Cash & Bank              | Existence, Completeness, Cut-off      | Both                             | Bank confirmation (SA 505); BRR review; cash count                                               |
| Borrowings               | Completeness, Presentation, Cut-off   | Understate                       | Lender confirmation; agreements; charge registration; accrue interest; covenant reclassification |
| Trade payables           | Completeness, Cut-off                 | Understate                       | Search for unrecorded liabilities; supplier-statement reconciliation; confirm SMALL/nil balances |
| Provisions/Contingencies | Completeness, Valuation, Presentation | Understate                       | SA 540 challenge estimate; provide/disclose/ignore tree; legal-counsel letters; SA 560 events    |
| Equity                   | Occurrence, Presentation, Compliance  | —                                | Resolutions + ROC; Companies Act (Sec 52/62/68/123); reconcile reserves                          |

### Memory hooks

- **Assets & income** → audit for **OVERSTATEMENT**. **Liabilities & expenses** → audit for **UNDERSTATEMENT**.
- **Vouch = Occurrence; Trace = Completeness; Inspect = Existence; Confirm = Existence + Rights; Recompute = Valuation.**
- **Evidence ladder:** auditor's own knowledge > external direct > external via client > internal (strong controls) > internal (weak). Originals beat copies. Inquiry never stands alone.
- **Inventory ladder (SA 501):** attend count → alternative date + roll-forward → alternative procedures → qualify.
- **Confirmations (SA 505):** auditor controls; positive for risky, negative only for small/low-risk (all four conditions); refusal → evaluate + alternatives + maybe scope limitation.
- **Payables trap:** confirm the *small* high-activity balance, not the big one.

- **Provision tree:** present obligation + probable + reliably estimable → provide; only possible → disclose; remote → ignore.
- **Impairment:** carry at  $\leq$  recoverable amount = **higher** of FVLCD and VIU.
- **Lower of cost/NRV:** item by item; healthy items cannot subsidise loss-makers.
- **SA 450:** aggregate all misstatements before judging the opinion.

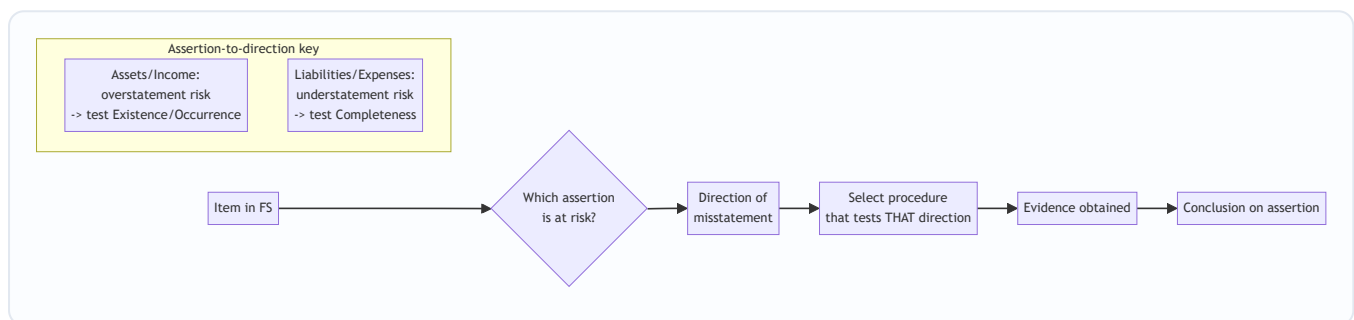
*(Where an exact SA clause or Companies Act section number is decisive in your answer, confirm it against current ICAI study material and the latest Schedule III / CARO 2020 wording, as these are periodically updated. Ind AS thresholds, rates and section numbers should be verified against the current ICAI material / applicable AY.)*

# Q&A — Audit of Items of Financial Statements

CA Intermediate — Auditing & Ethics. Every question is followed by a complete model answer citing the relevant SA/section. Standards referenced are Indian Standards on Auditing (SAs) issued by ICAI and provisions of the Companies Act, 2013. No standards have been invented.

## The one-line mental model

The examiner never asks "audit revenue." He asks "audit the **assertion about revenue that is most likely to be misstated in the direction management prefers.**" Assertions are the bridge from *risk* to *procedure*. Pick the wrong assertion and you pick the wrong tool.



**First principle (double-entry direction):** overstating an asset or income overstates profit; understating a liability or expense also overstates profit. So for **assets and income** the auditor fears *overstatement* and tests **Existence / Occurrence**; for **liabilities and expenses** the auditor fears *understatement* and tests **Completeness**.

## Section A — Concept-check (short questions + answers)

### A1. What is an "assertion" and why does the auditor care about the *direction* of misstatement?

Assertions are the representations, explicit or implied, that management makes in the financial statements about classes of transactions, account balances and disclosures (per SA 315, "Identifying and Assessing the Risks of Material Misstatement"). They include Existence, Rights & Obligations, Completeness, Valuation/Accuracy, Occurrence, Cut-off, Classification and Presentation. Direction matters because management's incentive is usually to overstate profit — hence assets/income are audited chiefly for *overstatement* (Existence/Occurrence) and liabilities/expenses for *understatement* (Completeness). The assertion at risk dictates the procedure.

**A2. Which single assertion is the primary target when auditing revenue, and which SA presumes a fraud risk there?** The **Occurrence** assertion (did the sale really happen and belong to this period). SA 240, "The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements," creates a **rebuttable presumption of fraud risk in revenue recognition**. Cut-off is the close cousin — recording next-year sales in this year.

**A3. When is the auditor *required* to attend physical inventory counting, and under which SA?** Under SA 501, "Audit Evidence — Specific Considerations for Selected Items," when inventory is material the

auditor shall attend physical counting (unless impracticable) to: evaluate management's count instructions, observe procedures, inspect the inventory, and perform test counts. This addresses primarily the **Existence** assertion.

**A4. If attendance on the counting date is impracticable, what does SA 501 permit?** Attend on an **alternative date** and perform audit procedures over **intervening transactions** (roll-back/roll-forward). If attendance itself is impracticable, perform alternative procedures; if even those cannot give sufficient appropriate evidence, **modify the opinion** under SA 705.

**A5. What is external confirmation and which SA governs it?** Evidence obtained as a direct written response to the auditor from a third party (a confirming party), governed by **SA 505, "External Confirmations."** Positive confirmation asks the party to respond in all cases; negative confirmation asks for a response only if they disagree. It is most useful for the **Existence / Rights** assertion of receivables and bank balances.

**A6. Which assertion is the weak point for trade payables and provisions, and why? Completeness.** Because management prefers to understate liabilities (to boost profit and net worth), the fear is *unrecorded* payables and *under-provided* obligations — so the auditor searches for unrecorded liabilities rather than merely vouching what is booked.

**A7. Which SA governs auditing accounting estimates such as provisions and contingent liabilities? SA 540, "Auditing Accounting Estimates and Related Disclosures."** It requires the auditor to evaluate the method, assumptions and data, test how management made the estimate, and consider indicators of management bias. Contingent liabilities and provisions turn on estimation and judgment, so SA 540 drives the work.

**A8. Under the Companies Act, 2013, name two clauses of CARO 2020 an auditor cross-checks while auditing PPE.** CARO 2020 requires reporting on (a) maintenance of **proper records of Property, Plant & Equipment** showing full particulars including quantitative details and situation, and whether PPE has been **physically verified** at reasonable intervals; and (b) whether **title deeds of immovable property** are held in the company's name. These map to the Existence and Rights & Obligations assertions of PPE.

**A9. What is "cut-off" and give the direction of error it guards against for sales and purchases.** Cut-off tests that transactions are recorded in the correct period. For **sales**, the risk is recording *next period's* sales in the *current* period (overstatement of income). For **purchases/expenses**, the risk is pushing *current* period costs into the *next* period (understatement of expense). It is tested by examining despatch/GRN documents around the year-end date.

**A10. Which assertion dominates the audit of investments, and what evidence supports it? Valuation** (are investments carried correctly — at cost, fair value or per applicable AS/Ind AS with impairment) alongside **Existence/Rights**. Evidence: inspection of physical scrips or **demat/DP statements and CDSL/NSDL confirmations**, market quotations for fair valuation, and confirmation for investments held by third parties (SA 505).

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## Section B — Applied scenarios (situation → audit response with reasoning)

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**B1. Channel stuffing.** A consumer-goods company reports a sharp spike in sales in the last week of March, followed by heavy sales returns in the first week of April. How should the auditor respond? **Response:** This is a classic **Occurrence + Cut-off** red flag, and SA 240 presumes fraud risk in revenue. The auditor should: (i)

examine **despatch documents, gate-pass and lorry receipts** for late-March invoices to verify goods actually left; (ii) test **cut-off** by tracing invoices booked around 31 March to proof of delivery and terms of transfer of control; (iii) review **post year-end sales returns / credit notes** and reverse revenue where sale did not truly occur before year-end; (iv) scrutinise dealer agreements for **right-of-return or "sale-or-return"** arrangements that defeat recognition; (v) consider confirming key dealer balances (SA 505). If revenue is inflated, insist on correction; else evaluate impact on the opinion under SA 705.

**B2. Late inventory count.** Due to a plant lockout, the company could count inventory only on 10 April instead of 31 March. Inventory is material. What does the auditor do? **Response:** SA 501 permits attendance on an **alternative date**. The auditor attends the 10 April count, performs test counts and observes controls, then audits **intervening transactions** (purchases, sales, production 1–10 April) to **roll back** the 10 April quantities/value to 31 March and reconcile. Verify the reconciliation with GRNs, despatch notes and production records. If the intervening records are unreliable or attendance/alternative procedures cannot yield sufficient appropriate evidence on **Existence**, the auditor modifies the opinion (qualified or disclaimer) under SA 705.

**B3. Small creditor / unrecorded liability.** During the search for unrecorded liabilities, the auditor finds a goods-received note dated 28 March for which no purchase invoice is booked and no provision made; the supplier is small and the amount modest. Response? **Response:** The assertion at risk for payables is **Completeness**, and the *individually immaterial* amount can be misleading — the auditor evaluates it as one instance in a pattern. Procedure: examine **post year-end payments and unpaid invoices** in April, trace the 28 March GRN to see if the liability belongs to the current year, and check whether goods are included in year-end inventory (if the stock is in but the payable is out, both purchases and creditors are understated). If it belongs to March, propose an adjustment to record the payable/accrual. Aggregate all such findings against materiality before concluding (SA 320 / SA 450).

**B4. Under-provided lawsuit.** A company is defending a ₹5 crore product-liability suit. Its lawyer says an adverse outcome is "probable" and the likely payout ₹3–4 crore, but the company provides only ₹50 lakh and discloses the rest as a contingent liability. Response? **Response:** This is an **accounting estimate** under **SA 540** and a completeness/valuation issue for provisions. Per AS 29 (Provisions, Contingent Liabilities and Contingent Assets), a **present obligation that is probable and reliably estimable requires a provision**, not mere disclosure. The auditor should: (i) obtain **direct confirmation / legal opinion from the company's lawyers** on likelihood and range; (ii) evaluate management's assumptions and check for **management bias** (under-provisioning to protect profit); (iii) conclude the ₹50 lakh provision is understated and the estimate unreasonable. Request correction to provide the best estimate. If management refuses and the amount is material, **qualify or issue an adverse opinion** under SA 705; obtain written representations (SA 580) but never as a substitute for evidence.

**B5. Negative confirmation only.** For a large book of small retail debtors with strong controls and low exception history, the audit senior proposes only negative confirmations. Is that acceptable? **Response:** Under SA 505, negative confirmations may be used **only when all** of these hold: risk of material misstatement is **low** and controls are effective, the population is **large and homogeneous with small balances**, a **low exception rate** is expected, and the auditor is not aware of circumstances that would cause recipients to disregard them. Since those conditions are met here, negative confirmation is acceptable as *one* source, but because non-response is treated as agreement, the auditor should **combine** it with other substantive procedures (subsequent receipts testing). If risk were higher, positive confirmations would be required.

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## Section C — Past-paper-style descriptive questions with model answers

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**C1. "How would you verify Revenue from the sale of goods?" (Assertions, procedures, SA references.)**

**Model answer:** Revenue is audited principally for **Occurrence, Cut-off, Accuracy and Completeness**, with a fraud presumption under **SA 240**. - **Occurrence:** Vouch a sample of recorded sales to **invoices, despatch documents, customer orders and gate passes**; confirm goods left the premises and control passed. - **Cut-off:** Examine the **last few despatch notes/invoices before and after year-end** to ensure sales are recorded in the correct period; review post-year sales returns. - **Accuracy:** Recompute invoice amounts, check price/quantity to approved price lists and reconcile to the general ledger. - **Completeness:** Trace despatch notes to invoices to ensure all goods sold are billed. - **Analytical procedures (SA 520):** Compare gross margins, monthly sales trends and revenue per unit against prior year and expectation. - **Presentation:** Check disclosure per applicable AS/Ind AS and Schedule III of the Companies Act, 2013.

**C2. "State the auditor's duties regarding physical verification of inventory under SA 501." (Detailed.)**

**Model answer:** Under **SA 501**, when inventory is material to the financial statements the auditor shall **attend physical inventory counting**, unless impracticable, and: (a) **Evaluate management's instructions and procedures** for recording and controlling the count; (b) **Observe** the performance of the count procedures; (c) **Inspect** the inventory (condition, obsolescence, damaged/slow-moving items — a **Valuation** concern); (d) Perform **test counts** — trace items from floor to records (Completeness) and from records to floor (Existence). If counting is at a date **other than the balance-sheet date**, perform procedures on **intervening transactions**. If attendance is **impracticable**, perform **alternative procedures**; where inventory is held by a **third party**, obtain **confirmation** from that party (SA 505) and/or inspect. If sufficient appropriate evidence cannot be obtained, **modify the opinion (SA 705)**. Under CARO 2020 the auditor also reports on the reasonableness of coverage and discrepancies of 10% or more.

**C3. "Explain external confirmation of trade receivables — process, positive vs negative, and treatment of non-responses." (SA 505.)**

**Model answer:** Per **SA 505**, external confirmation is direct written evidence from a third party. For receivables it tests **Existence and Rights**. - **Control:** The auditor must **control** the confirmation process — select the items, design the request, send them, and receive responses **directly** (never routed through the client). This preserves reliability. - **Positive confirmation:** The debtor responds whether or not they agree; used when risk is higher. **Negative confirmation:** the debtor responds only on disagreement; used only when the four low-risk conditions are met. - **Non-response to positive requests:** Perform **alternative procedures** — inspect subsequent cash receipts, sales invoices and despatch documents. - **Exceptions (disagreements):** Investigate to determine whether they indicate misstatement. - **Management refusal to allow confirmation:** Enquire into reasons, seek other evidence, and evaluate the refusal as a possible **fraud risk factor** (SA 240) and a possible **scope limitation** (SA 705). - **Reliability doubts:** If responses arrive by unreliable means (e.g., unverified email/fax), verify the source and authenticity.

**C4. "How does an auditor verify Property, Plant and Equipment (PPE), and what does the Companies Act require?"**

**Model answer:** PPE is audited for **Existence, Rights & Obligations, Valuation and Completeness of additions/deletions**. - **Existence:** Verify **physical verification** by management and review the reconciliation of the fixed-asset register with the ledger. - **Rights:** Inspect **title deeds** for immovable property and invoices/registration for movables; **CARO 2020** requires reporting whether title deeds are in the company's name. - **Additions:** Vouch to **invoices, board approval and capitalisation policy**; ensure revenue vs capital classification is correct. - **Deletions:** Verify **authorisation, sale consideration and profit/loss on disposal**. - **Valuation:** Check depreciation is charged per **Schedule II of the Companies Act, 2013** (useful-life based) and test for **impairment (AS 28 / Ind AS 36)**. - **CARO 2020** additionally requires

reporting on maintenance of proper PPE records with quantitative details and situation, physical verification at reasonable intervals with material discrepancies dealt with, title-deed holding, and revaluation reasonableness.

**C5. "Write short notes on auditing (a) borrowings and (b) provisions & contingent liabilities." Model answer: (a) Borrowings** — Audited for **Completeness, Obligation, Accuracy and Presentation**. Obtain **confirmations from lenders** (SA 505) for balances and terms; verify **board/ special resolutions** authorising borrowing (Section 179/180, Companies Act, 2013); check **charge creation/registration** with the Registrar (Sections 77–78) and CARO 2020 reporting on **default in repayment** of loans/interest; recompute interest and test cut-off of accruals. Completeness is key — search for unrecorded borrowings. **(b) Provisions & contingent liabilities** — These are **accounting estimates under SA 540** governed by **AS 29**. Distinguish a **provision** (present obligation, probable outflow, reliable estimate → recognise) from a **contingent liability** (possible obligation or not reliably estimable → disclose only). The auditor evaluates the **method, assumptions and data**, tests management's estimation process, checks for **management bias** (under-provisioning), obtains **legal confirmations** for litigation, reviews subsequent events (SA 560), and verifies disclosure. Under-provision that is material and uncorrected leads to modification under SA 705.

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## Section D — MCQs / case scenarios (correct option + one-line reasoning)

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**D1.** SA 240 creates a rebuttable presumption of fraud risk in: (a) Purchases (b) **Revenue recognition** (c) Payroll (d) Depreciation **Answer: (b)** — SA 240 presumes fraud risk exists in revenue recognition.

**D2.** The primary assertion tested by attending physical inventory count under SA 501 is: (a) Valuation (b) Rights (c) **Existence** (d) Presentation **Answer: (c)** — Observing and test-counting stock confirms the inventory actually exists.

**D3.** For trade payables, the assertion of greatest audit concern is: (a) Existence (b) Rights (c) **Completeness** (d) Classification **Answer: (c)** — The risk is *unrecorded* liabilities understating profit.

**D4.** Negative external confirmations are appropriate only when: (a) Risk is high (b) Balances are few and large (c) **Risk is low, population large and homogeneous, low exception rate expected** (d) Controls are weak **Answer: (c)** — These are the SA 505 conditions for negative confirmations.

**D5.** A provision must be recognised (not merely disclosed) when the outflow is: (a) Possible (b) Remote (c) **Probable and reliably estimable** (d) Uncertain in timing only **Answer: (c)** — AS 29 requires recognition once outflow is probable and the amount is reliably estimable.

**D6.** Auditing accounting estimates such as provisions is primarily governed by: (a) SA 501 (b) SA 505 (c) **SA 540** (d) SA 570 **Answer: (c)** — SA 540 deals with auditing accounting estimates and related disclosures.

**D7. Case scenario.** An auditor finds that goods received on 30 March are included in closing inventory, but the corresponding supplier invoice is booked on 5 April with no year-end accrual. The most likely effect is: (a) Sales overstated (b) **Purchases and trade payables both understated** (c) Inventory understated (d) No effect **Answer: (b)** — Stock is in but the liability is out, so both purchases (expense) and creditors are understated — a Completeness/cut-off failure.

**D8. Case scenario.** Management refuses to allow the auditor to send confirmations to three large debtors. Per SA 505, the auditor should first: (a) Immediately qualify the opinion (b) **Enquire into the reasons and seek alternative evidence, treating it as a possible fraud risk / scope limitation** (c) Ignore those debtors

(d) Rely on a management representation letter alone **Answer: (b)** — SA 505 requires enquiry, alternative procedures, and evaluation as a fraud-risk factor / scope limitation before any modification.

**D9.** Depreciation on PPE for a company is to be provided as per: (a) AS 29 (b) **Schedule II of the Companies Act, 2013** (c) SA 501 (d) Schedule III **Answer: (b)** — Schedule II prescribes useful lives for computing depreciation.

**D10.** The best evidence for existence of quoted investments held in demat form is: (a) Broker's contract note only (b) **DP / demat statement and CDSL-NSDL confirmation** (c) Board minutes (d) Bank statement **Answer: (b)** — The depository statement/confirmation directly evidences existence and ownership.

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## Trap & examiner-trick checklist

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- **Wrong assertion trap:** Being asked to "verify creditors" and reflexively *vouching booked invoices* — that tests Existence, but the real risk is **Completeness (unrecorded liabilities)**.
- **Direction trap:** Assets/income → fear **overstatement**; liabilities/expenses → fear **understatement**. Say the direction explicitly in answers.
- **SA 501 impracticability:** Do **not** jump to a disclaimer — first try alternative date + intervening transactions, then alternative procedures, *then* SA 705.
- **Confirmation control:** State that the auditor must **control** the process and receive replies **directly**; a reply routed via the client is unreliable.
- **Negative confirmation:** Cite the **four conditions** or lose the mark; non-response = deemed agreement, a weakness.
- **Provision vs contingent liability:** Anchor to **AS 29** (probable + reliably estimable = provision) and **SA 540** for the estimation audit.
- **Written representations (SA 580):** Never a *substitute* for available audit evidence.
- **Always cite the SA/section number** — SA 240, 315, 320/450, 501, 505, 520, 540, 560, 580, 705, and Companies Act Schedule II/III, Sections 77–78/179–180, and CARO 2020.

## Quick-revision matrix (item → assertion → direction → key procedure → SA)

| Item                       | Primary assertion         | Feared direction | Key procedure                                       | Anchor               |
|----------------------------|---------------------------|------------------|-----------------------------------------------------|----------------------|
| Revenue                    | Occurrence / Cut-off      | Overstatement    | Vouch to despatch docs; cut-off; review returns     | SA 240, 520          |
| Purchases/Expenses         | Completeness / Cut-off    | Understatement   | Search for unrecorded liabilities; cut-off          | SA 315, 330          |
| PPE                        | Existence / Rights        | Overstatement    | Physical verification; title deeds; Sch II depn     | CARO 2020, Sch II    |
| Inventory                  | Existence / Valuation     | Overstatement    | Attend count; test counts; NRV                      | SA 501               |
| Receivables                | Existence / Rights        | Overstatement    | Positive/negative confirmation; subsequent receipts | SA 505               |
| Investments                | Valuation / Existence     | Overstatement    | Demat/DP confirmation; fair value                   | SA 505, AS 13        |
| Cash & bank                | Existence                 | Overstatement    | Bank confirmation; reconciliation                   | SA 505               |
| Borrowings                 | Completeness / Obligation | Understatement   | Lender confirmation; charge registration; default   | SA 505, Sec 77       |
| Trade payables             | Completeness              | Understatement   | Unrecorded-liability search; post-year payments     | SA 315               |
| Provisions / Contingencies | Completeness / Valuation  | Understatement   | Legal confirmation; estimate evaluation; bias       | SA 540, AS 29        |
| Equity                     | Rights / Presentation     | —                | Verify allotment, resolutions, Sch III disclosure   | Sec 179/180, Sch III |

**First-principles recap:** Assertion → direction → procedure. Assets and income are audited for *overstatement* (Existence/Occurrence); liabilities and expenses for *understatement* (Completeness). Dedicated SAs — 501 (inventory), 505 (confirmations), 540 (estimates) — exist precisely because those items resist ordinary vouching. Cite the standard, name the assertion, state the direction, and the procedure writes itself.

# Chapter 07 — Audit in an Automated Environment

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## 1. The Problem

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Return to the founding problem of this whole subject. A company's managers keep the books; the owners (and lenders, tax authorities, the public) must **trust** those books without being able to check every entry themselves. Audit exists to close that trust gap. The auditor gathers evidence, tests it against reality, and forms an independent opinion.

Now change one thing about the world: **the books are no longer written by hand in a ledger**. They live inside a computer system — an ERP like SAP or Oracle, a Tally installation, a bespoke banking core, a cloud accounting platform. A sales invoice is not a signed paper document in a file; it is a row in a database table, generated automatically when a warehouse scanner logs a dispatch. Interest on a savings account is not calculated by a clerk; a program runs overnight and posts thousands of entries in seconds. A three-way match between purchase order, goods receipt and invoice is not done by a human comparing three papers; a rule inside the software either releases the payment or blocks it.

The **trust problem has not changed** — owners still cannot verify the books themselves. But the **shape of the risk has changed completely**, and if the auditor keeps auditing the way one audits a paper world, the audit will silently fail. Here is why:

- **The visible audit trail dissolves.** In a manual system, every step leaves a paper mark — a signed voucher, an initial in the margin, a stamped register. You can *follow* a transaction with your eyes. In an automated system, a transaction may be born, approved, and posted with **no human touch and no printout**. The "trail" is now electronic, may be fleeting, and may be invisible unless you deliberately go and extract it.
- **Controls move inside the machine.** In a manual world, the control "a senior authorises payments above ₹1 lakh" is a person signing. In an automated world, that control is a line of program logic. It works *perfectly and identically every single time* — which is wonderful when the logic is right and **catastrophic and uniform when the logic is wrong**. A human clerk makes random errors; a program makes the *same* error on *every* transaction until someone notices.
- **A single failure becomes pervasive.** Because the whole entity often runs on one system, a weakness in *how the computer environment itself is managed* — who can change programs, who can access data, whether backups work — is not a risk to one account. It is a risk to **everything the system touches at once**. This is why IT risk is called *pervasive*.
- **Speed and volume defeat manual testing.** You cannot vouch a sample of 25 invoices and feel comfortable when the system processes 4 crore invoices, each capable of being wrong in the same programmed way. The sample tells you about the 25; the *program* tells you about the 4 crore.

So the risk this chapter addresses is precise: **In a computerised environment, misstatements can arise silently, uniformly, and at massive scale, from causes (program logic, access rights, data integrity) that are invisible to a paper-style audit.** Everything that follows — SA 315's requirement to understand IT, the split between general and application controls, CAATs, data analytics, the choice to audit *through* rather than *around* the computer — is a designed response to that single risk.

**First-principles anchor.** The computer did not create new *types* of lies (fraud and error are ancient). It changed *where* they hide, *how consistently* they repeat, and *how fast* they multiply. The audit must follow the risk into the machine.

**A sharper way to see it — the "risk relocation" idea.** Think of misstatement risk as a fixed quantity of water that must go *somewhere*. In a manual system it pools in *human* places: a clerk's arithmetic slip, a forged signature, a lost voucher, a mis-posted ledger folio. Automation does not drain the water; it **re-routes it into three new reservoirs**:

1. **Logic** — the program itself may embody a wrong rule (wrong tax rate, wrong rounding, wrong cut-off).
2. **Access** — the wrong person may reach data or programs (no segregation, privileged users, shared passwords).
3. **Data integrity** — records may be altered, lost, incompletely captured, or corrupted in transit between systems.

Every technique in this chapter targets one of these three reservoirs. If you can name which reservoir a procedure drains, you understand *why* the profession requires it. Keep this triad — **logic, access, data** — as a mental index for the whole chapter.

**Contrast to lock it in.** Manual world: errors are **random, self-limiting, individually small, and leave paper**. Automated world: errors are **systematic, self-replicating, potentially vast, and may leave no paper**. The single word that captures the difference is *systematic* — the machine's greatest virtue (consistency) is also the audit's greatest danger (a consistent mistake).

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## 2. The Core Idea

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The core idea of this chapter can be compressed into one sentence:

**When accounting moves into a computer, the auditor must move the audit into the computer too — understanding, testing, and using the technology rather than pretending it is a black box.**

This unfolds into three linked commitments:

1. **Understand the IT environment as part of understanding the entity (SA 315).** You cannot assess risk in a system you do not understand. The auditor must grasp *how* the numbers are produced by the technology, not just *what* the numbers are.
2. **Distinguish two layers of control, because they fail differently.** - **Application controls** live inside a specific business process (e.g., the purchase system won't accept a negative quantity). They protect *individual* assertions in *individual* processes. - **IT General Controls (ITGCs)** are the environment-wide plumbing — access management, change management, operations, backup. They don't touch any single transaction directly; instead they determine **whether you can rely on the application controls at all**. If anyone can change a program overnight, no application control is trustworthy.
3. **Choose an audit approach that matches the system: through the computer, not merely around it.** Auditing *around* the computer treats the machine as a black box — check inputs, check outputs, ignore



the processing. Auditing *through* the computer opens the box: test the logic and controls inside. In modern, high-volume, automated systems, around-the-computer is often *not enough*, and the auditor uses **CAATs and data analytics** to test the processing and the whole population directly.

Hold these three ideas. The rest of the chapter is their justification and mechanics.

**Where the "point of reliance" sits — the decision the whole audit turns on.** Underneath these three commitments is a single strategic choice the auditor must make for each significant class of transactions: *am I going to rely on the entity's automated controls (a controls-reliance strategy), or am I going to test the numbers directly and not depend on the machine's controls (a substantive strategy)?* This choice is not cosmetic — it determines the *nature, timing and extent* of everything you do next. A controls-reliance strategy is attractive precisely because of the machine's consistency (test a control once, cover the whole year), **but it is only available if the ITGCs hold**. A substantive strategy is always available but, in a high-volume automated world, is itself usually executed *with* the computer (CAATs on the full population). So even "not relying on controls" does not let you escape the machine — it just changes which tool you point at it.

**A vocabulary caution the exam exploits.** Students blur three verbs — *understand*, *evaluate*, and *test* — but SA 315/330 keep them distinct and sequential:

- **Understand** (SA 315) — obtain knowledge of the IT environment and the controls. This is *mandatory for every audit*, even one that plans no reliance on controls, because you cannot assess risk without it.
- **Evaluate the design and determine implementation** (SA 315) — is the control *capable* of preventing/detecting a misstatement, and does it actually *exist* and *is in use*? (A walkthrough answers this.)
- **Test operating effectiveness** (SA 330) — does the control *actually work throughout the period*? This is only required if you intend to *rely* on the control.

Understanding is never optional; testing operating effectiveness is a *choice* driven by your reliance strategy. Confusing "I did a walkthrough" (design + implementation) with "I tested the control" (operating effectiveness) is a classic exam and real-world error.

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### 3. Why It's Built This Way

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Why does the profession structure automated-environment auditing exactly like this — two control layers, a preference for auditing *through*, a toolkit of CAATs? Because each design choice answers a specific weakness of the computerised world.

**Why two layers (general vs application)?** Because reliability is *conditional*. An application control is only as trustworthy as the environment that hosts it. Imagine a beautifully designed application control that rejects duplicate vendor invoices. Now imagine that the IT environment is so loose that a programmer can log into production at night and switch that control off, run a fraudulent batch, and switch it back on. The application control *looks* perfect in a walkthrough and is *worthless* in reality. So auditors were forced to recognise a foundational layer — ITGCs — whose entire job is to make application controls *dependable*. **You test ITGCs first; only if they hold can you place reliance on application controls.** This dependency is the single most important structural idea in the chapter.

**Why prefer auditing *through* the computer?** Because in an automated environment the *processing* is where value is added and where risk concentrates. If a program silently drops the second decimal on every interest calculation, inputs look fine and each individual output looks *plausible* — the error is only visible if



you interrogate the logic or re-perform on the whole population. Auditing around the computer would miss it. As systems became more integrated and paper outputs vanished, "around" stopped being a real option for large parts of the audit.

**Why CAATs and data analytics?** Because the auditor's traditional weapon — sampling — is a *concession to human limits*, not a virtue. We sampled because a human could not examine a million vouchers. A computer *can*. CAATs let the auditor examine **100% of the population**, re-perform calculations exactly, and spot patterns (round-sum entries, weekend postings, duplicate payments, gaps in invoice numbering) that no sample would reveal. The technology that created the risk also supplies the tool to audit it.

**Why anchor all this in SA 315 and SA 330?** Because the profession refuses to bolt "IT auditing" on as a separate exotic activity. It is *the same risk-based audit*: **understand the entity and its environment (including IT) → identify and assess risks of material misstatement → design responses**. SA 315 forces you to understand IT and its controls; SA 330 forces your procedures to *respond* to what you found. Automated-environment auditing is not a new religion; it is the standard risk model, honestly applied to a computerised entity.

**Why does "consistency" cut both ways — and why does the profession lean on it anyway?** This deserves first-principles unpacking because it is the intellectual engine of controls-reliance. A manual control (a clerk checking prices) is *inconsistent by nature*: the clerk is sharp on Monday, tired on Friday, absent in June. To rely on such a control you must re-test it repeatedly across the period, because past performance barely predicts future performance. An automated control is the opposite: it is **deterministic** — given the same input it produces the same output every time, forever, until the code changes. That determinism means a *single* successful test is, in principle, evidence about *every* execution in the period. The profession seized on this because it makes controls-reliance dramatically efficient. **But** the inference "tested once, therefore worked all year" secretly depends on a premise: *the code did not change*. That premise is exactly what **change-management ITGC** guarantees. So the two-layer structure is not bureaucratic tidiness — it is the *logical price* of being allowed to extrapolate a one-day test across a twelve-month period. Remove change management and the extrapolation collapses.

**Why not just do substantive testing everywhere and skip controls?** Because in a genuinely automated, high-volume entity, *pure* substantive testing is often either impossible or wildly inefficient. If purchases are 4 crore transactions with no paper, "vouch a sample" tells you almost nothing about the population, and re-performing everything substantively still forces you to trust the *data extract* you analyse — which itself depends on ITGCs. There is no ITGC-free island. The realistic choice is not "controls vs no computer" but "which mix of controls-reliance and computer-assisted substantive work gives sufficient appropriate evidence at least cost." That is a professional-judgement optimisation, and SA 330 exists to discipline it.

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## 4. Full Technical Content

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This is the exam-bearing core. Every requirement below is paired with the risk it answers.

## 4.1 How a computerised environment changes the audit (the drivers)

| Change                                                           | What it means                                                                              | Why it matters (the risk)                                                                                                         |
|------------------------------------------------------------------|--------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------|
| <b>Loss of visible/paper audit trail</b>                         | Transactions may leave no printed evidence; the trail is electronic and possibly transient | Auditor cannot "follow the paper"; must extract electronic evidence deliberately, sometimes in real time before it is overwritten |
| <b>Uniform (systematic) processing</b>                           | The program treats every like transaction identically                                      | A single logic error is repeated on the <i>entire</i> population — errors become systematic, not random                           |
| <b>Automated (programmed) controls</b>                           | Controls are program logic, not human acts                                                 | They are consistent but only as good as the code; a wrong control fails invisibly and pervasively                                 |
| <b>Potential for unauthorised access &amp; data manipulation</b> | Data is concentrated and remotely reachable                                                | Concealment of fraud, unauthorised changes, loss of segregation of duties                                                         |
| <b>Reduced human involvement / segregation</b>                   | One system may combine incompatible functions                                              | Traditional manual segregation of duties may be lost; must be enforced by system access rights instead                            |
| <b>High speed &amp; volume</b>                                   | Millions of transactions processed instantly                                               | Manual sample testing is inadequate; population-level techniques become necessary                                                 |
| <b>Dependence and pervasiveness of IT</b>                        | Whole entity relies on the system                                                          | An environment-level weakness threatens <i>all</i> financial assertions simultaneously                                            |

**Exam framing:** If asked "how does a computerised environment affect the audit / audit approach," structure your answer around these drivers, each tied to its risk. Do not just list features of computers.

### Two finer distinctions the examiner tests here:

- **"Systematic" vs "random" error — get the audit consequence right.** A *random* manual error partially self-corrects across a population (some overstatements, some understatements) and is caught by sampling with reasonable confidence. A *systematic* programmed error moves *every* item in the *same* direction, so it does **not** wash out — a tiny per-transaction error becomes a large, one-directional aggregate misstatement. This is *why* population-level testing (CAATs) is not a luxury in automated environments: sampling is designed for random error, and the dominant error mode here is systematic.
- **"Consistency" is a double-edged property, not a benefit.** Many students write "computers are consistent" as if it were purely good. In audit terms consistency is *neutral*: it makes a *correct* control reliably correct (the benefit of consistency, §4.3) and a *wrong* control reliably wrong (the systematic-error risk). The exam rewards the student who names *both* edges.

**Trap-in-advance:** When a question lists a feature of a computer system, always translate it into an *audit impact tied to a risk*. "The system processes 4 crore invoices" is not an answer; "high volume defeats manual sampling, forcing population-level CAATs" is.

## 4.2 Relevant Standards on Auditing (SAs)

Automated-environment auditing is not governed by one "IT SA." It is woven through the risk-assessment standards. Know these citations:

- **SA 315 — Identifying and Assessing the Risks of Material Misstatement through Understanding the Entity and Its Environment.** This is the anchor. It **explicitly requires** the auditor to obtain an understanding of the **information system**, including the related business processes and **how the entity uses IT**, and to understand the **controls, including IT general controls and application controls**, relevant to the audit. *Why:* you cannot assess a risk in technology you do not understand. SA 315 also introduces the idea that IT gives rise to specific **risks arising from the use of IT** (e.g., unauthorised access, unauthorised changes, reliance on inaccurate systems).
- **SA 330 — The Auditor's Responses to Assessed Risks.** Once SA 315 tells you *where* the risk is, SA 330 requires your procedures to *respond*. If you intend to **rely on automated controls**, SA 330 requires you to test those controls and, crucially, to test the **IT general controls** that support their **continued effective operation** throughout the period. *Why:* an automated control tested as working on one day is presumed to work all year *only if* change/access controls prevented it from being altered — hence you must test ITGCs.
- **SA 240 — The Auditor's Responsibilities Relating to Fraud.** In an automated environment, fraud can be perpetrated through unauthorised access and data manipulation, and **journal entry testing** (an SA 240 requirement) is often best done using CAATs across the full population.
- **SA 500 — Audit Evidence.** Electronic evidence must still be sufficient and appropriate; its **reliability depends on the controls over its preparation and maintenance** — again pointing back to ITGCs.
- **SA 402 — Audit Considerations Relating to an Entity Using a Service Organisation.** When the accounting/IT is outsourced (cloud ERP, third-party payroll, a data-centre operator), the relevant controls physically sit at *another entity*. The auditor must understand those controls, often relying on a **service auditor's report (SOC 1 / Type 2)**, and remains responsible for the opinion. *Why:* the risk did not leave the financial statements just because the processing left the building.
- **SA 620 — Using the Work of an Auditor's Expert.** IT systems audit often needs specialist skill the engagement team lacks; the auditor may engage an IT expert but must evaluate that expert's competence, objectivity and work.
- **SA 230 — Audit Documentation.** CAAT design, the data source and its integrity checks, parameters, and results must all be documented so the work is re-performable.

**Confirm exact wording in ICAI material.** Paraphrase the requirements as above for concept clarity, but reproduce SA numbers and titles precisely in the exam; ICAI marks citation accuracy. (*Standard titles above reflect ICAI's SA series — verify against current ICAI study material / applicable AY, as titles are occasionally re-worded.*)

**Exam pattern:** A favourite question gives a fact pattern (outsourced payroll to a cloud vendor, an IT specialist brought in, journals tested across the population) and asks *which SA governs*. Map the fact to the SA: outsourced processing → **SA 402**; IT specialist → **SA 620**; journal-entry / override testing → **SA 240**; reliability of electronic evidence → **SA 500**; the two spine standards are always **SA 315 (understand) and SA 330 (respond)**.

## 4.3 The two control layers

### (a) IT General Controls (ITGCs) — the foundation

**Definition & purpose:** ITGCs are policies and procedures that apply to the IT environment as a whole and **support the continued proper operation of application controls**. They do not process transactions themselves. Their job is to make everything *else* trustworthy. **If ITGCs are weak, you cannot rely on any automated application control** — you must fall back on substantive testing.

The standard ITGC domains, each with its guardian *why*:

| ITGC domain                                        | What it controls                                                                                       | The WHY (risk it counters)                                                                                                                                                                             |
|----------------------------------------------------|--------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Access Security / Logical access</b>            | Who can log in, to what, with what rights; passwords, roles, privileged access                         | Prevents unauthorised viewing/changing of data and programs; <b>enforces segregation of duties</b> that used to be manual. Without it, one person could initiate <i>and</i> approve <i>and</i> conceal |
| <b>Change Management (Program change controls)</b> | How programs are modified — request, test, approve, migrate to production; separation of dev/test/prod | Ensures <b>only authorised, tested changes</b> reach the live system. Without it, a wrong or malicious change silently corrupts <i>every</i> future transaction                                        |
| <b>Program Development / SDLC</b>                  | How new systems are built and implemented                                                              | Ensures new applications are correctly designed, tested and authorised before going live                                                                                                               |
| <b>IT Operations</b>                               | Job scheduling, batch processing, incident management, monitoring                                      | Ensures processes run <b>completely and on time</b> ; failed/duplicated jobs are detected. Without it, batches may be missed or run twice                                                              |
| <b>Backup, Recovery &amp; Business Continuity</b>  | Data backups, disaster recovery, restoration testing                                                   | Ensures data is <b>not permanently lost</b> and can be recovered — protects completeness and existence of records                                                                                      |

**The keystone principle:** ITGCs and application controls have a **dependency relationship**. Application controls are *effective* only when the underlying ITGCs are *effective*. Therefore the audit sequence is: **test ITGCs → if they operate effectively, place reliance on automated application controls → reduce substantive testing accordingly**. If ITGCs fail, automated controls cannot be relied upon and the auditor increases substantive procedures (often using CAATs).

#### Finer distinctions the exam tests within ITGCs:

- **Access security has two halves — authentication and authorisation.** *Authentication* asks "are you who you claim to be?" (passwords, MFA, biometrics). *Authorisation* asks "given who you are, what may you do?" (roles, privileges). A system can authenticate perfectly and still be dangerous if authorisation is loose (everyone is an admin). Segregation of duties is an *authorisation* concept, enforced through role design.
- **The special danger of privileged / "superuser" access.** Administrator, DBA, and "firefighter" accounts can bypass application controls, edit data directly in tables, and alter logs. The audit concern is not merely *who has* such access but whether its *use* is logged, reviewed, and independently monitored — because a privileged user can, in principle, both commit and conceal.

- **Segregation of duties (SoD) migrates from bodies to roles.** In a manual shop, SoD is enforced by giving different *people* incompatible tasks. In an ERP, the same protection must be built into *role definitions* so that no single role can, say, create a vendor **and** approve a payment **and** post to the GL. Auditors test SoD by analysing the access-rights matrix for *toxic combinations* — often itself a CAATs exercise.
- **Change management's crown jewel: separation of environments.** Development, test, and production must be *separate*, and developers should not have standing access to production. *Why*: if a developer can push untested code straight to production, the entire "authorised, tested changes only" guarantee is fiction. "Emergency change" / "firefighter" procedures are a recognised exception but must be after-the-fact reviewed and documented.
- **Why backup/recovery is a financial-statement matter, not just IT hygiene.** It protects the *existence and completeness* of the accounting records themselves. A ransomware event or disk failure that destroys unrecoverable records is a direct threat to the auditor's ability to obtain evidence — a scope and going-concern issue, not merely an operational inconvenience.

**The dependency, stated as a testable rule:** *No ITGC assurance ⇒ no reliance on automated application controls ⇒ substantive strategy (usually CAATs).* You can be asked to run this implication in either direction: "ITGCs failed, what now?" → substantive; "we relied on an automated control all year, what must we have tested?" → ITGCs, especially change management.

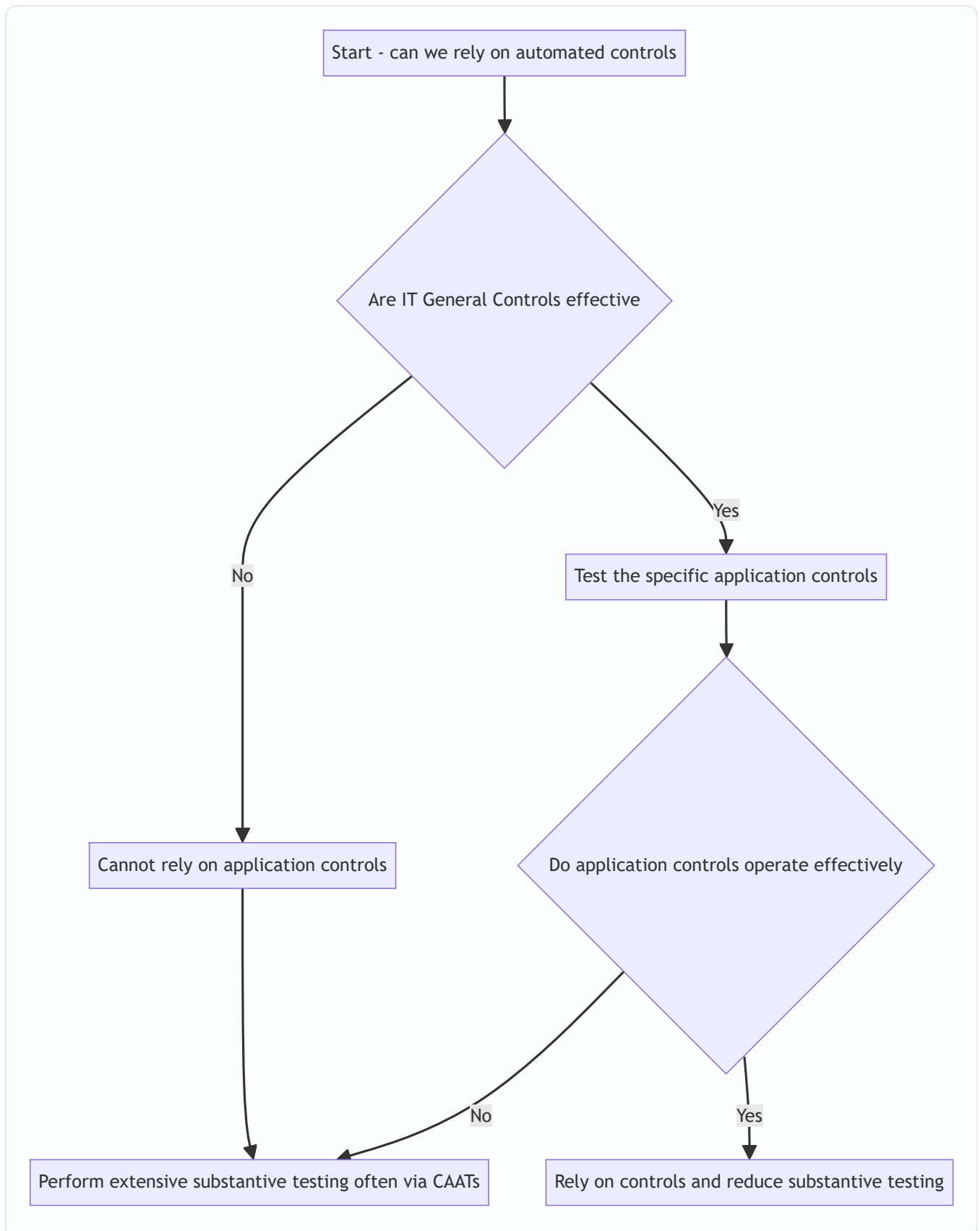


Figure 7.1 — The dependency gate: application-control reliance is unlocked only after IT general controls pass.

**(b) Application Controls — the transaction-level guards**

**Definition & purpose:** Application controls are controls embedded within a specific business-process application that operate at the level of **individual transactions**. They may be **automated** (performed by the program), **manual**, or **IT-dependent manual** (a person acts, but relies on a system-generated report — so the control is only as good as the report's integrity). Their purpose is to ensure the **completeness, accuracy, validity and authorisation** of transactions as they are captured, processed and reported.

Classic application-control types, mapped to assertions and *why*:

| Control type                              | Example                                                                                                     | Assertion protected           | Why                                                                              |
|-------------------------------------------|-------------------------------------------------------------------------------------------------------------|-------------------------------|----------------------------------------------------------------------------------|
| <b>Input controls / validation checks</b> | Field must be numeric; date must be valid; mandatory fields; <b>check digit</b> ; range check; format check | Accuracy, Validity            | Stops bad data entering — "garbage in, garbage out" prevention                   |
| <b>Existence / validity checks</b>        | Vendor code must exist in master file before invoice is accepted                                            | Validity, Occurrence          | Prevents transactions against non-existent or unauthorised masters               |
| <b>Reasonableness / limit checks</b>      | Reject salary entry above a threshold; flag negative inventory                                              | Accuracy                      | Catches out-of-range values a human might miss                                   |
| <b>Sequence / completeness checks</b>     | System flags missing invoice numbers; <b>control totals / hash totals</b> ; run-to-run totals               | Completeness                  | Ensures no transaction is lost or duplicated in processing                       |
| <b>Duplicate checks</b>                   | Same invoice number + vendor rejected                                                                       | Occurrence (no double-count)  | Prevents duplicate payments/postings                                             |
| <b>Authorisation / matching controls</b>  | Three-way match PO + GRN + invoice before payment; workflow approval limits                                 | Authorisation, Occurrence     | Ensures only approved, genuine transactions proceed                              |
| <b>Configuration controls</b>             | System-configured tax rates, credit limits, posting rules                                                   | Accuracy, Authorisation       | The "settings" that drive automated processing — wrong config = systematic error |
| <b>Output controls</b>                    | Reconciliation of output to input; restricted distribution of reports                                       | Completeness, Confidentiality | Ensures results are complete and reach only authorised users                     |

**Where controls sit in the transaction lifecycle — input, processing, output.** A cleaner way to organise the same list is by *when* the control acts:

| Stage             | Question it answers                                                              | Typical controls                                                                                                                            |
|-------------------|----------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Input</b>      | Did only correct, complete, authorised data <i>enter</i> ?                       | Validation/format/range/check-digit, mandatory fields, existence checks against masters, batch control totals at entry                      |
| <b>Processing</b> | Was the data <i>transformed</i> correctly and completely once inside?            | Run-to-run totals, reasonableness checks during calculation, sequence checks, matching/3-way match, correct configuration driving the maths |
| <b>Output</b>     | Is the <i>result</i> complete, accurate, and delivered only to authorised users? | Output-to-input reconciliation, distribution controls, exception reports reviewed                                                           |



*Why this framing matters:* "auditing around the computer" tests only **input and output** and *infers* processing; "auditing through the computer" targets the **processing** stage directly. Naming the stage a control belongs to often *is* the exam question.

### The three flavours of application control — and why the middle one is a trap:

- **Automated control** — the program does it (e.g., system rejects an out-of-range value). Reliance is efficient (benefit of consistency) *but* depends on ITGCs.
- **Manual control** — a person does it with no system dependency (e.g., a manager physically counts cash). ITGCs are largely irrelevant to it.
- **IT-dependent manual control** — a person acts, *but on the basis of information the system produced* (e.g., a manager reviews a system-generated "exceptions over ₹1 lakh" report and follows up). **The catch:** this control is only as reliable as the *report's completeness and accuracy*. If the report itself silently omits items (a query bug, a wrong filter), the diligent manager reviews a lie. So testing an IT-dependent manual control **also** requires assurance over the report's generation — which loops back to ITGCs and to the concept of **information produced by the entity (IPE)**. Examiners love to plant a "diligent human review" and ask whether that is enough; the answer hinges on the integrity of the underlying report.

**Key insight for the exam:** An **automated application control** has a superpower and a curse.

Superpower: test it *once*, and (provided ITGCs — especially change management — held all year) you may conclude it worked *all year*. This is the **"benefit of consistency."** Curse: if it is misconfigured, it is wrong on *every* transaction. This is why change-management ITGC is the linchpin: it is what justifies extrapolating a single control test across the whole period.

**Master-data controls — an underrated exam angle.** Many "application controls" actually depend on the integrity of *master data* (vendor master, customer master, price master, tax-rate table). A validity check that "the vendor must exist in the master" is worthless if anyone can add a fake vendor to the master. So controls over *who can change master data* (an access + change concern) sit at the boundary of application and general controls and are a frequent real-world weakness.

## 4.4 Auditing *around* vs *through* the computer

|                                  | Around the computer                                                                                      | Through the computer                                                                    |
|----------------------------------|----------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------|
| <b>Treats the system as</b>      | A black box                                                                                              | A box to be opened                                                                      |
| <b>What is tested</b>            | Inputs and outputs only; if outputs reconcile to inputs, processing is <i>assumed</i> correct            | The processing, logic and programmed controls themselves                                |
| <b>Evidence about processing</b> | Indirect / inferred                                                                                      | Direct                                                                                  |
| <b>When acceptable</b>           | Simple systems; strong visible audit trail; low volume; standard packaged software with reliable outputs | High volume, complex/integrated systems, no paper trail, significant automated controls |
| <b>Main risk</b>                 | A processing error that does not disturb the input-output reconciliation goes <b>undetected</b>          | Requires IT skill and tools, but gives real assurance                                   |
| <b>Tools</b>                     | Manual vouching of documents                                                                             | <b>CAATs</b> , test data, integrated test facility, data analytics                      |

**Auditing around** is legitimate only when the system is simple enough and the audit trail visible enough that correct outputs genuinely imply correct processing. As automation, integration and volume rise, this assumption breaks, and the auditor must audit **through** the computer.

A third, modern label you may meet: **auditing with the computer** — using the computer as a *tool* (CAATs, analytics) regardless of approach. In practice, auditing through the computer in a modern audit is done *with* the computer.

**The precise failure mode of "around" — why input-output reconciliation is not enough.** "Around" rests on the syllogism: *inputs are correct* → *outputs reconcile to inputs* → *therefore processing is correct*. The hidden flaw is that reconciliation only detects errors that **break** the input-output relationship. A processing error that is *internally consistent* — the program applies a wrong-but-uniform rule — produces outputs that reconcile perfectly to inputs and *still be wrong*. Example: a program that computes interest at 5.9% when the sanctioned rate is 6.0%. Every output ties neatly to its input; the totals foot; nothing looks broken — yet interest is understated on *every* account. Only opening the box (recompute the logic, or run test data) exposes it. This is the single sentence that justifies auditing *through*: **reconciliation tests the arithmetic of the process, not the correctness of its rules.**

**Nuance the exam rewards:** "Around vs through" is *not* an either/or verdict for a whole audit. A modern audit is a *mix* — around for a simple standalone fixed-asset register, through for the high-volume revenue engine. The skill is deciding *per class of transactions*, driven by volume, complexity, automation, and audit-trail visibility. Writing "we should audit through the computer" as a blanket rule is less impressive than saying *which* processes need it and *why*.

## 4.5 CAATs — Computer-Assisted Audit Techniques

**What they are & why:** CAATs are the use of computer tools and data to perform audit procedures directly on the entity's electronic data and systems. **Why they exist:** manual procedures cannot cope with

electronic-only trails, high volume, and the need to test *processing*. CAATs let the auditor test the **whole population**, re-perform computations exactly, and interrogate the system's own logic.

**When CAATs become appropriate / necessary (the drivers):** absence of input documents / no visible audit trail; high transaction volume; need to test 100% of a population; need to re-perform complex calculations; testing automated application controls; and improving audit **effectiveness and efficiency**.

**Principal CAAT tools:**

| CAAT                                                                    | What it does                                                                                                                                                       | Why / typical use                                                                                                                                         |
|-------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Test data</b>                                                        | Auditor feeds <i>dummy</i> transactions (both valid and deliberately invalid) through the client's live/copy program to see if programmed controls react correctly | Tests whether <b>application controls actually work</b> — e.g., does the system really reject a negative quantity?<br>Caution: must not corrupt live data |
| <b>Integrated Test Facility (ITF)</b>                                   | A dummy entity/module is embedded in the <i>live</i> system; auditor's test transactions run alongside real ones and are later reversed                            | Tests processing under <b>real operating conditions</b> without a separate copy                                                                           |
| <b>Parallel simulation</b>                                              | Auditor writes/uses an <i>independent</i> program to re-process the client's <i>real</i> data and compares results to the client's output                          | Directly verifies <b>processing accuracy</b> on real data                                                                                                 |
| <b>Embedded audit facility / SCARF (System Control and Review File)</b> | Audit routines built into the system continuously capture unusual transactions to an audit log                                                                     | <b>Continuous auditing</b> ; captures transient transactions that leave no trail                                                                          |
| <b>Generalised Audit Software (GAS)</b>                                 | Packaged tools (e.g., IDEA, ACL) that read client data files and let the auditor sort, filter, total, stratify, sample, recompute, find gaps/duplicates            | The workhorse for <b>substantive testing on full populations</b>                                                                                          |
| <b>Utility software / custom scripts / SQL queries</b>                  | Ad-hoc extraction and analysis                                                                                                                                     | Flexible interrogation of databases                                                                                                                       |

**The single most-tested distinction: test data vs parallel simulation.** They point in *opposite directions* and swapping them is a guaranteed mark loss:

|                          | <b>Test data</b>                                                | <b>Parallel simulation</b>                                         |
|--------------------------|-----------------------------------------------------------------|--------------------------------------------------------------------|
| <b>Data used</b>         | <i>Dummy</i> (auditor-invented) transactions                    | <i>Real</i> client transactions                                    |
| <b>Program used</b>      | The <i>client's</i> program                                     | The <i>auditor's</i> independent program                           |
| <b>Question answered</b> | "Does the client's program handle (esp. exceptions) correctly?" | "Did the client's program produce the right numbers on real data?" |
| <b>Primary objective</b> | Test <b>programmed controls / logic</b>                         | Test <b>processing accuracy / recompute output</b>                 |
| <b>Risk to manage</b>    | Dummy data must not pollute live records                        | Must faithfully replicate the client's intended logic              |

Memory hook: **Test data = fake data through real program; Parallel simulation = real data through fake (auditor's) program.**

**ITF vs plain test data — the refinement.** Plain test data is usually run against a *copy* of the program (safe, but not "live" conditions). **ITF** embeds a fictitious entity *inside the live system* so the auditor's test transactions are processed by the *actual production program under real operating conditions*, then reversed/removed so they never hit the financial statements. ITF gives the most realistic evidence but carries the highest contamination risk — hence the mandatory reversal and careful flagging of the dummy entity.

**SCARF / embedded audit modules — why "continuous."** These are audit routines *baked into* the client's live system that watch every transaction as it flows and copy anything meeting the auditor's criteria (e.g., every write-off over ₹5 lakh, every after-hours master-data change) into a separate audit file. Their unique value is capturing **transient** events that leave no lasting trail and would be gone by the time a year-end auditor arrives — the closest thing to a "flight recorder" for the accounting system.

**Considerations before using CAATs (exam-favourite list):** - **IT knowledge, expertise and experience** of the audit team (may need an **auditor's expert** under SA 620). - **Availability of CAATs and suitable computer facilities**; compatibility with the client's system and file formats. - **Impracticability of manual tests** (does the situation actually *need* CAATs?). - **Effectiveness and efficiency** — will CAATs improve the audit or just add cost? - **Time available** and timing of data availability (some data is transient — capture it before it's overwritten). - **Integrity of data and the environment** — running test data on *live* systems risks corrupting real records; use copies or reversing entries. - **Cost-benefit** and client cooperation / access rights.

**The completeness-of-the-extract problem — the trap under every CAAT.** Any CAAT run on *extracted* client data is only as trustworthy as the *extract*. If you pull "all sales invoices" but the query silently misses a division, a currency, or an archived period, your 100% test is 100% of the *wrong* population. Before analysing, the auditor must prove the data is **complete and accurate** — reconcile record counts and control totals of the extract back to the source system / trial balance, and understand how the extract was produced. This is why *even a substantive-CAAT strategy cannot fully escape ITGCs*: the integrity of the data you analyse depends on them.

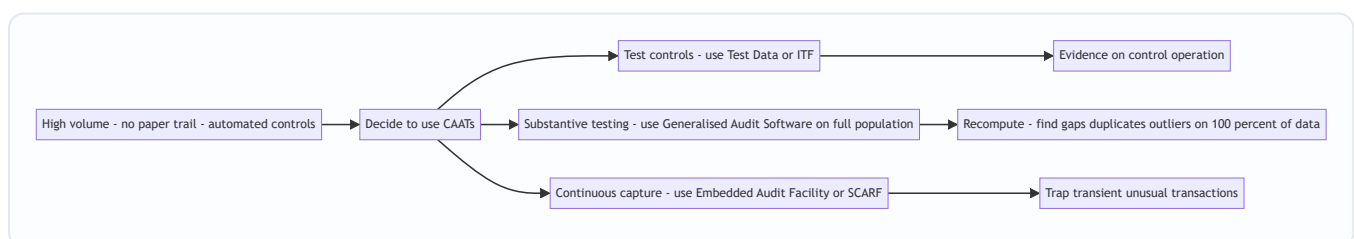


Figure 7.2 — Matching the CAAT tool to the audit objective.

## 4.6 Data Analytics in Audit

**Definition & why:** Audit data analytics (ADA) is the science and art of discovering and analysing **patterns, deviations and anomalies, and extracting useful information**, in the data underlying the financial statements — usually through analysis of the **entire population** rather than samples. It is the evolution of CAATs into richer, visualisation-driven, whole-population analysis. **Why now:** entities generate vast structured data; analysing all of it is more powerful than sampling a sliver of it.

**Typical audit uses (and the risk each targets):** - **100% testing of a population** instead of sampling — reduces sampling risk to zero for that test. - **Journal entry testing (SA 240)** — flag entries posted on weekends/holidays, by unusual users, to unusual accounts, in round sums, just below approval limits, or with unusual descriptions. *Why:* these are classic fraud fingerprints. - **Three-way match analysis** across PO/GRN/invoice populations — completeness and occurrence of purchases. - **Duplicate payment detection; gap detection** in invoice/cheque sequences. - **Revenue analysis** — cut-off testing, trend and ratio analysis by product/region/customer. - **Ageing and recomputation** of receivables/inventory. - **Benford's Law** analysis to spot fabricated numbers.

**Benford's Law — enough to use it correctly in the exam.** In many naturally occurring, unconstrained financial datasets, the *leading digit* is not uniformly distributed: **1 appears as the first digit about 30% of the time**, and the frequency falls away to **~4.6% for 9**. Fabricated numbers (a fraudster inventing amounts, or padding just under an approval limit) tend to *violate* this distribution. So a large deviation from the expected Benford curve **flags a population for investigation** — it does *not* prove fraud. Its limits matter: Benford's Law does **not** apply to constrained data (e.g., amounts capped at ₹10,000, sequential invoice numbers, assigned IDs, or fields with a natural floor/ceiling), so applying it to the wrong dataset produces meaningless "deviations." Naming *when it does not apply* is what separates a strong answer from a rote one.

**A precision point students miss:** "100% testing reduces **sampling** risk to zero" — but it does **not** reduce audit risk to zero. Two other risks remain: (i) **the data may be incomplete or unreliable** (the extract problem again), and (ii) **the auditor may mis-judge the exceptions** (non-sampling risk — wrong criteria, wrong follow-up, wrong conclusion). Whole-population testing conquers *one* specific risk, not all of them.

**Cautions:** ADA output is a *lead*, not a *conclusion* — anomalies must be investigated and corroborated. Data must be **complete and reliable** (garbage in, garbage out — so ITGCs matter again). ADA supplements professional judgement; it does not replace it.

#### **4.7 How it all ties to the risk model (SA 315 → SA 330)**

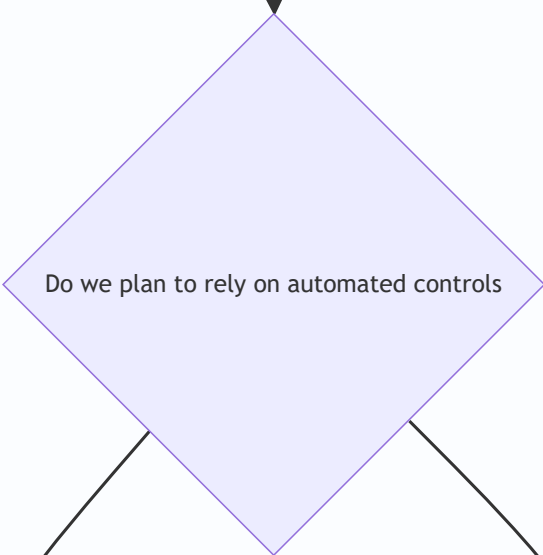
The whole chapter is the standard risk-based audit applied to IT:



SA 315 - Understand the entity including its IT environment

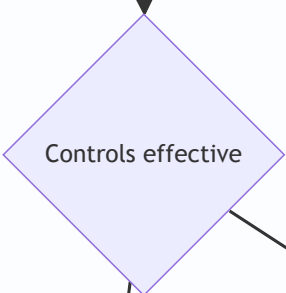
Identify risks arising from the use of IT

Understand controls - IT general controls and application controls



Yes

SA 330 - Test IT general controls then application controls



Yes

Reduced substantive testing

No

SA 330 - Substantive approach

Extensive substantive procedures using CAATs and data analytics

Form opinion

No



Figure 7.3 — Automated-environment auditing is the SA 315 / SA 330 risk model, honestly applied to a computerised entity.

#### 4.8 Choosing the tool from the objective — a decision map

A recurring exam demand is: *given a situation, name the right technique*. Reason from the **audit objective** to the tool, not the reverse. The chain is: *what am I trying to prove?* → *about controls or about balances?* → *at a point or continuously?* → *on real or dummy data?*

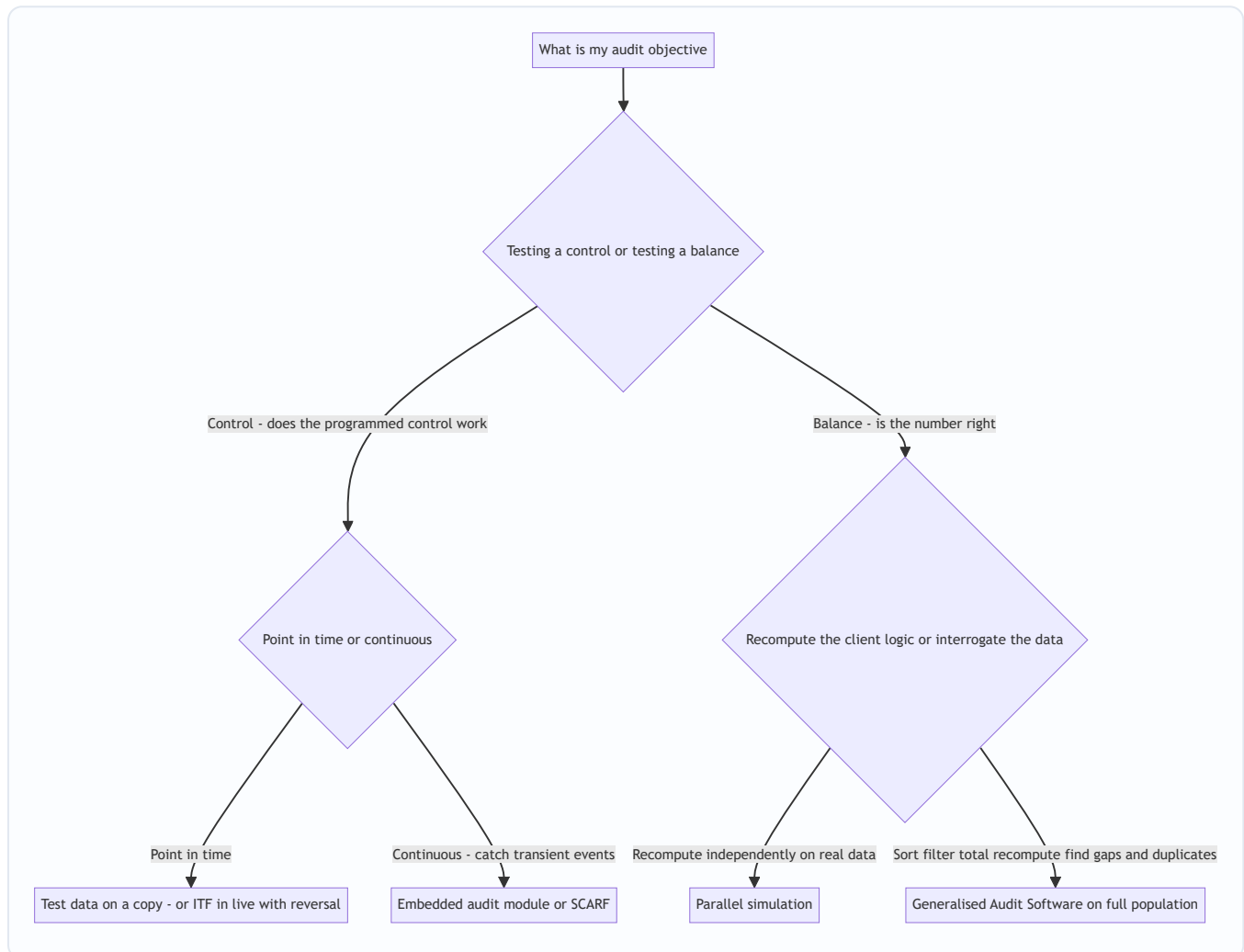


Figure 7.4 — Reason from objective to technique: controls versus balances, point-in-time versus continuous, real data versus dummy.

**Fill-in table to self-check (cover the right column):** Prove the system rejects invalid input → **test data**; recompute interest on all accounts → **parallel simulation / GAS**; catch every after-hours master change all year → **SCARF / embedded module**; find duplicate vendor payments in 40 lakh rows → **GAS**; test a programmed control under real live conditions without a separate copy → **ITF**.

## 4.9 A worked numerical: the systematic-error multiplier

To *feel* why systematic error is the villain, quantify it. Suppose a bank runs interest on **50,00,000** savings accounts. The sanctioned rate is **6.00% p.a.** but a mis-configured rate table applies **5.95%** — a mere **0.05%** understatement per account. Assume an average balance of **₹40,000** and interest for a full year.

- Correct annual interest per account = ₹40,000 × 6.00% = **₹2,400.00**
- Posted interest per account = ₹40,000 × 5.95% = **₹2,380.00**
- Error per account = ₹2,400.00 – ₹2,380.00 = **₹20.00** (tiny — no clerk or sample would flinch)
- Aggregate error = ₹20 × 50,00,000 accounts = **₹10,00,00,000 = ₹10 crore.**

*Self-check by an independent route:* aggregate error = total balances × rate error = (50,00,000 × ₹40,000) × 0.05% = ₹2,00,00,000 crore of balances × 0.0005 = **₹10 crore.** ✓ (both routes agree).

**The lesson, made numerical:** a ₹20 error is *immaterial per item* and *invisible to any sample* — yet because it is **systematic and one-directional**, it aggregates to a **₹10 crore** misstatement that is almost certainly material. This is precisely why sampling (built for random, self-cancelling error) fails here and why the auditor must **recompute the whole population** (parallel simulation / GAS) rather than test 25 accounts. A sample of 25 would show each posting "reconciles to its input" and pass — the error lives in the *rule*, not the arithmetic.

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## 5. Applied Scenarios

**Scenario 1 — The perfect control that isn't.** *During the audit of Zenith Ltd, the team performs a walkthrough of the purchase system and confirms that the ERP automatically blocks any invoice not matching an approved PO and GRN. Delighted, the junior wants to conclude that the completeness and occurrence of purchases are fully controlled and reduce substantive testing to a minimum. Is this justified?*

**Answer.** Not yet. The automated three-way match is an **application control**, and reliance on it is *conditional* on the supporting **IT general controls**. Before relying, the team must test the ITGCs — particularly **change management** (could the matching logic have been altered during the year?) and **access security** (could a user with excessive rights override the block or edit the PO/GRN master?). Under SA 330, reliance on an automated control tested at a point in time requires evidence that ITGCs kept it operating effectively **throughout the period**. If ITGCs are effective, the team may test the application control (e.g., via **test data** — feed an unmatched invoice and confirm rejection) and then reduce substantive testing. If ITGCs are weak, the control cannot be relied upon regardless of how well it *appears* to work, and the team must perform **substantive procedures, likely using CAATs** on the full purchases population.

**Scenario 2 — Vanished trail, huge volume.** *Nova Bank posts savings-account interest to 80 lakh accounts through an overnight batch program. There are no vouchers; each posting exists only as a database entry. The auditor must obtain assurance over the accuracy and completeness of interest expense. What approach and tools?*

**Answer.** This is a textbook case where **auditing around the computer is inadequate** — there is no visible audit trail and the risk lies in the **processing** (the interest calculation logic). The auditor should audit **through the computer** using **CAATs**: - **Parallel simulation / recomputation via Generalised Audit Software:** independently recompute interest for the *entire* 80 lakh population using the applicable rates and day-count, then compare to the bank's postings — directly testing accuracy on 100% of accounts. - **Test data / ITF:** run dummy accounts with known balances and rates to confirm the program applies the correct

logic (e.g., correct rate slabs, correct rounding). - **Completeness checks:** reconcile control totals; confirm no accounts were skipped or double-posted using **run-to-run totals** and gap/duplicate analysis. - Because processing is automated and consistent, the auditor must also test **ITGCs** (change and access controls over the interest program) to conclude the tested logic operated unchanged all year. Data must be captured **before overnight overwrites** — a timing consideration for CAATs.

**Scenario 3 — Fraud hiding in the journals.** *In auditing Orion Ltd, the engagement partner is concerned about management override of controls. The general ledger contains 12 lakh journal entries. How can data analytics discharge the SA 240 requirement to test journal entries, and what are its limits?*

**Answer.** Manual selection from 12 lakh entries is hopeless; **audit data analytics** can test the **whole population** and target fraud fingerprints. The auditor extracts all journals and flags: entries posted on **weekends/holidays or outside business hours**; entries by **unusual or unauthorised users**; **round-sum** amounts; amounts **just below approval thresholds**; postings to **unusual/sensitive accounts** (e.g., revenue to suspense, entries reversing at period-start); rare or blank **narrations**; and **Benford's Law** deviations.

**Limits:** each flag is a *lead*, not proof — the auditor must investigate and corroborate each exception with underlying evidence and management inquiry, exercising **professional scepticism**. The reliability of the analysis depends on the **completeness of the extracted data**, which itself depends on **ITGCs** over the GL. Analytics supplements, and does not replace, the auditor's judgement.

**Scenario 4 — The diligent manager and the silent report (IT-dependent manual control).** *At Delta Ltd, credit-limit breaches are controlled thus: the system generates a daily "Orders exceeding customer credit limit" exception report, and the credit manager reviews it and holds those orders. The manager's review is meticulous and fully documented. The junior wants to rely on this control for the valuation/occurrence of receivables. What is the hidden risk, and what must be tested?*

**Answer.** This is an **IT-dependent manual control**: a human acts, but *entirely on the basis of a system-generated report*. The manager's diligence is real, but it is diligence applied to *whatever the report shows*. The **hidden risk** is that the **report itself may be incomplete or inaccurate** — a wrong filter, a bug, or a mis-set credit-limit field could cause a breaching order to be *silently omitted* from the report. The manager would then "correctly" review a list that already excludes the very transactions of concern, and the control fails invisibly despite perfect human performance. Therefore, to rely on this control the auditor must **also test the completeness and accuracy of the report** (the "information produced by the entity"): confirm the query logic against the credit-limit rule, reconcile the report to the full order population (e.g., via GAS, independently recompute which orders exceed limits and compare to the report), and confirm the **ITGCs** (change management over the report logic, access over the credit-limit master data). *Exam point:* the reliability of an IT-dependent manual control is capped by the reliability of the report it depends on — never conclude on the human step alone.

**Scenario 5 — Weak ITGCs discovered late (the strategy pivot).** *Midway through the audit of Vega Ltd, the IT-audit specialist reports that during the year several developers had standing access to production and at least three program changes went live without documented testing or approval. The team had planned a controls-reliance strategy over the automated revenue-recognition control. What is the consequence and the required response?*

**Answer.** The finding is a **change-management (and access-security) ITGC failure**, and change management is the linchpin that justified extrapolating the one-time control test across the period. With ITGCs broken, the auditor **cannot conclude the automated revenue control operated consistently all year** — the code could have been altered without trace — so **reliance on that automated application**

**control must be withdrawn**, regardless of how well it tested at a point in time. The response under SA 330 is to **pivot to a substantive strategy**: because revenue is high-volume, this means **CAATs/ADA over the full revenue population** (recompute revenue per contract terms, cut-off testing, 100% duplicate/gap analysis, matching to dispatch/POD). Note the *pervasiveness*: this ITGC weakness does not only hurt revenue — it undermines reliance on *every* automated control in the system, so the team must reassess the whole controls-reliance plan, not just the revenue line. The weakness may also need reporting to those charged with governance and, if it points to a material weakness, has implications for any internal-financial-controls reporting.

**Scenario 6 — Test data that must never touch the ledger.** *The team at Sigma Ltd wants to confirm the payroll application really rejects (a) negative hours, (b) an employee code not in the master, and (c) overtime beyond the configured cap. The system is live and heavily used. Design the procedure and its safeguards; what could go wrong?*

**Answer.** This calls for **test data** — dummy transactions, deliberately including *invalid* cases, fed through the client's program to see whether the **programmed input/validation and limit controls** react correctly (reject (a) and (b); flag/cap (c)). The core hazard is **contaminating live records**: dummy payroll entries must not create real payments or distort payroll totals. Safeguards: run against a **copy/test instance of the program with production configuration**, or use an **Integrated Test Facility** (a dummy employee in the live system whose entries are **reversed/removed** afterwards and excluded from financial totals); flag all test items distinctly; run outside a real pay cycle or ensure no bank file is generated; and **reconcile after** to confirm no residual test data remains. *What could go wrong*: (i) testing against a *copy whose configuration differs* from production — then the test proves nothing about the live control; (ii) forgetting to reverse ITF entries — real misstatement introduced *by the auditor*; (iii) testing only *valid* inputs — you must include *invalid* ones, since the control's whole job is to *reject*. *Exam gold*: the mark is for pairing the technique (test data/ITF) with the *don't-corrupt-live-data* safeguard and the point that you must feed **both valid and invalid** cases.

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## 6. Procedure / Documentation Summary

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A practical, exam-ready sequence for auditing in an automated environment:

1. **Understand the IT environment (SA 315).** Document the applications relevant to financial reporting, the flow of significant classes of transactions from initiation to the general ledger, the degree of automation, interfaces between systems, and reliance on **service organisations** (bringing in **SA 402** if IT is outsourced).
2. **Identify risks arising from the use of IT** — unauthorised access, unauthorised program changes, reliance on inaccurate systems, loss of data, loss of segregation of duties.
3. **Identify relevant controls**: map the **automated application controls** on which financial assertions depend, and the **IT general controls** that support them.
4. **Test IT general controls first** — access security, change management, program development, IT operations, backup/recovery. Document design and operating effectiveness.
5. **If ITGCs are effective, test the application controls** (walkthroughs, **test data**, inspection of configuration, re-performance). Consider the "**benefit of consistency**" to extend point-in-time results across the period.
6. **Determine the audit approach** — around vs through; decide where **CAATs / data analytics** are needed.

7. **Design and run CAATs / ADA** — recomputation, 100% population testing, gap/duplicate detection, journal-entry analysis. Document data source, extraction method, completeness/reliability checks on the data, tools used, parameters, and results.
8. **Investigate exceptions** and corroborate — analytics leads must be followed to underlying evidence.
9. **Conclude on reliance and residual substantive work** — where controls fail, ramp up substantive procedures.
10. **Document everything (SA 230)**: understanding of the IT environment, risk assessment, controls tested and results, CAAT methodology and outputs, exceptions and their resolution, and conclusions. If an **auditor's expert** (SA 620) was used for IT, document the evaluation of their work.

**Documentation must specifically evidence:** the completeness and reliability of any client data used by CAATs; that test data did not corrupt live records; and the linkage from ITGC conclusions to the decision to rely on automated application controls.

**Data-integrity substep (make it explicit in answers).** Before *any* CAAT/ADA conclusion, document the **completeness and accuracy of the extract**: how the data was obtained, record counts and control totals reconciled to the source system / trial balance, the period and scope covered, and any records excluded. Auditors have wrongly cleared populations because they analysed an *incomplete* extract with total confidence — the "100%" was 100% of the wrong data. In the exam, one line — "reconciled the extracted population's count and value totals to the general ledger before analysis" — signals maturity.

**Governance and reporting linkage.** ITGC/application-control weaknesses identified are not only an audit-strategy input; **significant deficiencies must be communicated to those charged with governance** (SA 265), and, where applicable, feed into reporting on **internal financial controls (IFC)**. A weakness that forces a strategy pivot is often also a reportable deficiency.

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## 7. Connections

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- **SA 315 & SA 330 (Chapters on risk assessment & responses)**: this chapter is those standards applied to IT. ITGC/application-control testing is the "test of controls" limb of SA 330.
- **SA 240 (Fraud)**: journal-entry testing and detection of override are powerfully served by CAATs/analytics; automated environments create new fraud avenues (access, data manipulation).
- **SA 500 (Audit Evidence)**: electronic evidence reliability hinges on the controls (ITGCs) over its creation and storage.
- **SA 402 (Service Organisations)**: when IT/accounting is outsourced (cloud, third-party processors), the auditor considers the service organisation's controls, often via a **SOC / Type 2 report**.
- **SA 620 (Using the Work of an Auditor's Expert)**: IT audit specialists are frequently engaged; the auditor evaluates their competence and work.
- **SA 230 (Documentation)**: CAAT methodology, data-integrity checks and results must be documented.
- **SA 265 (Communicating Deficiencies in Internal Control)**: ITGC/application-control weaknesses that are significant deficiencies must be reported to those charged with governance.
- **Internal financial controls (IFC) reporting & CARO**: ITGCs and automated controls are central to management's and the auditor's assessment of internal financial controls over financial reporting; weaknesses may drive an adverse IFC conclusion.

- **SA 530 (Audit Sampling):** CAATs/ADA change the sampling calculus — 100% testing removes *sampling* risk for that test, but sampling remains relevant where full-population testing is impractical.
  - **Internal control & risk components (COSO / internal control chapters):** ITGCs and application controls are the IT expression of the entity's internal control system.
  - **Standards on the accounting/AS side:** the *outputs* being tested (interest, revenue, inventory valuation) still answer to the applicable financial reporting framework — the computer changes *how* you test, not *what* correct means.
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## 8. Traps & Examiner Tricks

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- **Trap: "The automated control worked in our walkthrough, so we can rely on it."** *Wrong without ITGCs.* Reliance on application controls is **conditional on effective IT general controls** (especially change management). State the dependency explicitly.
- **Trap: confusing the two control layers.** ITGCs are **environment-wide** and support *other* controls; application controls operate at the **transaction level** within a process. A common MCQ gives an example (e.g., "passwords restrict access to the payroll module") and asks which type — that's an **ITGC (access security)**. "Payroll rejects a negative number of hours" is an **application (input) control**.
- **Trap: "Auditing around the computer is always acceptable / never acceptable."** Neither. It is acceptable **only** for simple systems with a strong visible audit trail; it is inadequate for complex, high-volume, paper-less systems.
- **Trap: treating test data casually.** Running **test data on a live system can corrupt real records**. Examiners reward mentioning the safeguard (use a copy, or reverse the entries, as in ITF).
- **Trap: "CAATs give conclusions."** Analytics/CAAT exceptions are **leads to investigate**, not audit conclusions. Data reliability (hence ITGCs) governs their value — *garbage in, garbage out*.
- **Trap: forgetting the "benefit of consistency" logic.** In manual systems you must re-test controls repeatedly because humans err randomly; for **automated** controls, one test can cover the period **only because** change-management ITGCs prevented alteration. Examiners love this reasoning.
- **Trap: listing computer features instead of audit impacts.** When asked how a computerised environment affects the audit, answer in terms of **loss of trail, systematic errors, automated controls, pervasive IT risk, volume** — each tied to a risk.
- **Trap: naming the wrong SA.** The anchor is **SA 315** (understand IT & controls) and **SA 330** (respond/test). Do not attribute the requirement to a fictional "SA on IT."
- **Trap: pervasiveness.** Remember IT risk is **pervasive** — a general-control weakness affects *many* assertions at once, not one account. This drives the *significance* of ITGC failures.
- **Trap: swapping test data and parallel simulation.** *Test data = dummy data through the client's program (tests controls/logic); parallel simulation = real data through the auditor's program (tests processing accuracy).* Getting the direction backwards is an instant mark loss.
- **Trap: "100% testing eliminates audit risk."** It eliminates only **sampling** risk *for that test*. **Data-completeness risk** and **non-sampling (judgement) risk** remain — a full-population test on an incomplete extract is still wrong.
- **Trap: trusting an IT-dependent manual control on the human step alone.** A diligent reviewer of a *system-generated report* is only as reliable as the **report's completeness and accuracy** (the IPE). You must test the report/query too.



- **Trap: applying Benford's Law to constrained data.** Benford's Law needs naturally distributed, unconstrained amounts. It is meaningless on capped, sequential, or assigned-number fields — quoting a "deviation" there shows you don't understand the tool.
- **Trap: forgetting master-data integrity.** A validity check "vendor must exist in master" is worthless if fake vendors can be added to the master. Controls over *who can change master data* are often the real weak point.
- **Trap: assuming outsourcing (cloud/SaaS) removes the auditor's responsibility.** When processing sits at a service organisation, the risk stays in the financials; **SA 402** requires understanding those controls (often via a SOC/Type 2 report). "It's on the vendor's cloud" is never an audit answer.

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## 9. First-Principles Recap

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Rebuild the whole chapter from the trust problem, without memorising:

1. Audit exists because owners must trust books they cannot verify. **Trust gap → independent evidence → opinion.**
2. Put the books inside a computer and the *gap stays* but the *risk relocates* into three reservoirs — **logic, access, data**. Errors and fraud now hide in **program logic, access rights and data**, repeat **systematically**, and multiply at **huge volume**, often with **no paper trail**.
3. To assess a risk you must understand its home, so **SA 315 forces you to understand the IT environment and its controls**.
4. Controls now live in two layers because reliability is conditional: **application controls** guard individual transactions, but they are only trustworthy if the **IT general controls** (access, change, operations, backup) keep the environment honest. **Test ITGCs first; they unlock reliance on application controls.**
5. The reason a *single* test of an automated control can cover the *whole year* is that the machine is **deterministic** — and that inference is valid **only because change-management ITGC guaranteed the code didn't change**. Remove change management and the extrapolation collapses.
6. Because the risk sits in **processing**, you often cannot audit *around* the black box — reconciliation checks the arithmetic, not the correctness of the *rules* — so you must audit **through** it.
7. The very technology that created the risk gives you the tool to meet it: **CAATs and data analytics** let you re-perform logic and test **100%** of the population — abolishing the sampling compromise that only ever existed because humans couldn't count that high. But whole-population testing conquers *sampling* risk only; the **extract must be proven complete and reliable** first.
8. Finally, **SA 330** makes your procedures respond to what you found. None of this is a new religion — it is the **same risk-based audit**, honestly followed into the machine.

If you can narrate those eight steps, you can derive every requirement in the chapter.

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## 10. Quick-Revision Sheet

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**Why the computer changes the audit (drivers):** loss of visible audit trail · systematic/uniform errors · automated (programmed) controls · unauthorised access & data manipulation · reduced segregation · high volume/speed · **pervasive** IT dependence. *Risk relocates into three reservoirs: logic · access · data.*\*\*



**Anchor standards: SA 315** — understand IT environment + controls (ITGCs & application controls) + identify risks arising from use of IT. **SA 330** — test ITGCs then application controls if relying; else substantive (CAATs). Also **SA 240** (JE testing), **SA 500** (evidence reliability), **SA 402** (outsourced IT / SOC report), **SA 620** (IT expert), **SA 265** (report deficiencies), **SA 230** (documentation), **SA 530** (sampling interplay).

**Two control layers:** - **IT General Controls (ITGCs)** — environment-wide; *support other controls*. Domains: **Access security (authentication + authorisation + SoD + privileged access) · Change management (dev/test/prod separation) · Program development/SDLC · IT operations · Backup & recovery**. *Weak ITGCs = cannot rely on ANY automated control*. - **Application controls** — transaction-level within a process, by stage **Input · Processing · Output**. Types: **input/validation (check digit, range, format, mandatory) · existence/validity · reasonableness/limit · sequence/completeness (control & hash totals, run-to-run) · duplicate · authorisation/matching (3-way match) · configuration · output**. Flavours: **automated / manual / IT-dependent manual** (last one only as good as its report/IPE).

**Keystone:** Test **ITGCs** → **application controls** → **reduce substantive testing**. Automated control's "**benefit of consistency**": test once, cover period — *only because change-management ITGC held (determinism + unchanged code)*.

**Around vs through:** *Around* = black box, inputs & outputs only, ok for simple/low-volume/visible-trail systems — but reconciliation tests arithmetic, *not the correctness of the rules*. *Through* = open the box, test processing & programmed controls; needed for complex/high-volume/paper-less/automated systems. *With* = using the computer as a tool. Decide **per class of transactions**, not for the whole audit.

**CAATs: Test data** (dummy txns test programmed controls — feed valid *and* invalid; don't corrupt live data) · **Integrated Test Facility (ITF)** (dummy entity in live system, reversed) · **Parallel simulation** (auditor's program re-processes *real* data) · **Embedded audit facility / SCARF** (continuous capture of transient events) · **Generalised Audit Software / GAS** (IDEA, ACL — sort, filter, recompute, gaps, duplicates, sample on full population) · **SQL/utility scripts**. *Direction hook:* **Test data = fake data / real program; Parallel simulation = real data / auditor's program**. *Use-considerations:* IT skill (SA 620) · availability/compatibility of tools · impracticability of manual tests · effectiveness & efficiency · timing (transient data) · **data integrity / don't corrupt live systems** · cost-benefit · **prove extract completeness first**.

**Data analytics uses:** 100% population testing · **journal-entry testing** (weekend/odd-user/round-sum/just-below-limit/unusual account) · 3-way match · duplicate & gap detection · ageing & recomputation ·

**Benford's Law** (leading-digit 1 ≈ 30%; *only* for unconstrained natural amounts — not capped/sequential/assigned fields). *Output = leads to investigate, not conclusions; 100% kills sampling risk only — data-completeness and judgement risk remain; relies on complete/reliable data (→ ITGCs)*.

**One-line exam mantra:** *Move the audit into the computer — understand it (SA 315), test the foundation (ITGCs) before the transaction guards (application controls), audit through not around, and use CAATs/analytics to test the whole population — because in an automated world errors are silent, systematic and vast.*

# Q&A — Audit in an Automated Environment

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CA Intermediate — Auditing & Ethics. Standards cited are Indian SAs issued by ICAI and provisions of the Companies Act, 2013. No standard has been invented; where a rule is auditor judgement, it is flagged as such.

## Section A — Concept-Check (short questions + answers)

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**A1. What is meant by an "automated environment"?** An automated environment is one where the entity's business processes and accounting are carried out using IT systems (ERP, accounting software, databases, interfaces) with little manual intervention. Transactions are initiated, authorised, recorded, processed and reported electronically. Audit relevance: the auditor cannot ignore how IT affects the flow of transactions and the related risks — this is required under **SA 315 (Revised)**, which mandates understanding the entity's information system, including the IT environment.

**A2. Name the key considerations an auditor must have in an automated environment.** (i) Information systems and business processes; (ii) applications in use; (iii) IT dependencies (automated controls, reports, calculations, interfaces); (iv) IT General Controls (ITGCs); (v) IT risks arising from use of IT; (vi) cyber security/access risks. These flow from **SA 315 (Revised)** para on understanding the information system and controls.

**A3. What is an IT dependency? Give examples.** An IT dependency is any aspect of the audit that relies on the functioning of the IT system. Four types: (a) **automated controls** (e.g., three-way match in an ERP), (b) **system-generated reports** (aged debtors report used in provisioning), (c) **calculations/interfaces** (auto-computed depreciation, interest), (d) **system configurations**. Identifying dependencies drives the extent of IT audit work under **SA 315** and **SA 330**.

**A4. Distinguish ITGCs from application controls.** - **IT General Controls (ITGCs):** policies and procedures relating to many applications, supporting the effective functioning of application controls. Five domains — (1) access security/logical access, (2) program change management, (3) program development/SDLC, (4) IT operations (backup, job scheduling), (5) data centre/network. ITGCs are *pervasive/indirect*. - **Application controls:** controls embedded within a specific application relating to individual transactions — e.g., validation checks, input checks, edit checks, three-way match, sequence checks. They are *direct* controls over completeness/accuracy/validity. Key link: application controls can be relied upon **only if** the supporting ITGCs are effective. Weak ITGCs undermine otherwise-good application controls.

**A5. Why can weak ITGCs make automated application controls unreliable?** Because ITGCs ensure that programs run as designed and are not changed without authorisation. If change management or access controls are weak, a properly designed automated control could have been altered, bypassed, or overridden during the period, so the auditor cannot assume it operated consistently. Hence when ITGCs are ineffective, the auditor treats automated controls as not operating effectively and moves to substantive testing (**SA 330**).

**A6. Define "auditing around the computer" and "auditing through the computer".** - **Around the computer (black-box):** the auditor ignores processing and reconciles inputs to outputs manually, assuming correct processing. Suitable only for simple, low-volume systems with visible audit trail. - **Through the**

**computer (white-box):** the auditor tests the actual processing logic and automated controls inside the system, using CAATs, test data, etc. Necessary for complex, high-volume, low-paper-trail systems.

**A7. What are CAATs?** Computer Assisted Audit Techniques — tools and techniques to apply audit procedures using the computer, e.g., test data, integrated test facility, parallel simulation, and generalised audit software (GAS) such as IDEA/ACL. They allow examining 100% of a population, recalculating, identifying exceptions and duplicates. Recognised under **SA 500** as a means of obtaining audit evidence.

**A8. What is the difference between CAATs and data analytics (ADA)?** CAATs are traditional, targeted computer techniques (test a control, recalculate a field). **Audit Data Analytics (ADA)** is broader — analysing large/whole data sets to discover patterns, anomalies, correlations and trends to inform risk assessment and substantive testing. Both serve the objective of obtaining **sufficient appropriate audit evidence (SA 500)**.

**A9. State the audit risk model and how IT affects it.** Audit Risk = Risk of Material Misstatement (Inherent Risk × Control Risk) × Detection Risk. IT can *increase* inherent risk (complex calculations, interfaces) and can *reduce or increase* control risk depending on ITGC strength. The model is applied via **SA 315** (assess RMM) and **SA 330** (respond so as to reduce detection risk to acceptable level).

**A10. How does IT relate to fraud risk under SA 240?** IT creates fraud opportunities — unauthorised access, privileged/generic user IDs, ability to override automated controls, and manipulation of data directly at the database level bypassing the application. **SA 240** requires the auditor to consider risk of management override of controls, which in an automated environment includes back-end data changes; the auditor tests journal entries (often via CAATs) as a mandatory response.

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## Section B — Applied Scenario Questions (situation → response with reasoning)

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**B1. Situation:** A manufacturing company uses SAP for the entire procure-to-pay cycle. Purchase invoices are auto-matched to POs and GRNs (three-way match); mismatches are blocked. Management asks you to rely on this control instead of vouching all invoices. **Required:** How should the auditor respond? **Answer:** The three-way match is an **automated application control**. Because it is automated, if it is operating effectively it operates consistently, so the auditor may test it once/limited times rather than a large sample (benefit of automation, per **SA 330**). BUT reliance is permitted only after: (i) identifying it as an IT dependency and understanding its configuration (**SA 315**); (ii) testing the supporting **ITGCs** — particularly access security (who can change tolerance limits) and change management (whether the matching logic was altered during the year). If ITGCs are effective, test the automated control's operation (e.g., one test transaction / configuration review) and rely, reducing substantive vouching. If ITGCs are weak, do **not** rely — revert to substantive procedures. Document the basis under **SA 230**.

**B2. Situation:** During ITGC testing you find that 15 users, including two junior accounts staff, have "super-user"/administrator access to the finance module. There is no periodic access review. **Required:** Assess the impact on the audit. **Answer:** This is a deficiency in **logical access controls (ITGCs)**. Excessive/privileged access means automated controls could be overridden and back-end data changed, so **control risk rises** and automated application controls **cannot be relied upon**. Consequences: (a) evaluate whether it is a *significant deficiency* to be communicated to those charged with governance under **SA 265**; (b) increase **substantive testing** (SA 330) and extend journal-entry testing under **SA 240** for management override; (c) consider heightened fraud risk. The auditor moves toward "through the computer" substantive analytics on the full population rather than relying on controls.

**B3. Situation:** A bank's core system auto-calculates interest on 4 lakh loan accounts daily. There is virtually no paper trail. The audit team proposes reconciling total interest income to a summary report ("around the computer"). **Required:** Comment on the appropriateness and suggest a better approach. **Answer:** "Auditing around the computer" is **inappropriate** here: high volume, complex automated calculation, and negligible audit trail mean input-output reconciliation cannot detect processing errors affecting sub-populations. The auditor should audit **through the computer** using **CAATs / data analytics**: independently **re-perform** the interest calculation on the entire population using GAS (IDEA/ACL) with the loan master data and rate logic, then investigate exceptions. This obtains sufficient appropriate evidence over the full population (**SA 500**) and tests the automated calculation itself. Supporting ITGCs over the rate tables and change management must also be assessed (**SA 315**).

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## Section C — Past-Paper-Style Descriptive Questions (model answers)

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**C1. "In an automated environment, the auditor's understanding of IT General Controls is fundamental to relying on automated application controls." Explain, describing the categories of ITGCs. (6 marks)**

**Model Answer:** Under **SA 315 (Revised)**, the auditor must understand the entity's IT environment and controls. Automated application controls operate consistently only if the programs and data are protected from unauthorised change — this assurance is provided by **IT General Controls (ITGCs)**. Hence ITGCs are a *precondition* to relying on application controls: if ITGCs are effective, the auditor may test an automated control on a limited basis and rely on it (**SA 330**); if ITGCs are deficient, the automated control is presumed unreliable and substantive procedures are required.

Categories of ITGCs: 1. **Access Security (logical access):** user provisioning, passwords, segregation of duties, privileged-access restriction, periodic access reviews. 2. **Program Change Management:** changes to applications are requested, tested, approved and moved to production in a controlled manner. 3. **Program Development (SDLC):** new systems/major changes are developed, tested and implemented with proper approvals. 4. **IT Operations:** batch job scheduling, backups, incident and problem management, data recovery. 5. **Data Centre / Network / Physical & Environmental controls** supporting availability.

Effective ITGCs across these domains give the auditor confidence that automated controls functioned throughout the period. Deficiencies are evaluated under **SA 265** for communication to those charged with governance.

**C2. Describe how CAATs and Data Analytics assist the auditor in an automated environment, and state the matters to consider before using them. (5 marks)**

**Model Answer:** CAATs (test data, integrated test facility, parallel simulation, generalised audit software) and Audit Data Analytics enable the auditor to obtain **sufficient appropriate audit evidence (SA 500)** more effectively where data is voluminous and electronic. Uses: - Testing the **entire population** rather than a sample (e.g., all journal entries, all vendor payments). - **Re-performance** of automated calculations (interest, depreciation). - Identifying **exceptions, duplicates, gaps in sequences, and anomalies** (duplicate vendor bank accounts, weekend postings). - Analysing **trends and correlations** to sharpen risk assessment under **SA 315**. - **Journal-entry testing** for management override under **SA 240**.

Matters to consider before use: (i) availability, integrity and completeness of the data extracted; (ii) compatibility and access to the client's systems; (iii) IT knowledge/skill of the audit team (using an **auditor's expert per SA 620** if needed); (iv) cost-benefit; (v) confidentiality and controlled use of client data; (vi)

documenting the tools, parameters and results under **SA 230**. Reliability of CAAT output depends on the reliability of source data, so ITGCs over that data remain relevant.

**C3. Explain the two approaches — "auditing around the computer" and "auditing through the computer" — and state when each is appropriate. (4 marks)**

**Model Answer: Auditing around the computer (black-box):** the auditor examines inputs and the corresponding outputs and reconciles them, treating the computer processing as a "black box" assumed to be correct. Appropriate only where systems are **simple, low volume, with a clear visible audit trail** and where original documents are available. Limitation: it provides no assurance over the processing logic itself.

**Auditing through the computer (white-box):** the auditor examines and tests the **actual processing and automated controls** within the system using CAATs, test data and re-performance. Appropriate — indeed necessary — where systems are **complex, high volume, integrated, and have limited paper trail**, so that undetected processing errors could be material. In modern ERP/automated environments, auditing through the computer is generally required to obtain sufficient appropriate evidence (**SA 500**).

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## Decision Flow — Relying on an Automated Control

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Identify IT dependency / automated control  
SA 315

Do we intend to  
rely on the control?

Yes

Are supporting ITGCs  
effective?

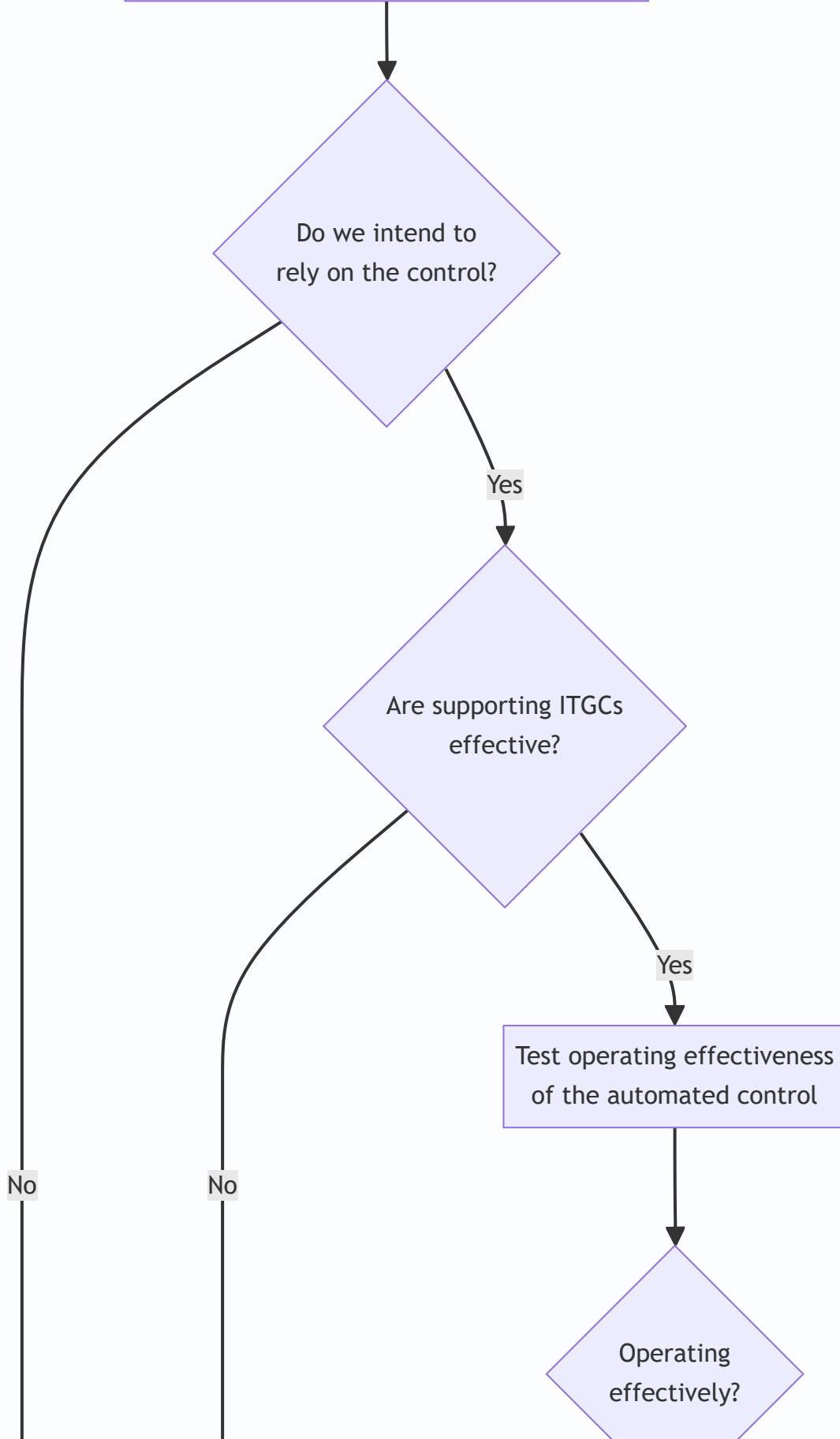
Yes

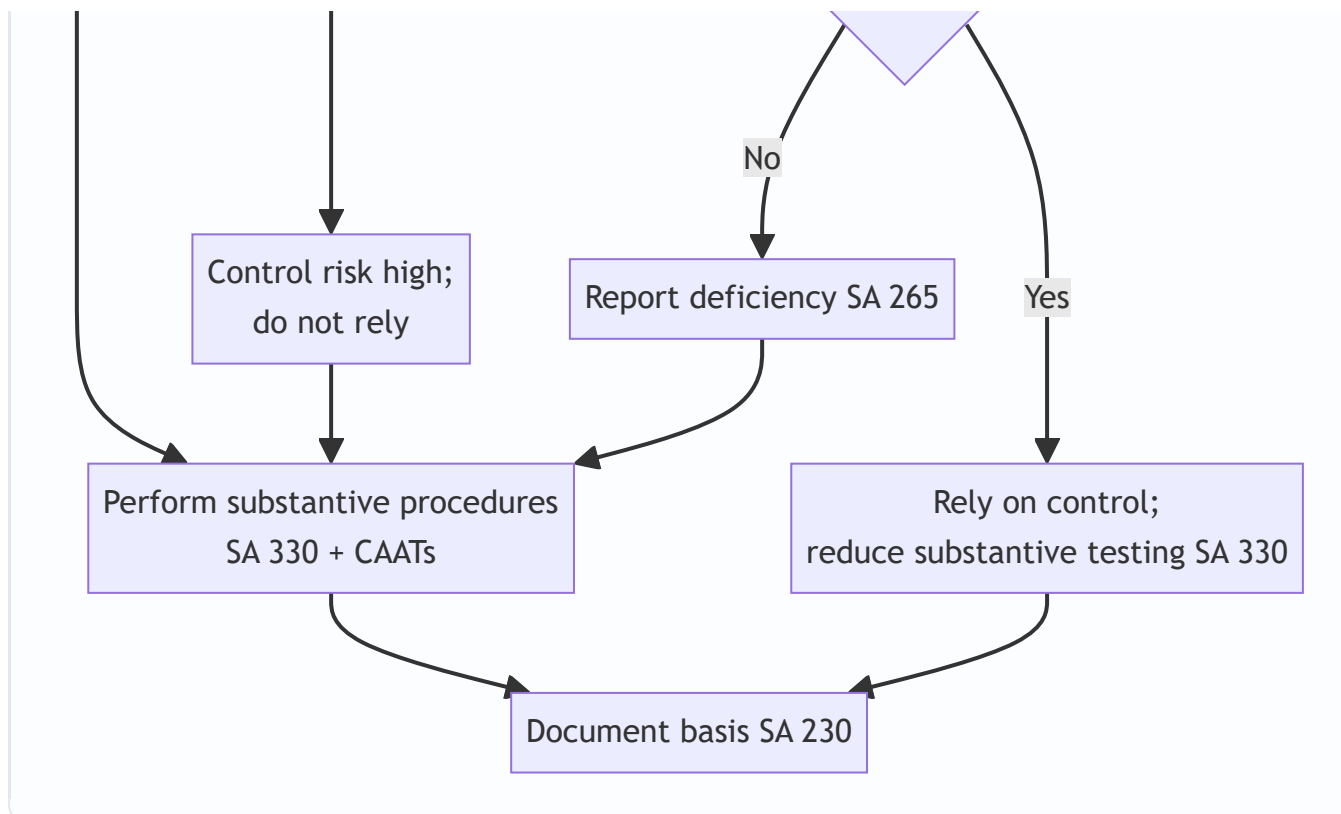
Test operating effectiveness  
of the automated control

No

No

Operating  
effectively?





## Section D — MCQs / Case Scenarios (correct option + one-line reasoning)

**D1.** Reliance on an automated application control is appropriate only when — A. The control is documented B. Management confirms it works C. The supporting ITGCs are operating effectively D. It is tested every day

**Answer: C.** Automated controls run consistently only if ITGCs (access & change management) protect the program — the precondition for reliance (SA 315/330).

**D2.** A three-way match embedded in an ERP is an example of — A. An IT General Control B. An automated application control C. A manual control D. A monitoring control **Answer: B.** It is a control within a specific application over individual transactions.

**D3.** Which is NOT a category of ITGCs? A. Access security B. Change management C. Three-way match D. IT operations (backup) **Answer: C.** Three-way match is an application control, not an ITGC.

**D4.** The standard primarily requiring the auditor to understand the entity's IT environment as part of risk assessment is — A. SA 200 B. SA 315 (Revised) C. SA 700 D. SA 610 **Answer: B.** SA 315 (Revised) covers identifying and assessing RMM through understanding the entity, including its information system and IT.

**D5.** Testing all journal entries for management override in an automated environment is a response required under — A. SA 230 B. SA 505 C. SA 240 D. SA 570 **Answer: C.** SA 240 mandates journal-entry testing to address management override risk; CAATs enable full-population testing.

**D6.** "Auditing around the computer" is LEAST appropriate for — A. A small firm with manual-style software B. A high-volume bank interest computation with no paper trail C. A single-user cash book D. Low-volume payroll of 5 employees **Answer: B.** High volume, complex processing and no audit trail demand auditing through the computer.

**D7. Case Scenario:** XYZ Ltd migrated to a new ERP mid-year. The auditor finds that program changes during migration were moved to production without documented testing or approval, and several developers

retained access to the live finance module post go-live. Q: What is the auditor's most appropriate conclusion? A. ITGCs (change management and access) are deficient; automated controls cannot be relied upon and substantive testing must be extended B. Rely on automated controls since the ERP is new and modern C. Issue an adverse opinion immediately D. Ignore, as migration is a one-time event **Answer: A.** Weak change-management and access ITGCs undermine automated controls; the response is to increase substantive procedures (SA 330) and communicate the deficiency (SA 265) — not an automatic modified opinion.

**D8.** Generalised Audit Software (IDEA/ACL) is best described as — A. An accounting package B. A CAAT used to interrogate and analyse client data C. An ITGC D. A firewall **Answer: B.** GAS is a CAAT enabling recalculation, exception and duplicate identification over full data sets (SA 500).

**D9.** In the audit risk model, effective ITGCs and application controls primarily affect — A. Inherent risk only B. Control risk C. Detection risk D. Sampling risk **Answer: B.** Strong controls reduce assessed control risk (a component of the risk of material misstatement).

**D10.** A system-generated aged receivables report used to compute the bad-debt provision is an example of — A. An automated control B. An IT dependency (system-generated report) whose completeness and accuracy must be tested C. A manual control D. An ITGC **Answer: B.** Reports relied on for audit evidence are IT dependencies; the auditor must test the report's completeness and accuracy (SA 500) before using it.

## Quick Recall Table

| Concept                                              | Standard         | One-line hook                           |
|------------------------------------------------------|------------------|-----------------------------------------|
| Understand IT environment & information system       | SA 315 (Revised) | Basis of risk assessment                |
| Responses to assessed risks (control vs substantive) | SA 330           | Rely on control only if ITGCs effective |
| Fraud — management override, journal testing         | SA 240           | Back-end data change risk; test all JEs |
| Sufficient appropriate evidence via CAATs/analytics  | SA 500           | Test 100% of population                 |
| Communicate control deficiencies                     | SA 265           | Significant deficiencies to TCWG        |
| Using an auditor's expert (IT)                       | SA 620           | When team lacks IT skills               |
| Documentation                                        | SA 230           | Record tools, parameters, conclusions   |

**One-line first principle:** In an automated environment, *controls are only as trustworthy as the ITGCs protecting them* — so the auditor first understands IT (SA 315), tests ITGCs, and only then decides between relying on automated controls or auditing through the computer with CAATs to gather substantive evidence (SA 330/500).

# Chapter 08 — Company Audit (Companies Act Provisions)

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## 1. The Problem — Why an auditor who is *chosen and paid by the very people he audits* is a contradiction the law had to defuse

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Every earlier chapter treated the audit as a technical exercise: gather evidence, assess risk, form an opinion. This chapter asks a colder, more structural question — **who decides whether an audit happens at all, who the auditor is, how long he stays, how much he is paid, and who can throw him out?** Because the answer to *those* questions determines whether the technical work is worth anything.

Return to the founding tension. Shareholders (owners) hand money to directors (managers) and go away. The auditor exists to tell the owners whether the managers' self-report is honest. But now watch the trap spring: in real corporate life it is the **managers** who run the day-to-day company, who interact with the auditor, who prepare the papers he inspects, and who — if left alone — would happily choose a friendly auditor, pay him well for silence, and sack him the moment he frowned at the accounts.

That is the whole problem in one sentence: **the person being watched must not be allowed to control the watchman.** An auditor who owes his appointment, his fee, and his survival to the management he is supposed to police is not independent — he is a hostage with a signature. The financial statements would carry a clean opinion that means nothing, and the owners, banks, employees, tax authorities and the investing public who rely on it would all be deceived by a document that *looks* assured.

So company audit cannot be left to private contract between a company and "some accountant." A private contract would be written by whoever holds the pen — the directors — and it would neuter the auditor. The **Companies Act, 2013 (Sections 139 to 148)** exists to wrench each of these control levers — appointment, tenure, eligibility, pay, removal, powers, permitted work — **out of the hands of the management and place them with the shareholders, an independent process, and the statute itself.** This chapter is the reading of those sections not as a list to memorise, but as a coordinated defence system, where **each section disarms one specific way management could capture the auditor.**

The risk this chapter counters is **auditor capture** — and every provision below is a bolt on a door the management would otherwise walk through.

**Why the statute, and not just professional ethics, has to do this.** The ICAI Code of Ethics already tells the auditor to be independent. So why did Parliament bother re-legislating it in Sections 139–148? Because ethics binds only the *auditor* — it has no grip on the *company*. A code of conduct can discipline an auditor who takes a bribe, but it cannot stop a Board from refusing to re-appoint an honest auditor, cannot force the company to give him access to books, and cannot compel members to be told why he resigned.

Independence has **two sides** — the auditor's willingness to be independent, and the company's inability to punish him for it — and only *statute* can bind the second side, because only statute can impose obligations on the company, its directors, and even the Central Government. Read this way, the Code of Ethics governs the auditor's *mind* while the Companies Act governs the *company's power over him*; the two are complementary halves of a single defence.

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## 2. The Core Idea — Independence is not a personal virtue; it is a *structure* the law engineers

Students think of independence as an attitude — "a good auditor is brave and objective." That is naive. Brave people still need to eat, and an auditor who can be starved or fired at management's whim will, on average, bend. The Companies Act does not rely on the auditor's character. It **engineers independence into the surrounding structure** so that even an ordinary auditor is protected enough to say "no."

There are two dimensions of independence the law is protecting, and it is worth naming them because the exam does:

- **Independence of mind** — the state that lets the auditor form an opinion without being affected by influences that compromise judgement.
- **Independence in appearance** — the avoidance of facts and circumstances so significant that a reasonable third party would *conclude* the auditor's objectivity was impaired.

The Act protects both by taking each lever of control that management could pull and re-routing it. The core idea is a single repeated move:

**Identify a lever by which management could reward, punish, compromise or silence the auditor  
→ take that lever away from management → give it to the shareholders, to a fixed statutory rule,  
or to an independent body (NFRA / Tribunal / Central Government).**

| Lever management would love to hold               | How they'd abuse it                             | The section that removes it | Where the lever is re-routed                             |
|---------------------------------------------------|-------------------------------------------------|-----------------------------|----------------------------------------------------------|
| <b>Who is appointed</b>                           | Pick a compliant friend                         | <b>Sec 139</b>              | Members in general meeting (Board only for first/casual) |
| <b>How long he stays</b>                          | Keep a captured man forever                     | <b>Sec 139(2) rotation</b>  | Mandatory rotation by statute                            |
| <b>Who is <i>eligible</i></b>                     | Appoint someone financially entangled with them | <b>Sec 141</b>              | Statutory disqualification list                          |
| <b>How much he's paid</b>                         | Bribe with fees / starve with cuts              | <b>Sec 142</b>              | Fixed by members; disclosed                              |
| <b>Who can remove him</b>                         | Sack him when he objects                        | <b>Sec 140</b>              | Special resolution + Central Government approval         |
| <b>What he can see/ask</b>                        | Withhold records                                | <b>Sec 143</b>              | Statutory right of access + duty to report               |
| <b>What other lucrative work he does for them</b> | Buy silence via consulting fees                 | <b>Sec 144</b>              | Prohibited-services list                                 |
| <b>Whether anyone hears him</b>                   | Bury the report                                 | <b>Sec 145–146</b>          | Signing + reading at AGM                                 |
| <b>Whether he faces consequences</b>              | No cost to a lazy/complicit auditor             | <b>Sec 147</b>              | Punishment / penalties                                   |

Read the whole chapter as this table expanded. Every technical rule you are about to meet is one row of it, explained.

**Map the five ethical "threats" onto the sections — the examiner's favourite bridge.** SA 200 / the Code of Ethics name five threats to independence. Each of the statutory sections is the *hard-wiring* of a defence against one or more of them. Being able to say "Sec X blocks threat Y" is what separates a rote answer from a conceptual one:

| Threat (Code of Ethics) | What it means                                       | Section(s) that hard-wire the defence                                   |
|-------------------------|-----------------------------------------------------|-------------------------------------------------------------------------|
| <b>Self-interest</b>    | Auditor gains financially from a favourable opinion | 141(3)(d) (shareholding/indebtedness), 142 (fees), 144 (non-audit fees) |
| <b>Self-review</b>      | Auditor evaluating his own earlier work             | 144 (accounting, IT-system design, internal audit)                      |
| <b>Advocacy</b>         | Auditor promoting the client's position             | 144 (investment banking/advisory)                                       |
| <b>Familiarity</b>      | Long, cosy relationship dulls scepticism            | 139(2) rotation, 141(3)(f) (relative as director/KMP)                   |
| <b>Intimidation</b>     | Threat of removal/punishment pressures the auditor  | 140(1) double-lock on removal, 140(4) right of representation           |

Figure 1 — Each control lever is pulled out of management's hands and re-routed; that re-routing IS the independence.

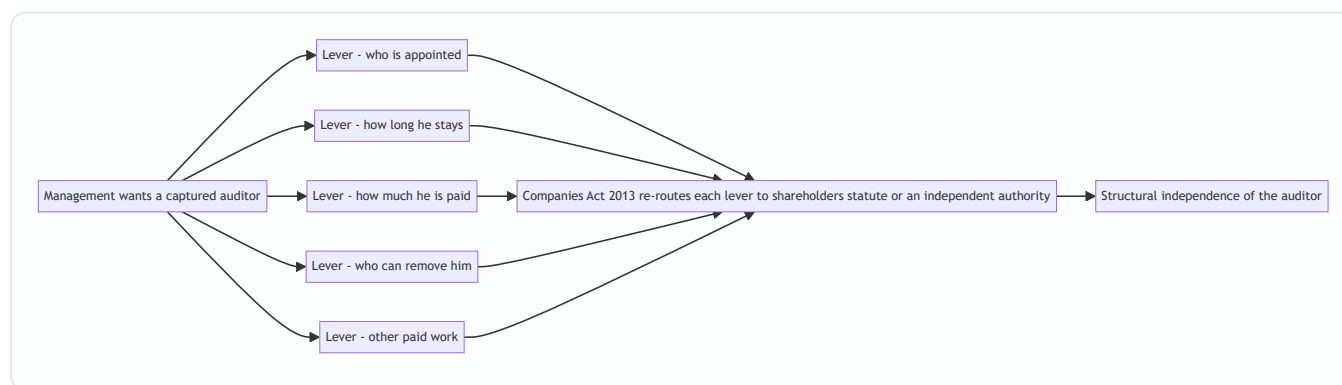
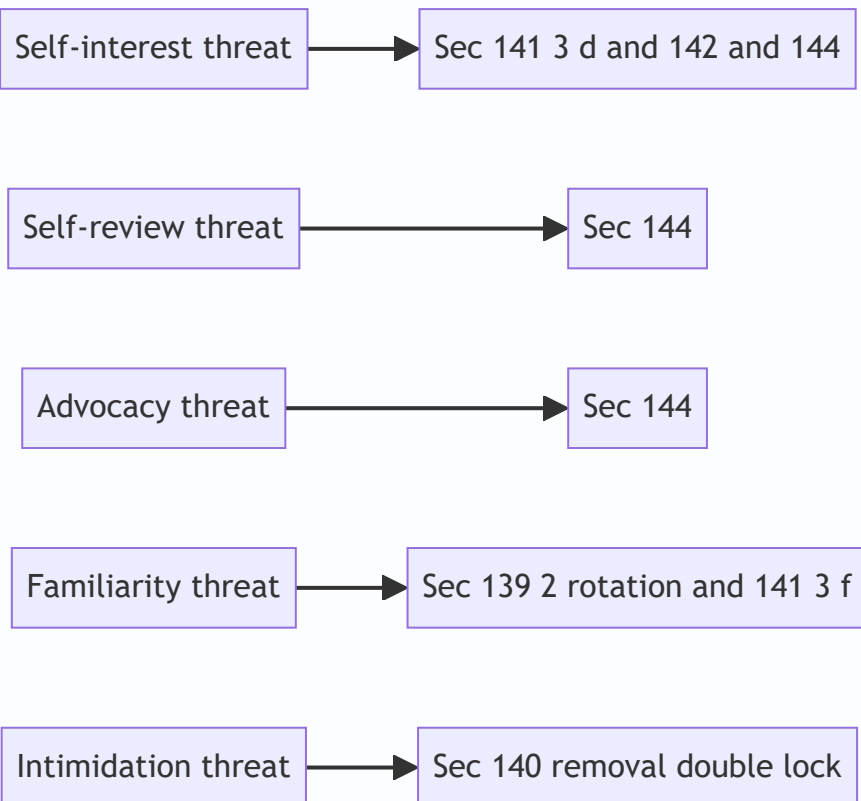


Figure 1A — The five ethical threats map onto specific statutory sections; the exam rewards naming the pairing.



### 3. Why it's built this way — Three design principles behind Sections 139–148

**(a) Public interest, not private contract.** A company's accounts are relied on by people who never signed any contract with it — minority shareholders, prospective investors, lenders, creditors, employees, tax authorities, the whole market. Because the *beneficiaries of the audit are the public*, the terms of the audit cannot be a private bargain the directors negotiate. This is why the audit is **compulsory for every company** regardless of size or profit (unlike a partnership, where audit is optional), and why the rules are **statutory and non-waivable**. You cannot contract out of Section 139.

**(b) Put the decision with the people whose money is at risk — the members.** The default appointer and remunerator is the **general meeting (the shareholders)**, not the Board. The Board acts only in narrow, time-critical gaps (the very first auditor, a mid-term casual vacancy) and even then is often overridden by the members shortly after. The logic is simple: the auditor works *for* the owners *against* the risk posed by managers, so the owners must be the ones who hire, pay and (with extra safeguards) fire him.

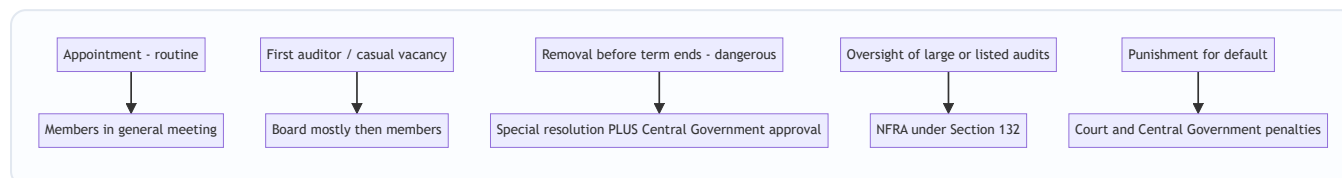
**(c) Where even shareholders could be dominated, add an independent gatekeeper.** In a closely held company the "members' meeting" may itself be controlled by the very directors who are the audit's subject. So for the most dangerous act — **removing an auditor before his term ends** — the Act refuses to trust even the shareholders alone; it demands a **special resolution AND the prior approval of the Central Government**. Similarly, oversight of the largest companies' auditors sits with **NFRA (Sec 132)**, and punishment sits with courts and the government. The further an act could harm the public, the more independent the body that must bless it.

**(d) A fourth, quieter principle — everything must be visible.** Look again and you will notice the Act does not just relocate levers; it forces each act into daylight. Appointment is filed publicly (ADT-1). Removal needs



a public application (ADT-2). Resignation must state reasons on the public record (ADT-3). Qualifications must be *read aloud* at the AGM (Sec 145). Non-audit fees are separated and disclosed (Sec 142). The design bet is that **sunlight deters capture**: an abuse that must be disclosed is an abuse a rational promoter is less willing to attempt, because the disclosure itself is the evidence against him. Independence is protected not only by re-routing power but by making its exercise *observable*.

*Figure 2 — Authority escalates with the danger of the act; routine hiring rests with owners, dangerous removal needs a state gatekeeper.*



## 4. Full Technical Content — Every section, its rule, and the capture it prevents

Each provision below is given as **the rule → the "why" (the abuse it blocks)**. All references are to the **Companies Act, 2013** unless stated; where a numeric detail should be re-checked against current ICAI material, it is flagged.

### 4.0 The map of the sections

| Section    | Subject                                                         | The capture it blocks                                     |
|------------|-----------------------------------------------------------------|-----------------------------------------------------------|
| <b>139</b> | Appointment (including first auditor, casual vacancy, rotation) | Management choosing/keeping a friendly auditor            |
| <b>140</b> | Removal, resignation, special notice, NFRA action               | Sacking the auditor who objects; silent exits             |
| <b>141</b> | Eligibility, qualifications & disqualifications                 | Appointing someone financially entangled with the company |
| <b>142</b> | Remuneration                                                    | Bribery via fees / starvation via cuts                    |
| <b>143</b> | Powers and duties; the audit report; fraud reporting            | Withholding records; a toothless report                   |
| <b>144</b> | Prohibited (non-audit) services                                 | Buying silence through consulting income                  |
| <b>145</b> | Signing of reports                                              | Anonymous/unaccountable opinions                          |
| <b>146</b> | Attendance at general meeting                                   | Burying the report from members                           |
| <b>147</b> | Punishment for contravention                                    | No consequence for a complicit/negligent auditor          |
| <b>148</b> | Cost audit                                                      | Cost records manipulated in regulated industries          |

### 4.1 Who must be an auditor — the qualification gate (Sec 141(1)–(2))

Only a **Chartered Accountant** (in practice) can be appointed auditor. A **firm** (including an **LLP**) may be appointed in the firm's name if the **majority of its partners practising in India are qualified CAs**; only the

CA partners may act and sign. *Why*: the audit is a technical judgement about the fair presentation of accounts — the law restricts it to a person who has passed the professional gate and is subject to ICAI discipline, so that competence and an enforceable code of conduct sit behind every opinion.

**A finer distinction the exam probes — "qualified" (141(1)–(2)) vs "eligible" (141(3)).** These are two separate gates and candidates conflate them. *Qualification* asks: is this person/firm even the *type* of entity the law lets audit — i.e., a CA in practice, or a firm with a majority of CA partners? *Eligibility* asks a different question: even if he is a CA, is he *free of disqualifying entanglements* with this particular company? A person can be perfectly qualified (a practising CA) yet ineligible for a specific client (because he owns its shares). When a fact pattern says "CA X, who holds 200 shares of the company, is appointed," the issue is **eligibility under 141(3)(d)**, not qualification. Getting this vocabulary right signals to the examiner you understand the architecture.

**LLP nuance.** Note the deliberate asymmetry: 141(3)(a) disqualifies a **body corporate** from being auditor — *except an LLP*. An LLP is a body corporate in law, yet the Act carves it out so that CA firms structured as LLPs can audit. Only the **CA partners** of the LLP may sign; the limited-liability shield does not dilute their professional liability for the audit they sign.

## 4.2 Appointment of the first auditor (Sec 139(6) and 139(7))

The first auditor bridges the gap between incorporation and the first AGM, when no members' meeting has yet happened.

- **Non-Government company (139(6)):** the **Board** appoints the first auditor **within 30 days of registration**. If the Board fails, the **members** do so at an **extraordinary general meeting within 90 days**. The first auditor holds office **till the conclusion of the first AGM**.
- **Government company (139(7)):** the **Comptroller and Auditor-General of India (C&AG)** appoints within **60 days of registration**; failing which the **Board** within the next 30 days; failing which the **members** within 60 days at an EGM. Also holds office till the first AGM.

*Why the Board is allowed here:* there is simply no members' meeting yet to make the choice, and a company cannot run even for a day without an auditor of record. So the law lends the power to the Board **temporarily**, but deliberately makes the first auditor's term expire **at the very first AGM**, where the *members* take over — so management's temporary pick cannot harden into a permanent captive.

**Two precision points the examiner tweaks.** First, the **90-day members' window is measured from registration, not from the Board's failure** — verify the exact wording in current ICAI material, but the trap is students starting the 90-day clock only after day 30. Second, the first auditor is **not subject to rotation counting** and the **ADT-1 filing requirement is generally not triggered by the first-auditor appointment the same way** as a subsequent appointment — the Act's ADT-1 language ties to appointment "under section 139" and ICAI study material treats the first-auditor filing position carefully; *confirm the current ICAI position on whether ADT-1 is required for the first auditor*.

**Edge case — what if the first AGM itself is delayed?** The first auditor's term is defined by an *event* ("conclusion of the first AGM"), not a *date*. So if the company postpones its first AGM, the first auditor continues in office until that meeting actually concludes — his tenure stretches or shrinks with the meeting, never with the calendar. This is why the Act phrases every auditor's term by reference to an AGM rather than a fixed number of months: it locks tenure to the moment the *owners* next convene.

#### 4.3 Appointment of subsequent auditors (Sec 139(1)) — the real appointment

At the **first AGM**, the **members** appoint an auditor to hold office **from the conclusion of that meeting until the conclusion of the sixth AGM** (i.e., for **five years**), subject to the rules below. The company must obtain the auditor's **written consent** and a **certificate that the appointment is within the limits and criteria of Sec 141** before appointing, and file **Form ADT-1** with the Registrar within **15 days**.

Two points the exam loves:

- **Annual ratification was originally required but the proviso mandating it was omitted by the Companies (Amendment) Act, 2017.** So a five-year appointment now runs its course **without annual ratification by members** (confirm the exact current wording in ICAI material). The auditor is thus not put up for a management-influenced re-vote every year — a genuine independence gain.
- The five-year appointment is **not** the same as rotation; it sets a *term*, while rotation (below) caps *how many such terms* a person may serve.

*Why members and not Board:* this is the true appointment, and it is placed with the owners — the auditor's principals — so the watchman is chosen by those he protects.

**Why annual ratification was a bad idea and was rightly killed.** The original proviso forcing members to ratify the appointment *every* AGM looked pro-shareholder but quietly *re-created the capture problem*: an auditor facing a management-orchestrated ratification vote each year was, in substance, on a one-year leash — exactly the annual re-vote that lets a promoter apply pressure. Removing it converts the appointment into a genuine five-year *security of tenure*, which is what makes an auditor brave enough to qualify a report in year two without fearing a year-three ouster. This is a beautiful example of the chapter's theme: *removing a shareholder power actually strengthened independence*, because the power had become a channel for management pressure.

**Consent and certificate — why before appointment, not after.** The written consent and the 141-compliance certificate are demanded *prior* to appointment for a structural reason: they force the eligibility check to happen *before* the auditor is inside the company with access to its books. If the certificate could be furnished afterwards, an ineligible auditor could already have done a year's work before anyone discovered the entanglement. The sequencing quarantines the conflict at the door.

#### 4.4 Rotation of auditors (Sec 139(2)–(4)) — the anti-familiarity engine

For **prescribed classes of companies** — broadly **all listed companies, unlisted public companies with paid-up capital ≥ ₹10 crore, private companies with paid-up capital ≥ ₹50 crore, and any such company (other than OPC/small) with public borrowings from banks/FIs or public deposits ≥ ₹50 crore** (Rule 5; *verify current limits in ICAI material — these live in the Rules and are amendable*) — mandatory rotation applies:

- An **individual** auditor may not serve **more than one term of five consecutive years**.
- An **audit firm** may not serve **more than two terms of five consecutive years** (i.e., 10 years).
- After the term ends, a **cooling-off period of five years** applies before that individual/firm can be re-appointed in the same company.
- Firms with **common partners** to the outgoing firm are also barred during cooling-off (to stop rotation on paper only).

*Why:* the deadliest threat to independence over time is the **familiarity/self-interest threat** — a long, cosy relationship where the auditor identifies with management, gets comfortable, and stops challenging.

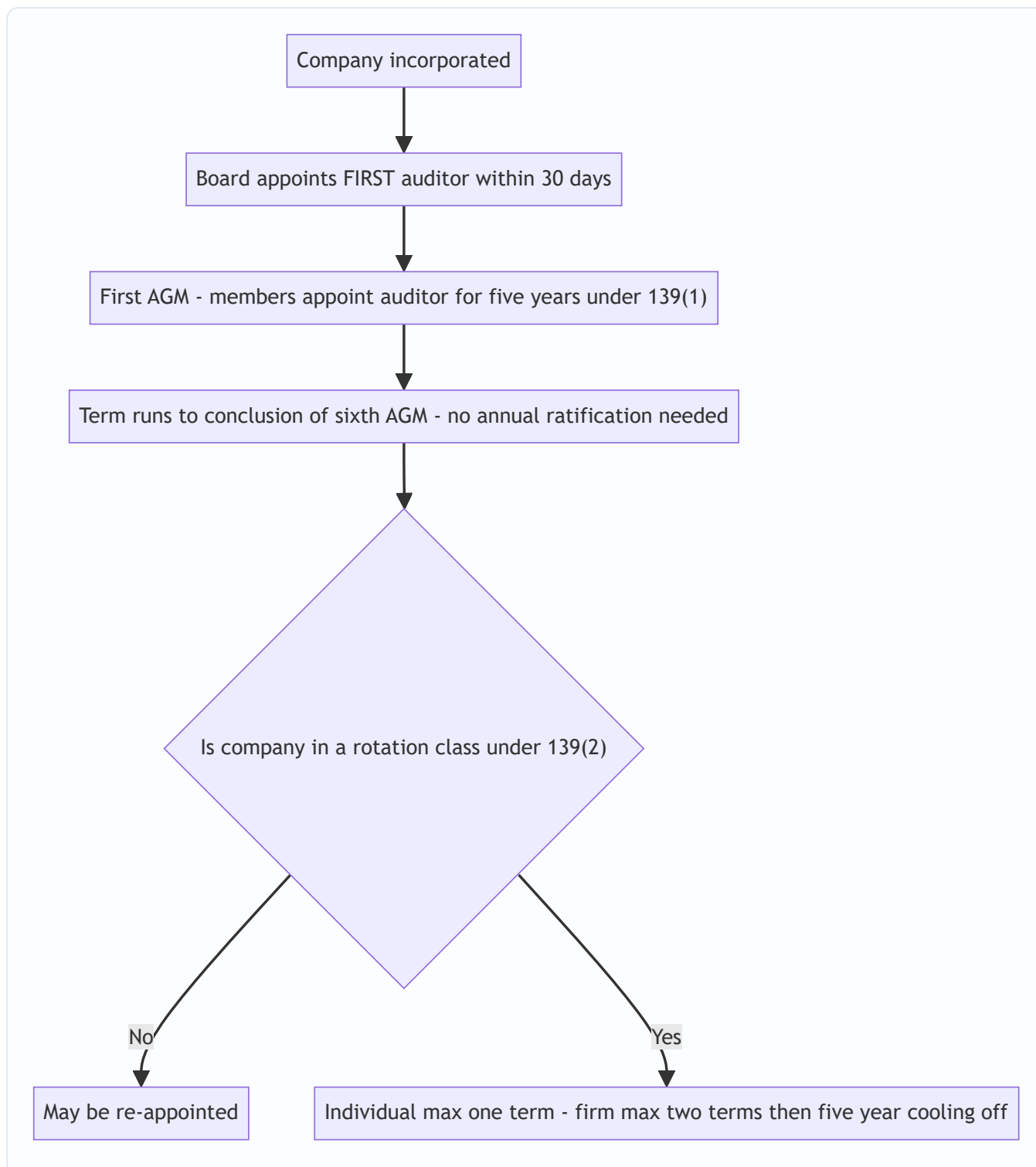
Rotation forces a **fresh, sceptical pair of eyes** at fixed intervals, and denies management the "our man for life" arrangement. It is prevention built into the calendar, not left to the auditor's willpower.

**Which companies are in the rotation net (verify current thresholds).** Rotation does *not* apply to every company. Broadly it catches: **all listed companies; unlisted public companies** with paid-up share capital at or above a prescribed limit; **private companies** with paid-up capital at or above a prescribed limit; and **any company (public or private)** with public borrowings from banks/financial institutions or public deposits above a prescribed limit. **One-person companies and small companies are excluded.** *Confirm each threshold against current ICAI material / the Companies (Audit and Auditors) Rules — these figures change.* The examiner's trap is applying rotation to a small private company with no public borrowing (it is *outside* the net) or forgetting that *borrowings alone* can pull an otherwise-small private company *into* the net.

**The anti-avoidance mesh — three ways the law stops "rotation on paper."** Managers wanting to keep a familiar firm might try cosmetic switches. The Act pre-empts each: 1. **Common-partner bar.** A new firm that shares a common partner with the outgoing firm is treated as the *same* firm for cooling-off — you cannot spin off a partner into "New & Co." and re-appoint. 2. **Same network / same brand.** Firms operating under the **same network or a common brand name/trademark** are also aggregated for rotation — you cannot pass the client between two member firms of the same international network. 3. **Counting past tenure.** The years an auditor already served *before* the rotation provisions applied are **counted** in computing the term (a transitional rule that stopped incumbents claiming a fresh 10-year clock). *Confirm the transitional-counting wording in ICAI material.*

**Voluntary rotation of the engagement partner.** Even where firm rotation does not apply, the Act permits the **members to resolve** that the *engagement partner* and his team be rotated at intervals — a softer, self-imposed familiarity control. This is optional, member-driven, and distinct from the mandatory firm rotation above.

*Figure 3 — Appointment and rotation as a timeline of who holds the pen.*



#### 4.5 Casual vacancy (Sec 139(8))

A **casual vacancy** (arising from **death, resignation, disqualification**, etc. mid-term) is filled:

- **Non-Government company:** by the **Board within 30 days**; but if the vacancy is due to **resignation**, the Board's appointment must also be **approved by the members at a general meeting within 3 months** of the Board's recommendation. The appointee holds office **till the next AGM**.
- **Government company:** by the **C&AG within 30 days**; failing which the **Board within the next 30 days**.

*Why the special treatment of resignation:* a **resignation** is exactly the event that may signal something is wrong — an auditor walking away from a dispute. So the law does not let the Board quietly slot in a

replacement; it drags the choice into the **members' meeting** for approval, ensuring owners are alerted and involved precisely when the exit is suspicious.

**What is *not* a casual vacancy — the distinction the examiner hides.** A casual vacancy means the office fell vacant *unexpectedly, mid-term*. Two look-alikes are **not** casual vacancies: (i) the auditor simply completing his term and retiring at an AGM — that is a normal re-appointment/appointment question, not a vacancy; and (ii) removal of the auditor before term under Sec 140(1) — the Act specifically routes that through the removal machinery, *not* the casual-vacancy route. So death, disqualification (141(4)) and resignation create casual vacancies; term-expiry and Sec-140 removal do not. Miscategorising the event picks the wrong procedure and loses the marks.

**Tenure of a casual-vacancy appointee is short by design.** Whoever fills a casual vacancy holds office only **until the next AGM** — never a fresh five years. The logic is consistent with the whole chapter: a Board-driven appointment is always a *stopgap* that expires at the next gathering of the owners, where the members decide the real appointment. A fact pattern giving the casual-vacancy appointee "five years" is wrong.

#### 4.6 Eligibility and disqualifications (Sec 141(3)) — the financial-entanglement filter

A person is **not eligible** for appointment as auditor if he is entangled with the company in ways that would compromise objectivity. The disqualifications include (key ones — verify the full current list in ICAI material):

- **(a) a body corporate** (except an LLP registered under the LLP Act);
- **(b) an officer or employee** of the company;
- **(c) a partner or employee** of an officer/employee of the company;
- **(d) a person** (or his relative/partner) who **holds any security or interest** in the company/its subsidiary/holding/associate — a **relative may hold securities up to face value ₹1,00,000** (*confirm threshold*); or is **indebted** to it beyond **₹5,00,000**; or has given a **guarantee** for another's debt to it beyond **₹1,00,000**;
- **(e) a person or firm with a business relationship** with the company (beyond arm's-length professional services);
- **(f) a person whose relative is a director or key managerial personnel** of the company;
- **(g) a person in full-time employment elsewhere**, or an auditor holding appointments in **more than 20 companies** (the ceiling — with specified exclusions);
- **(h) a person convicted of fraud** in the preceding **ten years**;
- **(i) a person who directly or indirectly renders prohibited services under Sec 144.**

**Sec 141(4):** if a disqualification is **incurred after appointment**, the auditor **vacates office**, and this is treated as a **casual vacancy**.

*Why:* independence in appearance and in mind both collapse if the auditor has money, employment, family or business skin in the game. If the auditor owns shares, he benefits from a flattering opinion; if he owes the company money, he can be squeezed; if his relative runs it, loyalty splits. The list is a **pre-emptive quarantine** — it removes the conflict *before* it can bias a single judgement, rather than trusting the auditor to resist temptation afterwards.

**Finer distinctions the exam mines from 141(3)(d).** The securities disqualification is stricter than students assume: - For the **auditor, his partner, or his firm**, holding **any** security or interest — *even one share* — is a disqualification. There is **no de-minimis** for the auditor himself. - The **₹1,00,000 face-value cushion applies only to a relative** of the auditor, not to the auditor. And if a relative acquires securities *above* the limit, the

Act gives a **corrective window of (verify) 60 days** to bring the holding within the limit before disqualification bites — a deliberate softening because the auditor cannot control a relative's trades instantly. - "Interest" is broader than "security" — it catches economic interests that are not shares.

**The "relative" definitions matter.** 141(3)(d) uses *relative* (spouse, and others as defined under the Act), while 141(3)(f) uses *relative is a director/KMP*. Know the difference: a distant cousin who is a director may not be a "relative" within the Act's definition, so 141(3)(f) may not bite; the examiner tests whether you check the *definition* rather than assume every family member counts.

**The ₹5,00,000 indebtedness limit — who owes whom.** The disqualification is the **auditor being indebted to the company** beyond the limit, or having *guaranteed another's debt* to the company beyond ₹1,00,000. The direction matters: the company owing the auditor unpaid audit fees is a *different* question (and a threat to independence handled under ethics), not a 141(3)(d) indebtedness disqualification. Read the arrow carefully.

**The 20-company ceiling — the counting rules that get tested.** The ceiling of **20 companies per person** counts *company audits*, but with important exclusions and mechanics (verify current position): **one-person companies, small companies, dormant companies, and private companies with paid-up capital below the prescribed limit are generally excluded** from the count. For a **firm**, the ceiling is applied **per partner** (20 each), and audits are counted against the *signing* partner. The classic trap: a fact pattern loads a CA with 22 audits but several are small/OPC companies that fall outside the count, so he is *within* the ceiling. Always net out the excluded categories before concluding a breach. *Confirm the current exclusion list and threshold.*

**141(4) mechanics — vacation is automatic, not optional.** If a disqualification is *incurred after* appointment, the auditor does not "choose to resign" — he **automatically vacates**, and the resulting gap is a **casual vacancy** filled under 139(8). The nuance: because vacation is automatic on the *event*, any audit work or report signed *after* the disqualifying event is tainted. Students who write "he should resign" understate it — the office is already vacated by operation of law.

*Why the corrective windows exist.* The Act pairs several disqualifications with short grace periods (e.g., a relative's excess shareholding) because some entanglements arise through *no fault of the auditor* and can be cured. The design goal is to quarantine genuine conflicts without ejecting an honest auditor for a momentary, correctable breach outside his control.

## 4.7 Remuneration (Sec 142)

The auditor's remuneration is **fixed by the members in general meeting**, or in such manner as the meeting may determine; the **Board may fix the first auditor's remuneration**. Remuneration **includes** the audit fee plus expenses incurred in connection with the audit and any facility extended, but **excludes** any sum paid for **other services** rendered at the company's request.

*Why:* fees are a two-edged lever. **Excessive** or contingent fees can *bribe* an auditor into silence; **arbitrary cuts** can *punish* a diligent one. Placing the fee decision with the **members** (the auditor's principals) and requiring **disclosure** keeps management from privately dangling money as reward or threat. The careful separation of audit fees from "other services" fees also foreshadows Sec 144 — the law wants the world to see how much non-audit money is flowing, because that money is where silence gets bought.

**Why the "includes/excludes" wording is examinable, not decorative.** The definition deliberately **includes** out-of-pocket expenses and facilities (so a company cannot disguise extra reward as "reimbursements") but deliberately **excludes** fees for *other services* (so that non-audit fees stay visible as a *separate* number). The design intent is transparency: if everything were lumped into "remuneration," a large consulting payment



could hide inside the audit-fee line. By fencing "other services" out of the definition, the Act ensures those fees appear separately in the financial statements — and a reader can see the silence-bribe risk that Sec 144 then polices.

**"May be fixed in such manner as the meeting determines."** Members need not vote the exact rupee figure themselves; they may **delegate** the fixing to the Board (commonly done in practice, with the AGM authorising the Board to fix). The lever still *originates* with the members — delegation is a member choice, not a Board seizure of the power. Distinguish this permitted delegation from the Board *unilaterally* setting the fee, which it may do only for the *first* auditor.

#### 4.8 Removal, resignation and special notice (Sec 140) — the hardest door to open

This is the section that most directly defeats the "sack the auditor who objects" attack.

- **140(1) — Removal before expiry of term:** requires a **special resolution** of the company **AND the prior approval of the Central Government** (application in **Form ADT-2** within 30 days of the Board resolution; special resolution within 60 days of Central Government approval). The auditor must be given a **reasonable opportunity of being heard**.
- **140(2)–(3) — Resignation:** a resigning auditor must file a **statement (Form ADT-3)** with the company and the Registrar (and the C&AG for Government companies) **within 30 days**, giving the **reasons and other facts** relevant to the resignation. Failure attracts a **penalty**.
- **140(4) — Special notice for not re-appointing the retiring auditor:** where a resolution at an AGM proposes to appoint **someone other than the retiring auditor** (or to expressly not re-appoint him), **special notice** is required; the retiring auditor is entitled to **make written representations and have them circulated** to members / read at the meeting.
- **140(5) — Tribunal-ordered removal:** the **NCLT**, on its own or on application (including by the Central Government), may order a **change of auditor** if satisfied the auditor has acted **fraudulently or colluded** in fraud; such an auditor is **debarred for five years** and faces Sec 447 liability.

*Why each safeguard exists:* - **The double lock on removal (special resolution + Central Government)** exists because premature removal is the classic retaliation against an honest auditor. Even a shareholder vote is not trusted alone, because in a promoter-dominated company the vote *is* management. The **Central Government** is inserted as an independent check that asks: is this a genuine reason, or is an inconvenient auditor being purged? - **The resignation statement (ADT-3)** exists because a silent exit is a wasted warning. If an auditor is leaving because of a dispute over the accounts, the owners and the Registrar deserve to know **why**. Forcing him to record the reasons converts a quiet disappearance into a public signal. - **Special notice + right of representation** exists so that management cannot simply *not re-appoint* an auditor and slide in a friendlier one without the members hearing the outgoing auditor's side. - **The Tribunal power** exists for the opposite failure — an auditor who is *too cosy* — arming an independent body to eject and bar a complicit auditor.

**The sequence of the removal double-lock is precise — and reversible-order is a trap.** The order is: (1) **Board resolution** to remove → (2) **application to Central Government in ADT-2 within 30 days** of that Board resolution → (3) **Central Government approval** → (4) **special resolution of members within 60 days** of the approval → (5) **opportunity of being heard** given to the auditor. Note the ordering the examiner scrambles: the **Central Government approval comes before the special resolution**, not after. The logic is that there is no point troubling the members with a vote until the independent gatekeeper has confirmed the removal is genuine.

**140(4) vs 140(1) — the single most confused pair in this chapter.** Lay them side by side:

|                              | <b>140(1) Removal <i>before</i> term</b> | <b>140(4) Not re-appointing at end of term</b>                 |
|------------------------------|------------------------------------------|----------------------------------------------------------------|
| When                         | Mid-term, ousting a sitting auditor      | At an AGM, choosing not to re-appoint the retiring auditor     |
| Trigger event                | Board wants him gone now                 | Term is ending anyway                                          |
| Central Government approval? | <b>Yes — mandatory</b>                   | <b>No</b>                                                      |
| Special resolution?          | Yes                                      | No — <b>special notice</b> of the resolution                   |
| Auditor's protection         | Reasonable opportunity of being heard    | <b>Right of written representation, circulated/read at AGM</b> |

The examiner's favourite move is a fact pattern where the term is *ending* and the company wants a new auditor — students wrongly demand Central Government approval (that is only for *premature* removal). Conversely, a *mid-term* ouster that only used special notice is invalid for lacking Central Government approval. Match the *timing of the event* to the section.

**Resignation (140(2)) — an obligation on the auditor, enforced by penalty on him.** Unusually in this chapter, ADT-3 is a duty on the *auditor*, and the *penalty for default falls on the auditor* (a minimum sum rising to a cap — *verify current amounts*). Why put the burden on the departing auditor? Because he is the only person who knows the *real* reason he left; the company has every incentive to characterise it blandly. Forcing the auditor to state the reasons and facts himself preserves the warning value of the exit.

**140(5) Tribunal power — note who can trigger it and the double consequence.** The NCLT may act **suo motu**, on a Central Government application, or on **any person's** application. If satisfied the auditor acted *fraudulently* or *abetted/colluded* in fraud, it may order a change and the auditor is **debarred for five years** and remains liable under **Sec 447 (fraud)**. Distinguish this from 140(1): 140(1) is *management removing an inconvenient honest auditor* (heavily gated to protect the auditor); 140(5) is *an independent body ejecting a complicit dishonest auditor* (fast and punitive). Same "removal" word, opposite purposes.

*Figure 4 — Removing an auditor before term-end is deliberately made hard; every arrow is a safeguard against retaliation.*

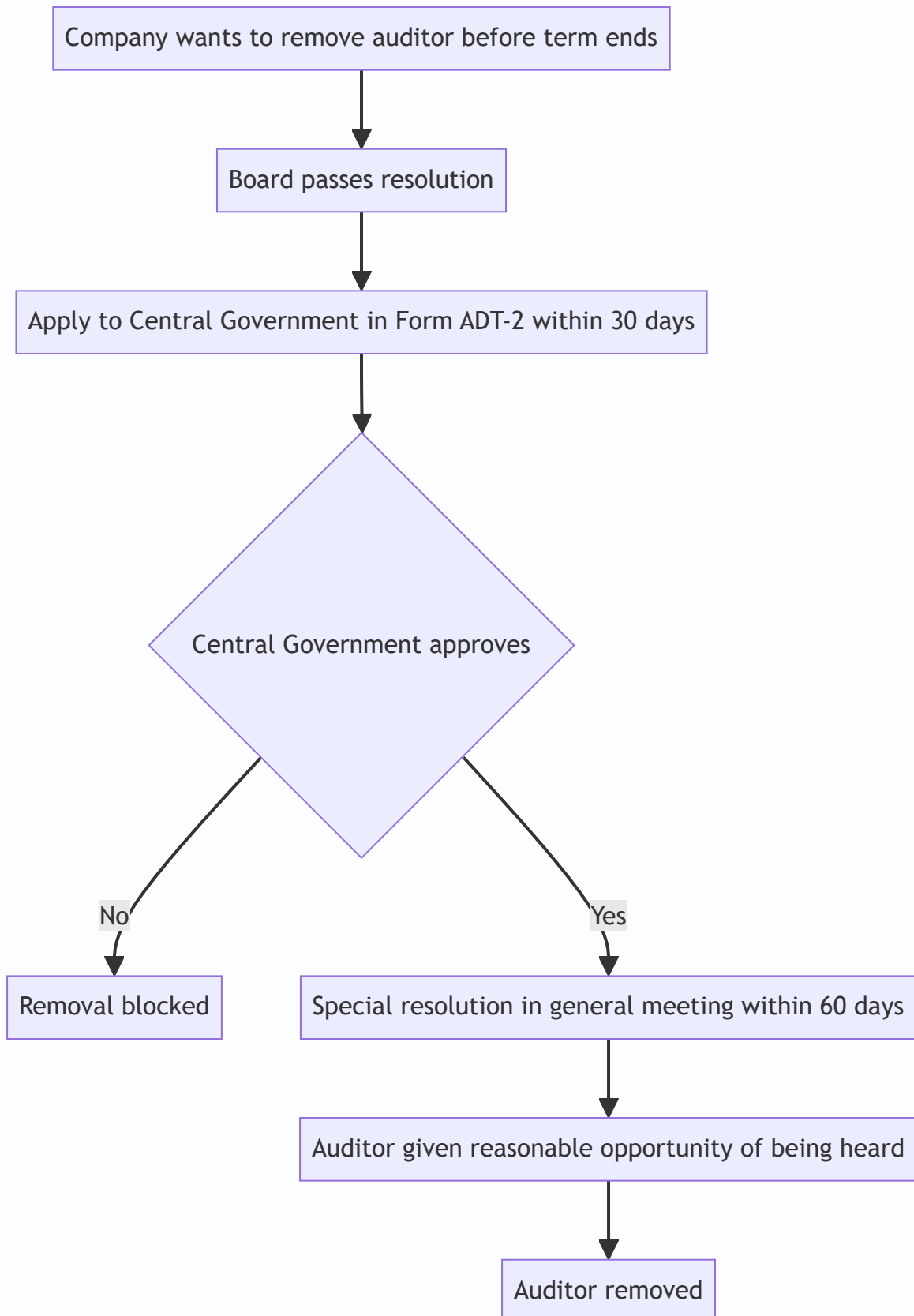
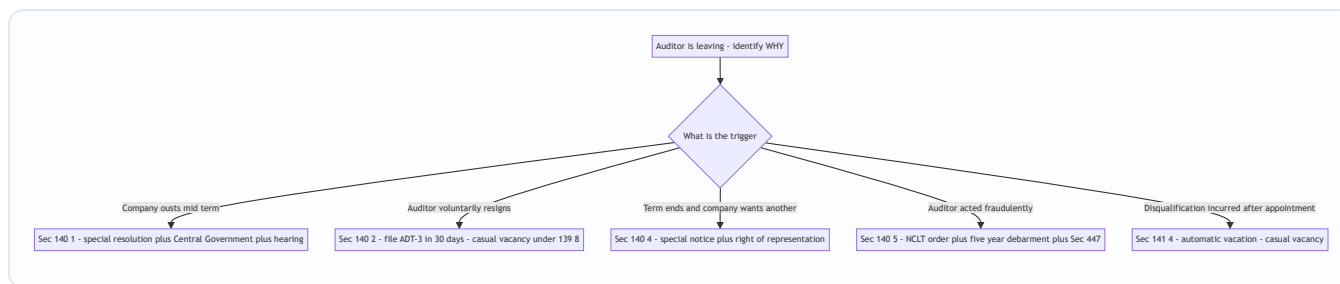


Figure 5 — Three different "exit" routes lead to three different procedures; identify the event first, then pick the door.



## 4.9 Powers and duties (Sec 143) — giving the watchman eyes and a voice

An auditor with no right to see the records, or whose report no one need heed, would be ornamental. Section 143 arms him.

**Powers / rights (143(1)):** - A **right of access at all times** to the **books, accounts and vouchers** of the company, **wherever kept**, and to **branch** records. - A right to **require information and explanations** from officers, on matters including (illustratively) whether loans/advances are properly secured and terms not prejudicial; whether transactions are merely book entries; whether personal expenses have been charged to revenue, etc.

**Access to subsidiary records for consolidation.** The proviso to 143(1) extends the access right to the records of **subsidiaries and associates** so far as it relates to the **consolidation** of financial statements — because the holding-company auditor cannot opine on consolidated accounts he is not allowed to inspect. This closes a gap a group could otherwise exploit by parking problems in a subsidiary the parent's auditor "cannot see."

**Duties — the report (143(2)–(3)):** the auditor must report to the members on the accounts examined and on every financial statement laid before the company, stating whether they give a **true and fair view**. Sec **143(3)** lists the matters the report must **expressly state**, including (key ones): - whether he **obtained all information and explanations** necessary; - whether **proper books of account** have been kept and proper returns received from branches; - whether the accounts **agree with the books and returns**; - whether the financial statements **comply with accounting standards**; - **observations/qualifications** having an adverse effect on functioning; - whether any **director is disqualified** under Sec 164(2); - **adequacy and operating effectiveness of internal financial controls** (for applicable companies); - other matters prescribed under **Rule 11** (e.g., pending litigation impact, foreseeable losses on long-term contracts, dividends, and specified disclosures).

**The three "types" of matters in the report — a distinction that structures a good answer.** 143(3) matters are of three flavours: (i) *positive assurances* the auditor must give ("proper books have been kept"); (ii) *reason-if-negative* items (if the answer is "no", he must **state the reasons** — e.g., if books are not proper); and (iii) *report-the-fact* items (disclose the existence of a qualification, a director disqualification, etc.). Understanding that some items require a *reasoned* negative, not a bare "no," is what a 143(3) essay question rewards.

**Duty to report fraud (143(12)):** if, in the course of the audit, the auditor has **reason to believe an offence of fraud** involving the company by its officers/employees is being/has been committed, he must **report it** — to the **Central Government** if the amount is **₹1 crore or above** (via the Board/Audit Committee then Form ADT-4 within prescribed timelines), and to the **Board/Audit Committee** for amounts **below ₹1 crore** (with disclosure in the Board's report). Statutorily mandated fraud reporting made in good faith is **protected** and is **not a breach of confidentiality**.

**Fraud reporting — the precise mechanics and the traps.** The ≥₹1 crore route is a *two-step, time-boxed* process (verify current Rule 13 timelines): the auditor first forwards his report to the **Board/Audit Committee** seeking their reply within a specified number of days (commonly cited as 45), then forwards his report *plus* their reply (or a note that none was received) to the **Central Government** in **Form ADT-4** within a further specified window (commonly cited as 15 days). The key distinctions the examiner tests: - The threshold is **the amount of the individual fraud**, judged per fraud, and it is "**reason to believe**," not "proof" — the auditor need not have conclusively established the fraud, only have a reasonable basis. Waiting for proof is a *breach* of the duty. - It applies to fraud **by officers or employees against the company**; frauds *by the company against third parties* are handled differently, and fraud by *outsiders* is outside 143(12). - The duty extends to **cost auditors and secretarial auditors** too, not only the statutory auditor. - Good-faith reporting enjoys a **statutory safe harbour** — it overrides the confidentiality duty, so an auditor cannot hide behind "client confidentiality" to avoid reporting. *Verify all timelines and the current threshold in ICAI material.*

**143(9)–(10):** the auditor must **comply with the auditing standards (SAs)**, which the Central Government prescribes (recommended by NFRA/ICAI).

**C&AG and Government companies (143(5)–(7)):** for Government companies the C&AG may **direct** the manner of audit, receive the report, and conduct a **supplementary audit** and **test audit**; comments of the C&AG are placed before the members.

*Why:* rights of access exist because you cannot audit what you are not allowed to see — without a statutory right, management could simply withhold the damning ledger. The prescribed report contents exist so the opinion is not a vague blessing but answers **specific public-interest questions** (are the books proper? do they comply with standards? are controls effective?). And **fraud reporting** flips the auditor from a passive reporter to an active whistle-blower, because the people best placed to spot management fraud early are the auditors — the law refuses to let them look away and hide behind "confidentiality."

#### **4.10 Prohibited (non-audit) services (Sec 144) — cutting off the silence-bribe**

The auditor (whether individual, firm, or through any associated entity) must **not** render, to the company / its holding / subsidiary, certain **non-audit services**, including: - **accounting and book-keeping**; - **internal audit**; - **design and implementation of financial information systems**; - **actuarial services**; - **investment advisory / investment banking**; - **rendering of outsourced financial services**; - **management services**; and - **any other service prescribed**.

*Why:* the most modern route to auditor capture is not a crude bribe — it is a **lucrative consulting relationship**. If the audit firm earns huge non-audit fees from the same client, it develops a powerful incentive to keep the client happy and not jeopardise the relationship with an awkward audit opinion — the **self-interest threat**. Worse, some prohibited services create a **self-review threat**: if the auditor *built* the accounting system or *did* the book-keeping, he would be **auditing his own work** and could never be objective about it. Section 144 severs these entanglements at the root, keeping the audit relationship clean and single-purpose.

**"Directly or indirectly" and "associated entity" — the reach the examiner exploits.** 144 is drafted to defeat structuring. The prohibition catches the service rendered *directly* by the auditor, *or indirectly* through: (a) any *relative* of the auditor; (b) any *other person or entity in which the auditor has significant influence or control*, or whose name/brand/trademark the firm uses; and (c) any of the auditor's *partners or the firm*. So an audit firm cannot route the consulting through a sister "advisory LLP" under the same brand — the

prohibition follows the substance. And the client-side reach covers the company **plus its holding company and its subsidiary company**, so the firm cannot dodge by billing the parent instead of the audited subsidiary.

**Permitted services — the counter-list students forget.** 144 is a *closed prohibited list*; anything *not* on it (and not otherwise barred) is permissible with the required approvals. In particular, services like **taxation** (many tax services), **company law matters**, **management representation letters**, and certain **certification/attestation** work are generally **not** prohibited (verify current position and required Audit-Committee approvals). The exam trap is treating 144 as "no non-audit work at all" — it is not; it is a *specific* list targeting self-review and heavy self-interest, not a blanket ban.

**Timing wrinkle — services already being rendered on commencement.** The Act gave a transitional window for auditors already rendering a now-prohibited service to a client to **comply before a cut-off date**. In current practice the auditor must ensure he renders *no* prohibited service from the date he is the auditor. A cross-reference the examiner likes: rendering a prohibited service also independently *disqualifies* under **141(3)(i)** — so 144 and 141 bite together.

#### 4.11 Signing of audit reports (Sec 145)

The auditor (or the CA partner authorised to act) must **sign the audit report**, and any **qualifications, observations or comments** on financial matters that have an adverse effect on the functioning of the company must be **read out at the AGM** and be **open to inspection** by members. *Why*: a signature attaches **personal accountability** to the opinion — the auditor cannot hide behind the firm's name or issue an anonymous blessing. Requiring qualifications to be aired means an **adverse note cannot be quietly buried** in an appendix no one reads; the owners hear the bad news.

**Only qualifications are read aloud, not the whole report.** A precision point: Sec 145 requires the *qualifications, observations or comments having an adverse effect* to be read at the AGM — not the entire clean report. The design intent is proportionate sunlight: force the *bad news* into the room, where members might otherwise skim past it. A fact pattern implying "the auditor need not disclose his qualification because it was minor" is wrong — if it has an adverse effect on functioning, it is read out.

#### 4.12 Attendance at general meeting (Sec 146)

**All notices and communications** relating to any general meeting must be **sent to the auditor**, and the auditor (unless exempted by the company) must **attend** the meeting either personally or through an authorised representative (who must be qualified to be an auditor), and has the **right to be heard** on any part of the business that concerns him. *Why*: the auditor's principals are the members, and the AGM is where they gather. If the auditor could be kept away, management could present the accounts and answer questions with no independent voice in the room. Section 146 guarantees the members can **look the auditor in the eye and ask him directly** — closing the gap through which a captured management would otherwise control the narrative.

**"Unless exempted" — a member choice, not a management escape.** Attendance can be dispensed with only where **the company (the members) so decide** to exempt the auditor — it is *their* right to insist on his presence, so only they can waive it. Management cannot unilaterally "excuse" the auditor to keep him out of the room. And the representative who attends in his place must himself be **qualified to be an auditor**, so members cannot be fobbed off with a junior clerk who cannot answer.

#### 4.13 Punishment for contravention (Sec 147)

- **Company and officers in default** who contravene Sec 139–146 face **finest** (company) and **fine and/or imprisonment** (officers) — *confirm current amounts in ICAI material*.
- **Auditor** who contravenes Sec 139, 143, 144 or 145 faces a **fine** (a minimum, scaling up to a cap or four times the audit fee, whichever lower); if the contravention was **wilful and intended to deceive**, **imprisonment up to one year and a higher fine**, and the auditor must **refund the audit fee and pay for damages** to the company/others for loss arising from an incorrect/misleading statement.
- In a **firm**, where the **partners acted fraudulently or colluded**, the **liability (civil and criminal) is joint and several** for those partners.

*Why:* every safeguard above is toothless without a cost for breaching it. Punishment converts the duties from moral exhortations into **enforceable obligations** — it prices in a real consequence for the negligent or complicit auditor and for a management that games the appointment machinery, so that the cheapest path is genuinely to comply.

**The graduated structure — negligence vs. intent — is the examinable spine.** Sec 147 is deliberately *tiered*: a *non-wilful* contravention draws a **monetary penalty only** (min–max, capped at four times the audit fee — verify amounts); a **wilful** contravention "with intent to deceive" adds **imprisonment up to one year**, a higher fine, and a **restitutionary** limb — **refund of the audit fee plus damages**. The escalation from *fine* to *fine + jail + restitution* tracks the auditor's *state of mind*, mirroring the criminal-law logic that intent aggravates liability. When answering, first classify the auditor's conduct (careless vs. deliberate), then apply the matching tier.

**Which sections' breach exposes the auditor specifically.** Note the auditor's personal exposure under 147 is pinned to breaches of **139, 143, 144 and 145** — appointment eligibility, powers/duties/report, prohibited services, and signing. Breach of the *procedural* sections that bind the *company* (like 146 attendance mechanics) primarily exposes the company/officers. Matching the defaulter to the section is the fine distinction here.

**Class-action and Sec 245 link.** Where an auditor's misstatement injures members/depositors, they may pursue a **class action under Sec 245** seeking damages from the audit firm (and, on fraud/collusion, the *individual partners jointly and severally*). This connects 147's "damages" limb to a real enforcement vehicle beyond regulator-led penalties.

#### 4.14 Cost audit (Sec 148)

For **specified classes of companies** engaged in the **production of goods or provision of services** (as notified — regulated/strategic industries such as certain manufacturing, utilities, pharma, etc.), the Central Government may direct that **cost records** be maintained and that a **cost audit** be conducted by a **Cost Accountant** (member of ICMAI) appointed by the **Board** (remuneration ratified by members). The cost auditor's report goes to the Board and, in prescribed cases, to the Central Government; the **cost auditor is subject to the same duties and disqualification logic** as a financial auditor, and the **financial (statutory) auditor cannot be the cost auditor**.

*Why:* in **regulated and price-sensitive industries**, the **cost** at which goods/services are produced is a matter of public interest — it underpins **tariff setting, anti-profiteering, subsidy claims and taxation**. Companies have an incentive to misstate costs (inflate them to justify higher prices/subsidies, or manipulate them for tax). A separate, independent cost audit puts an expert eye on the **cost records** specifically,



addressing a risk the financial audit is not designed to police. Keeping the cost auditor **separate from the statutory auditor** preserves independence and avoids self-review across the two mandates.

**Appointment mechanics differ from the financial auditor — a comparison the exam draws.** The cost auditor is **appointed by the Board** (not the members), with **remuneration recommended by the Board/Audit Committee and ratified by the members** — the reverse emphasis from the statutory auditor (members appoint, members fix fee). Why the difference? Cost audit is a more technical, regulatory-compliance exercise supervised by the Central Government rather than a shareholders'-protection mechanism, so the Board leads and the members merely ratify the fee. Filing is via **Form CRA-2 (appointment intimation)** and the report reaches the company in **Form CRA-3**, which the company files with the Central Government in **Form CRA-4** (*verify current form numbers/timelines*).

**Fraud-reporting duty applies here too.** The 143(12) fraud-reporting obligation is extended to the cost auditor — so a cost auditor who spots officer/employee fraud in the cost records carries the same whistle-blowing duty.

#### 4.15 Branch audit (Sec 143(8))

Where a company has a **branch office**, its accounts may be audited by the **company's (principal) auditor** or by **another person qualified to be appointed as auditor** — the **branch auditor** — appointed under Sec 139. The **branch auditor prepares a report** on the branch accounts and **sends it to the principal (company) auditor**, who **deals with it in his report in the manner he considers necessary**. For a **foreign branch**, the audit may be done by the company's auditor or by a person duly qualified under the **laws of that foreign country**. The **principal auditor is not liable** for the work of the branch auditor merely by using it, **provided** he deals with the branch report appropriately (mirroring the SA 600 logic on using another auditor's work).

*Why:* a large company may have branches across the country or the world that the principal auditor cannot physically reach for every count and check. Allowing a **local branch auditor** ensures the branch's records are examined by someone with access, while requiring the report to flow **up to the principal auditor** — who must consciously **consider and integrate** it — keeps a **single point of accountability** for the company-wide opinion. It balances practicality (local coverage) against unity of responsibility (one auditor answers to the members).

**The unity-of-responsibility principle — why the principal auditor is not a rubber stamp.** Although not *automatically* liable for the branch auditor's detailed work, the principal auditor must still **deal with** the branch report — meaning he must consider it, follow up on issues, and decide how it affects his overall opinion (per SA 600). He cannot simply staple the branch report to his own and disclaim. So the split of *labour* (branch auditor does the local fieldwork) does not split the *responsibility for the opinion on the whole company*, which remains the principal auditor's. This is the balance the examiner probes: independence and division of work on one side, single accountability to the members on the other.

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## 5. Applied Scenarios (exam-style)

**Scenario A — The friendly re-appointment that never happened properly.** *Xylo Ltd, a listed company, has had M/s Rao & Co. as auditors for the last 11 continuous years. The Board proposes them for another year.*  
*Comment.* **Analysis:** Xylo is a listed company, so **rotation under Sec 139(2)** applies. An **audit firm may serve a maximum of two terms of five consecutive years (10 years)**. Eleven years already breaches the

cap; re-appointment is **invalid**, and a **five-year cooling-off** must follow before Rao & Co. (or a firm with common partners) can return. The *reason* the examiner is testing: rotation exists to break the **familiarity threat** that an 11-year relationship epitomises. The Board's comfort with the incumbent is exactly the danger, not a justification.

**Scenario B — The auditor who asked too many questions.** *During the audit of Kavia Pvt Ltd, the auditor CA P raises concerns about related-party loans. The Board, irritated, passes a resolution at a Board meeting removing him and appoints CA Q the same day. Is the removal valid?* **Analysis:** No. Removal **before expiry of term** is governed by **Sec 140(1)** and requires (i) **prior approval of the Central Government** (Form ADT-2 within 30 days of the Board resolution), (ii) a **special resolution** of members, and (iii) a **reasonable opportunity for the auditor to be heard**. A same-day Board removal satisfies **none** of these. The *reason*: the double lock exists **precisely** to stop retaliatory sacking of an auditor who raises uncomfortable findings — the fact pattern is the textbook abuse the section blocks. CA Q's appointment is void.

**Scenario C — The lucrative side deal.** *M/s Bright & Co. are statutory auditors of Neon Ltd. Neon also engages them to design and implement its new financial reporting software for a fee three times the audit fee. Permissible?* **Analysis:** No. **Sec 144** prohibits the auditor from rendering "**design and implementation of any financial information system**" to the audit client. Two threats bite: a **self-interest threat** (the large non-audit fee incentivises keeping Neon happy) and a **self-review threat** (Bright & Co. would later be auditing accounts produced by a system they built). Rendering a prohibited service also **disqualifies** them under **Sec 141(3)(i)**. They must decline the software engagement to remain eligible as auditors.

**Scenario D — The quiet resignation.** *The auditor of Mango Pvt Ltd resigns mid-year after a dispute over revenue cut-off and simply stops responding. What are the obligations?* **Analysis:** Under **Sec 140(2)–(3)** the resigning auditor **must file Form ADT-3** stating the **reasons and relevant facts** with the company and the Registrar **within 30 days**; failure attracts a **penalty**. The resulting **casual vacancy (Sec 139(8))** must be filled by the Board **and, because it arises from resignation, approved by members in general meeting within 3 months**. The *reason*: a resignation over a cut-off dispute is a **red flag**; the law forces the reasons into the open and pulls the replacement decision to the members, so a suspicious exit cannot be swept aside.

**Scenario E — First-year gap.** *Zephyr Ltd was incorporated on 1 April; by 15 May no auditor had been appointed. Who acts, and by when?* **Analysis:** Under **Sec 139(6)**, the **Board must appoint the first auditor within 30 days of registration** (i.e., by 30 April). Having missed that, the power passes to the **members**, who must appoint at an **EGM within 90 days**. The first auditor then holds office **until the conclusion of the first AGM**. *Reason*: the temporary Board power is a stopgap so the company is never without an auditor, but it expires at the first AGM where the owners take control.

**Scenario F — The audit-ceiling arithmetic (worked, self-verified).** *CA Meera currently signs the audits of the following: 8 private companies each with paid-up capital of ₹2 crore; 3 private companies each with paid-up capital of ₹50 lakh; 4 one-person companies; 5 dormant companies; and 6 public companies. She is offered the audit of Vera Ltd, an unlisted public company. Can she accept?* **Analysis — count only what the ceiling counts.** The **20-company ceiling** (Sec 141(3)(g)) excludes (verify current list): **one-person companies, dormant companies, small companies, and private companies with paid-up capital below the prescribed limit** (commonly ₹100 crore — *verify*). Work the count:

| Category                  | Number | Counts toward 20?                                     | Counted |
|---------------------------|--------|-------------------------------------------------------|---------|
| Private cos, PUC ₹2 cr    | 8      | Below the prescribed private-company limit → excluded | 0       |
| Private cos, PUC ₹50 lakh | 3      | Excluded (small/below limit)                          | 0       |
| One-person companies      | 4      | Excluded                                              | 0       |
| Dormant companies         | 5      | Excluded                                              | 0       |
| Public companies          | 6      | Counted                                               | 6       |

Current count = **6**. Adding Vera Ltd (a public company, counted) → **7**, which is **well within 20**. **She can accept. Self-check:** the trap was the raw total of 26 audits, which *looks* like a breach; netting out the four excluded categories leaves only the 6 public companies counting, so there is no breach. *Reason the examiner tests this:* the ceiling protects audit *quality* (no one can do 200 audits well) but the exclusions recognise that OPC/dormant/small audits are light, so counting them would waste capacity — the arithmetic, not a slogan, decides the answer. (Confirm the current private-company threshold and exclusion list in ICAI material.)

**Scenario G — The relative's shares acquired after appointment (worked).** CA Arjun is validly appointed auditor of Comet Ltd on 1 August. On 1 October his father (a "relative") buys 3,000 equity shares of Comet Ltd of face value ₹10 each (face value ₹30,000). Later, on 1 December, the father buys 9,000 more shares (further face value ₹90,000). Analyse the eligibility at each date. **Analysis — apply the relative cushion and the corrective window (Sec 141(3)(d), verify figures).** - At 1 October: relative's holding = ₹30,000 face value, **within the ₹1,00,000 relative cushion → no disqualification**. Arjun continues. - At 1 December: total relative holding = ₹30,000 + ₹90,000 = **₹1,20,000 face value**, which **exceeds ₹1,00,000**. The Act does not eject Arjun instantly; it grants a **corrective window (commonly 60 days — verify)** for the relative to bring the holding back within the limit. If the excess is cured within the window, eligibility is preserved; if not, Arjun **incurs a disqualification after appointment** and **vacates office under Sec 141(4)**, creating a **casual vacancy** to be filled under 139(8). **Self-check:** the two-date structure tests whether you (i) know the cushion is for a *relative* (not the auditor himself, who has *zero* tolerance), and (ii) know the breach is *curable* within a grace window rather than fatal on the instant. *Reason:* the auditor cannot police a relative's trades in real time, so the law quarantines only *uncured* excesses — punishing the entanglement, not the auditor's bad luck. (Confirm the ₹1,00,000 limit and the corrective-window length in current ICAI material.)

**Scenario H — Fraud reporting: which door and what amount (worked).** During the audit of Delta Ltd, CA Sona finds credible evidence that the CFO siphoned ₹1.4 crore through fictitious vendors, and separately that a store clerk pilfered ₹6 lakh of inventory. What must she do for each? **Analysis — split by amount and recipient (Sec 143(12), verify timelines).** - CFO fraud, ₹1.4 crore ( $\geq$  ₹1 crore): report to the **Central Government** via the two-step route — first forward the report to the **Board/Audit Committee** for their reply within the specified period (commonly 45 days), then file **Form ADT-4** with the Central Government within the further specified window (commonly 15 days), enclosing the Board's reply or noting its absence. - Clerk's theft, ₹6 lakh ( $<$  ₹1 crore): report to the **Board/Audit Committee**; the fraud is then **disclosed in the Board's report** — no Central Government filing. **Self-check:** the two frauds sit on opposite sides of the ₹1 crore line, so each takes a *different* door — this is exactly the "threshold + recipient" pairing the examiner rewards. Note also the standard is "**reason to believe**," so Sona need not have *proven* either fraud; and her good-faith report is **protected as no breach of confidentiality**. *Reason:* the ₹1 crore line rations the Central Government's attention to the most serious frauds while still ensuring smaller frauds are surfaced internally and disclosed. (Confirm the current threshold and the 45/15-day timelines in ICAI material.)

**Scenario I — Rotation vs. term confusion (worked).** *Nimbus Pvt Ltd is a private company with paid-up capital of ₹8 crore and outstanding bank borrowings of ₹60 crore. It appointed M/s Sol & Co. as auditors 10 years ago (two consecutive five-year terms). The Board wants to re-appoint them because "they know the business." Advise.* **Analysis — first decide if rotation even applies, then apply the cap.** Rotation under Sec 139(2) catches *private companies with public borrowings above the prescribed limit* (verify — commonly borrowings from banks/PFIs of ₹50 crore or more). Nimbus, though private, has **₹60 crore borrowings**, so it is **inside the rotation net**. A **firm's maximum is two terms of five years (10 years)**; Sol & Co. have exhausted exactly that. Re-appointment is **invalid**; a **five-year cooling-off** applies, and any firm with **common partners** or under the **same network** is equally barred. **Advice: appoint a genuinely different firm.** **Self-check:** the trap is thinking "it's private, so no rotation." Private status alone does not exempt — *borrowings* pull it in. And "they know the business" is precisely the **familiarity threat** rotation is built to sever, not a valid ground. (Confirm the ₹50 crore borrowing threshold and the private-company capital threshold in current ICAI material.)

**Scenario J — End-of-term vs. mid-term removal (worked distinction).** *Orion Ltd's auditor CA Vikram is nearing the end of his five-year term. The Board, unhappy with his qualifications last year, wants a different auditor appointed at the coming AGM. A junior tells the Board they need Central Government approval. Correct?* **Analysis — identify the event: this is non-re-appointment, not removal.** Because the **term is ending anyway**, this is governed by **Sec 140(4)**, not 140(1). What is required: **special notice** of the resolution proposing someone other than the retiring auditor, and CA Vikram's **right to make written representations** circulated to members / read at the AGM. **Central Government approval is NOT required** — that is only for *premature* removal under 140(1). The junior is **wrong**. **Self-check:** the discriminator is *timing* — mid-term ouster (140(1), Central Government) versus letting the term lapse and choosing another (140(4), special notice + representation). Same commercial goal ("get a new auditor"), completely different procedure. *Reason:* premature removal risks purging an honest auditor and needs a state gatekeeper; declining to re-appoint at natural term-end is a normal owners' choice, gated only by the incumbent's right to be heard.

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## 6. Procedure / Documentation Summary

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**Before accepting an appointment, the auditor must:** 1. Confirm he is **qualified and not disqualified** under **Sec 141** (no security/interest, indebtedness within limits, no business relationship, relative not a director/KMP, ceiling of 20 company audits not breached, no prohibited service under Sec 144). 2. Obtain the company's compliance with **Sec 139** — check whether it is a **rotation-class** company and whether tenure/cooling-off permits appointment. 3. Give **written consent** and a **certificate** that the appointment satisfies Sec 141 limits. 4. Ensure the company files **Form ADT-1** with the Registrar within **15 days**. 5. **Communicate with the retiring auditor** in writing before accepting (a professional-ethics requirement under the CA Act / Clause 8 of Part I of the First Schedule) — failure is professional misconduct, distinct from the Companies Act steps but examinable alongside them.

**Key forms and timelines (memorise the pairing of form to event):**

| Event                                                 | Form         | Who files / when                                                  |
|-------------------------------------------------------|--------------|-------------------------------------------------------------------|
| Appointment of auditor                                | <b>ADT-1</b> | Company, within 15 days                                           |
| Application for removal before term                   | <b>ADT-2</b> | Company to Central Government, within 30 days of Board resolution |
| Resignation statement                                 | <b>ADT-3</b> | Auditor to company & Registrar, within 30 days                    |
| Fraud report to Central Government ( $\geq$ ₹1 crore) | <b>ADT-4</b> | Auditor, within prescribed time                                   |
| Cost auditor appointment intimation                   | <b>CRA-2</b> | Company to Central Government ( <i>verify</i> )                   |
| Cost audit report to company                          | <b>CRA-3</b> | Cost auditor to company ( <i>verify</i> )                         |
| Cost audit report filing                              | <b>CRA-4</b> | Company to Central Government ( <i>verify</i> )                   |

#### Who does what — a one-glance authority table (the exam's silent favourite):

| Act          | Statutory auditor                                | Cost auditor                     | First auditor                         |
|--------------|--------------------------------------------------|----------------------------------|---------------------------------------|
| Appointed by | Members (139(1))                                 | Board (148)                      | Board (139(6)); C&AG if Govt (139(7)) |
| Fee fixed by | Members (142)                                    | Board, ratified by members (148) | Board (142)                           |
| Removed by   | Special resolution + Central Government (140(1)) | Board (subject to rules)         | (Same as statutory if before 1st AGM) |
| Reports to   | Members                                          | Board / Central Government       | Members (at 1st AGM)                  |

**What the auditor documents (SA 230 link):** the eligibility check and disqualification declaration; the engagement letter and consent/certificate; the appointment resolution and ADT-1; assessment of rotation applicability and tenure; remuneration approved; any communication on removal/resignation and the reasons; the reasoning behind the report contents under Sec 143(3) and Rule 11; and, where relevant, fraud-reporting steps under 143(12). *Why:* these are statutory obligations whose **breach is punishable (Sec 147)** — the file must prove each was met.

## 7. Connections

- **Sec 132 (NFRA):** the independent oversight body for auditors of large/listed companies — monitoring compliance, investigating misconduct, and recommending accounting/auditing standards. It sits *above* the individual-company safeguards as the systemic watchdog. Where NFRA has jurisdiction, it can itself **debar** an auditor and impose penalties — a state-level analogue of the Sec 140(5) Tribunal power.



- **SA 200 / Code of Ethics:** the *concept* of independence (of mind and appearance) and the five threats — self-interest, self-review, advocacy, familiarity, intimidation — are the **conceptual layer**; Sections 139–148 are the **statutory hard-wiring** of that concept. Sec 144 = self-interest/self-review; Sec 139(2) rotation = familiarity; Sec 140 double-lock = intimidation. (See Figure 1A.)
  - **SA 210 (Terms of Engagement):** the engagement letter operationalises the appointment made under Sec 139.
  - **SA 240 (Fraud):** dovetails with the **Sec 143(12)** duty to report fraud — SA 240 governs *how* the auditor detects and responds to fraud risk; 143(12) governs the *statutory reporting* once fraud is suspected.
  - **SA 260 / SA 265 (Communication with those charged with governance / control deficiencies):** the internal reporting to the Board/Audit Committee under 143(12) (< ₹1 crore) and on IFC weaknesses (143(3)) runs through these standards.
  - **SA 600 (Using the Work of Another Auditor):** governs how the principal auditor deals with the **branch auditor's** report under **Sec 143(8)**.
  - **SA 700/705/706 (Reporting):** the *format and opinion types* of the report whose *contents and signing* are mandated by **Sec 143 and 145**.
  - **CA Act / First Schedule (professional ethics):** the duty to **communicate with the retiring auditor** and the bar on **advertising/soliciting** sit alongside the Companies Act appointment rules — the exam often blends a 139 appointment question with a Clause-8 communication point.
  - **Sec 164(2) (Director disqualification):** the auditor must report on it under Sec 143(3).
  - **Sec 245 (Class action):** the vehicle through which members/depositors enforce the **damages** limb of Sec 147 against an audit firm.
  - **CARO (Companies (Auditor's Report) Order):** a Central-Government order **expanding the matters** on which the auditor must report, layered on top of Sec 143(3).
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## 8. Traps & Examiner Tricks

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- **First auditor's term.** The first auditor holds office **till the conclusion of the first AGM** — *not* for five years, and *not* till the next Board meeting. Students routinely give him a five-year term.
- **Board's 30 days ≠ members' 90 days.** For the first auditor (non-Govt), the **Board** has **30 days**; only on Board failure do the **members** get **90 days** (at an EGM). Do not merge the two.
- **Casual-vacancy appointee's tenure.** He holds office only **till the next AGM** — not a fresh five-year term. A common slip.
- **Rotation counts: individual = 1 term (5 yrs), firm = 2 terms (10 yrs).** Reversing these, or applying rotation to *every* company (it applies only to the **prescribed classes**), is a classic error.
- **Private ≠ exempt from rotation.** A private company can be pulled into the rotation net by its **borrowings/deposits** even if its capital is small. Do not exempt it just because it is private.
- **Annual ratification is GONE.** The proviso requiring members to ratify the appointment at every AGM was **omitted by the 2017 Amendment**. Saying "must be ratified annually" is now wrong (confirm in ICAI material).
- **Casual vacancy by resignation needs members' approval.** A casual vacancy is normally filled by the Board within 30 days — **but if caused by resignation**, members must **approve within 3 months**. The resignation carve-out is the tested point.

- **Removal (140(1)) needs BOTH special resolution AND Central Government approval — and in the right order.** Central Government approval comes **before** the special resolution. Distinguish this from **not re-appointing** a retiring auditor (Sec 140(4)), which needs **special notice** and a **right of representation**, *not* Central Government approval. Mixing these two is the single most common error in this chapter.
- **Qualification vs eligibility.** "Qualified" (141(1)–(2)) = the right type of person/firm; "eligible" (141(3)) = free of entanglements with *this* client. A shares-holding CA is qualified but *ineligible*.
- **Sec 141 thresholds.** Relative may hold securities up to **face value ₹1,00,000**; indebtedness limit **₹5,00,000**; guarantee limit **₹1,00,000**; audit ceiling **20 companies** (with exclusions). Precise figures are examinable — *confirm current values*. The auditor himself has **zero** shareholding tolerance; the ₹1,00,000 cushion is only for a **relative**.
- **Direction of indebtedness.** The disqualification is the auditor being indebted **to** the company; unpaid audit fees (company owing the auditor) is a *different* issue.
- **Audit-ceiling arithmetic.** Net out **OPCs, dormant, small and below-threshold private companies** before concluding a breach — a raw total is a trap (see Scenario F).
- **Disqualification after appointment = automatic vacation of office (141(4)),** treated as a **casual vacancy** — not merely "he should resign." Work done after the disqualifying event is tainted.
- **Prohibited services are absolute for the audit client (and its holding/subsidiary), and follow "directly or indirectly."** "But the fee was small / it was a different department / we billed the sister advisory firm" is no defence — Sec 144 is a bright-line list with anti-structuring reach. But remember 144 is a *closed list* — **tax and company-law services are generally permitted** (verify), so "no non-audit work at all" is also wrong.
- **Fraud reporting threshold and two-step route.**  $\geq ₹1$  crore → **Central Government** (via Board/Audit Committee, then Form ADT-4);  $< ₹1$  crore → **Board/Audit Committee** with disclosure in Board's report. The standard is "**reason to believe**," not proof — waiting for proof breaches the duty. Getting the threshold, recipient, or "proof vs. belief" wrong is common.
- **Only qualifications are read at the AGM (Sec 145)** — not the whole clean report; and only the members may **exempt** the auditor from attending the AGM (Sec 146), not management.
- **Sec 147 tiers.** Fine only for a non-wilful breach; **fine + imprisonment + refund of fee + damages** for a **wilful** breach intended to deceive. Classify the state of mind first.
- **Cost auditor ≠ statutory auditor.** The **statutory (financial) auditor cannot also be the cost auditor** (Sec 148); the cost auditor is a **Cost Accountant (ICMAI)** appointed by the **Board** (fee ratified by members) — the *reverse* emphasis from the statutory auditor.
- **Branch auditor reports to the principal auditor, who "deals with it as necessary" — he is not automatically liable** for the branch auditor's work if he handles the report properly, but he is **not a rubber stamp** either.
- **Only members appoint the subsequent auditor.** Board appointment is confined to the **first auditor** and **casual vacancies** (with the resignation caveat) and the **cost auditor**. Any exam fact where the Board "appoints the statutory auditor at the AGM" is a trap.

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## 9. First-Principles Recap

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Company audit is the shareholders' answer to a problem they cannot solve themselves: the managers who run the company also write the report on the company, and the managers would, if allowed, choose, pay,



protect and (when it suited them) silence the very auditor meant to check them. The audit is worthless unless the auditor is independent — and independence is not something the law can order into the auditor's heart, so it **engineers it into the structure around him**.

Every section of the company-audit regime is one lever of control taken out of management's hands. **Who is appointed** goes to the **members** (Sec 139), with the Board allowed only a temporary stopgap for the first auditor and casual vacancies. **How long he stays** is capped by **rotation** (Sec 139(2)) to break the familiarity that corrodes scepticism over time. **Who may serve** is filtered by a **disqualification list** (Sec 141) that quarantines financial, employment and family entanglements before they can bias a judgement. **How much he's paid** is set by the **members** and disclosed (Sec 142), so fees cannot be a private bribe or punishment. **Whether he can be removed** is guarded by a **double lock — special resolution plus Central Government approval** (Sec 140) — because premature removal is the classic retaliation against honesty, and even a promoter-dominated shareholder vote is not trusted alone. **What he can see and must say** is fixed by statute (Sec 143), giving him a right of access and a report that must answer specific public-interest questions, plus a duty to blow the whistle on fraud. **What else he may sell the client** is fenced by the **prohibited-services list** (Sec 144), cutting off the modern silence-bribe of lucrative consulting and the self-review of auditing his own handiwork. **Whether anyone hears him** is secured by **signing and reading at the AGM** (Sec 145–146). And **whether any of it has teeth** is answered by **punishment** (Sec 147). Around the edges, **cost audit** (Sec 148) polices costs in regulated industries the financial audit was never built to check, and **branch audit** (Sec 143(8)) extends reach without fracturing accountability.

Notice, finally, the two *meta*-moves that recur across every section. The first is **relocation of power** — each lever is moved from the watched to the owners, to a fixed rule, or to a state gatekeeper, with the *height* of the gatekeeper rising with the *danger* of the act (routine hiring → members; deadly removal → Central Government). The second is **forced visibility** — every relocated act must be filed, certified, disclosed or read aloud, because an abuse that must be shown is an abuse less likely to be tried. Independence, in the end, is these two moves applied nine times over.

Read that way, Sections 139–148 are not ten disconnected rules to memorise. They are a **single coordinated defence against auditor capture**, and once you can name the capture each one blocks, you can reconstruct the whole regime from first principles — which is the only way to answer a fact pattern you have never seen before.

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## 10. Quick-Revision Sheet

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### Section-to-purpose map

| Sec                   | Rule (one line)                                                                                                                                                                                                | Capture it blocks                                                     |
|-----------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------|
| <b>139(6)/(7)</b>     | First auditor: Board within 30 days (Govt: C&AG within 60); holds office till 1st AGM                                                                                                                          | Company running without an auditor; temporary pick becoming permanent |
| <b>139(1)</b>         | Members appoint at 1st AGM for 5 yrs (to 6th AGM); ADT-1 in 15 days; <b>no annual ratification</b>                                                                                                             | Board choosing a friendly auditor                                     |
| <b>139(2)</b>         | Rotation (prescribed cos): individual <b>1 term (5 yr)</b> , firm <b>2 terms (10 yr)</b> , 5-yr cooling-off; common-partner & same-network bar                                                                 | Familiarity threat from a lifelong auditor                            |
| <b>139(8)</b>         | Casual vacancy: Board in 30 days (appointee holds till next AGM); <b>if by resignation, members approve in 3 months</b>                                                                                        | Quiet insertion of a replacement after a suspicious exit              |
| <b>140(1)</b>         | Removal before term: <b>Board resolution → ADT-2 to Central Government (30 days) → Central Government approval → special resolution (60 days) → hearing</b>                                                    | Retaliatory sacking of an honest auditor                              |
| <b>140(2)/(3)</b>     | Resignation statement ( <b>ADT-3</b> ) with reasons in 30 days; penalty on <b>auditor</b> for default                                                                                                          | Silent exit hiding a dispute                                          |
| <b>140(4)</b>         | Not re-appointing retiring auditor: <b>special notice + right of representation</b> (no Central Government)                                                                                                    | Sliding in a friendlier auditor without members hearing the incumbent |
| <b>140(5)</b>         | NCLT may remove a <b>fraudulent/colluding</b> auditor; 5-yr debarment + Sec 447                                                                                                                                | A captured, complicit auditor                                         |
| <b>141(1)/(2)</b>     | Only CA / firm with majority CA partners (LLP allowed); only CA partners sign                                                                                                                                  | An unqualified/undisciplined person auditing                          |
| <b>141(3)</b>         | Disqualifications: security/interest (auditor zero, relative ≤ ₹1L), indebtedness > ₹5L, guarantee > ₹1L, business relationship, relative director/KMP, >20 cos, fraud conviction (10 yrs), prohibited service | Financial/family/employment entanglement                              |
| <b>141(4)</b>         | Post-appointment disqualification → <b>automatic vacation</b> → casual vacancy                                                                                                                                 | Continuing an entangled auditor                                       |
| <b>142</b>            | Remuneration fixed by <b>members</b> (Board for first auditor); includes expenses, <b>excludes other-service fees</b>                                                                                          | Bribery via fees / punitive cuts                                      |
| <b>143(1)</b>         | Right of access at all times to books/vouchers, incl. branches & (for consolidation) subsidiaries; require info                                                                                                | Withholding of records                                                |
| <b>143(3)+Rule 11</b> | Report must state true & fair, proper books, AS compliance, IFC, director disqualification, etc.                                                                                                               | A vague, toothless opinion                                            |
| <b>143(12)</b>        | Report fraud: ≥ ₹1 cr → <b>Central Govt (via Board/AC, ADT-4)</b> ; < ₹1 cr → <b>Board/AC</b> + Board's report; "reason to believe"                                                                            | Auditor looking away from management fraud                            |
| <b>144</b>            | No accounting, internal audit, IT-system design, actuarial, investment/mgmt services — directly or indirectly — to client/holding/subsidiary                                                                   | Silence-bribe via non-audit fees; self-review                         |

| Sec           | Rule (one line)                                                                                                                   | Capture it blocks                                |
|---------------|-----------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------|
| <b>145</b>    | Auditor <b>signs</b> ; <b>qualifications</b> read at AGM                                                                          | Anonymous opinion; buried qualifications         |
| <b>146</b>    | Notices sent to auditor; <b>must attend AGM</b> (only members may exempt); right to be heard                                      | Keeping the auditor away from members            |
| <b>147</b>    | Non-wilful → fine; <b>wilful/deceive</b> → <b>fine + jail + refund fee + damages</b> ; joint & several for colluding partners     | No cost for default                              |
| <b>148</b>    | Cost audit by <b>Cost Accountant (ICMAI)</b> , <b>Board-appointed</b> (fee ratified by members); <b>not the statutory auditor</b> | Manipulated cost records in regulated industries |
| <b>143(8)</b> | Branch audit by principal or branch auditor; report flows <b>up</b> to principal (SA 600); single accountability                  | Unaudited branches; fractured accountability     |

**Forms:** ADT-1 (appointment, 15 days) · ADT-2 (removal application to Central Government, 30 days) · ADT-3 (resignation, 30 days) · ADT-4 (fraud  $\geq ₹1$  cr) · CRA-2/CRA-3/CRA-4 (cost audit — *verify*).

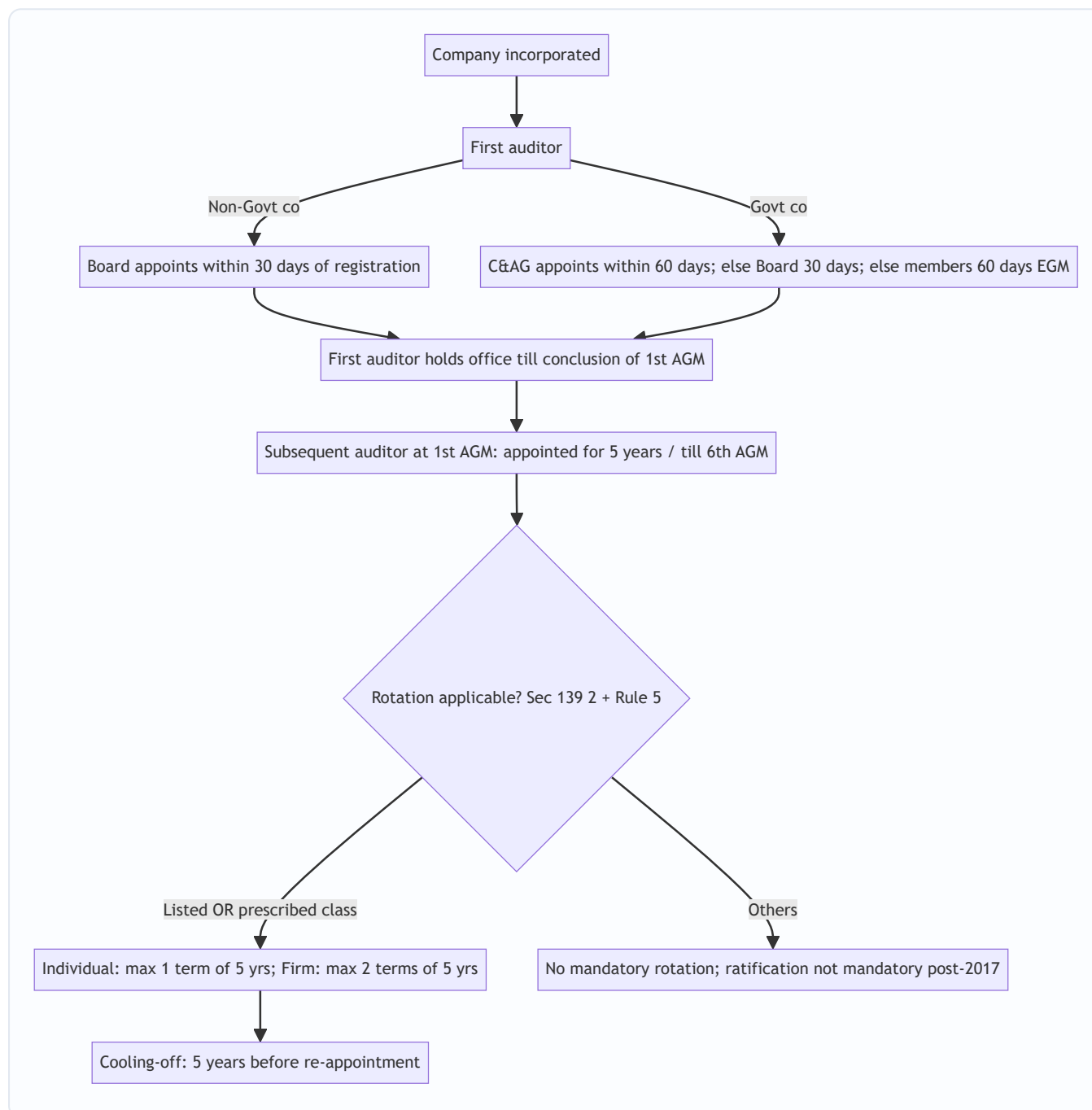
**Key numbers:** First auditor Board **30 days** / members **90 days** / Govt C&AG **60 days**. Term **5 yrs to 6th AGM**. Rotation **5 / 10 yrs**, cooling-off **5 yrs**. Audit ceiling **20 companies** (OPC/dormant/small/below-threshold private excluded). Indebtedness **₹5,00,000**; relative security **₹1,00,000** (auditor himself zero); guarantee **₹1,00,000**. Fraud threshold **₹1 crore**; fraud-report route ~45 days (Board) + ~15 days (ADT-4). Fraud conviction look-back **10 years**. (*Confirm all current figures/thresholds and rotation-class limits in ICAI material.*)

**One-line memory hooks** - *The watched must never control the watchman — that is all of 139 to 148.* - *Members hire and pay; the Board only bridges gaps; the state must bless a removal.* - *Rotation kills familiarity by the calendar, not by willpower.* - *Qualified asks "right type of person"; eligible asks "free of entanglement with this client."* - *Section 141 quarantines the conflict before it can bias; Section 144 cuts the silence-bribe.* - *Mid-term ouster needs the Central Government (140(1)); merely not re-appointing needs only special notice (140(4)).* - *A signature is accountability; reading qualifications at the AGM is refusing to bury the bad news.* - *Relocation of power plus forced visibility — every section is those two moves.* - *No safeguard has teeth without Section 147.*

# Q&A — Company Audit (Companies Act Provisions)

CA Intermediate — Auditing & Ethics. Statutory provisions covered: Companies Act 2013, Sections 139–148 and Section 143 (branch audit under 143(8)); the Companies (Audit and Auditors) Rules, 2014; NFRA Rules 2018. Cross-references: SA 210 (terms of engagement), SA 220/SQC 1 (quality & independence), SA 299 (joint audit), SA 600 (using another auditor's work — branch), CARO 2020, ICAI Code of Ethics.

## Appointment & Rotation Decision Tree



## Section A — Concept-Check Questions (with answers)

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**A1. Who appoints the first auditor of a company (other than a Government company) and within what time?** Under **Section 139(6)**, the Board of Directors shall appoint the first auditor within **30 days** from the date of registration of the company. If the Board fails, it shall inform the members, who shall appoint the first auditor within **90 days** at an extraordinary general meeting. The first auditor holds office till the conclusion of the first AGM.

**A2. How is the first auditor of a Government company appointed?** Under **Section 139(7)**, the Comptroller and Auditor-General of India (C&AG) appoints the first auditor within **60 days** of registration. If C&AG fails, the Board appoints within the next **30 days**; on Board's failure, members appoint within **60 days** at an EGM. (A "Government company" and companies owned/controlled by government are covered.)

**A3. For how long is a subsequent auditor appointed and what is the ratification position?** Under **Section 139(1)**, every company at its first AGM appoints an auditor to hold office from that AGM till the conclusion of its **sixth AGM** (i.e., 5 years), subject to the auditor's continuing eligibility. The requirement of annual **ratification** by members was **omitted** by the Companies (Amendment) Act, 2017; ratification is no longer mandatory.

**A4. To whom must the auditor consent/certificate be given before appointment, and what does it certify?** Per **Section 139(1) read with Rule 4**, the company must obtain the auditor's **written consent** and a **certificate** stating that the appointment, if made, will be in accordance with the conditions prescribed, that the individual/firm is **eligible** and not disqualified under **Sections 141**, 139 and 144, that the proposed appointment is within the term/rotation limits, and that no pending proceedings against the firm are undisclosed.

**A5. State the rotation rule under Section 139(2).** For **listed companies and prescribed classes** (Rule 5 — unlisted public with paid-up capital  $\geq$  ₹10 crore; private with paid-up  $\geq$  ₹50 crore; or companies with public borrowings/deposits  $\geq$  ₹50 crore), an **individual auditor** cannot serve more than **one term of 5 consecutive years**, and an **audit firm** cannot serve more than **two terms of 5 consecutive years**. A **cooling-off period of 5 years** applies before re-appointment.

**A6. What is the filing requirement after appointment of an auditor?** Under **Section 139(1) read with Rule 4**, the company shall file a notice of appointment with the Registrar in **Form ADT-1** within **15 days** of the meeting in which the auditor is appointed.

**A7. List any five disqualifications of an auditor under Section 141(3).** (a) A body corporate other than an LLP; (b) an officer or employee of the company; (c) a partner/employee of an officer or employee; (d) a person (or his relative/partner) holding **any security or interest** in the company (relative may hold face value up to **₹1,00,000**), or indebted for more than **₹5,00,000**, or having given guarantee/security for third-party indebtedness exceeding **₹1,00,000**; (e) a person whose relative is a director or KMP; (f) a person in full-time employment elsewhere or a person/partner holding audit of **more than 20 companies** (the ceiling under 141(3)(g)).

**A8. What is the ceiling on number of audits and how is it computed (Sec 141(3)(g))?** A person cannot be auditor of **more than twenty companies** (per partner in case of a firm). Excluded from the count: one person companies, dormant companies, small companies, and private companies having paid-up share capital **less than ₹100 crore** (per the proviso/Rule). The limit of 20 is computed per partner who is not in full-time employment elsewhere.

**A9. If a disqualification under Section 141 arises after appointment, what is the consequence?** Under **Section 141(4)**, if any of the disqualifications in Section 141(3) is incurred **after appointment**, the auditor shall be deemed to have **vacated office**, and such vacation is treated as a **casual vacancy** (to be filled under Section 139(8)).

**A10. How is a casual vacancy filled?** Under **Section 139(8)**: (i) in a **non-Government** company, by the **Board within 30 days**; if the vacancy arose due to **resignation**, the appointment must also be **approved by members at a general meeting** within 3 months of the Board's recommendation; (ii) in a **Government** company, by the **C&AG within 30 days**, failing which the Board fills it within the next 30 days. The auditor so appointed holds office till conclusion of the next AGM.

**A11. State the procedure and timeline for an auditor's resignation.** Under **Section 140(2) read with Rule 8**, a resigning auditor must file a statement in **Form ADT-3** with the company and the Registrar (and with C&AG in a Government company) within **30 days** of resignation, indicating reasons and relevant facts. Non-compliance attracts penalty under **Section 140(3)**.

**A12. How can an auditor be removed before the expiry of term?** Under **Section 140(1)**, removal before expiry requires a **special resolution** of the company **and prior approval of the Central Government** (application in **Form ADT-2** within 30 days of Board resolution; special resolution within 60 days of CG approval). The auditor must be given a **reasonable opportunity of being heard**.

**A13. What is the auditor's right regarding access to records and remuneration fixation?** Under **Section 143(1)**, the auditor has a **right of access at all times to the books, accounts and vouchers** of the company (whether kept at the registered office or elsewhere) and is entitled to require information and explanations. Under **Section 142**, remuneration is **fixed by the members** (or in a manner determined at the general meeting); the Board fixes remuneration of the first auditor.

**A14. What are the auditor's duties on fraud reporting under Section 143(12)?** If an auditor, in the course of performance of duties, has **reason to believe** that an offence of **fraud** involving an amount of **₹1 crore or more** is being/has been committed against the company by officers or employees, the auditor shall report to the **Central Government** (via the Board/Audit Committee within specified days, then **Form ADT-4** to CG within 15 days). Frauds **below ₹1 crore** are reported to the **Board/Audit Committee** and disclosed in the Board's Report (Rule 13).

**A15. What non-audit services are prohibited under Section 144?** An auditor shall not render, directly or indirectly, to the company/holding/subsidiary: accounting and book-keeping; internal audit; design and implementation of financial information systems; actuarial services; investment advisory and investment banking; rendering of outsourced financial services; management services; and any other prescribed service. This safeguards **independence**.

**A16. Which section governs the constitution and functions of NFRA, and which section deals with the Auditing Standards?** **Section 132** constitutes the **National Financial Reporting Authority (NFRA)** to monitor and enforce compliance with accounting and auditing standards and to oversee auditors of prescribed (largely listed/large public interest) entities. **Section 143(9)/(10)** requires the auditor to comply with the **Standards on Auditing (SAs)**; until CG prescribes them, ICAI's standards deem to be the standards.

**A17. What is the branch audit provision under Section 143(8)?** Where a company has a **branch office**, its accounts shall be audited either by the **company's auditor** or by **another person qualified** to be appointed as auditor (a "branch auditor") appointed under Section 139. For a **foreign branch**, audit may be done by the company's auditor or a person **duly qualified under the laws of that country**. The **branch auditor**

**prepares a report** and sends it to the company's (principal) auditor, who deals with it in the main audit report as considered necessary.

**A18. How does the principal auditor use the branch auditor's work?** The principal auditor uses the branch report per **SA 600 (Using the Work of Another Auditor)** — the principal auditor remains responsible for the opinion on the company as a whole, considers the materiality of the branch, may visit the branch, and reviews the branch auditor's work but does **not re-audit** the branch. The branch auditor is responsible for compliance with SAs at the branch.

**A19. What is a joint audit and which SA governs it?** A **joint audit** is where two or more auditors are jointly appointed to audit the same entity. **SA 299 (Revised) — Responsibility of Joint Auditors** governs the **division of work** by mutual discussion (documented), the **coordination**, and liability. Each joint auditor is responsible for the area **allocated to and audited by them**; all are **jointly and severally** responsible for matters decided in common, for undivided work, for compliance with statutory requirements on presentation, and for ensuring the audit is conducted per SAs.

**A20. What are the "additional" reporting requirements over and above SA 700 in a company audit?** The auditor reports under **Section 143(3)** (e.g., whether accounts give true and fair view; whether proper books kept; branch reports received; internal financial controls adequacy under 143(3)(i); observations having adverse effect; whether the company has adequate/complied with laws) and separately reports under **CARO 2020** (the Companies (Auditor's Report) Order, 2020) for covered companies. Section **143(3)(f)/(h)** deal with qualifications/observations.

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## Section B — Applied Scenario Questions (situation → audit response)

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**B1. Situation.** XYZ Ltd's Board did not appoint the first auditor within 30 days of incorporation. Three months later, the Board purports to appoint one. Is this valid? **Response.** Invalid. Under **Section 139(6)**, on the Board's failure within 30 days, the **power shifts to the members**, who must appoint the first auditor within 90 days at an EGM. The Board loses its authority once the 30-day window lapses; a belated Board appointment has no legal effect. The correct action is for the members to appoint at an EGM. The company should convene the EGM without further delay.

**B2. Situation.** An audit firm has completed two terms of 5 years each as auditor of a listed company. The company wishes to re-appoint the same firm because the audit was satisfactory. Advise. **Response.** Not permissible. Under **Section 139(2)**, an audit **firm** in a listed/prescribed company cannot be appointed for more than **two consecutive terms of 5 years**. A **cooling-off period of 5 years** must elapse before re-appointment of the same firm. Further, an outgoing firm cannot circumvent this by re-appointing a firm having **common partners** (the associated/network firm rule). The company must appoint a different firm.

**B3. Situation.** During the audit of PQR Ltd (a non-Government company), the auditor resigns citing disagreement with management. The Board appoints a replacement within 30 days but does not place it before the members. Comment. **Response.** The Board's appointment within 30 days is correct under **Section 139(8)** for a casual vacancy. However, because the vacancy arose from **resignation**, the Board's appointment is only valid if **approved by the members at a general meeting within 3 months** of the Board's recommendation. Failing member approval, the appointment is incomplete. Separately, the resigning auditor must have filed **Form ADT-3** within 30 days under **Section 140(2)**.

**B4. Situation.** The auditor of ABC Ltd holds equity shares of face value ₹80,000 in a subsidiary of ABC Ltd. Management argues it is a subsidiary, not the company being audited. Is the auditor disqualified? **Response.**



Disqualified. **Section 141(3)(d)(i)** extends the security/interest bar to the company, its **subsidiary, holding, associate company or a subsidiary of the holding company**. Even a security in the subsidiary triggers disqualification (the relative-holding relaxation of ₹1,00,000 applies only to a **relative** holding, not the auditor himself). The auditor must **dispose of the interest or decline**; if incurred post-appointment, office is deemed vacated under **Section 141(4)**.

**B5. Situation.** The company auditor, while auditing, forms a reasonable belief that the CFO has committed a fraud of ₹3 crore against the company. Management asks the auditor to keep it internal and adjust the accounts. What must the auditor do? **Response.** Since the amount is **₹1 crore or more**, the auditor **must report to the Central Government** under **Section 143(12) read with Rule 13**: first report to the **Board/Audit Committee** seeking reply within 45 days, then forward the report with the reply (or note absence of reply) to the CG in **Form ADT-4** within **15 days**. The duty is statutory and cannot be waived by management. The auditor also considers the impact on the audit opinion (SA 240) and cannot merely "adjust" the accounts. Failure to report attracts penalty under **Section 143(15)**.

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## Section C — Descriptive (Past-Paper Style) Questions with Model Answers

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**C1. "The provisions of the Companies Act, 2013 relating to appointment and rotation of auditors are designed to protect auditor independence." Explain the rotation and cooling-off provisions under Section 139(2). (5 marks)**

**Model Answer.** Section 139(2) mandates rotation for **listed companies and companies of a prescribed class** (Rule 5 of the Companies (Audit and Auditors) Rules, 2014 — unlisted public companies with paid-up capital ≥ ₹10 crore, private companies with paid-up capital ≥ ₹50 crore, and companies with public borrowings from banks/financial institutions/public deposits ≥ ₹50 crore). For such companies: an **individual** auditor may be appointed for **not more than one term of five consecutive years**; an **audit firm** for **not more than two terms of five consecutive years**. A **cooling-off period of five years** applies — an individual/firm that has completed its term(s) is **not eligible for re-appointment** in the same company for 5 years. To prevent circumvention, an audit firm having **common partner(s)** with an outgoing firm is also barred during the cooling-off period. Companies are given a transition period to comply. Members may, by resolution, provide for rotation of the **audit partner and team** at more frequent intervals. These provisions engineer independence by **structurally limiting** long, capture-prone auditor–client relationships (public-interest rationale under Section 132/NFRA oversight).

**C2. Discuss the manner of appointment and reporting responsibility of a Branch Auditor under Section 143(8) of the Companies Act, 2013, and the interaction with SA 600. (5 marks)**

**Model Answer.** Under **Section 143(8)**, where a company has a **branch office**, the accounts of that branch shall be audited by (a) the **company's (principal) auditor**, or (b) **another person qualified for appointment as auditor** of the company under Section 139 (the "branch auditor"), appointed under Section 139. For a **branch outside India**, the accounts may be audited either by the company's auditor or by an **accountant duly qualified under the laws of the foreign country**. The **branch auditor** conducts the audit in accordance with the SAs, prepares a **report on the branch accounts**, and forwards it to the **principal auditor**, who deals with it in his report **in such manner as he considers necessary**. Remuneration of the branch auditor is fixed by the company in general meeting or as delegated. The interaction is governed by **SA 600 (Using the Work of Another Auditor)**: the principal auditor remains **responsible for the opinion on the financial statements as a whole**, evaluates the **materiality** of the branch, may issue instructions to

and review the work of the branch auditor, and considers whether the branch auditor's work is adequate — but does **not re-perform** the branch audit. The branch auditor is responsible for compliance at the branch level. Together this preserves a **single, accountable opinion** while allowing distributed audit work.

**C3. Explain the disqualifications of an auditor relating to indebtedness, security/interest, and business relationship under Section 141(3), and the effect of Section 141(4). (6 marks)**

**Model Answer.** Section 141(3) lists persons **not eligible** for appointment as auditor. Key financial-independence disqualifications: - **Security or interest [141(3)(d)(i)]** — a person, or his partner or relative, holding **any security or interest** in the company or its holding/subsidiary/associate/co-subsubsidiary. Relaxation: a **relative** may hold securities of face value **not exceeding ₹1,00,000**. - **Indebtedness [141(3)(d)(ii)]** — a person/partner/relative **indebted** to the company (or its holding/subsidiary/associate) for an amount **exceeding ₹5,00,000**. - **Guarantee/Security [141(3)(d)(iii)]** — having given a **guarantee or provided security** in connection with the indebtedness of a third person to the company for an amount **exceeding ₹1,00,000**. - **Business relationship [141(3)(e)]** — a person or firm having, directly or indirectly, a **business relationship** with the company (as prescribed, excluding professional services permitted). - Also: officer/employee of the company [141(3)(b)]; partner/employee of an officer/employee [141(3)(c)]; a person whose relative is a **director or KMP** [141(3)(f)]; person holding **more than 20 company audits** [141(3)(g)]; person convicted of fraud in the last 10 years [141(3)(h)]; a body corporate other than LLP [141(3)(a)]. **Effect of Section 141(4):** if any disqualification is **incurred after appointment**, the auditor is deemed to have **vacated office**, treated as a casual vacancy under Section 139(8). Thus independence is monitored on a **continuing** basis, not merely at appointment.

**C4. Describe the auditor's duty to report fraud under Section 143(12) and the thresholds and forms involved. (5 marks)**

**Model Answer.** Under **Section 143(12)**, if in the course of performing his duties the auditor has **reason to believe** that an offence of **fraud** involving the company by its **officers or employees** is being or has been committed, he must report it. **Threshold and route (Rule 13):** - **Fraud ≥ ₹1 crore:** report to the **Board/Audit Committee** within 2 days of knowledge seeking their reply within **45 days**; then forward the report, the reply, and his comments to the **Central Government** in **Form ADT-4** within **15 days** of receipt of the reply (or, if no reply, within 15 days of expiry of 45 days). - **Fraud < ₹1 crore:** report to the **Board or Audit Committee** (not CG), specifying nature, amount, and parties; such frauds are **disclosed in the Board's Report**. Reporting made in **good faith** is not a breach of confidentiality (Section 143(13)). Applies also to cost auditors, secretarial auditors, and branch auditors. **Non-compliance** attracts a **penalty** under Section 143(15). This duty complements — but does not replace — the auditor's responsibilities on fraud under **SA 240**.

**C5. Write short notes on: (a) filing forms in a company audit; (b) removal of auditor under Section 140(1). (5 marks)**

**Model Answer. (a) Forms in a company audit:** | Form | Purpose | Timeline | |-----|-----|-----| | **ADT-1** | Notice to Registrar of auditor appointment (Sec 139) | Within **15 days** of appointment | | **ADT-2** | Application to Central Government for approval to remove auditor (Sec 140(1)) | Within **30 days** of Board resolution | | **ADT-3** | Notice of **resignation** by auditor (Sec 140(2)) | Within **30 days** of resignation | | **ADT-4** | Report of **fraud ≥ ₹1 crore** to Central Government (Sec 143(12)) | Within **15 days** of receiving Board/AC reply |

**(b) Removal under Section 140(1):** An auditor may be removed **before expiry of term** only by a **special resolution** and after obtaining **prior approval of the Central Government**. Procedure: pass a **Board**

**resolution**, file **Form ADT-2** with the CG within **30 days**; on CG approval, hold a general meeting and pass the **special resolution within 60 days** of receiving approval. The auditor must be given a **reasonable opportunity of being heard**. This layered safeguard prevents management from removing an inconvenient (independent) auditor at will.

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## Section D — MCQs / Case Scenarios (correct option + reasoning)

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- D1.** The first auditor of a non-Government company is appointed by the Board within: (a) 15 days (b) **30 days** (c) 60 days (d) 90 days **Answer: (b).** Section 139(6) — Board appoints within 30 days of registration; else members within 90 days.
- D2.** An audit firm in a listed company can hold office for a maximum of: (a) one term of 5 years (b) **two terms of 5 years** (c) three terms of 3 years (d) unlimited **Answer: (b).** Section 139(2) — firm: two consecutive terms of 5 years, then 5-year cooling-off.
- D3.** Form ADT-3 is filed for: (a) appointment (b) **resignation** (c) removal (d) fraud reporting **Answer: (b).** Section 140(2) read with Rule 8 — resignation statement in ADT-3 within 30 days.
- D4.** Fraud reported to the Central Government in Form ADT-4 relates to an amount of: (a) any amount (b) ₹50 lakh or more (c) **₹1 crore or more** (d) ₹5 crore or more **Answer: (c).** Section 143(12) read with Rule 13 — CG reporting threshold is ₹1 crore.
- D5.** The maximum face value of securities a **relative** of the auditor may hold in the company without triggering disqualification is: (a) ₹50,000 (b) **₹1,00,000** (c) ₹5,00,000 (d) Nil **Answer: (b).** Section 141(3)(d)(i) proviso — relative may hold securities up to ₹1,00,000 face value.
- D6.** Removal of an auditor before expiry of term requires: (a) ordinary resolution only (b) Board resolution only (c) **special resolution + prior Central Government approval** (d) NCLT order **Answer: (c).** Section 140(1) — special resolution plus prior CG approval (ADT-2), with opportunity of being heard.
- D7. Case Scenario.** LMN Ltd (listed) has a domestic branch contributing 40% of turnover. The company's principal auditor did not visit the branch but relied on the branch auditor's clean report and issued a clean opinion on the whole company. The branch report was later found to conceal a material misstatement. Who is responsible for the company-level opinion? (a) Only the branch auditor (b) **The principal auditor for the company-level opinion; branch auditor for the branch report** (c) Neither (d) The Audit Committee **Answer: (b).** Under Section 143(8) and SA 600, the principal auditor remains responsible for the **opinion on the FS as a whole** and must evaluate the branch's **materiality** and the adequacy of the branch auditor's work; a 40% branch is significant, so mere reliance without review may be inadequate. The branch auditor is responsible for the **branch report**.
- D8. Case Scenario.** A Chartered Accountant is already the auditor of 19 companies (excluding small/OPC/dormant and private companies below the paid-up threshold). She is offered two more public company audits. Can she accept both? (a) Yes, both (b) **No — she can accept only one; the ceiling is 20** (c) Yes, ceiling does not apply (d) No — she cannot accept any **Answer: (b).** Section 141(3)(g) — a person cannot be auditor of more than **20 companies** (per partner). With 19 counted audits she has room for only one more; the second would breach the ceiling.
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## Quick-Revision Sheet

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- **First auditor:** Non-Govt — Board 30 days (else members 90 days EGM); Govt — C&AG 60 days [Sec 139(6)/(7)].
- **Subsequent auditor:** 1st AGM, 5-year term till 6th AGM; **ratification abolished** [Sec 139(1)].
- **Rotation (listed/prescribed):** individual 1×5 yrs; firm 2×5 yrs; **cooling-off 5 yrs** [Sec 139(2), Rule 5].
- **Casual vacancy:** Board 30 days (resignation → member approval in 3 months); Govt → C&AG 30 days [Sec 139(8)].
- **Removal before term:** special resolution + **prior CG approval**, ADT-2, opportunity to be heard [Sec 140(1)].
- **Resignation:** ADT-3 within 30 days [Sec 140(2)].
- **Remuneration:** fixed by members; first auditor by Board [Sec 142].
- **Disqualifications:** body corporate (not LLP), officer/employee, security/interest, indebted > ₹5L, guarantee > ₹1L, relative director/KMP, >**20 audits**, convicted of fraud (10 yrs) [Sec 141(3)]; post-appointment DQ → deemed vacation [Sec 141(4)].
- **Powers/duties:** access at all times; report u/s 143(3); comply with **SAs** [Sec 143(1),(3),(9)/(10)].
- **Fraud reporting:** ≥ ₹1 crore → CG via **ADT-4** (Board/AC reply 45 days, ADT-4 in 15 days); < ₹1 crore → Board/AC + Board's Report [Sec 143(12), Rule 13].
- **Prohibited services:** accounting, internal audit, actuarial, investment advisory/banking, management services, etc. [Sec 144].
- **Branch audit:** company's auditor or qualified branch auditor; foreign branch — locally qualified; report to principal auditor; **SA 600** [Sec 143(8)].
- **Joint audit:** SA 299 — divided work individual responsibility; common matters jointly & severally.
- **Forms:** ADT-1 (appointment, 15 days) · ADT-2 (removal approval) · ADT-3 (resignation, 30 days) · ADT-4 (fraud ≥ ₹1 cr).
- **Connections:** NFRA [Sec 132] oversight of large/listed audits; CARO 2020 additional reporting; ICAI Code of Ethics on independence; IFC reporting [Sec 143(3)(i)].
- **Examiner traps:** ratification no longer needed; belated Board appointment invalid once window lapses; subsidiary/holding interest also disqualifies; cooling-off catches common-partner firms; foreign-branch auditor need not be an Indian CA; fraud < ₹1 cr does NOT go to CG.

# Chapter 09 — Audit Report & Opinions

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## 1. The Problem

Rewind to the very first idea of this whole subject. A company is run by managers (directors) who prepare the financial statements. The people who *own* the company (shareholders) and the people who *fund* it (banks, creditors) are not in the room when those statements are made. They cannot see the ledgers, cannot test the cash, cannot walk the warehouse. There is an **information asymmetry**: management knows the truth, the users only know what management chooses to tell them. And management has incentives to flatter the numbers — bigger profit means bigger bonus, higher share price, easier loans.

So a third party — the auditor — is hired to check the statements and vouch for them. Fine. But here is the sharp problem this chapter exists to solve:

**The auditor does all the work invisibly. He tests, samples, confirms, recalculates, evaluates — for months. But the user never sees a single working paper. The ONLY thing the user ever receives is one document. If that one document fails to communicate what the auditor actually found, the entire audit was pointless.**

The audit report is the sole channel through which months of assurance work reaches the person who needs it. It is the *delivery pipe*. And a delivery pipe has failure modes of its own:

- **The pipe could be vague.** If every auditor wrote the report in his own style — "the accounts seem fine to me" — no user could compare two companies, and no user would know what "fine" actually promised. Ambiguity re-creates the very information problem the audit was meant to kill.
- **The pipe could over-promise.** A casual reader thinks the auditor *certifies* the accounts are 100% correct, that the company is financially healthy, that no fraud exists anywhere. If the report doesn't police these expectations, the auditor gets blamed for things he never claimed — the **expectation gap**.
- **The pipe could hide bad news.** If the auditor found a problem but the report format let him bury it, the report becomes a rubber stamp and trust collapses.
- **The pipe could be all-or-nothing.** Real audits are messy. Often *most* of the accounts are reliable but *one area* is wrong or un-checkable. A crude "pass/fail" report throws away good information — it either whitewashes the one problem or condemns the whole set.

Every rule you are about to learn — SA 700, 705, 706, 701, CARO, the IFC report — is an engineered answer to one of these failure modes of the delivery pipe.

**Two failure modes worth naming precisely, because the exam leans on them.** First, the **expectation gap** has two sub-species: the *knowledge gap* (users don't understand what an audit actually promises — they think "true and fair" means "arithmetically perfect and fraud-free") and the *performance gap* (the auditor didn't do what standards required). The report can only attack the knowledge gap — through the Responsibilities and Auditor's Responsibilities sections that spell out the limits — it cannot cure the performance gap. Second, the **"report is a snapshot" problem**: the opinion speaks *as at* the balance-sheet date and *as of* the report date, on evidence available then. It is not a rolling guarantee. This is why the report's *date* is load-bearing and why *subsequent events* (SA 560) can force the auditor to revisit a report he has already dated but not yet issued. Keep these framings in your head; they convert a dozen scattered rules into three or four root causes.

## 2. The Core Idea

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The audit report is a **standardised, structured communication of a conclusion**, engineered so that:

1. **It says one precise thing** — an *opinion* on whether the financial statements give a **true and fair view** in accordance with the applicable financial reporting framework. Not a certificate, not a guarantee — an **opinion**, professionally formed on **reasonable (not absolute) assurance**.
2. **Its wording is largely fixed** so that any user, anywhere, reading any company's report, can decode it instantly and compare across companies. Standardisation is what makes the signal legible.
3. **It has a graded vocabulary of "bad news."** Instead of pass/fail, the auditor has a *dial*: clean → qualified → adverse/disclaimer. The exact position on the dial is chosen by a rigorous logic (materiality × pervasiveness) so the report tells the user not just *that* something is wrong but *how much of the statements you can still rely on*.
4. **It carries side-channels** — Emphasis of Matter, Other Matter, Key Audit Matters — to flag things the user should notice *without* changing the opinion.
5. **It polices its own boundaries** — explicit sections on management's responsibility vs the auditor's responsibility — to shrink the expectation gap.

The mental model: the opinion is a **traffic signal with a diagnostic printout attached**. The colour (opinion type) tells you go/caution/stop; the printout (basis, EOM, KAM, CARO) tells you *why* and *where*.

**A second mental model that unlocks the modification logic: two independent switches, not one dial.**

Beginners imagine a single slider from "clean" to "disclaimer." That is wrong and it costs marks. There are *two* switches. Switch A asks **what kind of trouble** — is it a *disagreement* (I have evidence, and the numbers are wrong) or an *inability* (I lack evidence, and I don't know if they're wrong)? Switch B asks **how far the trouble spreads** — *isolated* or *pervasive*? The opinion is the *coordinate* where the two switches meet, not a point on one line. Adverse and disclaimer are not "more severe versions of the same thing"; they live in different columns because they answer switch A differently. Hold the 2×2 grid, never a 1×4 ladder.

**Fair-presentation vs compliance frameworks — a distinction the revised standards bake in.** In India, company financial statements use a **fair-presentation framework** (Companies Act + AS/Ind AS), where the auditor opines that the statements "*give a true and fair view.*" A **compliance framework** (rare for companies, seen in some special-purpose statements) only requires the statements to be *prepared in accordance with* the framework — there the auditor says they are "*prepared, in all material respects, in accordance with*" the framework and drops the "true and fair" language. The exam mostly tests fair presentation, but if a question hands you a special-purpose statement prepared purely for a regulator's compliance rules, the opinion wording shifts — that shift is itself a testable point (see SA 800 in Connections).

## 3. Why It's Built This Way

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Ask *why standardise*? Because the value of a signal is inversely related to its ambiguity. A bank lending to 500 companies must read 500 reports. If each is bespoke prose, the bank must forensically interpret each one. If all 500 share the same skeleton — same headings, same opinion sentence structure — the bank reads only the *deviations*. Standardisation converts reading into **exception-spotting**. That is why SA 700 fixes the elements and even the order.

Ask *why an opinion and not a certificate*? Because certainty is impossible and promising it would be a lie. Auditors sample (they can't check every transaction — see the concept of testing and materiality), they rely



on estimates made by management about the future, and they work within time and cost limits. To reflect this honestly the profession settled on **reasonable assurance** — high, but not absolute — expressed as an **opinion**. Building the report around the word "opinion" is itself an anti-expectation-gap device. A *certificate* asserts an absolute fact ("this cash of ₹X exists"); an *opinion* asserts a professional judgment ("in our opinion the accounts are true and fair"). The auditor *certifies* only where he has verified an exact fact and *opines* on the statements as a whole. Examiners exploit the loose everyday use of "certify" — the audit *report* is an opinion, never a certificate.

Ask *why a graded scale of modifications?* Because information is valuable and shouldn't be discarded. Imagine a company whose accounts are impeccable except that inventory in one small branch couldn't be verified. A binary system forces the auditor either to pass it (hiding the gap) or fail it (destroying confidence in perfectly good accounts). Neither serves the user. So SA 705 invents a **middle setting** — the qualified opinion, meaning "everything is fine *except* this one thing." The scale exists to preserve as much good information as possible while quarantining the bad.

Ask *why separate EOM/KAM from the opinion?* Because "look at this" and "this is wrong" are different messages and must not be confused. Sometimes the auditor wants to *direct attention* to a correctly-disclosed but important matter (a major lawsuit, going-concern note) without saying the accounts are misstated. Bundling that into the opinion would wrongly signal a problem. So SA 706 (EOM/OM) and SA 701 (KAM) create attention-channels that are structurally *walled off* from the opinion.

Ask *why CARO and the IFC report bolted on?* Because Indian regulators wanted the auditor to also report on *specific* risk-prone matters (loans, statutory dues, fraud, related parties) and on whether the company's **internal financial controls** actually work — things the true-and-fair opinion alone wouldn't surface. These are India-specific extensions of the delivery pipe.

Ask *why put the Opinion first and the Basis right after it?* This is a genuine 2018-era design decision worth understanding, not memorising. Older reports buried the opinion at the bottom after a long "scope" paragraph, so a hurried reader met the caveats before the conclusion. Reversing the order — **conclusion first, justification second** — mirrors how a good news dispatch works: headline, then supporting detail. It also forces the *Basis for Opinion* to explicitly assert independence and evidence sufficiency right beside the opinion, so the reader cannot take the opinion without immediately seeing the ground it stands on. Structure encodes emphasis.

Ask *why must materiality drive all of this rather than a fixed rupee limit?* Because "material" is defined by the *user's decision*, not by the auditor's convenience. A ₹40 lakh error is trivial for Reliance and catastrophic for a small NBFC. Tying the threshold to "*could reasonably influence the economic decisions of users*" keeps the standard scale-free — the same principle works for a ₹10 crore company and a ₹10,000 crore one. Pervasiveness then adds a *spread* dimension on top of *size*, because a small-but-everywhere problem (wrong framework) can be more damaging than a large-but-contained one.

## 4. Full Technical Content

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### 4.1 Forming the Opinion — SA 700 (Revised)

**Risk it counters:** the auditor might sign an opinion without having a coherent basis, or might communicate it in a form the user can't decode.

**Standard:** SA 700 (Revised), "*Forming an Opinion and Reporting on Financial Statements*." It governs the **unmodified** (clean) opinion and the *architecture* of every report.



**How the opinion is formed.** Before writing anything, the auditor must **conclude whether he has obtained reasonable assurance** that the financial statements as a whole are free from material misstatement (whether due to fraud or error). To reach that conclusion he evaluates:

- Whether **sufficient appropriate audit evidence** was obtained (per SA 330 on responses to risk and SA 500 on evidence).
- Whether **uncorrected misstatements** are material, individually or in aggregate (per SA 450).
- Qualitatively, whether the financial statements **achieve fair presentation**, including:
  - the selected accounting policies are appropriate and consistently applied;
  - accounting estimates made by management are reasonable;
  - information is **relevant, reliable, comparable, understandable**;
  - disclosures are adequate for users to understand material transactions;
  - the terminology used is appropriate; and
- the statements **adequately refer to or describe the applicable financial reporting framework** (in India, the Companies Act 2013 read with the applicable Accounting Standards / Ind AS).

Only if all this holds does the auditor express an **unmodified opinion**, using the phrase that the financial statements "*give a true and fair view ... in accordance with*" the framework (for a fair-presentation framework). If any of it fails, the opinion must be **modified** under SA 705.

**Why "the financial statements as a whole."** The phrase is deliberate. The auditor does not opine line-by-line; he forms a *holistic* judgment. This is why a single isolated error doesn't automatically sink the opinion — it is weighed against the whole. It is also why *pervasiveness* is framed as an effect on "the statements as a whole." Keep the unit of analysis in mind: the opinion is on the *set*, modified only to the extent a problem infects it.

**Elements of the auditor's report (SA 700) — in the required order:**

| #  | Element                                                                                                                       | What it does / risk it addresses                                                                                                                                                                                            |
|----|-------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1  | <b>Title</b>                                                                                                                  | "Independent Auditor's Report" — the word <i>Independent</i> asserts the auditor is not management's mouthpiece.                                                                                                            |
| 2  | <b>Addressee</b>                                                                                                              | Normally "To the Members of XYZ Ltd" — fixes <i>who</i> the report is for (the owners, not management).                                                                                                                     |
| 3  | <b>Opinion</b> paragraph (placed FIRST)                                                                                       | Identifies the entity, the statements audited, and states the opinion. Put first so the conclusion isn't buried.                                                                                                            |
| 4  | <b>Basis for Opinion</b>                                                                                                      | States the audit was conducted per SAs, that the auditor is <b>independent</b> under the ICAI Code + Act, and that evidence obtained is sufficient and appropriate. In a modified report this section explains <i>why</i> . |
| 5  | <b>Material Uncertainty Related to Going Concern</b> (if applicable)                                                          | Per SA 570 — flags doubt about the entity continuing as a going concern.                                                                                                                                                    |
| 6  | <b>Key Audit Matters</b> (SA 701)                                                                                             | Mandatory for listed entities; those matters of most significance in the current audit.                                                                                                                                     |
| 7  | <b>Responsibilities of Management / TCWG</b>                                                                                  | Spells out that <i>management</i> is responsible for preparing true-and-fair statements, for internal control, and for assessing going concern. Directly attacks the expectation gap.                                       |
| 8  | <b>Auditor's Responsibilities</b>                                                                                             | Explains reasonable (not absolute) assurance, materiality, professional judgment and scepticism, that fraud may not be detected, going-concern evaluation, etc.                                                             |
| 9  | <b>Other Reporting Responsibilities</b>                                                                                       | e.g. the CARO report and the Companies Act 143(3) matters.                                                                                                                                                                  |
| 10 | <b>Signature</b> — name of the engagement partner, membership number, <b>firm registration number (FRN)</b> , and <b>UDIN</b> | Personal accountability.                                                                                                                                                                                                    |
| 11 | <b>Place and Date</b> of the report                                                                                           | The date cannot be <i>before</i> the auditor obtained sufficient appropriate evidence, including approval of the statements by the board.                                                                                   |

The order (opinion first, then basis) was a deliberate 2018-era redesign so users see the conclusion immediately.

**What the Opinion paragraph must actually name.** It is not enough to say "we give a true and fair view." SA 700 requires the paragraph to (a) **identify the entity** whose statements were audited; (b) state that the statements **have been audited**; (c) **identify the title of each statement** comprising the financial statements (balance sheet, statement of P&L including OCI where applicable, cash flow statement, statement of changes in equity); (d) **refer to the notes** including the summary of significant accounting policies; and (e) **specify the date or period** each statement covers. Examiners sometimes give a badly drafted opinion paragraph and ask "what is missing?" — the answer is usually one of these five identifiers, or the reference to the framework.

**Signing and multiplicity of framework references.** Where the statements are prepared under a framework *and* the auditor also reports on compliance with law, the Opinion refers to the framework and the *Other*

*Reporting Responsibilities* section (element 9) carries the legal/CARO reporting. Do not merge them; SA 700 keeps the true-and-fair opinion visually separate from statutory-checklist reporting so users don't confuse a CARO remark with a modification of the opinion.

**The report date — deeper than it looks.** The date is the auditor's assertion that he has considered the effect of events up to that date on the statements and the opinion (link to SA 560, subsequent events). Three ordering constraints must all hold: the date is **not earlier than** (i) the date sufficient appropriate evidence was obtained, (ii) the date the financial statements (including notes) were **prepared**, and (iii) the date those with recognised authority (the **Board**) have **asserted they take responsibility** for them (i.e., approved them). If the auditor dates the report before board approval, the report is defective regardless of the quality of the underlying work. This is a favourite one-mark trap dressed as a scenario.

## 4.2 Modifications to the Opinion — SA 705 (Revised)

**Risk it counters:** a single clean/dirty switch would either hide localized problems or destroy trust in good accounts. SA 705, "*Modifications to the Opinion in the Independent Auditor's Report*," provides the graded scale.

**Two questions drive everything:**

**Question 1 — Is there a *reason* to modify? There are only two:**

1. **The financial statements are materially misstated** (a *disagreement* — the auditor obtained evidence and concludes something is wrong: a wrong policy, an unrecorded liability, inadequate disclosure). Sometimes called a *problem with the statements*.
2. **The auditor cannot obtain sufficient appropriate evidence** (a *scope limitation / inability* — the auditor doesn't *know* whether it's right: records destroyed, management refuses access, a balance couldn't be confirmed, appointed too late to observe stock count). Sometimes called a *problem with the audit*.

**Sub-classifying misstatements (why "disagreement" is broader than "wrong number").** A material misstatement can arise from any of three sources: (a) the **appropriateness of selected accounting policies** (e.g., a policy that conflicts with the framework, or a policy applied where it doesn't belong); (b) the **application** of selected policies (e.g., a policy is fine in principle but management applied it inconsistently or with a computational error); or (c) the **appropriateness or adequacy of disclosures** (a required disclosure is missing, misleading, or the note is present but inadequate). Students collapse "misstatement" into "the figure is wrong," then miss cases where the *figures* are right but a *disclosure* is missing — that too is a misstatement and can trigger a qualification or, if pervasive to understanding, an adverse opinion.

**Sub-classifying scope limitations (who caused it matters).** An inability to obtain evidence can be (a) **circumstances beyond anyone's control** (fire destroyed records; the auditor was appointed after year-end and could not observe the physical stock count); (b) **circumstances relating to the nature/timing of the auditor's work** (the entity's controls prevent alternative procedures; the auditor cannot get an external confirmation and no substitute evidence exists); or (c) a **limitation imposed by management** (management refuses to let the auditor confirm a balance, or restricts access). Category (c) is special: if management imposes a limitation *after acceptance* and the auditor believes the effect could be *material and pervasive*, the auditor should **request removal** of the limitation; if management refuses, the auditor **communicates with TCWG** and, if unable to obtain sufficient evidence and the effect could be pervasive, should **disclaim** or, where practicable and permitted, **withdraw** from the engagement. A management-imposed limitation is treated more seriously than an act-of-God limitation because it hints at concealment.

**Question 2 — How bad is it? Judge on two axes:**

- **Material:** big enough that it *could reasonably influence* the economic decisions of users.
- **Pervasive:** a special, stronger threshold. A matter is **pervasive** if its effects (or possible effects) are: (a) **not confined** to specific elements/accounts of the statements; or (b) if confined, represent or *could* represent a **substantial proportion** of the statements; or (c) in the case of *disclosures*, are **fundamental to users' understanding** of the statements. Pervasive = it poisons the whole picture, not one corner.

**Reading pervasiveness correctly — it is about *reach*, not *size alone*.** Notice each limb is about spread or centrality: not-confined (spread across many items), substantial-proportion (dominates the balance sheet/P&L even if in one item), or fundamental-to-understanding (a disclosure without which the whole picture is unreadable). A ₹500 crore error confined to one asset in a ₹50,000 crore company may be material but *not* pervasive; a wrong going-concern basis affecting every line is pervasive even before you compute a rupee figure. The exam rewards you for stating *which limb* of the definition is satisfied, not merely asserting "pervasive."

**The 2×2 decision matrix (memorise the logic, not the grid):**

|                                                         | Material but NOT pervasive                                      | Material AND pervasive                                        |
|---------------------------------------------------------|-----------------------------------------------------------------|---------------------------------------------------------------|
| Financial statements are misstated (disagreement)       | <b>Qualified opinion</b> ("except for...")                      | <b>Adverse opinion</b> ("do not give a true and fair view")   |
| Unable to obtain sufficient evidence (scope limitation) | <b>Qualified opinion</b> ("except for the possible effects...") | <b>Disclaimer of opinion</b> ("we do not express an opinion") |

**The three modified opinions, decoded:**

- **Qualified opinion.** *"In our opinion, except for the effects of [the matter], the financial statements give a true and fair view..."* Meaning: *everything is reliable except this one carved-out area*. Used when the problem is material but **isolated** (not pervasive). This is the value-preserving middle setting.
- **Adverse opinion.** *"In our opinion, the financial statements do NOT give a true and fair view."* Used only when a **misstatement** is both material **and** pervasive — the statements are so wrong that no user should rely on them. Note: adverse arises only from *disagreement*, never from a scope limitation.
- **Disclaimer of opinion.** *"We do not express an opinion on the financial statements."* Used when a **scope limitation** is so severe (material **and** pervasive) that the auditor couldn't gather enough evidence to have *any* opinion at all. Note: disclaimer arises only from *inability to obtain evidence*, never from disagreement. The auditor is saying "I literally cannot tell you," which is different from "it's wrong."

**A subtle wording difference to nail.** For a **disagreement**-based qualification the phrase is *"except for the effects of..."* (the auditor knows the effect). For a **scope**-based qualification it is *"except for the possible effects of..."* (the auditor doesn't know the actual effect because he lacked evidence). The single word "possible" tells the reader which switch was flipped. Examiners have awarded/deducted marks purely on whether a candidate used "effects" vs "possible effects" correctly.

**Presentation rules under SA 705:**

- The opinion heading changes to **"Qualified Opinion," "Adverse Opinion,"** or **"Disclaimer of Opinion."**
- The "Basis for Opinion" heading becomes **"Basis for Qualified/Adverse/Disclaimer of Opinion,"** and this section must **describe the matter and, where practicable, quantify the financial effect** (e.g. "had this liability been recorded, profit would be lower by ₹X and liabilities higher by ₹X"). Unquantified qualifications are weak; the standard pushes for numbers.

- For a **disclaimer**, because the auditor has no opinion, the report is trimmed: the Auditor's Responsibilities section is shortened, and the auditor does **not** report Key Audit Matters (there is no opinion to add KAM to — it would be misleading).
- A modification for one matter does **not** stop the auditor from reporting KAM on *other* matters (except in the disclaimer case).

**Two further presentation rules the exam tests.** First, when the auditor expresses an **adverse or disclaimer of opinion on the financial statements as a whole**, he must **not** *also* express an *unmodified* opinion within the *same report* on a *single statement* or *single item* prepared under the *same framework* — doing so would contradict and dilute the adverse/disclaimer conclusion. Second, the **Opinion and Basis** sections' interaction is directional: in a modified report the *Basis* must appear **immediately after** the *Opinion* section and must state that the auditor believes the evidence obtained is sufficient and appropriate to provide a basis for the *modified* opinion (for a disclaimer, this evidence-sufficiency sentence is *removed*, because by definition he lacked sufficient evidence — a neat internal-consistency point).

**What the Basis section must contain, by type.** For a *misstatement that is quantifiable*: a description **and** the rupee quantification of its effect (on profit, on the affected assets/liabilities, on tax where relevant). For a *misstatement in narrative disclosures*: an explanation of *how* the disclosure is misstated. For a *missing disclosure*: the auditor should **include the omitted disclosure in the Basis section itself**, where practicable and where he has obtained the information — actually supplying to the user what management withheld. For a *scope limitation*: a description of what could not be obtained and why. Failing to quantify a quantifiable misstatement is a substantive defect, not a stylistic one.

#### 4.3 Emphasis of Matter & Other Matter — SA 706 (Revised)

**Risk it counters:** the auditor sometimes needs to point at something without implying the accounts are wrong. Confusing "notice this" with "this is misstated" would mislead users. SA 706, "*Emphasis of Matter Paragraphs and Other Matter Paragraphs in the Independent Auditor's Report*," creates two clearly-labelled attention-channels that **do not modify the opinion**.

**Emphasis of Matter (EOM) paragraph.** Used to draw users' attention to a matter **already presented or disclosed in the financial statements** that is of such importance it is *fundamental to users' understanding*. Two conditions: (a) the auditor is **not** required to modify the opinion in respect of the matter, and (b) the matter is **not** a Key Audit Matter (KAM and EOM are mutually exclusive for the same matter). The paragraph must: - appear under the heading "**Emphasis of Matter**," - clearly **refer to the note in the financial statements** where the matter is disclosed, and - state that the **opinion is not modified** in respect of the matter.

Examples: an uncertainty about the outcome of exceptional litigation; a major catastrophe (flood, fire) that has affected the entity; early application of a new accounting standard with pervasive effect; a going-concern situation that is *adequately disclosed* (though material uncertainty on going concern now has its own dedicated section under SA 570).

**The three gates an EOM must pass (why it's not a free-for-all).** Auditors are tempted to sprinkle EOMs to cover themselves. SA 706 restrains this with three tests: (1) the matter is **appropriately presented/disclosed** in the statements (if it isn't, the fix is a *modification*, not an EOM); (2) the auditor has **obtained sufficient evidence** the matter is not materially misstated (an EOM cannot paper over a scope limitation); and (3) the matter is **not** one that would be a KAM or require a modification. Overusing EOM is itself a defect — it dilutes the signal, so that a genuine EOM stops standing out. "When everything is emphasised, nothing is."

**Other Matter (OM) paragraph.** Used to communicate a matter **NOT presented or disclosed in the financial statements** but relevant to users' understanding of the **audit, the auditor's responsibilities, or the report itself**. Under heading "**Other Matter**." Examples: the prior-year figures were audited by a *predecessor auditor* (and stating so); financial statements prepared for two different frameworks; a restriction on distribution or use of the report; the fact that the auditor has *not* been able to *withdraw* although a limitation exists but the report is still issued for statutory reasons.

**Placement and TCWG communication.** The *position* of an EOM/OM in the report depends on its nature and on the presence of a KAM section — SA 706 gives ordering guidance (e.g., an EOM about going concern sits with related material; an OM restricting distribution may come after KAM). And whenever the auditor expects to include an EOM or OM, he must **communicate this to TCWG** along with the proposed wording — the same governance loop as KAM and modifications. Users should never learn of an emphasis the board had no chance to see first.

**The crucial distinction:** EOM points *into* the financial statements (a disclosed matter); OM points *outside* them (about the audit/report). Neither changes the opinion — that separation is the whole point.

#### 4.4 Key Audit Matters — SA 701

**Risk it counters:** two companies can both get a clean opinion yet have wildly different risk profiles. A bare "true and fair" opinion is *uninformative about where the audit was hardest*. Users (especially of listed companies) wanted transparency into the auditor's real judgment areas. SA 701, "*Communicating Key Audit Matters in the Independent Auditor's Report*," answers this.

**Definition.** KAM are *those matters that, in the auditor's professional judgment, were of most significance in the audit of the current period's financial statements*. KAM are **selected from matters communicated to Those Charged With Governance (TCWG)**.

**When is it required?** KAM is **mandatory for audits of listed entities** (and when law/regulation requires it, or when the auditor otherwise decides to communicate KAM). For unlisted entities it is voluntary. (There is **no separate Companies-Act size/turnover threshold** that makes KAM mandatory beyond listed entities — the trigger is *listed status* (or law/regulation/auditor election), so don't hunt for a numeric limit that doesn't exist.)

**How KAM are chosen — a funnel:** 1. Start with all matters communicated to TCWG. 2. Narrow to those that **required significant auditor attention**, considering: areas of **higher assessed risk of material misstatement** or significant risks (SA 315); significant **auditor judgments** relating to areas of management judgment/estimates with high estimation uncertainty; and the effect of **significant events/transactions** in the period. 3. From those, select the ones of **most significance** — those are the KAM.

**How each KAM is written.** For each matter: (a) describe *why* it was considered a KAM, (b) describe *how* it was addressed in the audit, and (c) refer to the related **disclosure** in the financial statements. Placed under the "**Key Audit Matters**" heading.

**The confidentiality tension and the "original information" rule.** KAM forces the auditor to reveal, in a public report, matters that would otherwise be confidential. SA 701 resolves this with a principle: the auditor describes the matter *without* himself becoming the **original source** of information about the entity — i.e., he should not disclose entity information that management has *not* disclosed, unless law requires it. If a matter can only be described meaningfully by revealing something management chose not to disclose, the auditor's route is to *encourage management to disclose it*; describing "how it was addressed" must not become a back-door leak of undisclosed sensitive data. This "not the original source" idea is a genuine, testable nuance.



**The rare "no KAM to communicate" case.** Even for a listed entity, it is *conceivable* (though unusual) that the auditor determines there are **no** key audit matters. In that case SA 701 requires the auditor to *state that there are no key audit matters to communicate*, under the KAM heading, with an explanation — he cannot simply omit the section. Contrast this with the disclaimer case, where the section is dropped entirely.

**KAM is NOT a substitute:** communicating a KAM does **not** replace a required modification (SA 705), does **not** replace a going-concern material-uncertainty section, and does **not** relieve the auditor of describing a matter that should be an EOM. And **a matter giving rise to a modified opinion or a going-concern material uncertainty is by its nature a KAM but is NOT reported in the KAM section** — it's reported in its own (Basis/GC) section, with a cross-reference. When the auditor **disclaims** an opinion, he does **not** report KAM at all.

## 4.5 Reporting under the Companies Act — s.143 and CARO 2020

**Risk it counters:** the general true-and-fair opinion doesn't force the auditor to speak on specific fraud-prone or compliance matters that Indian regulators care about. So the Act (s.143) and a delegated order (CARO) mandate *additional, itemised* reporting.

**Section 143(1) — the auditor's inquiry duties (the often-forgotten sub-section).** Before the *reporting* matters of 143(3), section **143(1)** casts a duty to *inquire* into specific things — e.g., whether **loans and advances** made on the basis of security are properly secured and the terms not prejudicial; whether **book entries** are prejudicial to the company's interests; whether **personal expenses** have been charged to revenue; whether the company's investments are sold at less than cost, etc. Note the design: 143(1) is an **inquiry** duty (the auditor need not report the *results* unless he has an adverse comment), whereas 143(3) is a positive **reporting** duty (he must state a view either way). Examiners like the trap that 143(1) requires *reporting only if there's something adverse* — a "report by exception" duty.

**Section 143(2)-(3), Companies Act 2013 — matters the auditor's report MUST state:** whether he sought and obtained all information and explanations necessary; whether **proper books of account** have been kept; whether the report on the accounts of any **branch** was received; whether the balance sheet and P&L **agree with the books**; whether the financial statements **comply with the accounting standards**; observations having an **adverse effect** on functioning; whether any director is **disqualified** under s.164(2); whether the company has **adequate internal financial controls with reference to financial statements** and their operating effectiveness (the **IFC report** — see 4.6); and any qualification/reservation. Section 143(12) additionally requires the auditor to **report fraud** (above the prescribed threshold, currently ₹1 crore — *verify current ICAI material / AY*) to the **Central Government**, and below-threshold frauds to the **Audit Committee/Board**.

**Section 143(12) mechanics — the timeline you must know.** When the auditor has *reason to believe* an offence of **fraud** involving an amount  $\geq$  **₹1 crore** (threshold — *verify current ICAI material*) is being or has been committed *against the company by officers or employees*, he reports it to the **Central Government** via the prescribed route: first report to the **Board/Audit Committee** seeking their reply within a stated number of days, then forward his report plus their reply (or a note that no reply was received) to the Central Government within a further prescribed window, in Form **ADT-4**. For frauds **below** the threshold, he reports to the **Audit Committee (or Board)** and the matter is **disclosed in the Board's Report**. Two nuances: (a) the duty covers fraud *by officers/employees against the company* — not every fraud the auditor stumbles on; and (b) an auditor acting in *good faith* under 143(12) is **protected from liability** for that reporting. Note also that this fraud-reporting duty extends to *cost auditors, secretarial auditors and branch auditors* by cross-reference.



**CARO 2020** — the *Companies (Auditor's Report) Order, 2020*, issued under s.143(11). It requires a **separate annex** to the auditor's report answering a fixed list of clauses. It applies to most companies but **excludes** certain classes (banking companies, insurance companies, s.8 companies, one-person companies (OPC), small companies, and certain private companies below specified paid-up capital + reserves, borrowing, and turnover thresholds — *confirm exact limits in current ICAI material*). CARO 2020 has **21 clauses**; the flavour you must know:

- **(i) Property, Plant & Equipment and intangibles** — records, physical verification, title deeds in company's name, revaluation, benami property proceedings.
- **(ii) Inventory** — physical verification and coverage; working-capital limits above ₹5 crore from banks/FIs against current assets and whether quarterly returns/statements filed agree with books.
- **(iii) Investments / loans / guarantees / security** — loans to related parties, terms not prejudicial, schedule of repayment, overdue amounts, evergreening (fresh loans to settle old ones), loans repayable on demand or without stipulation of terms.
- **(iv) Compliance with s.185 and s.186** (loans to directors, investments/loans/guarantees).
- **(v) Deposits** — compliance with s.73-76 and rules; RBI/tribunal/court orders.
- **(vi) Cost records** — maintenance where required under s.148(1).
- **(vii) Statutory dues** — regularity in depositing PF, ESI, GST, income-tax, customs, cess etc., undisputed dues outstanding > 6 months, and dues unpaid on account of disputes (with forum and amount).
- **(viii) Unrecorded income surrendered/disclosed in income-tax assessments/search.**
- **(ix) Default in repayment of loans/borrowings** to lenders; declared **wilful defaulter**; end-use of term loans; short-term funds used for long-term purposes; funds raised to meet obligations of subsidiaries/associates/JVs; loans on pledge of securities of others.
- **(x) Money raised by IPO/FPO** (including debt) and **preferential allotment/private placement** — end use and compliance.
- **(xi) Fraud** — any fraud by/on the company noticed or reported during the year; reporting under s.143(12) in Form ADT-4 to CG; whistle-blower complaints considered.
- **(xii) Nidhi company compliances** (net owned funds to deposits ratio, etc.).
- **(xiii) Related-party transactions** compliance with s.177 and s.188 and disclosure in FS per accounting standards.
- **(xiv) Internal audit** system commensurate with size, and whether the auditor considered its reports.
- **(xv) Non-cash transactions with directors/persons connected** (s.192).
- **(xvi) Registration under s.45-IA of RBI Act** (NBFC), whether conducting NBFC/HFC activity without a valid CoR, and Core Investment Company (CIC) status.
- **(xvii) Cash losses** in current and immediately preceding financial year.
- **(xviii) Resignation of statutory auditors** during the year and whether the incoming auditor considered the issues/objections raised.
- **(xix) Material uncertainty on meeting liabilities** — auditor's opinion, on the basis of **financial ratios, ageing, expected realisation of financial assets and payment of financial liabilities**, on whether liabilities falling due within one year can be met (a going-concern-adjacent clause).
- **(xx) Transfer of unspent CSR amount** — to the specified Fund (unspent, not relating to an ongoing project) and to a special account (ongoing project), per s.135.

- **(xxi)** Qualifications/adverse remarks in CARO reports of companies included in the **consolidated** financial statements.

Each clause is reported *favourable/unfavourable with reasons and quantum*; an unfavourable CARO remark does **not** automatically qualify the main opinion but the auditor must consider whether it *should*. If any clause answer is **unfavourable/negative**, CARO requires the auditor to *state the reasons*; and where the auditor is *unable to express an opinion* on a specific clause, he must state that fact **with reasons**.

#### 4.6 Reporting on Internal Financial Controls — s.143(3)(i)

**Risk it counters:** true-and-fair says the *output* (statements) looks right, but says little about whether the *machine* producing them (the control system) is reliable. A company could produce correct figures this year by luck while its controls are broken. Post-Satyam, Indian law wanted assurance on the **controls themselves**.

**Requirement.** Under **s.143(3)(i)**, the auditor's report must state whether the company has **adequate internal financial controls with reference to financial statements (IFCoFR)** in place and the **operating effectiveness** of such controls. This is guided by the ICAI **Guidance Note on Audit of Internal Financial Controls Over Financial Reporting**.

**IFC vs "internal financial controls with reference to FS" — a definitional trap.** The *Companies Act* uses two scopes. The **directors' responsibility** (s.134) and the term "internal financial controls" (IFC) in some contexts is **broad** — it covers controls over the *orderly and efficient conduct of business*, safeguarding of assets, prevention/detection of fraud, accuracy/completeness of records, and timely preparation of reliable financial information. But the **auditor's reporting** under s.143(3)(i) is on the **narrower "IFCoFR"** — controls *with reference to financial statements* only. The auditor does not opine on operational or compliance controls that have no bearing on financial reporting. Candidates lose marks by asserting the auditor opines on the whole broad IFC universe; he opines on the *financial-reporting subset*.

**Nature of the report.** It is a *separate report* (an **annexure** to the main audit report), expressing an **opinion on IFCoFR**, and it can itself be **unmodified, qualified, adverse, or disclaimed** based on identified **material weaknesses**. A *material weakness* is a deficiency (or combination) such that there is a **reasonable possibility that a material misstatement will not be prevented, or detected and corrected, on a timely basis**. If a material weakness exists → the IFC opinion is **modified**; the auditor then considers the effect on the **main** financial-statement opinion too.

**The severity ladder of control deficiencies (link to SA 265).** Not every control flaw is a material weakness. The ladder runs: **control deficiency** (a control is missing or doesn't operate so it *can't* prevent/detect misstatements) → **significant deficiency** (important enough to merit attention of TCWG) → **material weakness** (reasonable possibility of a *material* misstatement going undetected). Only a **material weakness** forces a *modified IFC opinion*. A significant deficiency is *communicated to TCWG* (SA 265) but does not by itself modify the IFC opinion. The distinction between "significant deficiency" and "material weakness" is a classic two-mark discriminator.

**Applicability nuance:** reporting on IFC operating effectiveness is required for companies under s.143(3)(i), but **certain private companies are exempted** (per MCA notification dated 13 June 2017: a private company that is a **one-person or small company**, or has **turnover < ₹50 crore** (latest audited FS) **and** aggregate **borrowings < ₹25 crore** from banks/FIs/any body corporate at any point in the FY — *verify the current exemption thresholds in ICAI material, as these Rule-based figures are amendable*). The exemption is from the **auditor's reporting on operating effectiveness**, granted because forcing full IFCoFR reporting on tiny private companies was disproportionately costly.

## 5. Applied Scenarios

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**Scenario 1 — The unrecorded liability (disagreement, isolated).** During the audit of Ceres Ltd, you find a supplier invoice of ₹40 lakh for goods received before year-end that management refused to record, claiming a dispute. You are satisfied the liability is real. Profit before tax is ₹8 crore. The ₹40 lakh understatement of liabilities/expenses is **material** (it distorts profit and payables) but its effect is **confined** to two line items and is not a substantial proportion of the whole — **not pervasive**. → **Reason:** misstatement (disagreement). **Extent:** material, not pervasive. **Result: Qualified opinion** — "*except for the effects of the non-recording of trade payables of ₹40 lakh...*" The **Basis for Qualified Opinion** section quantifies: payables understated by ₹40 lakh, profit overstated by ₹40 lakh (pre-tax).

**Scenario 2 — The missing branch records (scope limitation, pervasive).** You are auditing Helios Ltd. Its largest division (60% of total assets and revenue) had its accounting server destroyed by fire; backups are unrecoverable and no alternative evidence (confirmations, reconstructions) is obtainable. You simply cannot audit 60% of the company. → **Reason:** inability to obtain sufficient appropriate evidence (scope limitation). **Extent:** so large it affects a *substantial proportion* of the statements — **pervasive**. **Result: Disclaimer of opinion** — "*We do not express an opinion... because we were unable to obtain sufficient appropriate audit evidence...*" Note: **not** adverse — you don't know the numbers are *wrong*, you just can't verify them. And **no KAM section**.

**Scenario 3 — Wrong framework applied throughout (disagreement, pervasive).** Nyx Ltd, required to follow Ind AS, has instead prepared its entire financial statements on a cash basis, affecting virtually every line — revenue, receivables, payables, provisions. You disagree, and the effect is everywhere. → **Reason:** misstatement (disagreement). **Extent: pervasive** (not confined; affects the statements as a whole). **Result: Adverse opinion** — "*the financial statements do not give a true and fair view...*"

**Scenario 4 — Big lawsuit, correctly disclosed (no modification).** Atlas Ltd is defending a ₹200 crore claim; the outcome is uncertain and management has disclosed it fully and appropriately in Note 32, with no provision required yet under the standard. You agree with the accounting and disclosure. → No misstatement, no scope limit → **opinion unmodified**. But the matter is fundamental to users' understanding and is *disclosed in the statements*. **Result: Emphasis of Matter** paragraph referring to Note 32, stating the opinion is not modified. (If the entity is *listed* and this was an area of most significance in the audit, it may instead be reported as a **KAM** — and if so, *not* also as EOM.)

**Scenario 5 — Predecessor auditor (Other Matter).** You are the newly appointed auditor of Rhea Ltd; the prior-year comparatives were audited by the outgoing firm, who issued an unmodified opinion. You want users to know you didn't audit the comparatives. → Nothing is disclosed *in* the statements about this; it concerns *the audit*. **Result: Other Matter** paragraph stating the corresponding figures were audited by the predecessor auditor.

**Scenario 6 — Material weakness in controls, correct numbers.** In Selene Ltd, you find that anyone in accounts can post journal entries with no review — a control failure that could allow material misstatement. This year, by testing, you're satisfied the *figures* are actually correct. → **Main opinion:** the statements are true and fair → **unmodified**. **IFC report (s.143(3)(i)):** a **material weakness** exists → **qualified/adverse IFC opinion**, describing the weakness. This shows the two reports are decoupled: clean financial-statement opinion + modified IFC opinion.

**Scenario 7 — Two isolated problems that aggregate into pervasiveness (numerical, exam-hard).** Theia Ltd (profit before tax ₹10 crore; total assets ₹120 crore) has *three* separate issues you have concluded on: (a)

inventory overstated by ₹1.2 crore (a costing error you disagree with); (b) a required related-party disclosure entirely omitted from the notes; (c) a ₹0.9 crore development cost wrongly capitalised instead of expensed. Individually each looks "material but isolated." Work it through. Quantifiable misstatements: ₹1.2 cr + ₹0.9 cr = **₹2.1 crore overstatement of profit**, i.e. 21% of PBT — clearly material. Are they *pervasive*? Test each limb: they touch *inventory, intangible assets, P&L, and the notes* — no longer "confined to specific elements"; the aggregate 21% profit distortion is a **substantial proportion** of earnings; and the omitted related-party disclosure is arguably **fundamental to users' understanding** of who the company transacts with. →

**Reasoning:** although each item alone might justify a *qualified* opinion, SA 450 requires evaluating uncorrected misstatements **in aggregate**, and SA 705 pervasiveness includes "not confined to specific elements." The combination spreads across multiple statements and a fundamental disclosure. **Result: this tips toward an Adverse opinion** (disagreement + pervasive), *provided* the auditor judges the cumulative effect fundamental. **Self-check / reconciliation:** if instead only item (a) existed (₹1.2 cr = 12% of PBT, confined to inventory/COGS, disclosures intact), the answer would be a **qualified** opinion — the *only* thing that changed the verdict is the *spread across elements and the fundamental disclosure omission*, i.e. pervasiveness, exactly as the definition predicts. This scenario teaches: **materiality is additive; pervasiveness is about reach — and both are assessed on the accumulated picture, not item by item.**

#### **Scenario 8 — Inadequate going-concern disclosure flips an EOM into a modification (exam-hard).**

Prometheus Ltd has negative working capital and has defaulted on loan repayments; substantial doubt exists about going concern. Management continues to prepare the accounts on a going-concern basis. Consider two sub-cases. *Sub-case A:* management discloses the doubt and its plans **adequately** in Note 40, and you agree going-concern basis is still appropriate. → No modification. **Result: a dedicated "Material Uncertainty Related to Going Concern" section** (SA 570) cross-referencing Note 40 — *not* an EOM, because going-concern uncertainty now has its own home. *Sub-case B:* the material uncertainty exists but management's disclosure is **inadequate** (it downplays the defaults and omits the plans). → Now the *financial statements are misstated* (inadequate disclosure = a disagreement). **Result: a Qualified or Adverse opinion** depending on how fundamental the omission is — *not* a going-concern section, *not* an EOM. *Sub-case C (the trap):* going-concern basis is **inappropriate** (the company has actually ceased operations and will be liquidated) but management still uses going-concern basis. → This is a *pervasive* misstatement of the entire basis of preparation. **Result: Adverse opinion. Reconciliation:** the *same underlying fact* (going-concern doubt) produces three different report outcomes depending purely on **whether disclosure is adequate and whether the basis is appropriate** — proving that the report responds to *management's accounting and disclosure*, not to the bad news itself.

#### **Scenario 9 — Management-imposed limitation discovered mid-audit (exam-hard, procedure-focused).**

After you accepted the audit of Iapetus Ltd, management refuses to allow you to send external confirmations to debtors constituting 45% of receivables, and blocks any alternative procedure (no subsequent-receipt evidence available). Receivables are 40% of total assets. → **Step 1 — classify:** a **management-imposed scope limitation** (not act-of-god). **Step 2 — required response under SA 705:** *request management to remove the limitation*; if refused, *communicate with TCWG*; determine whether alternative procedures can give sufficient evidence (here they can't). **Step 3 — extent:** the possible effects on receivables (40% of assets) could be **material and pervasive**. **Step 4 — outcome:** the auditor should **disclaim** the opinion; and if he had not yet accepted, the correct course would have been to **not accept**; if practicable and permitted by law he may consider **withdrawal**. **Trap:** many candidates jump to "qualified" — but *management-imposed limitations affecting a substantial proportion with no alternative evidence* push to **disclaimer**, and the *process steps* (request removal → tell TCWG → consider withdrawal) carry their own marks.

## 6. Procedure & Documentation Summary

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**Forming and reporting — the sequence:** 1. Complete audit procedures; accumulate misstatements (SA 450); obtain **written representations** (SA 580). 2. Evaluate sufficiency/appropriateness of evidence and whether uncorrected misstatements are material — **individually and in aggregate**. 3. **Decide: modify or not?** Apply SA 705 logic (reason × extent). 4. Consider **going concern** (SA 570) — separate section if material uncertainty; modify if disclosure inadequate or basis inappropriate. 5. Identify **KAM** (SA 701) for listed entities from matters communicated to TCWG. 6. Determine any **EOM/OM** (SA 706). 7. Draft the report per **SA 700** structure; draft **CARO** annex and **IFC** annex. 8. **Communicate** planned report modifications/KAM/EOM/OM to TCWG (SA 260) before finalising. 9. Ensure the **date** is not earlier than the date sufficient appropriate evidence was obtained (incl. board approval of statements); **sign** with FRN, membership no., **UDIN**; state place.

**Documentation the auditor must retain (SA 230):** - The **conclusion** on whether reasonable assurance was obtained and the basis for the opinion type chosen. - For each modification: the **reason** (disagreement vs inability), the **materiality/pervasiveness judgment** (naming which limb of the pervasiveness definition applies), and the **quantification**. - The **KAM determination** — matters communicated to TCWG, those requiring significant attention, and how the final KAM were selected (the funnel); and, where relevant, the basis for concluding a matter is *not* to be communicated. - Rationale for any **EOM/OM** and evidence the three EOM gates were met. - **CARO** working — evidence supporting each clause conclusion and reasons for every unfavourable answer. - **IFC** testing — design and operating-effectiveness tests, identified deficiencies and their classification (deficiency vs significant deficiency vs **material weakness**). - Communications with **TCWG** on the report (SA 260) and any deficiency communications (SA 265). - For a **s.143(12) fraud** matter: the reasoning, the ADT-4 filing, and Board/Audit-Committee communications.

## 7. Connections

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- ← **SA 200** gives us *reasonable assurance* and *materiality* — the two ideas that make the opinion an "opinion" and drive the modification thresholds.
- ← **SA 315 / SA 330** (risk assessment and responses) feed KAM (areas of higher risk) and the IFC report (control testing).
- ← **SA 450** (evaluation of misstatements) determines whether uncorrected misstatements are material **in aggregate** → whether to modify (Scenario 7 lives here).
- ← **SA 560** (subsequent events) — events up to the report date can change the opinion; the report *date* asserts they were considered.
- ← **SA 570** (going concern) plugs directly into the report as a dedicated *Material Uncertainty* section and can itself trigger a modification (Scenario 8).
- ← **SA 580** (written representations) — a refusal by management to provide agreed representations is itself a scope limitation that can force a disclaimer.
- ← **SA 260/265** (communication with TCWG; deficiencies) — KAM/EOM/OM are *communicated to* TCWG before issue; IFC material weaknesses come from SA 265 deficiency evaluation.
- ← **SA 510** (opening balances) and **SA 710** (comparatives) — a problem with opening balances/comparatives can force a modification or an Other Matter paragraph (Scenario 5).
- ← **SA 720** (other information) — if the annual-report narrative is inconsistent with the audited statements, the auditor reports it in an *Other Information* section.



- ← **SA 800 / SA 805 / SA 810** — special-purpose frameworks, single statements/elements, and summary financial statements change the *opinion wording* (compliance vs fair-presentation).
- → **Companies Act ss.139-147** (appointment, rotation, powers, duties) — the *authority* to sign this report and the consequences (s.147 penalties) live there.
- → **Ethics / Independence** — the "Basis for Opinion" section *asserts* independence; a breach undermines the entire report.

## 8. Traps & Examiner Tricks

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1. **Adverse vs Disclaimer confusion.** *Adverse* comes ONLY from a **misstatement (disagreement)** that is pervasive — "it's wrong." *Disclaimer* comes ONLY from an **inability to get evidence** that is pervasive — "I can't tell." Examiners give a fact pattern and ask for the exact opinion; identify **reason first** (disagreement vs scope), *then* extent.
2. **Qualified is the answer for both reasons when NOT pervasive.** A scope limitation that is material-but-isolated gives a *qualified* opinion ("except for the possible effects...") — students wrongly jump to disclaimer.
3. **"Material" ≠ "Pervasive."** Pervasive is a *higher* bar with a specific three-part definition (not confined / substantial proportion / fundamental to understanding). A big number isn't automatically pervasive — name the *limb* you're relying on.
4. **"Effects" vs "possible effects."** Disagreement qualification says "*except for the effects*" (you know the effect); scope qualification says "*except for the possible effects*" (you don't). One word encodes which switch flipped.
5. **EOM does NOT modify the opinion.** A favourite trick: describe a disclosed uncertainty and ask "what opinion?" — answer: unmodified opinion *with* an EOM. And EOM requires the matter to be **already disclosed** in the statements — if it *should* have been disclosed and wasn't, that's a **misstatement** → **modification**, not an EOM.
6. **EOM vs OM direction.** EOM = matter *inside* the financial statements; OM = matter *outside* them (about the audit/report). Predecessor auditor = **OM**, not EOM.
7. **KAM ≠ modification and ≠ substitute.** A matter causing a modified opinion or a going-concern material uncertainty is described in its **own** section, not the KAM section (though it *is* by nature a key matter). On a **disclaimer**, KAM is **not** reported at all. But if a listed entity genuinely has *no* KAM, you must *say so* under the heading — you don't drop the section.
8. **KAM only mandatory for listed entities** — don't force KAM onto a small private company.
9. **CARO remark does not auto-qualify.** An unfavourable CARO clause is reported in the CARO annex; the auditor *separately considers* whether the underlying issue also affects the main opinion. They are not automatically linked. But every unfavourable clause answer needs *reasons* stated.
10. **IFC opinion is separate from the FS opinion.** You can have a clean true-and-fair opinion and a *qualified/adverse* IFC opinion (material weakness) simultaneously — Scenario 6. And the auditor opines only on IFC **with reference to financial statements**, not the broad operational-IFC universe.
11. **Significant deficiency ≠ material weakness.** Only a *material weakness* (reasonable possibility a *material* misstatement won't be prevented/detected timely) modifies the IFC opinion; a significant deficiency is merely communicated to TCWG.
12. **Report date and UDIN.** The report must not be dated before sufficient appropriate evidence (including board approval) was obtained; the signature block needs **FRN, membership number and UDIN**. Missing

UDIN is a real-world (and exam) red flag.

13. **Opinion paragraph comes FIRST** in the revised SA 700 format (before Basis). A common presentation-order trap.
14. **Going concern has its own home now.** Post-revision, a *material uncertainty related to going concern* goes in a dedicated "**Material Uncertainty Related to Going Concern**" section (SA 570), not merely an EOM — provided disclosure is adequate. If disclosure is inadequate → **modify**; if the basis itself is inappropriate → **adverse** (Scenario 8).
15. **s.143(1) is report-by-exception.** The inquiry duties (secured loans, personal expenses, etc.) are reported only if there's something adverse — don't confuse with the always-state duties of 143(3).
16. **Fraud reporting is threshold-driven and routed.** ≥ ₹1 crore (*verify*) → Central Government via ADT-4; below → Audit Committee/Board + Board's Report. Only fraud *by officers/employees against the company* triggers 143(12); good-faith reporting is protected.
17. **Aggregate before you decide.** SA 450 requires evaluating uncorrected misstatements *in aggregate* — several "isolated" errors can jointly become pervasive (Scenario 7). Don't grade each in isolation.

## 9. First-Principles Recap

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Strip everything away and you are left with one chain of reasoning. Owners can't watch managers, so an auditor is hired to vouch for the accounts. The auditor's *entire* output is one document, so that document must communicate with zero ambiguity — hence a **standardised structure** (SA 700) and a single precise conclusion, an **opinion** of *true and fair on reasonable assurance* (honest about the limits of sampling and estimates). Because reality is messy, the conclusion can't be a binary stamp; it needs a **graded dial** (SA 705) that quarantines bad news by asking two *independent* questions — *is the problem a disagreement or an inability?* and *is it isolated or pervasive?* — yielding qualified / adverse / disclaimer as a *coordinate* on a 2×2, never a point on a single ladder. Because the auditor sometimes needs to *point* without *condemning*, two walled-off attention channels exist (SA 706 EOM/OM), and because clean opinions hide where the audit was hardest, listed-company reports carry **KAM** (SA 701). Because Indian regulators want more than true-and-fair, the auditor also answers a fixed checklist of risk-prone matters (**CARO** under s.143), gives a *separate* verdict on whether the control machine works (**IFC**, s.143(3)(i)), and blows the whistle on large fraud (**143(12)**). Every element is an engineered fix to a way the delivery pipe could fail. If you can rebuild that chain — asymmetry → single output → standardise + opine + grade + side-channel + bolt-on — you never need to memorise the report; you can *derive* it, and you can *derive* the right opinion for any fact pattern by flipping the two switches.

## 10. Quick-Revision Sheet

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**Standards map:**



| Standard                    | Governs                                                                                 |
|-----------------------------|-----------------------------------------------------------------------------------------|
| <b>SA 700 (Rev.)</b>        | Forming the opinion + report elements (unmodified)                                      |
| <b>SA 701</b>               | Key Audit Matters (listed entities)                                                     |
| <b>SA 705 (Rev.)</b>        | Modified opinions — qualified / adverse / disclaimer                                    |
| <b>SA 706 (Rev.)</b>        | Emphasis of Matter & Other Matter (no opinion change)                                   |
| <b>SA 570</b>               | Going concern → Material Uncertainty section                                            |
| <b>SA 260 / 265</b>         | Communicate report matters / deficiencies to TCWG                                       |
| <b>SA 450</b>               | Aggregate uncorrected misstatements → modify or not                                     |
| <b>s.143, Companies Act</b> | Statutory reporting; inquiry (143(1)); fraud (143(12)); CARO (143(11)); IFC (143(3)(i)) |
| <b>CARO 2020</b>            | 21-clause annex on risk-prone matters                                                   |

**The decision, in one line:** Reason (disagreement vs inability) × Extent (material-not-pervasive vs material-and-pervasive) → opinion.

|                                   | Material, NOT pervasive | Material AND pervasive |
|-----------------------------------|-------------------------|------------------------|
| <b>Misstatement (disagree)</b>    | Qualified               | <b>Adverse</b>         |
| <b>Can't get evidence (scope)</b> | Qualified               | <b>Disclaimer</b>      |

**Opinion phrases:** - Unmodified: "...give a true and fair view in accordance with..." - Qualified (disagreement): "except for the effects of... the FS give a true and fair view" - Qualified (scope): "except for the possible effects of... the FS give a true and fair view" - Adverse: "...do NOT give a true and fair view" - Disclaimer: "...we do not express an opinion"

**Report elements order (SA 700):** Title → Addressee → **Opinion** → Basis for Opinion → [Material Uncertainty —Going Concern] → **KAM** → Responsibilities of Management/TCWG → Auditor's Responsibilities → Other Reporting (CARO/143(3)) → Signature (FRN, M.No., **UDIN**) → Place & Date.

**Remember-these switches:** - Adverse ← only disagreement. Disclaimer ← only inability. - "Effects" = disagreement; "possible effects" = scope. - Pervasive = not confined / substantial proportion / fundamental to understanding (name the limb). - Aggregate misstatements before grading (SA 450). - EOM = disclosed matter *inside* FS; OM = matter *outside* FS (audit/report). Three EOM gates: disclosed + not misstated + not KAM. - KAM: listed only; modified-opinion matter goes in its own section, not KAM; no KAM on a disclaimer; if truly none, *state so*. - Going concern: adequate disclosure → MURGC section; inadequate disclosure → modify; wrong basis → adverse. - CARO remark ≠ automatic qualification; every unfavourable clause needs reasons. - IFC opinion is separate (with reference to FS only); material weakness modifies it; significant deficiency only goes to TCWG. - Fraud ≥ ₹1 cr (*verify*) → CG via ADT-4; below → Audit Committee/Board. - Report date ≥ date of sufficient appropriate evidence (incl. board approval). UDIN mandatory.

## Diagram 1 — The full opinion decision tree

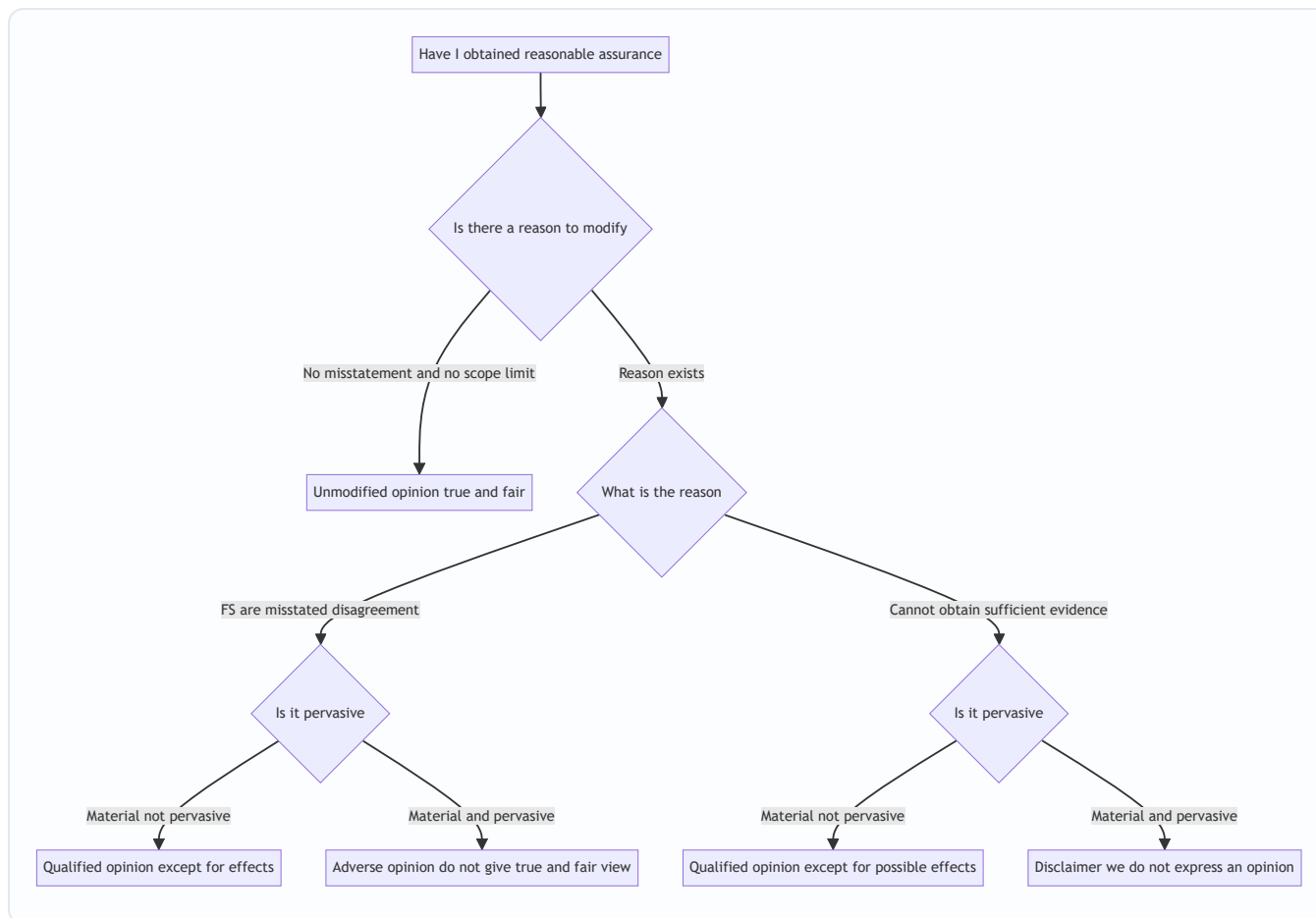


Figure 9.1 — First identify the reason disagreement vs inability then the extent material vs pervasive; the pair fixes the opinion.

## Diagram 2 — Where each communication channel goes

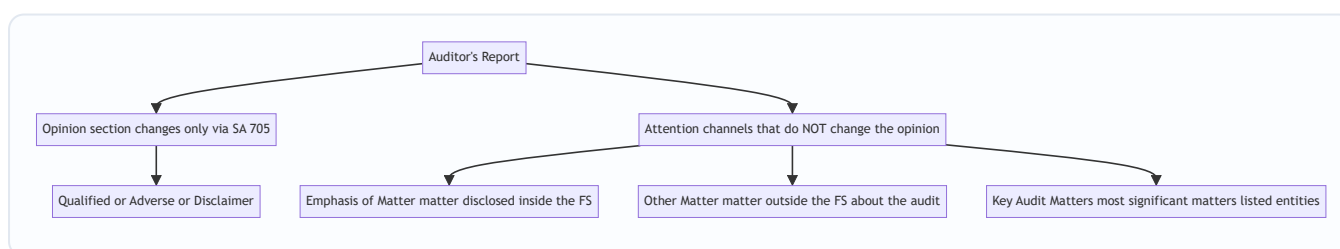


Figure 9.2 — The opinion moves only through SA 705; EOM, OM and KAM are walled-off channels that inform without modifying.

## Diagram 3 — Report vs the two Indian bolt-ons

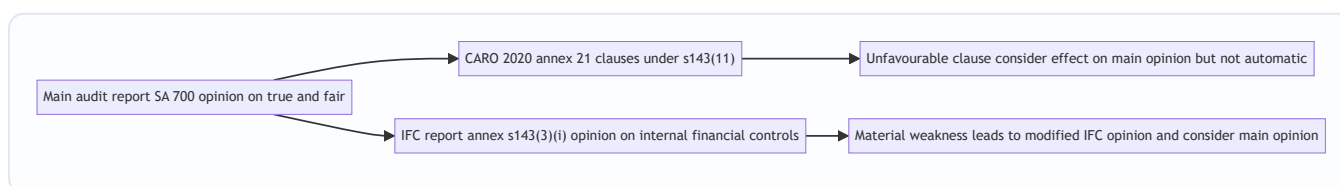


Figure 9.3 — Beyond the true-and-fair opinion Indian law bolts on a CARO checklist and a separate opinion on the control system itself.

Diagram 4 — Going concern routes to four different report outcomes

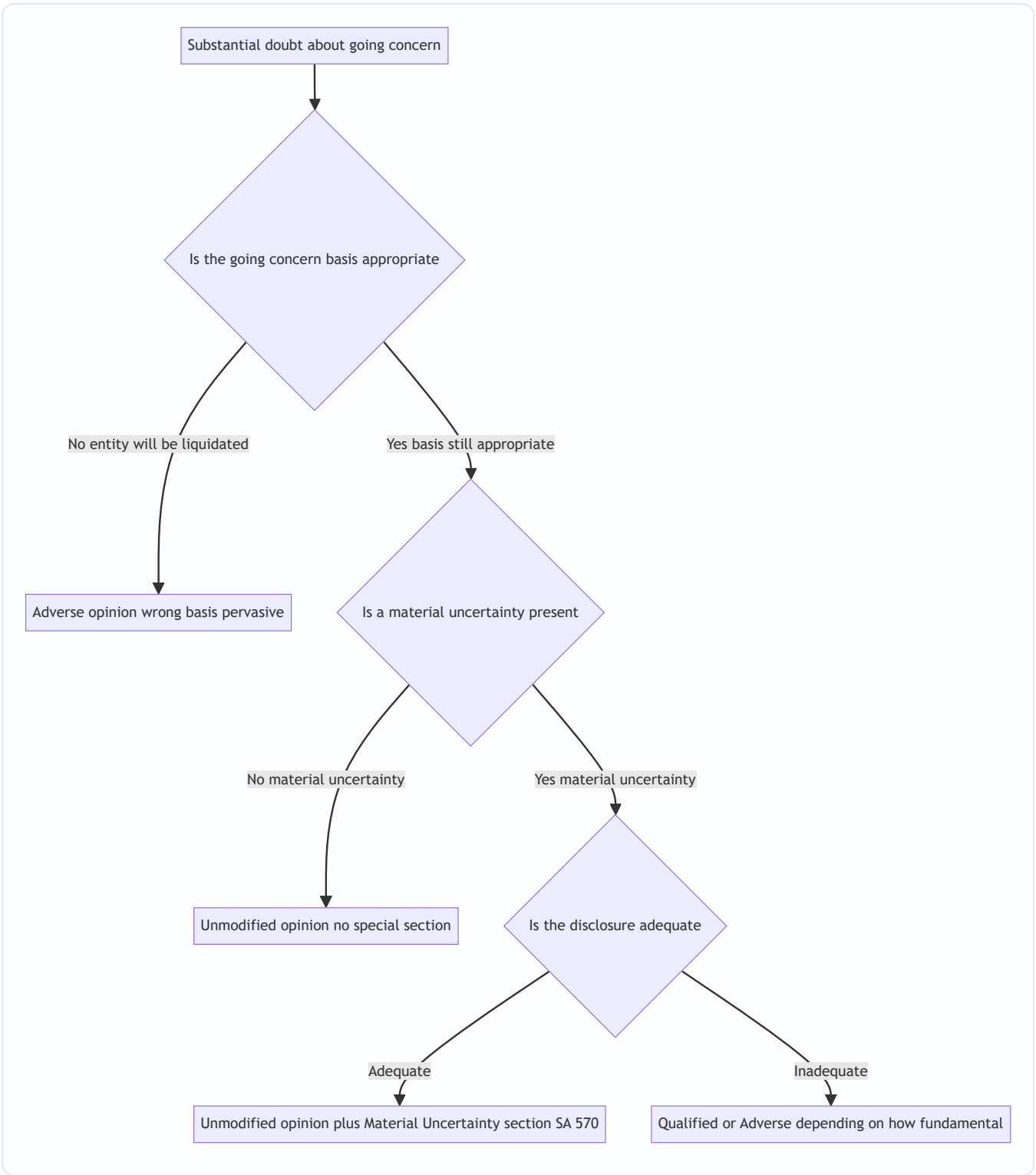
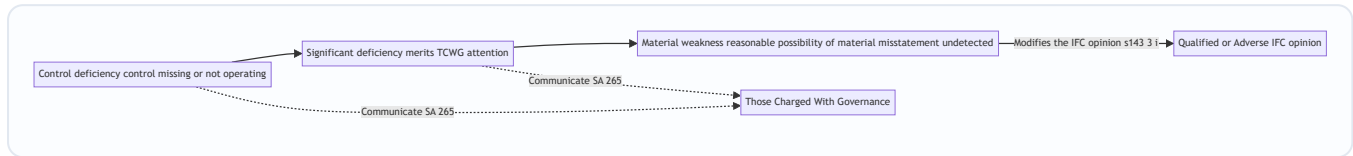


Figure 9.4 — The same going concern doubt maps to four outcomes depending only on whether the basis is appropriate and whether disclosure is adequate.

## Diagram 5 — The severity ladder of internal control deficiencies

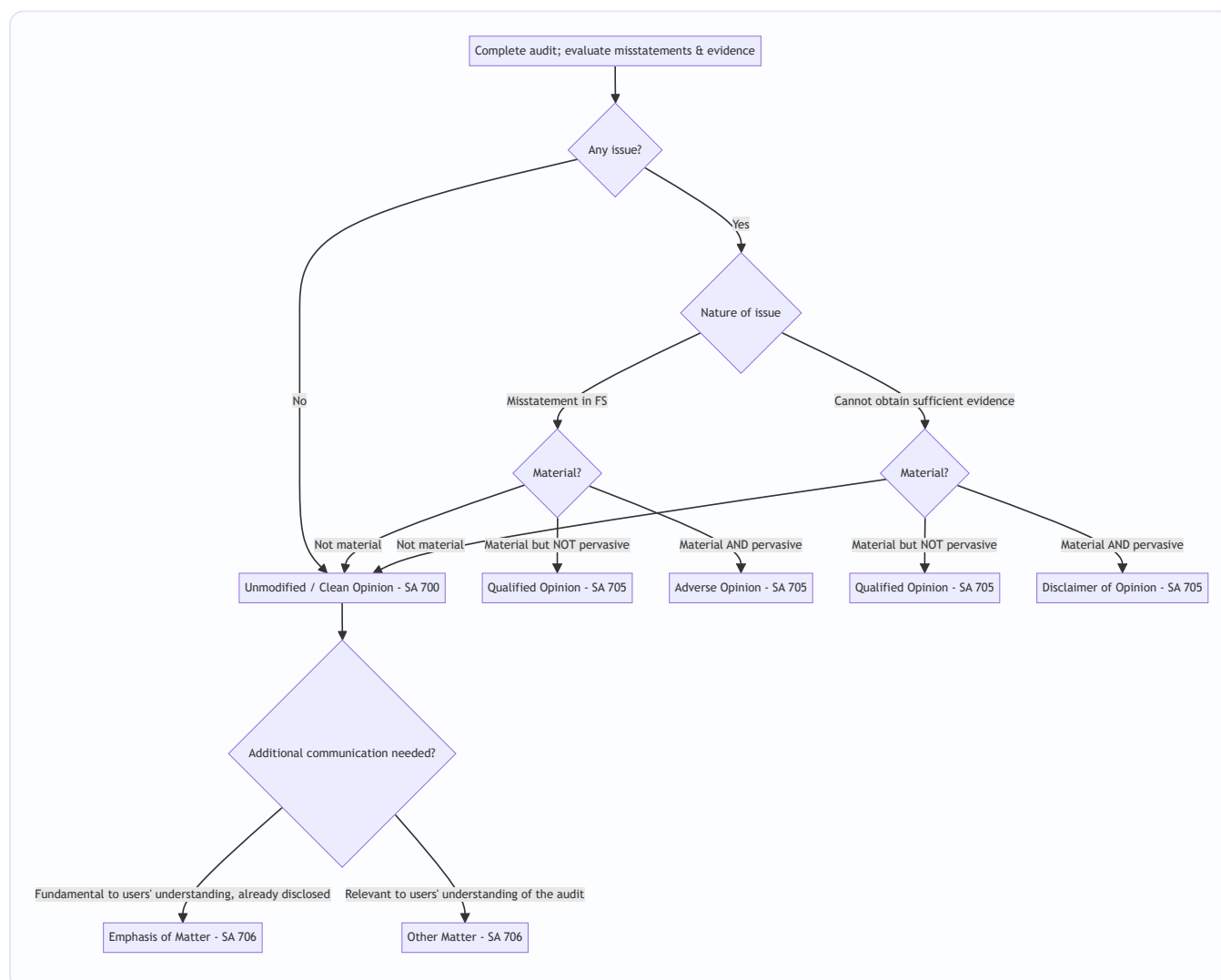


*Figure 9.5 — Only a material weakness modifies the IFC opinion; deficiencies and significant deficiencies are communicated to those charged with governance.*

# Q&A — Audit Report & Opinions

CA Intermediate — Auditing & Ethics. Standards on Auditing covered: SA 700 (Revised), SA 701, SA 705 (Revised), SA 706 (Revised); Sections 143, 134, 129 of the Companies Act 2013; CARO 2020; Section 143(3)(i) read with Rule 10A on Internal Financial Controls.

## Opinion Decision Tree



## Section A — Concept-Check Questions (with answers)

**A1. What is the objective of the auditor under SA 700 (Revised)?** To form an opinion on the financial statements based on evaluation of conclusions drawn from audit evidence, and to express that opinion clearly through a written report. The auditor concludes whether reasonable assurance has been obtained that the FS as a whole are free from material misstatement (SA 700, para 6).

**A2. On what two things must the auditor conclude before forming an opinion?** (i) Whether sufficient appropriate audit evidence has been obtained (per SA 330), and (ii) whether uncorrected misstatements are material, individually or in aggregate (per SA 450). The auditor also evaluates whether the FS are prepared in

accordance with the applicable financial reporting framework, including adequacy of disclosures (SA 700, paras 10–15).

**A3. Distinguish "material" from "pervasive."** Material means the misstatement (individually or aggregated) could reasonably be expected to influence users' economic decisions. Pervasive (SA 705, para 5) describes effects that are NOT confined to specific elements/accounts, OR if confined, represent a substantial proportion of the FS, OR relate to disclosures fundamental to users' understanding. Pervasiveness decides between Qualified vs Adverse/Disclaimer.

**A4. State the three types of modified opinion and the trigger for each.** Per SA 705: (i) **Qualified** — material but not pervasive misstatement, or inability to obtain evidence that is material but not pervasive ("except for"). (ii) **Adverse** — material AND pervasive misstatement. (iii) **Disclaimer** — inability to obtain evidence whose possible effects are material AND pervasive.

**A5. What is a Key Audit Matter under SA 701 and who must report them?** KAMs are those matters that, in the auditor's professional judgement, were of most significance in the audit of the current period's FS; they are selected from matters communicated to those charged with governance (SA 701, para 8–9). Communicating KAM is mandatory for audits of **listed entities'** complete sets of general purpose FS, or when otherwise required by law/decided by the auditor.

**A6. Differentiate Emphasis of Matter (EOM) from Key Audit Matters (KAM).** An EOM paragraph (SA 706) refers to a matter **already appropriately presented/disclosed** in the FS that is fundamental to users' understanding; it does not modify the opinion. KAM (SA 701) is a communication about audit significance and may include matters not necessarily the most fundamental to users but most significant to the audit. A matter giving rise to a modified opinion or material uncertainty on going concern is NOT communicated as EOM.

**A7. Emphasis of Matter vs Other Matter paragraph — the core distinction?** EOM relates to a matter **presented or disclosed in the FS**. An Other Matter paragraph (SA 706) relates to a matter **NOT presented or disclosed in the FS** but relevant to users' understanding of the audit, the auditor's responsibilities, or the report (e.g., prior period audited by predecessor auditor).

**A8. List the elements of an unmodified audit report under SA 700 (order).** Title; Addressee; Opinion; Basis for Opinion; (Going Concern if applicable, SA 570); Key Audit Matters (where SA 701 applies); Responsibilities of Management/TCWG for the FS; Auditor's Responsibilities for the Audit; Other Reporting Responsibilities (e.g., s.143(3), CARO); Signature; Place; Date; UDIN. The **Opinion section is placed first**, followed immediately by the Basis for Opinion.

**A9. What must the "Basis for Opinion" section state?** That the audit was conducted per SAs; a reference to the section describing auditor's responsibilities; a statement of independence and fulfilment of ethical responsibilities under the ICAI Code of Ethics; and a statement that audit evidence obtained is sufficient and appropriate to provide a basis for the opinion (SA 700, para 28).

**A10. What is the reporting duty under Section 143(3)(i) of the Companies Act 2013?** The auditor must report whether the company has an **adequate internal financial controls with reference to financial statements** in place and the operating effectiveness of such controls. Applies subject to exemptions notified for certain private companies. IFC reporting is a separate opinion, typically in Annexure B to the main report.

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## Section B — Applied Scenario Questions (situation → audit response with reasoning)

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**B1. Inventory overstated; effect isolated.** *Situation:* A company values inventory at cost ignoring NRV; the overstatement is Rs. 40 lakh, material but confined only to the inventory line and profit; other areas are correct. *Response:* This is a material misstatement that is **NOT pervasive** (confined to specific accounts). Per SA 705, the auditor expresses a **Qualified Opinion** ("except for the effects of the matter described..."). The Basis for Qualified Opinion paragraph must quantify the effect (inventory and profit overstated by Rs. 40 lakh) where practicable. Opinion section heading changes to "Qualified Opinion."

**B2. Management refuses access to a subsidiary's records.** *Situation:* The parent's investment in and share of results from a foreign subsidiary is a substantial proportion of the group; the auditor cannot obtain any evidence about it. *Response:* This is an **inability to obtain sufficient appropriate audit evidence** whose possible effects are **material and pervasive** (substantial proportion of FS). Per SA 705, the auditor issues a **Disclaimer of Opinion**. The report states the auditor does not express an opinion and, because of the significance, has not been able to obtain sufficient appropriate evidence. The KAM section is not required when a disclaimer is issued (SA 705).

**B3. Multiple pervasive misstatements.** *Situation:* Fixed assets, revenue recognition and liabilities are all misstated; the FS as a whole are unreliable. *Response:* Misstatements are both material AND pervasive → **Adverse Opinion** under SA 705. The auditor states the FS do NOT give a true and fair view. A Basis for Adverse Opinion paragraph describes the matters.

**B4. A material uncertainty on going concern, adequately disclosed.** *Situation:* The company has net current liabilities and defaulted on loans; a material uncertainty exists but is **adequately disclosed** in the notes. *Response:* Opinion is **unmodified**. Per SA 570 (Revised) read with SA 700, the auditor includes a **separate "Material Uncertainty Related to Going Concern"** section drawing attention to the disclosure. This is NOT an Emphasis of Matter and NOT a modification. If disclosure were inadequate → Qualified/Adverse under SA 705.

**B5. Restatement note fundamental to understanding.** *Situation:* The company restated prior figures for a change following a court order; the note is correctly presented and material to understanding. *Response:* Opinion unmodified. Add an **Emphasis of Matter paragraph** under SA 706 drawing attention to the note, stating the opinion is not modified in respect of this matter. Placed after Basis for Opinion, referencing the specific note.

**B6. Prior period audited by another auditor.** *Situation:* Comparatives for the prior year were audited by the predecessor auditor. *Response:* Opinion unmodified for current year. Include an **Other Matter paragraph** (SA 706 / SA 710) stating the prior period FS were audited by the predecessor auditor who expressed an [unmodified] opinion on [date]. This concerns the audit, not a matter disclosed in the FS.

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## Section C — Past-Paper-Style Descriptive Questions (with model answers)

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**C1. "Explain the circumstances requiring a modification and how the auditor decides between the three modified opinions." (SA 705)** *Answer:* Under SA 705 (Revised), the auditor modifies when either (a) based on evidence, the FS as a whole are **not free from material misstatement**, or (b) the auditor is **unable to obtain sufficient appropriate audit evidence** to conclude the FS are free from material misstatement. The decision then depends on a two-factor judgement: the **nature** of the matter and the **pervasiveness** of



its effects (or possible effects). If material but not pervasive → **Qualified**. If misstatement is material and pervasive → **Adverse**. If the inability to obtain evidence has possible effects that are material and pervasive → **Disclaimer**. Pervasive (para 5) means effects not confined to specific elements, or if confined represent a substantial proportion, or relate to disclosures fundamental to users' understanding. When modified, the opinion section is headed appropriately (e.g., "Qualified Opinion") and a "Basis for [Modified] Opinion" section describes the matter and quantifies effects where practicable.

**C2. "Discuss Key Audit Matters — meaning, applicability, and how they are determined and communicated." (SA 701)** *Answer:* KAMs (SA 701) are matters that, in the auditor's professional judgement, were of most significance in the audit of the current period. Applicability is mandatory for audits of **listed entities'** complete general purpose FS and where law/regulation requires or the auditor otherwise decides to communicate. Determination (para 9–10) starts from matters communicated to TCWG; from these the auditor narrows to those requiring **significant auditor attention**, considering areas of higher assessed risk of material misstatement or significant risks (SA 315), significant auditor judgements relating to areas of management judgement/estimates with high estimation uncertainty (SA 540), and the effect of significant events/transactions. Each KAM is described in a separate section, referencing related FS disclosures, explaining **why** it was considered most significant and **how** it was addressed in the audit. KAMs do not modify the opinion and are not a substitute for a modification, EOM, or going concern reporting.

**C3. "State the auditor's duties under Section 143 and the matters to be reported under Section 143(3)." (Companies Act 2013)** *Answer:* Section 143(1) gives the auditor a right of access to books/accounts/vouchers and to require information; specific inquiries (loans on security, book entries prejudicial to interests, etc.) are prescribed. Section 143(2) requires the report to members. Section 143(3) mandates reporting, inter alia, on: (a) whether all information and explanations necessary were obtained; (b) whether proper books of account as required by law have been kept; (c) whether the report on branch accounts was received and dealt with; (d) whether the balance sheet and P&L agree with books and returns; (e) whether the FS comply with the **accounting standards**; (f) observations/comments having adverse effect on functioning; (g) director disqualification under s.164(2); (i) adequacy and operating effectiveness of **internal financial controls with reference to FS**; (j) other prescribed matters (Rule 11 — pending litigations, foreseeable losses on long-term contracts, transfer to IEPF, etc.). Section 143(12) requires **fraud reporting** — frauds above the prescribed threshold to the Central Government, and others to the Audit Committee/Board.

**C4. "Distinguish CARO 2020 reporting from the main audit report and note its applicability."** *Answer:* CARO 2020 (issued under s.143(11)) requires a statement on specified matters in a **separate annexure** to the auditor's report. It applies to most companies **except** one person companies, small companies, banking/insurance/s.8 companies, and certain private companies within specified capital, borrowing and turnover limits. Unlike the main report (an opinion under SA 700), CARO requires **factual/affirmative answers** on 21 clauses (e.g., property/PPE and title deeds, inventory and working capital limits, investments/loans/guarantees under s.185/186, deposits, cost records, statutory dues, default in repayment to lenders, utilisation of funds raised, fraud noticed/reported, whistle-blower complaints, related party compliance u/s 177/188, internal audit system, resignation of statutory auditors, and financial ratios/going concern). Negative or qualified answers must state reasons.

**C5. "Write short notes on Emphasis of Matter and Other Matter paragraphs." (SA 706)** *Answer:* Under SA 706 (Revised), an **Emphasis of Matter paragraph** refers to a matter **appropriately presented or disclosed** in the FS that, in the auditor's judgement, is of such importance that it is fundamental to users' understanding. The auditor uses it only if evidence obtained shows the matter is not materially misstated, includes a clear reference to the matter and its location in the FS, and states the opinion is not modified. An

**Other Matter paragraph** refers to a matter **not presented or disclosed** in the FS that is relevant to users' understanding of the audit, the auditor's responsibilities, or the report. Neither is a substitute for a modified opinion, required disclosures, or going concern reporting. Placement is after Basis for Opinion (and generally after any KAM), with appropriate heading.

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## Section D — MCQs / Case Scenarios (correct option + one-line reasoning)

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- D1.** A material misstatement is confined to one account and is not pervasive. The auditor should issue: (a) Adverse (b) Disclaimer (c) **Qualified** (d) Unmodified **Ans: (c)** — Material but not pervasive misstatement → Qualified Opinion (SA 705).
- D2.** The auditor cannot obtain evidence and the possible effects are material AND pervasive: (a) Qualified (b) **Disclaimer** (c) Adverse (d) EOM **Ans: (b)** — Inability + material & pervasive → Disclaimer of Opinion (SA 705).
- D3.** Communicating Key Audit Matters is mandatory for: (a) all companies (b) **listed entities** (c) private companies only (d) no company **Ans: (b)** — SA 701 mandates KAM for listed entities' complete general purpose FS.
- D4.** A material uncertainty on going concern is adequately disclosed. The auditor's opinion is: (a) Adverse (b) Qualified (c) **Unmodified with a separate GC section** (d) Disclaimer **Ans: (c)** — Adequate disclosure → unmodified opinion + "Material Uncertainty Related to Going Concern" section (SA 570/700).
- D5.** A paragraph referring to a matter NOT disclosed in the FS but relevant to understanding the audit is: (a) EOM (b) **Other Matter** (c) KAM (d) Basis for Opinion **Ans: (b)** — Not presented/disclosed in FS but relevant to the audit → Other Matter (SA 706).
- D6.** Reporting on adequacy and operating effectiveness of internal financial controls with reference to FS is under: (a) s.143(3)(f) (b) **s.143(3)(i)** (c) s.143(3)(g) (d) s.134 **Ans: (b)** — Section 143(3)(i) covers IFC reporting.
- D7.** In an unmodified report, which section appears immediately after the Opinion? (a) KAM (b) **Basis for Opinion** (c) Management's Responsibility (d) EOM **Ans: (b)** — SA 700 places Basis for Opinion immediately after Opinion.
- D8. Case scenario.** During the audit of listed company X Ltd, the auditor found (i) trade receivables overstated by Rs. 12 lakh (material, isolated), (ii) a correctly disclosed litigation note fundamental to understanding, and (iii) valuation of a complex derivative was the area of most audit significance. - The opinion type: **Qualified** — material but not pervasive misstatement (SA 705). - The litigation note treatment: **Emphasis of Matter** — properly disclosed, fundamental (SA 706). - The derivative treatment: **Key Audit Matter** — most significant to the audit of a listed entity (SA 701).
- D9.** CARO 2020 is issued under which provision? (a) s.134 (b) **s.143(11)** (c) s.129 (d) s.139 **Ans: (b)** — CARO 2020 is issued under Section 143(11) of the Companies Act 2013.
- D10.** When an Adverse Opinion is expressed, the auditor states that the financial statements: (a) give a true and fair view (b) **do not give a true and fair view** (c) may give a true and fair view (d) no opinion is expressed **Ans: (b)** — Adverse Opinion asserts the FS do not give a true and fair view (SA 705).
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## Examiner Traps (quick reminders)

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- Do NOT use EOM to substitute for a modified opinion or for required disclosures — SA 706 forbids it.
- Going concern material uncertainty (adequately disclosed) = **unmodified** opinion + separate GC section, never EOM.
- Disclaimer arises from **inability to obtain evidence**, never from a known misstatement (a pervasive misstatement → Adverse).
- KAM never replaces a modification; and no KAM section when a Disclaimer is issued.
- Quantify the effect in the Basis paragraph "where practicable" — always mention this.

# Chapter 10 — Audit Documentation & Quality Control

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## 1. The Problem

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Imagine an auditor signs a report on a company's financial statements. The report is one page. It says, in effect, "*I looked; the numbers are true and fair.*" Two years later something goes wrong — a fraud surfaces, a bank that lent on the strength of those accounts loses money, a regulator opens an inquiry. Everyone now turns to the auditor and asks a single, brutal question:

**"Prove you actually did the work."**

Here is the trap. Auditing is invisible. Unlike a builder who leaves a bridge, or a surgeon who leaves a scar, the auditor leaves almost nothing physical behind. The *judgement* happened inside the auditor's head. The *procedures* happened across weeks, spread over a team of juniors, seniors and a partner. The *conversations* with management evaporated the moment they ended. If the auditor cannot reconstruct what was done, then from the outside there is **no difference between a diligent audit and a lazy one** — both produce the same one-page report.

This is the first problem: **the work product is invisible, so its quality is unverifiable.**

The second problem sits on top of it. An audit is never done by one person in one sitting. A junior tests bank reconciliations, a senior reviews the junior, the manager reviews the senior, the engagement partner signs. Each layer must be able to *check* the layer below. But you cannot review what you cannot see. If the junior's work lives only in the junior's memory, the senior is reviewing nothing — merely trusting.

The third problem is the deepest. A firm may have a brilliant partner and a reckless one working under the same letterhead. The client, the shareholder, the regulator cannot tell them apart before the fact — they all buy "an audit by XYZ & Co." So the *firm itself* becomes the unit of trust, and the firm must somehow guarantee that **every** engagement, done by **anyone** in its name, meets a minimum standard. One weak audit stains the whole firm's signature.

So we have three linked failures of trust waiting to happen:

- The individual auditor cannot **prove** the work (evidence problem).
- The team cannot **review** the work (supervision problem).
- The firm cannot **guarantee** consistency across engagements (quality problem).

Every rule in this chapter exists to close one of these three gaps.

**A fourth, quieter problem — the passage of time.** Even a perfect audit, perfectly documented, is useless if the record vanishes before anyone needs it. Memory decays, staff leave the firm, laptops are wiped, and disputes surface *years* after the report. So beyond making the work visible, the architecture must make it *durable and retrievable* on demand. This is why "retention" and "safe custody" are not clerical afterthoughts but first-class rules — they answer the question "*and will the proof still exist when it is finally demanded?*" Keep this fourth gap in mind; the 7-year and 60-day numbers in Section 4 are its direct answer.

**Why this problem is uniquely acute for auditing (and not, say, for a bookkeeper).** A bookkeeper's output *is* the record — the ledger they produce is itself the evidence of their work. An auditor's output is an

*opinion*, and an opinion is a mental state. The entire value of the profession rests on the reliability of an invisible mental act performed on someone else's records. That structural feature — a high-stakes conclusion with no natural physical trace — is what forces auditing, uniquely, to *manufacture* its own evidence of diligence. Documentation is that manufactured evidence. Understanding this makes the whole chapter feel inevitable rather than arbitrary.

## 2. The Core Idea

The core idea is disarmingly simple and worth stating as a single sentence you can carry through the whole chapter:

**An audit opinion is only as good as the evidence that the audit was properly done — so the "record of the audit" is itself part of the audit.**

Two words do the heavy lifting: **documentation** and **quality control**. They are not two separate topics that happen to share a chapter. They are the *same* answer to the *same* problem, applied at two different levels.

- **Documentation** (SA 230) is how a single engagement makes its invisible work **visible and permanent**. It converts memory, judgement and conversation into a durable file that a stranger could pick up and understand.
- **Quality control** (SA 220 at the engagement level, and **SQC 1** at the firm level) is the system that makes sure the documented work is actually *good* — that competent people did it, that it was reviewed, that independence was protected, that difficult judgements got a second set of eyes.

The mental model to hold: **documentation is the evidence; quality control is the process that the evidence must record**. Quality control says "*a review must happen*." Documentation says "*and here is the proof it happened*." They interlock. A review that is not documented might as well not have occurred (nobody can prove it). Documentation of a process that has no quality-control requirement is just paperwork. Together they answer "*prove you did the work, and prove the work was good*."

Notice the recurring auditing DNA here: audit exists to solve the **trust/agency problem** between management (who prepare the accounts) and users (who rely on them). The auditor is the trusted intermediary. But *who audits the auditor?* Documentation and quality control are the profession's answer — they make the auditor's own work reviewable, so that the chain of trust does not simply dead-end at "trust me."

**A sharper way to see the interlock — the four-way "prove it" matrix.** The exam rewards students who can place any rule on this grid instantly:

| What must be proved                                         | Whose job                    | Instrument             |
|-------------------------------------------------------------|------------------------------|------------------------|
| That the work was done                                      | Individual auditor           | SA 230 (documentation) |
| That <i>this</i> engagement's work was good                 | Engagement partner           | SA 220                 |
| That <i>every</i> engagement's work is consistently good    | The firm                     | SQC 1                  |
| That a <i>high-stakes</i> opinion was independently checked | An outside-the-team reviewer | EQCR                   |

Every requirement in Section 4 drops into exactly one of these rows. When a problem statement confuses you, ask "*which row is this testing?*" and the applicable standard resolves itself.

**The "documentation is a verb, then a noun" idea.** Beginners think documentation is filing paper *after* the audit. It is not. It is a *contemporaneous act* — you document *as* you perform, because the standard of proof it must meet (an outsider reconstructing your reasoning) can only be met while the reasoning is fresh. The noun (the audit file) is merely the accumulated residue of the verb. This distinction underlies the whole "assembly is not new work" rule later: by assembly time, the *documenting* is essentially over; only the *collating* remains.

### 3. Why It's Built This Way

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Before the technical content, understand *why* the architecture looks the way it does. Every design choice is a response to a specific risk.

**Why not just trust the auditor's word?** Because the auditor has a subtle conflict. The auditor is *paid by the audited* (the company pays the audit fee), and the auditor's own reputation is on the line. When something goes wrong, there is every incentive to say "*of course I checked that*" after the fact. A contemporaneous, dated, un-editable-after-assembly file removes the temptation and the ambiguity. The file speaks; the auditor's later memory does not have to.

**Why demand a specific standard of documentation ("experienced auditor with no prior connection")?**

Because a private shorthand only the preparer understands proves nothing to a reviewer or a court. The benchmark forces the file to be self-explanatory to an *outsider*. This is the single most tested idea in SA 230 and the reason for its exact wording.

**Why put quality control at *two* levels (firm and engagement)?** Because the two risks are different. A single engagement can go wrong because *that* team cut corners — so you need engagement-level control (SA 220): a partner responsible for *this* audit. But engagements can *systematically* go wrong because the *firm* hires badly, trains badly, or tolerates independence breaches — so you need firm-level control (SQC 1): policies that apply to *all* engagements. Fixing one level cannot fix the other. A great partner cannot save a rotten firm; great firm policies cannot save an engagement where the partner ignores them.

**Why an *independent* second review (EQCR) for high-risk engagements?** Because the engagement partner is the very person whose judgement is under stress on a tough call — self-review bias means the person who made a decision is the worst-placed to spot its flaw. For listed companies and other high-risk cases, the profession inserts a reviewer who was *not* on the engagement, precisely so the second opinion is genuinely second.

**Why fixed retention periods?** Because disputes surface *late*. Litigation, regulatory inquiry, tax reassessment — these often arrive years after the report. If the file is destroyed, the auditor is defenceless and the public-interest record is gone. But keeping everything forever is costly and pointless. So the profession fixes a period long enough to cover the realistic tail of disputes and no longer.

**Why a fixed *assembly* window (and why so short — 60 days)?** Because an "open" file is a dangerous file. As long as the file can still be added to freely, the auditor can retroactively strengthen weak areas after seeing how things played out — the essence of hindsight-driven backdating. Yet slamming the file shut the instant the report is signed is impractical: real administrative collation (indexing, cross-referencing, discarding superseded drafts, obtaining final signed representations already agreed) genuinely takes days. So the

profession grants a *short, bounded* window for administration only, then locks the file. Sixty days is long enough to collate, short enough that no meaningful "new audit" can masquerade as "assembly."

**Why make the file the auditor's *property* rather than the client's, when the client pays?** Because the file's whole function is to let the auditor defend an *independent* opinion — potentially *against* the client. If the client owned the file, the client could withhold or destroy the very evidence the auditor needs to answer a regulator, and could pressure the auditor by threatening file access. Ownership by the auditor keeps the accountability instrument in the hands of the accountable party. (This is also why the client's payment of the fee does *not* transfer ownership — the fee buys an opinion, not the auditor's private evidence of diligence.)

**Why house documentation, assembly and retention *inside* SQC 1's Element 5 rather than leaving them to individual auditors?** Because a rule that depends on each individual's discipline fails silently and invisibly. By making it *firm policy*, the obligation acquires an owner (firm leadership), a monitoring mechanism (Element 6), and consequences. The firm — an institution that outlives any individual — becomes the guarantor that files survive staff turnover.

Hold this frame: **documentation and quality control are risk-management architecture, not bureaucracy.** Each rule below maps to a risk you can now name.

## 4. Full Technical Content

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This is the exam-complete core. Every requirement is wrapped in the risk it counters. The four pillars are: **SA 230** (documentation), **SA 220** (engagement quality control), **SQC 1** (firm quality control), and **EQCR** (the independent review).

### 4.1 SA 230 — Audit Documentation

**What "audit documentation" means.** SA 230 defines it as the record of (a) audit procedures performed, (b) relevant audit evidence obtained, and (c) conclusions the auditor reached. The old term was "working papers"; the file as a whole is the **audit file**. This tri-part definition is deliberate — it forces the file to answer *what did you do, what did you find, and what did you conclude*, which are exactly the three things a sceptic will interrogate.

**Two defined terms the examiner separates.** SA 230 distinguishes: - **Audit documentation** — the *record* (working papers) of procedures, evidence and conclusions. - **Audit file** — one or more folders or storage media, *physical or electronic*, containing the records that comprise the documentation for a *specific* engagement.

The distinction matters because "audit file" is the *unit* to which the assembly and retention deadlines attach. The medium is explicitly technology-neutral: a fully electronic file is as valid as paper, provided integrity, safe custody and retrievability are preserved (which is exactly why SQC 1 lists those attributes — see 4.3).

**The purpose (the "why" is examinable).** SA 230 lists why documentation matters, and each maps to a Section-1 problem:



| Purpose of documentation                                                      | Risk it counters                                |
|-------------------------------------------------------------------------------|-------------------------------------------------|
| Evidence of the basis for the auditor's opinion                               | "Prove you did the work" — defends the opinion  |
| Evidence the audit was planned and performed per SAs and law                  | Regulatory/peer-review challenge                |
| Enables the engagement team to be directed, supervised, reviewed              | Supervision problem — the team can check itself |
| Retains a record of matters of continuing significance to future audits       | Efficiency and continuity across years          |
| Enables quality control reviews and inspections (internal and external)       | Firm-level and regulatory oversight             |
| Enables the conduct of external inspections per legal/regulatory requirements | NFRA / peer review / QRB inspection             |
| Assists in defending against litigation                                       | The late-dispute problem                        |
| Assists in planning and performing the audit efficiently                      | Duplication and re-work avoided                 |
| Discharges accountability of the engagement team                              | Fixes responsibility on named individuals       |

**The governing standard — the benchmark of "enough."** This is the heart of SA 230 and the most common exam hook. Documentation must be sufficient to enable an **experienced auditor, having no previous connection with the audit, to understand:**

- (a) the **nature, timing and extent** of the audit procedures performed (the "what and how much");
- (b) the **results** of those procedures and the audit evidence obtained;
- (c) **significant matters** arising, the **conclusions** reached, and **significant professional judgements** made in reaching those conclusions.

Unpack why each phrase exists. "*Experienced auditor*" — so the standard is not "understandable to the person who wrote it" (that proves nothing) but understandable to a competent peer. "*No previous connection*" — strips away all the context that lived in the original auditor's head; the file must stand alone. "*Nature, timing and extent*" — the three dimensions of any procedure; a file that says "checked sales" without saying *how, when, and how much* is worthless. This benchmark is the operational meaning of "sufficient documentation."

**Who exactly is the "experienced auditor"?** SA 230 defines this hypothetical person precisely — an individual (whether internal or external to the firm) who has **practical audit experience** and a **reasonable understanding** of (i) audit processes, (ii) the SAs and applicable legal/regulatory requirements, (iii) the business environment in which the entity operates, and (iv) auditing and financial reporting issues relevant to the entity's industry. Note two subtleties the examiner exploits. First, "no previous connection with *this* audit" does **not** mean "knows nothing about the industry" — the benchmark reader is a *skilled* stranger, not an ignorant one. So you need not spell out generic professional knowledge the reader already has; you need only supply what is *specific to this engagement*. Second, this dual nature (skilled but disconnected) is what lets the file be *concise yet complete* — you calibrate detail to what a competent peer would *not* already know.

**What must be recorded to identify the work (the identifiability rule).** Because the file must be reconstructable, SA 230 requires the auditor to record:

- **who performed** the work and the **date** it was completed;
- **who reviewed** the work, the **date**, and the **extent** of review.

Reason: this is the audit trail of the *supervision* itself. It proves not just that testing happened but that the review layers actually operated. Note the subtle "extent" requirement on review — recording *that* it was reviewed is not enough; the file shows *how much* was reviewed, because a rubber-stamp signature and a substantive review look identical without it.

**Documenting identifying characteristics of items tested.** When recording procedures, the auditor records the **identifying characteristics** of the items tested — e.g., for a sample of purchase orders, the specific PO numbers and range; for a walkthrough, the specific transaction reference. Reason: it must be possible to *re-perform* or *trace back* to the exact items, otherwise "we tested a sample" is unfalsifiable. Worked micro-examples of "identifying characteristics" the examiner may expect:

| Procedure / population                         | Identifying characteristic to record                                                                                                 |
|------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------|
| Sample of purchase orders selected for testing | The PO numbers <i>and</i> the range from which selected (e.g., "POs raised 1 Apr–31 Mar, nos. 10001–14567; sample nos. ...")         |
| Systematic sample with a random start          | The <i>source</i> , the <i>starting point</i> , and the <i>sampling interval</i> (e.g., "every 125th voucher from receipt no. 4051") |
| Inquiry procedure                              | The <i>date</i> of the inquiry, the <i>name and designation</i> of the person, and the topic                                         |
| Observation of a process                       | The process observed, the <i>date</i> , and <i>who</i> was performing it when observed                                               |

**Significant matters and professional judgement.** The auditor must document discussions of significant matters with management, TCWG and others, including *when* and *with whom*. Reason: oral discussions evaporate; the significant, contentious, judgemental parts of an audit are exactly where later disputes cluster, so those are the parts that most need a written record. SA 230 also flags examples of *significant matters*: matters giving rise to significant risks; results of procedures indicating a possible material misstatement or a need to revise the auditor's prior risk assessment; circumstances causing significant difficulty in applying necessary procedures; and findings that could lead to a modification of the opinion or an Emphasis of Matter paragraph.

**Oral explanations are not documentation.** A precise, examinable point: oral explanations by the auditor, *on their own*, do **not** represent adequate support for the work performed or conclusions reached — but they **may** be used to *explain or clarify* information contained in the documentation. In other words, talking cannot *substitute* for the file, though it can *illuminate* it. A file that "would have been fine if the auditor had been available to explain it" fails, because the whole point is that the file must stand without the auditor present.

**Departure from a relevant requirement (the exception log).** If, in exceptional circumstances, the auditor departs from a *relevant requirement* of an SA, the auditor must document **how the alternative procedures performed achieve the aim of that requirement, and the reasons for the departure**. Reason: SAs are mandatory; a documented, reasoned departure is accountable, an undocumented one is a violation. Note the tight scope: this concerns a *relevant* requirement (one that applies because the circumstances it addresses exist) that the auditor judges *not relevant* or impossible to meet — it is **not** a licence to skip requirements at will. If a requirement is *conditional* and the condition is absent, the requirement simply does not apply and no "departure" documentation is triggered at all.

**Matters arising after the date of the auditor's report.** If, in exceptional circumstances, the auditor performs new or additional procedures or draws new conclusions *after* the report date, the auditor documents: the circumstances, the new procedures/evidence/conclusions, and *when and by whom* the file changes were made and reviewed. Reason: this is the anti-backdating rule — it prevents silently "fixing" the

file after signing. Link this to SA 560 (Subsequent Events): the *trigger* for such after-the-fact work is usually a fact that becomes known after the report date that, had it been known then, might have changed the report. SA 230 governs the *documentation* of that work; SA 560 governs *whether and how* the auditor must act.

**Assembly of the final audit file.** SQC 1 (and SA 230 by reference) requires the auditor to **assemble the final audit file on a timely basis after the date of the auditor's report**. The time limit fixed by SQC 1 is **ordinarily not more than 60 days** after the date of the auditor's report. Reason: assembly is an *administrative* completion — collating, sorting, discarding superseded drafts — **not** a window to do new audit work. Fixing 60 days prevents the file from staying "open" indefinitely (which would let the auditor keep changing conclusions).

**What "administrative" assembly actually includes (and excludes).** Permissible during the ≤60-day window: deleting or discarding superseded documentation; sorting, collating and cross-referencing working papers; signing off on completion checklists relating to the assembly process; and documenting evidence the auditor *obtained, discussed and agreed with relevant team members before the date of the report*. **Not** permissible: performing new audit procedures, drawing new conclusions, or obtaining fresh evidence about matters not resolved before the report date. The bright line is the *report date*, not the assembly deadline — anything substantive must have been *concluded* by the report date; assembly only tidies its record.

**Critical distinction (heavily tested):** *before* the report date the auditor can still do audit work; the **assembly period (≤60 days after)** is only for administrative completion. After assembly, the auditor **must not delete or discard** documentation before the end of the retention period, and any change/addition must be documented with who, when, why (as above).

**Retention period.** SQC 1 requires that the retention period for audit engagements is **ordinarily no shorter than seven years from the date of the auditor's report** (or, if later, the date of the group auditor's report). Reason: covers the realistic tail of litigation, regulatory inquiry and inspection. (Note the interaction with law — see Section 7; **confirm the exact interplay with Companies Act record-retention in current ICAI material.**)

**Ownership and confidentiality (a precise, examinable rule).** Working papers are the **property of the auditor**, not the client — even though the client pays the fee. The auditor may, at their discretion, make portions or extracts available to the client, but this is a courtesy, not a right; the client cannot demand them. Simultaneously, the auditor owes a duty of **confidentiality** over the file (client information within it must not be disclosed without authority or legal compulsion) and must keep it in **safe custody**. Hold both halves together: the file belongs to the auditor *and* the auditor must guard the client's confidences inside it.

**Form, contents and extent — what drives "how much."** SA 230 says the extent of documentation is a matter of professional judgement influenced by: size and complexity of the entity, nature of procedures, identified risks of material misstatement, significance of evidence obtained, nature and extent of exceptions identified, and the need to document a conclusion not readily determinable from the work itself. The guiding principle: **document enough for the "experienced auditor" benchmark to be met — no more, no less**. Reason: over-documentation wastes cost and buries the significant; under-documentation fails the proof test.

**What need NOT be documented (a favourite trap).** The auditor need not document *every* matter considered or *every* professional judgement made — only the significant ones. Superseded drafts, notes reflecting incomplete or preliminary thinking, duplicate documents, and copies of documents corrected for

typographical errors need not be retained in the final file. Reason: the file records *conclusions and their basis*, not the messy scaffolding used to reach them. A related nuance: the auditor also need not include *superseded* versions of documents once the final version is on file — but must not discard the final documentation of a *significant matter* merely because it is unflattering.

## 4.2 SA 220 — Quality Control for an Audit of Financial Statements (Engagement Level)

SA 220 sits *inside* the firm's overall system (SQC 1) and asks: for **this specific engagement**, how is quality delivered? The unifying idea: **the engagement partner is responsible for the overall quality of the engagement** and must take the lead on it. Each requirement below is the partner discharging a specific quality risk.

**The reliance principle (structural link to SQC 1).** SA 220 is built on a foundational assumption: *the firm already operates an SQC 1 system*. Therefore the engagement partner is generally **entitled to rely** on the firm's system (e.g., that HR policies produced competent staff, that independence-monitoring caught firm-level threats) **unless information indicates otherwise**. This "rely unless red-flagged" rule is heavily testable — it explains why the partner does not personally re-verify every firm policy, yet remains accountable the moment contrary information appears.

- **Leadership responsibility for quality on the engagement.** The engagement partner sets the tone; quality is not delegated away. Risk: without a single accountable owner, quality falls between chairs.
- **Relevant ethical requirements, including independence.** The partner must remain alert, throughout the engagement, to evidence of non-compliance with ethics, and specifically form a conclusion on **independence** — considering threats, safeguards, and the firm's independence information. Risk: an audit by a non-independent auditor is worthless (the whole point of audit is an *independent* check).
- **Acceptance and continuance of the client relationship.** The partner must be satisfied that appropriate procedures were followed and that the conclusions reached (about integrity of the client, competence and capabilities, and ability to comply with ethics) are appropriate. If the partner obtains information that would have caused the firm to decline the engagement had it been available earlier, the partner must communicate it promptly to the firm so that necessary action is taken. Risk: some clients should never be accepted; taking on a dishonest or infeasible client poisons the engagement from the start.
- **Assignment of engagement teams.** The partner must be satisfied the team (including any auditor's experts *not* part of the team) collectively has the **competence and capabilities** to perform the engagement and prepare an appropriate report. Risk: putting unqualified staff on a complex audit guarantees failure.
- **Engagement performance — direction, supervision and review.** The partner directs the team, supervises the work, and reviews it. The rule: **review by more experienced team members of work done by less experienced members**. The partner need not review *all* documentation but must review — on a timely basis at appropriate stages — significant judgements, significant risks, and other matters the partner considers important. Risk: the supervision problem from Section 1 — unreviewed junior work is unverified.
- **Consultation.** For difficult or contentious matters, the team must consult (internally or externally), and the partner must be satisfied that consultation happened, that the conclusion was agreed with the party consulted, and that the conclusion was **implemented**. Risk: a lone auditor over-confident on a hard technical point. Note the two-part test: agreement *and* implementation — consulting an expert and then ignoring the advice fails the requirement as surely as not consulting at all.

- **Engagement quality control review (EQCR).** For audits of listed entities (and other engagements the firm decides), the partner must ensure an EQCR is appointed, discuss significant matters with the reviewer, and **not date the report until the EQCR is completed** (detail in 4.4). Risk: self-review bias on high-stakes judgements.
- **Differences of opinion.** Within the team, or with the EQC reviewer or those consulted, differences must be resolved per firm policy, and the **report must not be dated until the matter is resolved**. Risk: unresolved dissent buried under a signature.
- **Monitoring.** The partner considers the results of the firm's monitoring process (and any deficiencies flagged) and whether they affect this engagement. Risk: firm-wide problems silently recurring on this file.
- **Documentation (SA 220's own doc requirements — links back to SA 230).** The partner documents: issues on ethical requirements and how resolved; conclusion on independence; conclusions on acceptance/continuance; and the nature, scope and conclusions of consultations. Risk: none of the above is provable unless recorded.

### 4.3 SQC 1 — Quality Control for Firms (Firm Level)

SQC 1 applies to **firms** performing audits, reviews of historical financial information, and other assurance and related services engagements. Its objective: the firm establishes and maintains a **system of quality control** giving reasonable assurance that (a) the firm and its personnel comply with professional standards and legal/regulatory requirements, and (b) reports issued are appropriate in the circumstances. The system rests on **six elements** — each answering a firm-wide risk.

**"Reasonable assurance," not absolute — and why.** SQC 1 promises *reasonable*, not *absolute*, assurance. This mirrors the inherent-limitations idea from SA 200: a system operated by humans, using judgement and sampling, cannot guarantee that no engagement will ever go wrong. The examiner tests whether students overclaim — a firm that fully complies with SQC 1 can *still* have an occasional deficient engagement, and that alone is not proof the system failed.

| # | SQC 1 element                                                                                                                                            | Firm-level risk it addresses                                                                                                                             |
|---|----------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1 | <b>Leadership responsibilities for quality within the firm</b> (the "tone at the top")                                                                   | If leadership prizes fees over quality, everyone follows; quality must be led from the top and not undercut by commercial pressure                       |
| 2 | <b>Ethical requirements</b> (integrity, objectivity, professional competence, confidentiality, professional behaviour) including <b>independence</b>     | Firm-wide independence breaches — the firm must gather independence data, identify threats, apply safeguards, and enforce <b>rotation</b> where required |
| 3 | <b>Acceptance and continuance of client relationships and specific engagements</b>                                                                       | Taking on clients the firm cannot serve competently, ethically, or that lack integrity                                                                   |
| 4 | <b>Human resources</b> (recruitment, competence, career development, capabilities, performance evaluation, assignment of engagement teams)               | Incompetent or under-resourced staff doing audits in the firm's name                                                                                     |
| 5 | <b>Engagement performance</b> (consistent quality, supervision, review, consultation, EQCR, differences of opinion, documentation, assembly & retention) | Inconsistent quality across engagements; this element <i>houses</i> the documentation/assembly/retention rules                                           |
| 6 | <b>Monitoring</b> (ongoing consideration and evaluation of the firm's system, including periodic inspection of completed engagements)                    | The system decaying unnoticed — someone must audit the quality-control system itself                                                                     |

**Leadership (Element 1) has a specific anti-commercial-pressure rule.** SQC 1 requires the firm's leadership to establish policies ensuring that its *commercial considerations do not override the quality of work performed*, and to assign management responsibilities so that commercial priorities cannot compromise quality. The examiner phrases this as scenarios where a managing partner ties promotions purely to fees generated — that arrangement breaches Element 1 because it structurally subordinates quality to revenue.

**Ethics (Element 2) — the specific machinery.** Beyond stating the five fundamental principles, SQC 1 requires the firm to obtain **written confirmation of compliance with independence** from all personnel required to be independent, **at least annually**. It also requires policies to identify and evaluate **familiarity threats** from long association, addressed via safeguards including **rotation** of senior personnel. Note the interaction: statutory rotation under the Companies Act (s.139(2)) is a *legal* overlay on top of this *professional* requirement.

Two of these elements deserve emphasis because they carry the specific rules examiners love:

**Element 5 (Engagement performance) is where the file lives.** SQC 1 mandates the firm to set policies on: completion of engagement documentation in a timely basis, the **assembly of the final file (≤60 days)**, the **confidentiality, safe custody, integrity, accessibility and retrievability** of documentation, and the **retention of documentation (≥7 years)**. Reason: the firm — not just the individual — must guarantee the file survives, stays confidential, and can be produced. A file that is lost, leaked, or tampered with fails its purpose. Memorise the five custody attributes as a set: **confidentiality, safe custody, integrity, accessibility, retrievability** — the examiner asks for them by name.

**Element 6 (Monitoring) is the "audit of the audit system."** The firm must appoint someone competent and with sufficient authority to take responsibility for monitoring, and must perform **cyclical inspection of**



**at least one completed engagement per engagement partner.** Reason: without monitoring, a quality-control system is just a document nobody checks; the periodic inspection is how the firm discovers its own weak spots before a regulator does. Deficiencies found must be **evaluated** to determine whether they are (i) isolated instances or (ii) *systemic, repetitive or otherwise significant* requiring prompt corrective action — and then **communicated** to the relevant engagement partners with recommended remedial action. A single monitoring finding does not automatically mean an issued report was wrong; the firm must assess the *nature and pervasiveness* of the deficiency.

**Complaints and allegations — a monitoring sub-rule.** SQC 1 also requires the firm to establish policies to deal with **complaints and allegations** that work performed fails to comply with standards, or of non-compliance with the firm's own quality-control system. This is the "whistle-blowing / feedback" channel of the monitoring element and is occasionally tested as a distinct requirement.

**Documentation of the system itself.** Distinct from documenting engagements, SQC 1 requires the firm to *document* its quality-control policies and procedures and communicate them to personnel, and to retain documentation providing evidence of the *operation* of each element (e.g., independence confirmations, monitoring inspection results). A firm can breach SQC 1 not by acting badly but by failing to *evidence* that its system operates — the same "prove it" logic, one level up.

#### 4.4 Engagement Quality Control Review (EQCR)

The EQCR is the sharpest instrument in the toolkit, so it gets its own treatment.

**What it is.** An EQCR is an **objective evaluation, by a reviewer who is not part of the engagement team**, of the significant judgements the team made and the conclusions reached in formulating the report. The reviewer is the **engagement quality control reviewer (EQC reviewer)** — a partner, other person in the firm, a suitably qualified external person, or a team of such persons, with sufficient and appropriate experience and authority, and who meets the required objectivity/independence.

**When it is mandatory.** For all audits of financial statements of **listed entities**. The firm's policies must also require an EQCR for **other engagements that meet the firm's criteria** for review (e.g., high public interest, unusual risk, unusual nature/circumstances). Reason: EQCR is expensive; it is targeted at the engagements where a wrong opinion does the most public damage.

**What the reviewer does.** The EQC reviewer performs an **objective evaluation** of: the significant judgements made by the team; the conclusions reached (especially the appropriateness of the report); discussion of significant matters with the engagement partner; review of the financial statements and the proposed report; review of selected working papers relating to significant judgements; and evaluation of the conclusions on independence.

**Criteria for who may be the reviewer (the objectivity safeguards).** SQC 1 sets guardrails so the review is genuinely independent: - The EQC reviewer is **not selected by the engagement partner** in a way that compromises objectivity. - The reviewer **does not participate** in the engagement during the period under review (beyond the review itself). - The reviewer **does not make decisions for the engagement team** — the responsibility for the opinion stays with the engagement partner; the reviewer *evaluates*, it does not *take over*. - The engagement partner may **consult** the reviewer, but consultation must **not compromise** the reviewer's eligibility to perform the review objectively.

This last point is a subtle exam favourite: heavy pre-review consultation can *disqualify* the intended reviewer, because they end up reviewing conclusions they helped form — recreating the very self-review bias EQCR exists to break.



**The timing rule (the key control).** The engagement partner **must not date the auditor's report until the EQCR is complete.** Reason: the whole value of a second review is that it happens *before* the opinion is locked in. A review after the report is signed cannot change the opinion and is therefore worthless as a control.

**Why the reviewer must be independent of the team.** Because the reviewer's job is to catch the *self-review bias* of the very people who made the judgements. If the reviewer were on the team, they would be reviewing their own decisions — the exact conflict the mechanism exists to break.

**EQCR is a *check on*, not a *replacement for*, the partner's own review.** The engagement partner must *already* have concluded that sufficient appropriate evidence supports the opinion *before* the EQC reviewer's work concludes. EQCR does not relieve the partner of responsibility — it adds a second gate, it does not substitute for the first. A scenario where a partner "leaves the hard judgements for the EQC reviewer to sort out" inverts the mechanism and is wrong.



Engagement is an audit of a listed entity or meets firm EQCR criteria



Appoint an EQC reviewer who was NOT on the engagement team



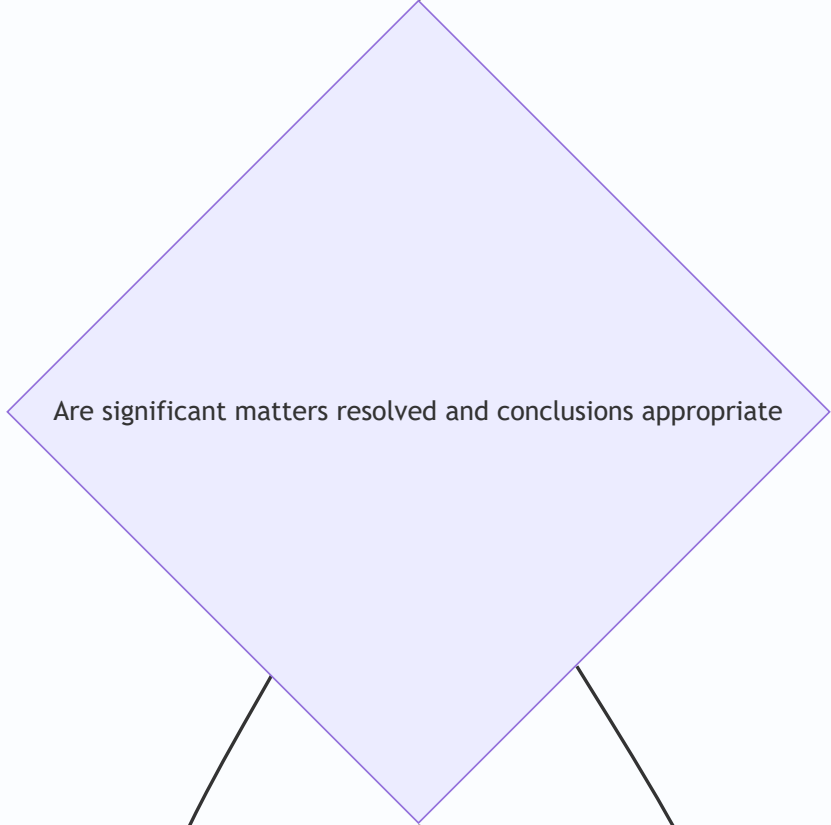
Reviewer objectively evaluates significant judgements and conclusions



Reviewer reviews financial statements, proposed report and selected working papers

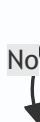


Reviewer evaluates the team conclusion on independence



Are significant matters resolved and conclusions appropriate

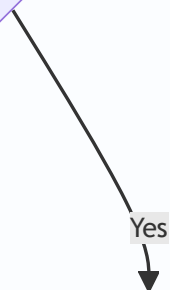
No



Resolve differences per firm policy and revisit the work



Yes



EQCR complete



Only now may the engagement partner date the auditor report

Figure 10.1 — The EQCR gate: the report cannot be dated until the independent review is complete.

## 5. Applied Scenarios

Work these the way the exam frames them: identify the risk, then the requirement that answers it, then the conclusion.

**Scenario A — The confident senior with an empty file.** CA Raghav, a senior on the audit of Meridian Ltd, tested the entire revenue cycle himself. His working paper says: "Revenue tested, found correct." Two years later NFRA inspects the file. The engagement partner insists the testing was thorough. *Was the documentation adequate?*

**Analysis.** No. Apply the SA 230 benchmark: could an **experienced auditor with no previous connection** understand the **nature, timing and extent** of procedures, their **results**, and the **conclusions**? "Revenue tested, found correct" reveals none of these — not *which* transactions (identifying characteristics), not *how* they were tested, not *how many*, not *what results* supported the conclusion. The work may well have been done, but SA 230's whole point is that undocumented work is *unprovable* work. The file fails, and the partner cannot defend the opinion. Additionally, there is no record of **who reviewed** the senior's work and **when** — the supervision trail is missing too. Note the trap variation: if Raghav offers to *explain verbally* what he did, that does **not** cure the defect — oral explanation cannot *substitute* for documentation (it may only *clarify* an already-adequate file).

**Scenario B — Fixing the file after signing.** The auditor of Vault Finance Ltd signed the report on 15 May. On 10 July (56 days later), while assembling the file, a manager realises a key going-concern discussion with the CFO was never written up. She adds a memo dated 10 July recording the May conversation. Separately, on 20 August the auditor *learns of a new fact* about a lawsuit and performs additional procedures. *What are the documentation rules?*

**Analysis.** Two different things are happening. (1) The 10 July memo falls **within the ≤60-day assembly period** and is an **administrative completion** of documentation — permissible, provided it records the discussion that actually occurred *before the report date* and is not new audit work. It should note who added it and when. (2) The 20 August work is *after* the report date and involves **new procedures/conclusions after the report** — SA 230 requires documenting the **circumstances, the new procedures and evidence and conclusions reached, and when and by whom the changes were made and reviewed**. The auditor must **never delete** the original file contents. This is the anti-backdating architecture in action: the file grows transparently; it is never silently rewritten.

**Scenario C — The listed client and the tight deadline.** Sterling Industries Ltd is listed. The engagement partner, under pressure from the audit committee to release results, wants to date and issue the report on 28 June. The EQC reviewer has raised a question on the impairment of goodwill and has not finished her review. The partner argues the EQCR can be "wrapped up next week." *Is this acceptable?*

**Analysis.** No — and this is the single hardest control in the chapter. Because Sterling is **listed**, an **EQCR is mandatory** (SA 220 / SQC 1). The rule is absolute: **the engagement partner must not date the auditor's report until the EQCR is complete**. Dating on 28 June with an open EQCR defeats the purpose of an independent pre-issuance review — a review that cannot change the opinion is no control at all. Moreover, the reviewer's open question on goodwill is precisely a **significant judgement**; if it amounts to a **difference**

**of opinion**, firm policy for resolving differences applies and, again, the report is not dated until resolved. The deadline pressure is real but the sequence is non-negotiable: EQCR complete → then date the report.

**Scenario D — The firm with no monitoring (firm-level).** A small firm has excellent partners but has never inspected any completed engagement, arguing "our partners are experienced, we don't need to." *Does the firm comply with SQC 1?*

**Analysis.** No. SQC 1 **Element 6 (Monitoring)** requires ongoing evaluation of the quality-control system, including **cyclical inspection of at least one completed engagement per engagement partner.**

Competence of partners does not substitute for monitoring — monitoring is the mechanism by which the *firm* discovers whether its system is actually working. "Trust the partners" is exactly the un-checked trust the whole architecture is designed to replace.

**Scenario E — The retention shortcut (numerical).** Orbit Textiles Ltd's audit report is dated **20 August 2021**. In **November 2027** — a little over six years later — the firm, short on storage, destroys the audit file. In **January 2028** a regulator opens an inquiry and demands the file. *Has the firm breached SQC 1, and by how much time?*

**Analysis and reconciliation.** Yes. Retention runs  $\geq 7$  years from the date of the auditor's report, i.e., from 20 Aug 2021. Seven years ends on **20 August 2028**. The file was destroyed in November 2027 — roughly **9 months before** the minimum period expired. Self-check the arithmetic: 20 Aug 2021 + 7 yrs = 20 Aug 2028; Nov 2027 < Aug 2028, so destruction was premature. The consequence is exactly the Section-1 "late dispute" nightmare: the inquiry (Jan 2028) arrives *inside* the retention window, the auditor is now defenceless, and the destruction itself is a standalone SQC 1 breach independent of whether the original audit was good.

**Examiner tweak:** if the report had instead been dated 20 Aug 2019 and the file destroyed in Nov 2027, count again — 20 Aug 2019 + 7 = 20 Aug 2026; Nov 2027 > Aug 2026, so retention would have been *satisfied* and no breach on that ground. The lesson: always anchor the count to the **report date**, not the financial-year-end or the date of destruction.

**Scenario F — Assembly window arithmetic and a substantive intruder (numerical).** Nimbus Software Pvt Ltd's report is dated **30 September 2026**. The firm's SQC 1 policy adopts the "ordinarily not more than 60 days" assembly limit. (i) By what date must the final file be assembled? (ii) On **the 45th day** the engagement manager, while collating, discovers that the *revenue cut-off testing was never actually performed* and quietly performs it now, filing the results as part of "assembly." Is that valid?

**Analysis and reconciliation.** (i) 60 days from 30 Sep 2026: September has 30 days, so 30 Sep + 60 days lands on **29 November 2026** (October 31 + November 29 = 60 days after 30 Sep; verify: 1 Oct is day 1, 31 Oct is day 31, 29 Nov is day 60). So the file must be assembled **on or before 29 November 2026**. (ii)

**Invalid.** Cut-off testing is a *substantive audit procedure*, not administrative collation. It should have been *concluded before the report date* of 30 Sep. Performing it on day 45 is **new audit work masquerading as assembly** — a direct breach of the assembly rule. Worse, it reveals the report may have been dated *without sufficient appropriate evidence* on revenue cut-off, so the real problem is that the opinion was issued prematurely. Correct treatment: this is not "assembly"; if a genuinely new matter emerged, it must be documented under the **after-the-report-date** rule (circumstances, new work, who/when), and the auditor must consider the implications for the *already-issued* opinion under SA 560. **The trap:** the 60-day window tempts students to treat *anything done within 60 days* as fine. The bright line is the *report date* for substance, the *60-day date* only for administration.

**Scenario G — Reviewer who consulted too much (EQCR eligibility).** Zenith Pharma Ltd is listed. During the audit, the engagement partner repeatedly consults Partner K on the accounting for a complex licensing

arrangement, and K effectively co-develops the team's conclusion. At year-end, the firm proposes to appoint **K as the EQC reviewer** because "K already knows the issue best." *Is this appropriate?*

**Analysis.** No. The efficiency argument is exactly backwards. Because K helped *form* the very conclusion on the licensing arrangement, appointing K as EQC reviewer would have K **reviewing K's own judgement** — reconstructing the self-review bias EQCR exists to eliminate. SQC 1's objectivity safeguards say consultation with the intended reviewer must **not compromise** the reviewer's eligibility; here it plainly does, at least on the significant licensing judgement. The firm should appoint a *different* eligible partner (or a suitably qualified external reviewer) who did not participate in forming the engagement's conclusions. **Tweak:** had K's consultation been on a *minor, non-significant* matter, K's eligibility might survive — the disqualifier bites where the consulted matter is one of the *significant judgements* the EQCR must evaluate.

## 6. Procedure & Documentation Summary

A compact operational walkthrough — the lifecycle of the file and the quality gates around it.



Figure 10.2 — Lifecycle of the audit file from procedure to retention, with the quality gates in sequence.

The next diagram isolates the single most error-prone part of the timeline — the events *around and after* the report date — because the examiner concentrates fire there. Notice that the report date is the true bright line for *substance*, while the 60-day and 7-year marks govern only *administration* and *survival*.





All substantive audit work concluded

Engagement partner satisfied sufficient appropriate evidence exists

EQCR complete if applicable and differences resolved

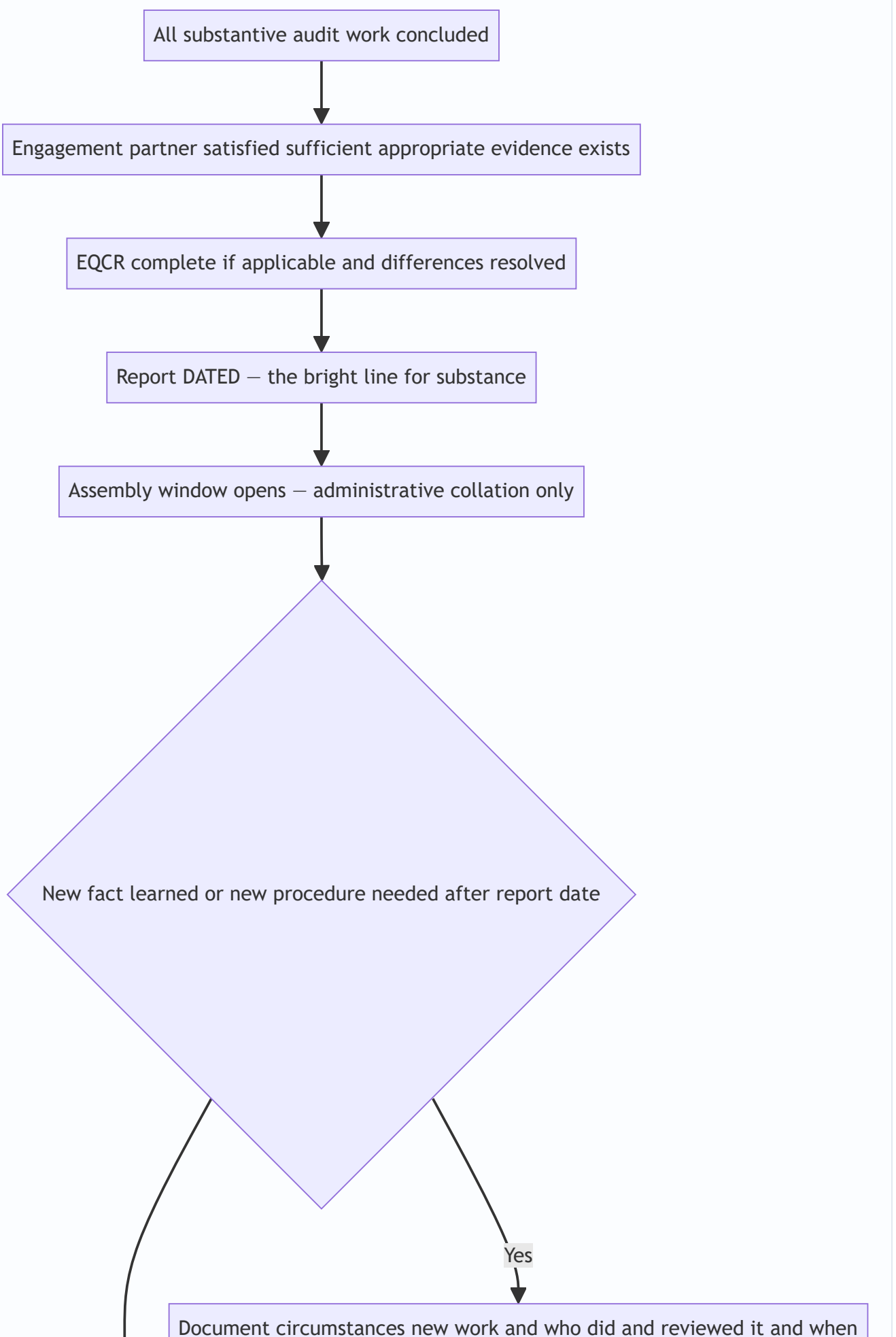
Report DATED – the bright line for substance

Assembly window opens – administrative collation only

New fact learned or new procedure needed after report date

Yes

Document circumstances new work and who did and reviewed it and when



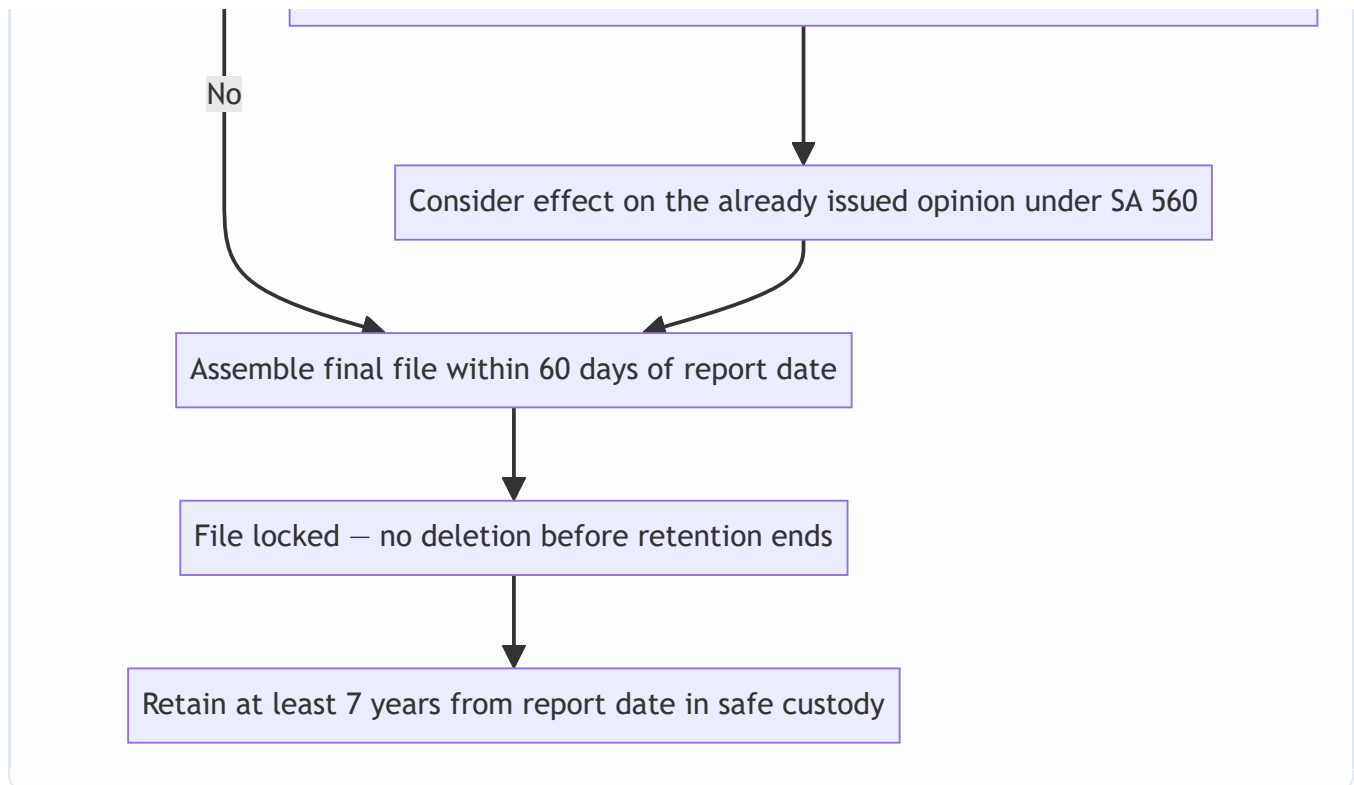


Figure 10.3 — The report date is the bright line for substance while assembly and retention govern only administration and survival.

**Documentation checklist (what a strong file contains):**

| Item                                                                         | Requirement source | The "why"                            |
|------------------------------------------------------------------------------|--------------------|--------------------------------------|
| Nature, timing, extent of procedures                                         | SA 230             | Reconstructable by an outsider       |
| Identifying characteristics of items tested                                  | SA 230             | Re-traceable to exact items          |
| Results and evidence obtained                                                | SA 230             | Supports the conclusion              |
| Significant matters, judgements, conclusions                                 | SA 230             | Where disputes cluster               |
| Discussions with management/TCWG — when, with whom                           | SA 230             | Oral record made durable             |
| Who performed / who reviewed — names, dates, extent                          | SA 230             | Supervision trail                    |
| Departures from a relevant SA requirement — how alternative met the aim, why | SA 230             | Accountable, not a violation         |
| Post-report changes — circumstances, new work, who/when                      | SA 230             | Anti-backdating                      |
| Conclusion on independence; ethics issues and resolution                     | SA 220             | Independence is the point of audit   |
| Consultation nature, scope, conclusions                                      | SA 220             | Proof hard calls got expert input    |
| EQCR completion before report date (where applicable)                        | SA 220 / SQC 1     | Independent pre-issuance check       |
| Final file assembled ≤ 60 days                                               | SQC 1              | Administrative closure, not new work |
| Retention ≥ 7 years; safe custody, confidentiality, retrievability           | SQC 1              | Survives the late dispute            |
| Annual written independence confirmations from personnel                     | SQC 1 (firm)       | Evidence the ethics element operates |
| Monitoring/inspection results and remedial actions                           | SQC 1 (firm)       | Evidence the system audits itself    |

## 7. Connections

Documentation and quality control are not an island — they thread through the entire syllabus.

- **SA 200 (Overall objectives).** SA 200 establishes professional scepticism, professional judgement, and sufficient appropriate audit evidence. Documentation is where scepticism and judgement leave a *trace*, and where "sufficient appropriate evidence" becomes provable. SA 230 is SA 200 made auditable. The "reasonable assurance, not absolute" idea in SQC 1 is the firm-level echo of SA 200's inherent limitations.
- **SA 220 ⇔ SQC 1.** These are the same subject at two scales. SQC 1 sets *firm* policy; SA 220 requires the *engagement* to operate within it. SA 220 repeatedly says "the engagement partner may rely on the firm's system (SQC 1) unless information indicates otherwise." Learn them as a pair, not as rivals.
- **Ethics / Independence (Code of Ethics & Companies Act s.141 disqualifications).** Both SA 220 and SQC 1 make **independence** a first-order quality element. The rotation of auditors (**Companies Act s.139(2)**) and the firm-level independence policies of SQC 1 are two enforcement arms of the same idea

— familiarity threatens objectivity, so the system forces fresh eyes. SQC 1's annual written independence confirmation is the professional layer beneath the statutory rotation rule.

- **Companies Act 2013 record-keeping.** The Act (e.g., books-of-account retention, and the auditor's own reporting under **s.143**) interacts with SQC 1's seven-year retention. The audit *file* (auditor's record) and the *books of account* (company's record) are distinct but both are subject to statutory retention regimes. **Confirm the exact company-law retention interaction in current ICAI/RTP material.**
- **SA 240 (Fraud) and SA 260/265 (Communication with TCWG / deficiencies).** These generate specific documentation obligations — fraud discussions, communicated deficiencies — that flow into the SA 230 file. Documentation is the common downstream repository of nearly every other SA.
- **SA 315 / SA 330 (Risk assessment and responses).** The *extent* of documentation is driven by *assessed risk* — SA 230 explicitly lists identified risks of material misstatement as a factor. Higher-risk areas (significant risks under SA 315) demand fuller documentation, tying the file's shape directly to the risk model.
- **SA 560 (Subsequent Events).** The trigger for "facts known after the report date" that drive SA 230's after-the-report documentation rule comes from SA 560. SA 560 decides *whether to act*; SA 230 governs *how to record* the action.
- **SA 580 (Written Representations) and SA 505 (External Confirmations).** These are specific *forms* of documentation/evidence that populate the file — reminding you that the "file" is an aggregation of evidence gathered under many standards.
- **NFRA / Peer Review / Quality Review Board.** External inspection regimes are the *reason* the file must satisfy the "experienced auditor with no previous connection" standard. The stranger in SA 230 is, in practice, an NFRA or peer-review inspector.
- **SA 230 ⇔ SA 500 (Audit Evidence).** SA 500 says *obtain* sufficient appropriate evidence; SA 230 says *record* it. Evidence not documented is, for accountability purposes, evidence not obtained.

## 8. Traps & Examiner Tricks

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The examiner mines this chapter for precise-number and precise-wording questions. Guard against these:

- **60 days vs 7 years — never confuse them.** **60 days** is the *assembly* period (administrative completion, *after* the report). **7 years** is the *retention* period (how long the assembled file is kept). Both run *from the date of the auditor's report*. Mixing these up is the classic slip.
- **Everything counts from the report date, not the year-end or the destruction date.** In numerical questions, anchor both the 60-day and 7-year counts to the **date of the auditor's report**. Students routinely miscount from the balance-sheet date and get the answer wrong.
- **"Assembly" is administrative, not substantive.** A favourite trap: a scenario where, during the 60-day window, the auditor performs *new audit procedures*. That is **not** assembly. Assembly = collating, sorting, discarding superseded drafts. New procedures after the report date trigger the "changes after the report date" documentation rule, not a free extension of the audit.
- **The SA 230 benchmark wording.** The examiner wants the exact phrase: **"experienced auditor, having no previous connection with the audit."** Answers that paraphrase it as "any reader" or "a knowledgeable person" lose the point. And it must understand **nature, timing and extent + results + significant matters/conclusions/judgements** — list all three limbs.

- **The "experienced auditor" is skilled, not ignorant.** Trap: assuming the file must spell out *everything* including generic professional knowledge. The benchmark reader already understands audit processes, the SAs and the industry — so the file supplies what is *specific to this engagement*, not a textbook. Over-documentation is itself a fault (it buries the significant).
- **Oral explanation cannot substitute for documentation.** Trap: "the auditor can explain the gaps if asked." Oral explanations may *clarify* an adequate file; they can never *replace* missing documentation. A file that only works with the auditor standing beside it has already failed.
- **"You must document everything" — FALSE.** You document *significant* matters and judgements, not every thought. Superseded drafts and preliminary notes need **not** be retained. A question that pushes "the auditor failed because he didn't document every single consideration" is testing whether you know the *significance* filter.
- **EQCR is not for every audit.** It is mandatory for **listed entities** and firm-defined high-risk engagements — *not* every client. A trap scenario applies EQCR to a small private company with no such trigger.
- **The EQCR timing rule is absolute.** "The report was dated first and the EQCR finished a few days later" is *always* wrong for a listed entity. Report date **cannot precede** EQCR completion.
- **EQCR does not shift responsibility.** Trap: "the EQC reviewer is responsible for the opinion / the partner can offload hard calls to the reviewer." False — the reviewer *evaluates*; the *engagement partner remains responsible* for the opinion. The reviewer must not make the team's decisions.
- **Consulting the intended reviewer can disqualify them.** Trap: appointing as EQC reviewer the very partner who helped form a significant judgement, "because they know it best." That recreates self-review bias and breaches the objectivity safeguards.
- **SA 220 vs SQC 1 level confusion.** If the question is about *firm* policies (recruitment, monitoring, tone at the top, retention policy), it's **SQC 1**. If it's about *this engagement* (this partner, this team, this independence conclusion), it's **SA 220**. Answering "SA 220" for a firm-monitoring question is a level error.
- **Ownership of working papers.** Trap: "the working papers belong to the client because the client paid." **False.** Working papers are the **property of the auditor**. The auditor may, at discretion, make portions available to the client, but the client has no right to them; the auditor must keep them confidential and in safe custody (SQC 1). (Confirm the precise treatment in ICAI's SA 230 guidance.)
- **Departure from an SA requirement.** Trap answer: "the auditor can never depart from an SA." Reality: in *exceptional* circumstances the auditor may perform *alternative* procedures, **provided** he documents how the alternative achieves the requirement's aim and the reasons. The sin is undocumented departure, not departure itself. Sub-trap: a *conditional* requirement whose condition is absent is simply *inapplicable* — that is not a "departure" and triggers no departure-documentation.
- **Monitoring inspection frequency.** The "at least one completed engagement per engagement partner on a cyclical basis" detail is examinable — vague answers ("the firm should review some files sometimes") lose marks.
- **A monitoring deficiency ≠ a wrong report.** Trap: "monitoring found a deficiency, therefore the audit opinion was wrong and must be withdrawn." The firm must first *evaluate* whether the deficiency is isolated or systemic and whether it actually affects an issued report. Not every finding invalidates an opinion.

- **"Reasonable" not "absolute" assurance.** Trap: stating SQC 1 *guarantees* every engagement is correct. It provides *reasonable* assurance only; an occasional deficient engagement does not, by itself, prove the system failed.
- **Independence confirmation timing.** SQC 1 requires written independence confirmations *at least annually* from relevant personnel — a specific, occasionally-tested detail; "whenever convenient" is wrong.

## 9. First-Principles Recap

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Strip everything back and rebuild it from the original problems:

1. **The work is invisible → make it visible and permanent.** That is **SA 230 documentation**. The test of "enough" is not the writer's satisfaction but a *stranger's* comprehension — the experienced auditor with no prior connection (skilled, but disconnected). Record what you did (nature, timing, extent), what you found (results, evidence), and what you concluded (significant matters, judgements). Record who did it and who reviewed it. Because memory and conversation evaporate — and oral explanation can never substitute for the file — only the written record survives to prove the audit happened.
2. **A team must review itself → build the review into the process and the record.** That is **SA 220 engagement quality control**: one accountable partner, competent staff, more-experienced reviewing less-experienced, consultation on hard calls (agreed *and* implemented), independence concluded, and — for high-stakes engagements — an *independent* second reviewer (EQCR) whose review must finish *before* the opinion is locked. Self-review bias is broken by putting the second opinion in genuinely different hands — which is also why consulting the intended reviewer too heavily can disqualify them.
3. **A firm's signature must mean the same thing every time → govern quality at the firm level.** That is **SQC 1**: six elements (leadership, ethics/independence, acceptance/continuance, human resources, engagement performance, monitoring) that make quality a *system*, not a personal virtue — offering *reasonable*, not absolute, assurance. And the system audits itself through **monitoring** (cyclical inspection of at least one completed engagement per partner) and through complaint channels.
4. **Disputes and the record's own mortality arrive late → keep the proof, and lock it.** Assemble the file promptly (**≤60 days**, administrative only) and retain it long enough to cover the tail (**≥7 years**), in safe custody, confidential, with integrity, accessible and retrievable — and *never* silently rewritten; post-report changes are documented in the open. The report date is the bright line for *substance*; assembly and retention govern only *administration* and *survival*.

The unifying sentence again: **documentation is the evidence that the work was done; quality control is the process that the evidence must show was good.** One proves *that* you worked; the other proves the work was *worth trusting*. Together they answer the profession's own agency problem — *who audits the auditor?* — with: the file does, the reviewer does, the firm's system does, and the inspector can.

## 10. Quick-Revision Sheet

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### Four pillars

| Pillar | Level                  | One-line purpose                                                                  |
|--------|------------------------|-----------------------------------------------------------------------------------|
| SA 230 | Engagement             | Record the audit so it is provable and reviewable                                 |
| SA 220 | Engagement             | Deliver quality on <i>this</i> audit; partner is responsible                      |
| SQC 1  | Firm                   | System giving reasonable assurance of quality across <i>all</i> engagements       |
| EQCR   | Engagement (high-risk) | Independent objective review of significant judgements before the report is dated |

**SA 230 must-knows** - Definition: record of **procedures performed + evidence obtained + conclusions reached** (formerly "working papers"; whole = **audit file**, physical or electronic). - Benchmark: understandable by an **experienced auditor, no previous connection** (skilled but disconnected) — the **nature, timing, extent**; the **results**; the **significant matters, conclusions, judgements**. - Record **who performed/date** and **who reviewed/date/extent**; record **identifying characteristics** of items tested. - Document **significant discussions** (when, with whom); document **departures** from a *relevant* SA requirement (how alternative met the aim + why). - **Oral explanation** may *clarify* but never *substitute* for documentation. - **Post-report changes**: document circumstances, new work, who/when; **never delete** original contents. - Need **not** document every judgement; need **not** retain superseded drafts/preliminary notes.

**Numbers (from the auditor's report date) - Assembly of final file: ≤ 60 days** (administrative completion only — no new audit work). - **Retention: ≥ 7 years** (safe custody, confidentiality, integrity, accessibility, retrievability). - **Independence written confirmations: at least annually** (SQC 1 firm level). - **Monitoring: cyclical inspection of ≥ 1 completed engagement per engagement partner**. - **Working papers = auditor's property** (client has no right; auditor may share portions at discretion, subject to confidentiality).

**SA 220 — engagement partner's responsibilities** Leadership on quality · ethics + **independence conclusion** · acceptance/continuance · competent team · **direction, supervision, review** (senior reviews junior) · **consultation** (agreed + implemented) · **EQCR where applicable** · resolve **differences of opinion** before dating report · consider **monitoring** results · rely on SQC 1 *unless information indicates otherwise* · document all of it.

**SQC 1 — six elements** 1. Leadership (tone at the top; commercial pressure must not override quality) · 2. Ethical requirements + independence (incl. **rotation**, annual confirmations) · 3. Acceptance & continuance · 4. Human resources · 5. Engagement performance (houses **assembly, retention, EQCR, consultation, differences, custody attributes**) · 6. **Monitoring** (cyclical inspection of **≥ 1 completed engagement per engagement partner**; complaints channel).

**EQCR — the sharp control** - Mandatory for **listed entities** + firm-defined high-risk engagements. - Reviewer is **NOT** on the engagement team (breaks self-review bias); heavy prior consultation can disqualify. - Reviews significant judgements, conclusions, the report, selected working papers, independence. - Evaluates, does **not** decide — the *partner* remains responsible for the opinion. - **Report must NOT be dated until EQCR is complete**.

**The one sentence:** *Documentation is the evidence the work was done; quality control is the process the evidence must prove was good — together they answer "who audits the auditor?"*

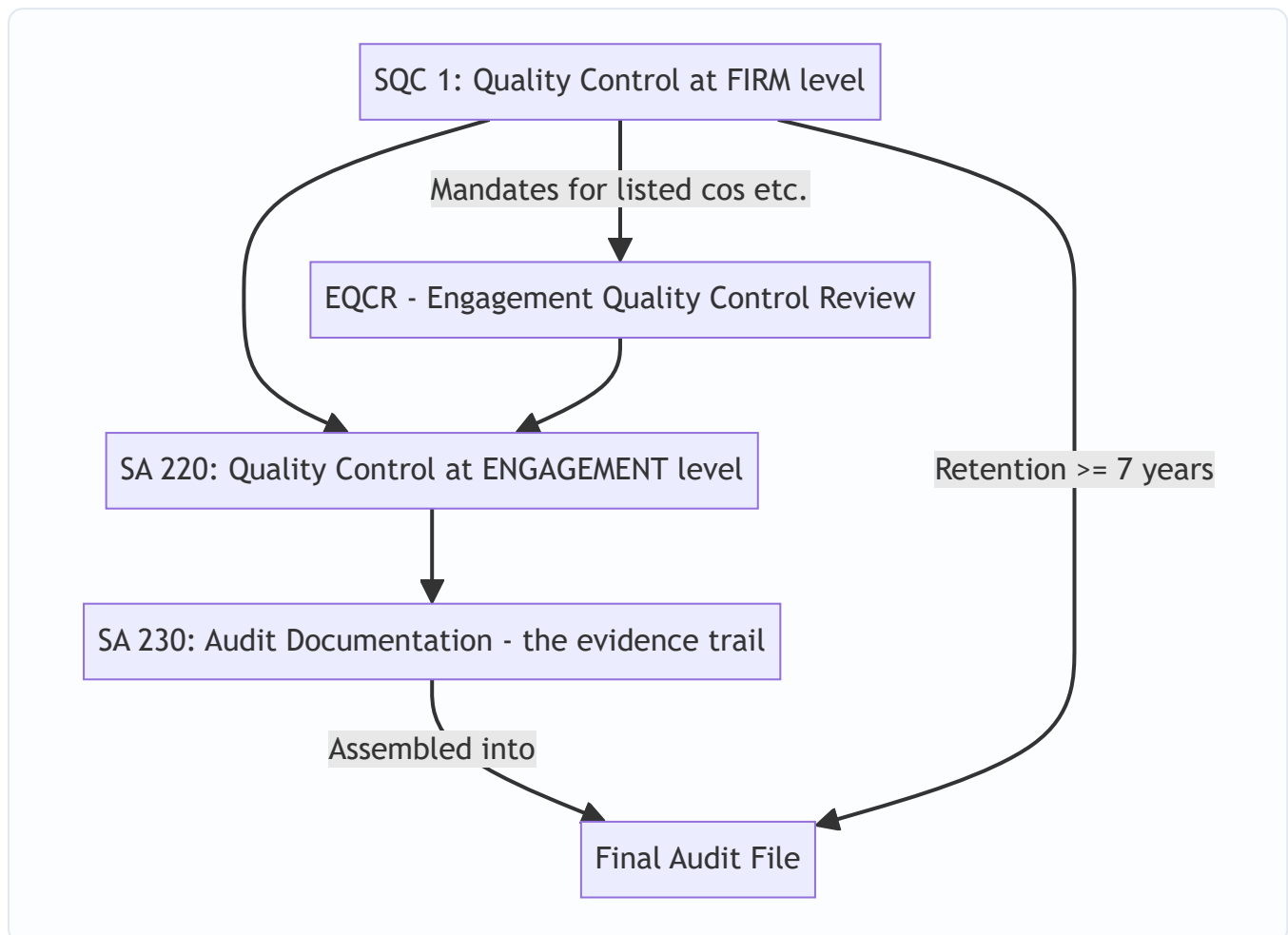


**Confirm in current ICAI material:** exact interaction of SQC 1's 7-year retention with Companies Act 2013 record-retention; any migration references to the newer quality-management framework (SQM 1 / SQM 2 / SA 220 (Revised)) if adopted for your attempt — this chapter states the SQC 1 / SA 220 position per the extant CA Intermediate syllabus.

# Q&A — Audit Documentation & Quality Control

Exam-oriented question bank for CA Intermediate, Paper "Auditing & Ethics". Coverage: **SA 230** Audit Documentation, **SA 220** Quality Control for an Audit of Financial Statements, **SQC 1** Quality Control for Firms, and **EQCR** (Engagement Quality Control Review). Standards cited are Indian Standards on Auditing issued by ICAI and provisions of the **Companies Act, 2013**. No invented standards are used.

## How the standards fit together



## Section A — Concept-Check Questions (with answers)

**A1. Define "audit documentation" and state its other common name.** Answer: Under **SA 230 (para 6)**, audit documentation means the record of audit procedures performed, relevant audit evidence obtained, and conclusions the auditor reached. Terms such as "working papers" or "workpapers" are also used. It is the tangible record supporting the auditor's opinion.

**A2. State the two principal purposes served by audit documentation under SA 230.** Answer: Per **SA 230 (para 5)**: (a) it provides evidence of the auditor's basis for a conclusion about the achievement of the overall objectives of the auditor; and (b) it provides evidence that the audit was planned and performed in accordance with SAs and applicable legal/regulatory requirements.

**A3. What is the "experienced auditor" test in SA 230?** Answer: **SA 230 (para 8)** requires documentation sufficient to enable an experienced auditor, having no previous connection with the audit, to understand: (a) the nature, timing and extent (NTE) of procedures performed; (b) the results and evidence obtained; and (c) significant matters, conclusions reached, and significant professional judgments made.

**A4. When identifying items tested, what three attributes should the auditor record?** Answer: Under **SA 230 (para 9)**, the auditor should record the identifying characteristics of the items tested, the person who performed the work and the date it was completed, and the person who reviewed the work performed and the date/extent of review.

**A5. What is the time limit for assembling the final audit file, and where is it fixed?** Answer: **SQC 1 (para 82)** requires the final audit file to be assembled on a timely basis, ordinarily **not more than 60 days after the date of the auditor's report**. SA 230 (para 14) reiterates this administrative process.

**A6. For how long must audit documentation be retained?** Answer: **SQC 1 (para 83)** prescribes a retention period ordinarily **not shorter than 7 years** from the date of the auditor's report, or the date of the group auditor's report, if later.

**A7. After the file assembly date, can the auditor delete working papers? Can additions be made?** Answer: **SA 230 (para 15)** prohibits deleting or discarding documentation before the end of the retention period. Additions are permitted after assembly, but the auditor must document: the specific reasons for the change, and when and by whom the changes were made and reviewed (**SA 230 para 16**).

**A8. Distinguish SA 220 from SQC 1 in one line each.** Answer: **SQC 1** deals with quality control at the **firm level** (system of quality control for all engagements). **SA 220** deals with quality control at the **individual engagement level**, and operates on the premise that the firm is subject to SQC 1.

**A9. What is EQCR and who performs it?** Answer: EQCR (Engagement Quality Control Review) is an objective evaluation, **before the report is issued**, of the significant judgments made and conclusions reached by the engagement team. It is performed by an **Engagement Quality Control Reviewer** — a partner, other person in the firm, suitably qualified external person, or a team, who is **not part of the engagement team** (**SQC 1 para 39 / SA 220 para 7**).

**A10. When is an EQCR mandatory?** Answer: Per **SQC 1 (para 60)**, an EQCR is required for **audits of financial statements of listed entities**. The firm must also establish criteria to determine whether an EQCR should be performed for **other engagements** presenting higher risk.

**A11. List the six elements of a system of quality control under SQC 1.** Answer (mnemonic "LEHAME"): (1) Leadership responsibilities for quality within the firm; (2) **E**thical requirements; (3) Acceptance and continuance of client relationships and specific engagements; (4) **H**uman resources; (5) Engagement performance; (6) **M**onitoring. (SQC 1 para 4 / 16.)

**A12. What are the fundamental ethical principles the firm must uphold?** Answer: Under SQC 1 (ethical requirements element): **Integrity, Objectivity, Professional competence and due care, Confidentiality, and Professional behaviour**. Independence is emphasised for assurance engagements.

**A13. Is oral explanation by the auditor a substitute for documentation?** Answer: No. **SA 230 (para A16)** states oral explanations by the auditor, on their own, do not represent adequate support for the work performed or conclusions reached, but may be used to clarify or explain information contained in the documentation.

**A14. Must every matter be documented?** Answer: No. It is neither necessary nor practicable to document every matter considered. **SA 230 (para A7)** — matters of insignificant nature and judgments that are obvious need not be documented; documentation focuses on significant matters.

**A15. Name three items SA 230 requires be documented regarding discussions of significant matters.**

Answer: The auditor should document (a) the significant matters discussed, (b) with whom and when they were discussed, and (c) how the auditor addressed any inconsistency between information and the final conclusion (SA 230 paras 10-11).

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## Section B — Applied Scenario Questions (situation → response with reasoning)

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**B1. Situation:** During finalisation, the audit senior realises a photocopy of an important lease deed was not placed on file, though its contents were tested. She wants to obtain the copy two days after the report date but before file assembly. Is this permissible? **Response:** Yes. Obtaining and placing the copy is an **administrative/assembly step**, not a change to conclusions. Under **SA 230 (para 13)**, changes during final assembly that are administrative in nature (e.g., assembling, sorting, cross-referencing, deleting superseded drafts, signing completion checklists) may be made before the file is assembled. Since assembly may occur within 60 days (SQC 1 para 82), placing the copy is proper, provided no new conclusion is being formed.

**B2. Situation:** After the file was assembled (day 45), the tax authority raises a query and the auditor performs additional procedures on a related-party transaction. What must the auditor document? **Response:** Per **SA 230 (para 16)**, when documentation is added after assembly, the auditor must document: (a) the specific reasons for making the change; (b) when and by whom the additional procedures were performed; and (c) when and by whom they were reviewed. **Existing documentation must not be deleted** (para 15). This preserves the integrity of the original file.

**B3. Situation:** A firm audits a listed company. The engagement partner wants to sign the audit report immediately after completing fieldwork, without any second-partner review, to meet a deadline. Advise. **Response:** Not permissible. For a **listed entity**, **SQC 1 (para 60)** and **SA 220 (para 19)** mandate an **EQCR before the report is dated**. SA 220 (para 19) states the engagement partner **shall not date the auditor's report** until the completion of the EQCR. The reviewer must objectively evaluate significant judgments and conclusions. The deadline cannot override this requirement.

**B4. Situation:** An EQC reviewer disagrees with the engagement partner on a significant judgment and the matter is not resolved to the reviewer's satisfaction. What happens? **Response:** Under **SA 220 (para 20 / SQC 1 para 45)**, the report shall not be issued until the matter is resolved through the firm's procedures for dealing with **differences of opinion**. The firm's policies (SQC 1) must provide that conclusions are documented and implemented, and the report is not released until the difference is resolved.

**B5. Situation:** A newly promoted engagement partner has doubts about the integrity of a prospective client's management but the firm is keen to accept for the fee. Response? **Response:** This engages the **"acceptance and continuance"** element of **SQC 1 (paras 26-33)**. The firm must consider client integrity, its own competence, capabilities, time and resources, and compliance with ethical requirements including independence. **SA 220 (para 12-13)** requires the engagement partner to be satisfied that appropriate acceptance procedures were followed. Doubtful integrity is a ground to decline; fee alone cannot justify acceptance.

**B6. Situation:** During the audit, junior staff and the engagement partner reach different conclusions on the adequacy of a provision. How should the firm handle it and what should be documented? **Response:** The firm's SQC 1 policies on **consultation** and **differences of opinion** apply (SQC 1 paras 36-38, 45).

Consultation on difficult/contentious matters should occur and the **nature and scope of consultation and conclusions must be documented** and agreed by both the consulted party and the team (SA 220 para 18). The report is not issued until the difference is resolved.

**B7. Situation:** A firm's monitoring/inspection reveals recurring deficiencies in documentation of sampling across engagements. What action framework applies? **Response:** This is the "**monitoring**" element of **SQC 1 (paras 46-56)**. The firm must evaluate whether deficiencies are (a) instances that do not necessarily indicate the system is deficient, or (b) systemic/recurring deficiencies requiring prompt corrective action. Remedial actions may include training, changes to policies, and communication to engagement partners. If a report may be inappropriate, the firm considers obtaining legal advice.

**B8. Situation:** The auditor departs from a relevant requirement of an SA because it was not applicable in the circumstances. Is documentation required? **Response:** Yes. Under **SA 230 (para 12)**, if in exceptional circumstances the auditor judges it necessary to depart from a **relevant requirement** in an SA, the auditor must document how the **alternative procedures performed achieve the aim** of that requirement, and the **reasons for the departure**. (Note: this applies to genuine exceptional departures, not to requirements that are simply not relevant.)

**B9. Situation:** Client requests the auditor hand over the original working papers, claiming they belong to the client since the client paid for the audit. Advise on ownership. **Response:** **SA 230 (para A24)** and SQC 1 confirm that **audit documentation is the property of the auditor**. The auditor may, at their discretion, make portions available to clients provided disclosure does not undermine the audit's validity or independence. The client cannot claim ownership merely by paying the fee.

**B10. Situation:** A small proprietary firm argues SQC 1 is meant only for big firms and does not apply to it. Correct? **Response:** Incorrect. **SQC 1 applies to all firms** performing audits, reviews of historical financial information, and other assurance and related services engagements, **regardless of size**. However, the **nature and extent** of policies and procedures depend on factors such as firm size, operating characteristics, and whether it is part of a network (SQC 1 para 8, A-guidance on scalability).

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## Section C — Past-Paper-Style Descriptive Questions (with model answers)

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**C1. "Audit documentation serves a number of additional purposes beyond supporting the opinion." Enumerate these purposes. (SA 230)** Model answer: Beyond the two principal purposes (para 5), **SA 230 (para 3)** lists additional purposes: 1. Assisting the engagement team to **plan and perform** the audit. 2. Assisting members responsible for **supervision and review** of the work. 3. Enabling the team to be **accountable** for its work. 4. **Retaining a record** of matters of continuing significance to future audits. 5. Enabling the conduct of **quality control reviews and inspections** (SQC 1). 6. Enabling the conduct of **external inspections** under legal, regulatory or other requirements.

**C2. Explain the factors that affect the form, content and extent of audit documentation. (SA 230 para A2)** Model answer: Factors include: (a) size and complexity of the entity; (b) nature of the audit procedures to be performed; (c) identified risks of material misstatement; (d) significance of the audit evidence obtained; (e) nature and extent of exceptions identified; (f) the need to document a conclusion not readily determinable

from other documentation; (g) the audit methodology and tools used. Documentation may be recorded on paper or in electronic/other media.

**C3. Discuss the requirements relating to assembly, retention, and changes to the audit file. (SA 230 + SQC 1)** Model answer: - **Assembly:** The auditor shall assemble documentation in an audit file and complete administrative assembly on a timely basis — **ordinarily not more than 60 days** after the report date (SA 230 para 14; SQC 1 para 82). - **Retention:** Retention period is **ordinarily not less than 7 years** from the auditor's report date (SQC 1 para 83). - **Changes before assembly:** Only administrative changes (sorting, cross-referencing, deleting superseded drafts) are allowed (SA 230 para 13). - **After assembly:** No deletion/discarding before end of retention period (para 15). Additions/modifications require documenting the reasons, and when and by whom made and reviewed (para 16).

**C4. What are the six elements of a firm's system of quality control under SQC 1? Explain any two.**

Model answer: The six elements are: (1) Leadership responsibilities for quality; (2) Ethical requirements; (3) Acceptance and continuance of client relationships and specific engagements; (4) Human resources; (5) Engagement performance; (6) Monitoring. - **Leadership responsibilities (para 18):** The firm's CEO/managing board bears ultimate responsibility for the quality control system. The firm must promote a **quality-oriented internal culture** and ensure commercial considerations do not override quality. Performance evaluation, compensation and promotion must demonstrate the firm's overriding commitment to quality. - **Engagement performance (paras 34-45):** The firm must have policies ensuring engagements are performed in accordance with standards — covering **direction, supervision and review, consultation** on difficult matters, **EQCR**, resolving **differences of opinion**, and file assembly/retention.

**C5. Write short notes on Engagement Quality Control Review (EQCR): meaning, applicability, and matters the reviewer considers.** Model answer: - **Meaning:** An objective evaluation, before the report is issued, of significant judgments made and conclusions reached by the engagement team (SQC 1 para 39; SA 220 para 7). - **Applicability:** Mandatory for **listed entities**; the firm sets criteria for other higher-risk engagements (SQC 1 para 60). - **Reviewer's considerations (SA 220 para 20 / SQC 1 para 44):** discussion of significant matters with the engagement partner; review of financial statements and proposed report; review of selected documentation on significant judgments; evaluation of conclusions reached and whether the proposed report is appropriate. The reviewer must be **objective and independent of the engagement team**, and appropriately qualified.

**C6. "The auditor shall prepare documentation on a timely basis." Explain why timely preparation is important. (SA 230 para 7, A1)** Model answer: Preparing documentation on a **timely basis** (i.e., while performing the work, not long after) helps enhance the **quality** of the audit and facilitates effective **review and evaluation** of the evidence and conclusions **before the report is finalised**. Documentation prepared after the work is performed is likely to be **less accurate** than documentation prepared contemporaneously.

**C7. Explain the "Human Resources" element and its sub-component "assignment of engagement teams" under SQC 1.** Model answer: The **Human Resources** element (SQC 1 paras 29-33) requires policies giving reasonable assurance that the firm has sufficient personnel with the **competence, capabilities and commitment to ethical principles** to perform engagements per standards. It covers recruitment, performance evaluation, capabilities, competence, career development, promotion, compensation and estimation of personnel needs. **Assignment of engagement teams (para 32):** The firm assigns responsibility for each engagement to an **engagement partner** whose identity and role are communicated to key client personnel, who has appropriate competence, capabilities, authority, and time; and ensures the team collectively has the competence to perform the engagement.

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## Section D — MCQs and Case Scenarios (correct option + one-line reasoning)

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- D1.** Audit documentation should ordinarily be retained for a period not less than: (a) 5 years (b) 6 years (c) 7 years (d) 10 years **Answer: (c).** SQC 1 para 83 sets the retention period at not less than 7 years from the report date.
- D2.** The final audit file should ordinarily be assembled within: (a) 30 days (b) 45 days (c) 60 days (d) 90 days **Answer: (c).** SA 230 para 14 / SQC 1 para 82 — not more than 60 days after the auditor's report date.
- D3.** An EQCR is mandatory for the audit of: (a) All companies (b) Listed entities (c) Only public sector banks (d) Firms with turnover > Rs.50 crore **Answer: (b).** SQC 1 para 60 mandates EQCR for listed entities; firms set criteria for other higher-risk engagements.
- D4.** The "experienced auditor" referred to in SA 230 is a person who: (a) Has worked on the same audit before (b) Is the current engagement partner (c) Has practical audit experience but no previous connection with this audit (d) Is an ICAI inspector only **Answer: (c).** SA 230 defines the experienced auditor as one with no previous connection to the audit, used as the benchmark for sufficiency.
- D5.** Which is NOT one of the six elements of a system of quality control under SQC 1? (a) Monitoring (b) Ethical requirements (c) Leadership responsibilities (d) Statutory audit rotation **Answer: (d).** Audit rotation is a Companies Act, 2013 (Sec 139) matter, not an SQC 1 quality-control element.
- D6.** Oral explanations by the auditor: (a) Fully substitute documentation (b) On their own do not represent adequate support but may clarify (c) Are prohibited (d) Replace working papers for small audits **Answer: (b).** SA 230 para A16 — oral explanations alone are not adequate support but may clarify documented information.
- D7.** Ownership of audit working papers vests with: (a) The client (b) ICAI (c) The auditor (d) Jointly with client and auditor **Answer: (c).** SA 230 para A24 — documentation is the property of the auditor.
- D8. Case Scenario:** CA Ramesh audits XYZ Ltd (unlisted, high-risk due to fraud history). The firm's policy requires EQCR for high-risk clients. Ramesh skips EQCR arguing XYZ is unlisted. Is he correct? (a) Correct, EQCR is only for listed (b) Incorrect, firm's own criteria mandate it here (c) Correct, unlisted clients are exempt always (d) Incorrect, EQCR is required for all audits **Answer: (b).** SQC 1 para 60 requires firms to set criteria extending EQCR to higher-risk engagements; the firm's own policy binds Ramesh.
- D9. Case Scenario:** After assembling the file on day 30, the auditor discovers a computational error in a note and wants to correct the working paper by erasing the old figure. Advise. (a) Erase and overwrite freely (b) Cannot delete; add new documentation stating reason, who, and when (c) Destroy the whole file and restart (d) No action needed **Answer: (b).** SA 230 paras 15-16 — existing documentation must not be deleted; additions require reason, date, and identity of preparer/reviewer.
- D10.** Under SA 230, identifying characteristics of items tested are recorded to: (a) Increase file size (b) Enable identification of the specific items tested and support the audit trail (c) Satisfy the client (d) Replace sampling **Answer: (b).** SA 230 para 9 — recording identifying characteristics allows the team to identify the items selected/tested and enables review and re-performance.
- D11.** SA 220 operates on the premise that: (a) The firm has no quality control system (b) The firm is subject to SQC 1 (c) EQCR is optional for all (d) Documentation is unnecessary **Answer: (b).** SA 220 is built on the premise that the firm is subject to SQC 1 or at least equally demanding requirements.
- D12. Case Scenario:** An engagement partner of a listed-company audit dates the auditor's report on 20th May; the EQCR is completed on 25th May. Evaluate. (a) Valid, EQCR can follow the report (b) Invalid, report



cannot be dated before EQCR completion (c) Valid if partner is senior (d) Invalid only if client objects

**Answer: (b).** SA 220 para 19 — the engagement partner shall not date the report until completion of the EQCR.

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## Quick memory hooks

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- **60 days** to assemble the file; **7 years** to retain it (SQC 1 paras 82-83).
- **Experienced auditor test** = benchmark for "how much documentation is enough" (SA 230 para 8).
- **NTE + results + significant judgments** = the three things documentation must reveal.
- **SQC 1 = firm level; SA 220 = engagement level; SA 230 = the paper trail.**
- **EQCR = mandatory for listed entities**, report not dated until EQCR done.
- Six SQC 1 elements: Leadership, Ethics, Acceptance/Continuance, Human Resources, Engagement Performance, Monitoring.

# Chapter 11 — Professional Ethics & Independence

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## 1. The Problem

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Strip away everything decorative about an audit and one uncomfortable fact remains: **the auditor is paid by the very people whose work he is checking**. The company's directors negotiate his fee, sit across the table at every meeting, can decline to reappoint him, and control the flow of information he depends on. Yet the people who actually *rely* on his opinion — the retail shareholder in Coimbatore, the bank about to lend ₹50 crore, the ITC officer, the prospective investor — are nowhere in the room. They never meet the auditor. They cannot verify his working papers. They simply read three or four paragraphs at the end of the annual report and, on the strength of them, part with their money.

This is the **agency problem** dressed in its sharpest clothes. Management has the information; outsiders have the risk. The audit is supposed to bridge that gap — but the bridge is only as trustworthy as the person who built it. And that person has every commercial incentive to keep his paying client happy.

So the reader who refuses to memorise should sit with the real question first: **Why would anyone believe an auditor's opinion at all?** He's not a government official. He's not disinterested. He's a professional running a firm that needs revenue. What stops him from quietly signing whatever keeps the fees flowing?

The answer cannot be "because he's honest," because you cannot verify honesty from the outside. The profession's answer is structural: an audit opinion is only worth reading if the person giving it is **independent** of the outcome and **bound by enforceable principles** that override his self-interest. Ethics, in auditing, is not a soft topic bolted onto the end of the syllabus. It is the *load-bearing wall*. Remove it and the entire assurance edifice — SA 700 opinions, materiality, sampling, the lot — collapses into an expensive formality.

There is a deeper economic reason this matters, and it explains why the *profession itself* — not just each individual member — polices ethics so ferociously. The value of an audit is a **shared reputational asset**. When one shareholder learns to trust "an audited balance sheet," that trust spills onto every other audited company. But the reverse is also true: a single Satyam, a single Enron, a single collapse where the auditor signed a clean report on cooked books, poisons trust in *every* auditor's signature. This is the **tragedy of the commons** applied to credibility. Each individual auditor has a private incentive to shade toward the client (keep the fee), but the collective depends on every auditor holding the line. Left to individual choice, the commons gets over-grazed and the whole assurance market dies. That is precisely why ethics cannot be left to conscience: it must be a *rule, enforced by the profession*, so that no single member can free-ride on everyone else's honesty while cashing in his own dishonesty.

That is the problem this chapter addresses: **how do you make a paid opinion believable to people who cannot check it — and keep it believable across the whole profession, forever?**

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## 2. The Core Idea

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The core idea is a single sentence you should be able to reconstruct from first principles:

**An audit opinion has value only to the extent that its author is independent in fact and in appearance and behaves according to principles that a rational outsider can trust to hold even when the client would prefer otherwise.**

Two words in that sentence do the heavy lifting.

**Independence** answers: *is the auditor free of any interest that would bias the conclusion?* If the auditor owns shares in the client, his wealth rises when the accounts look good — his interest is no longer aligned with the truth. Independence is the machinery that keeps the auditor's self-interest from contaminating his judgement.

**Integrity and the other fundamental principles** answer: *even where no financial bias exists, will the auditor behave in a way the public can rely on?* Will he tell the truth even when it costs the engagement? Keep client secrets? Refuse work he isn't competent to do?

Crucially, independence is demanded in **two forms**, and understanding *why both* is the conceptual crux:

- **Independence of mind (independence in fact)** — the actual state of mind that permits an unbiased conclusion. This is the substance.
- **Independence in appearance** — the avoidance of facts and circumstances so significant that a *reasonable and informed third party* would conclude the auditor's objectivity was compromised.

A student's instinct is: "surely only the real thing matters — if the auditor is genuinely unbiased, who cares how it looks?" But recall the problem statement. **The user cannot see inside the auditor's mind.** He can only observe circumstances. If the audit firm's partner is the CFO's brother, the shareholder has no way to confirm the audit was actually objective — and rationally, he *won't believe it was*. The moment appearance is compromised, the opinion loses its power to reassure, regardless of the underlying truth. Assurance is a product sold on *credibility*, and credibility lives in the eye of the user. Hence appearance is not vanity; it is half the product.

Push this one layer deeper, because examiners reward students who can articulate *why appearance is a rational rule, not a paranoid one*. The audit exists to reduce **information asymmetry** — the user knows less than management. If the user then had to independently investigate whether the auditor was truly unbiased, you would have created a *second* information asymmetry (the user knows less than the auditor about the auditor's own state of mind) that is *even harder to close* than the first. Appearance-based rules solve this elegantly: instead of asking the user to verify an invisible mental state, the rules make the *observable circumstances* themselves clean. The user doesn't have to trust the auditor's mind; he only has to observe that no disqualifying relationship exists. Appearance converts an unverifiable question ("is he really objective?") into a verifiable one ("does he hold shares? is his relative a director?"). That substitution is the whole trick, and it is why the law prefers bright-line prohibitions to case-by-case honesty assessments.

Everything technical in this chapter — the five fundamental principles, the five threat categories, the safeguards, the Companies Act prohibitions — is machinery built to protect these two things.

**A distinction the exam repeatedly tests: independence vs objectivity.** Objectivity is a *state of mind* required of a CA in **every** professional service (tax, consulting, audit alike). Independence is a *set of circumstances and relationships* required specifically for **assurance** engagements to *protect* that objectivity where an external user is relying on the conclusion. A tax adviser must be objective but need not be independent of his client — no external user is relying on a "true and fair" assurance. An auditor must be

*both*. If you can state that objectivity is universal-but-internal while independence is assurance-specific-but-external, you have the axis on which half the theory questions turn.

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### 3. Why It's Built This Way

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Before the rules, understand the design logic. Three structural choices explain almost every specific provision you'll meet.

**Choice 1: Principles over an infinite rulebook.** You could try to list every forbidden act — "don't own client shares, don't lend to the client, don't marry the CFO..." — but reality generates novel conflicts faster than any list can grow. So the Code of Ethics (issued by ICAI, aligned with the IESBA International Code) is built on a **conceptual framework**: five broad *fundamental principles*, plus a *threats-and-safeguards* method for handling anything the specific rules don't name. The professional is required to *think*, not just look up. This is precisely the temperament of a self-learner: the framework tells you how to reason about a situation the examiner invented that no textbook lists.

There is a subtlety here worth naming, because it looks like a contradiction until you see the design. If principles are so flexible, *why does the Companies Act then impose rigid, mechanical bans* (you cannot audit if you hold even one share)? The answer is a deliberate division of labour. **Principles govern the vast middle ground of situations too varied to enumerate; bright-line rules govern the narrow band of situations so dangerous, or so common, that leaving them to judgement would invite abuse.** A rule that says "use judgement about your shareholding" would be gamed by every marginal auditor claiming his 500 shares "didn't really affect" him. So the law removes judgement exactly where judgement is least trustworthy — where self-interest is most direct. Principles and rules are not in tension; they are matched to the reliability of judgement in each zone.

**Choice 2: Categorise threats by their psychological mechanism.** Rather than memorising 200 risky situations, the Code groups them into **five families by why they bias judgement** — self-interest, self-review, advocacy, familiarity, intimidation. Once you understand the *mechanism*, you can classify any new fact pattern. This is the single most exam-productive idea in the chapter. The genius of a mechanism-based taxonomy is that it is *complete by construction*: any pressure on judgement must operate through gain (self-interest), reviewing oneself (self-review), taking a side (advocacy), closeness (familiarity), or fear (intimidation). There is no sixth way to corrupt a human judgement, so a new fact pattern *must* land in one of the five — you are never left without a category.

**Choice 3: Layer three defences — the profession's rules, the firm's safeguards, and hard legal prohibitions.** Some threats are so severe that no safeguard can reduce them to acceptable levels, so the law simply bans the situation outright (e.g., a statutory auditor holding shares in the company). Others can be managed with safeguards (rotate the engagement partner, add an independent reviewer). The system is deliberately layered because threats vary in severity.

Keep this scaffolding in mind: **principles → threats → safeguards → outright prohibitions**. The rest of the chapter fills it in.

One more design fact the exam quietly relies on: after ICAI's convergence with the revised IESBA Code, the framework's operative verb is **"threats must be addressed"**, not merely "safeguards applied." The revised Code recognises that for some threats the correct response is not a safeguard at all but *eliminating the circumstance that creates the threat* (e.g., disposing of the interest, removing the individual, declining the

service). Do not reflexively write "apply safeguards" — first ask whether the *circumstance itself* can be removed, because that is often cleaner and is what the current Code prefers.

## 4. Full Technical Content

### 4.1 The Governing Instruments (know the sources)

| Instrument                                                    | What it governs                                                                                            | Why it exists                                           |
|---------------------------------------------------------------|------------------------------------------------------------------------------------------------------------|---------------------------------------------------------|
| <b>ICAI Code of Ethics</b> (based on IESBA Code)              | Fundamental principles, conceptual framework, threats & safeguards, independence for assurance engagements | Makes ethical reasoning enforceable and profession-wide |
| <b>Chartered Accountants Act, 1949 — Schedules I &amp; II</b> | "Professional misconduct"; disciplinary machinery                                                          | Gives the Code legal teeth — breach = misconduct        |
| <b>SA 200</b>                                                 | Overall objectives; requires compliance with <i>relevant ethical requirements including independence</i>   | Ties ethics into every audit as a precondition          |
| <b>SQC 1 / SA 220</b>                                         | Firm-level and engagement-level quality controls, including independence procedures                        | Makes the firm, not just the individual, responsible    |
| <b>Companies Act, 2013 — ss. 141, 144, 139(2)</b>             | Eligibility/disqualifications of auditors, prohibited non-audit services, rotation                         | Hard legal backstop for the most dangerous conflicts    |

*Note: confirm the current edition's paragraph numbering in the latest ICAI Code of Ethics, as ICAI periodically revises to track IESBA updates.*

The relationship, in one line: **SA 200 says "comply with ethical requirements"; the Code of Ethics says *what they are*; the CA Act and Companies Act make some of them legally binding with penalties.**

A structural point the exam sometimes probes: the **ICAI Code of Ethics is now organised in three parts** — Part A (the fundamental principles and the conceptual framework, applicable to *all* members), Part B (members in *practice*), and Part C (members in *service / employment*). Independence requirements sit within the practice sections dealing with assurance and audit engagements. The takeaway distinction: a **member in service** (say, a CA who is the CFO of a manufacturing company) is still bound by integrity, objectivity, competence, confidentiality and professional behaviour — the fundamental principles are *not* the exclusive property of practising auditors. What the CFO is *not* subject to is the independence requirement, because he is not giving an assurance opinion. Watch for a question where the "CA" in the facts is an employee, not an auditor — the analysis shifts from independence to the fundamental principles and to *Part C* pressures (e.g., a superior pressuring him to misstate).

### 4.2 The Five Fundamental Principles — each as an answer to a risk

The Code requires a Chartered Accountant to comply with five fundamental principles. Do not learn them as a list; learn each as **the specific betrayal it prevents**.

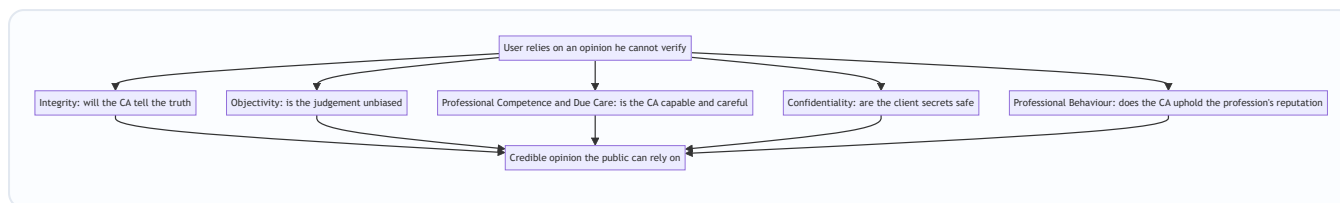


Figure 11.1 — The five fundamental principles, each closing a different gap in the user's trust.

**(a) Integrity.** To be *straightforward and honest* in all professional and business relationships; it implies fair dealing and truthfulness. *The risk it counters:* the auditor's core deliverable is a truthful statement; if he'll knowingly associate with false or misleading information, the opinion is worthless at the root. Integrity specifically forbids being associated with reports the CA knows to contain materially false, misleading, or recklessly-made statements, or that omit/obscure information. It is the principle that survives even commercial pressure — the one that says *walk away rather than sign a lie*. Note the finer distinction the Code draws: integrity is breached not only by *asserting* a falsehood but by *knowingly being associated* with one, and by *recklessness* (not caring whether it is true). A CA who signs "I didn't actually check, so I didn't *know* it was false" does not escape — reckless indifference is treated as a want of integrity. The cure once a CA discovers he is associated with misleading information is to *disassociate* — insist on correction, and if refused, withdraw.

**(b) Objectivity.** To *not allow bias, conflict of interest, or undue influence of others* to override professional judgement. *The risk it counters:* the whole point of an *independent* opinion is that it isn't management's opinion in disguise. Objectivity is the mental state; independence (below) is the set of circumstances that protects it. A CA must not perform a service if a circumstance unduly influences his judgement. Objectivity is the *broadest* principle in scope — it governs the CA even where no assurance is given (advising two competing clients, for instance, is an objectivity/conflict-of-interest issue even though no audit opinion is at stake).

**(c) Professional Competence and Due Care.** To *maintain professional knowledge and skill* at the level required to give competent service (keeping up with technical, legislative developments), and to *act diligently* per applicable standards. *The risk it counters:* an honest, unbiased auditor who simply *doesn't know* the applicable Ind AS or misses a required procedure produces a wrong opinion just as damaging as a dishonest one. Competence has two limbs — **attainment** (getting the knowledge) and **maintenance** (CPE, staying current). Due care demands diligent, careful application. A commonly-tested corollary: competence obliges a CA to make clients aware of the *limitations* of the service, and to *decline or seek help* on matters beyond his competence rather than bluff. Accepting an engagement you cannot competently perform is itself a breach — the failure occurs at *acceptance*, before a single procedure is done.

**(d) Confidentiality.** To *respect the confidentiality* of information acquired through professional relationships and *not disclose it without proper authority* (unless a legal/professional right or duty to disclose exists), nor *use it for personal advantage*. *The risk it counters:* an audit only works if management hands over sensitive data — margins, contracts, litigation. If clients feared leakage, they'd conceal information and the audit would be starved of evidence. Confidentiality is the *lubricant* that makes candid disclosure to the auditor safe. Note the two prohibited acts: **disclosing and using** (even without disclosure — e.g., trading on inside knowledge). It continues **after** the relationship ends and extends to family/social settings. A subtle limb often missed: the duty also requires the CA to take reasonable steps to ensure **staff and outside advisers** under his control respect confidentiality — it is not merely a personal duty but a supervisory one.

*Permitted/required disclosures (the exam favourite):* (i) permitted by law and authorised by the client; (ii) *required by law* — e.g., producing documents in legal proceedings, disclosing infringements to authorities; (iii) *professional duty or right* — e.g., complying with a peer/quality review, ICAI investigation, defending oneself in litigation, or complying with technical/ethical standards. When deciding whether a *permitted* (not mandatory) disclosure is appropriate, the Code says to weigh: whether all relevant facts are known and substantiated, the type of communication and the audience, and whether the CA could incur legal liability. Do not treat "there's an exception" as a licence to gossip — even a permitted disclosure must be justified and proportionate.

**(e) Professional Behaviour.** *To comply with relevant laws and regulations and avoid any conduct that discredits the profession. The risk it counters:* the value of a CA's signature depends on the *collective* reputation of "Chartered Accountant." One member's disgraceful conduct — or misleading advertising, or unsubstantiated claims about competitors — debases the currency for everyone. This principle governs solicitation, advertising, and general conduct so the brand stays trustworthy. Under this head sit the CA Act's restrictions on **advertising and solicitation**: a member in practice must not solicit clients or professional work by advertising, and must not make disparaging or exaggerated claims. The rationale is not prudishness — it is that a race to advertise degrades into a race to *over-promise*, and over-promising is corrosive of the honesty the whole brand rests on. (ICAI has progressively liberalised what a member may publish — website details, permitted directories — so *verify the current permitted-disclosures position*; the *principle* of no-solicitation endures even as the *boundaries* move.)

### 4.3 Independence — the special demand for assurance engagements

Independence is *not* one of the five fundamental principles — it is a **distinct, additional requirement** that applies specifically to **assurance engagements** (audits and reviews). Why single it out? Because in assurance work the *entire value proposition* is that the conclusion is unbiased; independence is objectivity's structural guarantee. The Code requires independence in the two forms established in Part 2:

- **Independence of mind** — the state permitting a conclusion without bias, conflict, or undue influence; acting with integrity, objectivity, professional scepticism.
- **Independence in appearance** — avoiding circumstances so significant that a *reasonable and informed third party* would likely conclude integrity/objectivity/scepticism had been compromised.

The test for appearance — the "**reasonable and informed third party**" test — is worth memorising verbatim, because examiners phrase problems around it: *not* "would this actually bias me?" but "would an informed outsider reasonably doubt it?" Unpack every word: *reasonable* (not a paranoid or a naive observer — a sensible one); *informed* (someone who knows the relevant facts and the safeguards in place, not an ignorant bystander who panics at nothing); *third party* (an outsider, not the auditor congratulating himself). The "informed" limb matters in defence: if a threat exists but a robust, *disclosed* safeguard neutralises it, an *informed* observer — who knows the safeguard exists — may reasonably conclude independence is intact. The test is not "could anyone imagine a doubt?" but "would a reasonable person, knowing everything including the safeguards, still doubt?"

**Period and scope of independence (frequently under-answered).** Independence must be maintained throughout **both** the *engagement period* **and** the *period covered by the financial statements*. So a prohibited interest held during the financial year under audit taints independence even if disposed of before the report is signed — you cannot audit a year during part of which you held the client's shares. Independence also extends beyond the individual signing partner to the **firm, the network firm, and members of the**



**engagement team** — a self-interest interest held by a *team member's spouse* can disqualify, not only one held by the engagement partner. Students routinely restrict the analysis to "the auditor" personally and lose marks by ignoring the firm/network/team perimeter.

#### 4.4 The Five Threats to Independence — mechanisms, not lists

Any circumstance that endangers independence is classified by its **psychological mechanism** into one of five categories. Learn the *why* of each, and you can classify anything.

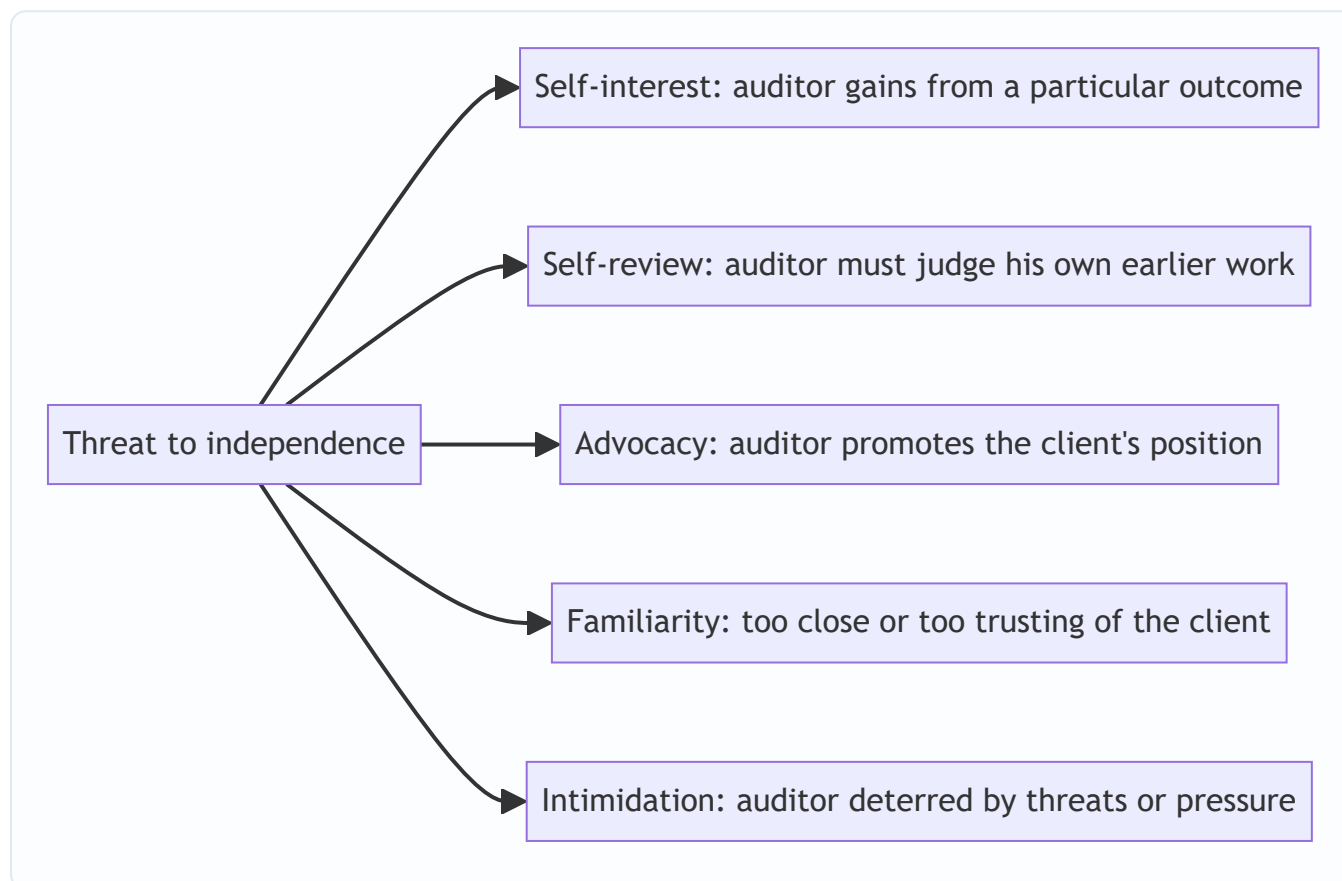


Figure 11.2 — Five threat families, grouped by the mechanism through which each corrupts judgement.

**(1) Self-interest threat — "I gain if the numbers look a certain way."** *Mechanism:* a financial or other interest of the auditor (or a close family member) aligns his personal benefit with a particular audit outcome, so the incentive to find and report problems is dulled. *Examples:* holding shares in the audit client; a loan to/from the client; **fee dependence** — a single client contributing an undue proportion of the firm's total fees; a contingent fee; a close business relationship with the client; the auditor being offered employment by the client.

**(2) Self-review threat — "I'd be marking my own homework."** *Mechanism:* the auditor is asked to evaluate, as part of the audit, results of a service *he himself* previously performed. People are psychologically incapable of neutrally auditing their own work — admitting an error means admitting *personal* fault. *Examples:* the firm prepared the client's accounts/financial statements and now audits them; provided bookkeeping, valuation, actuarial, or the design of the internal financial-control system, then audits those very outputs; a former firm member now a director whose decisions the audit must assess.

**(3) Advocacy threat — "I've publicly taken the client's side."** *Mechanism:* the auditor promotes or champions the client's position to the point where his objectivity as a neutral verifier is compromised — a

promoter cannot also be a neutral referee. *Examples:* representing the client in litigation or a tax dispute *against a third party or authority*; promoting/underwriting the client's shares; acting as an advocate for the client in a legal matter material to the financials.

**(4) Familiarity threat — "I'm too close to them to be sceptical."** *Mechanism:* a long or close relationship makes the auditor overly sympathetic, overly trusting, or emotionally invested, dulling the professional scepticism the audit depends on. *Examples:* a close family member of the audit team in a key position at the client; a long association of senior personnel with the same client (why **partner rotation** exists); a former partner now in a key management role at the client; accepting significant gifts or hospitality (unless trivial and inconsequential).

**(5) Intimidation threat — "I'm afraid of what happens if I don't comply."** *Mechanism:* actual or perceived pressures deter the auditor from acting objectively — fear overrides judgement. *Examples:* threat of dismissal or non-reappointment over a disagreement on accounting treatment; threat of litigation; pressure to reduce work inappropriately to cut fees; a dominant, aggressive client personality.

A single set of facts can trigger **more than one** threat. Preparing the client's accounts *and* depending heavily on its fees is *both* self-review *and* self-interest. Examiners love this — always scan all five.

**Finer distinctions the examiner exploits.** Three pairs are routinely confused; keep the *mechanism* in front of you and they separate cleanly:

- **Advocacy vs Self-review.** Both can arise from tax work, so the mark is in *what the CA did*. If the CA *computed/filed* the tax and now audits the resulting provision, that is **self-review** (judging his own output). If the CA *argued the client's case before the tax authority or a tribunal*, taking the client's side against a third party, that is **advocacy** (championing a position). Same client, same tax — different threat, decided by the *activity*.
- **Self-interest vs Intimidation** in the fee scenario. Wanting to *keep* a lucrative client is **self-interest**; being *threatened* with the loss ("agree or we drop you") is **intimidation**. A single sentence from a CFO can trigger both at once — name both.
- **Familiarity vs Self-interest** in a job offer. If the *client offers the audit-team member a job*, note that the very *prospect* of employment is a **self-interest** threat (he may soften the audit to protect the offer) — and if he has *already been* a firm partner now sitting in management, the residual closeness is **familiarity**. The direction of the relationship and its timing decide the label.

**A structural refinement from the revised Code: distinguishing management responsibilities.** The current Code sharpens *why* many non-audit services are dangerous: an auditor must never *assume a management responsibility* for an audit client (e.g., authorising transactions, taking decisions, designing/implementing controls). If he does, he ends up auditing decisions he himself made — the purest self-review — and he also loses the independence to challenge them. This "no management responsibility" line is the conceptual root beneath the s.144 list; if a question gives a novel service not on the s.144 list, ask "*is the CA stepping into management's shoes?*" — if yes, it is impermissible even if unnamed.

## 4.5 Safeguards — reducing threats to an acceptable level

A safeguard is an action that eliminates a threat or reduces it to an **acceptable level** (the level at which a reasonable and informed third party would conclude compliance with the fundamental principles is not compromised). The Code groups safeguards into two broad sources:

**A. Safeguards created by the profession, legislation, or regulation** — educational/training/experience entry requirements; CPE requirements; professional standards; monitoring and disciplinary procedures; external review of reports by a legally empowered third party.

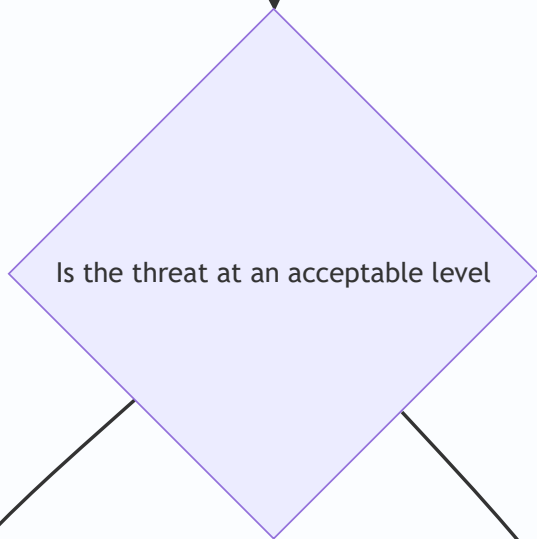
**B. Safeguards within the firm's own systems and environment** — firm-wide (e.g., leadership stressing independence, quality-control policies per **SQC 1**, documented independence policies, rotation of senior personnel, disciplinary mechanisms) and engagement-specific (e.g., an **engagement quality control reviewer (EQCR)** who was not on the team, rotating the engagement partner, using different partners/teams for non-assurance services, consulting a third party such as ICAI).

The evaluation logic is a loop, and it is examinable as a procedure:



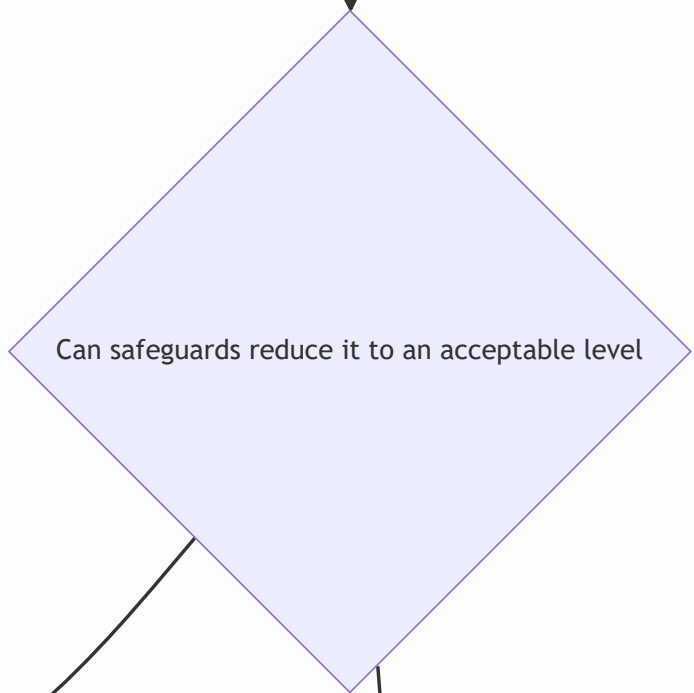
Identify a threat to a fundamental principle or independence

Evaluate its significance



No

Apply safeguards to eliminate or reduce it



Yes

Yes

No

Proceed and document the evaluation

Decline or discontinue the engagement or relationship

Figure 11.3 — The conceptual framework in action: no engagement proceeds while an unacceptable threat lacks an effective safeguard.

The critical takeaway: **if no safeguard can bring the threat to an acceptable level, the only ethical response is to refuse or resign.** There is no "manage it and hope" option.

**What counts as a *genuine* safeguard — and what does not.** A recurring exam trap is to offer a fake safeguard and see if you accept it. A valid safeguard must be *independent of the threat itself*. Two things a client says or does can never be safeguards: (i) **management's own assurance** ("the directors confirmed they were honest") — the very party being audited cannot certify away the auditor's independence; and (ii) a **larger fee or the client's importance** — commercial magnitude *worsens* self-interest, it does not cure it. Note too that the revised Code deliberately narrowed the old idea of "safeguards created by the client" — the current framework is sceptical that client-side controls can genuinely safeguard the *auditor's* independence, and leans instead on *removing the circumstance* or on *firm/profession* safeguards. If your proposed safeguard is really the client promising to behave, it is not a safeguard.

**Safeguards scale with severity — a worked intuition.** Think of significance as a dial. A *trivial* threat (an audit senior owns a token number of shares in an unrelated group company, immaterial to both) may need no more than routine firm policies. A *moderate* threat (a non-key family relationship, a modest one-off non-audit service) may be cured by an EQCR and separate teams. A *severe* threat (a partner's spouse is the client's CFO; 40%+ fee dependence on one client) often **cannot** be safeguarded at all and forces removal of the person or exit from the engagement. The examiner's mark is in your matching the *strength of the response to the size of the threat* — proposing a token safeguard for a fatal threat, or resigning over a trivial one, both lose marks.

#### 4.6 The Legal Backstop — Companies Act, 2013 (where safeguards aren't trusted)

For the most dangerous conflicts, Parliament did not leave it to professional judgement — it *legislated prohibitions*. These convert an ethical threat into a legal disqualification. Understand each as a *frozen* threat-and-safeguard decision: the legislature decided the threat is so severe that outright prohibition is the only adequate safeguard.

**Section 141 — Eligibility, Qualifications and Disqualifications of Auditor.** A person is **not eligible** for appointment as auditor if, among others: - a **body corporate** (except an LLP) — accountability must rest on identifiable professionals; - an **officer or employee** of the company — self-review/familiarity in the extreme; - a partner/employee of an officer or employee of the company; - a person (or his partner/relative) holding **any security or interest** in the company (relatives may hold face value up to the prescribed limit — *confirm current threshold, historically ₹1,00,000*) — a naked **self-interest** threat; - a person indebted to the company beyond the prescribed amount, or who has given a guarantee for a third party's indebtedness beyond the prescribed limit — **self-interest/intimidation**; - a person with a **business relationship** with the company (beyond prescribed exceptions) — self-interest; - a person whose **relative is a director** or in key managerial personnel — **familiarity**; - a person in **full-time employment elsewhere**, or holding audits of **more than 20 companies** (ceiling limit) — competence/due-care; - a person convicted of fraud in the last 10 years — professional behaviour/integrity; - a person who **directly or indirectly renders prohibited services under s. 144**.

A frequently-tested subtlety within s.141: the **security-or-interest** bar is *absolute* for the auditor and his firm (not even one share), but relatives are allowed a *limited* holding up to the prescribed face value — and if a relative acquires securities *above* the limit, the Act gives a corrective window (historically **60 days** to take corrective action) rather than instant disqualification. *Verify the current limit and the corrective period in the Companies (Audit and Auditors) Rules.* Also note "interest" is read widely — it is not confined to equity shares. And the **>20 company ceiling** carries its own carve-outs (e.g., one-person companies, dormant companies, small companies and certain private companies are excluded from the count under the current rules) — *verify the current exclusions*, because a numerical question ("the CA already audits 22 companies, 4 of which are small companies") turns entirely on which ones count.

**Section 144 — Auditor not to render certain services.** The auditor (and its network) must **not** provide to the audit client (or its holding/subsidiary) these services, precisely because each creates a self-review or advocacy or self-interest threat too severe to safeguard: accounting and book-keeping; internal audit; design and implementation of any **financial information system**; actuarial services; investment advisory; investment banking; rendering of outsourced financial services; management services; and any other prescribed service. *Map each to its threat:* bookkeeping/internal audit/financial-system design = **self-review**; investment banking/advisory = **advocacy/self-interest**. This is the Companies Act codifying the self-review and advocacy threats.

*The trap inside s.144:* the prohibition covers services rendered **directly or indirectly** to the company **and to its holding company and subsidiary company** — so a firm cannot dodge it by having a network firm render the service, nor by rendering it to the parent instead of the audited entity. "Indirectly" is expressly defined to catch services routed through a relative or a network. What s.144 does **not** bar is *ordinary audit-related and tax work* — the auditor may still do statutory audit, tax representation, and certification work not on the list. So the correct answer to "can the auditor also file the client's tax return?" is generally *yes* (tax is not a s.144-prohibited service), which surprises students who over-apply the ban. Distinguish sharply: **s.144 lists the banned services; everything not listed is permitted** unless a threat analysis independently defeats it.

**Section 139(2) — Rotation of auditors** (listed companies and prescribed classes). An individual auditor may serve **one term of five consecutive years**; an audit firm **two terms of five consecutive years (max 10)**, followed by a **five-year cooling-off** period during which neither the firm (nor a firm with common partners under the same network) may be reappointed. *Why:* this is the legislative response to the **familiarity threat** — no relationship, however professional, is allowed to run indefinitely.

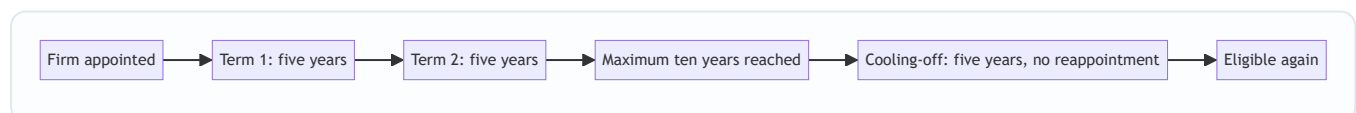


Figure 11.4 — Section 139(2) firm rotation: the familiarity threat, capped and cooled by statute.

*Rotation subtleties worth a mark:* the anti-circumvention clauses mean the cooling-off catches not just the *same firm* but a *different firm with common partners* and firms *under the same network* — so a firm cannot dodge rotation by shuffling the engagement to a sister firm. There is also an **incoming-auditor bar**: on rotation, the *outgoing* firm/its associates cannot be reappointed for the cooling period, and the classes of company subject to rotation are prescribed (listed companies plus certain unlisted public and private companies above prescribed capital/borrowing thresholds). *Verify the current class thresholds and network definition.* Distinguish rotation (s.139(2), *mandatory and mechanical* for prescribed classes) from ordinary reappointment and from *partner* rotation (an ethics-Code safeguard applying more broadly than the statute).



Sections 139–148 are covered in depth in the "Company Audit" chapter; here they appear as the *legal embodiment* of the ethics framework. Cross-refer, don't duplicate.

Here is the layered defence — profession, firm, and statute — in one picture, showing *when each layer takes over*:

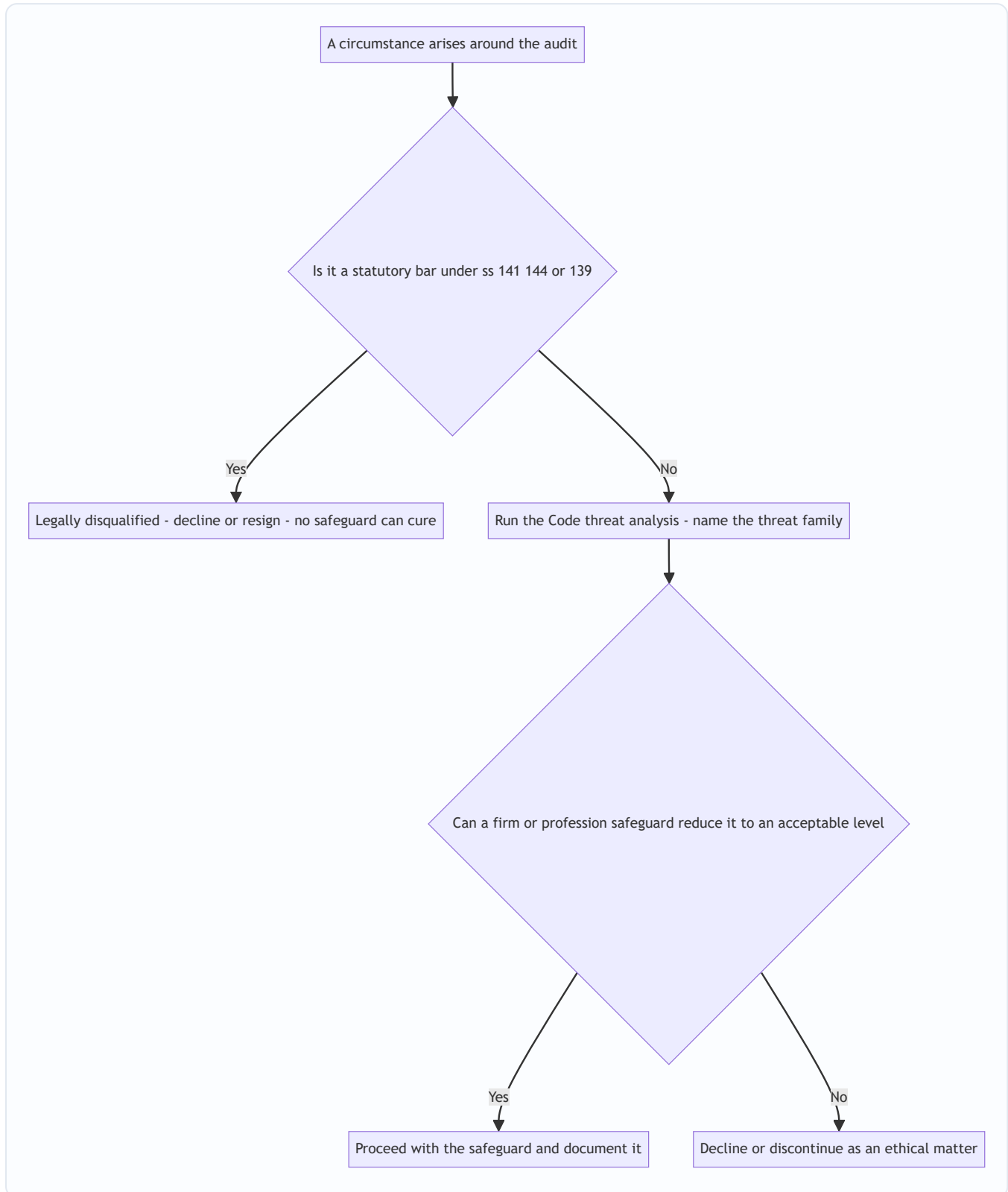


Figure 11.5 — Three layers of defence and the order to test them: statute first, then Code threats, then safeguards, then exit.

#### 4.7 Fees — a threat hiding in plain sight

Fees deserve their own note because they touch three threats at once. - **Fee dependence / undue**

**proportion:** if one client generates too large a share of total firm income, the fear of losing it (intimidation) and the desire to keep it (self-interest) both bite. Safeguard: monitor the proportion, use an external quality review, reduce dependence. The Code flags heightened concern where a *single client (or group)* provides a *large proportion of total fees*, and greater concern still where fees are *overdue* or the client is a *public interest entity*. *Verify whether the current ICAI Code specifies a numerical percentage trigger* — the *principle* (undue proportion is a threat) is settled even where a *hard figure* is not one you should quote from memory. -

**Contingent fees** (fees dependent on the outcome or on a result — e.g., "a percentage of the tax you save") are **prohibited for assurance engagements** — they align the fee directly with a particular outcome, a self-interest threat by construction. Beware the definitional edge: a fee is *not* "contingent" merely because it was fixed by a court or public authority, and *percentage-based professional fees* were traditionally restricted under the CA Act's misconduct schedules for members in practice — *verify the current permitted bases of fees*, as ICAI has relaxed some historically-barred percentage arrangements for certain non-assurance work. -

**Overdue fees** from the prior year functioning like a loan to the client — a self-interest threat; assess before accepting reappointment. The mechanism: if the client owes you last year's fee and you must sign this year's report, you are effectively an *unsecured creditor* dependent on the client's goodwill to get paid — precisely the alignment independence forbids. The cure is to collect the overdue amount *before* issuing the current report, or to treat the balance as a threat requiring safeguards. - **Lowballing / low fees:** quoting a fee so low it cannot fund a competent audit is a **professional competence and due care** threat (not primarily self-interest) — the risk is that corners get cut to make the engagement economic. A low fee is not *itself* misconduct, but the CA must still perform the work to standard; inability to do so at the quoted fee means the quote was improper.

#### 4.8 The disciplinary consequence

Breach of the Code is not merely frowned upon — under the **Chartered Accountants Act, 1949**, conduct falling within the **First and Second Schedules** constitutes "**professional misconduct**," triable by the ICAI's disciplinary mechanism (Board of Discipline / Disciplinary Committee), with penalties up to **removal of name from the Register** and monetary fines. This legal enforceability is *what makes the ethics believable* — it is the ultimate safeguard standing behind every principle.

*Know the split between the two schedules, because it is directly testable.* Broadly, the **First Schedule** covers the *less grave* misconduct (heard by the **Board of Discipline**, with lighter maximum penalties — reprimand, removal up to a limited period, and a capped fine), while the **Second Schedule** covers the *graver* misconduct — including gross negligence, failure to obtain sufficient information before expressing an opinion, and disclosure of confidential information — heard by the **Disciplinary Committee** with the *heaviest* penalties, including **removal from the Register permanently or for a longer period** and a higher fine. *Verify the current penalty amounts and the exact clause allocations*, but retain the architecture: **First Schedule = less serious / Board of Discipline; Second Schedule = more serious / Disciplinary Committee**. Two classic Second-Schedule items connect straight back to this chapter — "*grossly negligent in the conduct of professional duties*" is the disciplinary face of a *competence/due-care* failure, and "*discloses information*"

acquired in the course of professional engagement without consent" is the disciplinary face of a confidentiality breach. Naming the schedule *and* the underlying principle in an answer signals mastery.

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## 5. Applied Scenarios

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**Scenario 1 — The convenient bookkeeping.** *Facts:* CA Meera's firm has audited Zephyr Pvt Ltd for years. To help the small client, her firm also maintains Zephyr's books and prepares its draft financial statements, then audits them. The director says, "You know the numbers best — just sign off." *Analysis:* Two threats. Preparing and then auditing the same financial statements is a textbook **self-review threat** — Meera cannot neutrally evaluate work her own firm produced. Under **s. 144**, providing **accounting and book-keeping services** to an audit client is *prohibited outright* if Zephyr falls within the Act's audit framework — there is *no* safeguard that rescues it. *Conclusion:* the firm must cease providing the bookkeeping service or resign as auditor; it cannot do both. If Zephyr were a client to which s.144 did not apply, the self-review threat would still require robust safeguards (separate personnel, independent review) and may still be untenable.

**Scenario 2 — The valuable client.** *Facts:* A single listed client, Orion Ltd, contributes 42% of CA Rahul's firm's total fee income. During the audit Rahul finds an aggressive revenue-recognition treatment he believes is wrong. The CFO says, "Push back on this and we'll reconsider the appointment next year." *Analysis:* Three threats stacking. The 42% dependence is a **self-interest threat** (Rahul's firm needs the money) *and* a **familiarity/self-interest** dependence problem; the CFO's explicit warning is an **intimidation threat**. *Safeguards:* because the threats are severe, professional-level safeguards are needed — an **engagement quality control review** by an independent partner, consultation with ICAI, and reducing dependence on the single client over time. Critically, on the accounting disagreement itself, integrity and objectivity *override* the fee: if the treatment is materially wrong and uncorrected, Rahul must **modify the opinion** (SA 705) regardless of the threat to reappointment. If no safeguard can protect his objectivity, resignation is the ethical floor.

**Scenario 3 — The family connection.** *Facts:* CA Anjali is offered the statutory audit of Bluewave Ltd. Her brother is the company's Finance Director (a KMP). She reasons, "I'm completely professional; my judgement won't be affected." *Analysis:* This is where the *appearance* test bites. Even accepting Anjali's genuine objectivity (independence of mind), a **reasonable and informed third party** would doubt an audit where the auditor's brother runs the finances — **independence in appearance** is destroyed. Moreover, under **s. 141**, a person whose **relative is a director or KMP** of the company is *disqualified* from appointment — the legislature froze this familiarity threat into a legal bar. *Conclusion:* Anjali is **ineligible**; she must decline. Her personal confidence is irrelevant, because the user cannot see inside her mind — which is the whole reason appearance matters.

**Scenario 4 — The confidential tip.** *Facts:* During Falcon Ltd's audit, CA Vikram learns of an unannounced merger that will lift Falcon's share price. His cousin asks him for "any good stock tips." *Analysis:* **Confidentiality** prohibits both *disclosing* the information *and using it for personal (or another's) advantage* — even a hint to the cousin, and certainly any trading, breaches the principle (and securities law). No safeguard makes this acceptable; the duty persists even after the engagement ends. *Conclusion:* Vikram must say nothing and use nothing. Silence is the only compliant response.

**Scenario 5 — The shareholding that "doesn't count" (numerical, self-verifying).** *Facts:* CA Suresh is offered the statutory audit of Kestrel Ltd. He holds **no** shares. However, (a) his **wife** holds **900 equity shares of face value ₹100 each** (total face value ₹90,000) in Kestrel, and (b) his **audit partner's brother** holds

shares worth face value ₹1,50,000. Assume the prescribed relative face-value limit is **₹1,00,000** (*verify current limit*). *Step-by-step*: 1. *The auditor's own holding*: nil — the absolute bar on the auditor holding *any* security is not triggered. Good so far. 2. *The wife (a "relative")*: face value held =  $900 \times ₹100 = ₹90,000$ . This is *below* the ₹1,00,000 relative limit, so it does **not** disqualify — but it must be monitored, and if she buys more and crosses ₹1,00,000 the corrective window (historically 60 days) applies. 3. *The partner's brother*: here the analysis turns on whether "brother of a partner" is a **relative of the partner** whose holding is aggregated, and whether the ₹1,50,000 exceeds the limit. Face value ₹1,50,000 is **above** ₹1,00,000. If the brother qualifies as a relative under the Act's relative definition and the holding is attributed to the partner, the firm is **disqualified** unless corrected. *Reconciliation / self-check*: the decisive line is that s.141 disqualifies "a person **or his partner or relative**" holding security beyond the permitted limit. The wife's ₹90,000 is inside the limit → not fatal. The partner-side holding of ₹1,50,000 is outside the limit → fatal unless corrected within the allowed window. *Conclusion*: the firm cannot accept (or must procure disposal to bring the relative's holding within limit within the corrective period) **because of the partner-side holding, not the wife's**. *The exam trap this scenario defeats*: candidates fixate on the auditor's own zero holding and declare "eligible," missing that the disqualification reaches **partners and relatives**. *Verify the exact relative face-value limit and corrective period before relying on the figures*.

**Scenario 6 — The ceiling count (numerical, self-verifying)**. *Facts*: CA Priya is a sole practitioner. She currently holds appointment as auditor of **19 companies**, of which **3 are small companies** and **1 is a dormant company** (assume these classes are *excluded* from the ceiling count under the current rules — *verify*). She is now offered **4 more** audits, all ordinary (non-excluded) public companies. *Step-by-step*: 1. Start from the statutory ceiling: an individual may not hold audit of **more than 20 companies** (s.141 read with s.139/141 ceiling; *verify current treatment and exclusions*). 2. Compute her *counting* number now: 19 held – 3 small – 1 dormant = **15 counting audits**. 3. Add the 4 new (all counting):  $15 + 4 = 19$  **counting audits**. 4. Compare to ceiling of 20:  $19 \leq 20 \rightarrow$  **within limit**; she may accept all four. *Reconciliation / self-check*: had the excluded companies been ignored, a naive count would be  $19 + 4 = 23$  and she'd wrongly refuse. The reconciliation is that *only counting audits* press against the ceiling; excluded classes fall out first. *Variation the examiner may add*: make one of the 4 new companies itself a small company — then counting number =  $15 + 3 = 18$ , even more room. Or state she is a *partner in a firm* — then the ceiling is generally computed **per partner** across the firm, which changes the arithmetic entirely. *Conclusion*: she may accept the four; the load-bearing step is *excluding the exempt classes before counting*. *Verify current exclusions and whether the limit is 20 per individual/partner in the latest Rules*.

**Scenario 7 — The tax work that changes colour (self-review vs advocacy)**. *Facts*: CA Nikhil audits Comet Ltd. Separately, his firm (i) *prepared and filed* Comet's income-tax return, computing a large contentious deduction, and next year (ii) *appeared before the Tribunal to argue* that the deduction is valid, when the department challenged it. Both the provision for tax and the contingent-liability disclosure sit in the financials Nikhil must audit. *Analysis*: - Activity (i) — *computing and filing* the return whose provision he now audits — is a **self-review threat**: he would be auditing figures his own firm produced. - Activity (ii) — *arguing Comet's side before the Tribunal against the department* — is an **advocacy threat**: he has publicly championed the client's position, so a reasonable third party doubts he can neutrally assess whether the disclosure/provision is fairly stated. *Reconciliation*: same client, same tax issue, **two different threats decided by the activity** — a distinction Scenario 5/6's numbers don't test but theory questions love. *Response*: tax representation is **not** a s.144-prohibited service, so this is not an automatic legal bar; but the *combined* self-review + advocacy on a *material* item may be un-safeguardable. Safeguards to consider: use *separate teams/partners* for the tax advocacy and the audit, an EQCR, and — if the item is material and the

advocacy is aggressive — decline the advocacy role or the audit. *Conclusion*: not illegal per se, but likely untenable together where the item is material; separate the roles or step back. *The tweak to watch*: if instead the firm had only *filed a routine return with no contentious position and did not represent Comet*, the threat is a mild self-review often curable by review — showing how the *facts*, not the label "tax work," drive the answer.

## 6. Procedure & Documentation Summary

The examinable *process* for handling any ethics/independence question — reproduce this as your answer skeleton:

1. **Identify** — scan the facts against the five fundamental principles and the five threat categories. Name the threat(s) precisely; note if several apply.
2. **Evaluate significance** — quantitative (e.g., % of fees, size of shareholding) and qualitative (seniority of the person, materiality to the FS). Apply the **reasonable and informed third party** test for appearance.
3. **Check for an outright legal bar first** — is this disqualified under **s. 141**, or a prohibited service under **s. 144**, or a rotation breach under **s. 139(2)**? If so, safeguards are irrelevant — decline/resign.
4. **Apply safeguards** — profession-created and firm/engagement-level (EQCR, partner rotation, separate teams, independent review, ICAI consultation).
5. **Re-assess** — is the residual threat now at an acceptable level? If not, **decline or discontinue**.
6. **Document** — record the threat identified, its evaluation, the safeguards applied, and the conclusion (SQC 1 / SA 220 require this; independence conclusions must be documented). Obtain **written independence confirmations** from engagement team members.

*Exam tip on ordering*: in a written answer, put **step 3 (legal bar) before the safeguards discussion** whenever the facts smell of s.141/144/139. Wasting a paragraph designing safeguards for a situation that is a flat statutory disqualification signals you missed the bar — and the examiner docks for it. Lead with "Is this even permissible?" then, only if yes, "how do we safeguard it?"

| Requirement                                                  | Standard/Source      | The "why"                                           |
|--------------------------------------------------------------|----------------------|-----------------------------------------------------|
| Comply with relevant ethical requirements incl. independence | SA 200               | Precondition of any credible audit                  |
| Firm-level independence policies & monitoring                | SQC 1                | Makes the firm accountable, not just the individual |
| Engagement partner to form conclusion on independence        | SA 220               | Front-line responsibility on each audit             |
| Document threats, safeguards, conclusions                    | SQC 1 / SA 220       | Evidence the framework was actually applied         |
| Written independence confirmation from team                  | SA 220 / firm policy | Converts a principle into an auditable act          |

## 7. Connections

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- **To SA 200 (Chapter on basic concepts):** SA 200 lists ethics + independence as *preconditions* of an audit conducted per SAs. This chapter is the content of that precondition.
  - **To SA 705/706 (opinions):** Scenario 2 shows the link — ethical courage is what makes an auditor *actually* modify an opinion when the client resists. Ethics without the willingness to qualify is decoration.
  - **To Company Audit (ss. 139–148):** ss. 141, 144, 139(2) are the *legal skeleton* of the ethics framework; study them there in procedural detail, here for their *rationale*.
  - **To Quality Control (SQC 1 / SA 220):** safeguards live inside the firm's quality-control system; ethics is operationalised through QC. (Note: at the global level SQC 1 is being superseded by the SQM standards on *quality management*; ICAI adoption timing should be *verified* — the *concept* that the firm owns independence controls is unchanged.)
  - **To Professional Scepticism (SA 200/SA 240):** the *familiarity* threat is precisely the erosion of scepticism; independence protects the sceptical mindset fraud detection needs.
  - **To SA 210 (Agreeing terms) & SA 220 (acceptance/continuance):** the ethics screen runs *at acceptance* — an engagement that fails the independence test should never be accepted, tying this chapter to the acceptance decision.
  - **To the CA Act, 1949 (Schedules I & II):** the disciplinary enforcement that gives the whole Code its bite; gross negligence and confidentiality breaches surface here as Second-Schedule misconduct.
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## 8. Traps & Examiner Tricks

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- **"He's honest, so it's fine."** No — *appearance* is an independent requirement. If a reasonable third party would doubt it, independence fails *regardless* of actual integrity. Scenario 3 is built on this.
- **Confusing objectivity with independence.** Objectivity is a fundamental *principle* (state of mind, applies to all services); **independence** is a *separate additional* requirement specifically for **assurance** engagements. Don't call independence a "fundamental principle."
- **Only spotting one threat.** Fee-dependence + client pressure = self-interest **and** intimidation. Bookkeeping-then-audit = self-review, often + self-interest. Always scan all five.
- **Assuming safeguards can fix anything.** Some situations (s.141 disqualifications, s.144 prohibited services, contingent fees for assurance) admit **no** safeguard — the answer is *decline/resign*, not "apply safeguards."
- **Designing safeguards before checking the legal bar.** Reverse of the trap above: if it's a flat s.141/144/139 disqualification, jumping to "apply an EQCR" wastes the paragraph and reveals you missed the bar. Test permissibility first.
- **Confidentiality = only 'don't disclose'.** It *also* forbids **using** the information (insider trading), continues **after** the engagement, and has recognised **exceptions** (required by law, professional duty/right). Examiners test the exceptions.
- **Treating an exception to confidentiality as a free pass.** A *permitted* disclosure still requires judgement — verify the facts, weigh the audience and legal exposure; don't disclose more than the exception warrants.
- **Forgetting the enforcement.** Breach isn't abstract — it's **professional misconduct** under the CA Act Schedules, punishable up to removal from the Register. State the *schedule* (First = less grave/Board of



Discipline; Second = grave/Disciplinary Committee) for extra marks.

- **Mislabelling advocacy vs self-review.** Representing the client *against a third party/tax authority* = **advocacy**. Auditing your *own prior work* (e.g., a return you filed) = **self-review**. Same tax, different threat — decided by the activity (Scenario 7).
- **The "safeguard" that isn't.** Management's own assurances, a bigger fee, or the client's importance are **not** safeguards — the first is the audited party certifying itself, the latter two *worsen* self-interest.
- **Relative shareholding is not zero.** The *auditor and firm* may hold **no** security, but *relatives* may hold up to a prescribed face-value limit, with a corrective window if exceeded. *Confirm the current figure*. A *relative as director/KMP*, by contrast, is a flat disqualification.
- **Miscounting the audit ceiling.** Exclude the exempt classes (small/OPC/dormant/certain private companies — *verify*) **before** counting against the 20-company limit, and remember the count is generally *per partner* for a firm (Scenario 6).
- **Ignoring the independence period.** Independence must hold across the *whole financial year audited*, not just at signing — a share sold the day before the report is signed doesn't cleanse a year of holding it.
- **Restricting the perimeter to the signing partner.** Interests of the *firm, network firm, and team members' immediate family* also count — don't analyse only the individual auditor.
- **Assuming all tax work is banned.** s.144 does **not** bar tax representation or certification; over-applying the ban is as wrong as ignoring it.

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## 9. First-Principles Recap

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Rebuild the whole chapter from the opening problem:

1. An audit opinion is a **paid** opinion, relied on by **outsiders who cannot verify it**. Why believe it?
2. Because two things are guaranteed: the author is **independent of the outcome**, and he is bound by **enforceable principles** stronger than his self-interest.
3. Independence must hold **in fact** (real objectivity) *and in appearance* (because users judge only what they can see — a "reasonable and informed third party") — and appearance works by converting an unverifiable question about his mind into a verifiable one about his circumstances.
4. Objectivity is protected by naming the **five ways judgement gets corrupted** — self-interest, self-review, advocacy, familiarity, intimidation — a taxonomy *complete by construction*, so any new situation classifies by *mechanism*.
5. Each threat is met with **safeguards** matched to its severity; if safeguards can't reduce it to an acceptable level, you **remove the circumstance, decline, or resign**. No middle path.
6. The most dangerous threats aren't left to judgement — the **Companies Act (ss. 141, 144, 139(2))** bans them outright; test these *before* designing safeguards.
7. The five **fundamental principles** — integrity, objectivity, competence & due care, confidentiality, professional behaviour — each close a distinct gap in user trust, and bind *every* CA (practice or service), while independence binds only assurance engagements.
8. The whole system is credible only because breach = **professional misconduct** under the CA Act (First/Second Schedules), enforceable up to removal from the Register — the ultimate safeguard behind every principle.

If you can narrate those eight steps, you can derive every specific rule rather than recall it.



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## 10. Quick-Revision Sheet

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**Why ethics is foundational:** an opinion is worthless unless its author is independent (in fact + appearance) and principled; assurance is a *credibility* product sold to users who cannot verify. Credibility is a *shared* asset — one bad audit poisons trust in all — which is why the profession, not just conscience, enforces it.

**Five Fundamental Principles (I-O-C-C-P):** | Principle | One-line duty | Risk it counters | |---|---|---| |

**Integrity** | Straightforward & honest (incl. no reckless association) | Association with false/misleading info | |

**Objectivity** | No bias / conflict / undue influence | Opinion becomes management's in disguise | |

**Professional Competence & Due Care** | Attain + maintain skill; act diligently | Wrong opinion from

ignorance/carelessness | | **Confidentiality** | Don't disclose *or* use client info; survives engagement | Clients

would conceal data | | **Professional Behaviour** | Comply with law; no discredit; no improper solicitation |

Debases the "CA" brand |

**Independence (assurance only):** *of mind* (real) + *in appearance* (reasonable & informed third party test — reasonable, informed, outsider). Not a fundamental principle — a separate requirement. Holds across the *whole FS period* and covers *firm/network/team*, not just the signing partner.

**Objectivity vs Independence:** objectivity = internal state, *all* services; independence = external relationships, *assurance* only.

**Five Threats (mechanism):** | Threat | Mechanism | Classic example | |---|---|---| | **Self-interest** | Auditor gains

from an outcome | Shares/loan in client; fee dependence; contingent fee | | **Self-review** | Judging own prior

work | Firm keeps books / files return, then audits it | | **Advocacy** | Promoting client's position | Representing

client vs tax authority/tribunal | | **Familiarity** | Too close/trusting | Relative as KMP; long tenure; gifts | |

**Intimidation** | Deterred by pressure | Threat of non-reappointment |

*Decide advocacy vs self-review by the activity: argued the case = advocacy; produced the figure = self-review.*

**Safeguards:** (A) profession/legislation/regulation — CPE, standards, discipline, external review; (B)

firm/engagement — SQC 1 policies, EQCR, partner rotation, separate teams, ICAI consultation. **Not**

**safeguards:** management's assurances, a bigger fee, client's importance. **If none suffices → remove**

**circumstance / decline / resign.**

**Legal backstop (test these FIRST):** - **s. 141** — disqualifications (body corporate except LLP;

officer/employee; security/interest holder — auditor/firm *zero*, relative up to prescribed limit with corrective

window; relative-director/KMP; indebtedness/guarantee; business relationship; >20-company ceiling with

exclusions; fraud conviction 10 yrs; renders s.144 service). - **s. 144** — prohibited services

(accounting/bookkeeping, internal audit, financial-system design, actuarial, investment advisory/banking,

management services...) — direct **or indirect**, incl. to holding/subsidiary. Tax & certification *not* barred. - **s.**

**139(2)** — rotation: individual 1×5 yrs; firm 2×5 (max 10) + 5-yr cooling-off; anti-circumvention catches

common-partner/network firms.

**Fees:** contingent fees banned for assurance; monitor fee dependence (undue proportion); collect overdue fees before signing (loan-like); lowballing = competence/due-care risk.

**Enforcement:** breach = **professional misconduct** under CA Act, 1949 — **First Schedule** (less grave → Board

of Discipline) / **Second Schedule** (grave, incl. gross negligence & confidentiality breach → Disciplinary

Committee) → up to removal from Register + fine.

**Answer skeleton:** Identify threat(s) → evaluate significance (+ third-party test) → **check legal bar first (ss.141/144/139)** → apply safeguards → re-assess → remove/decline if unacceptable → document + written independence confirmations.

*Verify all monetary thresholds, prescribed limits, percentage triggers, ceiling exclusions, penalty amounts, and current Code paragraph numbers against the latest ICAI Code of Ethics, the Chartered Accountants Act Schedules, and the Companies (Audit and Auditors) Rules before the exam / for the current AY.*

# Q&A — Professional Ethics & Independence

CA Intermediate • Auditing & Ethics • Chapter: Professional Ethics & Independence Governing instruments: **ICAI Code of Ethics, Chartered Accountants Act, 1949** (First & Second Schedules), **Companies Act, 2013 (ss. 139, 141, 144), SA 200, SA 220, SQC 1, SA 705/706.**

## Section A — Concept-Check Questions (with answers)

### A1. State the five fundamental principles of professional ethics under the ICAI Code of Ethics.

*Answer:* (i) **Integrity** — straightforward and honest in all professional and business relationships; (ii) **Objectivity** — do not allow bias, conflict of interest or undue influence to override professional judgment; (iii) **Professional Competence and Due Care** — maintain knowledge/skill at the required level and act diligently per technical and professional standards; (iv) **Confidentiality** — do not disclose or use client information without authority or legal duty; (v) **Professional Behaviour** — comply with laws/regulations and avoid conduct discrediting the profession. (ICAI Code of Ethics; echoed in **SA 200 para 14.**)

### A2. Distinguish "independence of mind" from "independence in appearance".

*Answer:* **Independence of mind** (independence *in fact*) is the state of mind that permits the auditor to express a conclusion without being affected by influences that compromise professional judgment — allowing the auditor to act with integrity, objectivity and professional scepticism. **Independence in appearance** is the avoidance of facts and circumstances so significant that a reasonable and informed third party would conclude the auditor's integrity, objectivity or scepticism had been compromised. Both are required — appearance matters because the audit opinion is a *paid opinion relied on by outsiders who cannot verify it themselves*; a lost appearance of independence destroys the credibility (and hence the value) of the opinion even if the auditor was in fact unbiased. (**SA 200**; ICAI Code of Ethics.)

### A3. Name the five threats to independence and give the one-word mechanism of each.

*Answer:* (i) **Self-interest** — financial/other interest (e.g., loan, shareholding, fee dependence) pulls judgment; (ii) **Self-review** — auditor evaluates own prior work/output (e.g., books he wrote); (iii) **Advocacy** — auditor promotes client's position, compromising objectivity; (iv) **Familiarity** — long/close relationship makes auditor too sympathetic; (v) **Intimidation** — actual or perceived pressure/threat (dismissal, litigation) deters objective action. (ICAI Code of Ethics.)

### A4. What are the two broad categories of safeguards?

*Answer:* (i) **Safeguards created by the profession, legislation or regulation** — e.g., educational/CPE requirements, professional standards, disciplinary machinery of ICAI, statutory prohibitions (Companies Act ss. 141/144), rotation (s. 139(2)); (ii) **Safeguards in the work environment (firm-wide and engagement-specific)** — e.g., quality control policies under **SQC 1**, engagement quality control review, rotation of engagement partner, using a second partner to review, and consultation. When no safeguard can reduce a threat to an acceptable level, the auditor must **decline or resign** from the engagement. (ICAI Code of Ethics; **SQC 1**; **SA 220.**)

### A5. Which section of the Companies Act, 2013 lists disqualifications of an auditor, and give three examples?

*Answer:* **Section 141** of the Companies Act, 2013 lists eligibility, qualifications and disqualifications.

Examples: (a) a body corporate other than an LLP; (b) an officer or employee of the company; (c) a person holding **any security or interest** in the company, its subsidiary, holding or associate company (relative may hold security up to face value of ₹1,00,000); (d) a person indebted to the company for more than ₹5,00,000, or who has given a guarantee for more than ₹1,00,000; (e) a person in full-time employment elsewhere or who is auditor of more than **twenty companies**. (s. 141(3).)

#### **A6. What does Section 144 of the Companies Act, 2013 deal with?**

*Answer:* **Section 144** prohibits the statutory auditor from rendering certain **non-audit / prohibited services** directly or indirectly to the company, its holding or subsidiary company — including accounting and book-keeping, internal audit, design/implementation of financial information systems, actuarial services, investment advisory, investment banking, rendering of outsourced financial services, and management services. The purpose is to eliminate **self-review and self-interest** threats. (s. 144.)

#### **A7. State the rotation requirement in Section 139(2).**

*Answer:* For prescribed classes of companies (listed and certain other companies per Rule 5), an **individual auditor** shall not be appointed for more than **one term of five consecutive years**, and an **audit firm** for more than **two terms of five consecutive years**, with a **five-year cooling-off** before re-appointment. This is a legislative safeguard against the **familiarity** and **self-interest** threats. (s. 139(2).)

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## **Section B — Applied Scenario Questions (situation → response → reasoning)**

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**B1. Book-keeping done by the auditor.** *Situation:* CA P is the statutory auditor of XYZ Ltd. Management requests P's firm to also maintain the company's books of account and prepare the financial statements that P will later audit.

*Response & reasoning:* P must **decline** the book-keeping engagement. Auditing the financial statements he himself prepared creates a **self-review threat** of an unacceptable level, and for a company it is **prohibited by Section 144** of the Companies Act, 2013 (accounting and book-keeping services to an audit client). No safeguard can reduce this to an acceptable level while P remains statutory auditor. (s. 144; ICAI Code — self-review.)

**B2. Fee dependence and intimidation.** *Situation:* A single client contributes about 45% of a small firm's total fees. The client hints that unless the auditor accepts a favourable treatment of a doubtful debt, it will change auditors.

*Response & reasoning:* Two threats operate — **self-interest** (undue economic dependence on one client) and **intimidation** (threat of dismissal). The auditor must **not yield**; professional judgment cannot be traded for fee retention (**Objectivity, Integrity**). Safeguards: reduce dependence, obtain an engagement quality control review by another partner, consult ICAI, and disclose. If the correct accounting is not accepted, the auditor must **modify the opinion** (qualified/adverse per **SA 705**) and, if independence cannot be maintained, **resign**. ICAI guidance flags excessive fee dependence (broadly, gross fees exceeding 40% from one client for firms other than very small ones) as a caution point. (ICAI Code; **SA 705**.)

**B3. Relative as KMP — appearance.** *Situation:* CA Q is offered the statutory audit of ABC Ltd where his spouse is the Chief Financial Officer.

*Response & reasoning:* Q must **not accept**. A relative (spouse) being a KMP creates a **familiarity** and **self-interest** threat and destroys **independence in appearance** — a reasonable third party would doubt

objectivity. It also attracts disqualification concerns under **s. 141(3)** (relationship/interest). Decline the engagement; no engagement-level safeguard is adequate. (ICAI Code; **s. 141**.)

**B4. Confidentiality and insider information.** *Situation:* During the audit of a listed company, CA R learns of an unpublished proposed merger. R's friend asks about the company's prospects, and R is tempted to buy the company's shares.

*Response & reasoning:* R must **not disclose** the information and must **not trade** on it. **Confidentiality** prohibits using client information for personal advantage; trading on unpublished price-sensitive information also breaches **Professional Behaviour** and SEBI insider-trading law. Client information may be disclosed only with authority or where there is a legal/professional duty (e.g., under law, or to defend in disciplinary proceedings). (ICAI Code — confidentiality; **s. 141/Professional Behaviour**.)

**B5. Contingent fee.** *Situation:* A client offers to pay the audit fee as a percentage of the profit disclosed in the audited accounts.

*Response & reasoning:* The auditor must **refuse**. Charging fees based on a percentage of profits/results is prohibited (creates a **self-interest** threat and offends the **Second Schedule / Regulation 192**). Fees must be a fixed professional charge, not contingent on outcomes (except statutorily permitted contingent arrangements). (ICAI Code; CA Act — professional misconduct.)

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## Section C — Past-Paper-Style Descriptive Questions (with model answers)

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**C1. "Independence is the backbone of auditing." Explain independence of mind and appearance, and why appearance is essential. (5 marks)**

*Model answer:* The value of an audit is that an **outsider who cannot verify the accounts himself relies on the auditor's opinion**. For that reliance to be justified, the auditor must be independent both in fact and in appearance. - **Independence of mind** allows the auditor to form a conclusion free from bias, conflict of interest, or undue influence — enabling integrity, objectivity and professional scepticism (**SA 200 para 15** requires scepticism). - **Independence in appearance** requires avoiding circumstances so significant that a **reasonable and informed third party** would conclude independence was compromised. Appearance is essential because credibility, not merely correctness, is what users buy: a well-founded suspicion of bias is enough to destroy the opinion's usefulness. Hence the Companies Act reinforces appearance through **s. 141** (disqualifications), **s. 144** (prohibited services) and **s. 139(2)** (rotation).

**C2. Explain the five threats to independence with the mechanism of each and one safeguard. (6 marks)**

*Model answer:* | Threat | Mechanism (why judgment bends) | Illustration | Safeguard | |---|---|---|---| | Self-interest | Financial/other interest aligns auditor with client | Shareholding, loan, fee dependence | Divest interest; s.141 prohibitions; rotation | | Self-review | Auditor judges his own earlier work/output | Auditing books he prepared | s.144 prohibition; separate teams | | Advocacy | Auditor promotes client's position | Representing client in a dispute | Decline advocacy role | | Familiarity | Long/close relationship breeds sympathy | Relative as KMP; long tenure | Rotation s.139(2); EQCR | | Intimidation | Pressure/threat deters objectivity | Threat of dismissal or litigation | Consultation; document; resign if needed |

Where no safeguard reduces the threat to an acceptable level, the auditor must **decline or resign**. (ICAI Code of Ethics.)

**C3. Discuss the safeguards available to counter threats to independence. (5 marks)**

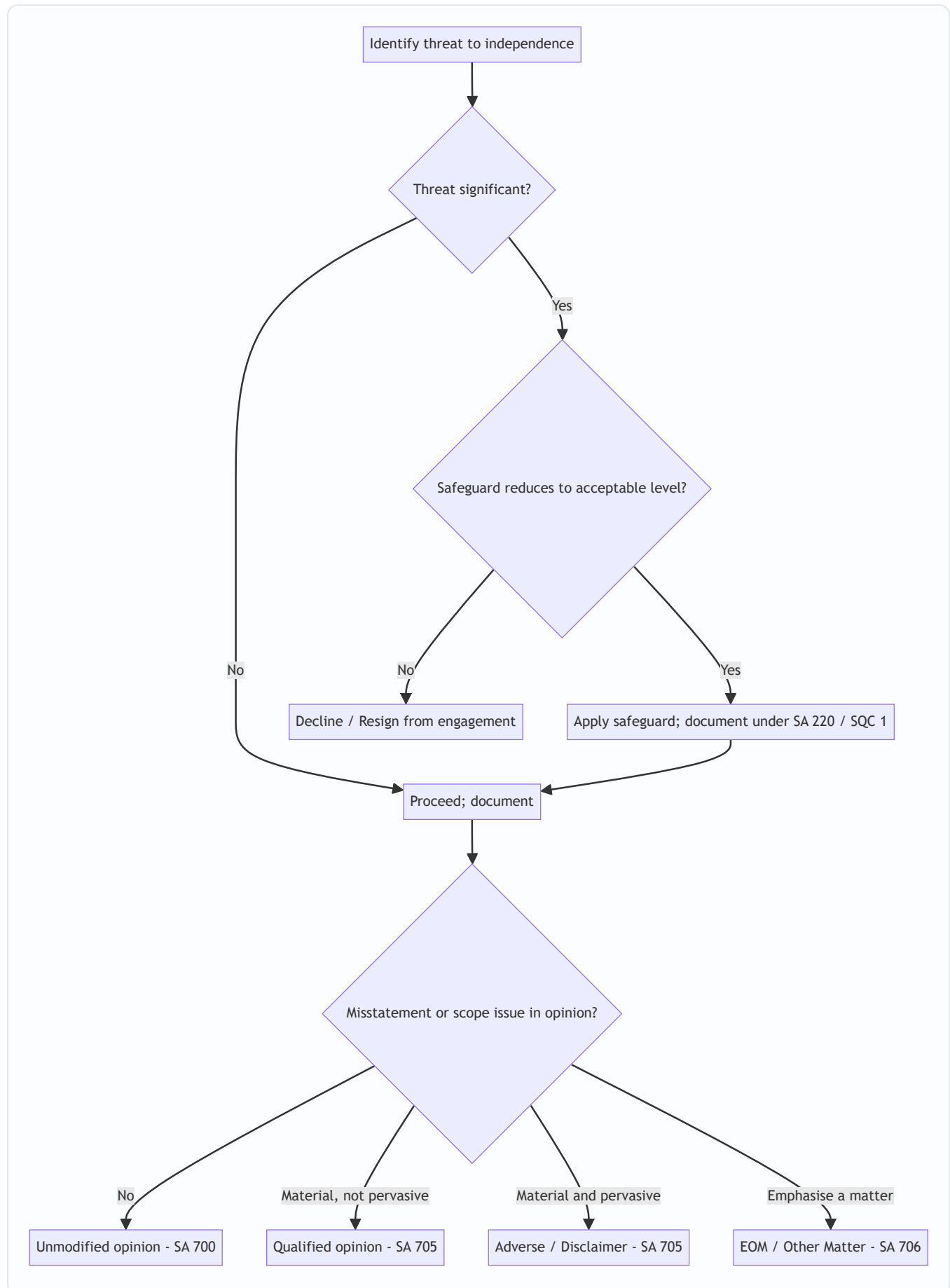
*Model answer:* Safeguards fall into two classes. 1. **Created by profession/legislation/regulation:** entry and CPE education requirements; professional standards (SAs, SQC 1); **ICAI disciplinary mechanism** under the CA Act, 1949; external review; statutory prohibitions — **s. 141** (disqualifications), **s. 144** (prohibited non-audit services), **s. 139(2)** (mandatory rotation and cooling-off). 2. **In the work environment (firm/engagement level):** firm-wide quality-control policies under **SQC 1**; leadership emphasising ethics; **engagement quality control review (EQCR)**; rotating the engagement partner; consulting a second partner or ICAI; documentation of judgments (**SA 220**). The **decline/resign rule** is the ultimate safeguard: if identified threats cannot be eliminated or reduced to an acceptable level by any safeguard, the auditor should not accept or should withdraw from the engagement.

#### **C4. Write short notes on confidentiality and its exceptions. (4 marks)**

*Model answer:* **Confidentiality** requires that a member not disclose information acquired in a professional relationship without proper and specific authority, nor use it for personal advantage or the advantage of third parties. It continues even after the client relationship ends. **Permitted disclosure** arises where: (a) disclosure is **permitted by law and authorised** by the client; (b) disclosure is **required by law** (e.g., production of documents in legal proceedings, disclosure to a regulator); or (c) there is a **professional right or duty** to disclose (e.g., to comply with a peer/quality review, or to defend oneself in ICAI disciplinary proceedings). Unauthorised disclosure is professional misconduct under the CA Act, 1949.

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## Opinion / Independence Decision Tree





## Section D — MCQs & Case Scenarios

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- D1.** Which section prohibits the statutory auditor from rendering internal audit services to the auditee? - (a) s. 139 (b) s. 141 (c) **s. 144** (d) s. 143 *Answer: (c) s. 144* — it lists prohibited non-audit services, including internal audit.
- D2.** An auditor auditing financial statements his own firm prepared faces primarily a: - (a) advocacy threat (b) **self-review threat** (c) intimidation threat (d) familiarity threat *Answer: (b)* — evaluating one's own prior output is self-review.
- D3.** Under s. 139(2), an audit firm can hold office for a maximum of: - (a) one term of 5 years (b) **two terms of 5 years** (c) three terms of 5 years (d) 10 years without break *Answer: (b)* — two consecutive five-year terms, then five-year cooling-off.
- D4.** A relative of the auditor may hold securities in the auditee company up to a face value of: - (a) ₹1,00,000 (b) ₹5,00,000 (c) **₹1,00,000 (face value)** (d) any amount *Answer: (c)* — s. 141(3)(d) permits a relative to hold security up to face value of ₹1,00,000.
- D5.** Which is NOT one of the five fundamental principles? - (a) Integrity (b) Objectivity (c) **Independence** (d) Confidentiality *Answer: (c)* — Independence is a concept underpinned by the principles (esp. objectivity), not itself one of the five fundamental principles.
- D6. Case scenario.** CA S is statutory auditor of DEF Ltd (fee ₹2 lakh). DEF also asks S to design its financial information system (fee ₹15 lakh) and, separately, S's brother is a director. Which is correct? - (a) S may accept the IT design work as it is unrelated to audit - (b) **S must refuse the IT-system design (prohibited under s. 144) and address the familiarity/appearance threat from the brother-director** - (c) The fee ratio makes the audit itself illegal - (d) S may accept everything with a disclosure note *Answer: (b)* — designing/implementing financial information systems is a **prohibited service under s. 144** (self-review), and a brother as director creates a **familiarity threat** damaging independence in appearance.
- D7.** If a threat cannot be reduced to an acceptable level by any safeguard, the auditor should: - (a) accept with a lower fee (b) **decline or resign from the engagement** (c) issue a disclaimer and continue (d) ignore appearance and rely on independence in fact *Answer: (b)* — the decline/resign rule is the final safeguard.
- D8.** Professional scepticism is expressly required by: - (a) SA 230 (b) **SA 200** (c) s. 144 (d) SQC 2 *Answer: (b)* — SA 200 requires the auditor to plan and perform the audit with professional scepticism.
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## Quick-Revision Sheet

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- **5 Principles:** Integrity · Objectivity · Competence & Due Care · Confidentiality · Professional Behaviour.
- **5 Threats:** Self-interest · Self-review · Advocacy · Familiarity · Intimidation.
- **2 Safeguard classes:** profession/legislation/regulation; work-environment (firm/engagement). **Final safeguard = decline/resign.**
- **Legal backstops (Companies Act, 2013):** s. 141 disqualifications · s. 144 prohibited services · s. 139(2) rotation & cooling-off.
- **Standards link:** SA 200 (scepticism, ethics, independence) · SA 220 & SQC 1 (quality control, EQCR) · SA 705/706 (opinion modifications) · CA Act, 1949 (misconduct & discipline).
- **Answer skeleton:** *Identify threat(s) → assess significance → apply/consider safeguard → if none adequate, decline/resign; if misstatement persists, modify opinion under SA 705.*

# Chapter 12 — Audit of Different Entities (Overview)

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## 1. The Problem

Imagine you are handed a single, universal checklist and told: "Use this to audit anything." On Monday you walk into a nationalised bank whose entire balance sheet is *other people's money* lent out to strangers you cannot see. On Tuesday you audit a life-insurance company whose largest liability — the money it owes policyholders decades from now — does not even appear on any invoice; it must be *estimated by a mathematician*. On Wednesday you audit a rural cooperative credit society governed not by the Companies Act at all but by a State law, whose auditor is sometimes appointed by a government Registrar. On Thursday, a charitable NGO that pays no tax *only if* it spends its money the way it promised. On Friday, a two-person partnership firm with no statutory audit requirement whatsoever, that just wants the accounts checked so the partners stop suspecting each other.

Your universal checklist is now useless. Not because auditing principles changed — they did not. **The risks changed. The laws changed. The very purpose of the audit changed.** A bank's central risk is that its loans are worth less than the books claim (credit risk hiding behind "assets"). An insurer's central risk is that its promised future payouts are under-provided (a valuation and actuarial risk). A government body's central concern is not just whether numbers are *true* but whether public money was spent *wisely and with authority* (propriety). A partnership firm may have no legal obligation to be audited at all — so the audit's scope is defined by a private contract, not a statute.

The problem this chapter solves: **one auditing framework, radically different entities.** If you memorise "the audit of a bank" as a list of steps, you will drown — the syllabus spans banks, insurers, NBFCs, government, cooperatives, NGOs, LLPs, sole proprietors and partnership firms. But if you understand *why* each entity's risk profile forces a specific adaptation, you can reconstruct the special considerations for any of them from first principles. That is the promise of this chapter.

**A deeper way to see the problem.** Notice that the *nine entities* differ along three independent axes, and each axis moves the audit in a predictable direction:

- **How diffuse and vulnerable are the principals?** A sole proprietor is his own principal — nobody outside needs protecting, so the state is silent. A bank's principals are millions of anonymous depositors who cannot coordinate to protect themselves — so the state screams (RBI approval, IRAC norms, LFAR). The heavier the public interest, the thicker the regulatory shell around ordinary auditing.
- **When does the truth about the numbers become known?** For a trader selling goods for cash, the truth crystallises almost immediately — the sale either happened or it did not. For a life insurer, the truth about whether today's premium was "enough" will not be known for thirty years. The longer the lag between the transaction and the moment of truth, the more the audit must lean on *estimation and expert judgement* rather than *verification of fact*.
- **What does society want to know?** A private lender wants to know whether the numbers are true. A citizen wants to know whether her taxes were spent *lawfully, prudently and effectively* — three separate questions. The wider the public's stake, the more the audit objective expands beyond truth to legality, propriety and performance.

Every "special consideration" you will meet is one of these three axes pushing the standard audit off its default setting. If you can name which axis is being pushed, you can predict the special consideration without

having memorised it. That is the skill the examiner is really testing — and the skill a rote-learner never develops.

## 2. The Core Idea

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The auditor's job never changes: obtain reasonable assurance that the financial statements are free from material misstatement, and report. What changes across entities is the *shape of the risk* — where misstatement is most likely to hide, how large it could be, and what "true and fair" even means for that entity.

**The Adaptation Principle:** The audit approach is a function of three variables — (1) the entity's dominant business risk (what could go catastrophically wrong with *this* kind of organisation), (2) the governing legal framework (which statute defines the auditor's appointment, powers and reporting duties), and (3) the objective of the audit (truth-and-fairness alone, or also legality, propriety and efficiency).

Everything in this chapter is a working-out of that single equation. When you meet a bank, ask: *what is the dominant risk?* Answer: credit risk — loans that will not be repaid, dressed up as good assets. So the audit *concentrates its firepower on advances and their classification/provisioning*. When you meet an insurer, ask the same question: the dominant risk is under-reserving for future claims, so the audit concentrates on *the actuarial valuation of liabilities*. Same principle, different pressure point.

The legal framework is the second lever. A company auditor draws powers from the Companies Act 2013 (Sections 139–148, covered fully in Chapter 8). But a bank auditor *also* answers to the Banking Regulation Act 1949 and the RBI; an insurance auditor to the Insurance Act 1938 and the IRDAI; a government auditor to the Comptroller and Auditor General (C&AG) under Article 149 of the Constitution and the C&AG's (DPC) Act 1971; a cooperative auditor to a *State* Cooperative Societies Act. The statute decides *who appoints you, what you can demand, and what you must report*.

The third lever is the objective. For most private entities the objective is financial truth and fairness. For government and public-money entities the objective widens to include **propriety** (was the expenditure prudent, was there authority) and **efficiency/effectiveness** (did the money achieve its purpose). This is why government audit is not merely "financial audit" but includes *performance* and *propriety* audit.

Hold those three levers — risk, law, objective — and the rest is detail you can derive.

**A finer distinction the exam rewards: assurance level and "true and fair" are entity-relative.** Do not assume every engagement in this chapter is a full *reasonable-assurance* statutory audit. Some are certifications (a solvency-margin certificate, a utilisation certificate), some are *limited* reviews, and some are additional reports (LFAR, the NBFC auditor's report to the RBI) that sit *alongside* the main opinion rather than replacing it. Even the phrase "true and fair" flexes: for a bank it is read *subject to* RBI's prescribed accounting treatments (e.g., NPA norms override ordinary accrual); for an insurer it is read *subject to* IRDAI formats and the actuary's valuation; for a government department the very concept is supplemented by "with authority and propriety." A candidate who treats "true and fair" as a fixed, entity-neutral phrase misreads half the special considerations.

**Why three levers and not one master rule?** Because the three can move independently. A Section 8 charitable *company* has an ordinary company-law legal framework (lever 2 = Companies Act, Section 139 appointment) but a charity's dominant risk (lever 1 = misapplication of funds) and can even acquire a

widened objective if it takes government grants (lever 3 nudges toward utilisation/propriety). If you collapse the three into one, you cannot explain the Section 8 company — a company by law, a charity by risk. Keeping the levers separate is what lets you audit hybrids.

### 3. Why It's Built This Way

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Why doesn't the law just impose one uniform audit regime? Because auditing is a response to an **agency problem**, and different entities have *different principals and different agents*.

In a company, shareholders (principals) cannot watch the directors (agents) who run the business with the shareholders' money; the statutory audit is the mechanism that restores trust. But a **bank** has a second, more dangerous principal: the *depositor*. A bank runs on leverage — a small sliver of owners' capital supporting a vast tower of public deposits. If the bank's loans quietly go bad and nobody forces recognition, depositors' savings evaporate and the failure can cascade through the whole payment system. Society cannot tolerate that, so a *regulator* (RBI) is inserted as a super-principal, and the audit is bent to serve prudential regulation — hence mandatory income-recognition and asset-classification (IRAC) norms, and an auditor duty to verify them.

An **insurer** collects premiums today for promises maturing far in the future; the principal (the policyholder) is exposed for decades. The single greatest way to defraud or mismanage an insurer is to under-state the liability for those future promises. So the regulatory architecture (Insurance Act, IRDAI) forces an independent *actuarial* valuation, and the audit is built around trusting-but-verifying that actuary.

**Government** spends *taxpayers'* money; the principal is the entire citizenry and, constitutionally, Parliament/State Legislature. Truth and fairness of accounts is necessary but not sufficient — the citizen also demands that money was spent *lawfully, without waste, and for the intended public purpose*. That is why the Constitution itself (Articles 148–151) creates an independent C&AG, insulated from the executive, and why government audit uniquely includes propriety and performance dimensions.

**Cooperatives** embody a self-help principle — members pooling resources — and are creatures of *State* law, reflecting the constitutional division of powers. **NGOs/charities** enjoy tax exemption as a *bargain with society*: spend on your stated charitable object and you pay no tax; so their audit focuses on whether receipts were properly applied to that object. **LLPs, partnerships and sole proprietors** are, at the small end, private arrangements where the state has little stake — so statutory audit is thin or absent, and the audit that occurs is largely *contractual*, serving the partners or the taxman rather than a public constituency.

In short: the audit regime is built to match *whose money is at risk and who needs protecting*. The greater the public interest and the more diffuse the principals, the heavier the regulatory overlay on top of ordinary auditing.

**Why the regulator is inserted as auditor's reporting partner, not just rule-maker.** There is a subtle design choice worth understanding. In a plain company audit, the auditor reports *only* to the members — a closed loop. But where the public interest is acute, the law makes the auditor report *outward* to the regulator too: the bank auditor's LFAR goes to the RBI's world; the NBFC auditor must report exceptions *directly* to the RBI; the cooperative auditor reports to the Registrar; the C&AG-linked company auditor's work can be supplemented by the C&AG. This deliberately breaks the cosy auditor–management relationship, because when depositors or taxpayers are at risk, society does not trust management to be the sole recipient of bad news. **This "third-party reporting duty" is a recurring theme and a favourite exam hook** — it is the structural fingerprint of a public-interest entity.

**Why estimation-heavy entities get an expert layer.** The deeper reason SA 620 dominates insurance is that the liability is *epistemically* different from a trade payable. A payable is a fact you can confirm; a policy reserve is a *forecast* whose correctness depends on mortality, interest, lapse and expense assumptions no auditor is qualified to set. Rather than pretend the auditor is an actuary, the law splits the labour: an Appointed Actuary *makes* the estimate, and the auditor *evaluates the estimator*. Understanding this division of cognitive labour is why you never say "the auditor recomputes the reserve" — you say "the auditor evaluates the actuary's competence, objectivity, and the reasonableness of assumptions."

## 4. Full Technical Content

We now go entity by entity. For each: the dominant risk, the governing law and appointment mechanism, the key focus areas, and the special considerations an examiner expects you to know. Throughout, the *Standards on Auditing* (SAs) still apply — SA 315 (risk assessment), SA 330 (responses), SA 500 (evidence), SA 620 (using an expert), SA 700/705/706 (reporting) run underneath everything. What changes is *where the risk concentrates*.

### 4.1 The unifying diagram

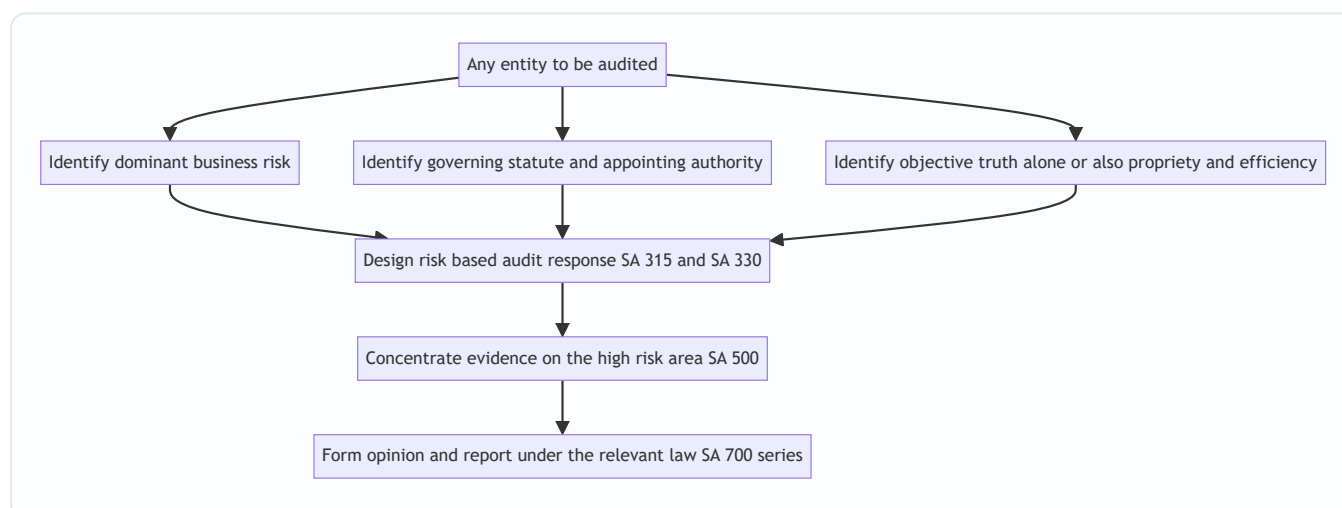


Figure 12.1 — The three levers (risk, law, objective) converge into a single risk-based audit design for every entity.

### 4.2 Audit of Banks

**Dominant risk.** Credit risk — that advances (loans) are overstated because bad loans are not recognised as bad. Also treasury/market risk on investments, and heavy reliance on IT systems (Core Banking Solution), making it a computerised-environment audit.

**Governing law and appointment.** The Banking Regulation Act 1949 governs banking companies; the RBI is the regulator. Auditors of a banking company are appointed by the entity but the appointment requires **RBI approval** (BR Act, and for public-sector banks the framework flows through the C&AG/RBI). This is heavier than an ordinary company appointment under Section 139 — reflecting the public-deposit interest. *(Confirm the exact current appointment mechanics for each bank type in ICAI material, as PSB/private-bank routes differ.)*

**Finer distinction — the audit tiers inside one bank.** A bank audit is not one engagement but a *pyramid*: - **Statutory Central Auditors (SCAs)** audit the bank as a whole and sign the consolidated financial

statements. - **Branch auditors** audit individual branches and submit their reports (plus a branch LFAR) to the SCAs, who rely on that work under **SA 600 (Using the Work of Another Auditor)**. Branch selection is driven by advances coverage — large-advance and specialised branches are typically brought under audit. -

**Concurrent auditors** run a near-real-time check on high-risk branches/functions during the year; **internal auditors** and the bank's own **inspection** function form additional control layers. The statutory auditor *evaluates and may place reliance on* these under SA 315/SA 610, but the statutory opinion remains the auditor's own.

**Key focus areas.** - **Advances — the heart of a bank audit.** Verify that advances are correctly classified per the RBI's **Income Recognition and Asset Classification (IRAC) norms** into Standard, Sub-Standard, Doubtful and Loss assets, and that **provisioning** is adequate. Interest on Non-Performing Assets (NPAs) must **not** be recognised as income on accrual — income recognition on NPAs is on realisation only. This is the single most examinable area. - **The NPA trigger and the classification ladder.** An account is generally classified NPA when interest/principal remains *overdue for more than 90 days* (for a term loan); for cash-credit/overdrawn accounts, when the account is "out of order." Once NPA, the ageing determines the sub-classification: **Sub-Standard** (NPA up to a specified period, commonly 12 months), then **Doubtful** (NPA beyond that, further split by age — D1/D2/D3), then **Loss** (identified as unrecoverable). Provisioning rises up this ladder — a small percentage on standard assets, higher on sub-standard, still higher on the *unsecured* portion of doubtful assets, and effectively full provision on loss assets. (*Verify current percentages and the exact ageing bands against RBI Master Directions / ICAI material for the relevant year — RBI revises these.*) - **Security value and the secured/unsecured split.** Doubtful-asset provisioning distinguishes the portion covered by *realisable* security from the unsecured portion (the unsecured portion attracts 100% provision). So the auditor must scrutinise the *valuation and enforceability* of security — a stale or inflated valuation understates the provision. This is where advances audit becomes a valuation audit. - **Long Form Audit Report (LFAR).** In addition to the statutory audit report, bank auditors submit a detailed **LFAR** in an RBI-prescribed questionnaire format covering assets, advances, systems and controls. - **Investments** — valuation and classification (Held to Maturity, Available for Sale, Held for Trading) per RBI norms. - **Provisioning and CRAR** — capital adequacy (Capital to Risk-weighted Assets Ratio) disclosures. - **Reliance on internal controls and CBS** — with concurrent audit, internal audit and control testing given the transaction volume. - **Branch audit and consolidation** — banks are audited branch-wise; statutory central auditors consolidate and rely on branch auditors (SA 600, using the work of another auditor).

**Special considerations.** The auditor's report on a banking company additionally states matters required by the BR Act. Balances with other banks, inter-branch reconciliation, and cash verification are classic control-risk areas. A subtle one examiners like: **income leakage** — under-charged interest, commission or processing fees the branch failed to recover — which the LFAR specifically asks about; and **restructured / rescheduled accounts**, where a genuinely stressed account is dressed up as standard by re-writing its terms (a cousin of evergreening).

## 4.3 Audit of Insurance Companies

**Dominant risk.** Under-provisioning of policy liabilities (the "reserve" for future claims), premium recognition timing, and claims validity.

**Governing law and appointment.** The Insurance Act 1938 and the **IRDAI** (Insurance Regulatory and Development Authority of India) regulations govern. IRDAI prescribes the financial-statement formats (Revenue Account/Policyholders' Account, Profit & Loss/Shareholders' Account, Balance Sheet). Appointment of auditors follows IRDAI norms (often joint auditors for insurers).



**Life vs general insurance — a distinction the examiner tests.** The two are *not* audited the same way because their liabilities differ in nature: - **Life insurance** liabilities are long-dated and dominated by the **actuarial policy reserve** (the present value of future benefits less future premiums). The reserve *is* the audit. - **General (non-life) insurance** liabilities are shorter but come in two examinable pieces: the **Unearned Premium Reserve (UPR)** — premium received but relating to the unexpired portion of the risk period, which must be carried forward — and the **claims reserves**, especially **IBNR (Incurred But Not Reported)** and **IBNER (Incurred But Not Enough Reported)**. Under-reserving here understates liabilities and overstates profit exactly as in life, but the mechanics differ.

**Key focus areas.** - **Actuarial valuation of liabilities.** For life insurers especially, the reserve for future policy liabilities is certified by an **Appointed Actuary**. The auditor uses this actuarial certificate as expert evidence under **SA 620 (Using the Work of an Auditor's Expert)** — evaluating the actuary's competence, objectivity and the reasonableness of assumptions, not re-doing the maths. - **Premium income recognition** — recognised when due; unearned premium reserve for the unexpired risk period in general insurance. - **Claims** — verifying claims incurred, claims outstanding (including IBNR — Incurred But Not Reported), and adequacy of claim provisions. - **Reinsurance** — that ceded/accepted reinsurance and recoveries are properly accounted. A finer point: reinsurance reduces the insurer's *net* liability, so an auditor must check that only *valid, collectible* reinsurance is netted off — reinsurance with a doubtful reinsurer is not a real offset. - **Investments** — subject to IRDAI investment regulations (pattern of investment, exposure norms). - **Solvency margin** — the insurer must maintain a required solvency margin (the excess of assets over liabilities, above a regulatory floor); the auditor checks the computation. A weak solvency position is often the first visible symptom of hidden under-reserving. - **Commission and management expenses** — the Insurance Act caps commission and expenses of management; breaches are a reporting matter and a favourite exam detail.

**Special considerations.** Segregation of the *policyholders'* fund and *shareholders'* fund; commission and management-expense limits; compliance with IRDAI-prescribed formats. The fund segregation matters because *policyholders' surplus belongs to policyholders* — quietly transferring it to shareholders would be a classic misstatement the format is designed to prevent.

#### 4.4 Audit of Non-Banking Financial Companies (NBFCs)

**Dominant risk.** Similar to banks — credit risk on financing/lending — but under a *different* regulatory regime, plus classification risk (is this entity even correctly registered as an NBFC?).

**Governing law and appointment.** Regulated by the **RBI** under the RBI Act 1934 and RBI's NBFC Directions. NBFCs registered as companies are also under the Companies Act (so Section 139 appointment applies), *plus* RBI-specific duties.

**The scale-based regulation nuance.** The RBI moved NBFCs to a **scale-based regulatory framework** with layers (commonly referred to as Base, Middle, Upper and Top layers), where the intensity of prudential norms rises with size and systemic importance. The auditor should identify *which layer* the NBFC sits in, because the applicable norms (NPA recognition timelines, capital, governance) differ by layer. (*Verify the current layer definitions and thresholds in RBI's scale-based regulation and ICAI material.*) This is the NBFC analogue of "know the bank tier."

**Key focus areas.** - **Registration and classification** — verify the NBFC holds a valid Certificate of Registration and is correctly categorised (e.g., Investment and Credit Company, Infrastructure Finance Company, Micro-Finance Institution). The **principal-business criteria** ("50-50 test": financial assets  $\geq$  50% of total assets and financial income  $\geq$  50% of gross income) determine NBFC status. - **Net Owned Fund (NOF).**



An NBFC must maintain a minimum NOF to hold/retain its Certificate of Registration; the auditor verifies the NOF computation (owned funds less specified deductions such as investments in group companies beyond limits). A shortfall is a serious, reportable matter. - **Income recognition and asset classification / provisioning** — NBFCs follow RBI prudential norms broadly parallel to banks (NPA recognition and provisioning), though thresholds and NPA-ageing differ by layer; the auditor checks compliance. - **Public deposits** — whether the NBFC is permitted to and does accept deposits within ceilings; compliance with liquid-asset and credit-rating requirements. Deposit-taking (NBFC-D) versus non-deposit-taking (NBFC-ND) status radically changes the applicable rules — establish it early. - **NBFC Auditor's Report** — the RBI (through its Directions) requires the auditor to submit an **additional report to the Board/RBI** ("NBFC Auditor's Report Directions") certifying matters such as registration, principal business, capital adequacy and net-owned-fund position, and to report exceptions directly to the RBI.

**Special considerations.** The auditor has a duty, on exception, to report certain non-compliances directly to the RBI — an unusual *third-party reporting* duty flowing from the public-interest overlay. Note the **obligation to make a separate report** even where the main audit opinion is unqualified: the NBFC additional report is not swallowed by the SA 700 opinion.

#### 4.5 Government Audit (C&AG)

**Dominant risk / objective.** Here the objective *itself* is broader: not only whether accounts are true and fair, but whether public money was spent with **authority (regularity), prudence (propriety), and results (efficiency/effectiveness)**.

**Governing law and appointment.** The **Comptroller and Auditor General of India** is a constitutional authority under **Articles 148–151**; the office's duties and powers flow from the **C&AG's (Duties, Powers and Conditions of Service) Act 1971**. The C&AG audits the accounts of the Union and States, and audits government companies (under Section 143(5)–(7) of the Companies Act, the C&AG can direct the manner of audit, comment upon, or supplement the company auditor's report, and order a **test/supplementary audit**).

**Why the C&AG is constitutionally independent — the design point.** Independence for a government auditor cannot come from the market (there are no shareholders to switch auditors); it must be *engineered by the Constitution*. Hence the C&AG's salary and service conditions are charged on the Consolidated Fund and cannot be varied to his disadvantage, and removal mirrors that of a Supreme Court judge. The exam sometimes asks *why* — the answer is that the auditee is the executive itself, so the auditor must be placed beyond the executive's reach. This is the purest illustration of the whole chapter's thesis: *the more powerful and conflicted the auditee, the more the law must fortify the auditor's independence*.

**The three limbs of government audit.**

| Type of government audit                                | Question it answers                                                                                         | Focus                                           |
|---------------------------------------------------------|-------------------------------------------------------------------------------------------------------------|-------------------------------------------------|
| <b>Financial (regularity) audit</b>                     | Are the accounts true and fair and expenditure within sanction?                                             | Accuracy, legality, sanction                    |
| <b>Propriety audit</b>                                  | Was the expenditure <i>wise, faithful and economical</i> — would a prudent person spend own money this way? | Prudence, avoidance of waste, no undue benefit  |
| <b>Performance (efficiency-cum-effectiveness) audit</b> | Did the programme achieve its objectives economically, efficiently and effectively?                         | The "3 Es" — Economy, Efficiency, Effectiveness |

**The canons of financial propriety — worth memorising as a checklist.** Propriety audit is not a vague "was it wise?" It rests on established canons: (a) expenditure should not be *prima facie* more than the occasion demands; (b) no authority should exercise its powers to pass an order to its own advantage; (c) public money should not be spent for the benefit of a particular person or section unless justified; and (d) allowances (like travelling allowances) should be so regulated that they are not on the whole a source of profit to the recipient. When an exam scenario gives you "legally sanctioned but extravagant," you cite these canons.

**The 3 Es unpacked.** *Economy* = acquiring resources of the right quality at the lowest cost (were inputs bought cheaply enough?). *Efficiency* = getting the maximum output from given inputs (was the input-to-output conversion good?). *Effectiveness* = did the programme actually achieve its intended objective/outcome? A scheme can be economical and efficient yet ineffective (built the school building cheaply and fast, but no children enrolled). Keeping the three separate lets you write a precise performance-audit comment.

**Key features.** - **Audit against provision of funds** (did spending stay within budget/appropriation) and **audit of sanctions** (was there competent authority). - **Propriety audit** is the distinctive feature — it goes beyond legality to *reasonableness*, guarding against extravagance and improper benefit to any person. - The C&AG's reports are submitted to the President/Governor and laid before Parliament/Legislature, examined by the **Public Accounts Committee (PAC)** — closing the accountability loop back to the citizen-principal.

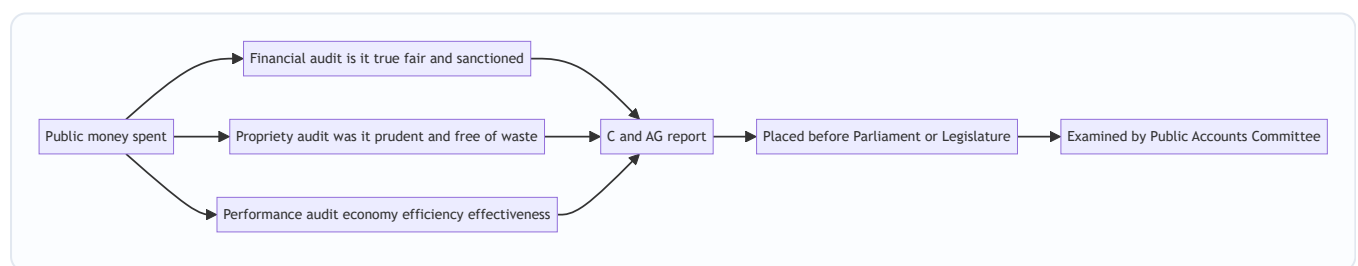


Figure 12.2 — Government audit widens the objective from truth-and-fairness to propriety and performance, ending in legislative accountability.

## 4.6 Audit of Cooperative Societies

**Dominant risk.** Member-related risks — proper maintenance of member records, overdue loans to members, and distribution of profits under statutory formula; plus weaker internal controls in small rural societies.

**Governing law and appointment.** Cooperative societies are governed by the **Cooperative Societies Act 1912** or the relevant **State Cooperative Societies Act** (cooperation being a State subject; multi-State societies fall under the Multi-State Cooperative Societies Act 2002). Crucially, the **auditor is often appointed by the Registrar of Cooperative Societies**, and may need to be from a panel maintained by the Registrar — a different appointment channel from the Companies Act.

**Key focus areas.** - **Compliance with the Act, Rules and bye-laws** — e.g., restrictions on loans to non-members, limits on borrowing, and the requirement to transfer a portion of profits to a **Reserve Fund** (commonly at least 25% of net profit — *confirm the exact percentage in the applicable State Act/ICAI material*). - **Overdue debts** — classification and reporting of overdue loans is a special reporting requirement. The auditor should classify overdues by *period* (e.g., how long outstanding) and assess the *recoverability* and the adequacy of the bad-and-doubtful-debt reserve — a recurring source of overstated assets in society audits. - **Restrictions unique to cooperatives.** Two limits appear repeatedly: a ceiling on

the **dividend** a society may pay to members, and a limit on a *single member's shareholding* (to keep the society genuinely cooperative rather than dominated by one member). The auditor checks compliance with both. (*Confirm exact ceilings in the applicable State Act.*) - **Investment of funds** — a society can generally invest its funds only in the modes permitted by the Act (e.g., in specified securities, in the central/state cooperative bank, or as the Registrar permits). Investment outside permitted modes is an irregularity to report. - **Valuation of assets and adherence to cooperative principles.** - **Special report / audit classification** — the auditor awards an **audit classification (grading such as A, B, C, D)** to the society reflecting its overall performance — a feature unique to cooperative audit. - **Distribution of profit** — only after mandatory appropriations (reserve fund, and contribution to a **cooperative education fund**, and within dividend limits per the Act).

**Special considerations.** The auditor has powers under the State Act to summon records and persons; the report goes to the Registrar as well as the society. The auditor may also be required to comment on any **infringement of the Act/Rules/bye-laws** and to attach schedules of overdue debts and of items the Registrar specifically requires — the report is *more prescriptive* than a company report.

#### 4.7 Audit of Non-Profit Organisations (NGOs / Charitable Trusts / Societies)

**Dominant risk.** That receipts (donations, grants) are **not applied to the stated charitable object**, that grant conditions are breached, and that tax-exemption conditions fail. Cash donations and control weaknesses are also high-risk.

**Governing law and appointment.** Depending on legal form: a **Trust** (Indian Trusts Act / State Public Trusts Act), a **Society** (Societies Registration Act 1860), or a **Section 8 company** (Companies Act 2013 — audit under Section 139 like any company). Tax law adds **Income-tax Act** requirements — registration under Section 12A/12AB and audit report in **Form 10B** where income exceeds the exemption limit. Foreign contributions bring in the **FCRA 2010**, requiring separate accounting and audit of foreign funds.

**The tax bargain, precisely stated.** A charitable trust's income is exempt broadly *to the extent it applies at least 85% of its income to charitable objects in India* during the year (the balance up to 15% may be accumulated; larger accumulation needs the prescribed conditions and filings). This "85% application" test is *the number the auditor's work supports*, and it is why "application of income to object" is not a soft phrase but a hard, computable test. (*Verify the current percentage, accumulation conditions, and Form 10B/10BB applicability against the Income-tax Act for the relevant AY — these have been amended.*)

**Key focus areas.** - **Application of funds to objects** — the core test: was income spent on the charitable purpose? Grant-utilisation as per donor conditions, and the 85% application computation above. - **Receipts** — completeness of donations (especially anonymous/cash donations), corpus vs. general donations (corpus donations are capital receipts). **Anonymous donations** can be *taxed* even for an exempt entity beyond a threshold, so their identification matters for both audit and tax. - **Restricted/tied funds** — that funds earmarked for a specific project were used only for it (fund accounting). - **Compliance** — Income-tax exemption conditions, FCRA compliance for foreign contributions, and utilisation certificates for government grants. Under **FCRA**, foreign contributions must be received in a *designated bank account* and *not mixed* with domestic funds — commingling is itself a violation regardless of how the money was spent. - **Fixed assets and investments** — that investments are in permitted modes (Income-tax Act Section 11(5) prescribes modes for charitable trusts). Investment outside Section 11(5) modes can *cost the exemption*, so this is high-stakes.

**Special considerations.** The auditor may need to certify separate statements for donors/regulators; internal control over cash donations is a recurring emphasis. Because completeness of income (donations) cannot be fully verified by vouching — a cash donation not recorded leaves no trail — the auditor leans on *controls* (receipt-book control, counterfoils, segregation) rather than substantive vouching alone, an application of the "inherent limitation on completeness of income" idea.

#### 4.8 Audit of Limited Liability Partnerships (LLPs)

**Dominant risk.** Ordinary financial-statement risk, but with a *threshold-based* audit requirement — many small LLPs are exempt, so the first question is whether an audit is even mandatory.

**Governing law and appointment.** The **LLP Act 2008** and LLP Rules. Audit is mandatory **only if** turnover exceeds ₹40 lakh **or** contribution exceeds ₹25 lakh in any financial year. Below both thresholds, statutory audit is not required (though the LLP may voluntarily get audited). (*Confirm current threshold figures in ICAI material as they can be revised.*)

**Key focus areas.** - **The LLP Agreement** — an LLP is governed by a private agreement among partners; the auditor reads it to understand profit-sharing, capital contribution, partners' rights, and duties (analogous to a partnership deed). Where there is *no* LLP Agreement, the mutual rights and duties default to those in **Schedule I of the LLP Act** — the LLP analogue of the Partnership Act's default rules. - **Contribution and its recording** — verifying partners' capital contributions and obligations, including *non-cash* contributions (a partner may contribute tangible/intangible property or services), which must be valued and recorded as the Agreement requires. - **Whether audit is mandatory** — checking turnover/contribution thresholds; if voluntary, obtaining a clear engagement letter defining scope. - **Designated partners and their responsibilities** — an LLP must have designated partners responsible for statutory compliance and filings; the auditor confirms their existence and the discharge of filing duties. - **Statutory filings** — Statement of Account and Solvency (**Form 8**) and the annual return (**Form 11**) filed with the Registrar (LLPs limit liability, so solvency disclosure protects creditors). (*Confirm current form numbers/names in ICAI material.*)

**Special considerations.** No board/shareholder structure — governance rests on the agreement; the auditor's engagement terms and scope should be clearly agreed (SA 210). Because liability is limited, the **Statement of Account and Solvency** carries extra weight: it is the creditors' main window into whether the LLP can meet its debts, so the auditor's association with it is sensitive.

#### 4.9 Audit of Sole Proprietorships

**Dominant risk / status.** There is **no statutory requirement** under any general law for a sole proprietor's accounts to be audited. Any audit is *voluntary/contractual* (e.g., a bank requires audited accounts for a loan) or arises under a *specific* law — most commonly the **Income-tax Act Section 44AB (tax audit)** when turnover/gross receipts exceed the prescribed limits.

**Key focus areas.** - **Scope defined by the engagement** — because there is no statute prescribing scope, the auditor must obtain a clear **engagement letter (SA 210)** specifying objective, scope and the proprietor's responsibilities. The engagement letter is *doubly important* here because it also limits the auditor's exposure: without a statute defining duties, the *contract* is the only place the auditor's responsibilities are pinned down. - **Separation of personal and business transactions** — the biggest practical risk: personal expenses/drawings mixed into business books. Because the proprietor and the business are the *same legal person*, there is no bright line — the auditor must actively test drawings, personal use of business assets, and personal expenditure routed through the business. - **Tax-audit requirements** — if under Section 44AB,

reporting in Form 3CA/3CB and 3CD as prescribed. Note the split: **Form 3CA** where the accounts are *already audited* under another law, **Form 3CB** where they are *not*, with **Form 3CD** as the common particulars statement in both cases.

**Special considerations.** No public interest and no statutory backing means the auditor's rights flow from the *contract*, not law — so the engagement terms are everything. A related trap: the auditor's *access* rights are only what the proprietor grants; if the engagement is narrow, a scope limitation is a real risk the auditor must manage up front rather than discover at reporting.

#### 4.10 Audit of Partnership Firms

**Dominant risk / status.** Like sole proprietors, an ordinary partnership firm has **no statutory audit requirement** under the Partnership Act 1932; audit is voluntary or driven by the **Income-tax Act (Section 44AB tax audit)** or a partner's demand. The purpose is often to *resolve the agency conflict between partners themselves* — each partner is both principal and agent, and an independent audit reduces mutual suspicion.

**Key focus areas.** - **The Partnership Deed** — the auditor's primary reference document. It governs profit-sharing ratios, interest on capital/drawings, partners' salaries, admission/retirement terms. Verifying that the accounts follow the deed is central. - **In the absence of a deed** — the provisions of the **Indian Partnership Act 1932** apply by default (e.g., equal profit sharing; no interest on capital; no salary/remuneration to partners; interest at 6% p.a. on advances/loans by a partner *beyond* his capital). The auditor should know these defaults because a firm often operates without a written deed. - **Division of profits, interest and remuneration** — verified against the deed; remuneration and interest to partners also constrained by Income-tax Act Section 40(b) for tax-deductibility. A common exam layer: the deed may allow generous partner salaries, but Section 40(b) caps how much is *deductible* — the accounting figure and the tax-allowable figure can differ, and the tax auditor must reconcile them. - **Capital and current accounts of partners** — correct maintenance and adjustment on admission/retirement/death (including goodwill and revaluation). On a change in constitution, the auditor checks that the *revaluation of assets/liabilities* and *goodwill adjustment* were shared in the correct (old) ratio, and post-change items in the new ratio — a frequent source of error. - **Authority to appoint** — the auditor should confirm appointment by *all* partners (or as the deed provides), because an audit engaged by one partner without authority is contestable.

**Special considerations.** Because the audit is contractual, the **engagement letter (SA 210)** should define scope, and the auditor should confirm authority (are they appointed by all partners?). The report is addressed to the partners. Registration of the firm is *optional* under the Partnership Act, but an unregistered firm suffers disabilities (e.g., it cannot sue to enforce contractual rights) — a fact the auditor notes when assessing recoverability of the firm's own claims.

## 4.11 Summary comparison table

| Entity              | Dominant risk                                   | Governing law / regulator                 | Who appoints auditor                | Signature focus area                              |
|---------------------|-------------------------------------------------|-------------------------------------------|-------------------------------------|---------------------------------------------------|
| Bank                | Credit risk — NPA classification & provisioning | BR Act 1949 / RBI                         | Entity + RBI approval               | Advances, IRAC norms, LFAR                        |
| Insurer             | Under-reserved future liabilities               | Insurance Act 1938 / IRDAI                | Per IRDAI (often joint)             | Actuarial valuation (SA 620)                      |
| NBFC                | Credit risk under RBI regime; registration      | RBI Act 1934 / RBI + Cos Act              | Sec 139 + RBI framework             | Registration, prudential norms, RBI report        |
| Government          | Propriety & performance of public money         | Constitution Arts 148-151 / C&AG Act 1971 | C&AG                                | Propriety + performance audit                     |
| Cooperative society | Member/overdue & compliance risk                | State Coop Act / MSCS Act 2002            | Registrar of Cooperative Societies  | Overdue debts, reserve fund, audit classification |
| NGO / Trust         | Misapplication of funds vs object               | Trust/Societies/Sec 8 + IT Act, FCRA      | Per form (Registrar/members/Sec139) | Application to objects, grant/FCRA compliance     |
| LLP                 | Ordinary; threshold-based audit                 | LLP Act 2008                              | Partners (if audit due)             | LLP agreement, thresholds, solvency statement     |
| Sole proprietor     | None statutory; personal/business mixing        | No general law; IT Act 44AB               | Proprietor (contract)               | Engagement scope, separation of transactions      |
| Partnership firm    | None statutory; inter-partner conflict          | Partnership Act 1932; IT Act 44AB         | Partners (contract)                 | Partnership deed, profit division                 |

## 4.12 Decision map — is a statutory audit even required?

Before designing anything, answer the *threshold* question, because half the entities in this chapter may not need a statutory audit at all. Getting this wrong is the fastest way to lose marks.

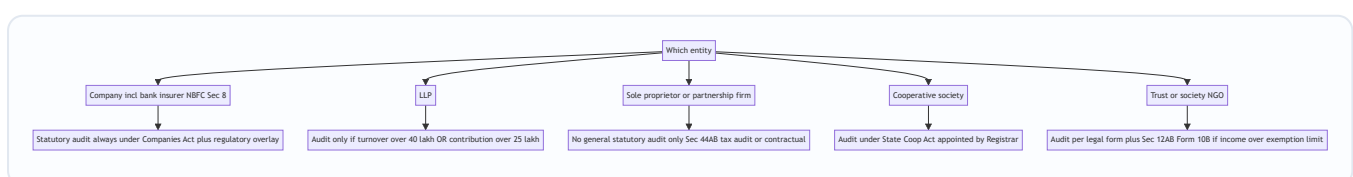




Figure 12.3 — The first question is not how to audit but whether a statutory audit is owed at all — thresholds gate proprietors, partnerships and LLPs.

## 5. Applied Scenarios

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**Scenario 1 — The bank branch and the evergreen loan.** You are auditing a bank branch. A borrower's account shows interest being serviced right up to year-end, so it is classified "Standard." Digging in, you find the branch had sanctioned a *fresh* loan to the same borrower just before year-end, and the borrower used part of it to pay the overdue interest on the old loan. *Question: How do you treat this?* **Answer.** This is "evergreening" — using a new advance to service an old one to disguise a Non-Performing Asset. In substance the original account is not being serviced from the borrower's own cash flows; the "income" is illusory. Under **RBI IRAC norms**, income cannot be recognised on an account that is effectively non-performing, and the account should be classified per its real status (likely Sub-Standard/NPA) with appropriate **provisioning**. You would also flag the practice in the **LFAR**. The lever at work: *dominant risk = credit risk hidden as a good asset*, and the audit's job is to pierce the disguise.

**Scenario 2 — The insurer and the optimistic actuary.** A life insurer's Appointed Actuary certifies the policy-liability reserve using a mortality assumption noticeably more favourable than industry experience, which reduces the reserve and boosts reported profit. The management points to the actuary's certificate and says "it's the expert's call." *Question: Can you simply rely on it?* **Answer.** Under **SA 620 (Using the Work of an Auditor's Expert)**, reliance on the actuary is not automatic. You must evaluate the actuary's *competence and objectivity* and, critically, assess the *reasonableness of the assumptions and methods*. An assumption inconsistent with observable experience and IRDAI norms is a red flag; if it materially understates the liability, the financial statements are misstated regardless of the certificate. You would challenge the assumption, seek justification, and if unresolved and material, **modify the opinion (SA 705)**. Lever at work: *dominant risk = under-reserving*, so the audit concentrates on validating — not rubber-stamping — the actuarial valuation.

**Scenario 3 — The NGO and the tied grant.** A charitable society received a ₹50 lakh government grant earmarked for building a rural school. At year-end, ₹15 lakh of it was spent on the society's general administrative salaries because cash was tight. *Question: What is the audit implication?* **Answer.** This is a **misapplication of restricted funds**. The grant carried a condition (build a school); diverting it to general admin breaches the donor condition, likely triggers a refund/utilisation-certificate problem, and may jeopardise tax exemption if income was not applied to the stated object. Under fund accounting you would ensure the tied grant is separately tracked and disclose the diversion; you would report the non-utilisation/misapplication and its consequences. Lever at work: *dominant risk = funds not applied to object*, the defining risk of NGO audit.

**Scenario 4 — Is there even an audit? (LLP thresholds).** An LLP has turnover of ₹35 lakh and partners' contribution of ₹30 lakh. The partners ask whether a statutory audit is required. *Answer.* Turnover (₹35 lakh) is below the ₹40 lakh limit, **but** contribution (₹30 lakh) exceeds the ₹25 lakh limit — the test is turnover ₹40 lakh **OR** contribution ₹25 lakh, so **statutory audit is mandatory** because *either* threshold triggers it. A common trap is to check only turnover. (*Confirm current thresholds in ICAI material.*)

**Scenario 5 — Propriety in government.** A government department, within its sanctioned budget and with competent authority's approval, spends ₹2 crore refurbishing officers' lounges with luxury imports. Every rupee is *legally* sanctioned. *Question: Is there anything for the C&AG auditor to say?* **Answer.** Yes. Even though the expenditure passes the **regularity** test (legal, sanctioned, within budget), **propriety audit** asks



whether a *prudent person spending their own money* would incur this — the test of economy and avoidance of extravagance. Lavish, disproportionate spending of public money invites a propriety comment even when strictly legal, and squarely offends the canon that expenditure should not be *prima facie* more than the occasion demands. This is precisely why government audit adds the propriety limb beyond ordinary truth-and-fairness.

**Scenario 6 — Bank provisioning, worked with numbers (easy → exam-hard).** A branch has a doubtful advance with outstanding balance **₹100 lakh**, secured by collateral whose *realisable* value is **₹60 lakh**. Assume, per the applicable RBI norms for this doubtful band, provisioning is **100% on the unsecured portion** and **40% on the secured portion**. Interest of **₹8 lakh** on this NPA has been credited to the Profit & Loss account by the branch. *Question: Compute the correct provision and the P&L correction, and reconcile.*  
**Answer. - Split the exposure.** Secured portion = ₹60 lakh (realisable security). Unsecured portion = ₹100 – ₹60 = **₹40 lakh**. - **Provision on unsecured portion** =  $100\% \times ₹40 \text{ lakh} = ₹40 \text{ lakh}$ . - **Provision on secured portion** =  $40\% \times ₹60 \text{ lakh} = ₹24 \text{ lakh}$ . - **Total required provision** = ₹40 + ₹24 = **₹64 lakh**. - **Interest reversal.** Income cannot be recognised on an NPA except on realisation; the ₹8 lakh interest credited must be **reversed** (reduce income by ₹8 lakh), since it was not actually realised. - **Reconciliation / self-check.** Book effect: create a provision of ₹64 lakh (expense) *and* reverse ₹8 lakh of illusory income. If the branch had *not* recorded any provision and *had* booked the ₹8 lakh, the total pre-tax profit overstatement being corrected = provision ₹64 lakh + income reversal ₹8 lakh = **₹72 lakh**. Sanity check on the split: secured ₹60 + unsecured ₹40 = ₹100 = the full outstanding ✓; provision ₹64 lakh is less than the ₹100 lakh outstanding (correct — security absorbs part of the risk) and more than 40% of ₹100 (correct — the unsecured slice is fully provided). (*Verify the 100%/40% band percentages against current RBI Master Directions for the relevant doubtful sub-band; the method is stable even as the rates move.*)

**Scenario 7 — Charitable trust 85% application, worked with numbers.** A trust registered under Section 12AB has **income of ₹80 lakh** for the year. It **applied ₹60 lakh** to its charitable objects in India during the year and wants to *accumulate the rest*. *Question: Is the exemption fully preserved, and what should the auditor flag?* **Answer. - Required application** =  $85\% \times ₹80 \text{ lakh} = ₹68 \text{ lakh}$ . - **Actual application** = ₹60 lakh → **shortfall of ₹8 lakh** against the 85% test. - **Permitted accumulation without special conditions** = up to  $15\% \times ₹80 \text{ lakh} = ₹12 \text{ lakh}$ ; here the trust applied only ₹60 lakh, so it is effectively trying to retain ₹20 lakh (25% of income), which exceeds the free 15%. - **Consequence.** The ₹8 lakh shortfall over the free 15% is potentially **taxable** unless the trust validly accumulates it under the prescribed conditions (e.g., filing the required statement/Form and holding the funds in Section 11(5) modes for a specified purpose and period). The auditor flags the shortfall, checks whether the accumulation formalities were completed, and reflects it in Form 10B. - **Reconciliation.** Applied ₹60 + free-accumulation ₹12 = ₹72 lakh "covered"; income ₹80 – ₹72 = **₹8 lakh exposed** — matching the shortfall computed directly (₹68 required – ₹60 applied = ₹8). Both routes agree ✓. (*Verify the current 85%/15% percentages, accumulation conditions and the applicable form for the relevant AY — periodically amended.*)

**Scenario 8 — Partnership remuneration vs Section 40(b) (what if the examiner tweaks it).** A firm's deed authorises partner remuneration of **₹9 lakh** for the year. The firm's **book profit** (as computed for Section 40(b)) is **₹10 lakh**. Suppose the Section 40(b) limit applicable is *90% of the first ₹3 lakh of book profit plus 60% of the balance*. *Question: How much remuneration is deductible, and what does the auditor report?*  
**Answer. - 40(b) ceiling** =  $(90\% \times ₹3 \text{ lakh}) + (60\% \times ₹7 \text{ lakh}) = ₹2.70 \text{ lakh} + ₹4.20 \text{ lakh} = ₹6.90 \text{ lakh}$ . - The deed allows ₹9 lakh and the firm *paid/charged* ₹9 lakh, but only **₹6.90 lakh is tax-deductible**; the excess **₹2.10 lakh is disallowed** and added back to taxable income. - **Auditor's action.** The *accounting charge* (₹9 lakh, per the deed) is correct in the financial statements; the *tax audit* (Form 3CD) must report the

disallowance of ₹2.10 lakh under Section 40(b). This separates the two questions — "does it follow the deed?" (yes) and "is it deductible?" (only partly). - **Examiner tweak — no written deed.** If there were *no* partnership deed, the default under the Partnership Act 1932 is **no remuneration to partners at all**; then the *entire* ₹9 lakh would be disallowed under Section 40(b) (which requires authorisation by the deed) — a much harsher result. Reconciliation of the tweak: deductible falls from ₹6.90 lakh to ₹0, so the add-back jumps from ₹2.10 lakh to ₹9 lakh. (*Verify current 40(b) slab percentages for the relevant AY.*)

## 6. Procedure / Documentation Summary

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Across all these entities, the *engine* is the same risk-based methodology; only the fuel (the risk area) differs. A practical sequence:

1. **Engagement & appointment check (SA 210).** Confirm you are validly appointed under the *correct* statute (RBI approval for a bank; Registrar panel for a cooperative; partners' authority for a firm) and, where audit is contractual (proprietor, partnership, voluntary LLP), obtain a precise **engagement letter** defining scope.
2. **Understand the entity and its regulatory framework (SA 315).** Identify the dominant risk and the governing law before designing anything — the whole chapter in one step.
3. **Design responses (SA 330)** concentrated on the pressure point: advances for a bank, reserves for an insurer, application-of-funds for an NGO, deed-compliance for a firm.
4. **Use experts where the risk is technical (SA 620)** — actuary for insurers, valuers where needed — evaluating, not outsourcing, the judgement.
5. **Gather sufficient appropriate evidence (SA 500)** on the concentrated area; use another auditor's work where structure demands it (SA 600 for bank branches).
6. **Check entity-specific compliance:** IRAC norms and LFAR (bank); solvency margin and IRDAI formats (insurer); registration and RBI report (NBFC); reserve fund, overdue debts and audit classification (cooperative); Section 12AB/Form 10B and FCRA (NGO); thresholds and Statement of Account & Solvency (LLP); Section 44AB (proprietor/firm).
7. **Form and express the opinion (SA 700 / 705 / 706)** in the format and to the addressee the *relevant law* prescribes — plus special reports (LFAR, C&AG comments under Section 143(5)-(7), NBFC auditor's report to RBI, cooperative report to Registrar).
8. **Documentation (SA 230).** Retain evidence that the risk assessment was *entity-tailored* — this is what an examiner and a reviewer look for.

**A memory device for the reporting outputs.** Several entities produce *two* documents — a main opinion and a special report. Bank = SA 700 opinion + **LFAR**. NBFC = SA 700 opinion + **NBFC auditor's report to RBI**. Government company = the company auditor's report + **C&AG's supplementary comments under Section 143(5)-(7)**. Cooperative = report to society + **report/schedules to Registrar (with audit classification)**. If a question mentions any of these entities and you write only the SA 700 opinion, you have answered half. Ask yourself: *does this entity owe a second report to a regulator?*

## 7. Connections

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- **Chapter 8 (Company Audit, Sec 139-148):** The Companies Act framework is the *default*; bank, insurer, NBFC and Section 8 company audits *build on top of it* with regulatory overlays. Section **143(5)-(7)** links

the ordinary company auditor to the **C&AG** for government companies — the bridge between company audit and government audit.

- **Chapter on Risk (SA 315/330):** This entire chapter is an application of risk-based auditing — "identify the dominant risk, respond to it."
- **SA 620 (Using an Expert):** Central to insurance (actuary) and relevant wherever valuation is technical (security valuation in banks, property valuation in trusts).
- **SA 600 (Using the work of another auditor):** Directly relevant to branch audits of banks and consolidation.
- **SA 610 (Using the work of internal auditors):** Relevant to banks/NBFCs with large internal audit and concurrent audit functions — the statutory auditor evaluates before relying.
- **SA 210 (Terms of engagement):** Load-bearing wherever audit is *contractual* — proprietors, partnerships, voluntary LLP audits.
- **SA 530 (Audit Sampling):** In high-volume entities (banks, NBFCs) 100% checking is impossible, so sampling design (especially of advances) is where the audit's effectiveness is won or lost.
- **Reporting chapter (SA 700/705/706):** Every entity ends in an opinion, but the *format and addressee* are set by the entity's own statute.
- **Tax audit (Section 44AB) material:** The bridge that brings proprietors and partnership firms into the audit net at all — worth cross-referencing for Form 3CA/3CB/3CD.
- **Ethics chapter:** Independence pressures are acute where the regulator inserts itself (banks/insurers) and where the auditor owes duties to *third parties* (RBI/Registrar), sharpening the objectivity requirement.

## 8. Traps & Examiner Tricks

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- **"NPA interest as income."** The classic bank trap: recognising interest on a Non-Performing Asset on accrual. It must be recognised **only on realisation**. Watch for evergreening disguising an NPA (Scenario 1) and for restructured accounts dressed up as standard.
- **Forgetting the secured/unsecured split in provisioning.** For doubtful advances, provision differs on the secured vs unsecured portion; students who apply one flat rate to the whole balance get the number wrong (Scenario 6). The *realisable* value of security — not book value — sets the split.
- **LLP threshold — OR not AND.** Audit is required if turnover exceeds ₹40 lakh **OR** contribution exceeds ₹25 lakh. Candidates who check only turnover miss it (Scenario 4).
- **"Legally sanctioned so nothing to report" in government audit.** Wrong — **propriety** audit can still comment on extravagance even when spending is legal (Scenario 5). Don't confuse regularity with propriety.
- **Blind reliance on the actuary/expert.** SA 620 requires evaluating competence, objectivity and *reasonableness of assumptions* — the certificate is not a shield (Scenario 2).
- **Wrong appointing authority.** A cooperative auditor may be appointed by the **Registrar**, a bank auditor's appointment needs **RBI approval** — not the plain Section 139 route. Examiners test whether you know the correct channel.
- **Sole proprietor / partnership "statutory audit."** There is **no statutory audit** under general law; don't assert one exists. Any audit is contractual or under Section 44AB of the Income-tax Act.
- **Corpus vs. general donation (NGO).** Corpus (tied to capital) donations are **capital receipts**, not income — misclassifying them inflates income and can distort the "application to object" test. Also watch

anonymous donations, which can be *taxed* beyond a threshold even for an exempt trust.

- **Missing the 85% application test.** For a charitable trust the exemption hinges on applying ~85% of income to objects; a scenario that gives income and application figures is really asking you to compute the shortfall (Scenario 7). (*Verify current %.*)
- **Cooperative reserve fund %.** Often tested; a portion of profit (commonly at least 25%) must go to the Reserve Fund before distribution — *confirm the exact figure in the applicable Act*. Do not forget the cooperative education fund contribution and dividend ceiling.
- **NBFC "50-50" principal-business test.** Financial assets  $\geq$  50% of total assets *and* financial income  $\geq$  50% of gross income — both limbs, not one. And identify the *layer* (scale-based regulation) and whether it is deposit-taking.
- **Confusing regulator with appointer.** RBI *approves/regulates* bank auditors; IRDAI regulates insurers — but that is different from who formally *appoints*. Read the question precisely.
- **Deed allows it  $\neq$  tax allows it.** A partnership deed may authorise remuneration/interest that Section 40(b) only *partly* allows; the accounting entry can be right while the tax deduction is capped (Scenario 8). And *no deed* means the default is *no* remuneration/salary — a harsher tweak.
- **FCRA commingling.** For an NGO, mixing foreign contributions with domestic funds is itself a violation regardless of how the money is spent — a subtle point beyond mere "misapplication."
- **Writing only the SA 700 opinion for a two-report entity.** Bank (LFAR), NBFC (RBI report), government company (C&AG comments) and cooperative (Registrar report) each owe a *second* output — omitting it loses marks.

## 9. First-Principles Recap

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Strip everything away and one idea remains: **audit is a response to an agency problem, and the response is shaped by whose money is at risk.** Where the principal is a diffuse, vulnerable public — depositors, policyholders, taxpayers — society inserts a *regulator* and bends the audit toward that regulator's prudential and public-interest concerns. Where the principal is a small circle of private parties — partners, a proprietor — the state steps back and the audit becomes a *contract* serving those parties (or the tax authority).

From that single seed you can regenerate the whole chapter: - A **bank** lives on public deposits and leverage → its killer risk is hidden bad loans → the audit concentrates on advances, IRAC classification, provisioning, and reports to the RBI's world (LFAR). - An **insurer** owes the future → its killer risk is under-reserving → the audit concentrates on the actuarial valuation via SA 620. - **Government** spends the citizen's money → truth alone is not enough → add **propriety** and **performance**, guaranteed by a constitutionally independent C&AG. - **Cooperatives** are State-law self-help bodies → Registrar-driven appointment, member/overdue focus, audit classification. - **NGOs** trade tax exemption for spending on their object → the audit tests *application of funds* (the 85% test). - **LLPs, proprietors, partnerships** are increasingly private → audit is threshold-based or purely contractual → the *agreement/deed and engagement letter* become the auditor's compass.

You never memorised nine audits. You learned *one* — risk-based assurance — and watched it deform to fit nine different pressure fields.

**The three-axis reflex, restated as an exam move.** When a question names an entity, silently run the three axes before writing a word: (1) *How public/diffuse is the principal?* → tells you how heavy the regulatory overlay and whether there is a second report to a regulator. (2) *How long until the truth is known?* → tells you

whether the audit is verification (traders, firms) or estimation-and-expert (insurers, some bank provisions). (3) *What does society want to know?* → tells you whether the objective is truth alone (private) or truth + legality + propriety + performance (government). Those three answers already contain the "special considerations" the marker is looking for. The rest of your answer is just spelling them out with the right statute names and numbers.

## 10. Quick-Revision Sheet

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- **Master equation:** Audit approach = f(dominant risk, governing law, objective). Derive everything from this.
- **Three-axis reflex:** diffuseness of principal → regulatory overlay/second report; lag to truth → verification vs estimation/expert; public stake → truth vs truth+propriety+performance.
- **Bank:** BR Act 1949 / RBI; appointment needs **RBI approval**; focus **advances** → **IRAC (Standard/Sub-Standard/Doubtful/Loss) + provisioning**; NPA trigger **~90 days overdue**; **no income on NPA except on realisation**; doubtful provisioning splits **secured vs unsecured** on *realisable* security; submit **LFAR**; branch audits + SA 600; concurrent/internal audit reliance + SA 610.
- **Insurer:** Insurance Act 1938 / IRDAI; killer risk **under-reserving**; rely-but-verify **Appointed Actuary via SA 620**; life = actuarial reserve, general = **UPR + IBNR/IBNER**; premium recognition, reinsurance (only *collectible*), **solvency margin**, commission/expense caps; policyholder vs shareholder funds.
- **NBFC:** RBI Act 1934 / RBI (+ Companies Act); check **Certificate of Registration, 50-50 principal-business test, Net Owned Fund, scale-based layer**, deposit vs non-deposit; prudential NPA norms; **additional NBFC auditor's report to RBI**, exception-reporting duty.
- **Government (C&AG):** Constitution **Arts 148-151**, C&AG Act 1971; constitutionally fortified independence; three limbs — **financial (regularity), propriety (the canons), performance (3 Es: economy, efficiency, effectiveness)**; Section **143(5)-(7)** link for govt companies; PAC accountability.
- **Cooperative society:** State Coop Act / MSCS Act 2002; **appointed by Registrar; Reserve Fund** appropriation (commonly ≥25% — confirm), cooperative **education fund, dividend ceiling**, single-member shareholding limit, permitted investment modes, **overdue debts, audit classification (A/B/C/D)**; report to Registrar too.
- **NGO/Trust:** Trust/Societies Act or **Sec 8 company; Income-tax 12A/12AB + Form 10B, ~85% application test, FCRA** (designated account, no commingling); core test = **application of income to object**; corpus donation = capital receipt; anonymous donations taxable beyond threshold; investments in **Sec 11(5)** modes.
- **LLP:** LLP Act 2008; audit if **turnover > ₹40 lakh OR contribution > ₹25 lakh** (confirm figures); read the **LLP Agreement** (defaults = Schedule I); designated partners; **Statement of Account & Solvency (Form 8)** and annual return (**Form 11**).
- **Sole proprietor: No statutory audit**; only voluntary or **Sec 44AB tax audit** (Form 3CA/3CB + 3CD); scope = **engagement letter (SA 210)**; watch personal/business mixing.
- **Partnership firm: No statutory audit** under Partnership Act 1932; voluntary or **Sec 44AB**; primary document = **Partnership Deed** (defaults under the Act if none: equal profits, no interest on capital, no salary, 6% on partner loans); verify profit division, interest, remuneration (**Sec 40(b)** cap for tax; no deed → nil remuneration deductible); revaluation/goodwill in correct ratio on constitution change.
- **Cross-cutting SAs:** 315/330 (risk), 500 (evidence), 530 (sampling — banks/NBFCs), 620 (expert — insurer/valuation), 600 (another auditor — bank branches), 610 (internal auditors), 210 (terms —

contractual audits), 700/705/706 (report).

- **Two-report entities (don't forget the second output):** Bank (**LFAR**), NBFC (**RBI report**), government company (**C&AG comments**), cooperative (**Registrar report + classification**).
- **Top traps:** NPA interest on accrual; ignoring secured/unsecured split; LLP threshold is **OR**; propriety comment survives legal sanction; no statutory audit for proprietor/firm; Registrar vs Sec 139 appointment; blind reliance on actuary; deed-allows  $\neq$  tax-allows; FCRA commingling; missing the 85% test.

*Flag for confirmation in ICAI material: exact LLP thresholds and LLP form numbers, cooperative reserve-fund and dividend percentages, precise bank-auditor appointment mechanics by bank type, current NBFC categorisation/scale-based layers and NOF, RBI provisioning percentages and NPA ageing bands, and the charitable-trust application percentage/accumulation conditions and Form 10B/10BB applicability for the relevant AY — these are periodically revised.*



# Q&A — Audit of Different Entities (Overview)

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Exam-oriented question bank for CA Intermediate *Auditing & Ethics*. Every question is immediately followed by a complete model answer citing the relevant Standard on Auditing (SA), Companies Act 2013 section, or governing statute. Standards cited are genuine (SA 200, SA 210, SA 250, SA 299, SA 315, SA 402, SA 500, SA 570, SA 580, SA 610, SA 700 series). No standard has been invented.

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## Section A — Concept-Check Questions (with answers)

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**A1. What is the single unifying idea behind "audit of different entities"?** Model answer: The core objective of every audit is constant — to express an opinion on whether financial statements give a true and fair view (Companies Act 2013, Sec. 143; SA 200). What changes across entities is the *governing statute, the applicable financial reporting framework, and the entity-specific risk areas*. The auditor tailors risk assessment (SA 315) and audit procedures (SA 500) to the entity's legal form and business, but the assurance framework itself is unchanged. This is why the chapter is called an "overview" — it maps how one audit engine is fitted to many legal chassis.

**A2. Which law governs the audit of a banking company and what is the auditor's special reporting duty?** Model answer: The Banking Regulation Act 1949 (read with the Companies Act 2013 and RBI directions) governs bank audits. Under Sec. 30 of the Banking Regulation Act, accounts must be audited, and the auditor reports additionally to the RBI. The auditor must specifically examine income recognition, asset classification and provisioning (IRAC norms), and comment on whether transactions noticed were within the bank's powers. Key focus: advances (NPAs), and the Long Form Audit Report (LFAR).

**A3. Under which statute is an insurance company audited, and what is unique about its accounts?** Model answer: The Insurance Act 1938 and IRDAI (Preparation of Financial Statements) Regulations 2002 govern insurer audits, alongside the Companies Act 2013. Unique features: a Revenue Account (Policyholders' A/c) separate from the Profit & Loss (Shareholders' A/c), actuarial valuation of liabilities (life insurers), and unexpired-risk reserves. The auditor relies on the appointed actuary's certificate for policy liabilities — treated as work of a management's expert, evaluated under SA 500.

**A4. Are NBFCs subject to the Companies Act audit, and what extra report is required?** Model answer: Yes. An NBFC is a company, so the statutory audit under Sec. 143 of the Companies Act 2013 applies. Additionally, RBI's Non-Banking Financial Companies Auditor's Report (Reserve Bank) Directions require the auditor to submit a separate report to the RBI stating whether the NBFC is engaged in NBFI business, holds a valid Certificate of Registration, meets net owned fund and prudential (IRAC/provisioning) norms.

**A5. Distinguish the C&AG audit of a government company from a normal company audit.** Model answer: Under Sec. 139(5)/(7) of the Companies Act 2013, the auditor of a government company is *appointed by the C&AG*. Under Sec. 143(5)–(7), the C&AG can issue directions to the auditor, conduct a supplementary audit, and comment upon or supplement the audit report. The statutory auditor's report is therefore subject to C&AG's supplementary audit — a two-tier assurance not present in ordinary company audits.

**A6. Does a cooperative society follow the Companies Act for its audit?** Model answer: No. A cooperative society is audited under the relevant Cooperative Societies Act — the Central Multi-State Cooperative Societies Act 2002 or the applicable State Cooperative Societies Act — not the Companies Act 2013. The



Registrar of Cooperative Societies appoints/empanels auditors. Special features: examination of overdue debts, classification of members, observance of the 25% reserve-fund transfer, and adherence to bye-laws.

**A7. What framework governs the audit of an NGO / charitable trust?** Model answer: NGOs may be constituted as a Sec. 8 company (Companies Act 2013), a public trust (Indian Trusts Act / State Public Trusts Act), or a society (Societies Registration Act 1860). Audit is also triggered by Sec. 12A/10(23C) of the Income-tax Act 1961 (Form 10B/10BB) and by FCRA 2010 for foreign contributions. The auditor focuses on whether income was applied to charitable objects, corpus vs. general donations, and grant utilisation.

**A8. Is the audit of an LLP compulsory? State the threshold.** Model answer: Under the LLP Act 2008 read with Rule 24 of the LLP Rules 2009, audit is mandatory only if turnover exceeds Rs. 40 lakh or contribution exceeds Rs. 25 lakh in a financial year. Below both thresholds, statutory audit is not compulsory (though a tax audit under Sec. 44AB may still apply). The auditor verifies the LLP Agreement, partners' contributions, and designated-partner compliance.

**A9. What determines the scope of audit for a sole proprietor or partnership firm?** Model answer: There is no statutory audit under any company law for a sole proprietorship or an ordinary partnership; the audit is *voluntary* and its scope is fixed by the engagement letter / the partnership deed (SA 210). The audit may nonetheless be mandated by the Income-tax Act (tax audit u/s 44AB). For partnerships the deed is the primary document — governing profit-sharing, interest on capital, and admission/retirement adjustments.

**A10. Which SA governs reliance on a service organisation (e.g., an NBFC's outsourced loan-processing)?** Model answer: SA 402, *Audit Considerations Relating to an Entity Using a Service Organisation*. The auditor obtains an understanding of the services and their effect on internal control, and may rely on a Type 1 / Type 2 report from the service auditor to assess design and operating effectiveness of controls.

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## Section B — Applied Scenario Questions (situation → audit response with reasoning)

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**B1.** *A bank branch you are auditing has classified a loan as "standard", but interest has not been serviced for 120 days. Management resists reclassification. What do you do?* Model answer: Under RBI's IRAC norms, an account is a Non-Performing Asset (NPA) once interest/principal is overdue for more than 90 days. At 120 days the loan must be classified sub-standard with the mandated provision. This is a *misstatement*. Apply SA 450 (evaluation of misstatements) — request correction; if management refuses and the amount is material, modify the opinion under SA 705. Reasoning: asset classification directly affects income recognition and provisioning, the highest-risk area in a bank audit; the auditor cannot subordinate a regulatory norm to management preference.

**B2.** *In a life-insurance audit, policyholder liabilities rest entirely on the appointed actuary's valuation certificate. How do you audit that figure?* Model answer: The actuary is a management's expert. Apply SA 500 (para 8): evaluate the actuary's competence, capability and objectivity; understand the field of expertise; and assess the appropriateness of the actuary's work as audit evidence — the data used, assumptions and methods. The auditor does not re-perform the actuarial valuation but tests input data and reasonableness. Reasoning: reliance is permitted but not blind; ultimate responsibility for the opinion remains with the auditor.

**B3.** *A newly registered NBFC has a Certificate of Registration but its Net Owned Fund has fallen below the RBI-prescribed minimum at year-end. What is your response?* Model answer: The NBFC Auditor's Report Directions require the auditor to report to the RBI whether the NOF requirement is met. Since it is not, the auditor must

state this exception in the separate report to the RBI. Additionally, consider whether the shortfall creates a going-concern doubt under SA 570 (a regulatory breach may threaten continued operations/licence). If material uncertainty exists and disclosure is adequate, include a *Material Uncertainty Related to Going Concern* paragraph under SA 570; if disclosure is inadequate, modify the opinion.

**B4.** *You are the statutory auditor of a government company. After you sign your report, the C&AG's supplementary audit surfaces an understatement of provisions. Can C&AG override you?* Model answer: Yes, in effect. Under Sec. 143(6) of the Companies Act 2013, the C&AG may conduct a supplementary audit within 60 days and comment upon or supplement the auditor's report; these comments are placed before the AGM. The statutory auditor's report is not the final word for a government company. Reasoning: the two-tier structure ensures public accountability of government funds; the auditor should cooperate and provide working papers.

**B5.** *An NGO received a foreign grant of USD 50,000 for building a school, but Rs. 8 lakh of it was spent on staff salaries not connected to the project. What audit action follows?* Model answer: This is a potential violation of FCRA 2010 (utilisation of foreign contribution only for the sanctioned purpose) and a matter of grant conditions. Apply SA 250 (*Consideration of Laws and Regulations*): identify the non-compliance, evaluate its effect on the financial statements and on utilisation certificates, and communicate with those charged with governance (SA 260). If the misapplication is material and unadjusted/undisclosed, modify the opinion; also report separately in Form FC-4 utilisation certification. Reasoning: for NGOs, *application of funds to stated objects* is the central assertion.

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## Section C — Past-Paper-Style Descriptive Questions (with model answers)

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**C1. "The nature of the entity dictates the audit approach even though the audit objective is constant."**

**Discuss with three illustrations.** (5 marks) Model answer: The objective under SA 200 — reasonable assurance and a true-and-fair opinion — is invariant. But SA 315 requires understanding the entity and its environment, including the applicable financial reporting framework, so the *approach* varies: 1. **Bank** — governed by the Banking Regulation Act 1949; the auditor concentrates on advances, IRAC classification, and files an LFAR; income recognition is reversed on NPAs. 2. **Insurer** — governed by the Insurance Act 1938 / IRDAI regulations; the auditor evaluates the appointed actuary's liability valuation (SA 500) and the segregation of policyholders' and shareholders' funds. 3. **Government company** — the C&AG appoints the auditor (Sec. 139(5)) and can supplement the report (Sec. 143(6)). Thus statute-driven risk areas reshape planning, materiality, and reporting while the assurance framework stays the same.

**C2. Explain the appointment and reporting framework for auditors of government companies under the Companies Act 2013.** (5 marks) Model answer: - **Appointment** — Sec. 139(5): the auditor of a government company (or a company controlled by the Central/State Government) is appointed by the C&AG within 180 days of the commencement of the financial year. Sec. 139(7) covers the *first* auditor — appointed by C&AG within 60 days of registration; failing which, by the Board within 30 days; failing which, by members. - **C&AG directions** — Sec. 143(5): the C&AG may direct the manner in which accounts are audited; the auditor must report accordingly, including any directions and their action taken and impact. - **Supplementary audit** — Sec. 143(6): C&AG may conduct a supplementary audit within 60 days of receipt of the report and comment upon/supplement it. - **Test audit** — Sec. 143(7): C&AG may order a test audit. Conclusion: government-company audits carry a statutory second tier of oversight absent in private-sector audits.

**C3. Write short notes on special points in the audit of a cooperative society.** (4 marks) Model answer:

Under the applicable Cooperative Societies Act (Central Multi-State Act 2002 or State Act), the auditor should: (a) verify that the society operates within its **bye-laws** and the Act; (b) examine **overdue debts** and classify them (bad, doubtful, good), assessing their effect on profit; (c) check compliance with the mandatory transfer of at least **25% of net profit to the reserve fund** and restrictions on dividend/bonus; (d) verify **membership** records and that loans are given only to members (subject to permitted exceptions); (e) ensure investments are only in modes permitted by the Act; (f) report on the **classification of the society** (audit classification A/B/C/D) as required by the Registrar.

**C4. Discuss the auditor's use of an expert and internal audit function in specialised-entity audits.** (4 marks) Model answer: Two Standards operate: - **SA 500 & SA 620** — where valuations require specialised skills (actuarial reserves in insurance, property valuation, loan-book modelling in NBFCs), the auditor may use an **auditor's expert** (SA 620) or evaluate a **management's expert** (SA 500 para 8), assessing competence, capability, objectivity, and the appropriateness of the work as evidence. - **SA 610** — where an entity has an internal audit function (common in banks and large NBFCs), the auditor evaluates it for objectivity, competence and systematic approach before using its work; the auditor cannot use internal audit for matters involving significant judgement, and *sole responsibility* for the opinion remains with the statutory auditor.

**C5. State the audit checkpoints for an LLP and a partnership firm, contrasting the two.** (4 marks) Model answer: - **LLP** — statutory audit under LLP Act 2008 + Rule 24 only if turnover > Rs. 40 lakh or contribution > Rs. 25 lakh. Checkpoints: the LLP Agreement (profit-sharing, contribution), designated-partner DIN/compliance, filing of Form 8 and Form 11, and that limited-liability boundaries are respected. -

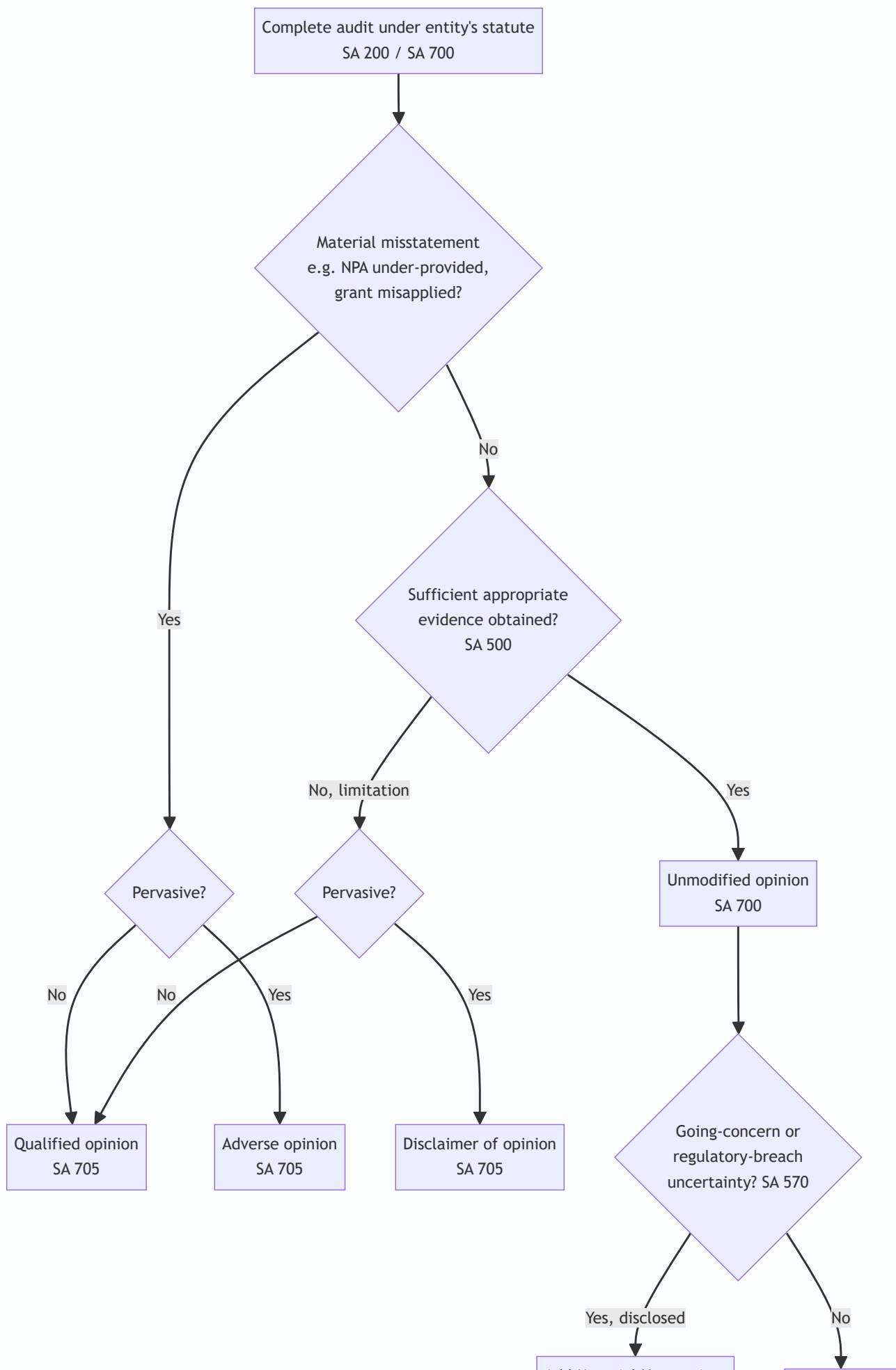
**Partnership** — no statutory audit under any company law; audit is voluntary or triggered by Sec. 44AB of the Income-tax Act 1961. Scope is set by the engagement letter (SA 210) and governed by the **partnership deed** — interest on capital, remuneration, and settlement on admission/retirement/death. Contrast: the LLP audit has a statutory threshold and registry filings; the partnership audit is contractual, with the deed as the controlling document.

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# Opinion / Reporting Decision Tree

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## Section D — MCQs and Case Scenarios (correct option + one-line reasoning)

- D1.** An asset in a bank becomes an NPA when interest/principal is overdue for more than: A) 30 days B) 60 days C) 90 days D) 180 days **Answer: C.** RBI IRAC norms fix the NPA threshold at 90 days of overdue.
- D2.** The auditor of a government company is appointed by: A) The Board B) Members in AGM C) The Comptroller & Auditor General D) The Central Government **Answer: C.** Sec. 139(5) of the Companies Act 2013 vests appointment in the C&AG.
- D3.** Audit of a Limited Liability Partnership is compulsory when turnover exceeds: A) Rs. 25 lakh B) Rs. 40 lakh C) Rs. 1 crore D) Rs. 2 crore **Answer: B.** Rule 24 of the LLP Rules 2009 sets the turnover threshold at Rs. 40 lakh (or contribution > Rs. 25 lakh).
- D4.** Policyholder liabilities of a life insurer are valued by the appointed actuary; the auditor treats this under: A) SA 610 B) SA 500 (management's expert) C) SA 299 D) SA 402 **Answer: B.** The actuary is a management's expert evaluated under SA 500 para 8.
- D5.** A cooperative society must transfer to its reserve fund at least: A) 10% of net profit B) 15% of net profit C) 25% of net profit D) 50% of net profit **Answer: C.** The Cooperative Societies Acts mandate a minimum 25% transfer of net profit to the reserve fund.
- D6.** An NBFC's auditor must submit an additional report on prudential norms to: A) SEBI B) The Registrar of Companies C) The Reserve Bank of India D) IRDAI **Answer: C.** The NBFC Auditor's Report (Reserve Bank) Directions require a separate report to the RBI.
- D7. Case scenario.** CA Meera audits "GreenLeaf Trust", a Sec. 8 company registered under Sec. 12A of the Income-tax Act. She finds Rs. 3 lakh of general donations treated as corpus without any written direction from donors. The most appropriate action is: A) Ignore, as amount is small B) Treat as corpus per management view C) Reclassify to income and assess impact on 85% application, communicate to TCWG D) Resign immediately **Answer: C.** Only donations received with a specific written direction can be corpus (Sec. 11(1)(d)); mis-classification affects the 85%-application test — evaluate under SA 250 and communicate under SA 260.
- D8. Case scenario.** During a bank branch audit, the branch relies on a centralised outsourced CBS data-centre for interest computation. The auditor should primarily apply: A) SA 570 B) SA 402 C) SA 580 D) SA 610 **Answer: B.** SA 402 governs audit considerations where the entity uses a service organisation.
- D9.** For a government company, the C&AG may conduct a supplementary audit within: A) 30 days B) 45 days C) 60 days D) 90 days **Answer: C.** Sec. 143(6) allows supplementary audit within 60 days of receipt of the audit report.
- D10.** In a joint audit of a large NBFC, the division of work and responsibility among joint auditors is governed by: A) SA 220 B) SA 299 C) SA 600 D) SA 610 **Answer: B.** SA 299 (Revised), *Joint Audit of Financial Statements*, governs responsibilities of joint auditors.
- D11. Case scenario.** An LLP has turnover of Rs. 32 lakh and partner contribution of Rs. 30 lakh. Is statutory audit required? A) No, both below limits B) Yes, contribution exceeds Rs. 25 lakh C) Yes, turnover exceeds Rs.



40 lakh D) Only if partners demand **Answer: B.** Audit is triggered if *either* turnover > Rs. 40 lakh or contribution > Rs. 25 lakh; contribution of Rs. 30 lakh crosses the limit.

**D12.** Written representations from management on the completeness of related-party or grant transactions are obtained under: A) SA 505 B) SA 580 C) SA 530 D) SA 700 **Answer: B.** SA 580 governs written representations.

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## Quick-Revision One-Liners

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- **Bank** → Banking Regulation Act 1949; NPAs (90 days), IRAC, LFAR.
- **Insurer** → Insurance Act 1938 / IRDAI; actuary's valuation (SA 500); two revenue streams.
- **NBFC** → Companies Act 2013 (Sec. 143) + separate RBI report; NOF, CoR, prudential norms.
- **Government company** → C&AG appoints (Sec. 139(5)); directions (143(5)); supplementary audit (143(6)); test audit (143(7)).
- **Cooperative society** → Cooperative Societies Act; overdue debts, 25% reserve, bye-laws, audit classification.
- **NGO** → Sec. 8 company / trust / society; Sec. 12A + Form 10B; FCRA for foreign funds; application to objects.
- **LLP** → LLP Act 2008; audit if turnover > Rs. 40 lakh or contribution > Rs. 25 lakh; LLP Agreement.
- **Sole proprietor / partnership** → no company-law audit; voluntary or Sec. 44AB tax audit; deed/engagement letter (SA 210) sets scope.
- **Cross-cutting SAs** → SA 200, 210, 250, 299, 315, 402, 500, 570, 580, 610, 700/705.

# Auditing & Ethics — Exam Strategy, Answer Templates & Examiner Traps

CA Intermediate, Paper 5. 100 marks, 3 hours. Division A = 30 marks of MCQs (mixed 1-mark and 2-mark), Division B = 70 marks of descriptive. Negative marking of 0.25 per wrong MCP answer applies to Division A. This is a *language* paper: marks are earned for citing the right Standard on Auditing (SA), stating the principle in ICAI's own vocabulary, and applying it — not for a "correct-sounding" paragraph in your own words.

## 1. Paper Strategy — Running the 3 Hours

### 1.1 The 15-minute reading time is a planning weapon, not a warm-up

You get 15 minutes reading time before the clock on writing starts (varies by attempt; treat any pre-reading window this way). Do NOT start solving in your head randomly. Use it to: - Read **all of Division A MCQs** and mentally tag each: *Sure* / *50-50* / *No idea*. Solve the "Sure" ones in your head so you can transcribe them in under 8 minutes when writing begins. - Scan Division B and tag every sub-question with the **SA number or section you'll anchor to**. If a question makes you go blank on the anchor, mark it "attempt last." - Identify your **strongest full question** in Division B and plan to write it **first** — a strong opener steadies the examiner's impression and your nerves.

### 1.2 Time budget (target, not law)

| Segment                  | Marks | Target time | Cushion logic                                       |
|--------------------------|-------|-------------|-----------------------------------------------------|
| Division A — MCQs        | 30    | 30–35 min   | ~1 min/mark; the 2-markers (case-based) eat more    |
| Division B — descriptive | 70    | 130–135 min | ~1.8 min/mark, leaving buffer                       |
| Final review             | —     | 10–12 min   | Re-check MCQ transcription + un-attempted sub-parts |

Rule of thumb: **1 mark ≈ 1.8 minutes of writing**. A 5-mark question should not consume more than ~9 minutes. If it does, you are over-writing — cut and move.

### 1.3 Attempt order

- Division A first, in one clean block.** MCQs are the highest marks-per-minute in the paper and there is no "presentation" risk. Bank them early while your mind is fresh. Transcribe your reading-time answers, then work the 50-50s.
- Then your strongest Division B question**, in full (all sub-parts) — never leave a question half-done to chase another; examiners reward complete answers and the last mark of a sub-part is the easiest.
- Work Division B in **descending order of confidence**, not paper order. Write the question number clearly; you are allowed to answer out of sequence.
- Attempt every sub-part.** Division B typically requires answering a set number of questions with internal choice — use the choice to skip your single weakest question, but never leave blank space where a partial answer could earn 2–3 marks.

## 1.4 Division A MCQs — the 0.25 negative-marking decision

Negative marking changes the math. Treat each MCQ as an expected-value bet: - **4 options, -0.25 for wrong, +1 (or +2) for right.** - **Blind guess (no elimination):** 1 in 4 right. EV on a 1-marker =  $(0.25 \times +1) + (0.75 \times -0.25) = +0.0625$ . Marginally positive — so a pure blind guess is *slightly* worth it, but the downside is real across many questions. - **Eliminate 1 option (3 left):**  $EV = (1/3 \times +1) + (2/3 \times -0.25) = +0.167$ . Clearly worth guessing. - **Eliminate 2 options (2 left, 50-50):**  $EV = (0.5 \times +1) + (0.5 \times -0.25) = +0.375$ . Always guess.

**Decision rule:** - **Answer** every question where you can eliminate at least one option. The EV is positive and grows fast. - **Skip** only the questions where all four options look equally plausible AND the topic is one you genuinely never studied (rare). Even then, a blind guess is barely positive — so when in doubt, guess *unless* you notice you're on a losing streak of blind guesses. - **2-mark case MCQs:** the penalty is still 0.25 (not 0.5), so the reward-to-risk ratio is *better* on 2-markers. Never skip a 2-marker you can partially reason through. - **Watch the negatives-double-count trap:** "Which is NOT a correct statement" / "All of the following EXCEPT." Underline NOT/EXCEPT in the question booklet. This single trap causes more MCQ losses than lack of knowledge. - **Transcribe onto the OMR/answer immediately** after each block; a mis-shaded bubble is an avoidable -0.25 to -2.

## 1.5 Maximising step / partial marks in Division B

This subject is marked on **discrete points, not prose flow**. Each valid point  $\approx$  a fixed part-mark. Therefore: - **One idea per bullet/line.** A 5-mark question usually wants  $\sim 5$  distinct points. Give the examiner 6 so a weak one still leaves 5. - **Lead every point with its keyword**, then explain. Examiners scan for keywords first ("Independence... Confidentiality... Professional competence..."). Bury the keyword mid-sentence and you risk it being missed on a fast marking pass. - **Cite the SA/section even when not asked.** "As per SA 315..." at the head of a point earns anchor marks and signals command. A correct answer with no citation loses the citation portion of the mark scheme. - **Use the format the question format demands:** "State" = crisp points; "Explain" = point + one line of reasoning; "Discuss/Comment with reasons" = the full four-step template (§2). Answering "State" in essay form wastes time; answering "Comment" in one word loses application marks. - **Headings and underlining.** Underline every SA number, section number, and defined term (e.g., *sufficient appropriate audit evidence, going concern, material misstatement*). It structures the answer and draws the examiner's eye to scoring content. - **Never leave a sub-part blank.** Even a two-line "As per SA XXX, the auditor should... therefore in this case..." harvests 1–2 marks. Blanks are the biggest silent score-killer.

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## 2. Answer-Writing Templates for THIS Subject

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Auditing & Ethics answers fall into a few recurring *shapes*. Match the shape to the verb in the question.

### 2.1 The core template — the "ARC" / four-step for scenario ("Comment / Discuss with reasons") questions

Use this for every case-based descriptive question. Structure it as four visible blocks:

1. **Anchor** — Name the governing Standard/section/law. "*The issue is governed by SA 570, Going Concern.*"
2. **Principle** — State the requirement in ICAI's language. "*SA 570 requires the auditor to evaluate management's assessment of the entity's ability to continue as a going concern for at least 12 months from*

*the balance-sheet date, and to remain alert for events casting significant doubt."*

3. **Application** — Map the facts of the scenario to the principle. *"Here, the company has negative net worth and defaulted on loan repayments — events indicating a material uncertainty."*
4. **Conclusion** — Give a clear, decisive answer. *"Therefore, the auditor should assess the adequacy of disclosure and, if material uncertainty exists but is adequately disclosed, express an unmodified opinion with a separate 'Material Uncertainty Related to Going Concern' section; if not disclosed, modify the opinion."*

Memory hook: **Anchor** → **Principle** → **Apply** → **Conclude**. No scenario answer is complete without a conclusion. A perfect principle with no verdict is a half-answer.

## 2.2 Assertions template (for existence/valuation/completeness style questions)

When asked how the auditor verifies an item or what could go wrong, frame in **assertion language** rather than ad-hoc checks: - **Classes of transactions** (P&L): *Occurrence, Completeness, Accuracy, Cut-off, Classification, Presentation*. - **Account balances** (BS): *Existence, Rights & Obligations, Completeness, Accuracy/Valuation & Allocation, Presentation*.

Specimen phrasing: *"To verify trade receivables, the auditor obtains evidence over the relevant assertions — Existence (external confirmation under SA 505), Valuation (review of the allowance for expected credit losses), Rights & Obligations (checking receivables are not factored/assigned), and Completeness (cut-off testing around year-end)."* Anchoring verification to assertions turns a vague list into a mark-scheme-shaped answer.

## 2.3 Definition / "State the objectives" template

Two-part shape: **(a) crisp definition/objective in the Standard's words, then (b) enumerate**. E.g. *"Sufficiency is the measure of the quantity of audit evidence; appropriateness is the measure of its quality — its relevance and reliability (SA 500)."* Then bullet the reliability hierarchy. Do not paraphrase loosely — defined terms are marked against the exact concept.

## 2.4 Ethics template (Chartered Accountants Act, 1949 — Schedules)

For professional-misconduct questions, use a rigid four-step: 1. **Provision** — *"The matter is governed by Clause (X) of Part (Y) of the [First/Second] Schedule to the Chartered Accountants Act, 1949."* 2. **What the clause says** — state the misconduct described. 3. **Application** — apply to the member's conduct in the scenario. 4. **Conclusion** — *"Hence, CA X is / is not guilty of professional misconduct."* Always end with a guilty/not-guilty verdict.

## 2.5 Worked specimen answer (ideal presentation)

**Q. During the audit of PQR Ltd., the audit team discovered that a major customer, contributing 40% of revenue, has become insolvent after the year-end but before the audit report was signed. Management refuses to adjust the financial statements. Comment. (5 marks)**

## Answer

**Anchor:** The issue is governed by **SA 560, "Subsequent Events."**

**Principle:** SA 560 requires the auditor to identify events occurring between the date of the financial statements and the date of the auditor's report that require **adjustment of, or disclosure in, the financial statements**. Events providing evidence of conditions that **existed at the balance-sheet date** are *adjusting events*; those reflecting conditions that **arose after** are *non-adjusting events* requiring disclosure if material.

**Application:** The customer's insolvency crystallised after year-end but the underlying condition — its inability to pay — typically **existed at the balance-sheet date**. This is therefore an **adjusting event**, requiring PQR Ltd. to write down the related trade receivable (assertion affected: **Valuation of receivables**). Given the customer is 40% of revenue, the amount is clearly **material**. Management's refusal to adjust results in a **material misstatement** in the financial statements.

**Conclusion:** The auditor should request management to make the adjustment. If management refuses and the effect is material, the auditor should **modify the opinion** under **SA 705** — a **qualified opinion** if material but not pervasive, or an **adverse opinion** if the misstatement is pervasive to the financial statements as a whole.

*Notice: four visible blocks, three SA citations, assertion named, a definitive verdict. That is a full-mark answer.*

## 3. Examiner Traps — How ICAI Catches Students in Auditing & Ethics

These are the *recurring, subject-specific* ways marks are lost. Each is paired with a defence.

### Trap 1 — Right idea, wrong (or missing) SA number

ICAI's model answers award a distinct sub-mark for the correct citation. Students who write a perfect explanation but cite the wrong SA (e.g., SA 315 vs SA 330, SA 240 vs SA 250) or no SA lose those marks.

**Defence:** Learn SA numbers as tightly paired with their one-line purpose. If genuinely unsure of the number, cite the *name* ("the Standard on Fraud") rather than a wrong number — a wrong number can read as a confident error, worse than an unnumbered correct principle.

### Trap 2 — Confusing near-neighbour Standards

The classic confusions ICAI exploits: **SA 240 (auditor's responsibility re: fraud) vs SA 250 (laws & regulations); SA 700/705/706 (unmodified vs modified opinion vs EOM/Other-Matter paragraphs); SA 610 (using internal auditors) vs SA 620 (auditor's expert); SA 550 (related parties) vs SA 570 (going concern); "true and fair" vs "true and correct."** **Defence:** Build a one-page "confusion table" of paired Standards and drill it. In the exam, when you see the trigger word, pause one second to pick the *correct twin*.

### Trap 3 — Stating the principle but not concluding

The most common half-mark loss. A scenario says "Comment," the student explains SA 570 beautifully and stops. No verdict = application/conclusion marks gone. **Defence:** End every scenario answer with an explicit sentence: "*Therefore, the auditor should...*" or "*Hence, CA X is guilty of professional misconduct under Clause...*" Never leave the examiner to infer your conclusion.

## Trap 4 — The "type of opinion" precision trap

Reporting questions demand the *exact* opinion type. Writing "the auditor should qualify" when the misstatement is **pervasive** (should be *adverse*), or saying "modify the report" without naming qualified/adverse/disclaimer, loses marks. Also confusing a **modification of opinion (SA 705)** with an **Emphasis of Matter paragraph (SA 706)** — an EOM does NOT modify the opinion. **Defence:** Memorise the 2×2: (*Material but not pervasive* → *Qualified*) vs (*Material and pervasive* → *Adverse for misstatement / Disclaimer for lack of evidence*). State which axis of the grid the facts fall on, then name the opinion.

## Trap 5 — "True and fair" vs "true and correct"; and other exact-phrase traps

ICAI checks defined terms verbatim. "True and correct" is wrong — auditors express a **"true and fair"** view. Similarly *reasonable assurance* (not "absolute assurance"), *sufficient appropriate* audit evidence (both words), *professional skepticism*, *those charged with governance* (TCWG). **Defence:** Treat these as spellings you cannot get wrong. Underline them so you consciously use the exact phrase.

## Trap 6 — Ethics: applying the wrong Schedule/Part

Professional-conduct questions hinge on the *right* clause. First Schedule = misconduct that generally attracts action by the **Board of Discipline**; Second Schedule = graver misconduct going to the **Disciplinary Committee**. Students cite "Clause (X)" with no Part/Schedule, or the wrong Schedule. **Defence:** Structure ethics answers as *Clause* → *Part* → *Schedule* every time, and pin down the common ones (e.g., advertising/solicitation, sharing fees with non-members, expressing opinion where substantially interested, failure to obtain sufficient information). End with the guilty/not-guilty verdict.

## Trap 7 — Listing procedures without linking to assertions or objectives

Asked "how would you verify X," students dump a generic checklist. ICAI's mark scheme is organised around *what each procedure proves* (the assertion/objective). Unlinked lists cap the score. **Defence:** Prefix procedures with the assertion they test (see §2.2). "To verify **Existence**, obtain external confirmations (SA 505)..."

## Trap 8 — Over-writing easy questions, starving hard ones

Because the subject is comfortable to write *about*, students pour 15 minutes into a 5-mark theory question and run out of time for the last 10 marks. Padding does not raise a point-based score. **Defence:** Cap each question at ~1.8 min/mark. Once you've hit the likely number of points, **stop and move**. The unwritten last question costs far more than a slightly shorter answer.

## Trap 9 — Answering the verb you wish were asked

"Distinguish between" answered as two separate paragraphs (should be a **two-column / point-wise contrast**); "State" answered as an essay; "Discuss with reasons" answered as a bare one-liner. The verb dictates the format and half the marks. **Defence:** Circle the command word first. *Distinguish* → *table*. *State* → *bullets*. *Explain* → *point + reason*. *Comment/Discuss* → *full ARC template*.

## Trap 10 — MCQ "NOT/EXCEPT" and double-negative framing

Division A deliberately inserts "Which of the following is **NOT**..." and "All of the following are correct **EXCEPT**." Under time pressure students solve for the true statement and pick it — the wrong answer. **Defence:** Underline NOT/EXCEPT the instant you read it, and re-read the chosen option against the *reversed* logic before shading.

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## One-line summary to carry into the hall

**Cite the SA. State the principle in ICAI's words. Apply the facts. Conclude decisively. One point per line, keyword first. Guess every MCQ where you can kill one option. Attempt everything — blanks are the only guaranteed zero.**



# Auditing & Ethics — MCQ Bank (exam practice)

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**CA Intermediate | Paper: Auditing & Ethics (New Scheme)** Coverage: Standards on Auditing (SAs) + Companies Act, 2013 provisions, cited by SA number / section.

⚠ **Negative marking:** ICAI applies **0.25 negative marks** for every wrong MCQ answer. If unsure and unable to eliminate options, it is often better to leave it blank than to guess blindly. Attempt only when you can reason to the answer.

Difficulty is mixed (E = easy, M = moderate, H = hard/tricky). Questions are grouped roughly by chapter/topic. Answers and one-line reasoning follow each question.

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## Chapter 1 — Nature, Objective and Scope of Audit

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**Q1. (E)** The overall objective of the auditor in an audit of financial statements, as per SA 200, is to obtain: -  
(a) Absolute assurance - (b) Reasonable assurance - (c) Limited assurance - (d) No assurance, only a compilation

**Answer:** (b) **Why:** SA 200 requires **reasonable assurance** (a high but not absolute level); absolute assurance is impossible due to inherent limitations of audit.

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**Q2. (M)** Which of the following is NOT an inherent limitation of an audit as recognised by SA 200? - (a) Nature of financial reporting involving judgement - (b) Use of test checking / selective examination - (c) Auditor's failure to comply with Standards on Auditing - (d) Nature of audit procedures (possibility of management not providing complete information)

**Answer:** (c) **Why:** Non-compliance with SAs is a **failure of the auditor**, not an inherent limitation; the other three flow from the nature of financial reporting, evidence and procedures.

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**Q3. (M)** "Professional skepticism" under SA 200 primarily means: - (a) Assuming management is dishonest - (b) An attitude that includes a questioning mind and being alert to conditions indicating possible misstatement - (c) Auditing every transaction 100% - (d) Distrusting the internal auditor entirely

**Answer:** (b) **Why:** SA 200 defines skepticism as a **questioning mind alert to possible misstatement**; it does not mean assuming dishonesty (auditor is not a bloodhound).

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**Q4. (E)** The responsibility for preparation of financial statements in accordance with the applicable financial reporting framework rests with: - (a) The statutory auditor - (b) Those charged with governance / management - (c) The Comptroller and Auditor General - (d) The internal auditor

**Answer:** (b) **Why:** A **premise** of every audit (SA 200) is that management is responsible for preparing the financial statements; the auditor only expresses an opinion.

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## Chapter 2 — Audit Strategy, Audit Planning and Audit Programme

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**Q5. (M)** As per SA 300, the establishment of the overall audit strategy and the audit plan is the responsibility of: - (a) The engagement quality control reviewer - (b) The engagement partner and other key members of the engagement team - (c) The client's audit committee - (d) The internal auditor

**Answer:** (b) **Why:** SA 300 places planning responsibility on the **engagement partner and key team members** to benefit from their experience.

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**Q6. (E)** Which statement about the relationship between audit strategy and audit plan is correct? - (a) The plan is broader and sets the scope; the strategy is more detailed - (b) The strategy sets the scope, timing and direction; the plan is more detailed covering nature, timing and extent of procedures - (c) Both are identical documents - (d) Only the plan is required by SA 300

**Answer:** (b) **Why:** Strategy = **broad scope/timing/direction**; plan = **detailed nature/timing/extent** of procedures. They are complementary.

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**Q7. (M)** An audit programme is best described as: - (a) A one-time document that cannot be changed once approved - (b) A written set of instructions to the assistants — the nature, timing and extent of procedures to be performed - (c) A statement of the client's accounting policies - (d) The engagement letter

**Answer:** (b) **Why:** An audit programme is a **detailed written plan of procedures** guiding assistants; it is flexible and revised as circumstances demand.

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**Q8. (H)** A disadvantage of a rigid, unchanging audit programme is: - (a) It ensures accountability of assistants - (b) Work may become mechanical and staff may lose interest/initiative, and it may not suit changing conditions - (c) It provides evidence of work done - (d) It aids in fixing responsibility

**Answer:** (b) **Why:** Rigidity makes work **mechanical and dulls initiative**; the other options are actually *advantages* of a programme — classic trap.

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## Chapter 3 — Risk Assessment and Internal Control

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**Q9. (E)** As per SA 315, "Audit risk" is a function of: - (a) Detection risk only - (b) The risk of material misstatement and detection risk - (c) Inherent risk only - (d) Control risk minus detection risk

**Answer:** (b) **Why:** Audit Risk = **Risk of Material Misstatement (RMM) × Detection Risk**; RMM itself = inherent risk × control risk.

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**Q10. (M)** Which risk can the auditor NOT change, being a characteristic of the entity, but can only assess? - (a) Detection risk - (b) Inherent and control risk (Risk of Material Misstatement) - (c) Sampling risk - (d) Engagement risk

**Answer:** (b) **Why:** RMM (inherent + control) **exists independently** of the audit; the auditor manages only **detection risk** by varying procedures.

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**Q11. (H)** There is an **inverse relationship** between: - (a) Inherent risk and control risk - (b) Assessed risk of material misstatement and acceptable detection risk - (c) Materiality and audit risk - (d) Audit evidence and audit risk

**Answer:** (b) **Why:** Higher RMM → lower acceptable **detection risk** → more/robust procedures. This inverse link is a favourite exam point.

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**Q12. (M)** As per SA 315, the five interrelated components of internal control include all EXCEPT: - (a) Control environment - (b) The entity's risk assessment process - (c) Information system and communication - (d) The external auditor's independence

**Answer:** (d) **Why:** Components are control environment, risk assessment, information system, control activities, monitoring. **Auditor independence is not a component** of the entity's IC.

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**Q13. (M)** Which of the following is an inherent limitation of internal control? - (a) Cost of control not exceeding benefits - (b) Possibility of management override of controls and collusion among employees - (c) Segregation of duties - (d) Authorisation of transactions

**Answer:** (b) **Why: Management override and collusion** are classic inherent limitations; (c) and (d) are actually control features.

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**Q14. (E)** Determining materiality as per SA 320 is a matter of: - (a) A fixed statutory percentage prescribed by ICAI - (b) The auditor's professional judgement - (c) The client management's discretion - (d) The audit committee's resolution

**Answer:** (b) **Why:** SA 320 makes materiality a matter of **professional judgement**; there is no fixed statutory percentage.

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**Q15. (H)** "Performance materiality" as per SA 320 is: - (a) Always equal to materiality for the financial statements as a whole - (b) An amount set lower than materiality for the financial statements as a whole to reduce the probability that aggregate uncorrected/undetected misstatements exceed materiality - (c) The materiality applied only to the audit report - (d) A figure fixed by management

**Answer:** (b) **Why:** Performance materiality is set **below overall materiality** to give a buffer for aggregation of individually immaterial misstatements.

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## Chapter 4 — Audit Evidence

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**Q16. (E)** As per SA 500, audit evidence is more reliable when it is: - (a) Obtained from within the entity only - (b) Obtained from independent external sources - (c) Oral rather than documentary - (d) Provided by management verbally

**Answer:** (b) **Why:** SA 500 — evidence from **independent external sources** is more reliable; documentary and original evidence outrank oral/photocopy.

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**Q17. (M)** "Sufficiency" and "appropriateness" of audit evidence refer respectively to: - (a) Quality and quantity - (b) Quantity and quality (relevance + reliability) - (c) Timing and extent - (d) Cost and benefit

**Answer:** (b) **Why: Sufficiency = quantity; Appropriateness = quality** (relevance and reliability). Do not swap them — common trap.

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**Q18. (M)** External confirmation procedures are governed primarily by: - (a) SA 505 - (b) SA 501 - (c) SA 510 - (d) SA 550

**Answer:** (a) **Why: SA 505** deals with external confirmations; SA 501 = specific items (inventory, litigation, segment), SA 510 = opening balances, SA 550 = related parties.

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**Q19. (H)** Under SA 501, attendance at physical inventory counting is required when inventory is material. If attendance is impracticable, the auditor should: - (a) Immediately issue a disclaimer of opinion - (b) Perform alternative audit procedures; if not possible, modify the opinion - (c) Accept management's certificate without more - (d) Rely solely on the previous year's count

**Answer:** (b) **Why:** SA 501 — attempt **alternative procedures**; only if sufficient appropriate evidence cannot be obtained does the auditor **modify** the opinion.

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**Q20. (M)** A "negative confirmation" request (SA 505) asks the respondent to reply: - (a) In all cases whether or not they agree - (b) Only if they disagree with the information stated - (c) Only to the management, not the auditor - (d) With a bank statement attached

**Answer:** (b) **Why:** In a **negative** confirmation, a reply is sought **only if the respondent disagrees**; it provides less persuasive evidence than positive confirmation.

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**Q21. (H)** As per SA 530, "sampling risk" is the risk that: - (a) The auditor uses an inappropriate procedure - (b) The auditor's conclusion based on a sample may differ from the conclusion had the entire population been tested - (c) The population is too small - (d) The client refuses to give records

**Answer:** (b) **Why:** Sampling risk arises because a **sample may not represent the population**; risks unrelated to sample size are **non-sampling risk**.

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**Q22. (M)** Which SA deals with audit evidence regarding accounting estimates and fair value? - (a) SA 540 - (b) SA 530 - (c) SA 520 - (d) SA 560

**Answer:** (a) **Why: SA 540** — auditing accounting estimates including fair value estimates and related disclosures. SA 520 = analytical procedures, SA 560 = subsequent events.

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**Q23. (M)** Analytical procedures (SA 520) are **mandatory** at which stages of the audit? - (a) Only at planning stage - (b) Risk assessment stage and near the end (overall review) stage - (c) Only when computing materiality - (d) Only if internal controls are weak

**Answer:** (b) **Why:** SA 520/315 — analytical procedures are required during **risk assessment** and at the **overall review** near the end; as substantive procedures they are optional.

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## Chapter 5 — Audit of Items of Financial Statements

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**Q24. (E)** While verifying trade receivables, obtaining direct confirmation of balances from debtors is an application of: - (a) SA 570 - (b) SA 505 External Confirmations - (c) SA 610 - (d) SA 299

**Answer:** (b) **Why:** Direct balance confirmation from debtors is a **SA 505 external confirmation** procedure — strong external evidence.

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**Q25. (M)** The audit assertion primarily tested when the auditor verifies that recorded inventory physically exists is: - (a) Completeness - (b) Existence - (c) Valuation - (d) Rights and obligations

**Answer:** (b) **Why:** Physical verification tests **existence** (recorded item exists); completeness tests the opposite direction (all items are recorded).

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**Q26. (H)** To test **completeness** of trade payables (that no liability is understated/omitted), the most effective procedure is: - (a) Vouching entries in the purchase book to invoices - (b) A search for unrecorded liabilities (e.g., examining payments and invoices received after year-end) - (c) Checking the arithmetic of the ledger - (d) Confirming only the balances already recorded

**Answer:** (b) **Why:** Confirming recorded balances tests existence, not omission; a **search for unrecorded liabilities** targets **completeness** — the trap is option (d)/(a).

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**Q27. (M)** Cut-off procedures are performed mainly to ensure: - (a) Assets are correctly valued - (b) Transactions are recorded in the correct accounting period - (c) The audit report is signed on time - (d) Related parties are disclosed

**Answer:** (b) **Why:** Cut-off ensures transactions near year-end are recorded in the **correct period** (occurrence + completeness at the boundary).

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**Q28. (M)** As per Schedule III to the Companies Act, 2013, a liability is classified as **current** if it is expected to be settled: - (a) Within 36 months - (b) Within the entity's normal operating cycle or within 12 months after the reporting date - (c) Only within 6 months - (d) At the discretion of management

**Answer:** (b) **Why:** Schedule III — current if settled within the **operating cycle or 12 months**; otherwise non-current.

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## Chapter 6 — Audit Documentation

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**Q29. (E)** Audit documentation (working papers) is governed by: - (a) SA 230 - (b) SA 240 - (c) SA 260 - (d) SA 265

**Answer:** (a) **Why:** **SA 230** — Audit Documentation. (SA 240 = fraud, 260 = communication with TCWG, 265 = deficiencies in IC.)

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**Q30. (M)** As per SA 230, the auditor should assemble the final audit file on a timely basis after the date of the auditor's report, ordinarily not more than: - (a) 30 days - (b) 45 days - (c) 60 days - (d) 90 days

**Answer:** (c) **Why:** SA 230 (and SQC 1) — final assembly ordinarily within **60 days** of the auditor's report date.

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**Q31. (H)** As per SQC 1, the retention period for engagement documentation is ordinarily no shorter than: - (a) 5 years from the date of the auditor's report - (b) 7 years from the date of the auditor's report (or group report, if later) - (c) 8 years - (d) 10 years

**Answer:** (b) **Why:** SQC 1 prescribes a minimum retention of **7 years** from the auditor's report date. (Do not confuse with the Companies Act book-keeping period of 8 years — trap.)

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**Q32. (M)** Working papers prepared during the audit are: - (a) The property of the client - (b) The property of the auditor - (c) Joint property of client and auditor - (d) Property of the Central Government

**Answer:** (b) **Why:** SA 230 — working papers are the **property of the auditor**; the auditor may, at discretion, share portions but is not obliged to.

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## Chapter 7 — Fraud, Communication and Completion/Review

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**Q33. (E)** Primary responsibility for the prevention and detection of fraud rests with: - (a) The statutory auditor - (b) Those charged with governance and management - (c) The internal auditor - (d) The Registrar of Companies

**Answer:** (b) **Why:** SA 240 — prevention/detection of fraud is primarily the responsibility of **management and TCWG**; the auditor obtains reasonable assurance about material misstatement.

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**Q34. (M)** The two types of intentional misstatements relevant to the auditor under SA 240 are: - (a) Errors and omissions - (b) Fraudulent financial reporting and misappropriation of assets - (c) Bribery and corruption - (d) Window dressing and secret reserves only

**Answer:** (b) **Why:** SA 240 categorises fraud as **fraudulent financial reporting** and **misappropriation of assets**.

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**Q35. (H)** Under Section 143(12) of the Companies Act, 2013, if an auditor suspects an offence of fraud involving an amount of **₹1 crore or more**, the auditor must report to: - (a) The audit committee only - (b) The Central Government (Secretary, MCA) in the prescribed manner - (c) The Registrar of Companies within 24 hours - (d) The Institute of Chartered Accountants of India

**Answer:** (b) **Why:** Sec 143(12) r/w Rule 13 — fraud of **₹1 crore or more** is reported to the **Central Government**; below ₹1 crore, report to the **audit committee/Board**.

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**Q36. (M)** Communication of significant deficiencies in internal control to those charged with governance is required by: - (a) SA 265 - (b) SA 260 - (c) SA 250 - (d) SA 210

**Answer:** (a) **Why:** **SA 265** — communicating deficiencies in internal control. SA 260 = broader communication with TCWG.

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**Q37. (M)** As per SA 560, events occurring between the date of the financial statements and the date of the auditor's report: - (a) Need not be considered at all - (b) The auditor must perform procedures to identify events requiring adjustment or disclosure - (c) Are the sole responsibility of the next year's auditor - (d) Must always lead to a qualified opinion

**Answer:** (b) **Why:** SA 560 — the auditor must **actively identify** subsequent events up to the report date needing adjustment/disclosure.

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**Q38. (H)** Under SA 570, the appropriate use of the **going concern** basis is management's responsibility. If a material uncertainty exists but is adequately disclosed, the auditor should: - (a) Issue an adverse opinion - (b) Issue an unmodified opinion with a separate "Material Uncertainty Related to Going Concern" section - (c) Disclaim the opinion - (d) Resign immediately

**Answer:** (b) **Why:** SA 570 — if the uncertainty is **adequately disclosed**, the opinion is **unmodified** but with a dedicated **Material Uncertainty** section. Inadequate disclosure → qualified/adverse.

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**Q39. (M)** Written representations from management are obtained under: - (a) SA 580 - (b) SA 550 - (c) SA 610 - (d) SA 620

**Answer:** (a) **Why: SA 580** — Written Representations. They are audit evidence but **cannot substitute** for other sufficient appropriate evidence.

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## Chapter 8 — Audit Report

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**Q40. (E)** Forming an opinion and reporting on financial statements is dealt with by: - (a) SA 700 - (b) SA 705 - (c) SA 706 - (d) SA 710

**Answer:** (a) **Why: SA 700** — forming an opinion and reporting. SA 705 = modifications, SA 706 = EOM/Other Matter, SA 710 = comparatives.

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**Q41. (H)** The auditor concludes that misstatements are **material but NOT pervasive**. The appropriate opinion under SA 705 is: - (a) Unmodified opinion - (b) Qualified opinion ("except for") - (c) Adverse opinion - (d) Disclaimer of opinion

**Answer:** (b) **Why:** Material **but not pervasive** → **Qualified** ("except for"). Material **and** pervasive → **Adverse**. This material-vs-pervasive matrix is heavily tested.

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**Q42. (H)** The auditor is **unable to obtain sufficient appropriate audit evidence**, and the possible effects could be both material and pervasive. The auditor should express: - (a) A qualified opinion - (b) An adverse opinion - (c) A disclaimer of opinion - (d) An unmodified opinion with EOM

**Answer:** (c) **Why:** Inability to obtain evidence + **pervasive** → **Disclaimer**. (Adverse is for *misstatements* that are pervasive, not for lack of evidence — key distinction.)

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**Q43. (M)** An **Emphasis of Matter (EOM)** paragraph under SA 706 is used to: - (a) Modify the audit opinion - (b) Draw users' attention to a matter appropriately presented/disclosed that is fundamental to their



understanding - (c) Report fraud to the Central Government - (d) Replace the basis for opinion section

**Answer:** (b) **Why:** EOM highlights a **properly disclosed** matter and does **NOT** modify the opinion — a very common trap where students think EOM = qualification.

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**Q44. (M)** "Key Audit Matters" (SA 701) are required to be communicated in the auditor's report of: - (a) All companies without exception - (b) Audits of listed entities (and where otherwise required/decided) - (c) Only government companies - (d) Only companies with turnover below ₹1 crore

**Answer:** (b) **Why:** SA 701 KAM reporting is mandatory for **listed entities**; for others it is voluntary or as agreed.

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**Q45. (M)** Under Section 143(3) of the Companies Act, 2013, the auditor's report must state, among other things, whether: - (a) The company will remain profitable next year - (b) The company has adequate internal financial controls with reference to financial statements and their operating effectiveness - (c) The directors' salaries are reasonable - (d) The company should declare dividend

**Answer:** (b) **Why:** Sec 143(3)(i) requires reporting on **adequacy and operating effectiveness of internal financial controls** (for applicable companies).

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**Q46. (H)** The auditor's report of a company must be signed by the auditor. Where a firm is appointed, the report may be signed by: - (a) Any employee of the firm - (b) Only the partner who is a Chartered Accountant, and the report shall state his membership number and UDIN - (c) The company secretary - (d) The managing director on the auditor's behalf

**Answer:** (b) **Why:** Sec 145 — only a **partner who is a CA in practice** signs, mentioning membership number/UDIN; not any employee.

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## Chapter 9 — Audit of Different Types of Entities & CARO

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**Q47. (M)** The Companies (Auditor's Report) Order, 2020 (CARO 2020) applies to: - (a) All companies including banking, insurance and Section 8 companies - (b) Companies other than banking, insurance, Section 8, OPC and specified small private companies - (c) Only listed companies - (d) Only government companies

**Answer:** (b) **Why:** CARO 2020 **excludes** banking, insurance, Section 8 companies, OPCs and small private companies meeting the specified thresholds.

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**Q48. (M)** In the audit of a partnership firm, the scope and duties of the auditor are primarily determined by: - (a) The Companies Act, 2013 - (b) The partnership deed / mutual agreement between partners - (c) SEBI regulations - (d) The Banking Regulation Act

**Answer:** (b) **Why:** Audit of a firm is **not statutorily mandatory**; the auditor's rights/duties flow from the **partnership deed / engagement terms**.

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**Q49. (H)** For a charitable trust/NGO, verifying that grants received have been utilised for the purpose for which they were sanctioned is an audit of: - (a) Existence assertion only - (b) Application/utilisation of funds as per restrictions/conditions - (c) Going concern - (d) Related party transactions only

**Answer:** (b) **Why:** NGO audits emphasise **fund utilisation against sanctioned purpose/conditions**, since restricted grants must be applied as specified.

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**Q50. (M)** In a Government audit, propriety audit is concerned with: - (a) Arithmetical accuracy of accounts only - (b) Whether expenditure conforms to canons of financial propriety — wisdom, faithfulness and economy of transactions - (c) Compliance with SAs alone - (d) Only detection of fraud

**Answer:** (b) **Why:** Propriety audit goes beyond legality to examine **wisdom, faithfulness and economy** (canons of financial propriety).

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## Chapter 10 — Bank Audit

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**Q51. (M)** In the audit of a bank, an advance is generally classified as a **Non-Performing Asset (NPA)** if interest/instalment of a term loan remains overdue for a period of more than: - (a) 30 days - (b) 60 days - (c) 90 days - (d) 180 days

**Answer:** (c) **Why:** RBI norms — a term loan becomes an **NPA when overdue for more than 90 days**.

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**Q52. (H)** A sub-standard asset in bank audit is one which has remained an NPA for a period: - (a) Less than or equal to 12 months - (b) More than 12 months but up to 36 months - (c) Exactly 90 days - (d) More than 36 months

**Answer:** (a) **Why: Sub-standard = NPA ≤ 12 months;** doubtful = NPA > 12 months; loss asset = identified as loss. Classic classification trap.

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## Chapter 11 — Ethics, Engagement & Quality Control

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**Q53. (E)** The engagement letter agreeing the terms of the audit engagement is governed by: - (a) SA 210 - (b) SA 220 - (c) SA 230 - (d) SA 260

**Answer:** (a) **Why: SA 210** — Agreeing the Terms of Audit Engagements (engagement letter). SA 220 = quality control at engagement level.

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**Q54. (M)** The fundamental principles of professional ethics for a Chartered Accountant include all of the following EXCEPT: - (a) Integrity and Objectivity - (b) Professional competence and due care - (c) Confidentiality and Professional behaviour - (d) Guaranteeing a favourable audit opinion

**Answer:** (d) **Why:** The five fundamental principles are **integrity, objectivity, professional competence & due care, confidentiality, professional behaviour** — never guaranteeing an outcome.

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**Q55. (H)** A self-review threat to independence most likely arises when the auditor: - (a) Has a close family member employed by the client in a senior position - (b) Evaluates a judgement or system that the same firm

previously designed or implemented - (c) Is threatened with dismissal by the client - (d) Has an outstanding fee dispute

**Answer:** (b) **Why: Self-review** = reviewing one's own prior work/output. (a) = familiarity, (c) = intimidation, (d) = self-interest threat — distinguish the five threats.

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**Q56. (M)** Which threat to independence arises from an auditor promoting a client's position to the point that objectivity is compromised (e.g., dealing in the client's shares)? - (a) Self-interest threat - (b) Advocacy threat - (c) Familiarity threat - (d) Intimidation threat

**Answer:** (b) **Why: Advocacy threat** — auditor promotes/champions the client's position, impairing objectivity.

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**Q57. (H)** Under Section 141 of the Companies Act, 2013, a person is **disqualified** from being appointed as auditor of a company if he holds securities of the company exceeding a face value of: - (a) Nil — any holding disqualifies - (b) ₹1,000 - (c) ₹1 lakh - (d) ₹5 lakh

**Answer:** (a) **Why:** Sec 141(3)(d) — an auditor (or partner/relative, subject to relative's ₹1 lakh limit) must hold **no security or interest** in the company. A relative may hold securities up to face value of ₹1 lakh — the trap is confusing the auditor's nil limit with the relative's ₹1 lakh limit.

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**Q58. (M)** As per Section 139 of the Companies Act, 2013, mandatory rotation of the auditor applies to a listed company where an **individual** auditor has served for: - (a) One term of 5 consecutive years - (b) Two terms of 5 consecutive years - (c) 10 years continuously without limit - (d) Rotation does not apply to individuals

**Answer:** (a) **Why:** Sec 139(2) — an **individual** auditor: one term of **5 years**; an audit **firm**: two terms of 5 years (max 10) before a 5-year cooling-off.

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**Q59. (H)** A Chartered Accountant in practice communicating with the previous auditor before accepting an audit is required to do so primarily as a matter of: - (a) Statute under the Companies Act only - (b) Professional etiquette/ethics — failure is professional misconduct under the CA Act - (c) SEBI requirement only - (d) Optional courtesy with no consequence

**Answer:** (b) **Why:** Communication with the retiring auditor (in writing) is a matter of **professional courtesy**; failure amounts to **professional misconduct** under the Chartered Accountants Act.

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**Q60. (M)** SA 220 (Quality Control for an audit of financial statements) requires an **Engagement Quality Control Review (EQCR)** for: - (a) All audits without exception - (b) Audits of listed entities and other engagements where the firm has determined an EQCR is required - (c) Only first-year audits - (d) Only when a modified opinion is issued

**Answer:** (b) **Why:** SA 220/SQC 1 — an EQCR is mandatory for **listed entities** and other engagements meeting the firm's criteria; not for every audit.

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**Q61. (H)** Which of the following statements about the **removal of an auditor before expiry of term** under Section 140(1) is correct? - (a) The Board alone can remove the auditor - (b) Removal requires a special resolution and prior approval of the Central Government - (c) The auditor can be removed by an ordinary resolution without any approval - (d) Only the Tribunal can ever remove an auditor

**Answer:** (b) **Why:** Sec 140(1) — removal before term needs **prior Central Government approval and a special resolution**; the Tribunal route (140(5)) is separate (for fraud/collusion).

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**Q62. (M)** Under Section 138 of the Companies Act, 2013, internal audit is mandatory for certain classes of companies. The internal auditor: - (a) Must always be the same person as the statutory auditor - (b) May be a Chartered Accountant, Cost Accountant, or such other professional, and may be an employee of the company - (c) Must be appointed by the Central Government - (d) Cannot be an employee under any circumstances

**Answer:** (b) **Why:** Sec 138 r/w rules — the internal auditor may be a CA/CMA/other professional and **may be an employee**; the statutory auditor cannot also do internal audit (independence).

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*End of MCQ Bank — 62 questions. Revise the tricky items: material vs pervasive (SA 705), disclaimer vs adverse, EOM vs KAM vs modification, NPA classification timelines, Sec 143(12) fraud threshold, Sec 141 security-holding limits, and auditor rotation under Sec 139.*

# Auditing & Ethics — Mock Test 1 (ICAI Intermediate pattern, 100 marks, 3 hours)

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**Course:** CA Intermediate — Paper 5: Auditing & Ethics **Maximum Marks:** 100 **Time Allowed:** 3 Hours

**Instructions:** 1. Division A comprises Multiple Choice Questions (MCQs). Division B comprises descriptive/practical questions. 2. Working notes should form part of the answer. 3. Wherever necessary, suitable assumptions may be made and disclosed by way of a note. 4. Answers to questions are to be given only in English (except where specified).

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## DIVISION A — MULTIPLE CHOICE QUESTIONS (30 MARKS)

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*Write the most appropriate answer to each question. Each MCQ carries 2 marks. All MCQs are compulsory.*

### Case Scenario I

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*(Questions 1–5 are based on the following scenario.)*

M/s Verma & Associates, Chartered Accountants, were appointed as the statutory auditors of **Sunrise Textiles Ltd.**, an unlisted public company, for the financial year 2025–26 at its Annual General Meeting. The engagement partner, CA Rohit Verma, is planning the audit.

While obtaining an understanding of the entity, the team notes the following: - The company's inventory of raw cotton is stored at three warehouses, one of which is under the physical custody of a third-party godown-keeper. - The company changed its method of valuation of finished goods inventory during the year, resulting in a material increase in reported profit. - The Chief Financial Officer refused to give the audit team access to the minute book of the Board's meetings held in the last quarter, stating that the matters discussed were "confidential." - During substantive procedures, the team found that trade receivables of ₹85 lakh, though shown as good, had been outstanding for more than three years with no recovery. - The audit team decides to send confirmation requests to a sample of debtors and to attend the physical inventory count.

**1.** With respect to the raw cotton lying with the third-party godown-keeper, the **most appropriate** procedure under SA 501 for the auditor to obtain sufficient appropriate audit evidence about its existence and condition is to: (a) Rely solely on the management representation letter. (b) Obtain confirmation from the third party as to the quantities and condition of inventory held on behalf of the entity, and where appropriate, perform inspection or other procedures. (c) Ignore that stock as it is not in the company's custody. (d) Qualify the report automatically because the stock is with a third party.

**2.** The refusal of the CFO to allow access to the minute book is best characterised as: (a) A matter of no audit consequence, since minutes are internal documents. (b) A limitation on the scope of the audit imposed by management, which the auditor must consider for its effect on the audit opinion. (c) A fraud that must be reported to the Central Government under Section 143(12) immediately. (d) A ground for the auditor to resign without communicating to anyone.

3. The change in the method of valuation of finished goods, which materially increased profit, primarily attracts the auditor's attention under: (a) SA 570 on Going Concern. (b) SA 550 on Related Parties. (c) The requirement to examine whether the change in accounting policy is justified, properly applied and adequately disclosed (AS 1 / AS 2 and SA 700 series). (d) SA 610 on Using the Work of Internal Auditors.
4. In respect of trade receivables of ₹85 lakh outstanding for over three years and shown as good, the auditor should **primarily**: (a) Accept the classification because management has certified them as good. (b) Evaluate the adequacy of provision for doubtful debts and the appropriateness of the valuation assertion. (c) Write them off in the books himself. (d) Report the amount as fraud to the Registrar of Companies.
5. The external confirmation of debtors decided upon by the team is governed by: (a) SA 505 — External Confirmations. (b) SA 530 — Audit Sampling. (c) SA 520 — Analytical Procedures. (d) SA 510 — Initial Audit Engagements — Opening Balances.

## Case Scenario II

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*(Questions 6–10 are based on the following scenario.)*

CA Meera is the engagement partner for the audit of **Horizon Retail Pvt. Ltd.** for FY 2025–26. During the audit, the following situations arise: - The company recognised revenue of ₹40 lakh from a bulk sale to a customer on 31 March 2026; goods were dispatched only on 6 April 2026. - A major customer of the company was declared insolvent on 18 April 2026 (after the year end but before the audit report was signed), owing ₹22 lakh at the year end. - The company is defending a lawsuit; management assessed the outflow as "possible but not probable." - The company's IT-based inventory system automatically posts cost of goods sold; CA Meera decides to test the operating effectiveness of the automated control. - Management has offered a written representation letter covering the completeness of liabilities.

6. The revenue of ₹40 lakh recognised on 31 March 2026, where dispatch occurred on 6 April 2026, most directly involves testing the: (a) Existence assertion for liabilities. (b) Cut-off assertion for revenue / occurrence assertion. (c) Rights and obligations assertion for fixed assets. (d) Classification assertion for equity.
7. The insolvency of the major customer on 18 April 2026 is an example of: (a) A non-adjusting event that requires only disclosure. (b) An adjusting event under SA 560 / AS 4 providing evidence of a condition existing at the balance sheet date, requiring adjustment. (c) An event of no consequence to the financial statements. (d) A going concern issue for the auditor's own firm.
8. The lawsuit assessed by management as "possible but not probable" should, in the financial statements, be treated as: (a) A provision recognised in the statement of profit and loss. (b) A contingent liability disclosed by way of note. (c) Fully written off against reserves. (d) Ignored entirely.
9. CA Meera's decision to test the operating effectiveness of the automated CGS control is a **test of controls** appropriate when: (a) Substantive procedures alone cannot provide sufficient appropriate audit evidence at the assertion level, or she expects the controls to be operating effectively. (b) Controls are never to be tested in a computerised environment. (c) The control environment is irrelevant to the audit. (d) The company is small and hence controls need not be tested.
10. The written representation on completeness of liabilities: (a) Is a substitute for other audit evidence that the auditor could reasonably expect to be available. (b) Complements other audit evidence but is not, by itself, sufficient appropriate audit evidence about the matters with which it deals (SA 580). (c) Relieves the auditor of responsibility for the audit opinion. (d) Is required only in the first year of audit.

## Independent MCQs

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*(Questions 11–15 are independent.)*

- 11.** As per Section 139(1) of the Companies Act, 2013, the first-appointed or subsequently appointed statutory auditor of a company (other than a Government company) holds office: (a) For one financial year only. (b) From the conclusion of the meeting in which appointed till the conclusion of the sixth AGM, subject to ratification provisions as applicable. (c) For a maximum of three years without any AGM. (d) Until removed by the Central Government.
- 12.** Which of the following is **not** a disqualification for appointment as an auditor of a company under Section 141(3) of the Companies Act, 2013? (a) A person who is indebted to the company for an amount exceeding ₹5 lakh. (b) A body corporate other than an LLP registered under the LLP Act. (c) A person holding a valid certificate of practice as a Chartered Accountant with no other disqualifying relationship. (d) A person who is a partner of an officer or employee of the company.
- 13.** "Professional skewness" is not a recognised term; the fundamental principle requiring a member to be straightforward and honest in all professional and business relationships is: (a) Confidentiality. (b) Integrity. (c) Professional competence and due care. (d) Professional behaviour.
- 14.** Reasonable assurance in the context of an audit of financial statements means: (a) Absolute assurance that the financial statements are free from all misstatement. (b) A high, but not absolute, level of assurance. (c) A low level of assurance, as in a review engagement. (d) A guarantee of the future viability of the entity.
- 15.** Under SA 700, when the auditor concludes that the financial statements are prepared, in all material respects, in accordance with the applicable financial reporting framework, the auditor shall express: (a) A qualified opinion. (b) An adverse opinion. (c) An unmodified (clean) opinion. (d) A disclaimer of opinion.
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## DIVISION B — DESCRIPTIVE / PRACTICAL QUESTIONS (70 MARKS)

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*Question No. 1 is compulsory. Answer any four questions from the remaining five questions (Q2–Q6). Each question carries 14 marks.*

### Question 1 (Compulsory) — 14 Marks

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- (a)** During the audit of **Galaxy Alloys Ltd.**, the audit team relied on a report of an independent valuer engaged by the management to value the company's plant and machinery for impairment testing. As the statutory auditor, discuss the matters you would consider under **SA 500 (Audit Evidence)** while using this valuation as audit evidence, and state whether the auditor is relieved of responsibility by relying on the expert. **(4 Marks)**
- (b)** CA Nikhil, the auditor of **Beacon Foods Ltd.**, discovers during his audit that certain expenses aggregating ₹12 lakh, personal in nature, incurred by the Managing Director have been debited to the company's profit and loss account. Explain, with reference to the concept of **materiality (SA 320)**, how the auditor should approach such items, and the factors that determine whether a misstatement is material. **(4 Marks)**
- (c)** State any **six** advantages of preparing an **audit programme**. **(3 Marks)**



(d) Distinguish between **reasonable assurance** and **absolute assurance** in an audit engagement, and explain briefly why an audit cannot provide absolute assurance. **(3 Marks)**

## Question 2 — 14 Marks

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(a) The auditor of **Pioneer Cement Ltd.** is required to communicate certain matters with those charged with governance. With reference to **SA 260 (Communication with Those Charged with Governance)**, state the matters that the auditor is required to communicate and explain the importance of two-way communication. **(5 Marks)**

(b) "The process of audit planning is a continuous and iterative process." In the light of **SA 300 (Planning an Audit of Financial Statements)**, explain the benefits of adequate audit planning. **(5 Marks)**

(c) Explain the concept of "**true and fair view**" and list any four points an auditor should ensure to report that the financial statements present a true and fair view. **(4 Marks)**

## Question 3 — 14 Marks

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(a) **Sterling Bank Ltd.** appoints you to conduct its statutory branch audit. Discuss the special points to be considered in the audit of **advances** of a bank branch, including verification of classification of advances into performing and non-performing assets. **(5 Marks)**

(b) Explain the concept of **audit risk** and its components under **SA 200**. How does the relationship between the components affect the extent of substantive procedures? **(5 Marks)**

(c) State any four circumstances in which an auditor may issue a **qualified opinion** as against an **adverse opinion**, distinguishing clearly between the two under **SA 705**. **(4 Marks)**

## Question 4 — 14 Marks

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(a) As the auditor of a **charitable trust / NGO** registered under Section 8 of the Companies Act, 2013, list the special audit considerations and the sources of income you would specifically verify. **(5 Marks)**

(b) Explain the term "**Audit Documentation**" under **SA 230**. State the purposes served by audit documentation and the requirement regarding assembly and retention of the final audit file. **(5 Marks)**

(c) Discuss the auditor's responsibilities relating to **fraud** in an audit of financial statements as per **SA 240**, distinguishing between fraudulent financial reporting and misappropriation of assets. **(4 Marks)**

## Question 5 — 14 Marks

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(a) Under **Section 143(3)** of the Companies Act, 2013, state any **six** matters that the auditor's report of a company must expressly state. **(5 Marks)**

(b) Explain the concept of "**Written Representations**" as per **SA 580**. State the situations in which the auditor should obtain written representations and the action when management does not provide requested written representations. **(5 Marks)**

(c) Define **internal control** and explain briefly the **inherent limitations** of any internal control system that an auditor must bear in mind. **(4 Marks)**

## Question 6 — 14 Marks

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**(a)** Explain the following with reference to the Standards on Auditing: **(2 × 3 = 6 Marks)** (i) Sufficiency and appropriateness of audit evidence (SA 500). (ii) External confirmation and the difference between a positive and a negative confirmation request (SA 505).

**(b) OR** — *(Answer either sub-part (b) below or the alternative (b-Alt).)* Explain the concept of **audit sampling** under **SA 530** and distinguish between **statistical and non-statistical sampling**. Also state what is meant by "sampling risk" and "non-sampling risk." **(5 Marks)**

**(b-Alt)** Explain the meaning of an **Emphasis of Matter paragraph** and an **Other Matter paragraph** under **SA 706**, giving one example of each. **(5 Marks)**

**(c)** State briefly the **fundamental principles of professional ethics** applicable to a Chartered Accountant as contained in the Code of Ethics. **(3 Marks)**

## ANSWER KEY & MODEL SOLUTIONS

### Division A — MCQ Answer Key (with one-line reasons)

| Q  | Ans        | Reason                                                                                                                                                                                                |
|----|------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1  | <b>(b)</b> | SA 501 requires the auditor to obtain confirmation from the third party as to quantity/condition of inventory held on the entity's behalf, and perform inspection/other procedures where appropriate. |
| 2  | <b>(b)</b> | Denial of access to records is a management-imposed scope limitation; the auditor evaluates its effect on the opinion (possible qualification or disclaimer under SA 705).                            |
| 3  | <b>(c)</b> | A change in inventory valuation method is a change in accounting policy; auditor examines justification, proper application and adequate disclosure (AS 1/AS 2).                                      |
| 4  | <b>(b)</b> | Long-outstanding, unrecovered receivables challenge the valuation assertion; the auditor evaluates adequacy of provision for doubtful debts.                                                          |
| 5  | <b>(a)</b> | Sending confirmation requests to debtors is directly governed by SA 505 (External Confirmations).                                                                                                     |
| 6  | <b>(b)</b> | Recording revenue before dispatch is a cut-off/occurrence issue — revenue must be recognised in the correct period when risks and rewards pass.                                                       |
| 7  | <b>(b)</b> | Insolvency of a debtor after year end confirms a condition (uncollectibility) existing at the balance sheet date — an adjusting event under SA 560/AS 4.                                              |
| 8  | <b>(b)</b> | A "possible but not probable" obligation is a contingent liability, disclosed by note, not provided for (AS 29).                                                                                      |
| 9  | <b>(a)</b> | Tests of controls are performed when substantive procedures alone are insufficient, or the auditor expects controls to operate effectively (SA 330).                                                  |
| 10 | <b>(b)</b> | Written representations complement but are not by themselves sufficient appropriate audit evidence (SA 580).                                                                                          |
| 11 | <b>(b)</b> | Under Sec 139(1), an auditor holds office from conclusion of the appointing meeting until conclusion of the sixth AGM.                                                                                |
| 12 | <b>(c)</b> | Holding a valid CoP with no disqualifying relationship is precisely the qualification, not a disqualification, under Sec 141.                                                                         |
| 13 | <b>(b)</b> | Being straightforward and honest is the fundamental principle of Integrity.                                                                                                                           |
| 14 | <b>(b)</b> | An audit provides reasonable assurance — a high, but not absolute, level of assurance.                                                                                                                |
| 15 | <b>(c)</b> | Where FS give a true and fair view in all material respects, the auditor expresses an unmodified (clean) opinion (SA 700).                                                                            |

## Division B — Model Solutions

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### Answer 1(a) — Using a Management's Expert (SA 500)

Under **SA 500 (Audit Evidence)**, when information to be used as audit evidence has been prepared using the work of a **management's expert** (here, the independent valuer of plant & machinery), the auditor shall, to the extent necessary having regard to the significance of that expert's work for audit purposes:

1. **Evaluate the competence, capabilities and objectivity** of the valuer — e.g., professional qualifications, membership of a valuation body, experience in valuing similar assets, reputation, and independence from the company (any relationship that could impair objectivity).
2. **Obtain an understanding of the work** of the valuer — the valuation method used (e.g., value in use vs fair value less costs to sell for impairment under AS 28), key assumptions, and whether the method is appropriate in the circumstances.
3. **Evaluate the appropriateness of the expert's work as audit evidence** for the relevant assertion (valuation of plant & machinery) — reasonableness of assumptions and source data, relevance and completeness of the data used, and consistency of conclusions with other audit evidence.

If the auditor is not satisfied, he may perform additional procedures, engage an **auditor's expert (SA 620)**, or modify the opinion if sufficient appropriate evidence cannot be obtained.

**Responsibility:** The auditor is **not relieved** of his responsibility. The auditor alone is responsible for the audit opinion; that responsibility is not reduced by using the work of a management's expert. Reliance is permissible only after satisfying himself as above.

### Answer 1(b) — Materiality and Personal Expenses (SA 320)

**Concept (SA 320):** Misstatements, including omissions, are considered **material** if they, individually or in the aggregate, could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements. Materiality involves both **quantitative** magnitude and **qualitative** nature.

**Application to the ₹12 lakh personal expenses of the MD:** - Personal expenses of the Managing Director charged to the company's profit and loss account are **not a legitimate business expense** of the company. They overstate expenses (understate profit) and involve a **qualitative** dimension — a matter concerning management integrity, related-party benefit, and possibly ultra vires payments. - Even if the amount were below the quantitative threshold, an item concerning **impropriety by management / diversion of company funds for personal benefit** is material **by its very nature** and cannot be ignored on grounds of size. - The auditor should require the amount to be **recovered from the MD or disclosed appropriately**; failing correction, he should consider its effect on the truth and fairness of the accounts and the need to **modify the opinion**, and consider reporting under CARO / fraud provisions if applicable.

**Factors determining materiality:** 1. Size (amount) of the item relative to profit, revenue, or the relevant class of transactions/balances. 2. Nature of the item (qualitative factors — e.g., transactions with related parties, fraud, non-compliance with law, items affecting compliance with loan covenants). 3. The particular circumstances and needs of the users of the financial statements.

### Answer 1(c) — Advantages of an Audit Programme (any six)

1. It provides the assistant a **clear set of instructions** on the work to be done, ensuring nothing is omitted.

2. It provides a **total perspective** of the work to be performed and helps in proper distribution of work among team members.
3. **Fixing of responsibility** — the person completing each step signs/initials, so responsibility for each area can be established.
4. It serves as a **guide** for planning and conducting audits of subsequent years/periods.
5. The assistant, by putting his signature, **accepts responsibility** for the work done, promoting accountability.
6. It acts as **documentary evidence** of the work done, useful as a defence in the event of a charge of negligence.
7. It enables the principal/engagement partner to **monitor progress** and control the audit.
8. It ensures a **uniform and consistent** approach across engagements.

(Any six.)

### Answer 1(d) — Reasonable vs Absolute Assurance

**Reasonable assurance** is a **high, but not absolute**, level of assurance. It is obtained when the auditor has gathered **sufficient appropriate audit evidence** to reduce audit risk (the risk of expressing an inappropriate opinion when the financial statements are materially misstated) to an **acceptably low level**.

**Absolute assurance** is a guarantee that the financial statements are entirely free from misstatement — which an audit **cannot** provide.

**Why an audit cannot provide absolute assurance (inherent limitations):** 1. **Nature of financial reporting** — involves judgement and subjective estimates (e.g., provisions, useful lives). 2. **Nature of audit procedures** — the auditor works on **test/selective basis (sampling)**, not 100% checking; management may not provide complete information; fraud may involve sophisticated concealment and collusion. 3. **Timeliness and cost-benefit** — the audit must be completed within a reasonable time and cost, so it is impracticable to address every item. 4. Much audit evidence is **persuasive rather than conclusive**.

### Answer 2(a) — Communication with TCWG (SA 260)

Under **SA 260**, matters the auditor is **required to communicate** to those charged with governance include:

1. **The auditor's responsibilities** in relation to the financial statement audit — that the auditor is responsible for forming and expressing an opinion, and that the audit does not relieve management/TCWG of their responsibilities.
2. **Planned scope and timing of the audit** — an overview, including significant risks identified.
3. **Significant findings from the audit**, such as: - The auditor's views on significant qualitative aspects of the entity's **accounting practices**, including accounting policies, estimates and disclosures. - **Significant difficulties**, if any, encountered during the audit. - Significant matters discussed, or subject to correspondence, with management. - Written representations the auditor is requesting. - Circumstances that affect the form and content of the auditor's report. - Other significant matters relevant to the oversight of the financial reporting process.
4. **Auditor independence** (for listed entities) — a statement of compliance with independence requirements, relationships and safeguards.

**Importance of two-way communication:** It assists the auditor and TCWG in understanding audit-related matters and in developing a **constructive working relationship**; helps the auditor obtain **relevant**

**information** from TCWG (e.g., regarding fraud risks, related parties); and assists TCWG in fulfilling their responsibility to **oversee the financial reporting process**, thereby reducing the risk of material misstatement.

## Answer 2(b) — Benefits of Audit Planning (SA 300)

Adequate planning benefits the audit in several ways:

1. Helps the auditor **devote appropriate attention to important areas** of the audit.
2. Helps the auditor **identify and resolve potential problems** on a timely basis.
3. Helps the auditor **properly organise and manage** the audit engagement so that it is performed in an effective and efficient manner.
4. Assists in the **selection of engagement team members** with appropriate levels of capabilities and competence, and the proper assignment of work to them.
5. Facilitates the **direction, supervision and review** of the team's work.
6. Assists, where applicable, in **coordination of work** done by auditors of components and experts.

Planning is a **continuous and iterative process** that begins shortly after the completion of the previous audit and continues until the completion of the current engagement, being updated as circumstances change.

## Answer 2(c) — True and Fair View

**Concept:** The expression "true and fair view" is the cornerstone of financial statement audit. It means that the financial statements are **free from material misstatement** and **faithfully represent** the financial performance and position of the entity — i.e., what is stated is true (accurate) and the overall picture is fair (not misleading) and free from bias.

To report that the financial statements present a true and fair view, the auditor should ensure (any four): 1. The **assets** are neither overstated nor understated and are stated at appropriate values as per the applicable framework. 2. The **liabilities** (and provisions) are neither overstated nor understated, and no material liability is omitted. 3. No **material item** has been omitted, and there are no **fictitious or non-existent** assets/liabilities. 4. The **profit or loss** disclosed is truly and fairly stated and pertains to the correct period (proper cut-off and matching). 5. **Accounting policies** are consistent, appropriate, and adequately disclosed; statutory disclosure requirements (Schedule III, applicable AS/Ind AS) are complied with. 6. Any **charge on assets** and material events are properly disclosed.

## Answer 3(a) — Audit of Advances of a Bank Branch

Advances generally constitute the largest item on the assets side and require careful audit. Special points:

**General verification:** 1. Ensure advances are supported by proper **loan documentation** (loan agreements, security documents, board sanction, etc.) and are within sanctioned limits. 2. Verify that the advances are **secured** as recorded and that securities are valued, legally enforceable and periodically inspected; where unsecured, confirm compliance with sanction terms. 3. Check **drawing power** based on stock/receivable statements and confirm the account operates within the drawing power/sanctioned limit. 4. Obtain **balance confirmations** from borrowers on a test basis; scrutinise operations in the account for the year.

**Classification into performing / non-performing assets (as per RBI IRAC norms):** 5. Examine whether income is being recognised only on **recovery basis for NPAs** (no income recognition on accrual for NPAs). 6.

Verify **classification of NPAs**: - A **term loan** is NPA if interest/principal instalment remains **overdue for more than 90 days**. - A **cash credit / overdraft** is NPA if it remains **out of order** (outstanding continuously exceeds limit/drawing power, or no credits for 90 days, or credits insufficient to cover interest). - A **bill purchased/discounted** is NPA if overdue for more than 90 days. 7. Verify further classification into **sub-standard, doubtful and loss** assets and that **provisioning** has been made as per RBI norms and asset-classification age. 8. Ensure that accounts are not **evergreened** (advances given to enable repayment of earlier dues to keep the account standard).

### Answer 3(b) — Audit Risk and its Components (SA 200)

**Audit risk** is the risk that the auditor expresses an **inappropriate audit opinion** when the financial statements are materially misstated. It is a function of the **risks of material misstatement** and **detection risk**.

**Audit Risk = Risk of Material Misstatement (RMM) × Detection Risk**, where **RMM = Inherent Risk × Control Risk**.

1. **Inherent Risk** — the susceptibility of an assertion to a misstatement that could be material, before considering any related controls (e.g., complex calculations, estimates, cash-intensive operations).
2. **Control Risk** — the risk that a material misstatement will **not be prevented, or detected and corrected on a timely basis**, by the entity's internal control.
3. **Detection Risk** — the risk that the auditor's procedures will **not detect** a material misstatement that exists.

**Relationship and effect on substantive procedures**: Inherent and control risks are the entity's risks and exist **independently of the audit**. For a given level of audit risk, detection risk has an **inverse relationship** with RMM: the higher the assessed RMM, the **lower** the detection risk that can be accepted, and hence the **more extensive/rigorous** the substantive procedures required (larger sample sizes, more effective procedures, timing nearer the year end). Conversely, lower RMM permits a higher acceptable detection risk and less extensive procedures.

### Answer 3(c) — Qualified vs Adverse Opinion (SA 705)

Both are **modified opinions**. The choice depends on (i) the **nature** of the matter (material misstatement, or inability to obtain sufficient appropriate audit evidence) and (ii) the **pervasiveness** of its effects.

**Qualified opinion** — expressed when: 1. The auditor, having obtained sufficient appropriate audit evidence, concludes that misstatements are **material but NOT pervasive**; **OR** 2. The auditor is **unable to obtain sufficient appropriate audit evidence**, but concludes that the possible effects of undetected misstatements could be **material but NOT pervasive**. ("Except for" the effects of the matter, the FS give a true and fair view.)

**Adverse opinion** — expressed when the auditor, having obtained sufficient appropriate audit evidence, concludes that misstatements, individually or in the aggregate, are **BOTH material AND pervasive** to the financial statements — i.e., the FS **do not** give a true and fair view.

*(Where the auditor is unable to obtain evidence and the possible effects are both material and pervasive, he issues a disclaimer of opinion, not an adverse opinion.)*



## Answer 4(a) — Audit of a Section 8 Company / Charitable Trust (NGO)

**Special audit considerations:** 1. Study the **constitution / trust deed / MoA & AoA** to understand the objects, powers, and restrictions on application of funds; ensure income is applied only to the objects. 2. Verify **registration** — under Section 8 of the Companies Act, 2013 and, for tax exemption, registration under Sections 12A/12AB and 80G of the Income-tax Act, and compliance with FCRA where foreign contributions are received. 3. Examine the system of **internal control**, particularly over receipts (donations/grants) which are often prone to leakage. 4. Verify that **funds/grants received for a specific purpose** have been utilised for that purpose only, and that restricted funds are separately accounted. 5. Ensure **no profit distribution** to members (Section 8 prohibits payment of dividend) and that surplus is applied to objects.

**Sources of income to be specifically verified:** - **Donations and subscriptions** — reconcile with receipt counterfoils, correspondence, and lists; verify one-time/corpus donations are credited to corpus fund. - **Grants** from government/other agencies — verify sanction letters and conditions of use. - **Interest and dividend** on investments — verify against investment schedules and TDS certificates. - **Income from property** (rent) and **fees/charges** for services. - **Legacies** and **membership fees**.

## Answer 4(b) — Audit Documentation (SA 230)

**Meaning:** Audit documentation ("working papers") is the **record of audit procedures performed, relevant audit evidence obtained, and conclusions reached** by the auditor. It provides evidence of the auditor's basis for a conclusion about the achievement of the overall objectives, and evidence that the audit was **planned and performed in accordance with SAs** and applicable legal/regulatory requirements.

**Purposes served:** 1. Assists the engagement team in **planning and performing** the audit. 2. Assists members responsible for **supervision, direction and review** of work. 3. Enables the team to be **accountable** for its work. 4. Retains a **record of matters of continuing significance** for future audits. 5. Enables **quality control reviews and inspections** (internal and external), and inspections by regulators. 6. Provides **evidence in case of litigation** (defence against negligence).

**Assembly and retention:** The auditor shall **assemble the final audit file** on a timely basis after the date of the auditor's report — the SQC 1 limit is **not more than 60 days** after the date of the auditor's report. After assembly, the auditor shall **not delete or discard** documentation before the end of its retention period; the retention period under SQC 1 is **not shorter than seven years** from the date of the auditor's report.

## Answer 4(c) — Auditor's Responsibilities Relating to Fraud (SA 240)

Under **SA 240**, the primary responsibility for **prevention and detection of fraud** rests with **those charged with governance and management**. The auditor is responsible for obtaining **reasonable assurance** that the financial statements taken as a whole are free from material misstatement, whether caused by **fraud or error**.

The auditor must: - Maintain **professional skepticism** throughout the audit, recognising the possibility of fraud notwithstanding past experience of management's honesty. - Identify and assess **risks of material misstatement due to fraud** and respond appropriately, treating revenue recognition and management override of controls as significant risks.

**Two types of intentional misstatement relevant to the auditor:** 1. **Fraudulent financial reporting** — intentional misstatements/omissions in the financial statements to **deceive users** (e.g., manipulating, falsifying records; misapplying accounting policies; recording fictitious entries; overriding controls). Usually committed by management. 2. **Misappropriation of assets** — theft of the entity's assets (e.g., embezzling

cash receipts, stealing inventory, paying for goods not received). Often committed by employees and concealed.

Where fraud is identified or suspected, the auditor communicates with the appropriate level of management/TCWG on a timely basis and considers reporting obligations, including reporting to the **Central Government under Section 143(12)** of the Companies Act, 2013 (read with Rule 13) where the amount involved is ₹1 crore or more, and to the audit committee/Board otherwise.

### **Answer 5(a) — Matters to be stated under Section 143(3) (any six)**

The auditor's report shall state: 1. Whether he has **sought and obtained all information and explanations** necessary for the audit and, if not, the details and effect. 2. Whether, in his opinion, **proper books of account** as required by law have been kept, and proper returns adequate for audit have been received from branches not visited by him. 3. Whether the report on the accounts of any **branch office** audited by a person other than the company's auditor has been sent to him and how he has dealt with it. 4. Whether the company's **balance sheet and statement of profit and loss** dealt with in the report are **in agreement with the books of account and returns**. 5. Whether, in his opinion, the financial statements comply with the **accounting standards**. 6. The **observations or comments** on financial transactions which have any **adverse effect** on the functioning of the company. 7. Whether any **director is disqualified** from being appointed as a director under Section 164(2). 8. Any **qualification, reservation or adverse remark** relating to the maintenance of accounts. 9. Whether the company has **adequate internal financial controls with reference to financial statements** in place and the operating effectiveness of such controls. 10. Such other matters as prescribed (Rule 11) — e.g., disclosure of pending litigation impact, foreseeable losses on long-term contracts, delays in transfer to Investor Education and Protection Fund.

*(Any six.)*

### **Answer 5(b) — Written Representations (SA 580)**

**Concept:** A **written representation** is a **written statement by management** provided to the auditor to confirm certain matters or to support other audit evidence. It is **audit evidence** but does not, by itself, constitute sufficient appropriate audit evidence about the matters it deals with, and does not relieve the auditor of the responsibility to obtain other evidence.

**Situations in which the auditor should obtain written representations:** 1. That management has fulfilled its **responsibility for the preparation** of the financial statements in accordance with the applicable framework, including, where relevant, their fair presentation. 2. That management has provided the auditor with **all relevant information and access** as agreed in the terms of the engagement, and that all transactions have been **recorded and reflected** in the financial statements. 3. To **support other audit evidence** relevant to the financial statements or specific assertions where required by other SAs (e.g., SA 240 on fraud, SA 250 on laws, SA 450 on uncorrected misstatements, SA 501, 540, 550, 560, 570, 710, 720).

**Date and period:** Representations are for all financial statements and periods in the report, dated as near as practicable to (but not after) the date of the auditor's report.

**If management does not provide requested representations, or the auditor doubts their reliability/integrity:** The auditor shall **discuss** the matter with management, **re-evaluate** management's integrity and the effect on the reliability of representations and audit evidence generally, and take appropriate action. If management does not provide the representations regarding its responsibilities

(preparation of FS / completeness of information), the auditor shall **disclaim an opinion** on the financial statements, as such representations are fundamental and their absence casts doubt over all evidence.

### Answer 5(c) — Internal Control: Definition and Inherent Limitations

**Definition:** Internal control is the **process designed, implemented and maintained** by those charged with governance, management and other personnel to provide **reasonable assurance** about the achievement of the entity's objectives with regard to (i) **reliability of financial reporting**, (ii) **effectiveness and efficiency of operations**, and (iii) **compliance with applicable laws and regulations**.

**Inherent limitations** (internal control can provide only reasonable, not absolute, assurance): 1. **Human judgement** in decision-making can be faulty, and breakdowns can occur because of **human error**. 2. Controls can be **circumvented by collusion** among two or more persons. 3. **Management override** of controls. 4. Possibility that controls become **inadequate due to changes in conditions** (e.g., new technology/transactions) and compliance may deteriorate. 5. **Cost-benefit consideration** — management may not implement controls whose cost exceeds the expected benefit. 6. Controls tend to be directed at **routine transactions** rather than unusual/non-routine transactions.

### Answer 6(a)(i) — Sufficiency and Appropriateness of Audit Evidence (SA 500)

Audit evidence must be **sufficient** and **appropriate**. - **Sufficiency** is the measure of the **quantity** of audit evidence. The quantity needed is affected by the auditor's **assessment of the risks of material misstatement** (the higher the risk, the more evidence required) and by the **quality** of such evidence (higher quality may reduce quantity needed). - **Appropriateness** is the measure of the **quality** of audit evidence — its **relevance** (logical connection to the assertion tested) and its **reliability** (dependability). Reliability is influenced by its **source and nature**: evidence is generally more reliable when obtained from **independent external sources**, when related **internal controls are effective**, when obtained **directly by the auditor**, when in **documentary form**, and when in **original** (rather than photocopied) form.

Sufficiency and appropriateness are **interrelated**; more evidence of poor quality cannot compensate for its poor quality. Audit evidence is generally **persuasive rather than conclusive**.

### Answer 6(a)(ii) — External Confirmation; Positive vs Negative (SA 505)

**External confirmation** is audit evidence obtained as a **direct written response** to the auditor from a **third party** (the confirming party), in paper form or electronic/other medium. It is used, e.g., for bank balances, trade receivables/payables, inventory held by third parties, and terms of agreements. It is generally reliable because it is obtained **directly by the auditor from an independent source**.

- **Positive confirmation request:** asks the confirming party to **respond directly** to the auditor **indicating whether it agrees or disagrees** with the information, or to provide the requested information. A response is expected **in every case** (whether or not agreement), so it provides **more reliable** evidence.
- **Negative confirmation request:** asks the confirming party to **respond directly only if it disagrees** with the information stated. Since a non-response is treated as agreement, it provides **less persuasive** evidence and is used only when RMM is low, controls are effective, a large number of small homogeneous balances are involved, a very low exception rate is expected, and the auditor is not aware of circumstances that would cause recipients to disregard the request.

## Answer 6(b) — Audit Sampling (SA 530)

**Audit sampling** is the application of audit procedures to **less than 100%** of items within a population of audit relevance such that all sampling units have a **chance of selection**, in order to provide the auditor a **reasonable basis** to draw conclusions about the entire population.

**Statistical sampling** — an approach having the features that (i) sample items are selected **randomly**, and (ii) **probability theory** is used to evaluate results, including measurement of sampling risk. It allows objective/quantified measurement of sampling risk.

**Non-statistical sampling** — any approach that does **not** have both those features; sample selection and evaluation rely on the **auditor's judgement**.

**Sampling risk** — the risk that the auditor's conclusion based on a sample **may differ** from the conclusion had the entire population been tested. It can lead to two erroneous conclusions: (a) that controls are more effective / a material misstatement does not exist when it does — affecting **audit effectiveness**; or (b) that controls are less effective / a misstatement exists when it does not — affecting **audit efficiency**.

**Non-sampling risk** — the risk that the auditor reaches an erroneous conclusion for **reasons unrelated to sampling** (e.g., use of inappropriate procedures, misinterpretation of evidence, failure to recognise a misstatement).

## Answer 6(b-Alt) — Emphasis of Matter and Other Matter Paragraphs (SA 706)

**Emphasis of Matter (EOM) paragraph:** A paragraph included in the auditor's report that refers to a matter **appropriately presented or disclosed** in the financial statements that, in the auditor's judgement, is of **such importance that it is fundamental to users' understanding** of the financial statements. It does **not** modify the opinion; it is placed in a separate section with an appropriate heading and states that the opinion is not modified in respect of the matter. *Example:* An uncertainty relating to the future outcome of exceptional litigation or regulatory action; early application of a new accounting standard that has a pervasive effect; a major catastrophe affecting the entity's financial position.

**Other Matter (OM) paragraph:** A paragraph that refers to a matter **other than those presented or disclosed** in the financial statements that, in the auditor's judgement, is **relevant to users' understanding of the audit, the auditor's responsibilities or the auditor's report**. *Example:* The prior-period financial statements were audited by a **predecessor auditor** (reporting under SA 710); or where the auditor's report is intended solely for **specific users**.

## Answer 6(c) — Fundamental Principles of Professional Ethics

The Code of Ethics requires a Chartered Accountant to comply with the following **five fundamental principles**: 1. **Integrity** — to be straightforward and honest in all professional and business relationships. 2. **Objectivity** — not to allow bias, conflict of interest, or undue influence of others to override professional or business judgements. 3. **Professional Competence and Due Care** — to maintain professional knowledge and skill at the level required to render competent service, and to act diligently in accordance with applicable technical and professional standards. 4. **Confidentiality** — to respect the confidentiality of information acquired as a result of professional and business relationships, and not to disclose or use it without proper and specific authority (unless there is a legal or professional right/duty to disclose). 5. **Professional Behaviour** — to comply with relevant laws and regulations and to avoid any conduct that the member knows or should know may discredit the profession.

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*End of Mock Test 1 — Auditing & Ethics.*

# Auditing & Ethics — Amendment & Caveat Checklist

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CA Intermediate, Paper 5. **Read this before you trust any number, threshold, section reference, or Standard version in these notes.**

These notes teach you the **structure and the logic** — *why* the auditor is appointed the way they are, *why* rotation exists, *why* a ceiling on audits exists, *what* an SA is trying to achieve. That reasoning does not expire. But some of the **exact numbers, section applicabilities, Standard versions, and the ICAI Code of Ethics edition do change** between attempts. ICAI writes the paper to *its own* Study Material, the latest **Standards on Auditing (SAs)** as on the cut-off date, and a **Statutory Update / RTP** published for each specific attempt.

**The Golden Rule:** For every item flagged below, open ICAI's material for *your* exam (see "Where to confirm" at the end) and verify the current position **before** you memorise a figure or an applicability. Do not carry a number from these notes into the exam hall without that check. Where these notes give a specific figure, treat it as *illustrative of the mechanism*, not as gospel for your attempt.

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## How to read this checklist

Auditing & Ethics is, overall, a **relatively stable** paper compared to Taxation — most of it is principle and procedure (the SAs, the audit approach, ethics reasoning), not fast-moving rates. But it is **not** amendment-free. It is amendment-sensitive in three specific ways:

1. **Standards churn** — SAs get revised, new SAs/quality-management standards become effective, and effective dates matter.
2. **Company-law-linked provisions** — the audit chapters are built on the Companies Act, 2013, which is amended and notified frequently. Every threshold, limit, and applicability in the audit-of-companies area is a company-law figure and therefore rate/limit-based.
3. **Ethics edition** — the ICAI Code of Ethics is periodically re-issued; specifics can move.

For each item below: **what it is** → **why it changes** → **where to confirm**.

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## A. HIGH-attention items (verify every attempt)

These are the items most likely to have moved since these notes were written. Confirm each one against your attempt's material.

### A1. Standards on Auditing (SAs) — version, wording, and effective dates

- **What it is:** The core of the paper. Which SAs are in the syllabus, their current text, and — critically — the *effective date* of any revised SA (e.g. a revised standard may apply only to audits of financial statements for periods beginning on/after a stated date).
- **Why it changes:** ICAI revises SAs and issues new ones. A standard that is "revised but not yet effective" for your attempt is examined differently from one that is in force. The **quality-management standards (SQM 1, SQM 2, and revised SA 220)** replacing the old **SQC 1** framework is exactly this kind of transition — confirm which version is examinable for your attempt.

- **Where to confirm:** ICAI Study Material for your attempt + the **BoS Statutory/Standards Update** and the **RTP** for that exam, which lists the standards applicable and any exclusions.

## A2. Appointment, rotation & tenure of auditors (Sec. 139)

- **What it is:** First auditor, subsequent appointment, ratification position, and **mandatory rotation** of individual auditors/audit firms for prescribed classes of companies, plus the **cooling-off** period.
- **Why it changes:** Rotation applicability is tied to class-of-company **thresholds** (paid-up capital / borrowings limits) set by rules, which are revised by notification. The ratification requirement has itself been amended in the past.
- **Where to confirm:** ICAI Study Material (Company Audit chapter) + Statutory Update for the Companies Act position as on your cut-off date.

## A3. Eligibility, disqualifications & the CEILING on number of audits (Sec. 141)

- **What it is:** Who can/can't be a company auditor, and the **maximum number of company audits** a person/partner can hold, plus disqualification thresholds (e.g. limits on indebtedness/security to the company).
- **Why it changes:** The **ceiling figure** and the **monetary disqualification limits** are exact numbers that can be amended. This is a classic MCQ trap where an old figure is planted.
- **Where to confirm:** ICAI Study Material + Statutory Update. **Do not state the ceiling number from memory of an old batch.**

## A4. CARO — Companies (Auditor's Report) Order

- **What it is:** The additional reporting clauses the auditor must address, and — importantly — **which companies are exempt** from CARO.
- **Why it changes:** CARO is periodically re-issued (the applicable Order and its clauses can change), and the **exemption thresholds** (turnover / paid-up capital / borrowings for a private company, etc.) are limit-based and revisable.
- **Where to confirm:** ICAI Study Material (the exact CARO version applicable for your attempt) + Statutory Update. Confirm both *the Order year* and *the exemption limits*.

## A5. Auditor's remuneration, powers, duties & related sections (Sec. 142–147)

- **What it is:** How remuneration is fixed, the auditor's right of access, reporting duties, fraud-reporting threshold under Sec. 143(12), and **penalties/punishment** under Sec. 147.
- **Why it changes:** The **fraud-reporting monetary threshold** (report to Central Government vs. to the Board/Audit Committee) is a specific figure set by rule and is amendment-sensitive. Penalty amounts under Sec. 147 have been amended.
- **Where to confirm:** ICAI Study Material + Statutory Update for the current fraud-reporting limit and penalty figures.

## A6. Applicability thresholds that switch requirements ON/OFF

- **What it is:** Every place in the audit-of-companies area where a **limit decides whether a rule applies**, e.g. **internal audit** applicability (Sec. 138), **auditor rotation** classes, **internal financial controls (IFC) reporting**, definitions of **small company / OPC** that flow into exemptions, and **audit committee** applicability.



- **Why it changes:** All of these are driven by paid-up-capital / turnover / borrowing / deposit **thresholds** in the rules, which are revised by notification. The *definition* of a small company has itself been revised.
- **Where to confirm:** ICAI Study Material + Statutory Update. Treat any threshold in these notes as illustrative and re-confirm the live figure.

## A7. ICAI Code of Ethics (the "Ethics" half of the paper)

- **What it is:** The fundamental principles, independence requirements, the conceptual framework (threats & safeguards), and specific prohibitions/limits.
- **Why it changes:** The **Code of Ethics is periodically re-issued** (a new edition/volumes), and specific items — e.g. **fee-based ceilings on the number of tax audits / certain assignments**, restrictions on advertising and solicitation, and network-firm rules — carry **exact limits** and phrasing that can move edition to edition.
- **Where to confirm:** ICAI Study Material (Ethics chapter, aligned to the applicable Code edition) + any BoS announcement on the Code edition applicable for your attempt.

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## B. MEDIUM-attention items (stable in concept, but check specifics)

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### B1. Schedule III presentation references

- **What it is:** Where audit/reporting content references the **format of financial statements** (Schedule III) and disclosure requirements the auditor checks against.
- **Why it changes:** Schedule III has been amended (added disclosures). If a question tests a specific disclosure the auditor must verify, the current Schedule III position governs.
- **Where to confirm:** ICAI Study Material + Statutory Update; cross-check with the Accounts paper's current position.

### B2. Bank / other special-entity audit content (if in your syllabus scope)

- **What it is:** Any topic anchored to regulator norms (e.g. classification/provisioning norms if referenced).
- **Why it changes:** Regulator-driven figures move. ICAI examines only what's in the current Study Material, but the numbers within can be updated.
- **Where to confirm:** ICAI Study Material for your attempt; do not import figures from external/older sources.

### B3. Digital / audit-in-CIS and emerging-area chapters

- **What it is:** Descriptive chapters on automated environment, audit trail requirements, etc.
- **Why it changes:** The **audit-trail (edit log) applicability date** and related MCA requirements are date/notification driven and have shifted before.
- **Where to confirm:** ICAI Study Material + Statutory Update.

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## C. LOW-attention items (structurally stable)

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These are **principle-and-procedure** and rarely change in substance. Learn the logic once and trust it: - The audit process, risk assessment, materiality *concept*, audit evidence, sampling *concept*, documentation

principles. - The *reasoning* behind independence, the threats-and-safeguards framework, and professional scepticism. - The *purpose and structure* of each SA (what problem it solves), even when wording is refined. Caveat even here: **materiality and sampling are conceptual, not numeric** — never quote a "materiality percentage" as a rule; there is no fixed statutory figure.

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## D. The one-page pre-exam verification routine

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Before you rely on these notes for the final push, do this against **your attempt's** ICAI material:

1. **Download the RTP** for your exam (May/Nov 20XX) and read its **Applicability of Standards / Statutory Update** section end to end. This is the single most authoritative "what's examinable and current" document.
  2. **Open the current Study Material** (BoS Knowledge Portal) for Paper 5 and confirm the **SA list** and the **Code of Ethics edition** stated on the module.
  3. Re-verify each **A-section figure** above (ceiling on audits, fraud-reporting limit, CARO exemption limits, Sec. 138/rotation thresholds, small-company/OPC definitions, Sec. 147 penalties).
  4. Note ICAI's **cut-off date** for amendments for your attempt — anything notified after that date is *not* examinable, and anything notified before it *is*.
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## Where to confirm — authoritative sources (in priority order)

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1. **ICAI BoS Knowledge Portal — Study Material for Paper 5 (Auditing & Ethics), Intermediate**, for your applicable syllabus/attempt. This is the primary examinable text.
2. **RTP (Revision Test Paper)** for your specific attempt — contains the **Applicability of Standards on Auditing** and any **statutory/amendment update**. Non-negotiable read.
3. **BoS "Statutory Update" / "Applicability of Standards & Guidance Notes" announcements** issued for the attempt.
4. **ICAI Code of Ethics** (current edition) for the ethics chapter specifics.
5. **MCA notifications** only as a cross-check for a specific company-law figure — but remember the **exam follows ICAI's cut-off date**, so ICAI's own update overrides your reading of a raw notification.

**Bottom line:** These notes make you *understand* Auditing & Ethics so you can reconstruct answers under pressure. They deliberately do **not** guarantee that every threshold, ceiling, SA version, or Code edition printed inside them matches your attempt. That final confirmation is yours to do, and it takes one focused pass through the RTP and the current Study Material. Do it.

# Auditing & Ethics — Accuracy Review: Corrections & Caveats

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**Scope of this review.** This is a **spot-review, not an exhaustive audit**. I read six of the thirteen chapter files in full, deliberately choosing the most error-prone (those dense with SA numbers, Companies Act section numbers, statutory thresholds, and worked computations):

- 02\_audit-strategy-planning-materiality.md
- 03\_risk-assessment-internal-control.md
- 05\_audit-sampling-analytical-procedures.md
- 08\_company-audit.md
- 09\_audit-report.md
- 11\_professional-ethics-and-independence.md

Chapters 00, 01, 04, 06, 07, 10 and 12 were **not** reviewed and are not vouched for here.

**Headline finding.** Across the six chapters I found **zero hard technical errors** — no wrong SA numbers, no wrong section numbers, no wrong formulas, no miscomputations, no conceptually inverted statements. Every SA reference (200, 210, 220, 230, 240, 265, 315, 320, 330, 402, 450, 500, 510, 520, 530, 570, 580, 600, 700, 701, 705, 706, 710, 720; SQC 1) and every Companies Act section (132, 134(5)(e), 138, 139–148, 164(2), 177, 185, 186, 188, 192, 197, 447; CARO 2020) is used correctly. All the worked numbers check out (verified below). The notes also **responsibly self-flag** most figures that periodically change with "confirm in current ICAI material."

The items below are therefore **caveats / verify-before-exam points**, not corrections of errors. I list them so you know exactly which figures are load-bearing and what the currently-correct values are. Confidence ratings tell you how sure I am.

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## Verified computations (all correct)

Recording these so you can trust the worked examples:

- **Ch 05, Scenario A** — projection  $(₹1,600 / ₹2,00,000) \times ₹1,00,00,000 = ₹80,000$  . **Correct.**
- **Ch 02, Scenario 1** —  $0.75\% \times ₹520 \text{ cr} = ₹3.9 \text{ cr}$  . **Correct.**
- **Ch 02, Scenario 3** —  $5\% \times ₹9 \text{ cr} = ₹45 \text{ lakh}$  ; performance materiality  $75\% \times ₹1.5 \text{ cr} = ₹1.125 \text{ cr}$  . **Correct.**
- **Ch 08, Scenario A** — firm 2 terms  $\times 5 \text{ yrs} = 10\text{-yr cap}$ ; 11 yrs breaches it. **Correct.**

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## Caveats & verify-points (no confirmed errors — these are watch-items)

### 1. Chapter 03 (Risk & Internal Control) → "AR = IR $\times$ CR $\times$ DR" presented as a literal multiplicative formula

- **As written:** "audit risk is broken into components that behave like a multiplication chain ...  $AR = IR \times CR \times DR$ ", with " $DR = AR \div RMM$ ."

- **Correct position:** This is the standard **ICAI teaching model** and is accepted in exam answers — so keep using it. Caveat: the **revised SA 315 (2021)**, effective in India for periods beginning on/after 1 April 2023, assesses **inherent risk and control risk separately at the assertion level** and de-emphasises a single combined RMM / literal arithmetic. Treat the multiplication as a *conceptual* relationship, not a formula SA 200 mandates. The chapter *does* note the SA 315 revision elsewhere, so this is minor.
- **Confidence:** High (that it's a conceptual model, not literal); the note is not wrong for exam purposes.

## 2. Chapter 08 (Company Audit) → Section 141(3)(d) monetary thresholds

- **As written:** relative may hold securities up to **face value ₹1,00,000**; indebtedness limit **₹5,00,000**; guarantee limit **₹1,00,000**.
- **Correct position:** These match the current **Companies (Audit and Auditors) Rules, 2014**. Confirmed correct as at review date. Just be aware these live in the *Rules*, not the bare Act, so they can be amended — verify closer to exam.
- **Confidence:** High (currently correct).

## 3. Chapter 08 (Company Audit) → Rotation-class thresholds left blank

- **As written:** rotation applies to "listed companies and certain large public/private companies (thresholds by paid-up capital / borrowings — confirm current limits)."
- **Correct position (for your notes):** Rule 5 currently sets rotation for: all **listed** companies; **unlisted public** companies with paid-up capital  $\geq$  **₹10 crore**; **private** companies with paid-up capital  $\geq$  **₹50 crore**; and **any** company (other than OPC/small) with **public borrowings from banks/FIs/public deposits**  $\geq$  **₹50 crore**. The note correctly leaves the number out and flags it; supplied here for completeness.
- **Confidence:** High (values current); note itself is not wrong.

## 4. Chapter 08 (Company Audit) → Audit ceiling of "more than 20 companies"

- **As written:** disqualified if holding audits of "more than 20 companies (the ceiling — with specified exclusions)."
- **Correct position:** Correct (s.141(3)(g)). The "specified exclusions" from the count are **OPC, small companies, dormant companies, and private companies with paid-up capital < ₹100 crore**. Correctly stated in principle; exclusions supplied here for exam recall.
- **Confidence:** High (correct).

## 5. Chapter 09 (Audit Report) → IFC operating-effectiveness private-company exemption

- **As written:** "certain private companies are exempted (notably ... small/one-person and specified private companies meeting turnover/borrowing conditions) — confirm the current exemption thresholds."
- **Correct position (for your notes):** Per MCA notification dated 13 June 2017, reporting on IFC **operating effectiveness** under s.143(3)(i) does not apply to a private company that is a **OPC or small company**, OR has **turnover < ₹50 crore** (latest audited FS) **and** aggregate **borrowings < ₹25 crore** from banks/FIs/any body corporate at any point in the FY. Note is correct to flag; values supplied.
- **Confidence:** High (values current); note not wrong.

## 6. Chapter 09 (Audit Report) → KAM "mandatory for listed entities"

- **As written:** "KAM is mandatory for audits of listed entities ... (Under the Companies Act framework, also confirm applicability thresholds in current ICAI material)."
  - **Correct position:** Correct. SA 701 applicability is triggered for **listed entities** (and where law/regulation requires, or the auditor elects). There is **no separate Companies-Act turnover/size threshold** that expands mandatory KAM beyond listed entities — so the "confirm applicability thresholds" hedge, while harmless, could mislead a student into hunting for a numeric threshold that doesn't exist. Answer for the exam: **listed entities**.
  - **Confidence:** Medium-High.
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## Overall reliability — per reviewed chapter

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- **Chapter 02 — Audit Strategy, Planning & Materiality: Very reliable.** SA 300/320/450/315/330 correctly deployed; benchmark ranges (PBT ~5%, revenue ~0.5–1%, assets ~1–2%, net assets ~1–5%) are the standard indicative ranges and are correctly flagged as judgement-based (SA 320 fixes no numbers). Performance-materiality 50–75% and the risk↔materiality inverse relationship are stated correctly. All arithmetic correct. **Use with confidence.**
- **Chapter 03 — Risk Assessment & Internal Control: Very reliable.** Audit-risk model, five COSO components, inherent limitations, ToC vs substantive logic, "substantive for every material item," significant-risk rules (current-year testing; tests of details required), and the "test at least once every third year" reliance rule are all correct. Only caveat: treat  $AR = IR \times CR \times DR$  as conceptual, not literal (item 1). **Use with confidence.**
- **Chapter 05 — Audit Sampling & Analytical Procedures: Very reliable — the strongest chapter.** SA 500/530/520 definitions, sampling-risk directions (over-reliance / incorrect acceptance = effectiveness), sample-size drivers (incl. the "population size is negligible for large populations" point), anomaly rule, projection logic, the "mandatory at risk assessment + overall review, optional as substantive" point, directional testing, and the four SA 520.5 gates are all correct. Worked projection verified. **No caveats.**
- **Chapter 08 — Company Audit: Very reliable.** All timelines correct (first auditor: Board 30 days / members 90 days at EGM; Govt C&AG 60 days; casual vacancy 30 days, resignation → members within 3 months; removal = special resolution + Central Government + ADT-2 within 30 days + special resolution within 60 days of approval). Forms ADT-1/2/3/4, fraud threshold ₹1 crore, cost-auditor separation, branch-audit logic all correct. Thresholds correctly self-flagged (items 2–4). **Use with confidence.**
- **Chapter 09 — Audit Report & Opinions: Very reliable.** SA 700 element order (Opinion-first, 2018 redesign), the SA 705 2×2 matrix (adverse ← disagreement only; disclaimer ← inability only; qualified for either when not pervasive), SA 706 EOM/OM distinction, SA 701 KAM funnel and exclusions (no KAM on a disclaimer), CARO 2020 = 21 clauses with correct clause content, s.143 statutory matters, and IFC reporting are all correct. Minor caveats at items 5–6. **Use with confidence.**
- **Chapter 11 — Professional Ethics & Independence: Very reliable.** Five fundamental principles correct; independence correctly treated as a *separate* requirement (not a sixth principle); five threats with correct mechanisms; safeguards framework; confidentiality's "disclose *and* use" plus exceptions; contingent-fee prohibition for assurance; s.141/144/139(2) as the legal backstop — all correct. Cross-refs to Ch 08 thresholds consistent. **Use with confidence.**

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## Bottom line

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For the six chapters reviewed, this material is **technically sound and exam-safe**. I found **no wrong section/SA numbers, no wrong formulas, no wrong thresholds, and no computation slips**. The only action items are the **six verify-caveats above**, most of which the notes already flag themselves — and for those I've supplied the currently-correct figures so you don't have to hunt for them. Because thresholds in the *Rules* (s.141 limits, rotation classes, IFC exemption) do get amended, do a final cross-check against the latest ICAI study material and Companies (Audit and Auditors) Rules before the exam.

*Reminder: chapters 00, 01, 04, 06, 07, 10, 12 were outside this spot-review and should be checked separately.*

# Rapid-Recall Flashcards

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*98 cards for spaced repetition — cover the right column and recall. Also importable into Anki from the DECK.tsv file.*



| Prompt                                                                         | Answer                                                                                                                                                                                                           |
|--------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| What is the primary objective of an audit of financial statements?             | To enable the auditor to express an opinion on whether the FS give a true and fair view (are free from material misstatement) — assurance, not certification of absolute accuracy.                               |
| Why can an audit give only reasonable assurance, not absolute assurance?       | Inherent limitations: use of judgement/estimates, test-checking (sampling), persuasive-not-conclusive evidence, management fraud/collusion, and nature of items — 100% certainty is impossible and uneconomical. |
| What is the difference between reasonable assurance and absolute assurance?    | Reasonable = high but not 100% (audit); absolute = 100% guarantee (never given). Auditor reduces risk to acceptably low, not zero.                                                                               |
| Why is an auditor a 'watchdog and not a bloodhound' (Kingston Cotton Mills)?   | He must exercise reasonable care/skill and is entitled to rely on trusted officials unless something arouses suspicion — not bound to approach work with pre-set suspicion of fraud.                             |
| What are the two pillars/objectives of audit under SA 200?                     | (1) Obtain reasonable assurance FS are free from material misstatement; (2) Report on the FS and communicate as required by the SAs.                                                                             |
| What is 'true and fair view' — why not 'true and correct'?                     | Accounts need not be arithmetically exact; they must reflect economic reality free of material misstatement and comply with the applicable framework — fairness over pin-point correctness.                      |
| Define audit materiality (SA 320).                                             | Misstatements are material if they, individually or aggregated, could reasonably be expected to influence economic decisions of users taken on the basis of the FS.                                              |
| Why is materiality a matter of professional judgement, not a fixed percentage? | It depends on size AND nature of the item and the surrounding circumstances; qualitative factors (e.g. fraud, compliance) can make a small amount material.                                                      |
| What is performance materiality and why set it below overall materiality?      | Amount set below overall materiality to reduce the risk that aggregate of uncorrected + undetected misstatements exceeds materiality — a buffer for undetected errors.                                           |
| State the audit risk model.                                                    | $\text{Audit Risk} = \text{Risk of Material Misstatement} \times \text{Detection Risk} = (\text{Inherent Risk} \times \text{Control Risk}) \times \text{Detection Risk}$                                         |
| Why does detection risk vary inversely with risk of material misstatement?     | To keep audit risk acceptably low: when RMM is high, auditor must lower detection risk by doing more/better substantive work; when RMM is low, DR can be higher.                                                 |
| What is inherent risk?                                                         | Susceptibility of an assertion to misstatement (before controls), due to complexity, estimation, or nature of the item — e.g. cash and estimates carry high inherent risk.                                       |
| What is control risk?                                                          | Risk that a misstatement will not be prevented or detected and corrected on a timely basis by the entity's internal control.                                                                                     |
| What is detection risk?                                                        | Risk that the auditor's procedures will not detect an existing material misstatement — the only component the auditor                                                                                            |

|                                                                                |                                                                                                                                                                                      |
|--------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                                                | directly controls.                                                                                                                                                                   |
| Why must an auditor maintain professional scepticism (SA 200)?                 | A questioning mind alert to conditions indicating possible misstatement and critical assessment of evidence — guards against over-reliance on management and undue trust.            |
| What is professional judgement in auditing?                                    | Application of relevant training, knowledge and experience in making informed decisions about courses of action appropriate in the audit circumstances.                              |
| Why is documentation (SA 230) essential — 'not done if not documented'?        | Provides evidence of the basis for the opinion and that the audit complied with SAs; supports planning, review, quality control, and defence in litigation.                          |
| What is the SA 230 rule for assembling the final audit file?                   | Assemble on a timely basis, ordinarily within 60 days of the auditor's report date; retain for at least 7 years (SQC 1).                                                             |
| Define audit evidence and its two quality attributes (SA 500).                 | Information used to draw conclusions supporting the opinion; must be sufficient (quantity) and appropriate (relevance + reliability).                                                |
| Why is externally sourced/original evidence more reliable?                     | Reliability rises with independence of source, effective internal control, direct auditor knowledge, documentary form, and originals over copies — external confirmations rank high. |
| What is the difference between 'sufficient' and 'appropriate' evidence?        | Sufficient = enough quantity (affected by risk & quality); Appropriate = quality — relevant to the assertion and reliable. Higher risk/lower quality needs more quantity.            |
| List the financial statement assertions about transactions.                    | Occurrence, Completeness, Accuracy, Cut-off, Classification (and Presentation).                                                                                                      |
| List the assertions about account balances at period end.                      | Existence, Rights & Obligations, Completeness, Valuation & Allocation (Accuracy, Classification, Presentation).                                                                      |
| Why test 'existence' for assets but 'completeness' for liabilities?            | Management tends to overstate assets (test they exist) and understate liabilities (test all are recorded) — audit direction follows the likely misstatement.                         |
| What is vouching?                                                              | Examination of documentary evidence to verify the authenticity, authority and accuracy of a recorded transaction — tests occurrence/validity of entries.                             |
| What is verification?                                                          | Examining assets and liabilities for existence, ownership, valuation and presentation at the B/S date — confirms the balance, not just the transaction.                              |
| Difference between vouching and verification.                                  | Vouching checks entries in books (transactions during the year); verification checks assets/liabilities existence and value at period end. Vouching precedes verification.           |
| What is the auditor's duty regarding valuation of assets — does he value them? | No. Valuation is management's responsibility; the auditor verifies the reasonableness of the values and disclosures, exercising due care.                                            |

|                                                                                              |                                                                                                                                                                               |
|----------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Why is closing stock valued at lower of cost or NRV (AS 2)?                                  | Prudence — never carry an asset above its realisable cash; recognise the probable loss now but never an unrealised gain.                                                      |
| What are the two error types in audit sampling (SA 530)?                                     | Sampling risk (sample not representative) and non-sampling risk (auditor error — wrong procedure, misinterpretation), the latter reduced by planning/supervision.             |
| What is the difference between statistical and non-statistical sampling?                     | Statistical uses random selection + probability theory to measure sampling risk; non-statistical relies on judgement and cannot quantify sampling risk.                       |
| What is the going concern assumption (SA 570)?                                               | FS are prepared on the basis that the entity will continue operations for the foreseeable future and has no need/intention to liquidate — else break-up basis is used.        |
| What does the auditor do if a material uncertainty on going concern is adequately disclosed? | Express an unmodified opinion and add a separate 'Material Uncertainty Related to Going Concern' paragraph drawing attention to the note.                                     |
| Define fraud vs error (SA 240).                                                              | Fraud = intentional act to obtain unjust/illegal advantage; Error = unintentional mistake. The distinguishing factor is intent.                                               |
| What are the two types of fraud under SA 240?                                                | Fraudulent financial reporting (misstating FS) and misappropriation of assets (theft).                                                                                        |
| Whose responsibility is prevention and detection of fraud?                                   | Primarily those charged with governance and management (via internal control); the auditor is responsible only for reasonable assurance FS are free of material misstatement. |
| When must an auditor report fraud to the Central Government (Sec 143(12))?                   | When fraud against the company by officers/employees involves amount of Rs 1 crore or more — report to CG (via Form ADT-4) within prescribed time.                            |
| What is done for fraud below Rs 1 crore under Sec 143(12)?                                   | Report to the Board or Audit Committee within 2 days; company discloses details in the Board's Report.                                                                        |
| What is the purpose of Standards on Auditing (SAs)?                                          | Mandatory professional standards prescribing principles/procedures the auditor must follow; non-compliance requires disclosure and can attract disciplinary action.           |
| SA 210 covers what?                                                                          | Agreeing the terms of audit engagements — the engagement letter documenting scope, responsibilities of management and auditor, and reporting framework.                       |
| Why is an engagement letter (SA 210) important?                                              | Confirms acceptance, avoids misunderstanding on scope/responsibilities, and evidences the auditor–client contract; management acknowledges its responsibilities.              |
| SA 220 deals with what?                                                                      | Quality control for an audit of financial statements — engagement partner's responsibility for direction, supervision, review and consultation.                               |
| SA 260 requires communication with whom, about what?                                         | Those charged with governance — planned scope/timing, significant findings, auditor independence, and significant difficulties encountered.                                   |

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| SA 265 deals with what?            | Communicating deficiencies in internal control to those charged with governance and management — significant deficiencies in writing.                             |
| SA 299 deals with what?            | Responsibility of joint auditors — division of work, coordination, and each joint auditor being responsible for their allotted area yet jointly for common areas. |
| SA 315 deals with what?            | Identifying and assessing risks of material misstatement through understanding the entity and its environment, including internal control.                        |
| SA 330 deals with what?            | The auditor's responses to assessed risks — designing tests of controls and substantive procedures to address RMM.                                                |
| SA 402 deals with what?            | Audit considerations relating to an entity using a service organisation (e.g. outsourced payroll) and Type 1/Type 2 reports.                                      |
| SA 450 deals with what?            | Evaluation of misstatements identified during the audit — accumulating, communicating for correction, and assessing effect on the opinion.                        |
| SA 500 vs SA 501 — the difference? | SA 500 = audit evidence generally; SA 501 = specific considerations for selected items (inventory attendance, litigation/claims, segment information).            |
| SA 505 covers what?                | External confirmations — direct written responses from third parties (e.g. bank, debtors) obtained by the auditor; positive vs negative confirmation.             |
| SA 510 deals with what?            | Initial audit engagements — opening balances; ensuring opening balances are free of misstatement and consistent policies applied.                                 |
| SA 520 deals with what?            | Analytical procedures — evaluations of financial data through plausible relationships (ratios, trends), used at planning and overall review stages.               |
| SA 550 deals with what?            | Related parties — identifying and disclosing related party relationships and transactions and assessing associated risks.                                         |
| SA 560 deals with what?            | Subsequent events — events between B/S date and the auditor's report date (and facts discovered after), adjusting vs non-adjusting.                               |
| SA 580 deals with what?            | Written representations — statements by management confirming responsibilities and specific assertions; supplement, not substitute for, other evidence.           |
| SA 600 deals with what?            | Using the work of another auditor (branch/component); principal auditor's responsibility and reliance on the other auditor.                                       |

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| SA 610 vs SA 620 — the difference?                                   | SA 610 = using the work of internal auditors; SA 620 = using the work of an auditor's expert (valuer, actuary, engineer).                                                     |
| What are the types of audit opinion (SA 700/705)?                    | Unmodified (clean) and three modified: Qualified, Adverse, Disclaimer of opinion.                                                                                             |
| When is a Qualified opinion given?                                   | Misstatements are material but NOT pervasive, OR unable to obtain sufficient appropriate evidence but possible effects are material but not pervasive — 'except for'.         |
| When is an Adverse opinion given?                                    | Misstatements are BOTH material AND pervasive — FS as a whole do not give a true and fair view.                                                                               |
| When is a Disclaimer of opinion given?                               | Auditor cannot obtain sufficient appropriate evidence and possible effects are BOTH material AND pervasive — cannot form an opinion.                                          |
| What does 'pervasive' mean in the opinion decision (SA 705)?         | Effects not confined to specific elements — either widespread through the FS, or if confined, represent a substantial proportion, or are fundamental to users' understanding. |
| What is an Emphasis of Matter paragraph (SA 706)?                    | Draws attention to a matter properly presented/disclosed in the FS that is fundamental to users' understanding — does NOT modify the opinion.                                 |
| Emphasis of Matter vs Other Matter paragraph.                        | EOM refers to a matter presented/disclosed IN the FS; Other Matter refers to a matter NOT presented in the FS but relevant to users' understanding of the audit/report.       |
| What are Key Audit Matters (SA 701)?                                 | Matters that, in the auditor's professional judgement, were of most significance in the audit — mandatory for listed entities; not a substitute for an opinion.               |
| Who is eligible to be a company auditor (Sec 141)?                   | A Chartered Accountant in practice; a firm/LLP where majority of partners practising in India are qualified may be appointed in the firm's name.                              |
| Name two grounds of disqualification of an auditor under Sec 141(3). | Body corporate (except LLP), officer/employee of the company, holding security/interest in the company, or indebtedness exceeding Rs 5 lakh.                                  |
| What is the ceiling on number of audits per person (Sec 141(3)(g))?  | Maximum 20 companies per person (excluding OPCs, dormant, small and private companies with paid-up capital < Rs 100 crore).                                                   |
| How is the first auditor of a company appointed (Sec 139(6))?        | By the Board within 30 days of registration; if Board fails, by members in EGM within 90 days; holds office till conclusion of the 1st AGM.                                   |
| What is the term of a subsequent auditor (Sec 139(1))?               | Appointed at AGM to hold office from that AGM till the conclusion of the 6th AGM (subject to ratification rules), i.e. a 5-year term.                                         |

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| What is auditor rotation under Sec 139(2)?                                     | Listed & prescribed companies: individual auditor max 1 term of 5 years; firm max 2 terms of 5 years — then a 5-year cooling-off period.                                 |
| How can an auditor be removed before term expiry (Sec 140(1))?                 | Special resolution + prior approval of the Central Government (via Form ADT-2), after giving the auditor a reasonable opportunity of being heard.                        |
| What must a resigning auditor file (Sec 140(2))?                               | Form ADT-3 with the company and the Registrar (and CAG if applicable) within 30 days of resignation, stating reasons.                                                    |
| What are the auditor's powers under Sec 143(1)?                                | Right of access at all times to books, accounts and vouchers, and to require information/explanations necessary for the audit.                                           |
| What is the auditor's basic duty under Sec 143?                                | To make a report to members on the accounts examined and on every FS, stating whether they give a true and fair view and comply with the Act/standards.                  |
| What is CARO 2020?                                                             | Companies (Auditor's Report) Order — additional reporting matters (21 clauses) the auditor must comment on, e.g. fixed assets, inventory, loans, statutory dues, fraud.  |
| What is reporting on Internal Financial Controls (Sec 143(3)(i))?              | Auditor must state whether the company has adequate IFC over financial reporting and their operating effectiveness — for prescribed companies.                           |
| Define Internal Control (SA 315).                                              | Process designed by governance/management to provide reasonable assurance on reliability of reporting, effectiveness/efficiency of operations, and compliance with laws. |
| What are the inherent limitations of internal control?                         | Human error, management override, collusion, cost-benefit constraints, and controls becoming inadequate due to changed conditions — hence only reasonable assurance.     |
| What is a walk-through test?                                                   | Tracing one/few transactions through the entire accounting system to confirm the auditor's understanding of the design and implementation of controls.                   |
| What is the difference between tests of controls and substantive procedures?   | Tests of controls check whether controls operate effectively; substantive procedures detect material misstatements at the assertion level (details + analytics).         |
| What is an internal check?                                                     | Arrangement of duties so that no single person handles a transaction end-to-end; work of one is automatically checked by another — a fraud-prevention design.            |
| Why must audit of a Not-for-Profit / charitable institution focus on receipts? | Income is often unrecorded/cash-based (donations, subscriptions); the key risk is completeness of receipts, so the auditor stresses income controls.                     |
| What is the Chartered Accountants Act framework for professional ethics?       | Two Schedules; First & Second Schedules list acts of professional/other misconduct — Second covers graver misconduct with heavier penalties.                             |

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| What is 'professional misconduct' — the two branches of the CA Act schedules?          | First Schedule (less grave, e.g. sharing fees, advertising) and Second Schedule (grave, e.g. gross negligence, disclosing client info) misconduct.                                    |
| What are the five fundamental principles of the Code of Ethics?                        | Integrity, Objectivity, Professional Competence & Due Care, Confidentiality, and Professional Behaviour.                                                                              |
| What is the difference between independence of mind and independence in appearance?    | Mind = state permitting an unbiased opinion free of influences; Appearance = avoiding facts/circumstances a reasonable third party would see as compromising integrity/objectivity.   |
| Name the five threats to independence in the Code of Ethics.                           | Self-interest, Self-review, Advocacy, Familiarity, and Intimidation threats.                                                                                                          |
| Give an example of a self-review threat.                                               | Auditor evaluating results of a previous judgement/service they performed (e.g. having prepared the accounting records now being audited).                                            |
| Why is an auditor prohibited from a contingent fee based on findings?                  | It creates a self-interest threat that impairs objectivity and independence — the fee should not depend on the audit outcome.                                                         |
| What is the difference between an audit and an investigation?                          | Audit forms an opinion on true and fair view for a period; investigation is a special, in-depth probe for a specific purpose (fraud, acquisition), often beyond one year.             |
| What is a management representation letter's evidential value?                         | It is corroborative evidence; where other sufficient appropriate evidence is expected to exist, a representation alone is not enough and cannot replace it.                           |
| What is the auditor's responsibility for comparatives / prior period figures (SA 710)? | To obtain evidence that comparatives are free of material misstatement and consistently classified; corresponding figures are covered by the current opinion.                         |
| What is 'test checking'?                                                               | Examining a representative sample rather than 100% of transactions, based on the reliability of internal control — an application of sampling to gain efficiency.                     |
| Why is cut-off procedure important at the year-end?                                    | To ensure transactions are recorded in the correct accounting period (occurrence/completeness) — misclassifying near year-end distorts profit and balances.                           |
| What is the difference between a compliance audit and a substantive audit approach?    | Compliance (controls) approach relies on effective internal controls to reduce substantive testing; substantive approach tests transactions/balances directly when controls are weak. |
| What is the auditor's duty if the FS omit a required disclosure?                       | Discuss with management; if not corrected and material, include the information in the report if practicable and modify the opinion (qualified/adverse).                              |